MEE Condensed Sample Answers by Subject

Compiled from the Studicata MEE Question Bank and organized by July 2026-tested subjects

Purpose: This guide condenses the sample analyses into student-facing answer outlines. Each entry identifies the tested issues, the legally relevant facts, the rules, and the correct analysis path without reproducing full model answers.

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Total condensed answer entries: 229 across 9 subjects.

Agency & Partnership

February 1997 — Question 4

Primary source subject: Agency & Partnership/Corporations

Question summary: This question involves Wareco is a corporation that operates a small commercial storage warehouse. Pres is the president of Wareco and Sec is the secretary of Wareco. The core dispute asks Can Able recover damages from Wareco? From Pres? Explain. 2. Can Beta recover damages from Wareco, and, if so, does Wareco have a cause of action against Pres? Explain. 3. Can Rancher recover damages from Wareco? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Did Pres have the real or apparent authority to bind Wareco and, if not, is he personally liable to Able?
- Did Pres have the real or apparent authority to bind Wareco to Beta and, if so, is he liable to Wareco?
- Is Wareco liable on the contract with Rancher either because Pres had real or apparent authority or as a result of See's erroneous certificate?

Relevant facts to use:

- Wareco is a corporation that operates a small commercial storage warehouse.
- On February 1, Pres signed a contract as president of Wareco providing that Wareco would purchase a fleet of 50 trucks from Able, Wareco's usual supplier of trucks.
- On March 1, Pres proposed to the board of directors of Wareco that the corporation purchase a forklift from Beta.
- On April 1, Pres signed a contract as president of Wareco providing that Wareco would purchase a herd of cattle from Rancher for $2 million.

Condensed sample-answer path:

1. Point One The January board resolution denied Pres any real authority to enter into the contract wit

Short answer: An agent may bind a principal to a contract if the agent is acting within his real or apparent authority.

Rule(s):

- An agent may bind a principal to a contract if the agent is acting within his real or apparent authority.
- Real authority may be expressed or implied to the agent by the principal.
- In this case no real authority existed, because Wareco expressly stated in the board resolution that Pres had no authority to enter into contracts for this amount without prior board approval.

Fact-based analysis:

- By electing Pres president, Wareco may have led reasonable third parties to believe that Pres had authority to enter into transactions in the ordinary course of Wareco's business.
- Even though the nature of the transaction suggests that it was in the ordinary course of business, the number of trucks compared to the size of Wareco's current fleet made the transaction extraordinary.
- Thus, Pres had neither real nor apparent authority, and Wareco is not liable to Able.
- An agent purporting to act on behalf of a principal, but lacking authority, becomes liable on the contract for breaching his implied warranty of authority.

Conclusion: Thus, Pres had neither real nor apparent authority, and Wareco is not liable to Able.

2. Point Two The March board resolution denied Pres real authority to enter into the contract with Beta

Short answer: As stated in Point One, an agent can bind a principal if operating within his real or apparent authority.

Rule(s):

- As stated in Point One, an agent can bind a principal if operating within his real or apparent authority.
- Pres lacked real authority to purchase the forklift because the March board resolution instructed him not to enter into this transaction.
- Apparent authority existed, however, because a reasonable person in Beta's position would believe that the president of Wareco had authority to enter into this ordinary transaction.

Fact-based analysis:

- Thus, Wareco is liable to Beta on the contract.
- In this case, Pres entered into the contract with Beta despite the disapproval of the board of directors of Wareco.
- Since Wareco became bound on this contract by the act of Pres beyond his real authority, Pres is liable to Wareco.

Conclusion: Since Wareco became bound on this contract by the act of Pres beyond his real authority, Pres is liable to Wareco.

3. Point Three Although Pres had no real authority because the consent resolution was not unanimous and

Short answer: To be effective, a written consent in lieu of a directors' meeting typically requires signatures of all of the directors.

Rule(s):

- To be effective, a written consent in lieu of a directors' meeting typically requires signatures of all of the directors.
- Pres, therefore, had no real authority because the purchase price exceeded the $ 1 million limitation contained in the January resolution.
- In the absence of See's certificate, Pres had no apparent authority because the purchase of a $2 million herd of cattle was not ordinary for this corporation.

Fact-based analysis:

- Because the consent resolution in this situation was not signed by all of the directors, it was ineffective.
- Rancher could not reasonably believe that the president of a commercial warehouse corporation would have the authority to make such a purchase on behalf of a corporation.
- The secretary of a corporation has the authority to authenticate records of the corporation.
- Sec erroneously authenticated a resolution approving the execution by Pres of the contract with Rancher.

Conclusion: Therefore, Wareco is liable on the contract with Rancher.

Question call(s): 1. Can Able recover damages from Wareco? From Pres? Explain. | 2. Can Beta recover damages from Wareco, and, if so, does Wareco have a cause of action against Pres? Explain. | 3. Can Rancher recover damages from Wareco? Explain.

July 1997 — Question 1

Primary source subject: Agency & Partnership

Question summary: This question involves Laura, Tammy, and Sam agreed to open Central Subs, a fast food delicatessen. They each invested $ 10,000 in Central Subs for its initial expenses, and they agreed that Sam would manage the business and purchase supplies, although the approval of Laura and Tammy would be required for all... The core dispute asks Can Karly, Meatco, and Pat each recover from Central Subs? Explain. From the investors individually? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Was a general partnership created by the investors when they formed Central Subs?
- What principles of agency and partnership law support Karly's claim for damages against Central Subs and the investors for Sam's negligence?
- Under what principles of agency and partnership law did Sam's order from Meatco bind Central Subs and the investors?
- Does the dissolution of the partnership affect Pat's ability to hold Central Subs and the investors liable for Sam's negligence?

Relevant facts to use:

- Laura, Tammy, and Sam agreed to open Central Subs, a fast food delicatessen.
- As part of Central Subs' grand opening, promotional flyers were distributed that pictured Sam, Laura, and Tammy and identified them as the owners of the business.
- Sam worked hard managing the store.
- Several weeks later, the store ran out of luncheon meats.

Condensed sample-answer path:

1. Point One The three investors created a general partnership by agreeing to share control and the pro

Short answer: The facts do not indicate whether Laura, Tammy, and Sam intended to form their venture as a general partnership.

Rule(s):

- The facts do not indicate whether Laura, Tammy, and Sam intended to form their venture as a general partnership.
- However, no intent to form a partnership need be expressed for a partnership to be created.

Fact-based analysis:

- The facts do not indicate whether Laura, Tammy, and Sam intended to form their venture as a general partnership.
- However, no intent to form a partnership need be expressed for a partnership to be created.
- In most jurisdictions, the governing statute is the Uniform Partnership Act (UP A), which defines a partnership as "an association of two or more persons to carry on as co-owners a business for profit." UPA § 6(1).
- Here both elements are present.

Conclusion: Therefore, the arrangement among Laura, Tammy, and Sam was a general partnership.

2. Point Two Karly has a valid claim against (a) Central Subs, since Sam was a partner acting in the or

Short answer: Karly was injured as a result of Sam's negligence in cleaning the bathroom, which was part of his managerial duties for Central Subs.

Rule(s):

- Karly was injured as a result of Sam's negligence in cleaning the bathroom, which was part of his managerial duties for Central Subs.
- A partnership is liable for the wrongful acts or omissions of any partner acting in the ordinary course of the partnership's business or with the authority of the other partners to the same extent as the acting partner is liable.
- Sam was clearly acting in the ordinary course of business and with the authority of Laura and Tammy when cleaning the bathroom.

Fact-based analysis:

- Since the facts state that Sam acted negligently and therefore would be personally liable to Karly, the principles of partnership law allow Karly to recover damages from Central Subs as well.
- In addition, UPA § 15(a) makes the individual partners jointly and severally liable for all obligations of the partnership arising under UPA S 13.
- Consequently, Laura, Tammy, and Sam are each personally liable to Karly.
- The UPA does not require that a plaintiff exhaust the partnership assets before making a claim against one or more partners individually.

Conclusion: Under principles of contribution, if Karly recovered the full amount of her damages from either Laura or Tammy individually, either under the UPA, the RUPA, or the common law, the paying partner would be entitled to payment from the other two partners for their proportional share of the damages.

3. Point Three Sam's order from Meatco binds Central Subs both under the UPA and under the common law b

Short answer: Under the UPA, the act of every partner apparently carrying on the ordinary business of the partnership binds the partnership unless (A) the partner has no such authority and (B) the person doing business with the partnership knows that the partner has no such authority.

Rule(s):

- Under the UPA, the act of every partner apparently carrying on the ordinary business of the partnership binds the partnership unless (A) the partner has no such authority and (B) the person doing business with the partnership knows that the partner has no such authority.
- Since Sam ordered the meat from a store that had not done business with Central Subs before, Meatco had no way of knowing of any limitations on his authority.
- Under the common law, there are two possible alternative theories under which Central Subs would be liable for Sam's meat order: apparent authority and incidental authority.

Fact-based analysis:

- Sam purchased the meat in the ordinary course of the partnership's business.
- However, Sam violated the investors' agreement by ordering more than $500 worth of meat without getting the approval of Laura and Tammy.
- The partnership is therefore bound and Meatco can recover the amount of its bill from Central Subs.

- Sam arguably had apparent authority to order the meat because Meatco knew from seeing the promotional flyers that Sam was an owner of Central Subs, and the purchase of $600 worth of meat would seem to be an action that an owner generally would have the authority to take.

Conclusion: To the extent that Central Subs is liable to Meatco under either the UPA or common-law agency analysis discussed above, each of the partners will be jointly and severally liable for this debt.

4. Point Four Laura and Tammv have dissolved the partnership, which leads to a winding up of the partne

Short answer: Laura and Tammy's actions to close down Central Subs effectively dissolved the partnership.

Rule(s):

- The general rule is that dissolution of a partnership terminates all authority of a partner, vis-a-vis the other partners, to act for the partnership.
- To the extent that Central Subs is liable tinder UPA §13, each of the investors will also be individually liable (jointly and severally) to Pat under UPA § 15(a).

Fact-based analysis:

- Laura and Tammy's actions to close down Central Subs effectively dissolved the partnership.
- However, dissolution does not terminate the partnership, which continues until the winding up of the partnership's affairs is finished.
- Winding up generally includes completion of old business of the partnership, collection of monies owed to the partnership, payment of partnership debts, and distribution of assets to the partners.
- One item of old business is that Sam return all of Central Subs' property to the store as instructed by Laura and Tammy, his former partners.

Conclusion: To the extent that Central Subs is liable tinder UPA §13, each of the investors will also be individually liable (jointly and severally) to Pat under UPA § 15(a).

Question call(s): Can Karly, Meatco, and Pat each recover from Central Subs? Explain. From the investors individually? Explain.

February 1998 — Question 1

Primary source subject: Agency & Partnership

Question summary: This question involves Ashley, Bill, and Diane are equal partners in ABD Partnership, which manufactures computer components, including keyboards. Ashley supervises the factory, Bill supervises the sales force, and Diane is responsible for the financial management of the business. The core dispute asks What rights, if any, does ABD Partnership have in the patent for the special keyboard obtained by Bill? Explain. 3. Did Bill breach any duties to ABD Partnership by entering into B-XYZ Partnership, and, if so, must he account to ABD... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Did Bill breach his duty of care or fiduciary obligations to his partners in ABD Partnership by selling the used manufacturing equipment to a competitor without the partners' knowledge or consent and in contravention of the partnership's established policy?

- Did Bill breach his duty of loyalty or fiduciary obligations to ABD Partnership by patenting the invention in his own name?
- Did Bill breach his duty of loyalty or fiduciary obligations to ABD Partnership by entering into a partnership with a competitor of ABD Partnership?

Relevant facts to use:

- Ashley, Bill, and Diane are equal partners in ABD Partnership, which manufactures computer components, including keyboards.
- Ashley and Diane are concerned about Bill's dealings with XYZ Computer Components, the partnership's most direct competitor.
- Several months later, Bill developed an improved keyboard configuration for disabled computer users who suffer from limited hand and arm mobility.
- Ashley and Diane recently learned of Bill's patent for the special keyboard.

Condensed sample-answer path:

1. Point One Bill owes ABD Partnership a duty of care and a duty of loyalty under the RUPA and has fidu

Short answer: At common law, partners' duties, inter se, are quite strict.

Rule(s):

- At common law, partners' duties, inter se, are quite strict.
- Salmon, "Copartners owe to one another... the duty of finest loyalty." "Not honesty alone, but the punctilio of an honor the most sensitive, is then the standard of behavior." 164 N.E.
- The duties of partners to each other have been recognized by statute as well, although slightly different standards are applied under the two most important statutes, the The RUPA expressly recognizes that partners have duties to each other, stating that the "fiduciary duties a partner owes to the partnership and the other partners are the duty of loyalty and the duty of care." RUPA § 404(a) (1992).

Fact-based analysis:

- The duty of care is somewhat limited, however: A partner owes a duty of care to the partnership and the other partners to act in the conduct of the business of the partnership in a manner that does not constitute gross negligence or willful misconduct.
- However, the fiduciary duties of care and loyalty are implied under the UPA because partners are agents of the partnership.
- According to the UPA, "Each partner is an agent of the partnership for the purpose of its business." Id.
- In this case, Bill has violated the duty of care for two reasons.

Conclusion: Clearly, Bill sold the equipment in contravention of partnership policy and without obtaining the consent of the other partners, and therefore the action was misconduct under the UPA as well.

2. Point Two Bill did not breach his duty of loyalty to ABD Partnership by patenting the invention in h

Short answer: The issue in respect of the patent is whether Bill, as an agent and partner, must hold the patent for the benefit of the partnership.

Rule(s):

- The issue in respect of the patent is whether Bill, as an agent and partner, must hold the patent for the benefit of the partnership.

- As a general rule, an agent or partner assigned “to do noninventive work is entitled to patents which are the result of his invention, although the invention is due to the work for which he is employed.” Because Bill is in charge of sales, he is not employed in an inventive capacity and may hold the patent in his own name.
- If, unlike the facts given here, Bill had used ABD’s facilities to develop the invention, Bill may have owed the partnership a nonexclusive license to use the invention.

3. Point Three Bill did breach his duty of loyalty by competing with ABD Partnership through his partic

Short answer: Under the RUPA and under the common law, Bill owes ABD Partnership a duty of loyalty.

Rule(s):

- Under the RUPA and under the common law, Bill owes ABD Partnership a duty of loyalty.
- The duty of loyalty partners owe to the partnership imposed by the RUPA is as follows (1) to account to the partnership and hold as trustee for it any property, profit, or benefit derived by the partner, without the informed consent of the other partners, from a transaction connected with the formation, conduct, or liquidation of the partnership or from a use by the partner of partnership property; (2) to refrain from dealing with the partnership as, or on behalf of, an adverse party without the informed consent of the other partners, and (3) to refrain from competing with the partnership without the informed consent of the other partners.
- The duty to refrain from competition is also found in agency law: “An agent is subject to a duty not to compete with the principal concerning the subject matter of the agency.” The UPA does not expressly impose on a partner a duty of loyalty.

Fact-based analysis:

- Moreover, the UPA requires that “every partner must account to the partnership for any benefit . . . derived by him without the consent of the other partners” in the conduct of the partnership.
- Bill’s competition with the partnership through his participation in B-XYZ Partnership without obtaining the consent of the other partners is a breach of his obligations.
- It is also possible to argue that Bill should have offered the business opportunity of manufacturing keyboards accommodating the disabled to ABD Partnership before entering into a new partnership with a competitor.
- A good argument can be made that as a part of Bill’s duty of loyalty, he should have first offered to enter into a partnership with ABD to manufacture the specialized keyboard.

Conclusion: Accordingly, the partnership may maintain an action against Bill for his breach of the duty of loyalty and Bill must account to the partnership for the profits he derived from that breach.

Question call(s): 1. Did Bill violate any duties to ABD Partnership by selling the surplus equipment to XYZ? Explain. | 2. What rights, if any, does ABD Partnership have in the patent for the special keyboard obtained by Bill? Explain. | 3. Did Bill breach any duties to ABD Partnership by entering into B-XYZ Partnership, and, if so, must he account to ABD Partnership for any portion of the profits received by B-XYZ Partnership derived from the sale of the computer keyboards designed to accommodate the disabled? Explain.

July 1998 — Question 2

Primary source subject: Agency & Partnership

Question summary: This question involves Sam, Jake, and Bill are partners in a dry cleaning business. At the time the partnership was created, the three executed a written partnership agreement. The core dispute asks May 1, Bill sent separate letters to Sam and Jake stating that Bill was "ending" the partnership. The letters stated that Bill would no longer be bound by any actions of Sam and Jake, demanded that Sam and Jake immediately cease... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- What effect do Bill's letters have, if any, on continuation of the partnership business and allocation of expenses, losses and profits?
- Is Bill liable in damages to Sam and Jake for sending the May 1 letters?

Relevant facts to use:

- Sam, Jake, and Bill are partners in a dry cleaning business.

Condensed sample-answer path:

1. Point One Bill's May 1 letters did not terminate the partnership, although the letters dissolved the

Short answer: Under the See UPA §31.

Rule(s):

- Under the UPA, winding-up (sometimes referred to as liquidation of the partnership) is the process that normally occurs between the dissolution and the termination of a partnership.
- Under the above principles, Bill's May 1 letters did not terminate the partnership, even though they purported to end it.
- Moreover, Bill will receive his share of the profits from the Hotel contract, and he will also remain liable for any expenses or losses incurred in the winding-up process, including the expenses of carrying out the Hotel contract (as opposed to losses resulting from new business), even if the losses are incurred after May 5.

Fact-based analysis:

- Dissolution of a partnership is defined by the UPA as "the change in the relation of the partners caused by any partner ceasing to be associated in the carrying on as distinguished from the winding- up of the business." UPA § 29.
- The partnership is not terminated by the dissolution, but rather "continues until the winding-up of partnership affairs is completed." UPA § 30.
- Thus, the terms "dissolution" and "termination," as used in the UPA, are not synonyms.
- Instead, the letters dissolved the partnership of Sam, Jake and Bill.

Conclusion: Moreover, Bill will receive his share of the profits from the Hotel contract, and he will also remain liable for any expenses or losses incurred in the winding-up process, including the expenses of carrying out the Hotel contract (as opposed to losses resulting from new business), even if the losses are incurred after May 5.

2. Point Two Bill is not liable to Sam and Jake for dissolving the partnership because the partnership

Short answer: A partner always has the power to dissolve the partnership.

Rule(s):

- A partner always has the power to dissolve the partnership.
- However, under the UPA a partner is liable for damages if he or she dissolves a partnership in contravention of the partnership agreement.

- A dissolution of a partnership does not contravene the agreement between the partners where the agreement does not specify a definite term or a particular undertaking for the partnership.

Fact-based analysis:

- For example, if the partnership agreement specifies a term of duration or a particular undertaking for the partnership, a dissolution before the expiration of the specified term or the accomplishment of the particular undertaking contravenes the partnership agreement.
- In those situations the partner has the power but not the legal right to dissolve the partnership.
- Such a partnership is often referred to as a partnership at will.
- The law is clear that a partner is not required to have cause to dissolve a partnership at will.

Conclusion: Because the dissolution is not wrongful, i.e., in contravention of the partnership agreement, Bill is not liable in damages for dissolving the partnership.

February 1999 — Question 2

Primary source subject: Agency and Partnership

Question summary: This question involves In 1992, XYZ limited partnership was formed in Central State by the proper filing of all necessary documents. XYZ's limited partnership agreement provided that it would engage in the purchase and sale of rare uncut blue diamonds. The core dispute asks What actions, if any, could GemCorp have taken before the sale to eliminate any potential liability it might have to the XYZ limited partners? Explain. 4. On what basis, if any, could Bill be found individually liable to the other limited... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Has a general partner of a limited partnership violated its duty of loyalty to the limited partners by entering into an interested transaction between itself and the limited partnership on terms less advantageous to the partnership than an arm'slength transaction would have been?
- Is the limited partners' claim of a general partner's breach of loyalty a derivative or a direct claim and, if derivative, what procedures must they follow to pursue that claim?
- Before the interested transaction occurs, can a general partner shield itself from liability by convincing the limited partners to amend the limited partnership agreement to expressly permit it to engage in interested transactions with XYZ by making full disclosure about the potential sale and obtaining the consent of the disinterested limited partners?
- Is an individual who is the sole officer, director, and shareholder of a corporate general partner also deemed to be a general partner of XYZ and therefore liable for any actions taken by the corporate general partner?

Relevant facts to use:

- In 1992, XYZ limited partnership was formed in Central State by the proper filing of all necessary documents.
- XYZ has one general partner, GemCorp (a properly organized corporation), and three limited partners, individuals named Bill, David, and Emily.
- In addition to being the general partner of XYZ, GemCorp operates a number of other businesses including one that purchases and sells rare gemstones.

- From 1992 until January 1996, XYZ built a successful diamond business and was a profitable and harmonious enterprise for all of the partners.

Condensed sample-answer path:

1. Point One GemCorp’s sale of the third lot of uncut blue diamonds was an interested trans-action and

Short answer: A general partner of a limited partnership has a fiduciary duty to the limited partners of the partnership similar to that which a partner of a general partnership has to the other general partners.

Rule(s):

- A general partner of a limited partnership has a fiduciary duty to the limited partners of the partnership similar to that which a partner of a general partnership has to the other general partners.
- Revised This fiduciary duty includes a duty of loyalty that historically is measured at a high standard.
- Generally, where a partner has a conflict of interest, he is obligated to resolve the conflict in favor of the partnership or to fully disclose the conflict and get the consent of the other partners.

Fact-based analysis:

- In this case, all partners in XYZ knew when the limited partnership was formed that GemCorp was in the business of buying and selling rare gemstones.
- The partners agreed in the partnership agreement that GemCorp would have the right to continue its gem business without offering XYZ any business opportunities.
- Therefore, GemCorp’s purchase of the three lots of diamonds and its sale of the first two lots to unrelated third parties was not a breach of its fiduciary duties to XYZ.
- However, since the XYZ limited partnership agreement did not expressly permit GemCorp to engage in business transactions with XYZ, GemCorp had a conflict of interest between its duties to XYZ and the limited partners and its own self-interest when it sold the third lot of diamonds to XYZ.

Conclusion: GemCorp will have the burden of demonstrating that the terms of the transaction are fair, such as would be negotiated by the parties to an arm’s-length transaction, unless it has obtained prior consent of the other limited partners. (See Point Three below.) In this situation, no grounds are provided which would support a defense by GemCorp that the terms of the sale were fair to XYZ.

2. Point Two The limited partners’ potential claim against GemCorp for breach of fiduciary duty is a de

Short answer: The limited partners’ claim is a derivative claim because the loss they suffer is derived from any loss suffered by XYZ.

Rule(s):

- If GemCorp has overcharged XYZ for the third lot of diamonds, this will reduce the value of the assets held by XYZ.
- A limited partner has the right to bring a derivative claim.
- However, the limited partner must be a partner both at the time of the conduct that is being challenged as well as at the time it files the lawsuit.

Fact-based analysis:

- Here, the limited partners are partners at the time the suit is brought and were partners when XYZ purchased the lot of blue diamonds from GemCorp.

Conclusion: Injury to the limited partners would be due to the resulting decrease in the value of their interests in XYZ.

3. Point Three If GemCorp had made full disclosure to the disinterested limited partners of all the rel

Short answer: GemCorp's sale of the blue diamonds to XYZ was not per se improper.

Rule(s):

- The XYZ limited partnership agreement is silent on whether GemCorp may engage in business transactions with XYZ.

Fact-based analysis:

- Unless limited by the partnership agreement, a partner has the same rights to transact business with the limited partnership as any person who is not a partner.
- Since the terms of GemCorp's sale to XYZ were much more favorable to GemCorp than GemCorp would have received in an arm's-length transaction, the transaction was improper.
- However, GemCorp could have eliminated its liability from the sale to XYZ of the blue diamonds for such a high price if, prior to the sale, it had disclosed the terms of the sale to the limited partners and obtained their consent either (1) to amend the limited partnership agreement to allow GemCorp to engage in transactions with XYZ on terms more favorable to GemCorp than it could have obtained in an arm's-length transaction; or (2) to consent to this particular transaction between GemCorp and XYZ on more favorable terms.
- 1989). (Note that a vote by the limited partners on a transaction between the limited partnership and its general partner does not expose the limited partners to any risk that they are controlling the business of the partnership.

Conclusion: However, if GemCorp wants to avoid later charges by the limited partners that they were deceived into voting in favor of the amendment, it would need to make full disclosure to the limited partners of the terms of the sale by GemCorp to XYZ of the third lot of uncut diamonds before the transaction was entered into.

4. Point Four Bill would not be liable merely due to his position as sole shareholder, director, and of

Short answer: Bill is the sole owner of, and controls, GemCorp, the general partner of XYZ.

Rule(s):

- In this case, Bill was the corporate officer who caused GemCorp to breach its fiduciary duties to XYZ limited partnership.

Fact-based analysis:

- As such, Bill effectively controls the business of XYZ in his capacity as corporate officer and shareholder of the general partner.
- However, RULPA expressly states that, with respect to claims by third parties, a limited partner will not be subject to the unlimited liability of a general partner solely by being an officer, director, or shareholder of a corporate general partner of the limited partnership.
- Since the other XYZ limited partners knew of the relationship between Bill and GemCorp, Bill should not have any personal liability as a general partner of XYZ by reason of his ownership and control of GemCorp.
- It is possible to argue that Bill would be personally liable on the theory that an officer of a corporation who commits a tort is personally liable to injured third parties.

Conclusion: It is possible to argue that Bill would be personally liable on the theory that an officer of a corporation who commits a tort is personally liable to injured third parties.

Question call(s): 1. On what basis, if any, could the XYZ limited partners challenge the actions of GemCorp in selling the blue diamonds to XYZ? Explain. | 2. Are the claims of the XYZ limited partners against GemCorp derivative or direct, and what procedural steps, if any, must they take prior to bringing a claim? Explain. | 3. What actions, if any, could GemCorp have taken before the sale to eliminate any potential liability it might have to the XYZ limited partners? Explain.

July 1999 — Question 2

Primary source subject: Agency and Partnership

Question summary: This question involves Susan is a talented furniture restorer. Benjamin is a wealthy furniture collector who enjoys buying and selling furniture. The core dispute asks Does Susan have the right to end her business relationship with Benjamin? Explain. 3. Assuming Susan has the right to end the business relationship, how should Benjamin's claims be resolved? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Was either a limited partnership or a general partnership formed by the oral agreement between Benjamin and Susan?
- Does Susan have the legal right to terminate the relationship with Benjamin?
- What elements of the partnership is Benjamin entitled to a share in if Susan terminates the relationship?

Relevant facts to use:

- Susan is a talented furniture restorer.
- Benjamin and Susan did not put their agreement in writing or take any other action to formalize it.
- The business has now become so successful that Susan will not need any additional capital from Benjamin.
- Susan has told Benjamin that she wants to end their business relationship.

Condensed sample-answer path:

1. Point One A general partnership was created by Benjamin and Susan's oral agreement.

Short answer: In order to form a limited partnership, a written certificate of limited partnership must be executed and filed with the Secretary of State.

Rule(s):

- In order to form a limited partnership, a written certificate of limited partnership must be executed and filed with the Secretary of State.

Fact-based analysis:

- Revised Since the relationship between Benjamin and Susan was not memorialized in writing, no limited partnership was formed.
- The subjective belief of the parties that they had formed a limited partnership is not relevant.

- The relationship that Benjamin and Susan formed was a general partnership.
- Unlike a limited partnership, there is no requirement that a general partnership agreement be in writing.

2. Point Two Susan has the legal right to cause the dissolution of the partnership.

Short answer: Susan has the right to dissolve the partnership because a partner always has such a right.

Rule(s):

- However, a partner's act of dissolution may be either a wrongful dissolution or a permitted action.
- Where the partnership agreement does not specify a definite term or a specified objective for the partnership to achieve during its operations, then dissolution does not contravene the partnership agreement.
- A partnership has been established for a particular undertaking if it has a stated purpose that can be achieved at a recognizable time, even if that time could not have been predicted when the partnership was established.

Fact-based analysis:

- Susan has the right to dissolve the partnership because a partner always has such a right.
- Although the purpose of the partnership was to restore and sell furniture, this is a continuous activity that does not constitute a particular undertaking.
- As a result, the partnership was a partnership at will.
- A partner is not required to have a reason to dissolve a partnership at will.

Conclusion: Therefore, Susan has not only the power but also the legal right to dissolve the partnership.

3. Point Three After dissolution, Benjamin is entitled to a distribution of partnership assets, which d

Short answer: When dissolution of a partnership is not wrongful or in contravention of the partnership agreement, the partnership property is applied to discharge the partnership's liabilities, and the surplus is paid to the partners.

Rule(s):

- When dissolution of a partnership is not wrongful or in contravention of the partnership agreement, the partnership property is applied to discharge the partnership's liabilities, and the surplus is paid to the partners.
- Under the UPA "[a]ll property originally brought into the partnership stock or subsequently acquired... on account of the partnership, is partnership property." UPA § 8(1).
- An argument that the tools were a contribution analogous to Benjamin's $50,000 capital contribution finds some support in the equivalent amounts involved.

Fact-based analysis:

- Here there are no partnership liabilities, so the issue is post-dissolution distributions under UPA § 40 or RUPA § 807(b).
- There being no contrary agreement of the parties, the partnership assets are to be distributed under UPA § 40(b).
- There are no outside or inside creditors, and Benjamin has already been reimbursed for his $50,000 capital contribution plus interest, so the partnership assets should be distributed as profits 50% to Benjamin and 50% to Susan.
- The issue is what assets of the business constitute partnership assets available for distribution to the partners.

Conclusion: Further, Susan will argue that under the terms of the oral partnership agreement, which Susan complied with, Benjamin's capital investment has been repaid in full, with interest, and Benjamin has no further legitimate claims upon the future earnings of Susan's personal efforts.

Question call(s): 1. Was Benjamin and Susan's business relationship a general partnership, a limited partnership, or neither? Explain. | 2. Does Susan have the right to end her business relationship with Benjamin? Explain. | 3. Assuming Susan has the right to end the business relationship, how should Benjamin's claims be resolved? Explain.

February 2000 — Question 2

Primary source subject: Agency & Partnership

Question summary: This question involves Dwight L.P. is a properly formed limited partnership created to purchase, renovate, and sell the historic Dwight Building in the downtown preservation district. The core dispute asks Can Able carry out its threat to dissolve the limited partnership, and, if so, what options, if any, do the limited partners have as a result? Explain. 3. Can the limited partners take each of the four actions listed above without exposing... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Relevant facts to use:

- Dwight L.P. is a properly formed limited partnership created to purchase, renovate, and sell the historic Dwight Building in the downtown preservation district.
- Initially, Able estimated that it would cost $10 million to purchase and renovate the Dwight Building in a way that would maintain its unique architectural elements.
- Now, one year after formation of Dwight L.P., the Dwight Building renovation project has run into financial difficulty.
- In the two weeks since the limited partners and Bank were informed of the financial situation, Bank, Able, and the limited partners have had a series of meetings.

Condensed sample-answer path:

1. Point One (33%) As general partner. Able had an obligation to inform the limited partners of the off

Short answer: A general partner of a limited partnership has fiduciary duties to the limited partners of the partnership similar to that which a partner of a general partnership has to the other general partners.

Rule(s):

- A general partner of a limited partnership has fiduciary duties to the limited partners of the partnership similar to that which a partner of a general partnership has to the other general partners.
- Revised These duties are the duty of care and the duty of loyalty.
- In addition, Able's failure to inform the limited partners of the offer to purchase the partnership's major asset was a violation of Able's general common-law fiduciary duty.

Fact-based analysis:

- First, if the limited partners had a right under the partnership agreement to approve or disapprove the sale, the failure violated the implied right to information under the (UPA § 18; RUPA § 403).
- Second, to the extent the offer was partnership property and Able would benefit from thwarting the sale, the withholding of information by Able violated its fiduciary duties under UPA § 21(1).

Conclusion: Second, to the extent the offer was partnership property and Able would benefit from thwarting the sale, the withholding of information by Able violated its fiduciary duties under UPA § 21(1).

2. Point Two (33%) Able can dissolve the limited partnership, but such a dissolution would be wrongful.

Short answer: A nonjudicial dissolution of a limited partnership can occur at a time specified in the limited partnership agreement, upon the happening of an event specified in the limited partnership agreement, or upon the written consent of all partners.

Rule(s):

- A nonjudicial dissolution of a limited partnership can occur at a time specified in the limited partnership agreement, upon the happening of an event specified in the limited partnership agreement, or upon the written consent of all partners.
- If Able wrongfully dissolves the limited partnership, the limited partners would have the right to wind up the limited partnership's affairs.
- "[T]he general partners who have not wrongfully dissolved a limited partnership or, if none, the limited partners, may wind up the limited partnership's affairs. . .

Fact-based analysis:

- In this case, the facts do not specify that the Dwight L P. partnership agreement provides for a time for dissolution.
- It does provide that on the sale of the Dwight Building, the partnership would terminate; however, this event has not occurred nor has the unanimous consent of the limited partners to the dissolution of the Dwight L.P. been obtained.
- Therefore, Able cannot properly dissolve the limited partnership.
- The general partner can withdraw, but the limited partners have 90 days in which to decide to continue the partnership.

Conclusion: It would be likely that if Able was required, in each instance, to defer to the approval of the limited partners in the partnership's dealings with such third parties, they could have a reasonable belief that the limited partners were controlling the business and acting as a general partner.

Question call(s): 1. Did Able have an obligation to inform the limited partners of Historical Society's offer? Explain. | 2. Can Able carry out its threat to dissolve the limited partnership, and, if so, what options, if any, do the limited partners have as a result? Explain. | 3. Can the limited partners take each of the four actions listed above without exposing themselves to unlimited liability? Explain.

February 2001 — Question 2

Primary source subject: Agency & Partnership

Question summary: This question involves Three siblings, Andrew, Brenda, and Charles, are equal partners in ABC Partnership, a general partnership, which owns and operates a 2,000-acre farm. ABC does not have a written partnership agreement. The core dispute asks Is Charles liable for any part of the unpaid balance on the seed? Explain. 2. Is Andrew entitled to reimbursement from the partnership or the partners for the down payment he made on the seed? Explain. 3. Is Andrew entitled to be paid for... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Is a general partner responsible for the debts of a general partnership if the partnership has insufficient funds to meet the debt, when the partners did not expressly authorize the debt?
- Is a general partner who advances his own funds to purchase goods for the partnership entitled to reimbursement from the partnership?
- Is a general partner who contributes more services to the general partnership than the other partners entitled to remuneration from the partnership?
- May a majority, but less than all, of the partners bind the general partnership to a transaction outside the ordinary course of business without approval of all of the partners?

Relevant facts to use:

- Three siblings, Andrew, Brenda, and Charles, are equal partners in ABC Partnership, a general partnership, which owns and operates a 2,000-acre farm.
- Andrew lives on the farm and manages its day-to-day operations.
- Andrew spent $10,000 to purchase a disease-resistant hybrid seed for the farm.
- Andrew spends about twice as much time as his siblings conducting ABC business.

Condensed sample-answer path:

1. Point One Partners are agents of a general partnership for the purpose of binding the partnership an

Short answer: Andrew purchased the special hybrid seed without obtaining the consent of the other partners.

Rule(s):

- “An act of a partner, including the execution of an instrument in the partnership name, for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership, binds the partnership, unless the partner had no authority to act for the partnership in the particular matter and the person with whom the partner was dealing knew or had received a notification that the partner lacked authority.” Id.
- Because Andrew has operated the farm on a dayto-day basis, the seed vendor could properly assume that the purchase of the seed was for carrying on the ordinary business of the partnership and that Andrew had authority to make the purchase.
- As a result, ABC is liable for payment of the seed.

Fact-based analysis:

- As a general rule, partners are agents of the partnership, and, as such, their acts (including entering into contracts) bind the partnership.
- Purchasing seed for a farm, including expensive disease-resistant seed, constitutes carrying on in the ordinary course of ABC’s partnership business.
- Partners are jointly responsible for the debts of a general partnership.
- Under RUPA, partners are jointly and severally liable for general partnership obligations.

Conclusion: As a result, ABC is liable for payment of the seed.

2. Point Two A partner who uses his own funds to purchase goods for the partnership is entitled to reim

Short answer: A partner is entitled to be repaid by the partnership for contributions to partnership property made by the partner individually.

Rule(s):

- A partner is entitled to be repaid by the partnership for contributions to partnership property made by the partner individually.
- Since, as previously stated, each partner is liable for the debts of the partnership, Charles and Brenda will also be personally liable for a portion of the down payment if the partnership is unable to reimburse Andrew.

Fact-based analysis:

- Since Andrew made the $7,000 down payment from his own funds as an advance to the partnership, ABC is obligated to repay him that amount.
- See also RUPA § 401(d)("A partnership shall reimburse a partner for an advance to the partnership beyond the amount of capital the partner agreed to contribute.").
- Although the facts imply that ABC does not have sufficient funds, Andrew still has the right to be reimbursed by the partnership.

Conclusion: Since, as previously stated, each partner is liable for the debts of the partnership, Charles and Brenda will also be personally liable for a portion of the down payment if the partnership is unable to reimburse Andrew.

3. Point Three Partners are not entitled to be paid for their services to a general partnership, unless

Short answer: Andrew claims that he is entitled to be paid by ABC for his services to the partnership because he contributed many more services than Brenda and Charles.

Rule(s):

- The UPA is explicit that the rights of a partner as stated in the Act, including the right to receive remuneration, may be changed by an agreement among the partners.
- If partners want to pay salaries, they must agree to do so.

Fact-based analysis:

- Andrew claims that he is entitled to be paid by ABC for his services to the partnership because he contributed many more services than Brenda and Charles.
- First, in the case of a winding up of the partnership, a surviving partner is entitled to reasonable compensation for services rendered in connection with winding up the business of the partnership.
- Since ABC is not winding up operations, this would not apply to Andrew's request.
- Here the partners had no express agreement to pay any remuneration to Andrew.

Conclusion: On that basis many courts would find that Andrew is not entitled to any compensation for his services to ABC.

4. Point Four All partners must consent to the land swap by ABC Partnership in order for it to be bindi

Short answer: As a general rule, matters outside the ordinary course of a partnership's business must be unanimously approved by the partners.

Rule(s):

- As a general rule, matters outside the ordinary course of a partnership's business must be unanimously approved by the partners.
- While a conveyance of land might be in the ordinary course of business when one partner had been given authority in the past to convey pieces of land, this was not the case here.
- Should XYZ claim Andrew had apparent authority to sell the land, that claim would fail because the transaction was not in the ordinary course of ABC's business.

Fact-based analysis:

- Because the transaction was not in the ordinary course of ABC's business and because it was not unanimously approved by the partners, Andrew's actions did not bind ABC.
- The nature of the transaction (i.e., not in the ordinary course of the partnership's business) put XYZ constructively on notice that Andrew alone might not have the authority to engage in the transaction.

Conclusion: Should XYZ claim Andrew had apparent authority to sell the land, that claim would fail because the transaction was not in the ordinary course of ABC's business.

Question call(s): 1. Is Charles liable for any part of the unpaid balance on the seed? Explain. | 2. Is Andrew entitled to reimbursement from the partnership or the partners for the down payment he made on the seed? Explain. | 3. Is Andrew entitled to be paid for the value of all or part of his services to ABC? Explain.

July 2001 — Question 1

Primary source subject: Agency & Partnership

Question summary: This question involves Principal is an antiques dealer. As is common in the antiques business, Principal acquires inventory by using a group of buyers to purchase antiques on his behalf. The core dispute asks Is Principal liable to: 1. Bellseller for the purchase of the church bell? Explain. 2. Tomeseller for the purchase of the book? Explain. 3. Lampseller for the purchase of the whale oil lamp? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Is a principal bound when an agent who has actual authority enters into an obligation apparently for the benefit of the principal but in fact for the benefit of a third party?
- Is a principal bound when an agent who has actual authority enters into an obligation in violation of an undisclosed limitation placed on the agent's authority by the principal?
- Is a principal bound when an agent whose actual authority has been terminated but who continues to have apparent authority enters into an obligation on behalf of the principal?

Relevant facts to use:

- Principal is an antiques dealer.
- Agent, one of Principal's buyers, was sent out to purchase antiques for Principal.
- Using Principal's credentials, Agent bought an antique church bell for $3,500 from Bellseller, who believed that Agent was acting on behalf of Principal.
- Agent had a written authorization from Principal to buy several books, including Looking Backward by Edward Bellamy.

Condensed sample-answer path:

1. Point One Principal is liable to Bellseller for the church bell. Principal is bound by Agent's purch

Short answer: There is no doubt that Principal is liable.

Rule(s):

- There is no doubt that Principal is liable.
- First, some jurisdictions would conclude that Agent had actual authority to bind Principal to the contract with Bellseller because Agent was expressly authorized by Principal to purchase the bell and the price that Agent agreed to pay was within the range authorized by Principal.
- Here, Bellseller had no knowledge that Agent was not acting for Principal's benefit, and as a result, Principal is liable to Bellseller for the price of the church bell. (In some jurisdictions, this same reasoning would be used to hold Principal liable on an "inherent authority" rationale.

Fact-based analysis:

- Moreover, because the contract entered into by Agent disclosed that Principal was Agent's principal, Bellseller knew that Agent was acting as agent for a third party.
- This makes Principal a disclosed principal who is "subject to liability upon a contract purported to be made on his account by an agent authorized to make it for the principal's benefit, although the agent acts for his own or another's improper purposes, unless the [third] party has notice that the agent is not acting for the principal's benefit." RESTATEMENT (SECOND) OF AGENCY § 165.
- State Bank of Stanley, 241 Kan.
- In this case, Principal provided Agent with written credentials which, when they were shown to Bellseller, caused Bellseller to believe that Agent was authorized to purchase the bell on behalf of Principal.

Conclusion: Consequently, Principal is liable for the contract made by Agent within the scope of his apparent authority.

2. Point Two Agent acted with actual authority to purchase the book, and with apparent authority becaus

Short answer: Principal specifically authorized Agent to buy the book, so Agent had actual authority to purchase the book on Principal's behalf.

Rule(s):

- Principal specifically authorized Agent to buy the book, so Agent had actual authority to purchase the book on Principal's behalf.
- However, Agent exceeded the limitation on price imposed by Principal, and therefore exceeded the scope of his actual authority.
- Although Agent is liable to Principal for breach of duty to obey instructions, Principal will nevertheless be liable to Tomeseller.

Fact-based analysis:

- Agent showed the written authorization to Tomeseller, and the purchase contract identified Principal as the principal, so Principal was a disclosed principal, and Agent had apparent authority.
- State Bank of Stanley, 241 Kan.
- Because the price limitation was not included on the written authorization shown to Tomeseller, she was unaware of the limitation.
- "A disclosed or partially disclosed principal authorizing an agent to make a contract, but imposing upon him limitations as to incidental terms intended not to be revealed is subject to liability upon a contract made in violation of such limitations with a third person who has no notice of them." RESTATEMENT (SECOND) OF AGENCY § 160.

Conclusion: Therefore, Principal remains liable to Tomeseller for payment of the book.

3. Point Three Because Agent was acting with apparent authority, even though Principal had terminated a

Short answer: Principal had terminated the agency relationship by delivery of the letter to Agent, so Agent did not have actual authority to buy the lamp.

Rule(s):

- Principal had terminated the agency relationship by delivery of the letter to Agent, so Agent did not have actual authority to buy the lamp.
- Agent did, however, continue to have apparent authority.
- Once apparent authority is created, it can be terminated only when the third party has notice of termination or when the authority is terminated due to impossibility or lack of capacity.

Fact-based analysis:

- Since Lampseller had no notice that Agent's credentials were no longer valid, the apparent authority continued as to Lampseller and, as a result, Principal is liable for payment to Lampseller for the $5,000 purchase price.

Conclusion: Since Lampseller had no notice that Agent's credentials were no longer valid, the apparent authority continued as to Lampseller and, as a result, Principal is liable for payment to Lampseller for the $5,000 purchase price.

Question call(s): Is Principal liable to: | 1. Bellseller for the purchase of the church bell? Explain. | 2. Tomeseller for the purchase of the book? Explain.

February 2002 — Question 3

Primary source subject: Agency & Partnership

Question summary: This question involves Question 3 Several years ago, Bill, Carl, Donna, and several other participants formed a limited partnership named Transitions L.P., which operated a career counseling business. The limited partnership was properly formed, a written limited partnership agreement was properly executed, and all... The core dispute asks Can Carl and the other limited partners decide how the day-to-day business of Transitions is to be conducted? Explain. 2. What rights, if any, does Carl have to obtain information from Bill about the business operations and records of... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Can the limited partners decide how the day-to-day business of a limited partnership is to be conducted?
- What rights does a limited partner have to obtain information from the general partner about the limited partnership's affairs?
- What rights does a purchaser of a limited partnership interest have in the limited partnership if such purchase is not approved by the partnership?

Relevant facts to use:

- Question 3
- Several years ago, Bill, Carl, Donna, and several other participants formed a limited partnership named Transitions L.P., which operated a career counseling business.

- Bill is the sole general partner in Transitions.
- Carl decided that the limited partners should reach a consensus on how Transitions' day-to-day business should be conducted and then force Bill to follow their instructions.

Condensed sample-answer path:

1. Point One: Carl and the other limited partners have no right to determine how the day-to-day busines

Short answer: A limited partnership is a partnership which has one or more general partners and one or more limited partners.

Rule(s):

- A limited partnership is a partnership which has one or more general partners and one or more limited partners.
- A general partner of a limited partnership generally has the powers and the liabilities of a partner in a general partnership.

Fact-based analysis:

- Management of a limited partnership is entrusted to the general partners, who are personally liable for the obligations of the business.
- 1993) ("The defendant is the general partner of this partnership and has complete control over the management and affairs of this business.").
- By comparison, limited partners generally have no control over how the day-to-day business of the limited partnership is conducted.
- Supp. at 1415 ("The plaintiff is the limited partner, who has no say or control as to how the partnership is run."); In re the Cincinnatian, Ltd., 143 B.R.

Conclusion: Therefore, Bill, as the sole general partner, has exclusive control over the daily management of Transitions, and Carl and the other limited partners cannot decide how the day-to-day business of Transitions is to be conducted.

2. Point Two: Carl, as a limited partner, has the right to inspect various records of Transitions and t

Short answer: A limited partnership is required to keep specified records at its office, including the names and addresses of each partner, any income tax returns or reports for the three most recent years, and any financial statements for the three most recent years.

Rule(s):

- A limited partnership is required to keep specified records at its office, including the names and addresses of each partner, any income tax returns or reports for the three most recent years, and any financial statements for the three most recent years.
- Upon reasonable request, any limited partner may inspect and copy during ordinary business hours any of the records required to be kept by the limited partnership.

Fact-based analysis:

- In addition, any limited partner has the right to obtain from the general partners upon reasonable demand "true and full information regarding the state of the business and financial condition of the limited partnership" and "other information regarding the affairs of the limited partnership as is just and reasonable." RULPA § 305.

- Therefore, Carl has the right to inspect the records that Transitions is required to keep and the right to obtain from Bill, the general partner, true and full information regarding the business and financial condition of Transitions.

Conclusion: Therefore, Carl has the right to inspect the records that Transitions is required to keep and the right to obtain from Bill, the general partner, true and full information regarding the business and financial condition of Transitions.

3. Point Three: Edward's purchase of Donna's limited partnership interest in Transitions did not result

Short answer: A limited partnership interest is personal property and, except as provided in the partnership agreement, is freely assignable in whole or in part.

Rule(s):

- A limited partnership interest is personal property and, except as provided in the partnership agreement, is freely assignable in whole or in part.
- In other words, a limited partner may only assign his or her economic rights in the limited partnership.
- An assignee of a limited partnership interest may be admitted as a limited partner to the partnership only if all partners have consented to such admission, unless the partnership agreement expressly gives the transferring partner the right to admit a new partner without approval of the other partners.

Fact-based analysis:

- However, assignment of a limited partnership interest does not entitle the assignee to become a limited partner or to exercise any of the rights of a limited partner.
- Edward therefore did not become a limited partner in Transitions upon Donna's sale of her limited partnership interest to Edward.
- As a result, Edward cannot exercise any of the rights of a limited partner, such as the right to inspect records (RULPA §§ 105, 305), the right to obtain information regarding the limited partnership (RULPA § 305), the right to seek a judicial dissolution (RULPA § 802), or the right to bring a derivative action (RULPA § 1001).
- On the other hand, the assignment of Donna's limited partnership interest to Edward did transfer Donna's economic rights in Transitions to Edward.

Conclusion: Consequently, Edward is entitled to any distributions from Transitions to which Donna would have been entitled.

Question call(s): 1. Can Carl and the other limited partners decide how the day-to-day business of Transitions is to be conducted? Explain. | 2. What rights, if any, does Carl have to obtain information from Bill about the business operations and records of Transitions? Explain. | 3. What rights, if any, did Edward acquire as a purchaser of Donna's interest in Transitions? Explain.

July 2002 — Question 6

Primary source subject: Agency & Partnership

Question summary: This question involves Question 6 Sunrise Lodge is a corporation that develops and operates luxury resort hotels. Sunrise recently began constructing a hotel in East Beach, a beach town on the Atlantic coast of the United States. The core dispute asks Is Adam liable to Sunrise as a result of the contracts with Tahini and Moby?

Explain. 3. May Sunrise terminate Adam's agency before the end of their one-year contract term without incurring liability to Adam? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- (a) Did Adam act with either actual or apparent authority in contracting for the Tahitian lobby decorations?
- (b) Did Adam act with either actual or apparent authority in contracting with Moby for the guest room furnishings?
- Does Sunrise have a claim for indemnification from Adam for either of the contracts for which Sunrise is liable?
- Can Sunrise terminate Adam's agency prior to the expiration of the one- year term, and if so, is Sunrise liable to Adam for damages based on the early termination?

Relevant facts to use:

- Question 6
- Sunrise Lodge is a corporation that develops and operates luxury resort hotels.
- Sunrise hired Adam to be its interior design agent on the East Beach project.
- Adam has the discretion to make selections for interior floor and wall coverings, works of art, furniture, plumbing fixtures, and lighting fixtures for East Beach hotel, provided that (a) the cost of such purchases does not exceed the budgeted amounts listed in Exhibit A, (b) all purchases will be made from local vendors, and (c) the items selected are within the quantity and style guidelines described in Exhibit B.

Condensed sample-answer path:

1. Point One(a): Sunrise is liable on the contract for the purchase of the Tahitian decorations because

Short answer: Adam had no actual authority to purchase the Tahitian lobby items on Sunrise's behalf.

Rule(s):

- Adam had no actual authority to purchase the Tahitian lobby items on Sunrise's behalf.
- Under the Restatement (Second) of Agency, actual "authority to do an act can be created by written or spoken words or other conduct of the principal which, reasonably interpreted, causes the agent to believe that the principal desires him so to act on the principal's account." Sunrise made it clear to Adam that the items had to be within the style guidelines described in Exhibit B.
- The Tahitian items were inconsistent with the guidelines, and thus Adam had no actual authority to purchase them.

Fact-based analysis:

- As a result, it was reasonable for Tahini to conclude that Adam acted with authority when he ordered the decorations.
- Since Adam acted with apparent authority, Sunrise is liable to Tahini.

Conclusion: Since Adam acted with apparent authority, Sunrise is liable to Tahini.

2. Point One(b): Adam acted with actual authority in contracting with Moby for the guest room furnishin

Short answer: When Adam contracted with Moby for the guest room furnishings, he was within the budget and style limitations required by Sunrise and Moby was a local supplier.

Rule(s):

- When Adam contracted with Moby for the guest room furnishings, he was within the budget and style limitations required by Sunrise and Moby was a local supplier.
- Therefore, he acted within the scope of the actual authority granted by Sunrise.
- Because Adam acted within the scope of the grant of actual authority, Sunrise is liable on the contract to Moby for the guest room furnishings.

Conclusion: Because Adam acted within the scope of the grant of actual authority, Sunrise is liable on the contract to Moby for the guest room furnishings.

3. Point Two: Sunrise has a claim against Adam for the amount of Sunrise's liability to Tahini but does

Short answer: Sunrise has a claim against Adam for the amount of its liability to Tahini because Adam did not act within the scope of his actual authority and, therefore, breached his duty to follow directions.

Rule(s):

- Sunrise has a claim against Adam for the amount of its liability to Tahini because Adam did not act within the scope of his actual authority and, therefore, breached his duty to follow directions.
- Sunrise has no claim against Adam for reimbursement of its liability to Moby for guest room furnishings because Adam acted within the scope of his grant of authority.

4. Point Three: Sunrise can terminate Adam's agency at any time and end Adam's authority to bind Sunris

Short answer: Although the general rule is that authority conferred for a specific time terminates at the expiration of the period, Restatement (Second) of Agency §§ 105 and 118 provide that: "[a]uthority terminates if the principal . . . manifests to the [agent] dissent to its continuance." Therefore, Sunrise may terminate Adam as its agent at any time, including before the end of the one-year term.

Rule(s):

- Although the general rule is that authority conferred for a specific time terminates at the expiration of the period, Restatement (Second) of Agency §§ 105 and 118 provide that: "[a]uthority terminates if the principal . . . manifests to the [agent] dissent to its continuance." Therefore, Sunrise may terminate Adam as its agent at any time, including before the end of the one-year term.
- However, the principal "has a duty not to repudiate or terminate the employment in violation of the contract of employment." In such a situation, the principal may be liable to the agent for damages.
- First, if a termination is based upon the agent's breach of contract, then the principal has an offset against the agent's damages.

Fact-based analysis:

- The principal has the power to terminate the agency even in violation of the agency contract: "The principal has power to revoke . . . although doing so is in violation of a contract between the parties . . ." b.
- Given Adam's deviation from the terms of his contract with Sunrise, Adam is not likely to recover from Sunrise for early termination.
- Second, "[a] principal is privileged to discharge before the time fixed by the contract of employment an agent who has committed such a violation of duty that his conduct constitutes a material breach of contract." That appears to be the case in this situation.

Conclusion: Given Adam's deviation from the terms of his contract with Sunrise, Adam is not likely to recover from Sunrise for early termination.

Question call(s): 1. On what agency principles, if any, is Sunrise liable to Tahini and Moby on their respective contracts? Explain. | 2. Is Adam liable to Sunrise as a result of the contracts with Tahini and Moby? Explain. | 3. May Sunrise terminate Adam's agency before the end of their one-year contract term without incurring liability to Adam? Explain.

February 2003 — Question 4

Primary source subject: Agency & Partnership

Question summary: This question involves Question 4 Lessor owns and manages apartment buildings in the town of Utopia. Handy is the sole proprietor and only employee of a small business called "Rapid Repairs." Most of the income from this business is generated by making small household repairs for homeowners and apartment dwellers in… The core dispute asks The Lessor/Handy contract further provides that Handy: • may perform similar work on other apartment buildings, but may not perform work "on the side" for Lessor's tenants in Lessor's buildings; • must provide his own tools; • may not… Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- (a) Does Lessor exercise sufficient control over Handy to establish Handy as Lessor's "servant" so that Lessor is liable for Handy's torts?
- (b) If Handy is Lessor's servant, is Handy's conduct within the scope of employment?
- If Handy is not a servant, did Tenant reasonably rely upon Handy's apparent authority to install an electrical outlet so that Lessor is nonetheless liable for Handy's tort?

Relevant facts to use:

- Question 4
- Lessor owns and manages apartment buildings in the town of Utopia.
- Handy is the sole proprietor and only employee of a small business called "Rapid Repairs." Most of the income from this business is generated by making small household repairs for homeowners and apartment dwellers in Utopia.
- One year ago, Lessor contracted for an indefinite period with Handy to perform repair work at several apartment units that Lessor owns in Utopia.

Condensed sample-answer path:

1. Point One(a): The relationship between Handy and Lessor may be a master-servant relationship such th

Short answer: A master is liable for the torts of the master's servants committed while acting in the scope of their employment.

Rule(s):

- A master is liable for the torts of the master's servants committed while acting in the scope of their employment.
- Note: The Restatement (Third) of Agency has adopted "Employer-Employee" language in place of the traditional "Master-Servant" terminology and applicants may of course use this newer terminology.

- The Restatement (Second) of Agency § 2(2) provides that a “servant is an agent employed by a master to perform service in his affairs whose physical conduct in the performance of the service is controlled or is subject to the right to control by the master.” Conversely, the Restatement (Second) of Agency § 2(3) provides that “an independent contractor is a person who contracts with another to do something for him but who is not controlled by the other nor subject to the other’s right to control with respect to his physical conduct in the performance of the undertaking.” The These factors are: (a) the extent of control which, by the agreement, the master may exercise over the details of the work; (b) whether or not the one employed is engaged in a distinct occupation or business; (c) the kind of occupation, with reference to whether, in the locality, the work is usually done under the direction of the employer or by a specialist without supervision; (d) the skill required in the particular occupation; (e) whether the employer or the workman supplies the instrumentalities, tools, and the place of work for the person doing the work; (f) the length of time for which the person is employed; (g) the method of payment, whether by the time or by the job; (h) whether or not the work is a part of the regular business of the employer; (i) whether or not the parties believe they are creating the relation of master and servant; and (j) whether the principal is or is not in business.

Conclusion: Several factors suggest that Handy should be considered a servant of Lessor.

2. Point One(b): If Handy is a servant, his actions were within the scope of employment because, althou

Short answer: Conduct is within the scope of employment if the conduct is of the “same general nature authorized or incidental to the conduct authorized.” Factors examined in determining whether conduct is within the scope of employment include whether the conduct is the kind the servant is employed to perform; whether it occurs substantially within the authorized time and space; and whether it was performed, at least in part, to serve the master.

Rule(s):

- A key fact that points to the conclusion that adding the electrical outlet was incidental to the scope of employment is the fact that Handy did the electrical work while providing Tenant with authorized services.

Fact-based analysis:

- See In this case, Handy was not authorized to add the electrical outlet as Handy’s contract with Lessor expressly prohibited him from doing electrical work.
- It also prohibited him from doing work “on the side” for a tenant.

Conclusion: These factors include: (a) whether or not the act is one commonly done by such servants; (b) the time, place and purpose of the act; (c) the previous relations between the master and the servant; (d) the extent to which the business of the master is apportioned between different servants; (e) whether or not the act is outside the enterprise of the master or, if within the enterprise, has not been entrusted to any servant; (f) whether or not the master has reason to expect that such an act will be done; (g) the similarity in quality of the act done to the act authorized; (h) whether or not the instrumentality by which the harm is done has been furnished by the master to the servant; (i) the extent of departure from the normal method of accomplishing an authorized result; and (j) whether or not the act is seriously criminal.

3. Point Two: Even if Handy is not a servant, or is a servant not acting within the scope of employment

Short answer: Restatement (Second) of Agency § 265 sets out the general rule: “(1) A master or other principal is subject to liability for torts which result from reliance upon, or belief in, statements or other conduct within an agent’s apparent authority.” Section 265(2) conditions this liability upon reliance.

Rule(s):

- Restatement (Second) of Agency § 265 sets out the general rule: “(1) A master or other principal is subject to liability for torts which result from reliance upon, or belief in, statements or other conduct within an agent’s apparent authority.” Section 265(2) conditions this liability upon reliance.
- An agent is clothed with apparent authority when a principal “by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third party to believe that the principal consents to have the act done on his behalf by the person purporting to act for him.” The facts indicate that Lessor clothed Handy with apparent authority by advising tenants to call the “Lessor’s Repair Line” when they needed repairs, and then using Handy’s business phone number as the “Lessor’s Repair Line.” The act of using Handy’s number reasonably caused Tenant to believe that Handy was authorized by Lessor to act on Lessor’s behalf.
- Arguably, Tenant did not reasonably rely on Handy’s apparent authority because Tenant was told that adding an electrical outlet was an improvement, not a repair, and Handy made repairs.

Fact-based analysis:

- There are no facts to suggest that Tenant knew or could expect to know that a person authorized to make general repairs was prohibited by contract from adding an electrical outlet.

Conclusion: It is not unreasonable to believe that the same person designated to make repairs would also make improvements.

July 2003 — Question 5

Primary source subject: Agency & Partnership

Question summary: This question involves Question 5 Adam, Barbara, and Carl are partners in a beverage distribution business. They have no written partnership agreement. The core dispute asks Is the partnership bound by the contract that Carl signed? Explain. 2. Can the partnership recover from Carl any loss on the contract with Jane? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Under the theory of apparent authority, is a partnership bound by a contract entered into by a partner when that partner lacked actual authority?
- Is a partner liable to the partnership for breach of fiduciary duties when the partner enters into a contract against the other partners’ instructions and without providing complete information to his partners?

Relevant facts to use:

- Question 5
- Adam, Barbara, and Carl are partners in a beverage distribution business.
- A number of beverage distribution businesses have expanded into the pinball and video game machine business.
- When Carl met with Jane, she said that she owned 127 machines located in 72 bars and restaurants.

Condensed sample-answer path:

1. Point One: Although Carl lacked actual authority to enter into the contract, the partnership is boun

Short answer: Carl's Actual Authority: Each partner is entitled to participate equally "in the management and conduct of the partnership business." The rules of partnership management provide for majority rule on matters arising in the ordinary course and unanimous rule on matters arising out of the ordinary course of business.

Rule(s):

- Carl's Actual Authority: Each partner is entitled to participate equally "in the management and conduct of the partnership business." The rules of partnership management provide for majority rule on matters arising in the ordinary course and unanimous rule on matters arising out of the ordinary course of business.
- Carl lacked actual authority to sign the contract binding the partnership because Adam and Barbara expressly instructed Carl "not to finalize a deal with Jane without first discussing the terms with them." The express instruction from Adam and Barbara "not to finalize" restricted Carl's actual authority.
- Therefore, Carl lacked actual authority and the partnership is not bound on an actual authority basis.

Fact-based analysis:

- In this three-partner partnership, Carl lacked unanimous or majority approval to proceed beyond investigating the opportunity.
- Carl's Apparent Authority: As a partner, Carl is an agent of the partnership.
- "An act of a partner . . . for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership binds the partnership, unless the partner had no authority to act for the partnership in the particular matter and the person with whom the partner is dealing knew . . . the partner lacked authority." RUPA § 301 (1997).
- Thus, two questions arise: (a) whether Carl had apparent authority to enter into purchase agreements on behalf of the partnership, and (b) whether the purchase of pinball and video machines was within the ordinary course of the partnership's business.

Conclusion: Thus, even if the business of this partnership had been limited to beverage distribution, it is arguable that the supply of other goods and services to bars and restaurants, including game machines, is a "business of the kind carried on by the partnership" and is therefore within the "nature of the business" of this partnership.

2. Point Two: Carl is liable to the partnership for any loss arising from the contract with Jane becaus

Short answer: A partner is an agent of the partnership and owes duties to the partnership and the other partners.

Rule(s):

- A partner is an agent of the partnership and owes duties to the partnership and the other partners.
- When a partner violates a duty, the partner is liable to the partnership and other partners for the resulting loss.
- Although the rationale differs under the UPA and the RUPA, under either statute, Carl is liable to the partnership for the loss resulting from his breach of duty.

Fact-based analysis:

- Carl violated his duties to the partnership and the other partners when he entered into the contract in violation of his instructions and without discussing the terms with Adam and Barbara.
- Carl breached several duties to the partnership.
- First, under the common law and the UPA, Carl is an agent of the partnership and owes a duty of obedience to his other partners, including a duty to follow reasonable instructions.

- See Carl breached this duty by failing to follow Adam and Barbara's instruction that he not enter into any contract with Jane unless he first discussed the terms with them. (In a jurisdiction where the RUPA is applicable, one could also argue that this failure to follow instructions was "intentional misconduct" and a breach of Carl's duty of care.

Conclusion: He is therefore liable to the partnership for the losses resulting from either breach.

Question call(s): 1. Is the partnership bound by the contract that Carl signed? Explain. | 2. Can the partnership recover from Carl any loss on the contract with Jane? Explain.

February 2004 — Question 6

Primary source subject: Agency & Partnership

Question summary: This question involves Question 6 One year ago, Randy and Sandy formed a partnership to manufacture widgets. They did not enter into a written partnership agreement. The core dispute asks What is the effect of Randy's statement, "I don't want to do this anymore. I am quitting this partnership"? Explain. 2. Is the partnership bound by the contract with Barney? Explain. 3. What contribution, if any, can Sandy claim from Randy... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Does the statement "I don't want to do this anymore. I am quitting this partnership," made by one partner, dissolve an "at will" partnership?
- May a partner bind a partnership to a contract made after dissolution?
- What is a partner's liability for partnership obligations?

Relevant facts to use:

- Question 6
- One year ago, Randy and Sandy formed a partnership to manufacture widgets.
- The widget market has since declined, and business has been slow.
- The next day, Barney, a widget broker, met with Sandy at the widget factory.

Condensed sample-answer path:

1. Point One: Randy's statement "I don't want to do this anymore. I am quitting this partnership," diss

Short answer: The facts do not indicate that the partnership had a definite term or limited undertaking.

Rule(s):

- Any partner may dissolve an "at will" partnership by his or her express will.
- Under the Uniform Partnership Act (UPA), dissolution occurs when the parties cease to associate in carrying on the business together.
- When Randy told Sandy "I don't want to do this anymore.

Fact-based analysis:

- The facts do not indicate that the partnership had a definite term or limited undertaking.

- Therefore, this was an “at will” partnership.
- See UPA ' 29 (“The dissolution of a partnership is the change in the relation of the partners caused by any partner ceasing to be associated in the carrying on as distinguished from the winding up of the business.”).
- “On dissolution the partnership is not terminated but continues until the winding up of partnership affairs is completed.” UPA ' 30.

Conclusion: Therefore, under RUPA ' 801(1) Randy’s statement dissolves the partnership and the business must be wound up.

2. Point Two: The partnership is probably bound by Sandy’s contract with Barney, even though it occurre

Short answer: Under the UPA, upon dissolution, a partner’s actual authority to bind the partnership terminates except as is necessary to wind up the business.

Rule(s):

- Under the UPA, upon dissolution, a partner’s actual authority to bind the partnership terminates except as is necessary to wind up the business.
- When Randy dissolved the partnership (see Point One, above), Sandy’s actual authority to enter into a contract for new business ended.
- Under the RUPA, upon dissolution, a “partnership is bound by a partner’s act after dissolution that . . . is appropriate for winding up the partnership business.” RUPA ' 804.

Fact-based analysis:

- The contract with Barney was for new business.
- As indicated above, the contract with Barney was for new business.
- There is an exception under RUPA ' 803(c) that permits a partner who has not wrongfully dissociated to preserve the partnership business as a going concern for a reasonable period of time.
- The contract with Barney was a long-term contract (three years).

Conclusion: Therefore, the partnership is probably bound by Sandy’s contract with Barney.

3. Point Three: Because there is no agreement to the contrary, when Sandy paid $30,000 to the trade cre

Short answer: When Sandy paid the entire $30,000 debt to the trade creditors, she became entitled to contribution of $15,000 from Randy.

Rule(s):

- When Sandy paid the entire $30,000 debt to the trade creditors, she became entitled to contribution of $15,000 from Randy.
- See UPA ' 18(a) (“Each partner shall . . . share equally in the profits . . . and must contribute towards the losses . . . according to his share in the profits.”); RUPA ' 401(b) (“Each partner is entitled to an equal share of the partnership profits and is chargeable with a share of the partnership losses in proportion to the partner’s share of the profits.”).

Fact-based analysis:

- Regardless of the fact that Randy contributed twice as much capital ($10,000) as Sandy ($5,000) to the partnership, the facts indicate that they shared profits equally.
- Because they did not agree otherwise, Randy and Sandy would share losses in the same ratio as they shared profits.

Conclusion: Because they did not agree otherwise, Randy and Sandy would share losses in the same ratio as they shared profits.

Question call(s): 1. What is the effect of Randy's statement, "I don't want to do this anymore. I am quitting this partnership"? Explain. | 2. Is the partnership bound by the contract with Barney? Explain. | 3. What contribution, if any, can Sandy claim from Randy for Sandy's $30,000 payment to trade creditors? Explain.

July 2004 — Question 5

Primary source subject: Agency & Partnership

Question summary: This question involves Question 5 Best Care Hospital, one of five hospitals in City, operates the largest emergency room in City. Best Care advertises extensively about the quality of care provided in its emergency room. The core dispute asks Is Owen an independent contractor or servant (employee) of Best Care? Explain. 2. Is Best Care liable to Vision for breach of contract? Explain. 3. Assuming Owen is an independent contractor, is Best Care liable to Anita's estate for... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Is Owen an independent contractor or a servant (employee) of Best Care?
- Did Owen have actual or apparent authority to bind Best Care to the contract to purchase the X-ray machine?
- Is Best Care liable to Anita's estate for Owen's negligence on an apparent (ostensible) agency theory?

Relevant facts to use:

- Question 5
- Best Care Hospital, one of five hospitals in City, operates the largest emergency room in City.
- 1.
- Three months ago, Owen, a local orthopedist and one of the doctors with whom Best Care contracts, ordered a portable X-ray machine costing $25,000 from Vision, a company located in a town 450 miles from City.

Condensed sample-answer path:

1. Point One: Owen was probably an independent contractor and not an employee of Best Care, but the fac

Short answer: Owen is either an independent contractor or a servant (employee).

Rule(s):

- He may or may not be an agent." RESTATEMENT (SECOND) OF AGENCY § 2(3).
- A number of factors are relevant in distinguishing an independent contractor from a servant.
- The crucial factor is the extent of control that the employer may exercise over the details of the work.

Fact-based analysis:

- Here, most of the factors suggest that Owen is an independent contractor and not an employee or servant of Best Care.
- In particular items 1, 2, and 5 of the contract favor characterizing Owen as an independent contractor, while items 4 and 6 of the contract indicate some level of oversight and control on the part of Best Care.

2. Point Two: Owen had neither actual nor apparent authority to bind Best Care to the contract to purch

Short answer: Agency arises where one person consents that another shall act on his behalf and, at least as respects matters within the agency, subject to his control.

Rule(s):

- Actual authority arises where the principal communicates the authority to act to the agent.
- A principal is bound by contracts entered into between an agent with actual authority and a third party.
- Item 3 of the contract provides that "[e]ach doctor is authorized to purchase supplies and equipment for Best Care's emergency room from a list of approved vendors located in City and within Best Care's price guidelines." This contract provision gave Owen actual authority to buy equipment for Best Care so long as it was within specified price guidelines from suppliers located in City for Best Care's account.

Fact-based analysis:

- Therefore, Best Care is not liable under the contract because Owen did not have actual authority.

Conclusion: There are no facts to suggest that Best Care made any representations that would create a reasonable basis for Vision to believe that Owen was authorized to purchase the X-ray machine.

3. Point Three: Even if Owen is an independent contractor, Best Care is liable for Owen's negligence if

Short answer: While a master is liable for the torts of its servant (employee) conducted within the scope of employment, a principal is not necessarily liable for the torts of its independent contractor agent.

Rule(s):

- While a master is liable for the torts of its servant (employee) conducted within the scope of employment, a principal is not necessarily liable for the torts of its independent contractor agent.
- A principal, however, may be estopped from denying liability for the torts of its independent contractor if the principal has created indicia of apparent authority.
- 1978) (The hospital may be liable under the "holding out" theory so long as the hospital acted in some way that leads the patient to a reasonable belief that he is being treated by a hospital employee).

Fact-based analysis:

- RESTATEMENT (SECOND) OF AGENCY § 267 provides that "one who represents that another is his servant or other agent and thereby causes a third person justifiably to rely upon the care or skill of such apparent agent is subject to liability to the third person for harm caused by the lack of care or skill of the one appearing to be a servant or other agent as if he were such." Here, Best Care publicly advertised, on billboards strategically placed throughout City, that people should come to its emergency room because "Best Care's emergency room doctors are the absolute best and will really care for you." Anita apparently saw and believed the slogan on the billboards because she expressly requested the ambulance driver to take her to Best Care because "Best Care's emergency room doctors are the absolute best." It would be reasonable for a prospective patient to conclude, based on the billboards, that all doctors in Best Care's emergency room are employees of Best Care.

Conclusion: However, the usual tort and agency law definitions of ultrahazardous activity would not cover surgery, and there is no line of authority holding that a doctor's performance of surgery falls within this rule.

Question call(s): 1. Each doctor is an "independent contractor," not an "agent/employee," and may conduct a private practice but may not work in any other emergency room; 2. Each doctor is responsible for the manner in which he or she provides medical care and for the purchase of malpractice insurance; 3. Each doctor is authorized to purchase supplies and equipment for Best Care's emergency room from a list of approved vendors located in City and within Best Care's price guidelines; 4. Each doctor is periodically reviewed by Best Care's governing board to assure that each doctor provides quality care; 5. Each doctor independently bills patients for services provided; and 6. All emergency services are performed in the Best Care emergency room using supplies and equipment provided by Best Care. | 1. Is Owen an independent contractor or servant (employee) of Best Care? Explain. | 2. Is Best Care liable to Vision for breach of contract? Explain.

February 2005 — Question 7

Primary source subject: Agency & Partnership

Question summary: This question involves Question 7 For many years, Ruth owned and operated a restaurant as a sole proprietorship doing business as (d/b/a) Ruth's Family Restaurant. In 2001, Ruth sold the assets of the restaurant to Scott. The core dispute asks Is Scott liable to Wholesale? Explain. 2. Is Scott liable to Nora? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- What is the nature of the legal relationship between Scott and Ruth?
- Does an agent have actual authority to bind an undisclosed principal to contracts that are made in violation of the principal's instructions to the agent?
- Does an agent have apparent authority to bind an undisclosed principal to contracts that are made in violation of the principal's instructions to the agent?
- Does an agent have inherent agency power to bind an undisclosed principal to contracts that are made in violation of the principal's instructions to the agent?

Relevant facts to use:

- Question 7
- For many years, Ruth owned and operated a restaurant as a sole proprietorship doing business as (d/b/a) Ruth's Family Restaurant.
- Prior to Scott's purchase of the restaurant, Ruth had purchased supplies from Wholesale Restaurant Supply Co. (Wholesale), always signing the contracts as "Ruth, d/b/a Ruth's Family Restaurant." Following Scott's purchase of the restaurant, Scott instructed Ruth in very clear terms not to make any purchases of restaurant supplies from Wholesale in the future.
- In 2003, Ruth hired Nora, her niece, as assistant manager of the restaurant under a written employment contract for a 20-year term.

Condensed sample-answer path:

1. Point One: Ruth was Scott's general agent for the operation of the restaurant. Because the agency wa

Short answer: for Scott, having been authorized, as manager of the restaurant, to conduct a series of transactions to ensure continuity of service for Scott, as owner of Ruth's Family Restaurant.

Rule(s):

- As Scott's agent, Ruth could bind Scott to contracts with Wholesale or Nora if Ruth had actual authority, apparent authority, or inherent agency power to enter such contracts.

Fact-based analysis:

- As a result, Scott was Ruth's "undisclosed principal." See RESTATEMENT (SECOND) OF AGENCY § 4(3) (1958) (defining undisclosed principal).

Conclusion: As a result, Scott was Ruth's "undisclosed principal." See RESTATEMENT (SECOND) OF AGENCY § 4(3) (1958) (defining undisclosed principal).

2. Point Two: Because her actions violated Scott's express instructions, Ruth had no actual authority t

Short answer: Actual authority "to affect the legal relations of the principal" exists only if the agent's acts are "done in accordance with the principal's manifestations of consent." RESTATEMENT (SECOND) OF AGENCY § 7 (1958).

Rule(s):

- Actual authority "to affect the legal relations of the principal" exists only if the agent's acts are "done in accordance with the principal's manifestations of consent." RESTATEMENT (SECOND) OF AGENCY § 7 (1958).
- Thus, Ruth had actual authority to bind Scott only insofar as Ruth acted consistently with Scott's "manifestations of consent" to her.
- Because these acts were done contrary to Scott's "manifestations of consent" to Ruth, they were not done with actual authority.

Fact-based analysis:

- Here, Ruth's acts were completely contrary to Scott's instructions.
- Ruth was told not to contract with Wholesale, yet she did so.

Conclusion: Ruth was instructed to hire employees only on an at-will basis, yet she hired Nora for a 20-year term.

3. Point Three: Ruth had no apparent authority to bind Scott because Scott was an undisclosed principal

Short answer: Apparent authority is created when a purported principal causes third persons to believe that the purported agent has the power to act on behalf of the principal.

Rule(s):

- Apparent authority is created when a purported principal causes third persons to believe that the purported agent has the power to act on behalf of the principal.
- In other words, apparent authority depends on a person's manifestations to a third person "that another is his agent." See RESTATEMENT (SECOND) OF AGENCY § 8 & comment a (1958).
- Ruth could not have apparent authority to bind Scott because Scott made no manifestations to anyone that Ruth was his agent.

4. Point Four: Scott might be liable to Wholesale on the theory that Ruth had inherent agency power to

Short answer: unlikely to conclude that Ruth had inherent agency power to bind Scott to an extraordinary employment contract.

Rule(s):

- Even if Ruth lacked actual or apparent authority to bind Scott, as Scott's agent, Ruth might have had "inherent agency power" to bind Scott to transactions undertaken to benefit Scott that were similar to the types of activities authorized, even if those transactions were in violation of orders.
- When such an agent's disobedience causes a loss, it is "fairer" that the loss fall upon the principal than on a third party, at least if the agent is engaged in acts generally of a kind that would fall within his or her actual authority, but for the violation of instructions.
- Under the facts of this problem, Ruth probably did have inherent agency power to contract with Wholesale for the delivery of restaurant supplies.

Fact-based analysis:

- unlikely to conclude that Ruth had inherent agency power to bind Scott to an extraordinary employment contract.
- Ruth's entry into a contract to employ Nora as an assistant manager for a 20-year term was not a transaction that would be "usual" in the restaurant business.
- An employment contract specifying a 20-year term would be extraordinary and unusual in any business; certainly a 20-year term of employment is neither usual nor necessary in employing an assistant restaurant manager.
- A restaurant's business manager would not ordinarily have the power to enter such a contract.

Conclusion: Did Lender's handling of the repossession, foreclosure, and sale comply with all legal requirements, and is Lender entitled to recover the $500,000 deficiency from Builder?

Question call(s): 1. Is Scott liable to Wholesale? Explain. | 2. Is Scott liable to Nora? Explain.

February 2006 — Question 2

Primary source subject: Agency & Partnership

Question summary: This question involves MEE Question 2 Rich, who lives in Smalltown, recently bought a sports utility vehicle (SUV) from Dealer in Capital City, which is located approximately 60 miles from Smalltown. Rich asked if Dealer would have the SUV delivered to him in Smalltown. The core dispute asks Can Ped recover from Dealer for Sales's negligence? Explain. 2. Must Sales give Dealer the $200 he earned helping Friend move? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Is Dealer vicariously liable for Sales's negligence? (a) Do Dealer and Sales have a master-servant relationship? (b) Was Sales acting within the scope of his employment?
- Has Sales violated his fiduciary duty to Dealer such that he must give Dealer the $200 that Friend paid him?

Relevant facts to use:

- MEE Question 2
- Rich, who lives in Smalltown, recently bought a sports utility vehicle (SUV) from Dealer in Capital City, which is located approximately 60 miles from Smalltown.
- On his way to Rich's house, Sales stopped to visit Friend, who was in the process of moving.
- Helping Friend took several hours, so Sales was running late.

Condensed sample-answer path:

1. Point One: Dealer is vicariously liable for Sales's negligence if there is a relationship between De

Short answer: Masters are liable for the torts of their servants committed while acting in the scope of their employment.

Rule(s):

- Therefore, Dealer is vicariously liable for Sales's negligence if (a) Dealer and Sales created an agency relationship that rises to the level of master-servant, and (b) Sales was acting within the scope of his employment when he negligently injured Ped.

Conclusion: Therefore, Dealer is vicariously liable for Sales's negligence if (a) Dealer and Sales created an agency relationship that rises to the level of master-servant, and (b) Sales was acting within the scope of his employment when he negligently injured Ped.

2. Point One(a): Dealer and Sales created a master-servant relationship.

Short answer: Agency is a fiduciary relationship "which results from the manifestation of consent by one person to another that the other shall act on his behalf and subject to his control, and the consent by the other so to act." RESTATEMENT (SECOND) OF AGENCY § 1(1).

Rule(s):

- The most important factor is the extent of control that Dealer may exercise over the details of the work.

Fact-based analysis:

- Although (1) Dealer did not generally deliver SUVs, (2) Sales was employed as a salesperson, not a driver, (3) delivery was made after the normal workday, and (4) Rich agreed to pay Sales $75 for delivery, Sales was still an agent, acting on behalf of Dealer and subject to Dealer's control, when he delivered the SUV to Rich.

Conclusion: While overall, it is likely that a court would conclude that the agency relationship between Dealer and Sales rises to the level of a master-servant relationship, an applicant should receive credit for a cogent argument either way.]

3. Point One(b): Sales was acting in the scope of his employment when he negligently injured Ped.

Short answer: For Dealer to be held vicariously liable for Sales's negligence, the tort must have been committed within the scope of Sales's employment.

Rule(s):

- For Dealer to be held vicariously liable for Sales's negligence, the tort must have been committed within the scope of Sales's employment.
- An applicant might argue that delivering the SUV was not "within the scope of employment." Although Sales delivered the SUV to serve Dealer, Sales was employed as a salesperson.

Fact-based analysis:

- Therefore, this act was authorized and within the scope of employment.
- While the escapade with Friend might be a "frolic" that exceeded the scope of Sales's employment, the accident occurred after any "frolic" had ended and while Sales was completing the delivery of the SUV pursuant to Dealer's instructions.

Conclusion: Therefore, this act was authorized and within the scope of employment.

4. Point Two: Sales violated his fiduciary duty to Dealer and therefore must give the $200 to Dealer.

Short answer: As an agent (see Point One(a) above), Sales owes a fiduciary duty to Dealer, his principal, with respect to matters within the scope of the agency.

Rule(s):

- As an agent (see Point One(a) above), Sales owes a fiduciary duty to Dealer, his principal, with respect to matters within the scope of the agency.
- This includes the duty to obey reasonable instructions and the duty to act solely for the benefit of the principal with respect to matters within the scope of his agency.
- When Sales made a detour to help Friend move, Sales violated his duty to obey the reasonable instruction “Drive straight to his house, no detours.

Fact-based analysis:

- As a result, Sales is liable to Dealer for the $200.

Conclusion: Further, even if an applicant were to argue that Sales had not violated his duty to Dealer, Sales would still be obligated to give Dealer the $200.

Question call(s): 1. Can Ped recover from Dealer for Sales’s negligence? Explain. | 2. Must Sales give Dealer the $200 he earned helping Friend move? Explain.

July 2006 — Question 2

Primary source subject: Agency & Partnership

Question summary: This question involves MEE Question 2 Two years ago Nephew asked Uncle for a loan to purchase a tire dealership. Uncle agreed. The core dispute asks Is Monster Tires liable to TireCo for the tires Uncle ordered? Explain. 2. Is Monster Tires liable to Custom Yachts for the yacht Friend ordered? Explain. 3. Are Uncle, Nephew, and Friend personally liable on either of the contracts?... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- (a) Is Uncle a co-owner of a business for profit and therefore a partner of Monster Tires? (b) Did Uncle have authority to bind Monster Tires when he ordered tires from TireCo?
- Did Friend have authority to bind Monster Tires when he purchased the yacht?
- Are the partners personally liable for the obligations of the partnership?

Relevant facts to use:

- MEE Question 2
- Two years ago Nephew asked Uncle for a loan to purchase a tire dealership.
- One year after Monster Tires was established, Nephew approached Friend, who had a knack for sales and marketing and was well-connected in the trucking business.
- Nephew and Friend both worked full time at Monster Tires.

Condensed sample-answer path:

1. Point One(a): Uncle did not become a partner at the time he originally lent Nephew money, but he lat

Short answer: A partnership is defined as an association of two or more persons to carry on as co-owners of a business for profit whether or not the persons intend to form a partnership.

Rule(s):

- A partnership is defined as an association of two or more persons to carry on as co-owners of a business for profit whether or not the persons intend to form a partnership.

Fact-based analysis:

- Now Uncle falls under the partnership presumption and Uncle is a partner.
- This conclusion is strengthened by the fact that Uncle at the same time also agreed to provide rentfree space to the business, something a co-owner might do for a business. [NOTE: Better applicants should recognize that Uncle and Nephew did not initially create a partnership because Uncle did not agree to participate in a business for profit.]

Conclusion: This conclusion is strengthened by the fact that Uncle at the same time also agreed to provide rentfree space to the business, something a co-owner might do for a business. [NOTE: Better applicants should recognize that Uncle and Nephew did not initially create a partnership because Uncle did not agree to participate in a business for profit.]

2. Point One(b): As a partner, Uncle is an agent of the partnership. He can bind the partnership to the

Short answer: Every partner is an agent of the partnership for the purposes of its business.

Rule(s):

- If Uncle was a partner at the time of the second store opening, his act of ordering the tires bound the partnership because it was an act apparently for carrying on the ordinary course of partnership business.
- As a partner, Uncle had at least apparent authority to place orders with Big Rubber, Inc., TireCo, or another manufacturer.
- While it does not appear that Uncle had actual authority from his other two partners to order the tires, he could still bind the partnership unless the TireCo representative knew or had received notification prior to the time Uncle placed the order that Uncle lacked authority to do so.

Fact-based analysis:

- Every partner is an agent of the partnership for the purposes of its business.
- Therefore, Monster Tires is liable to TireCo.

Conclusion: Therefore, Monster Tires is liable to TireCo.

3. Point Two: Monster Tires is not liable to Custom Yachts because Friend had no authority to purchase

Short answer: Although Friend was a partner at the time he ordered the yacht, this purchase is not apparently for carrying on the ordinary course of the tire dealership business.

Rule(s):

- Because an act outside the ordinary course of business of a partnership may be undertaken only with the consent of all of the partners, RUPA § 401(j), Friend had no actual authority to buy the yacht.

- Friend also did not have apparent authority to buy the yacht because Custom Yachts could not reasonably believe that buying a yacht was in the ordinary course of business of a tire dealership.
- Therefore, Monster Tires does not have to pay Custom Yachts. [NOTE: Applicants who fail to see that the purpose of a yacht is not in the ordinary course of the partnership's business could conclude that Friend had actual, or apparent, authority to purchase the yacht and bind the partnership.]

Fact-based analysis:

- Friend therefore binds the partnership only if his act was authorized by all the other partners.

Conclusion: Therefore, Monster Tires does not have to pay Custom Yachts. [NOTE: Applicants who fail to see that the purpose of a yacht is not in the ordinary course of the partnership's business could conclude that Friend had actual, or apparent, authority to purchase the yacht and bind the partnership.]

4. Point Three: Uncle, Nephew, and Friend are jointly and severally liable on the contract with TireCo

Short answer: All partners are jointly and severally liable for all obligations of the partnership.

Rule(s):

- However, in order to recover from them individually, TireCo must secure a judgment against both the partnership and the named partners.
- Furthermore, TireCo must first seek recovery from the assets of the partnership before it can attempt to levy execution against individual partners.
- Only Friend is liable on the Custom Yachts contract because Friend had no authority to purchase the yacht for the partnership (See Point Two).

Fact-based analysis:

- All partners are jointly and severally liable for all obligations of the partnership.
- The association of Uncle, Nephew, and Friend is a general partnership because the partners took no steps to create a limited partnership.
- Therefore, Uncle, Nephew, and Friend are each personally liable to TireCo.

Conclusion: Under agency law, when an agent acts without authority, a third party (here, Custom Yachts) can recover from the agent.

Question call(s): 1. Is Monster Tires liable to TireCo for the tires Uncle ordered? Explain. | 2. Is Monster Tires liable to Custom Yachts for the yacht Friend ordered? Explain. | 3. Are Uncle, Nephew, and Friend personally liable on either of the contracts? Explain.

February 2007 — Question 6

Primary source subject: Agency & Partnerships

Question summary: This question involves MEE Question 6 Astoria Limited Partnership (Astoria) is a properly formed limited partnership. The general partner of Astoria is Baker, an individual. The core dispute asks Three weeks ago, articles appeared in the business press raising questions about Baker's management of Caldonia Limited Partnership (Caldonia). While the articles did not specifically mention Astoria, the misconduct documented in the...

Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Is a limited partner entitled to (a) copies of contracts between the limited partnership and entities related to or controlled by the general partner, (b) copies of contracts generally between the limited partnership and other entities, (c) copies of the limited partnership's federal and state tax returns, and (d) copies of all correspondence between the limited partnership and all other parties for a five-year period?
- If the limited partners remove the general partner, are they by that act alone liable to persons who transact business with the partnership?
- If the limited partners, after removing the general partner, run the limited partnership until a replacement general partner can be found, are they liable to persons who transact business with the partnership?

Relevant facts to use:

- MEE Question 6
- Astoria Limited Partnership (Astoria) is a properly formed limited partnership.
- The limited partnership agreement of Astoria gives the limited partners the right to remove Baker as the general partner—with or without cause—if the holders of 60% of the voting rights concur.
- Three weeks ago, articles appeared in the business press raising questions about Baker's management of Caldonia Limited Partnership (Caldonia).

Condensed sample-answer path:

1. Point One: A limited partner is absolutely entitled to copies of tax returns and is entitled to such

Short answer: Under the Revised Uniform Limited Partnership Act (RULPA), a limited partner has a right to "inspect and copy" partnership records that are required to be kept pursuant to § 105 of the Act, and, in addition, to obtain from the general partner "upon reasonable demand": "true and full information regarding the state of the business and financial condition of the limited partnership," RULPA § 305(2)(i); "promptly after becoming available, a copy of the limited partnership's federal, state, and local income tax returns for each year," RULPA § 305(2)(ii); and "other information regarding the affairs of the limited partnership as is just and reasonable." RULPA § 305 (2)(iii).

Rule(s):

- Under the Revised Uniform Limited Partnership Act (RULPA), a limited partner has a right to "inspect and copy" partnership records that are required to be kept pursuant to § 105 of the Act, and, in addition, to obtain from the general partner "upon reasonable demand": "true and full information regarding the state of the business and financial condition of the limited partnership," RULPA § 305(2)(i); "promptly after becoming available, a copy of the limited partnership's federal, state, and local income tax returns for each year," RULPA § 305(2)(ii); and "other information regarding the affairs of the limited partnership as is just and reasonable." RULPA § 305 (2)(iii).
- Where, as here, the limited partner has substantial reason to suspect mismanagement of the limited partnership and wishes to obtain partnership documents to investigate the matter, the limited partner has a right to access those documents.
- In addition, tax returns are documents that the limited partnership is required to keep and that a limited partner may inspect and copy at any time.

Fact-based analysis:

- Baker probably acted improperly in refusing to provide information in response to Tim's request for "copies of contracts between the limited partnership and entities related to or controlled by the general partner." This request should be covered under the first subsection of the Act because such information relates to the "business and financial condition of the limited partnership." In addition, where there is a suggestion that a general partner is engaged in self-dealing, a limited partner's request for specific information that would confirm or disprove that suggestion is surely "just and reasonable." Tim's demands for "copies of contracts generally between the limited partnership and other entities" are also probably covered under the first and third subsections for the same reasons.
- Such information is potentially relevant both to the general "business and financial condition" of the partnership and to the possibility that Baker has been self-dealing.
- The request for copies of the limited partnership's federal and state tax returns is specifically covered under the second subsection of the statute.
- Tim's request for "copies of all correspondence between [the limited partnership] and any other parties for the past five years" may go too far.

Conclusion: Baker would claim that the request goes far beyond what is reasonable, and is essentially an effort to delve into all the files of the business on a fishing expedition for evidence of wrongdoing.

2. Point Two: Limited partners are not liable as general partners simply for removing a general partner

Short answer: A limited partner is generally not liable for the obligations of a limited partnership.

Rule(s):

- A limited partner is generally not liable for the obligations of a limited partnership.
- Because of the inherent "difficulty of determining when the 'control' line has been overstepped," RULPA (and the parallel laws of most states) specifically enumerates certain activities in which a limited partner may engage "without being deemed to have taken part in control of the business." § 303(b), official cmt.
- Thus, the limited partners in Astoria may remove Baker as general partner without incurring liability for the limited partnership's obligations.

Fact-based analysis:

- Thus, the question as to whether the limited partners would be liable for partnership obligations were they to remove Baker as general partner would be resolved by determining whether the act of removing the general partner would be "participat[ion] in the control of the business." Id.
- In states that have adopted the 2001 Limited partners are "not personally liable, directly or indirectly, by way of contribution or otherwise, for an obligation of the limited partnership solely by reason of being a limited partner, even if the limited partner participates in the management and control of the limited partnership." 2001 UNIF.

Conclusion: Thus, the limited partners in Astoria may remove Baker as general partner without incurring liability for the limited partnership's obligations.

3. Point Three: Limited partners who participate in the control of the business can be held liable for

Short answer: Limited partners can become liable for the obligations of the limited partnership if they participate in the control of the business in ways not within the safe harbor exceptions in RULPA § 303(b).

Rule(s):

- Under this Act, Tim, Uma, and Vivian would have no liability for partnership obligations even if they participated directly in the management and control of the limited partnership.

Fact-based analysis:

- Limited partners can become liable for the obligations of the limited partnership if they participate in the control of the business in ways not within the safe harbor exceptions in RULPA § 303(b).
- In particular, Tim's suggestion that Tim, Uma, and Vivian jointly "run the limited partnership" after removing Baker from the role of general partner appears to contemplate a degree of involvement in the business of the partnership that exceeds what is permitted by any of the safe harbor exceptions.
- Participation in the control of the business can make a limited partner liable for the obligations of the limited partnership, but that liability extends only to "persons who transact business with the limited partnership reasonably believing, based upon the limited partner's conduct, that the limited partner is a general partner." RULPA § 303(a).
- Thus the limited partners could attempt to limit their liability when running the business by giving all the parties with which the limited partnership does business notice that they are limited, not general, partners.

Conclusion: Under this Act, Tim, Uma, and Vivian would have no liability for partnership obligations even if they participated directly in the management and control of the limited partnership.

Question call(s): 1. Did Baker act wrongfully in refusing to provide Tim the information and documents he requested? Explain. | 2. If the limited partners do no more than remove Baker as general partner of Astoria, will they be liable to persons who transact business with Astoria? Explain. | 3. If the limited partners remove Baker and run Astoria until a replacement general partner can be found, under what circumstances will they be liable to persons who transact business with Astoria? Explain.

July 2007 — Question 4

Primary source subject: Agency & Partnership

Question summary: This question involves MEE Question 4 Talker is a persuasive salesperson, Fixer is a talented carpenter, and Manager is an experienced small business manager. The three are friends and often discussed going into business together. The core dispute asks What is the legal relationship of Talker, Fixer, and Manager? Explain. 2. Did Fixer have authority to hire Crafty on behalf of TFM? Explain. 3. Under what circumstances, if any, could Crafty collect from Talker the wages TFM owes Crafty?... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- What is the legal relationship of Talker, Fixer, and Manager?
- (a) Did Fixer have actual authority to hire Crafty on behalf of TFM?
- (b) Did Fixer have apparent authority to hire Crafty on behalf of TFM?
- Can Crafty hold Talker personally liable for unpaid wages?

Relevant facts to use:

- MEE Question 4
- Talker is a persuasive salesperson, Fixer is a talented carpenter, and Manager is an experienced small business manager.

- The three friends began doing business under the name TFM Restored Cabinets (TFM).
- Everything went smoothly until Fixer announced that he intended to hire Crafty to help with the restoration work because there was more work than one carpenter could handle.

Condensed sample-answer path:

1. Point One: Talker, Fixer, and Manager are general partners in TFM.

Short answer: A partnership is the association of two or more persons to carry on as co-owners a business for profit whether or not the persons intend to form a partnership.

Rule(s):

- A partnership is the association of two or more persons to carry on as co-owners a business for profit whether or not the persons intend to form a partnership.
- In order to create a partnership, the parties must intend to take actions that create a partnership, but it is not necessary that they realize they are forming a partnership or describe their business as a partnership.
- “[W]here intent cannot be directly ascertained, it must be established from all of the facts, circumstances, actions, and conduct of the parties.” MacArthur Co. v.

Fact-based analysis:

- PARTNERSHIP ACT (UPA) §§ 101(6) & 202(a) (1997); cf. also UPA § 6(1) (1914) (defining partnership in same manner as UPA (1997)).
- Here, there is a for-profit business and the three friends share equally in the profits of the business.
- Furthermore, the conduct of Talker, Fixer, and Manager supports the partnership presumption: each of them participates in the business on a regular basis; they meet regularly to discuss the business; and the name of the business includes initials from each of their names.
- In sum, although there is no written partnership agreement, the conduct of Talker, Fixer, and Manager establishes that they have associated as co-owners of a business for profit.

2. Point Two(a): Fixer had no actual authority to bind the partnership to a contract of employment with

Short answer: Absent an agreement to the contrary, “[a] difference arising as to a matter in the ordinary course of business of a partnership may be decided by a majority of the partners.” UPA § 401(a)(j) (1997); see also UPA § 18(h) (1914) (providing same rule as UPA (1997)).

Rule(s):

- Absent an agreement to the contrary, “[a] difference arising as to a matter in the ordinary course of business of a partnership may be decided by a majority of the partners.” UPA § 401(a)(j) (1997); see also UPA § 18(h) (1914) (providing same rule as UPA (1997)).
- An act outside of the ordinary course of business requires the consent of all partners.
- 1938) (general rule is that each partner has authority to bind the firm by employment of persons whose services are reasonably necessary for carrying on business); Felice v.

Fact-based analysis:

- Hiring an employee to perform services in the partnership business is clearly a matter within the ordinary course of the business of the TFM partnership.

3. Point Two(b): Fixer had apparent authority as a partner to bind the partnership when he hired Crafty

Short answer: Each partner has authority to bind the partnership by any act "for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership . . . unless the partner had no authority to act for the partnership in the particular matter and the person with whom the partner was dealing knew or had received a notification that the partner lacked authority." UPA § 301(1) (1997); see also UPA § 9(1) (1914) (very similar to UPA 1997)).

Rule(s):

- Each partner has authority to bind the partnership by any act "for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership . . . unless the partner had no authority to act for the partnership in the particular matter and the person with whom the partner was dealing knew or had received a notification that the partner lacked authority." UPA § 301(1) (1997); see also UPA § 9(1) (1914) (very similar to UPA 1997)).
- The effect of UPA § 301(1) (1997) is to "characterize a partner as a general managerial agent having both actual and apparent authority co-extensive with the firm's ordinary business, at least in the absence of a contrary partnership agreement." UPA § 301 cmt.
- Under UPA (1997), a two-part analysis is required.

Fact-based analysis:

- First, it must be determined whether the particular act was "for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership." Id.
- If it was, then the partnership is liable unless it is proven that the person dealing with the partner had actual knowledge or notification of the partner's lack of authority.
- Here, hiring Crafty to help in cabinet restoration was in the ordinary course of a cabinet restoration business.
- Therefore, the partnership will be bound unless it is proved that Crafty had known that Fixer lacked authority to hire Crafty, in which case Crafty would have no claim.

Conclusion: The facts of the problem do not suggest that Crafty had knowledge of Fixer's lack of authority; therefore, Fixer had apparent authority as a partner to bind the partnership by hiring Crafty because the act appeared to be in the ordinary course of the partnership business. [NOTE: The result under the 1914 version of UPA would be the same.

4. Point Three: Talker is personally liable for Crafty's unpaid wages. However, to collect against Talk

Short answer: A partner is jointly and severally liable for all obligations of the partnership.

Rule(s):

- A partner is jointly and severally liable for all obligations of the partnership.
- As discussed above, Fixer had apparent authority as a partner to bind the partnership to an employment contract with Crafty.
- However, to collect from Talker personally, Crafty must first obtain a judgment against Talker and against the partnership and levy execution against the partnership's assets.

Fact-based analysis:

- Therefore, the unpaid wages are a partnership obligation for which Talker is jointly and severally liable.
- Ordinarily, a claimant may not take action against a partner's personal assets unless the partnership assets fail to satisfy the claimant's judgment.

- Moreover, under the UPA (1997), a judgment against a partnership is not, by itself, a judgment against a partner.
- Consequently, a judgment against a partnership may not be satisfied out of the partner's separate assets unless there is also a separate judgment against the partner.

Conclusion: Therefore, a third party cannot sue the partnership and is required to sue all the individual partners unless a statute permits a suit against the partnership as an entity.

Question call(s): 1. What is the legal relationship of Talker, Fixer, and Manager? Explain. | 2. Did Fixer have authority to hire Crafty on behalf of TFM? Explain. | 3. Under what circumstances, if any, could Crafty collect from Talker the wages TFM owes Crafty? Explain.

July 2008 — Question 3

Primary source subject: Agency & Partnership

Question summary: This question involves MEE Question 3 Fifteen years ago, Amy, Beck, and Curt formed a partnership, "Amy, Beck, and Curt Co.," to engage in a retail shoe store business. The partnership is for a 25-year term. The core dispute asks Can Green, as a judgment creditor of Amy, attach and execute upon the partnership real estate? Explain. 2. What steps should Red take to collect the amount of his loan to Beck from Beck's interest in the partnership? Explain. 3. Does White... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Can Green, as a judgment creditor of Amy, attach and execute upon the partnership real estate?
- What steps should Red take to collect the amount of his loan to Beck from Beck's interest in the partnership?
- Does White have a right to inspect partnership books and records and to participate in the management of the partnership?
- Can White force a dissolution and winding up of the partnership?

Relevant facts to use:

- MEE Question 3
- Fifteen years ago, Amy, Beck, and Curt formed a partnership, "Amy, Beck, and Curt Co.," to engage in a retail shoe store business.
- While the partnership has done well, the three partners have not managed their respective personal finances successfully.
- Green, Red, and White are pursuing various avenues to recover what is owed to each of them.

Condensed sample-answer path:

1. Point One:

Short answer: Green, a judgment creditor of Amy, an individual partner, cannot attach and execute upon the partnership real estate.

Rule(s):

- A judgment creditor of an individual partner may not attach and execute upon partnership real estate to satisfy his claim against that partner.

- Under the Uniform Partnership Act (UPA) (1914), partners are tenants in partnership in specific items of partnership property.
- Under the UPA § 201(a) (1997).

Fact-based analysis:

- Green, a judgment creditor of Amy, an individual partner, cannot attach and execute upon the partnership real estate.
- The incidents of this tenancy include an equal right to use the partnership property for partnership purposes.
- However, a partner's interest in specific items of partnership property is not subject to attachment or execution except upon a claim against the partnership.
- Partnership property is owned by the partnership and a partner is not a co-owner of such property.

Conclusion: Thus, Amy has no interest in partnership real estate that could be subject to attachment and execution by a judgment creditor such as Green.

2. Point Two:

Short answer: Red should reduce his claim against Beck to a judgment and should then seek a charging order against Beck's financial interest in the partnership.

Rule(s):

- A creditor of an individual partner who wants to pursue a partner's financial interest in the partnership must first reduce his claim to a judgment.
- A creditor of an individual partner who has reduced his claim to a judgment may seek a charging order against that partner's financial interest in the partnership.

Fact-based analysis:

- Red should reduce his claim against Beck to a judgment and should then seek a charging order against Beck's financial interest in the partnership.
- The partner's financial interest (called the "transferable interest in the partnership" under the 1997 Act) is the partner's share of profits and losses and the right to receive distributions.
- This financial interest is the only interest of a partner in the partnership that can be pursued by a creditor of an individual partner.
- Thus, Red should reduce his claim against Beck to a judgment and should then seek a charging order against Beck's financial interest in the partnership.

Conclusion: Another way Red might collect from Beck's interest in the partnership is to convince Beck to assign him Beck's interest in the partnership in which case Red would succeed to Beck's financial interest in the partnership.

3. Point Three:

Short answer: White, an assignee of Curt's partnership interest, has received only Curt's financial interest in the partnership; White has no right to inspect partnership books and records or to participate in the management of the partnership.

Rule(s):

- Generally a person may become a partner only with the consent of all the partners.

- An assignee does not acquire the right to inspect partnership books and records, or to participate (or interfere) in the management or conduct of the business.

Fact-based analysis:

- White, an assignee of Curt's partnership interest, has received only Curt's financial interest in the partnership; White has no right to inspect partnership books and records or to participate in the management of the partnership.
- Thus, a partner does not have the unilateral power to make someone a partner by transferring his or her partnership interest to them.
- The assignee of a partnership interest receives only the financial interest of the partner.
- The 1997 Act refers to this financial interest as the partner's transferable interest in the partnership.

Conclusion: Thus, a partner does not have the unilateral power to make someone a partner by transferring his or her partnership interest to them.

4. Point Four:

Short answer: White may not force a dissolution and winding up of the partnership because it is a partnership for a term and the term has not yet been completed.

Rule(s):

- White may not force a dissolution and winding up of the partnership because it is a partnership for a term and the term has not yet been completed.
- White is a transferee of Curt's financial interest in the partnership. (See Point Three.) A transferee of a partner's financial interest in a partnership may seek dissolution of the partnership if the partnership is a partnership at will or, if a partnership is for a term or a particular undertaking, the term or the undertaking has been completed.
- Under the 1997 Act, the court will dissolve a partnership for a term and order a winding up at the request of a transferee of a partner's financial interest after the expiration of the term and only if it is equitable to do so.

Fact-based analysis:

- In this case the partnership is a partnership for a term of 25 years, not a partnership at will, and the term has not yet expired.
- Therefore, a transferee of a partner's financial interest may not seek dissolution and winding up of the partnership.
- Consequently, White cannot force a dissolution and winding up of the partnership.

Conclusion: Therefore, a transferee of a partner's financial interest may not seek dissolution and winding up of the partnership.

Question call(s): 1. Can Green, as a judgment creditor of Amy, attach and execute upon the partnership real estate? Explain. | 2. What steps should Red take to collect the amount of his loan to Beck from Beck's interest in the partnership? Explain. | 3. Does White have a right to inspect partnership books and records and to participate in the management of the partnership? Explain.

February 2009 — Question 1

Primary source subject: Agency & Partnership

Question summary: This question involves MEE Question 1 Hanson's Fruitcakes (Hanson's) is the largest producer of fruitcakes in the world. The company was founded 150 years ago and uses an original secret recipe closely guarded by the company. The core dispute asks Is Hanson's legally bound to any of the four contracts made by Taster? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Did Taster have actual authority to buy Monumental Muffins' muffin recipe for $4,000?
- Did Taster have apparent authority to buy Bakers Bonanza's tart recipe for $6,000?
- Did Taster have any authority to buy Parisian Delights' cake recipe in exchange for a copy of Hanson's fruitcake recipe?
- Did Taster have any authority to buy the baking oven from Ironcast Enterprises for $5,000?

Relevant facts to use:

- MEE Question 1
- Hanson's Fruitcakes (Hanson's) is the largest producer of fruitcakes in the world.
- Because of a significant drop in the demand for fruitcakes, Hanson's decided to expand its product line to include other baked goods that will not compete with its fruitcakes.
- Because Hanson's has limited experience producing baked goods other than fruitcakes, it decided to hire Taster as a consultant.

Condensed sample-answer path:

1. Point One Taster had actual authority to enter into the Monumental Muffins muffin recipe contract fo

Short answer: When Hanson's hired Taster to act on Hanson's behalf, an agency relationship was created.

Rule(s):

- When Hanson's hired Taster to act on Hanson's behalf, an agency relationship was created.
- As Hanson's agent, Taster had actual authority to "take action designated or implied in [Hanson's] manifestations to [Taster] and acts necessary or incidental to achieving [Hanson's] objectives. . . ." Id. at § 2.02(1).
- Thus, Taster had actual authority to enter into the contract to buy Monumental Muffins' muffin recipe for $4,000, and Hanson's is legally bound to that contract.

Fact-based analysis:

- The contract between Hanson's and Taster empowered Taster to enter into contracts on Hanson's behalf to buy baked-goods recipes for a price not to exceed $5,000.

Conclusion: Thus, Taster had actual authority to enter into the contract to buy Monumental Muffins' muffin recipe for $4,000, and Hanson's is legally bound to that contract.

2. Point Two Taster had apparent authority to enter into the contract with Bakers Bonanza to buy the al

Short answer: An agent has apparent authority to act on behalf of a principal when "a third party reasonably believes the actor has authority to act on behalf of the principal and that belief is traceable to the principal's manifestations." RESTATEMENT (THIRD) OF AGENCY § 2.03.

Rule(s):

- An agent has apparent authority to act on behalf of a principal when "a third party reasonably believes the actor has authority to act on behalf of the principal and that belief is traceable to the principal's manifestations." RESTATEMENT (THIRD) OF AGENCY § 2.03.
- Apparent authority can co-exist with actual authority; it can also exist in the absence of any actual authority.
- Here, Taster did not have actual authority to enter into contracts exceeding $5,000.

Fact-based analysis:

- Thus, Taster did not have actual authority to contract with Bakers Bonanza for $6,000.
- Therefore, Taster had apparent authority to enter into the contract to buy Bakers Bonanza's tart recipe and Hanson's is legally bound to that contract.

Conclusion: Therefore, Taster had apparent authority to enter into the contract to buy Bakers Bonanza's tart recipe and Hanson's is legally bound to that contract.

3. Point Three Taster did not have authority to buy Parisian Delights' chocolate truffle cake recipe in

Short answer: Taster did not have actual authority to buy Parisian Delights' cake recipe in exchange for Hanson's fruitcake recipe—in fact, Taster's contract expressly forbids such an action.

Rule(s):

- Taster did not have actual authority to buy Parisian Delights' cake recipe in exchange for Hanson's fruitcake recipe—in fact, Taster's contract expressly forbids such an action.
- Nor did Taster have apparent authority to enter into the contract with Parisian Delights.
- Further, given Hanson's long history in the baking industry and its close guarding of the fruitcake recipe, Parisian Delights may well have known that Hanson's fruitcake recipe was secret and that its disclosure was not authorized.

Fact-based analysis:

- Here, the facts state that baked-goods recipes typically sold for $3,000 to $6,000.

Conclusion: Had Parisian Delights asked Hanson's if Taster had authority to obtain recipes for non-cash consideration, Taster's lack of any authority would have been readily determinable. [NOTE: Applicants should not receive any credit for discussing inherent authority as that doctrine is not applicable generally nor on the facts.]

Question call(s): Is Hanson's legally bound to any of the four contracts made by Taster? Explain.

July 2009 — Question 8

Primary source subject: Agency & Partnership

Question summary: This question involves MEE Question 8 Six months ago, Andy, Ben, and Carol executed a document entitled "Metropolitan Limited Partnership Agreement" (the Agreement). Under the terms of the Agreement, Andy, Ben, and Carol were to be "limited partners" in the "Metropolitan Limited Partnership" (MLP). The core dispute asks What type of entity is the Metropolitan Limited Partnership? Explain. 2. Can Marketing recover from Andy, Ben, and Carol personally for the amounts it is owed by Metropolitan Limited Partnership? What steps must it follow if it tries to do... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- What type of entity is the "Metropolitan Limited Partnership"?
- Can Marketing recover from Andy, Ben, and Carol in their individual capacities for the amounts it is owed by MLP and what steps must it follow if it tries to do so?
- Can Zack's estate recover from Andy, Ben, and Carol in their individual capacities for the wrongful death claim?

Relevant facts to use:

- MEE Question 8
- Six months ago, Andy, Ben, and Carol executed a document entitled "Metropolitan Limited Partnership Agreement" (the Agreement).
- The Agreement also provided that Warren would be the "general partner" of MLP, but Warren never signed the Agreement.
- The Agreement further provided that the venture would buy undeveloped land and hold it for development.

Condensed sample-answer path:

1. Point One:

Short answer: Metropolitan Limited Partnership is not a limited partnership, but is a general partnership.

Rule(s):

- Although Andy, Ben, and Carol may have intended to form a limited partnership, they did not succeed in doing so.
- To create a valid limited partnership, statutory requirements must be met.
- A limited partnership must include a general partner who has signed the initial Certificate of Limited Partnership filed with the Secretary of State.

Fact-based analysis:

- Metropolitan Limited Partnership is not a limited partnership, but is a general partnership.
- Despite being labeled a limited partnership, MLP is not a limited partnership.
- Here, Warren was designated as the general partner, but never signed the agreement.
- Thus, MLP never had a general partner and cannot qualify as a limited partnership.

Conclusion: However, in addition to owning the property, Andy, Ben, and Carol hired a marketing company to develop a campaign to resell the land as "Metropolitan Estates." This exceeds co-ownership and thus Andy, Ben, and Carol are general partners and MLP is a general partnership.

2. Point Two:

Short answer: Because MLP is a general partnership and Andy, Ben, and Carol are general partners in that partnership, as such, each is personally liable for partnership debts, including the amounts owed to Marketing.

Rule(s):

- However, to collect from Andy, Ben, and Carol personally, Marketing must first obtain a judgment against Andy, Ben, and Carol individually and against MLP and levy execution against MLP's assets.
- Ordinarily, a claimant may not take action against a partner's separate assets unless the partnership assets fail to satisfy the claimant's judgment.
- Consequently, a judgment against a partnership may not be satisfied out of the partner's separate assets unless there is also a judgment against the partner.

Fact-based analysis:

- Because MLP is a general partnership and Andy, Ben, and Carol are general partners in that partnership, as such, each is personally liable for partnership debts, including the amounts owed to Marketing.
- As partners in the general partnership that owns the property, Andy, Ben, and Carol "are liable jointly and severally for all obligations of the partnership unless otherwise agreed by the claimant or provided by law." See UNIF.
- Moreover, under the Uniform Partnership Act, a judgment against a partnership is not, by itself, a judgment against a partner.
- A judgment against a partner personally may be sought in the same action as a judgment against the partnership.

Conclusion: Here, if these procedures are followed and MLP's assets fail to satisfy Marketing's claim, Marketing may recover from Andy, Ben, and Carol personally.

3. Point Three: Andy, Ben, and Carol are each personally liable for the wrongful death claim even thoug

Short answer: As general partners, Andy, Ben, and Carol are jointly and severally liable for the wrongful death claim. (See Point Two.) Although the wrongful death claim arose after the Certificate of Limited Partnership was filed in the name of Metropolitan, that filing does not protect Andy, Ben, and Carol because it failed to create a limited partnership due to the lack of a general partner. (See Point One.) Therefore, the act of filing is irrelevant, and Andy, Ben, and Carol are jointly and severally liable for the wrongful death claim.

Rule(s):

- To recover from them, Zack's estate must follow appropriate procedures. (See Point Two.)

Fact-based analysis:

- As general partners, Andy, Ben, and Carol are jointly and severally liable for the wrongful death claim. (See Point Two.) Although the wrongful death claim arose after the Certificate of Limited Partnership was filed in the name of Metropolitan, that filing does not protect Andy, Ben, and Carol because it failed to create a limited partnership due to the lack of a general partner. (See Point One.) Therefore, the act of filing is irrelevant, and Andy, Ben, and Carol are jointly and severally liable for the wrongful death claim.

Conclusion: To recover from them, Zack's estate must follow appropriate procedures. (See Point Two.)

Question call(s): 1. What type of entity is the Metropolitan Limited Partnership? Explain. | 2. Can Marketing recover from Andy, Ben, and Carol personally for the amounts it is owed by Metropolitan Limited Partnership? What steps must it follow if it tries to do so? Explain. | 3. If Zack's estate is entitled to damages, can it recover from Andy, Ben, and Carol personally for the wrongful death claim? What steps must it follow if it tries to do so? Explain.

July 2010 — Question 1

Primary source subject: Agency & Partnership

Question summary: This question involves On January 2, Fran opened Petals, a floral shop, and operated it as a sole proprietorship. Petals soon ran into financial difficulties, and Fran could not pay its bills. The core dispute asks What is the legal relationship among Fran, Gina, and Hank? Explain. 2. Is Ivan entitled to Gina's share of the monthly net profits of Petals? Explain. 3. Is Ivan entitled to inspect the books and records of Petals? Explain. 4. Is Fran... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Relevant facts to use:

- On January 2, Fran opened Petals, a floral shop, and operated it as a sole proprietorship.
- On March 1, Fran asked her friends Gina and Hank for financial help.
- On April 1, in response to Fran's request, Gina delivered a check payable to "Petals" to Fran.
- Gina began working at the shop with Fran and helped Fran with business planning for Petals.

Condensed sample-answer path:

1. Point One (35%) Fran and Gina are partners in Petals. Hank is a creditor of Petals.

Short answer: A partnership is defined as "the association of two or more persons to carry on as co-owners a business for profit . . . whether or not the persons intend to form a partnership." UNIFORM PARTNERSHIP ACT (UPA) (1997) § 202(a); see also UPA (1914) § 6(1).

Rule(s):

- A partnership is defined as "the association of two or more persons to carry on as co-owners a business for profit . . . whether or not the persons intend to form a partnership." UNIFORM PARTNERSHIP ACT (UPA) (1997) § 202(a); see also UPA (1914) § 6(1).

Fact-based analysis:

- Here, a partnership was formed when Gina joined Fran in running Petals.
- Because the partnership was formed without the formalities required of other types of partnerships, it is a general partnership.
- Therefore, Fran and Gina are partners in the Petals partnership.
- Hank also receives a share of the net profits of Petals and, therefore, also might be presumed to be a partner in the partnership.

Conclusion: Hank is entitled to receive a share of the net profits of Petals only until his loan (plus interest) to Petals is paid in full, and therefore he is not presumed to be a partner in the business.

2. Point Two (25%) As the transferee of a legally transferable interest in the partnership, Ivan is leg

Short answer: As a partner in the Petals partnership (see Point One), Gina has a transferable interest in the profits and losses of the partnership and in her right to receive distributions.

Rule(s):

- An applicant might also note that the transfer of a partner's right to profits and losses and the right to receive distributions does not effect a termination or dissolution of the partnership.]

Fact-based analysis:

- As a partner in the Petals partnership (see Point One), Gina has a transferable interest in the profits and losses of the partnership and in her right to receive distributions.
- Here, Gina transferred her right to receive a share of the net profits of Petals to Ivan when she assigned all of her interest in Petals to him.
- Therefore, Ivan is legally entitled to receive Gina's share of the net profits of Petals. [NOTE: An applicant might add that a partnership need not give effect to a transferee's rights until it has notice of the transfer.
- Here, the partnership had such notice because Gina gave Fran a copy of the letter effecting the transfer.

Conclusion: Therefore, Ivan is legally entitled to receive Gina's share of the net profits of Petals. [NOTE: An applicant might add that a partnership need not give effect to a transferee's rights until it has notice of the transfer.

3. Point Three (25%) Ivan is not entitled to inspect the books and records of Petals because he is not

Short answer: As a partner in the Petals partnership, Gina has a transferable interest in the partnership (see Point Two).

Rule(s):

- As a partner in the Petals partnership, Gina has a transferable interest in the partnership (see Point Two).
- That interest, however, is limited.

Fact-based analysis:

- As a partner in the Petals partnership, Gina has a transferable interest in the partnership (see Point Two).
- For example, a transfer of the partnership interest does not make the transferee a partner unless the other partner or partners consent to making the transferee a partner.
- On our facts, such consent was not given because Fran said, "I don't want anything to do with Ivan." Therefore, Ivan did not become a partner and is not entitled to access information concerning partnership transactions nor to inspect or copy the partnership books or records.

Conclusion: On our facts, such consent was not given because Fran said, "I don't want anything to do with Ivan." Therefore, Ivan did not become a partner and is not entitled to access information concerning partnership transactions nor to inspect or copy the partnership books or records.

4. Point Four (15%) The delivery truck is partnership property, and Fran is not entitled to use it on S

Short answer: Property is partnership property if it is acquired in the name of the partnership.

Rule(s):

- Property is partnership property if it is acquired in the name of the partnership.
- UPA (1997) § 204(a)(1); UPA (1914) § 8(1).

Fact-based analysis:

- Property is partnership property if it is acquired in the name of the partnership.
- Partnership property is property of the partnership and not of the partners individually.
- Here, the delivery truck was purchased in the partnership's name and, therefore, is partnership property and not Fran's individual property.

- The facts do not suggest that the partners agreed that Fran could use the delivery truck for her own purposes on Sundays, and, absent such an agreement, Fran is not entitled to use the truck to take her children to their soccer games even if the partnership is not using the truck on that day. [NOTE: Under § 27 of the UPA (1914) and § 503 of the UPA (1997), the transfer of all or any part of a partner's interest is not a dissolution of the partnership.

Conclusion: Thus, Gina's gift to her son Ivan of her interest in the partnership does not dissolve the partnership.]

Question call(s): 1. What is the legal relationship among Fran, Gina, and Hank? Explain. | 2. Is Ivan entitled to Gina's share of the monthly net profits of Petals? Explain. | 3. Is Ivan entitled to inspect the books and records of Petals? Explain.

July 2011 — Question 9

Primary source subject: Agency & Partnership

Question summary: This question involves Portable Shredder Services (PSS) is a partnership that operates a mobile shredding business. When a client needs paper shredded, PSS sends a truck and a crew to perform the operation. The core dispute asks Adam would like to withdraw immediately from the partnership in order to force Beth and Chris to cease the operations of PSS immediately and sell the partnership's assets. Adam has asked your law firm to answer the following three... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Relevant facts to use:

- Portable Shredder Services (PSS) is a partnership that operates a mobile shredding business.
- Adam, Beth, and Chris are partners in PSS.
- The PSS partnership agreement provides in relevant part that (1) each partner is required to devote substantially all of the partner's working efforts to the business and (2) any partner can withdraw from the partnership upon giving six months' written notice.
- PSS has not been profitable.

Condensed sample-answer path:

1. Point One(a) (25%) Under the Uniform Partnership Act (1997), Adam can dissociate from PSS without co

Short answer: Under the Uniform Partnership Act (UPA) § 601(1) (1997), a partner can dissociate from the partnership at any time by giving notice to the partnership.

Rule(s):

- Under the Uniform Partnership Act (UPA) § 601(1) (1997), a partner can dissociate from the partnership at any time by giving notice to the partnership.
- Here, Adam's dissociation would be wrongful because the partnership agreement requires the giving of six months' written notice.
- Therefore, even though the PSS partnership agreement requires that a partner give six months' written notice before the partnership can be dissolved, Adam can effectively dissociate from PSS.

Fact-based analysis:

- Thus, Adam can dissociate from the partnership by giving the partnership a notice of dissociation.

- Dissociation is wrongful if it is done in contravention of the terms of the partnership agreement.
- Because Adam's dissociation would be wrongful, Adam would be liable to the partnership and to Beth and Chris for any damages caused by his dissociation.
- Id. § 803(a) Generally, the provisions of the UPA (1997) are default law that can be modified by the terms of a partnership agreement.

Conclusion: Regardless of whether he complies with the partnership agreement, Adam's notice would result in the partnership's dissolution.

2. Point One(b) (20%) Under the Uniform Partnership Act (1997), while Adam may immediately dissociate f

Short answer: Under the UPA (1997), which recognizes the partnership as a separate legal entity from its partners, a partner's wrongful dissociation from the partnership does not cause the partnership to be dissolved if the remaining partners waive the right to have the partnership terminated and its business wound up.

Rule(s):

- Under the UPA (1997), which recognizes the partnership as a separate legal entity from its partners, a partner's wrongful dissociation from the partnership does not cause the partnership to be dissolved if the remaining partners waive the right to have the partnership terminated and its business wound up.
- If they did, the partnership would have to purchase Adam's interest, see id. § 701(a), for a buyout price determined in accordance with § 701(b).
- If Beth and Chris did not waive the right to wind up the business and terminate the partnership but decided to wind up the business and terminate the partnership, Adam could not participate in that winding-up process.

Fact-based analysis:

- Here, because Adam's dissociation would be wrongful (see Point One (a)), under Section 802(b), the partnership would be terminated and its business would up unless the remaining partners, Beth and Chris, waived those rights.
- Under the UPA (1914), a rightful or wrongful withdrawal results in the dissolution of the partnership.
- Thus, Beth and Chris could choose to continue the business.
- If they did choose to continue the business, Adam would be entitled to receive the value of his interest less the damages he caused by wrongfully causing the partnership's dissolution.

Conclusion: If Beth and Chris chose not to continue the business, Adam would have the same rights to the partnership property as Beth and Chris would have subject to any damages he would owe them.

3. Point Two(a) (20%) Under the Uniform Partnership Act (1997), if Adam gives the required six months'

Short answer: If Adam gives the six months' notice required under PSS's partnership agreement, his dissociation would not be wrongful.

Rule(s):

- If Adam gives the six months' notice required under PSS's partnership agreement, his dissociation would not be wrongful.
- A similar result follows under the See UPA §§ 37, 38(1) (1914).

Fact-based analysis:

- Thus, he would not be liable for damages to either the partnership or Beth or Chris.

- His dissociation would result in dissolution of the partnership with the requirement that the partnership's business be "wound up." Id. § 801(1); see also § 802(a).
- Because Adam's dissociation would not be wrongful, he is entitled to participate in the winding up of the partnership.
- Thus, by giving notice as required by the partnership agreement, Adam can force the cessation of operations of PSS and the sale of its assets.

Conclusion: Lastly, because his dissociation would not be wrongful, Beth and Chris could not cause a buyout of his interest, nor would he be liable to them for damages.

4. Point Two(b)(20%) If Adam gives the required six months' notice, the partnership will be dissolved a

Short answer: If Adam gives the required six months' notice, PSS will be dissolved and wound up.

Rule(s):

- If Adam gives the required six months' notice, PSS will be dissolved and wound up.
- However, Adam is still only one of three partners, all of whom may participate in the winding up.
- Because no facts suggest that Adam has controlling management authority, Adam may vote to conduct an immediate winding up and sale of assets, but could be consistently outvoted by Beth and Chris should they decide to continue the partnership for a reasonable time after its dissolution.

Fact-based analysis:

- Thus, Adam cannot force an immediate cessation of operations and sale of partnership assets even if he properly gives notice under the PSS partnership agreement.

Conclusion: A similar result should follow under the See UPA §§ 37, 38(1) (1914).

5. Point Three (15%) Partnership obligations appropriately incurred during the winding up process are o

Short answer: Under Section 804 of the Uniform Partnership Act (1997), the partnership is bound by a partner's act after dissolution if the act was appropriate to the winding up of the partnership.

Rule(s):

- Under Section 804 of the Uniform Partnership Act (1997), the partnership is bound by a partner's act after dissolution if the act was appropriate to the winding up of the partnership.
- If the partnership is bound, then each partner is liable for his proportionate share of the liability.
- A similar result follows under the UPA § 35(1) (1914).

Fact-based analysis:

- See UPA § 806 (1997); see also UPA § 306 (1997) ("all partners are liable jointly and severally for all obligations of the partnership").
- Thus, a dissociating partner, whether the dissociation was rightful or wrongful, cannot avoid liability for partnership debts incurred during the winding up process.
- The areas of law that may be covered by the questions on any MEE are Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Conflict of Laws, Constitutional Law, Contracts, Criminal Law and Procedure, Evidence, Family Law, Federal Civil Procedure, Real Property, Torts, Trusts and Estates (Decedents' Estates; Trusts and Future Interests), and Uniform Commercial Code (Negotiable Instruments and Bank Deposits and Collections; Secured Transactions).

Conclusion: Thus, a dissociating partner, whether the dissociation was rightful or wrongful, cannot avoid liability for partnership debts incurred during the winding up process.

Question call(s): 1. If Adam immediately withdraws from the partnership, what will be the consequences (a) to him and (b) to the partnership? Explain. | 2. If Adam gives six months' written notice before withdrawing from the partnership, what will be the consequences (a) to him and (b) to the partnership? Explain. | 3. If the partnership's business is wound up after Adam's withdrawal, will he be liable for partnership debts incurred during the winding-up process after his withdrawal? Explain.

February 2012 — Question 6

Primary source subject: Agency & Partnership

Question summary: This question involves A man and a woman validly formed a partnership ("Garden Partnership") to fix commercial gardening equipment. Several months after Garden Partnership began operations, it hired an employee who was a skilled mechanic. The core dispute asks Is Garden LLP liable for the $500,000 judgment against Garden Partnership? Explain. 2. Are the man and woman personally liable to the customer for the $500,000 judgment against Garden Partnership? Explain. 3. Is the investor personally... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Relevant facts to use:

- A man and a woman validly formed a partnership ("Garden Partnership") to fix commercial gardening equipment.
- The employee negligently repaired a piece of equipment for a customer.
- Shortly after entry of this judgment, the man and woman took the necessary steps to qualify Garden Partnership as a limited liability partnership, and they renamed it "Garden LLP."
- Shortly thereafter, the man and woman decided to expand the business.

Condensed sample-answer path:

1. Point One (45%) Garden LLP is liable to the customer for the judgment because the limited liability

Short answer: The In other words, the partnership itself is a legal entity and not a mere aggregate of individual partners.

Rule(s):

- An LLP continues to be the same entity that existed prior to the filing of a statement of qualification as an LLP.
- Here, since Garden LLP is the same entity as Garden Partnership, it has all of Garden Partnership's outstanding obligations, and Garden LLP is liable to the customer for the judgment. [NOTE: In states that have not adopted the UPA 1997, the same result follows if they have both the UPA 1914 and a separate statute providing for LLPs.]

Fact-based analysis:

- The In other words, the partnership itself is a legal entity and not a mere aggregate of individual partners.
- See UPA § 201(a) (1997) ("A partnership is an entity distinct from its partners.").
- "[T]he filing of a statement of qualification does not create a 'new' partnership.
- The filing partnership continues to be the same partnership entity that existed before the filing." Id. § 201 cmt.

Conclusion: Here, since Garden LLP is the same entity as Garden Partnership, it has all of Garden Partnership's outstanding obligations, and Garden LLP is liable to the customer for the judgment. [NOTE: In states that have not adopted the UPA 1997, the same result follows if they have both the UPA 1914 and a separate statute providing for LLPs.]

2. Point Two (35%) The man and woman are jointly and severally liable to the customer because the oblig

Short answer: Under the UPA (1997), the partners in a partnership are jointly and severally liable for all obligations of the partnership "unless otherwise agreed by the claimant or provided by law." UPA § 306(a) (1997). [A similar result follows from § 15 of the UPA 1914.] Because the customer has not otherwise agreed, the man and woman are jointly and severally liable for the judgment obtained against Garden Partnership unless otherwise provided by law.

Rule(s):

- Under the UPA (1997), the partners in a partnership are jointly and severally liable for all obligations of the partnership "unless otherwise agreed by the claimant or provided by law." UPA § 306(a) (1997). [A similar result follows from § 15 of the UPA 1914.] Because the customer has not otherwise agreed, the man and woman are jointly and severally liable for the judgment obtained against Garden Partnership unless otherwise provided by law.

Fact-based analysis:

- Here, the UPA does not protect the man and woman.
- The UPA provides that when a partnership has qualified as an LLP, any obligation "incurred while the partnership is a limited liability partnership, whether arising in contract, tort, or otherwise, is solely the obligation of the partnership." Id. § 306(c).
- Here, however, the obligation to the customer arose before the partnership qualified as an LLP, and the limited liability protection does not apply.
- Garden Partnership became a limited liability partnership only upon the filing of the statement of qualification with the secretary of state.

3. Point Three (20%) The investor is not personally liable to the customer because the customer's injur

Short answer: A person who is admitted as a partner is not personally liable for any partnership obligation incurred prior to the admission of the person to the partnership.

Rule(s):

- A person who is admitted as a partner is not personally liable for any partnership obligation incurred prior to the admission of the person to the partnership.
- Therefore, the investor has no personal liability to the customer. [NOTE: While not asked to do so by the question, an examinee may correctly point out that while the investor has no personal liability to the customer, the $50,000 that the investor contributed to the partnership is "at risk for the satisfaction of existing partnership debts." UPA § 306 cmt.

Fact-based analysis:

- In this case, the injury to the customer and, consequently, the partnership obligation arose before the investor was admitted as a partner.

Conclusion: Therefore, the investor has no personal liability to the customer. [NOTE: While not asked to do so by the question, an examinee may correctly point out that while the investor has no personal liability to the customer, the $50,000 that the investor contributed to the partnership is "at risk for the satisfaction of existing partnership debts." UPA § 306 cmt.

Question call(s): 1. Is Garden LLP liable for the $500,000 judgment against Garden Partnership? Explain. | 2. Are the man and woman personally liable to the customer for the $500,000 judgment against Garden Partnership? Explain. | 3. Is the investor personally liable to the customer for the $500,000 judgment against Garden Partnership? Explain.

February 2013 — Question 6

Primary source subject: Agency

Question summary: This question involves Over 5,000 individuals in the United States operate hot-air balloon businesses. A hot-air balloon has four key components: the balloon that holds the heated air, the basket that houses the riders, the propane burner that heats the air in the balloon, and the propane storage tanks. The core dispute asks Is the owner liable to the basket manufacturer for breach of the contract for the aluminum baskets? Is the agent liable? Explain. 2. Is the owner liable to the burner manufacturer for breach of the contract for the burners? Is the agent... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Relevant facts to use:

- Over 5,000 individuals in the United States operate hot-air balloon businesses.
- The owner of a hot-air balloon business recently notified several basket and burner manufacturers that she or her agent might be contacting them to purchase baskets or burners.
- The owner then retained an agent to acquire baskets, burners, and fuel tanks from various manufacturers.
- The agent then entered into three transactions with manufacturers, all of whom had no prior dealings with either the owner or the agent.

Condensed sample-answer path:

1. Point One (35%) The agent, but not the owner, is liable to the basket manufacturer. The agent had no

Short answer: An agent acting on behalf of a principal can bind the principal to contracts if the agent has either actual or apparent authority.

Rule(s):

- An agent acting on behalf of a principal can bind the principal to contracts if the agent has either actual or apparent authority.
- An agent has actual authority when contracting on behalf of his principal if he "reasonably believes, in accordance with the principal's manifestations to the agent, that the principal wishes the agent so to act." RESTATEMENT (THIRD) OF AGENCY § 2.01 (2006).
- Thus, when he contracted with the basket manufacturer to buy aluminum baskets, he had no actual authority to do so.

Fact-based analysis:

- Here, the agent was told to buy only wicker baskets, not aluminum baskets.

- Here the owner notified basket manufacturers that she or her agent might contact them to purchase baskets, but that notification did not specifically name the agent or any other person as the owner's agent.
- Thus, there is no basis to conclude that the basket manufacturer thought that the agent had apparent authority to act for the owner.
- Generally, when an agent acts on behalf of an undisclosed principal and the agent lacks authority to enter into the contract, the agent is liable on the contract as a party to the contract, but the principal is not liable.

Conclusion: Furthermore, because the third party has no idea that the agent is acting or is seemingly acting on behalf of another, there is no reason to believe that the third party would be expecting an undisclosed principal to be liable on the contract.

2. Point Two (35%) Because the owner is an unidentified (as opposed to undisclosed) principal, both she

Short answer: When the agent contracted with the burner manufacturer, he did not have actual authority to do so, as the owner had expressly restricted the agent's authority to purchase only burners with "whisper technology." See Point One.

Rule(s):

- When the agent contracted with the burner manufacturer, he did not have actual authority to do so, as the owner had expressly restricted the agent's authority to purchase only burners with "whisper technology." See Point One.
- However, the agent may have had apparent authority to buy burners without whisper technology.
- An agent acts with apparent authority "when a third party [with whom the agent acts] reasonably believes the actor has authority to act on behalf of the principal and that belief is traceable to the principal's manifestations." RESTATEMENT (THIRD) OF AGENCY § 2.03 (2006).

Fact-based analysis:

- Thus, the owner was a partially disclosed or unidentified principal.
- Arguably this distinguishes the burner contract from the basket contract.
- Here, there is a strong case to support the conclusion that the agent had apparent authority; if he did, then the owner is liable to the burner manufacturer.
- The agent also is liable as a party to the contract because he did not fully disclose his agency relationship.

Conclusion: Generally even an authorized agent of a partially disclosed or unidentified principal is liable as a party to a contract with a third person.

3. Point Three (30%) Under the Second Restatement of Agency, the owner is not liable on the contract fo

Short answer: The owner is not liable to the solar cell manufacturer for breach of the contract for the solar cells because the agent had no actual or apparent authority to purchase solar cells on the owner's behalf, and the owner, under the Second Thus, she is not liable as a ratifier of the contract.

Rule(s):

- The owner is not liable to the solar cell manufacturer for breach of the contract for the solar cells because the agent had no actual or apparent authority to purchase solar cells on the owner's behalf, and the owner, under the Second Thus, she is not liable as a ratifier of the contract.
- The facts state that the agent had authority to purchase only propane fuel tanks.
- In addition, he had no apparent authority to purchase solar cells.

Fact-based analysis:

- The owner made no manifestations to the solar cell manufacturer that would lead a reasonable person in the manufacturer's position to believe that the agent had the authority to bind the owner to a contract to purchase solar cells.
- The owner also did not ratify the contract.
- The agent also is liable to the solar cell manufacturer for breach of the contract for the solar cells because he is a party to the contract.
- Consequently, even if the agent were authorized (which, as discussed above, he is not), he would be liable as a party to the contract.

Conclusion: Only minimal credit should be given for discussion of inherent agency power.]

Question call(s): 1. Is the owner liable to the basket manufacturer for breach of the contract for the aluminum baskets? Is the agent liable? Explain. | 2. Is the owner liable to the burner manufacturer for breach of the contract for the burners? Is the agent liable? Explain. | 3. Is the owner liable to the solar cell manufacturer for breach of the contract for the solar cells? Is the agent liable? Explain. (Do not address liability based upon restitution or unjust enrichment.)

July 2013 — Question 2

Primary source subject: Agency & Torts

Question summary: This question involves After a dump truck unloaded gravel at a road construction job site, the trucker negligently drove away with the truck bed still in a raised position. The raised truck bed hit an overhead cable, causing it to fall across the highway. The core dispute asks The foreman is now threatening to sue the telephone company on the ground that it is responsible for its employee's negligence in authorizing the road construction crew to stretch the cable across the highway. The telephone company argues... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Relevant facts to use:

- After a dump truck unloaded gravel at a road construction job site, the trucker negligently drove away with the truck bed still in a raised position.
- The telephone company that owned the fallen cable sent one of its employees to the scene in a company vehicle.
- The foreman of the road construction job site asked the telephone company employee if the foreman's crew could lift the cable off the highway.
- Shortly thereafter, a bus passing under the telephone cable hit the cable and dislodged it, causing the cable to strike an oncoming car.

Condensed sample-answer path:

1. Point One (35%) The telephone company is liable for torts committed by its employee while acting wit

Short answer: Under the doctrine of respondeat superior, employers are liable for the actions of an employee when the employee is acting within the scope of his employment.

Rule(s):

- Under the doctrine of respondeat superior, employers are liable for the actions of an employee when the employee is acting within the scope of his employment.

- Here, the employee had no express authority to authorize the raising of the cable.
- His only duty was to determine whether a cable was down and, if so, to assess the damage and report to the telephone company.

Fact-based analysis:

- Thus, the employee was clearly acting with the intent to serve the telephone company's purposes.

Conclusion: The telephone company should have reasonably expected that when the employee arrived at the scene he would take necessary action to prevent further damage to its property if he were in a position to do so.

2. Point Two (30%) The telephone company could also be liable to the foreman under an apparent authorit

Short answer: A principal will sometimes be liable for torts committed by its agents even if the conditions of respondeat superior liability (i.e., an employer/employee relationship and conduct within the scope of employment) are not satisfied.

Rule(s):

- A principal will sometimes be liable for torts committed by its agents even if the conditions of respondeat superior liability (i.e., an employer/employee relationship and conduct within the scope of employment) are not satisfied.
- A principal can also be liable for an agent's torts if the principal has a special relationship with the injured person that imposed a special duty on the principal to take care to protect against the risk that the agent would harm the injured person.
- Finally, a principal is liable for a tort committed by an agent when the agent "appears to deal or communicate on behalf of [the] principal and the agent's appearance of authority enables the agent to commit [the] tort . . . ." See RESTATEMENT (THIRD) OF AGENCY § 7.08, cmt a.

Fact-based analysis:

- Here, the telephone company made manifestations to the foreman about the employee's authority when it sent its employee to the job site in a company vehicle.
- As a result of this reasonable belief, the foreman, acting on the employee's authorization, raised the cable, creating the circumstances leading to his injury.
- Thus, on an apparent authority theory the company could be liable assuming respondeat superior did not apply.

Conclusion: Thus, on an apparent authority theory the company could be liable assuming respondeat superior did not apply.

3. Point Three (35%) The employee's acts were probably the proximate cause of the foreman's injuries.

Short answer: In a negligence action, a defendant is liable only if his conduct was the proximate cause of the plaintiff's injury.

Rule(s):

- In a negligence action, a defendant is liable only if his conduct was the proximate cause of the plaintiff's injury.
- Here, it is likely that a court would find that the foreman's harm was proximately caused by the employee's negligence.
- Even when a defendant is negligent, his conduct must have "such an effect in producing the harm as to lead reasonable men to regard it as a cause, using that word in the popular sense, in which there always lurks the

idea of responsibility, rather than in the so-called 'philosophic sense,' which includes every one of the great number of events without which any happening would not have occurred." RESTATEMENT (SECOND) OF TORTS § 431, cmt. a.

Fact-based analysis:

- Thus, a plaintiff who negligently exceeds a speed limit and therefore happens to be on the spot where a tree falls during a violent windstorm may still recover for injuries caused by the tree (see Berry v.
- Here, it was entirely foreseeable that a vehicle would strike the raised cable, causing impact damage to cars and persons within the range of the cable's fall; that is what made the employee's conduct negligent.
- Given that the cable was stretched over a highway, it was also foreseeable that a car struck by a cable would go out of control and cause injuries to other vehicles or bystanders, and that is exactly what happened here: the driver lost control of the car, hitting another vehicle and thereby causing serious personal injury to a bystander, the foreman.

Conclusion: A court is thus likely to find that the employee's negligence was the proximate cause of the foreman's injuries.

Question call(s): 1. the telephone company employee's acts were outside the scope of his employment and thus cannot be attributed to the telephone company; | 2. there is no other agency theory under which the foreman could hold the telephone company liable for its employee's acts; and | 3. the telephone company employee's acts were not the proximate cause of the foreman's injuries.

February 2014 — Question 6

Primary source subject: Agency & Partnership

Question summary: This question involves Five years ago, Adam and Ben formed a general partnership, Empire Partnership (Empire), to buy and sell antique automobiles at a showroom in State A. Adam contributed $800,000 to Empire, and Ben contributed $200,000. The core dispute asks One year ago, a driver purchased a vintage car from Empire LLP, based on the representation that the car was "fully roadworthy and capable of touring at 70 mph all day." The driver took the car on the highway at 50 mph, whereupon the front... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Relevant facts to use:

- Five years ago, Adam and Ben formed a general partnership, Empire Partnership (Empire), to buy and sell antique automobiles at a showroom in State A.
- Three years ago, a collector purchased one of Empire's antique cars for $3,400,000.
- Two years ago, Adam and Ben admitted a new partner, Diane, to Empire in return for her contribution of $250,000.
- Following Diane's admission to Empire, the three partners sought to convert Empire into a limited liability partnership (LLP).

Condensed sample-answer path:

1. Point One (30%) As a general partner of Empire, a general partnership, Adam became personally liable

Short answer: When the collector's claim arose, Empire was a general partnership composed of Adam and Ben.

Rule(s):

- When the collector's claim arose, Empire was a general partnership composed of Adam and Ben.
- Under UPA (1997) § 306(a), partners of a general partnership are liable jointly and severally for all obligations of the partnership.
- Under UPA (1997) § 305(a), the partnership could become obligated for the loss caused to the collector as a result of the misrepresentation by Ben, provided he was acting in the ordinary course of the partnership business.

Fact-based analysis:

- Because there was no statement that limited his partnership authority, Ben as partner was "an agent of the partnership for the purpose of its business." See UPA (1997) § 301(1).
- Ben's misrepresentation to the collector, even if intentional, appears to be in the ordinary course of the partnership's business of dealing in antique cars.
- Thus, Ben's wrongful act created a partnership obligation for which Adam was jointly and severally liable. [NOTE: Generally, a partnership creditor must "exhaust the partnership's assets before levying on a judgment debtor partner's individual property where the partner is personally liable for the partnership obligation" as a result of his status as a partner.
- As the UPA comments explain, this places Adam more in the position of guarantor than principal debtor on the partnership obligation.

Conclusion: Thus, Ben's wrongful act created a partnership obligation for which Adam was jointly and severally liable. [NOTE: Generally, a partnership creditor must "exhaust the partnership's assets before levying on a judgment debtor partner's individual property where the partner is personally liable for the partnership obligation" as a result of his status as a partner.

2. Point Two (30%) Because the collector's claim arose before Diane joined Empire, Diane did not become

Short answer: Diane was admitted to Empire when it was a general partnership and after the collector's claim arose.

Rule(s):

- Under UPA (1997) § 306(b), a person admitted to an existing partnership is not personally liable for any partnership obligations incurred before the person's admission.

Fact-based analysis:

- Diane was admitted to Empire when it was a general partnership and after the collector's claim arose.
- While the general rule under UPA (1997) § 306(a) is that the partners of a general partnership are liable jointly and severally for all obligations of the partnership, there is a special rule for partners who are admitted during the duration of the partnership.
- Because Diane was admitted to Empire after the collector's claim arose, Diane is not personally liable on the claim.
- Although partners who have a liability shield can assume liability to third parties through private contractual guarantees or modifications to the partnership agreement, Diane's stated concern constituted neither a guaranty to the collector nor "an intentional waiver of liability protections." See UPA (1997) § 306, cmt.

Conclusion: At most, Diane will lose her investment in the partnership as a result of the collector's claim.

3. Point Three (40%) Filing the statement of qualification was effective to elect limited liability par

Short answer: Under UPA (1997) § 1001, a general partnership can make an election and become a limited liability partnership—if the partners approve the conversion by a vote equivalent to that necessary to amend the partnership agreement and the partnership then files a statement of qualification that specifies the name of the partnership, its principal office, and its election to be an LLP.

Rule(s):

- Under UPA (1997) § 1001, a general partnership can make an election and become a limited liability partnership —if the partners approve the conversion by a vote equivalent to that necessary to amend the partnership agreement and the partnership then files a statement of qualification that specifies the name of the partnership, its principal office, and its election to be an LLP.
- Under UPA (1997) § 306(c), an obligation incurred while a partnership is an LLP is solely a partnership obligation.
- But there may be personal liability if any of them was negligent or otherwise acted wrongfully by not informing the buyer of the bad suspension that caused the accident.

Fact-based analysis:

- Here the partners agreed unanimously—sufficient to amend their agreement under UPA (1997) § 401(j)—and the statement of qualification was filed.
- Although another way to effectuate a "conversion" (as suggested by Ben's lawyer) is to form a new LLP and transfer the assets of the old general partnership to the new LLP, the method used here (approval by the partners and the filing of a statement of qualification) is also sufficient to create LLP status.
- Thus, Empire became Empire LLP as of the date of filing of the statement of qualification.
- According to UPA (1997) § 306(c), an obligation incurred while a partnership is an LLP is solely a partnership obligation.

Conclusion: Thus, Adam, Ben, and Diane as partners are all protected from personal liability on the driver's estate's claim.

Question call(s): 1. Before the filing of the statement of qualification, (a) was Adam personally liable on the collector's claim? Explain. (b) was Diane personally liable on the collector's claim? Explain. | 2. After the filing of the statement of qualification, was Adam, Ben, or Diane personally liable as a partner on (a) the collector's claim or (b) the driver's estate's claim? Explain.

February 2015 — Question 1

Primary source subject: Agency/Torts

Question summary: This question involves For many years, a furniture store employed drivers to deliver furniture to its customers in vans it owned. Several months ago, however, the store decided to terminate the employment of all its drivers. The core dispute asks For many years, a furniture store employed drivers to deliver furniture to its customers in vans it owned. Several months ago, however, the store decided to terminate the employment of all its drivers. At the same time, the store offered… Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- ANALYSIS
- Is the driver an independent contractor or an employee of the store?
- Did the driver's violation of the store's delivery rules place his act outside the scope of his employment?
- May the driver be found liable to the passenger in the car for personal injuries resulting from his violation of a double-parking ordinance?
- If the store pays damages to the passenger, is it entitled to indemnification from the driver? Summary
- see also RESTATEMENT (THIRD) AGENCY § 7.07

Relevant facts to use:

- For many years, a furniture store employed drivers to deliver furniture to its customers in vans it owned.
- The store argues that it is not liable for the passenger's injuries because (a) the driver is an independent contractor; (b) even if the driver is not an independent contractor, the driver was not making a delivery for the store when the accident occurred; and (c) the driver himself could not be found liable for the passenger's injuries.
- 1.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: The driver is likely to be characterized as an employee, not as an independent contractor, because his conduct was subject to the store's control.

Rule(s):

- Under the respondeat superior principle, an employer is liable for the tortious acts of its employee if those acts were performed within the scope of the employee's employment.
- Finally, if the store is found liable for the driver's negligence and pays damages to the passenger, under common law principles the store is entitled to indemnification from the driver because the store was not itself at fault in causing the accident.
- The store is not liable for torts committed by the driver if the store employed him as an independent contractor to deliver furniture.

Fact-based analysis:

- The driver is likely to be characterized as an employee, not as an independent contractor, because his conduct was subject to the store's control.
- Here, the driver's violation of the store's delivery rules likely did not place his act outside the scope of his employment because the driver did not deviate substantially from his route and the risks caused by his deviation were not different from the risks inherent in his authorized activities.
- In virtually all jurisdictions, the driver could be found liable for the passenger's injuries.
- The driver was negligent in violating a traffic ordinance and the type of harm that occurred, a traffic accident, was among those that the ordinance was aimed to avert.

Conclusion: Consequently, if the store is required to pay damages to the passenger, the driver will be liable to the store for the amount paid. [NOTE: In some states, this common law principle has been modified by statutes or court decisions that prevent employers from seeking indemnification from employees in certain circumstances.] [NOTE: An examinee who concludes that the store's delivery drivers routinely double-parked, and that the store had actual or implied notice of that practice, should conclude that the store could be found negligent and that contribution but not indemnification would be available to the store.]

Question call(s): 1. Evaluate each of the store's three arguments against liability. 2. Assuming that the store is liable to the passenger for the passenger's injuries, what rights, if any, does the store have against the driver? Explain.

February 2016 — Question 3

Primary source subject: Agency & Partnership

Question summary: This question involves Four years ago, a man and a woman properly formed a partnership to own and manage a multimillion-dollar apartment complex. They qualified the partnership as a limited liability partnership (LLP). The core dispute asks Is LLP liable to the bank on the loan? Explain. 2. Is the woman personally liable to the bank on the loan? Explain. 3. Is the man liable for breaching his fiduciary duties and, if so, to whom is he liable? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- ANALYSIS
- Is LLP liable to the bank on the loan undertaken by a partner acting beyond his actual authority, but within the partnership's ordinary course of business?
- Is the woman personally liable to the bank on the loan it made to LLP?
- (a) Did the man breach his fiduciary duties by entering into an unauthorized transaction and appropriating partnership assets for his own use?
- (b) If the man breached any fiduciary duties, does the woman and/or LLP have a claim against the man? Summary
- . RUPA has been adopted in the following MEE jurisdictions: Alabama, Arizona, Arkansas, Colorado, Connecticut, the District of Columbia, Hawaii, Idaho, Illinois, Iowa, Kansas, Kentucky, Mississippi, Montana, Nebraska, Nevada, New Mexico, North Dakota, Oregon, South Dakota, and West Virginia. The analysis would be substantially the same in states that continue to use UPA

Relevant facts to use:

- Four years ago, a man and a woman properly formed a partnership to own and manage a multimillion-dollar apartment complex.
- 2.
- 3.

Condensed sample-answer path:

1. Point Three(b) (20%)

Short answer: The woman (or the partnership) can bring a direct action against the man for breaching his duties of loyalty and care.

Rule(s):

- The woman can also bring an accounting action seeking to have the man pay damages to the partnership for his loyalty breach.
- Although the partnership could seek damages for these breaches as well, in this two-person partnership it is unlikely that the man would agree to have the partnership sue him. [NOTE: Some examinees might conclude

that the woman can bring a direct action only for the man's care breach, and the woman would have to pursue an accounting action with respect to the loyalty breach.

Fact-based analysis:

- The woman (or the partnership) can bring a direct action against the man for breaching his duties of loyalty and care.
- The duties of loyalty and care run to both "the partnership and the other partners." See RUPA § 409(a); cf.
- Thus, the partnership can maintain an action against a partner for violating his fiduciary duties to the partnership and thus causing harm to the partnership.
- In addition, a partner can maintain an action against another partner, with or without an accounting, to enforce the partner's rights under the partnership act, including an action for violations of duties.

Conclusion: Although the partnership could seek damages for these breaches as well, in this two-person partnership it is unlikely that the man would agree to have the partnership sue him. [NOTE: Some examinees might conclude that the woman can bring a direct action only for the man's care breach, and the woman would have to pursue an accounting action with respect to the loyalty breach.

Question call(s): 2. Is the woman personally liable to the bank on the loan? Explain. | 3. Is the man liable for breaching his fiduciary duties and, if so, to whom is he liable? Explain.

February 2017 — Question 5

Primary source subject: Agency

Question summary: This question involves An inventor retained a woman to act as his agent to purchase 25 computer chips, 25 blue lenses, and 25 lawn mower shutoff switches. The inventor told her to purchase only: • Series A computer chips, • blue lenses that cost no more than $300 each, and • shutoff switches that could shut down a lawn... The core dispute asks Who is liable to the chip manufacturer: the inventor, the woman, or both? Explain. 2. Who is liable to the blue-lens manufacturer: the inventor, the woman, or both? Explain. 3. Who is liable to the shutoff-switch manufacturer: the... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- ANALYSIS
- When an agent enters into a contract with a third party on behalf of a disclosed principal on terms that were not authorized by the principal, who is liable to the third party: the agent, the principal, or both?
- When an agent enters into a contract with a third party on behalf of an undisclosed principal on terms authorized by the principal, who is liable to the third party if the principal later repudiates the contract: the agent, the principal, or both?
- When an agent enters into a contract with a third party on behalf of a partially disclosed principal for goods different from those authorized by the principal, who is liable to the third party if the principal accepts the different goods: the agent, the principal, or both? Summary
- . Here, the shutoff-switch manufacturer knew that the woman was acting as someone's agent but there is nothing to indicate that the manufacturer was aware of the principal's identity. Thus, the inventor is a "partially disclosed principal." A partially disclosed principal can be liable on a contract entered into by an agent who had actual or apparent authority. 02

- . Here, the woman acted without actual or apparent authority, so this cannot be the basis to hold the inventor liable on the contract. See Point One. On the other hand, even though the woman acted without actual or apparent authority, the inventor accepted the shutoff switches and used them in the production of the mowers. This amounts to a ratification of the contract between the woman and the switch manufacturer. Where the principal ratifies the act of an agent, the principal is liable on the contract just as if the agent had acted with actual authority. 01

Relevant facts to use:

- An inventor retained a woman to act as his agent to purchase 25 computer chips, 25 blue lenses, and 25 lawn mower shutoff switches.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: As a general matter, an agent binds a principal to a contract, whether or not the principal is disclosed to the third party, if the agent had either actual or apparent authority to enter into the contract.

Rule(s):

- As a general matter, an agent binds a principal to a contract, whether or not the principal is disclosed to the third party, if the agent had either actual or apparent authority to enter into the contract.
- Without that authority, the agent alone is liable on the contract unless the principal becomes liable by subsequently ratifying the contract.
- An agent acting with authority is not liable on the contract if the principal's identity is disclosed to the third party, but is liable if the principal's identity is not disclosed or only partially disclosed, unless the contract provides otherwise.

Fact-based analysis:

- Applying these principles here, because the woman disclosed that she was acting for the inventor on the chip contract, but purchased different chips from those specified by the inventor, the inventor is not liable because the woman did not have authority to enter into the contract; the woman is also liable on the chip contract because she impliedly warranted that she had authority.
- Both the woman and the inventor are liable on the blue-lens contract.
- Although the woman did not disclose that she was acting for the inventor on the blue-lens contract, the inventor is liable on this contract because he had given the woman actual authority to buy the blue lenses on his behalf; the woman is also liable because she signed the contract in her own name.
- Finally, both the inventor and the woman are liable on the shutoff-switch contract that the woman entered into on behalf of the partially disclosed inventor, even though the switches were different from those authorized.

Conclusion: Thus, neither the inventor nor the woman can escape liability by making a demand on the manufacturer to make an election to take judgment against the other.]

February 2018 — Question 6

Primary source subject: Agency

Question summary: This question involves A man and a woman were equal partners in a neighborhood natural-foods store. The store had been at the same location for many years and had developed a loyal following. The core dispute asks What duties, if any, did the man breach by purchasing the building? Explain. Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- ANALYSIS
- May a partner properly withdraw from a partnership that has no definite term or specific undertaking?
- What is the legal effect of a partner's withdrawal from an at-will partnership— both on the partnership and on the withdrawing partner's duties?
- What are the duties of a withdrawing partner during the winding up of a dissolved partnership with respect to business opportunities that came to the partner's attention during the partnership? Summary
- (UPA) or the Revised Although the terminology regarding partnership dissolution and winding up are somewhat different under the two Acts, the legal ramifications of the partner's withdrawal in this two- person, at-will partnership are essentially the same under both Acts. In addition, the revised Act codifies and clarifies the fiduciary duties of partners, and the analysis on this topic cites both the RUPA provisions and applicable case law. All states, except Louisiana, have adopted a version of the As of 2017, most states
- have adopted the revised Act, though only a handful have adopted the 2013 amendments. The original Act, however, remains applicable in the following MEE jurisdictions: Missouri, New Hampshire, New York, Rhode Island, and Wisconsin. See] Point One (25%) The man's email to the woman constituted a withdrawal from the partnership and did not violate the partnership agreement. A partner may withdraw from a partnership by giving notice at any time. UPA § 31; RUPA § 601

Relevant facts to use:

- A man and a woman were equal partners in a neighborhood natural-foods store.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: The man had the right to withdraw from the partnership, and his email stating that he was "leaving" expressed his will to withdraw.

Rule(s):

- The man's purchase of the building violated his duty of loyalty not to appropriate partnership opportunities during the winding-up process, and the purchase was not in good faith because the man failed to inform the woman of the opportunity when he learned of it before he withdrew from the partnership. [NOTE: An examinee may analyze this question under either the Uniform Partnership Act (1914) (UPA) or the Revised Although the terminology regarding partnership dissolution and winding up are somewhat different under the two Acts, the legal ramifications of the partner's withdrawal in this two- person, at-will partnership are essentially the same under both Acts.
- A partner may withdraw from a partnership by giving notice at any time.
- A partner always has the power to withdraw by express will, even if such withdrawal is wrongful or in contravention of the partnership agreement, such as early withdrawal from a partnership with a definite term.

Fact-based analysis:

- The man had the right to withdraw from the partnership, and his email stating that he was "leaving" expressed his will to withdraw.
- His withdrawal was not wrongful, given that the partnership had no definite term or particular undertaking.
- The man's withdrawal from the partnership caused the partnership to be dissolved, but this dissolution did not terminate the man's duties to the woman during the winding up of the partnership business.
- During the winding up of the partnership business, the man continued to owe fiduciary duties to the partnership and the woman, as well as duties of good faith and fair dealing.

Conclusion: An examinee might also point out that the proper remedy in this case would be for the man to hold the building in trust as a partnership asset, thus allowing the woman to participate in the building's special value to the partnership.

February 2019 — Question 3

Primary source subject: Agency & Partnership

Question summary: This question involves Five years ago, three radiologists—Carol, Jean, and Pat—opened a radiology practice together. They agreed to call their business "Radiology Services," to split the profits equally, and to run the practice together in a manner that would be competitive. The core dispute asks What type of business entity is Radiology Services? Explain. 2. Did Carol have the authority to purchase the imaging machine without the consent of Jean and Pat? Explain. 3. Did Jean's statements to Carol constitute a withdrawal from... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- ANALYSIS
- What type of business entity is Radiology Services?
- Did Carol have the authority to purchase the imaging machine without the consent of Jean and Pat?
- Did Jean's statements to Carol constitute a withdrawal from Radiology Services?
- Were Jean's statements sufficient to entitle her to receive a buyout payment from Radiology Services for her interest in the practice? Summary
- , or the Uniform Partnership Act

Relevant facts to use:

- Five years ago, three radiologists—Carol, Jean, and Pat—opened a radiology practice together.

Condensed sample-answer path:

February 2020 — Question 5

Primary source subject: Agency

Question summary: This question involves Linda owned and operated a clothing store as a sole proprietorship. To increase sales, she decided to offer a same-day delivery service to local customers. The core dispute asks 1.5, citing specific instances of misbehavior, untrustworthiness, and bad driving. The website also reported that in the last couple of years, the driver had been sued three times for negligent driving and had been found liable in each...

Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Is Linda liable to the sign shop for the purchase price of the signs?
- Is the driver liable to the sign shop for the purchase price of the signs?
- Even though the driver was an independent contractor, is Linda vicariously liable to the customer for the injuries resulting from the driver's negligence?
- Is Linda directly liable to the customer for the injuries the customer sustained?
- ,
- An examinee might note that the sign contract is governed by UCC Article 2. This is accurate but does not change the analysis. Even in contracts governed by Article 2, common law agency principles apply. UCC § 1-103(b).] Point Two (25%) The driver (the agent) is not liable to the sign shop on the contract because Linda (the principal) was a disclosed principal and is liable on the contract, even though the driver breached an implied warranty of authority when he entered into the contract on Linda's behalf. When an agent with actual or apparent authority contracts on behalf of a disclosed principal, a contract arises between the principal and the third party, but not between the agent and the third party unless they otherwise agree. 01 (agent not a party if he had actual or apparent authority); Here, although the driver exceeded his actual authority when he contracted to purchase a pair of signs for $450, he nonetheless had apparent authority to enter into the contract with the sign shop on behalf of Linda's store, which was a disclosed principal (see Point One). Thus, the driver is not liable on the sign-shop contract. This conclusion is not affected by the driver's lack of actual authority. Generally, if a person who purports to contract with a third party on behalf of another has no power to act for the other, the person is liable to the third party for breach of implied warranty of authority. 10; But the comments to section 6.10 note: "If a principal is bound to a third party on the basis of an agent's apparent authority, the agent is not subject to liability to the third party on the agent's implied warranty of authority, although the agent acted without actual authority." 10, cmt. b. Accord, Thus, even though the driver acted without actual authority, he is not liable for breaching an implied warranty of authority because Linda is bound based on the driver's apparent authority. Point Three (25%) Linda probably is vicariously liable to the customer because the driver was acting with apparent authority at the time he negligently injured the customer, given that the customer reasonably believed that the driver was acting as agent for Linda, and the driver's negligence occurred while he was making a delivery to the customer. Under the doctrine of respondeat superior, an employer (master) is vicariously liable—that is, strictly liable regardless of the employer's fault—for the physical torts of an employee (servant) where the tort is committed within the scope of employment. See 03

Relevant facts to use:

- Linda owned and operated a clothing store as a sole proprietorship.
- 3.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Linda (the principal) is liable to the sign shop even though the driver (her agent) acted without actual authority.

Rule(s):

- Summary Linda (the principal) is liable to the sign shop even though the driver (her agent) acted without actual authority.

- The driver had apparent authority to enter into the contract because the business card given to the sign shop owner at Linda's direction manifested Linda's consent to having the driver purchase signs as agent for her store.
- Further, given that the card had no stated limitation on price or mode of purchase, the driver had apparent authority to enter into a contract at a reasonable price on credit.

Fact-based analysis:

- Even though the driver (the agent) exceeded his actual authority, he is not liable to the sign shop because Linda (the principal) was disclosed and is solely liable to the sign shop.
- Linda probably is vicariously liable to the customer for injuries resulting from the driver's negligence because the driver was acting for Linda with apparent authority; the customer, based on conversations with Linda, believed that the driver was Linda's agent; and the driver's negligent actions occurred while he was making a delivery to the customer.
- Linda's vicarious liability arises even though the driver was acting as an independent contractor, not as Linda's employee.
- Linda is also directly liable to the customer because of her negligent selection of the driver as an agent for her store, given that she was aware of his record of negligent driving.

Conclusion: Thus, there is a sufficient basis for finding that Linda's negligent selection of the driver was the cause of the customer's injuries.

Question call(s): 3. Even though the driver was an independent contractor, is Linda vicariously liable to the customer for the injuries resulting from the driver's negligence? Explain. 4. Is Linda directly liable to the customer for the injuries the customer sustained? Explain.

February 2021 — Question 1

Primary source subject: Agency & Partnership

Question summary: This question involves A woman owns and operates a food-truck business. Business has been good. The core dispute asks Is the man an employee of the woman? Explain. (b) Assuming that the man is an employee of the woman, would the woman be vicariously liable to the farmer for the damage proximately caused by the man's negligence? Explain. 3. (a) Is the man... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- (a) Are the woman and the man partners in the food-truck business?
- (b) Assuming that the woman and the man are partners in the food-truck business, would the woman be liable to the farmer for damages proximately caused by the man's negligence?
- (a) Is the man an employee of the woman?
- (b) Assuming that the man is an employee of the woman, would the woman be vicariously liable to the farmer for damages proximately caused by the man's negligence?
- (a) Is the man the woman's non-employee agent?
- (b) Assuming that the man is the woman's non-employee agent, would the woman be vicariously liable to the farmer for damages proximately caused by the man's negligence?

Relevant facts to use:

- A woman owns and operates a food-truck business.
- (b) Assuming that the man is an employee of the woman, would the woman be vicariously liable to the farmer for the damage proximately caused by the man's negligence?

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary The liability of the woman to the farmer for the man's negligence depends on the nature of the legal relationship between the woman and the man.

Rule(s):

- Summary The liability of the woman to the farmer for the man's negligence depends on the nature of the legal relationship between the woman and the man.
- The man's negligence, if it occurred while the man was carrying on ordinary partnership business as appears to be the case here, would create a partnership obligation and expose the woman to potential liability to the farmer.
- Thus, the woman would not be liable for the man's negligence because principals generally are not liable for the negligence of their non-employee agents in the absence of an authorization by the principal for the agent to act negligently.

Fact-based analysis:

- There are three possible relationships that could result in liability, each carrying different liability implications for the woman.
- These relationships are partnership, employment, and agency.
- It is unlikely that the woman and the man are partners.
- Beyond buying and delivering produce as requested, the man does not participate in the control and management of the food-truck business, Thus, it is unlikely that he is a co-owner of the business.

Conclusion: Similarly, credit should not be given for the observation that a principal can become directly liable for the negligent hiring or supervision of an employee or agent because the question asked only for an analysis of the woman's vicarious liability to the farmer given her relationship with the man.]

February 2022 — Question 4

Primary source subject: Agency

Question summary: This question involves Peter planned to open a 50-seat pizza parlor that would also make pizzas for home-delivery service. He asked his sister Angela to make some purchases for his pizza parlor. The core dispute asks Is Peter bound by the contract signed by Angela with the furniture store? Explain. b) Is Angela bound by the contract she signed with the furniture store? Explain. 2. As to the used cargo bike, can Angela recoup from Peter the $8,000 that... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- As to the purchase of the yellow chairs: (a) Is Peter bound by the contract signed by Angela with the furniture store? (b) Is Angela bound by the contract she signed with the furniture store?
- As to the used cargo bike, can Angela recoup from Peter the $8,000 that she paid to the bike shop for it?
- As to the pizza oven, is Peter bound by the contract signed by Angela?
- , accord, Restatement (Second) of Agency § 140
- . Actual authority "is created by a principal's manifestation to an agent that, as reasonably understood by the agent, expresses the principal's assent that the agent take action on the principal's behalf." 01, accord, Here, Peter and Angela had no
- , accord Here, given that the store owner had no notice that Angela was acting as an agent for any other person and, furthermore, that Angela signed the chair contract in her name alone, Peter is clearly an undisclosed principal. Restatement (Second) of Agency § 4

Relevant facts to use:

- Peter planned to open a 50-seat pizza parlor that would also make pizzas for home-delivery service.
- 2.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary As to the 50 yellow chairs, Peter is not bound by the contract with the furniture store because Angela entered into that contract without actual or apparent authority.

Rule(s):

- Summary As to the 50 yellow chairs, Peter is not bound by the contract with the furniture store because Angela entered into that contract without actual or apparent authority.
- Therefore, Angela is entitled to be reimbursed for the cost of the bike because she is deemed to have acted with actual authority by virtue of Peter's ratification of the purchase.
- As to the pizza oven, Peter is bound by the contract for the pizza oven because Angela acted with apparent authority when signing the contract on behalf of Peter and the price paid under the contract was a fair price.

Fact-based analysis:

- Angela, on the other hand, is bound by the contract with the furniture store because she was a party to the contract acting on behalf of an undisclosed principal.
- Point One(a) (30%) Peter is not bound by the contract that Angela signed with the furniture store because Angela had neither actual nor apparent authority to purchase the yellow chairs on Peter's behalf.
- An agent binds a principal to a contract entered into between the agent and a third party if the agent acts with actual or apparent authority.
- Thus, because Angela lacked both actual and apparent authority to purchase yellow chairs on Peter's behalf, Peter is not bound by the contract that Angela signed with the furniture store for the purchase of yellow chairs.

Conclusion: Thus, Peter is bound by the contract to purchase the pizza oven.

Question call(s): 2. As to the used cargo bike, can Angela recoup from Peter the $8,000 that she paid to the bike shop for it? Explain. 3. As to the pizza oven, is Peter bound by the contract signed by Angela? Explain.

February 2024 — Question 1

Primary source subject: Agency & Partnership

Question summary: This question involves In February, Wendy opened Kibble, a store selling dog food made from organic ingredients as well as dog toys and dog grooming products. Wendy operated Kibble as a sole proprietorship. The core dispute asks May 1, in response to Wendy's request, Mary delivered to Wendy a check payable to "Kibble." In exchange for this contribution, Wendy agreed in a signed writing to pay Mary 15% of Kibble's monthly profits for as long as Kibble remained in... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- What is the legal relationship among Wendy, Mary, and Angelo?
- Is Bob entitled to Mary's share of the monthly profits of Kibble?
- Is Bob entitled to inspect the books and records of Kibble?
- Is Wendy entitled to use the delivery van on Sundays to take her nieces to their softball games?
- § 202(a); see also UPA
- § 6

Relevant facts to use:

- In February, Wendy opened Kibble, a store selling dog food made from organic ingredients as well as dog toys and dog grooming products.
- 1.

Condensed sample-answer path:

Question call(s): 1. What legal relationships have the parties established through their dealings? Explain. 2. Is Bob entitled to Mary's share of the monthly profits of Kibble? Explain. 3. Is Bob entitled to inspect the books and records of Kibble? Explain. 4. Is Wendy entitled to use the delivery van on Sundays to take her nieces to their softball games? Explain.

February 2025 — Question 1

Primary source subject: Agency & Partnership

Question summary: This question involves Bill and Nancy recently opened a gym, "Comet Fitness," that they operate as a general partnership. Three blocks from the gym is a sporting-goods store that is having a "goingout-of-business sale" with signs in the store's windows stating that "all sales are final." Bill and Nancy are acquainted... The core dispute asks Bill and Nancy recently opened a gym, "Comet Fitness," that they operate as a general partnership. Three blocks from the gym is a sporting-goods store that is having a "goingout-of-business sale" with signs in the store's windows stating... Main issues tested include agency authority, partnership formation/liability, fiduciary duties, and partner/entity liability.

Issues tested:

- Was Kim an agent of Comet Fitness when she purchased the treadmill?
- Assuming that Kim was an agent of Comet Fitness, (a) did she have actual authority to purchase the treadmill for Comet Fitness? (b) did she have apparent authority to purchase the treadmill for Comet Fitness?

- Did Nancy have the authority to bind Comet Fitness to the contract to purchase the two treadmills with the built-in video touchscreens?
- further provides that “an agent has actual authority to take action designated or implied in the principal’s manifestation to the agent and acts necessary or incidental to achieving the principal’s objectives . . . .” On these facts, it is clear that there was no manifestation from the partnership to Kim that would lead Kim to reasonably believe that it wished her to act on its behalf to purchase a treadmill. Even if we assume Kim was a personal trainer (since the question asks us to assume Kim was an agent, and the role that was contemplated was her being a personal trainer), she was not expressly authorized to buy a treadmill. Moreover, it was not implied from her title of or her being, a personal trainer that Nancy (or Bill) manifested an intent to grant Kim actual authority to purchase the treadmill. At most, Kim overheard a conversation between Bill and Nancy expressing Bill's wish that the gym had two more treadmills. But no one mentioned that anyone, including Nancy, would purchase treadmills. Thus, Kim had no actual authority to purchase the treadmill from the sporting-goods store for Comet Fitness. Point Two(b) (25%) Kim lacked apparent authority to purchase a treadmill for Comet Fitness. Assuming that Kim was an agent of Comet Fitness, she did not have any apparent authority to purchase the treadmill. "Apparent authority…is created by a person’s manifestation that another has authority to act with legal consequences for the person who makes the manifestation, when a third party reasonably believes the actor to be authorized and the belief is traceable to the manifestation." 03. There was no communication to the owner of the sporting-goods store from anyone on behalf of Comet Fitness except Bill’s statement to the owner: "I hope you’ve got some nice treadmills; the gym could use one or more. I'll try to get over there to check them out." Although this statement suggested that Bill wanted more treadmills for the gym, it was not a sufficient basis for the store owner to reasonably believe that the gym intended to purchase treadmills or do anything more than investigate the store's inventory. Furthermore, the statement in no way communicated that Kim could make such a purchase on behalf of Comet Fitness. Thus, there is no basis to conclude that Kim had apparent authority to purchase a treadmill from the sporting-goods store on Comet Fitness’s behalf, even assuming that Kim was an agent of Comet Fitness. [NOTE: While an agent can create the appearance of that agent’s own authority through manifestations of the agent that were authorized by the principal, here, there were no such authorized manifestations.] Point Three (35%) Comet Fitness is bound on the contract to purchase the two treadmills with the built-in video touchscreens because Nancy, as a general partner, was empowered to purchase them for the partnership. Unlike Kim, Nancy is a general partner of Comet Fitness. Because she is a general partner, she is also an agent of the partnership. Revised Unif. Partnership Act § 301
- (1997, as amended 2013). A partner’s act in "apparently carrying on in the ordinary course the partnership business" binds the partnership "unless the partner did not have authority to act for the partnership in the particular matter and the person with which the partner was dealing knew or had notice that the partner lacked authority." Id. Accord, Unif. Partnership Act § 9
- . Here Nancy had actual authority to purchase the treadmills from the sporting-goods store for the benefit of Comet Fitness. First, Comet Fitness was a gym that used treadmills. Second, as evident from the conversation between Bill and Nancy, Comet Fitness needed additional treadmills. Third, the two treadmills were similar to the treadmills that Nancy had previously purchased for the gym. So Nancy's purchase of two treadmills was for "apparently carrying out the business of the partnership" in the ordinary course. [NOTE: No credit should be given for a

Relevant facts to use:

- Bill and Nancy recently opened a gym, "Comet Fitness," that they operate as a general partnership.
- The delivery person immediately called the store owner, who said, "Leave them all at the gym.

Condensed sample-answer path:

1. Point Two(a) (10%) Kim lacked actual authority to purchase a treadmill for Comet Fitness. Assuming t

Short answer: to check them out." Although this statement suggested that Bill wanted more treadmills for the gym, it was not a sufficient basis for the store owner to reasonably believe that the gym intended to purchase treadmills or do anything more than investigate the store's inventory.

Rule(s):

- to check them out." Although this statement suggested that Bill wanted more treadmills for the gym, it was not a sufficient basis for the store owner to reasonably believe that the gym intended to purchase treadmills or do anything more than investigate the store's inventory.
- Thus, there is no basis to conclude that Kim had apparent authority to purchase a treadmill from the sporting-goods store on Comet Fitness's behalf, even assuming that Kim was an agent of Comet Fitness. [NOTE: While an agent can create the appearance of that agent's own authority through manifestations of the agent that were authorized by the principal, here, there were no such authorized manifestations.] Point Three (35%) Comet Fitness is bound on the contract to purchase the two treadmills with the built-in video touchscreens because Nancy, as a general partner, was empowered to purchase them for the partnership.
- Revised A partner's act in "apparently carrying on in the ordinary course the partnership business" binds the partnership "unless the partner did not have authority to act for the partnership in the particular matter and the person with which the partner was dealing knew or had notice that the partner lacked authority." Id.

Fact-based analysis:

- Because she is a general partner, she is also an agent of the partnership.
- So Nancy's purchase of two treadmills was for "apparently carrying out the business of the partnership" in the ordinary course. [NOTE: No credit should be given for a discussion of why Nancy is a general partner, as the facts expressly state that she is one.]

Conclusion: So Nancy's purchase of two treadmills was for "apparently carrying out the business of the partnership" in the ordinary course. [NOTE: No credit should be given for a discussion of why Nancy is a general partner, as the facts expressly state that she is one.]

Corporations & LLCs

July 1997 — Question 6

Primary source subject: Corporations

Question summary: This question involves Chempro is a closely-held chemical company incorporated in State F. In addition to a number of smaller shareholders, Chempro has five principal shareholders each of whom owns 15% of the shares: Paula, who is Chempro's Chief Executive Officer and Chairwoman of the Board; and Lawrence, Alan, Bruce,... The core dispute asks What claims, if any, does Lawrence have against Chempro, Paula, Alan, Bruce, and/or Charles in Lawrence's capacity as: a) A director? Explain. b) An officer? Explain. c) A shareholder? Explain. 2. Are Lawrence's claims derivative or... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Does Lawrence have a claim against Chempro, Paula, Alan, Bruce, or Charles as a result of (a) his dismissal as a director, (b) his dismissal as an officer, or (c) the board's failure to investigate the claims against Paula?
- Are the following claims by Lawrence derivative or direct claims: (a) unlawful dismissal as a director (b) failure to investigate the claim that Paula had stolen company property?
- Is Lawrence required to make a demand on the board prior to bringing a derivative action or will he be excused from this requirement because the Chempro board of directors either is interested in the transaction or has breached its duty of care?

Relevant facts to use:

- Chempro is a closely-held chemical company incorporated in State F.

Condensed sample-answer path:

1. Point One (a) Lawrence has a valid claim for unlawful dismissal as a director: (b) Lawrence does not

Short answer: The facts state that the State F corporations law and the Chempro articles and by-laws permit directors to be removed by the board without cause.

Rule(s):

- A shareholders' agreement requiring the parties to vote for specified directors generally is enforceable and read to bar a vote to remove such directors, except for cause.
- The board of directors vote by Paula, Alan, Bruce, and Charles to dismiss Lawrence as director was a breach of that shareholders' agreement.
- Therefore, Lawrence has a claim against each of the other principal shareholders individually for breach of contract.

Fact-based analysis:

- The facts state that the State F corporations law and the Chempro articles and by-laws permit directors to be removed by the board without cause.
- Therefore, without other special circumstances, Lawrence would have no cause of action against either Chempro or the other shareholders resulting from his dismissal as director.
- Since the board had not determined whether Paula's claims against Lawrence were true, they would not be entitled to terminate Lawrence for cause.

- Lawrence does not have a claim against either Chempro or the other principal shareholders as a result of his dismissal as an officer of Chempro.

Conclusion: As a result, Lawrence has a claim against the directors for breach of their fiduciary duties.

2. Point Two Lawrence's claim for removal as a director results from fee breach of the shareholders' ag

Short answer: When harm is done to the corporation, a shareholder may bring a derivative action on behalf of the corporation, with recovery going to the corporation.

Rule(s):

- When harm is done to the corporation, a shareholder may bring a derivative action on behalf of the corporation, with recovery going to the corporation.
- A breach of the directors' fiduciary duties that depletes or diverts corporate assets and injures the corporation, including all of the shareholders, gives rise to a derivative claim.

Fact-based analysis:

- Lawrence's claim that Paula diverted corporate assets for her own personal use would be a derivative claim because the harm from Paula's actions is damage to the corporation as a whole rather than to Lawrence individually.
- Therefore, this claim should be brought against the other shareholders in their capacities as shareholders, that is, as a direct claim.

Conclusion: Therefore, this claim should be brought against the other shareholders in their capacities as shareholders, that is, as a direct claim.

3. Point Three Under RMBCA, demand would be required prior to commencing any derivative action. Under c

Short answer: creates a reasonable doubt that the board can fairly determine whether the corporation should pursue the case.

Rule(s):

- Therefore, the shareholders must allege that they have made a demand on the corporation to file the suit.
- The RMBCA requires that a shareholder make a written demand on the board in all circumstances before commencing a derivative action.
- The shareholder must then wait 90 days after making the demand to file the derivative action, unless the board rejects the demand during the 90-day period.

Fact-based analysis:

- creates a reasonable doubt that the board can fairly determine whether the corporation should pursue the case.
- Shareholders who bring a derivative action are suing to enforce the corporation's rights when the corporation has failed to do so itself.
- Here Lawrence's claim is that the other board members did not investigate his charges that Paula was stealing corporate funds and instead accepted Paula's claim that Lawrence was responsible for the thefts without any investigation of the matter.

Conclusion: At common law, this would probably be sufficient to excuse the making of a demand and Lawrence could immediately file his derivative action.

February 1998 — Question 6

Primary source subject: Corporations

Question summary: This question involves Several years ago, Able, Baker, and Campbell properly incorporated Transport, Inc., a highway freight hauling business. Able and Baker each own 45% of Transport stock, and Campbell owns 10%. The core dispute asks Last year, Able and Baker decided to expand Transport's hauling business to start hauling hazardous waste from local factories to a newly constructed hazardous waste disposal facility. Recognizing that hauling hazardous waste could be a... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Do the facts justify piercing the corporate veil of HotTrucks in order to hold its parent liable for tort claims of the subsidiary?
- (a) Do the facts justify piercing the corporate veil of Transport?
- (b) If the court pierces the corporate veil of Transport, is each of Able, Baker, or Campbell personally liable to the injured persons?
- (c) Is Baker, as the negligent driver of the truck, protected from liability because he was acting on behalf of the corporation?

Relevant facts to use:

- Several years ago, Able, Baker, and Campbell properly incorporated Transport, Inc., a highway freight hauling business.
- Able, the president of Transport, is in charge of finance and sales for the business.
- Last year, Able and Baker decided to expand Transport's hauling business to start hauling hazardous waste from local factories to a newly constructed hazardous waste disposal facility.
- Able and Baker thought it wise not to be directors or officers of HotTrucks, so they asked Campbell to serve as the sole director and officer of HotTrucks.

Condensed sample-answer path:

1. Point One A court is likely to pierce the corporate veil of HotTrucks because certain formalities of

Short answer: As a general rule, shareholders of a corporation are not personally liable for the debts of the corporation.

Rule(s):

- Courts generally look to see whether the corporation has been so dominated by an individual or another corporation that it may be considered as the other's "alter ego." Robert W.
- When analyzing whether a parent corporation is liable for the obligations of its subsidiary, courts have looked for the existence of the following circumstances: • "The formalities of separate corporate procedures for each corporation are not observed." Henn & Alexander, § 148 at 356 (1983). • "The corporation is inadequately financed as a separate unit "Id.

Fact-based analysis:

- As a general rule, shareholders of a corporation are not personally liable for the debts of the corporation.

- The courts analyze whether the corporation is capitalized to meet “its normal obligations foreseeable in a business of its size and character...” Id. • “The policies of the corporation are not directed to its own interests primarily but rather to those of the other corporation.” Id.
- In addition, Campbell, who is listed as the corporation’s officer and director, did not manage the business and in fact had nothing to do with it.
- The facts indicate that Able and Baker, who actually managed Transport, the parent corporation, also managed HotTrucks, the subsidiary corporation, even though they were not officers of HotTrucks.

Conclusion: As a result, a court is likely to pierce the corporate veil and hold Transport liable for the obligations of HotTrucks in connection with the truck accident.

2. Point Two(a) A court may pierce the corporate veil of Transport because Transport failed to follow c

Short answer: The standards for piercing the corporate veil are the same whether the shareholders are corporations or individuals.

Rule(s):

- A desire by owners of a business to benefit from the limited liability that a corporate form provides does not constitute an improper purpose.
- Courts are inconsistent in their approach to piercing the corporate veil when corporate formalities are disregarded but the other elements of proper corporate existence are found.
- If the corporation is adequately capitalized and there is no other evidence of inequity or fraud, some courts refuse to pierce the corporate veil.

Fact-based analysis:

- As a general rule, “where corporate formalities are substantially observed, initial financing reasonably adequate, and the corporation not formed to evade an existing obligation or a statute or to cheat or to defraud, even a controlling shareholder enjoys limited liability.” Henn & Alexander, § 146 at 347.
- Therefore, it is arguable but not certain that a court would pierce the corporate veil of Transport.

Conclusion: Therefore, it is arguable but not certain that a court would pierce the corporate veil of Transport.

3. Point Two(b) If the corporate veil of Transport is pierced. Able and Baker are likely to be the shar

Short answer: As a general rule, when courts pierce the corporate veil, all of the shareholders of that corporation are liable.

Rule(s):

- There “is some authority, for example, for piercing the corporate veil to hold shareholders active in the business personally liable, but recognizing the same corporation’s separate existence to protect passive investors from the same liability.” Hamilton § 6.9 at 99.

Fact-based analysis:

- As a general rule, when courts pierce the corporate veil, all of the shareholders of that corporation are liable.
- Protecting passive investors seems particularly appropriate if the corporate shield is being pierced because the corporation is the alter ego or agent of dominant shareholders.
- As a result of Campbell’s role as a passive investor, some courts would not hold Campbell personally liable even if the corporate veil of Transport was pierced and Able and Baker were held personally liable.

Conclusion: As a result of Campbell's role as a passive investor, some courts would not hold Campbell personally liable even if the corporate veil of Transport was pierced and Able and Baker were held personally liable.

4. Point Two(c) Baker, as the negligent driver of the truck, is not protected from liability bv virtue

Short answer: The general rule is that if "the shareholder personally commits a tort while acting as an agent for his or her corporation, he or she is personally liable for the tort because of the general rule that tortfeasors are personally liable even though they are acting as agents." Hamilton, § 6.3, at 83.

Rule(s):

- The general rule is that if "the shareholder personally commits a tort while acting as an agent for his or her corporation, he or she is personally liable for the tort because of the general rule that tortfeasors are personally liable even though they are acting as agents." Hamilton, § 6.3, at 83.
- Because Baker was negligent, he is liable for the accident whether or not the corporate veil of Transport is pierced.

Fact-based analysis:

- Likewise, an "agent who does an act otherwise a tort is not relieved from liability by the fact that he acted at the command of the principal or on account of the principal." Baker was negligent when he fell asleep while driving the truck for HotTrucks that was involved in the accident.

Conclusion: Because Baker was negligent, he is liable for the accident whether or not the corporate veil of Transport is pierced.

Question call(s): 1. On what basis, if any, can the injured persons hold Transport liable for tort claims resulting from the HotTrucks accident? Explain. | 2. On what basis, if any, can the injured persons hold Able, Baker, or Campbell personally liable for such claims? Explain.

July 1998 — Question 6

Primary source subject: Corporations

Question summary: This question involves Acquiror, Inc., a publicly held corporation, entered into negotiations to buy the stock of XYZ Corporation through a merger. Although the companies were close to a final agreement on September 1, Acquiror insisted on delaying consummation and public announcement of the deal until September 15. The core dispute asks Usually, a corporation such as Acquiror that makes a merger offer for another corporation can expect that its stock price will decline after the announcement of the merger. During the first week of September, while the merger was being... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- (a) Does a corporation have an obligation to investors in general to give full and truthful answers to questions about its plans with respect to potential mergers?
- (b) Do investors who buy in reliance on incomplete and misleading statements have a cause of action against the corporation making such statements?

- Do shareholders who were not traders in a corporation's stock have a cause of action, either direct or derivative, against the corporation or its officers and directors for false and misleading statements that result in liability of the corporation to other shareholders?

Relevant facts to use:

- Acquiror, Inc., a publicly held corporation, entered into negotiations to buy the stock of XYZ Corporation through a merger.
- Usually, a corporation such as Acquiror that makes a merger offer for another corporation can expect that its stock price will decline after the announcement of the merger.
- During the first week of September, while the merger was being delayed, XYZ's stock price increased and Acquiror's stock price remained unchanged at $10 per share.
- On September 15, Acquiror announced its merger with XYZ.

Condensed sample-answer path:

1. Point One(a) A corporation has an obligation to investors in general to give full and truthful answe

Short answer: Under Rule 10b-5 of the 1934 Securities Exchange Act, a public or private corporation must disclose the material facts necessary in order to make its statements not misleading in light of the circumstances in which they were made.

Rule(s):

- Under Rule 10b-5 of the 1934 Securities Exchange Act, a public or private corporation must disclose the material facts necessary in order to make its statements not misleading in light of the circumstances in which they were made.
- A fact is considered to be material if a reasonable person would think such information was important in determining a course of action, such as a purchase or sale of the corporation's securities.
- Information about a company's preliminary negotiations for a merger may or may not be material depending on the relative likelihood that the merger will be completed and on the size of the transaction compared to the size of the company.

Fact-based analysis:

- Here, the merger would be a material fact and Acquiror's statement would violate this law.
- Here, it is clear that the negotiations were nearly final, and there is nothing in the facts to indicate that the size of the merger would be immaterial.

Conclusion: In the Basic case, the Court suggested that a consistent policy of responding "no comment" to questions would protect the parties.

2. Point One(b) Investors who buy or sell a corporation's securities in reliance on incomplete and misl

Short answer: Investors who purchased Acquiror's stock after the denial and before the announcement of the merger have a claim against Acquiror for their losses under Rule 10b-5.

Rule(s):

- Investors must show reliance of some type on the statements to establish a valid claim.

Fact-based analysis:

- Since the statement about Acquiror's plans for XYZ was made publicly, investors have a claim whether or not they heard the statement or relied on it in deciding to buy Acquiror's stock.
- Therefore, the investors can claim damages even if they have not personally relied on the misstatement.

Conclusion: However, if Acquiror can show that in fact the market price was unaffected by the misstatement or that the particular investor's purchase or sale would have occurred regardless of market price, the presumption would be rebutted, and the investor would have no claim because the deception would not have caused any loss.

3. Point Two A continuing shareholder who did not trade in a corporation's stock has a derivative cause

Short answer: Continuing shareholders ordinarily have no direct claim against the corporation, since they have neither bought nor sold securities at the affected market price.

Rule(s):

- Acquiror, as a corporation, has a claim against its officers and directors who engaged in or approved of this misleading conduct as their conduct constitutes a breach of the duty of care under state law.

Fact-based analysis:

- Continuing shareholders ordinarily have no direct claim against the corporation, since they have neither bought nor sold securities at the affected market price.
- However, it is also clear that the corporation has suffered a loss as a result of the liability that it will incur to those investors who did buy or sell its stock based on misleading information.

Conclusion: Any recovery from the responsible officers or directors would be paid to Acquiror for the benefit of all shareholders.

Question call(s): 1. Do investors who purchased Acquiror's stock after Acquiror's denial on September 5 and before the disclosure of the merger have a claim for damages under federal law? Explain. | 2. Do continuing shareholders in Acquiror have any basis under federal law to make a claim against Acquiror or its officers and directors if, because of Acquiror's statements, Acquiror is liable to other investors of Acquiror's shares? Explain.

February 1999 — Question 6

Primary source subject: Corporations

Question summary: This question involves FurnitureCo has manufactured quality furniture for 20 years. It was incorporated under the Revised Model Business Corporation Act and its articles of incorporation and bylaws contain no provisions overriding the statutory provisions. The core dispute asks Does Adam have sufficient authority as president to change FurnitureCo's business and to sell its existing assets? Explain. 2. Could Adam, Beth, and Charles lawfully act together to approve and implement the change in the business and the... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Is the decision of a president of a corporation to change the business, as authorized by the board, and his unilateral decision to sell the assets, within his power as an officer?

- Do minority directors have the ability to block a change in the corporation's business and the sale of all of its assets?
- Can minority shareholders force the corporation to buy their shares when they object to the corporation's change of business and sale of its assets?

Relevant facts to use:

- FurnitureCo has manufactured quality furniture for 20 years.
- Adam owns 70% of the stock of FurnitureCo, and Diane and Edward each own 15%.
- Over the past few years, FurnitureCo's business has been flat, but marginally profitable.
- After studying the matter, Adam decided that FurnitureCo's profits would be maximized by getting out of the furniture business altogether, selling all of its current assets, and using the sale proceeds and the cash on hand to buy a tennis club.

Condensed sample-answer path:

1. Point One The board of directors authorized Adam, as president, to change the corporation's business

Short answer: Officers are authorized to take actions as authorized in the bylaws, as directed by the board of directors consistent with the bylaws, or as directed by other officers acting under the authority of directors.

Rule(s):

- Officers are authorized to take actions as authorized in the bylaws, as directed by the board of directors consistent with the bylaws, or as directed by other officers acting under the authority of directors.
- The bylaws are silent as to whether an officer can exercise such authority upon the delegation of the board, and therefore such a delegation would not be in violation of RMBCA § 8.41.
- Unlike the decision to redirect the business, the decision to sell FurnitureCo's assets is not within Adam's authority as president, even as directed by the board of directors.

Fact-based analysis:

- In this case, Adam was authorized by the board of directors to "study and implement at his discretion a program for restructuring and/or reorienting the business operations of the company." There is nothing in the RMBCA that would prevent the board from making this decision.
- Since a quorum was present at the board meeting, the majority vote was the authorized action of the board.
- Adam's intended sale of FurnitureCo's current assets and use of the sale proceeds to buy a tennis club appears to be a sale of all, or substantially all, of the corporation's assets within the meaning of RMBCA §§12.01 and 12.02.
- Since the company has been in the furniture business for 20 years, the sale is clearly not in the regular course of business.

Conclusion: Therefore, the board must vote to recommend the proposed sale to the shareholders and the shareholders must approve the sale in order for the sale to be properly authorized.

2. Point Two In their capacity as both directors and shareholders, Diane and Edward must be notified of

Short answer: The board of directors must vote to recommend the sale of all or substantially all of the assets of FurnitureCo.

Rule(s):

- The board of directors must vote to recommend the sale of all or substantially all of the assets of FurnitureCo.

- In addition to board of director approval, the shareholders also must vote to approve the sale of all or substantially all of the assets.
- All shareholders, including Diane and Edward, must be notified of a special meeting of the shareholders.

Fact-based analysis:

- Second, Adam will cause the corporation to give notice to the shareholders of a special meeting to vote on the sale proposal.
- Since Adam holds 70% of the shares and will vote, the sale will be approved.

Conclusion: Since Adam holds 70% of the shares and will vote, the sale will be approved.

3. Point Three Diane and Edward can exercise their dissenters' rights and force FurnitureCo to buy thei

Short answer: The sale of assets is "a sale or exchange of all, or substantially all, of the property of the corporation other than in the usual and regular course of business," which triggers dissenters' rights.

Rule(s):

- To exercise their rights, Diane and Edward must deliver to FurnitureCo notice of their intent to dissent prior to the shareholder vote and must not vote in favor of the sale.
- Once the shareholder vote authorizing the sale has occurred, FurnitureCo must deliver a dissenters' notice to Diane and Edward identifying the mechanics of the purchase of their shares.
- Diane and Edward must then demand payment and deposit the shares within the statutory time period (generally within 30 to 60 days) after the vote.

Fact-based analysis:

- The sale of assets is "a sale or exchange of all, or substantially all, of the property of the corporation other than in the usual and regular course of business," which triggers dissenters' rights.
- Dissenters' rights are the right of dissenting shareholders to force the corporation to purchase their shares at an appraised market value.

Question call(s): 1. Does Adam have sufficient authority as president to change FurnitureCo's business and to sell its existing assets? Explain. | 2. Could Adam, Beth, and Charles lawfully act together to approve and implement the change in the business and the sale of assets without the participation of Diane and Edward? Explain. | 3. Assuming that Diane and Edward cannot block the sale, do they have any other remedies? Explain.

July 1999 — Question 7

Primary source subject: Corporations

Question summary: This question involves Carl decided to form a corporation to provide various support services to small businesses on a contract basis. After several months of searching, Carl found suitable office space in an office park that he thought was ideal for his future corporation. The core dispute asks Is Carl personally liable on the Leaseco office lease? Explain. 2. Is SSC liable on the Leaseco office lease? Explain. 3. Does SSC have the power to make the charitable contribution? Explain. ► ANALYSES Commercial Paper Agency and... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Is a promoter personally liable on a preincorporation contract with a third party?
- Is a corporation, once incorporated, liable on a preincorporation contract with a third party?
- Does a corporation have the corporate power to use a portion of its profits to make a charitable contribution?

Relevant facts to use:

- Carl decided to form a corporation to provide various support services to small businesses on a contract basis.
- Two weeks after the lease was signed, Carl properly incorporated SSC.
- At the first meeting of the board of directors, Carl provided David and Ellen with copies of the Leaseco office lease.
- Several months after SSC began operations, at a regularly scheduled meeting of the board of directors for which all proper notice was given, Carl proposed that SSC contribute 4% of SSC's profits earned since incorporation to a local charity that operates a nonprofit job training program.

Condensed sample-answer path:

1. Point One As a promoter, Carl is probably personally liable on the contract with Leaseco since the f

Short answer: Carl was acting as a promoter when he entered into the lease with Leaseco for the office space.

Rule(s):

- A promoter is the party who assists in the planning and formation of a new business.
- A promoter who enters into a contract with a third party on behalf of a corporation that both parties to the transaction know is not yet formed is personally liable on the contract unless the other party to the transaction agrees to look solely to the corporation for performance.
- Where a person knowingly enters into an agreement with a promoter on behalf of a nonexistent corporation, there is an inference that the person intends to make a present contract with an existing person.

Fact-based analysis:

- Carl was acting as a promoter when he entered into the lease with Leaseco for the office space.
- As a result, there is a rebuttable inference that the parties intend the promoter to be a party to the contract.
- See The form of the contract entered into is an important factor in determining how preincorporation contracts are treated.
- The type of preincorporation contract at issue in this question is a contract by a promoter with a third party in the name of a corporation to be formed.

Conclusion: A promoter who has not violated any fiduciary duties to the corporation but is held liable on a preincorporation contract will often be able to obtain indemnity from the corporation.

2. Point Two Although not originally a party to the lease. SSC is probably liable on the lease with Lea

Short answer: SSC was not originally a party to the lease.

Rule(s):

- However, after the corporation is formed, a corporation may adopt a preincorporation contract and become liable under that contract.
- A corporation may adopt a contract in the same manner as it may make an original contract.

- Thus, in an appropriate case the adoption need not be express, but rather may be inferred from the actions of the corporation or its agents.

Fact-based analysis:

- SSC was not originally a party to the lease.
- Because SSC did not exist when the lease was entered into, Carl could not have been acting as the agent of SSC in entering into the lease.
- Upon incorporation, a corporation is not automatically bound by the contracts previously entered into by its promoters.
- On the current facts, the SSC board was given a copy of the Leaseco lease and was aware of its terms, SSC occupied the leased office space, SSC paid the favorable rent for many months, and SSC generally accepted the benefits of the lease.

Conclusion: A court would likely conclude that SSC had adopted the lease made on its behalf prior to incorporation.

3. Point Three SSC has statutory power to make the charitable contribution because it is reasonable in

Short answer: Modern corporation statutes provide a corporation with statutory powers that need not be stated in the articles of incorporation.

Rule(s):

- Modern corporation statutes provide a corporation with statutory powers that need not be stated in the articles of incorporation.
- Courts have found that a reasonable charitable contribution is within the statutory power of the corporation.
- A court may also look at the purpose of a charitable contribution to determine whether it is reasonable.

Fact-based analysis:

- In this case a court is likely to find that the amount of the charitable donation authorized by the resolution of the board of directors (i.e., 4% of profits) is reasonable in amount.
- Since SSC is in the business of providing support services to small businesses, a contribution to a job training program has a reasonable relation to its business.
- Absent statutory authority to make reasonable charitable contributions or specific authority to do so in the articles of incorporation, a corporation's charitable contributions might be void under the ultra vires doctrine.
- This doctrine invalidates corporate acts inconsistent with the corporation's purposes as stated in its articles.

Conclusion: Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local ease or local statutory law.

Question call(s): 1. Is Carl personally liable on the Leaseco office lease? Explain. | 2. Is SSC liable on the Leaseco office lease? Explain. | 3. Does SSC have the power to make the charitable contribution? Explain.

February 2000 — Question 7

Primary source subject: Corporations

Question summary: This question involves PrattCo is a corporation. It has been developing a new textile inspection system that promises to revolutionize the market if it can be made to work. The core dispute asks Does the trust violate the common-law Rule Against Perpetuities? Explain. 2. Assuming that the trust does not violate the common-law Rule Against Perpetuities, are Adam, Ellen, and Doris entitled to a share of the trust principal and when,... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Relevant facts to use:

- PrattCo is a corporation.
- PrattCo has two immediate problems.
- The PrattCo board has offered Leslie the job of PrattCo's president and chief executive officer.
- Brenda has offered to invest $75 million in PrattCo in return for three million shares of Class A Common at $25 per share, but she wants her Class A Common shares to be different from the existing Class A Common.

Condensed sample-answer path:

1. Point One (a) Subject to Point One(b), PrattCo has the right to award options to its officers for pu

Short answer: A corporation may issue options for the purchase of its shares on terms and conditions determined by the board of directors.

Rule(s):

- A corporation may issue options for the purchase of its shares on terms and conditions determined by the board of directors.
- Shares may be issued, and options extended, for different types of consideration, including both "services performed" and "contracts for services to be performed." RMBCA § 6.21(b).

Fact-based analysis:

- Thus, the board could agree to give Leslie the requested options either on an "as earned" basis as Leslie completes periods of service with the company, or "up front" in consideration for a contract for future services.
- Therefore, the board would normally be entitled to issue the options to Leslie subject to all necessary actions to authorize sufficient shares as discussed below.

Conclusion: Therefore, the board would normally be entitled to issue the options to Leslie subject to all necessary actions to authorize sufficient shares as discussed below.

2. Point One (b) PrattCo has issued all of its authorized shares: therefore, the stock options cannot b

Short answer: A corporation must have a sufficient number of authorized shares to cover all issued and outstanding shares, as well as all shares subject to options that have been issued.

Rule(s):

- A corporation must have a sufficient number of authorized shares to cover all issued and outstanding shares, as well as all shares subject to options that have been issued.
- An increase in the number of Class A Common shares authorized requires approval of both the board of directors and the Class A Common shareholders.
- Although a supermajority vote for certain changes to a corporation's articles may be specified in the articles of incorporation, RMBCA § 7.27, no supermajority requirement is found in PrattCo's articles, so a majority of the shares voted will be sufficient to approve the change.

Fact-based analysis:

- Articles of incorporation are required to state the number of authorized shares of the corporation.
- Since all Class A shareholders (other than William) will vote to authorize the additional shares, PrattCo will be able to carry out its plan to issue the options and hire Leslie.

Conclusion: Since all Class A shareholders (other than William) will vote to authorize the additional shares, PrattCo will be able to carry out its plan to issue the options and hire Leslie.

3. Point Two Brenda's proposal to purchase Class A Common shares cannot be implemented because it provi

Short answer: Brenda's proposal cannot be implemented because it gives Brenda's Class A Common shares preferential dividend rights beyond that given to the other Class A Common shares.

Rule(s):

- All shares within a class of stock must have identical rights and preferences unless the shares within a class are divided into separate series.

Fact-based analysis:

- Since Brenda's shares would have preferred rights to receive dividends, they cannot be issued as Class A Common shares.

Conclusion: Since Brenda's shares would have preferred rights to receive dividends, they cannot be issued as Class A Common shares.

4. Point Three PrattCo could create a new class of shares (Preferred Stocky and sell Brenda shares of P

Short answer: PrattCo could accomplish Brenda's objective by issuing shares of Preferred Stock instead of Class A Common shares.

Rule(s):

- To do so, PrattCo would have to amend the articles of incorporation to create the Preferred Stock and designate the shares to be sold to Brenda as Preferred Stock with the preferential rights that Brenda has requested.
- Amendment of the articles of incorporation to create Preferred Stock requires board approval and a majority vote of the Class A Common shareholders.

Fact-based analysis:

- Since William holds only 30% of the Class A Common shares and all shareholders other than William will vote in favor of creating the Preferred Stock, William will not be able to block the creation and issuance of the Preferred Stock.

Conclusion: Since William holds only 30% of the Class A Common shares and all shareholders other than William will vote in favor of creating the Preferred Stock, William will not be able to block the creation and issuance of the Preferred Stock.

5. Point Four William has preemptive rights under the articles and generally would be entitled to his p

Short answer: The PrattCo articles of incorporation include language that "the corporation elects to have preemptive rights." This triggers the preemptive rights provisions of the RMBCA.

Rule(s):

- Under the RMBCA and many state statutes, a corporation must “opt in” to create preemptive rights by expressly including the right in its articles of incorporation.
- Regardless of the type of law in this jurisdiction, the statement in the PrattCo articles establishes preemptive rights for its shareholders.
- Under the RMBCA and many state statutes, no preemptive rights exist as to “shares issued to satisfy . . . option rights created to provide compensation to . . . officers ... of the corporation. . . .” RMBCA § 6.30(b)(3)(H).

Fact-based analysis:

- The PrattCo articles of incorporation include language that “the corporation elects to have preemptive rights.” This triggers the preemptive rights provisions of the RMBCA.
- In other states, preemptive rights are presumed to exist unless the corporation “opts out” and expressly excludes such rights in its articles.
- Therefore, William has no preemptive right to buy any PrattCo shares as a result of the issuance of Leslie’s options.

Conclusion: July 2000 MEE ► ANALYSES Commercial Paper Decedents’ Estates Federal Civil Procedure Corporations Family Law Secured Transactions/Sales Trusts & Future Interests (Commercial Paper IVA, IV.D, VII.A, VII.D, V.J) ANALYSIS Legal Problems (1) Will Lender be able to enforce the note against Brother free of Brother’s personal defense against Roofer? (2) Will Lender be able to enforce the note against Sister given Lender’s partial release of collateral against Brother? (3) Will Sister have a right of reimbursement against Brother?

6. Point One Lender can enforce the note against Brother because Lender was a holder in due course. The

Short answer: As the maker and issuer of the note, Brother is obligated under Uniform Commercial Code § 3- 412 to pay the instrument according to its terms to any person, such as Lender, who is entitled to enforce the instrument.

Rule(s):

- As the maker and issuer of the note, Brother is obligated under Uniform Commercial Code § 3- 412 to pay the instrument according to its terms to any person, such as Lender, who is entitled to enforce the instrument.
- UCC § 3-301 (person entitled to enforce the instrument includes the holder of the instrument).

Fact-based analysis:

- Sections 3-305(a)(2) and (a)(3) say that the right to enforce an obligation of a party on the instrument is subject to any defense that would be available on a simple contract as well as to claims in recoupment arising from the underlying transaction.
- The rules of § 3-305(a), however, are specifically made subject to § 3-305(b), which says that a holder in due course is not subject to the contract defenses described in § 3-305(a)(2).
- Therefore, Lender should take free of Brother’s claim in recoupment and should be able to enforce the note in full against Brother.

Conclusion: Therefore, Lender should take free of Brother’s claim in recoupment and should be able to enforce the note in full against Brother.

7. Point Two Lender’s ability to recover on the note from Sister is reduced by $2.000, the extent to wh

Short answer: Because Sister received no direct benefit for signing the note, Sister is an accommodation party on the note.

Rule(s):

- Because Sister received no direct benefit for signing the note, Sister is an accommodation party on the note.
- UCC § 3-419(a).

Fact-based analysis:

- Because Sister received no direct benefit for signing the note, Sister is an accommodation party on the note.
- In this case, Lender impaired the value of the collateral securing the instrument through its binding release of rights to one of Brother's three computers that secured Brother's obligation under the instrument.
- Because Lender impaired the value of the collateral by $2,000, Lender's own rights to recover against Sister (which would have been $8,000) are reduced to $6,000.
- Since Sister's signature appeared on the back side of the note, her signature was an "anomalous indorsement" that gave notice to Lender and to any other later party that she was signing as an accommodation party.

Conclusion: Even putting aside Sister's anomalous indorsement, Lender knew that Sister was an indorser and therefore knew that Sister was a party with a right of recourse against Brother.

8. Point Three Sister will have a right of reimbursement against Brother for the full amount that she p

Short answer: Sister would have two different theories for recovering from Brother for any amount that Sister had to pay on the note to Lender.

Rule(s):

- Sister would have two different theories for recovering from Brother for any amount that Sister had to pay on the note to Lender.
- First, Sister signed in the capacity of an indorser.

Conclusion: Second, if Sister had not signed as an indorser, she would nevertheless have a right of reimbursement against Brother because of her independent status as an accommodation party under UCC § 3-419(a).

Question call(s): 2. Assuming Purchaser prevails in the replevin action, should future payments on the installment sales contract be made to Dealer or to Bank? Explain. | 3. Assuming Purchaser loses in the replevin action, does Purchaser continue to be liable for the payments on the installment sales contract either to Dealer or Bank? Explain. | 1. Does the trust violate the common-law Rule Against Perpetuities? Explain.

July 2000 — Question 4

Primary source subject: Corporations

Question summary: This question involves In 1950, John Smith founded Store, Inc., and he was its sole shareholder. Since 1970, Store has been a profitable business with eight large stores. The core dispute asks Is the stock transfer restriction enforceable against Dave? Explain. 2. Can Bank compel Store to record the stock transfer? Explain. 3. Can Dave force a dissolution of Store? Explain. Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Relevant facts to use:

- In 1950, John Smith founded Store, Inc., and he was its sole shareholder.
- In 1990, observing the formalities required by the amended Articles, Smith gave all of his Store stock in equal shares to his four children: Anne, Bob, Clyde, and Dave.

- During the years following Smith's death, Anne, Bob, and Clyde followed a policy of reinvesting Store's earnings in order to expand the number of stores.
- After Smith's death, Store's board of directors also substantially increased the compensation paid to Anne, Bob, and Clyde as directors and doubled their salaries as employees, increasing them to levels well above market salaries.

Condensed sample-answer path:

1. Point One Restrictions on the transfer of stock that require approval of the transfer and transferee

Short answer: As a general rule, share transfer restrictions arc invalid if they are unreasonable restraints on alienation of stock.

Rule(s):

- As a general rule, share transfer restrictions arc invalid if they are unreasonable restraints on alienation of stock.
- The share transfer restriction described in the facts requires the consent of all other shareholders and the approval by such shareholders of the proposed transferee.
- The RMBCA also provides that a stock transfer restriction may "require the corporation, the holders of any class of its shares, or another person to approve the transfer of the restricted shares, if the requirement is not manifestly unreasonable." RMBCA § 6.27(d)(3).

Fact-based analysis:

- Thus, an absolute restraint on alienation of stock is per se unreasonable and void.
- Lawful purposes include keeping a corporation closely held or keeping a corporation in the family.
- The Revised Model Business Corporation Act (RMBCA) permits restrictions established in a corporation's "articles of incorporation, bylaws, an agreement among shareholders, or an agreement between shareholders and the corporation." RMBCA § 6.27(a).
- Therefore, the restriction would be enforceable against Dave.

Conclusion: Alternatively, it could be argued that the restriction would not be enforceable because the restriction might unreasonably result in the current shareholders never having the right to transfer their shares in Store.

2. Point Two Restrictions on the transfer of stock would be enforceable against Bank if it had actual k

Short answer: Assuming that the share transfer restriction is enforceable against Dave, it must be determined whether the restriction is binding on Bank.

Rule(s):

- Assuming that the share transfer restriction is enforceable against Dave, it must be determined whether the restriction is binding on Bank.
- The RMBCA states: A restriction on the transfer or registration of shares is valid and enforceable against the holder or a transferee of the holder if the restriction is authorized by this section and its existence is noted conspicuously on the front or back of the certificate. . . .
- Section 8-204(1) of the UCC similarly provides that a stock transfer restriction is invalid unless the restriction is noted conspicuously on the stock certificate.

Fact-based analysis:

- Therefore, the restriction is "authorized" as required by the RMBCA.

- Therefore, it is not clear whether Bank knew of the share transfer restriction on the Store stock that Dave had pledged to the Bank.
- If the restriction is conspicuously noted on the certificates, the restriction is valid and enforceable against Bank.
- If it is not conspicuously noted, the restriction is enforceable only if Bank had actual notice of it through other means.

Conclusion: Therefore, it is not clear whether Bank knew of the share transfer restriction on the Store stock that Dave had pledged to the Bank.

3. Point Three A court is likely to order the dissolution of Store in order to protect the minority sha

Short answer: In this case, the directors and controlling shareholders may have embarked upon a plan to freeze out Dave, the minority shareholder.

Rule(s):

- In this case, the directors and controlling shareholders may have embarked upon a plan to freeze out Dave, the minority shareholder.
- A court may dissolve a corporation "in a proceeding by a shareholder if it is established that... the directors or those in control of the corporation have acted, are acting, or will act in a manner that is illegal, oppressive or fraudulent." RMBCA § 14.30(2)(ii).
- Many courts have taken an alternative approach, finding that in closely held corporations, controlling shareholders have a higher fiduciary duty to minority shareholders than in publicly held corporations.

Fact-based analysis:

- Nonetheless, the combination of eliminating dividends while substantially increasing the compensation of majority shareholders in their capacities as directors and employees of the corporation raises the issue of whether the minority shareholders have been oppressed.
- Under such a view, majority shareholders "are required to deal fairly, honestly and openly with minority shareholders and may not use their corporate control to prevent the minority from having an equal opportunity in the corporation." Nelson v.
- In addition, some courts have held directors in a closely held corporation to higher fiduciary duties than those of directors in public corporations.
- Whether the standard is reasonable expectations of shareholders or the duty of good faith and loyalty from majority to minority shareholders, it is clear that attempts to freeze out minority shareholders are oppressive if the majority shareholders profit from the corporation to the detriment of minority shareholders.

Conclusion: Thus, Dave, the minority shareholder, is likely to get a court-ordered dissolution of Store.

Question call(s): 1. Is the stock transfer restriction enforceable against Dave? Explain. | 2. Can Bank compel Store to record the stock transfer? Explain. | 3. Can Dave force a dissolution of Store? Explain.

February 2001 — Question 7

Primary source subject: Corporations

Question summary: This question involves Acme Corp. has 100 shares of common stock authorized, issued, and outstanding. The core dispute asks Plaintiff then moved for partial summary judgment against Silver based on the judgment in SEC v. Silver. Plaintiff argued that the SEC v. Silver judgment conclusively determined the issue whether the information contained in the... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Under what circumstances would Henry, as beneficial owner but not record owner of 20 shares, be entitled to vote at the Acme annual meeting?
- Was there a quorum present for shareholder action at the Acme annual meeting?
- Did Candace, Fran, and David receive sufficient votes to be elected as directors of Acme meeting?

Relevant facts to use:

- Acme Corp. has 100 shares of common stock authorized, issued, and outstanding.
- Acme held its annual meeting of shareholders on March 25.
- Of the five shareholders of record, only Candace and Fran were present at the meeting.
- The Chair of the meeting declared that a quorum was present and that Candace, Fran, and George were entitled to vote at the meeting.

Condensed sample-answer path:

1. Point One Without having obtained a proxy, Henry was not entitled to vote at the annual meeting beca

Short answer: Generally only shareholders of record are entitled to vote at a meeting of shareholders.

Rule(s):

- Generally only shareholders of record are entitled to vote at a meeting of shareholders.
- A mere beneficial owner of shares is not entitled to vote at a meeting of shareholders.
- Where corporate shares are transferred between the record date for a meeting of shareholders and the date of the meeting, the transferee is not entitled to vote the shares at the meeting.

Fact-based analysis:

- The corporation is not required to determine the “true” owners of corporate shares on the day of the meeting.
- Rather, the corporation is entitled to rely on its share ledger as of the record date for the meeting in determining who is entitled to vote.
- The establishment of a record date is for the convenience of the corporation.

Conclusion: A transferee of shares after the record date who wants to vote at a scheduled shareholder meeting should obtain a proxy from his or her transferor to vote the shares.

2. Point Two A quorum was present for shareholder action at the Acme annual meeting.

Short answer: Neither the articles of incorporation nor the bylaws of Acme contain a provision relating to the quorum for a meeting of shareholders.

Rule(s):

- A shareholder may vote his or her shares either in person or by proxy.
- A proxy should be accepted as valid if on its face it appears to be “free from all reasonable grounds of suspicion of its genuineness and authenticity.” In re Election of Directors of the St.

Fact-based analysis:

- Since, as discussed above, Henry (as a mere beneficial owner) was not entitled to vote, his shares are not counted as present for quorum purposes.
- Since, as discussed above, there were 60 shares entitled to vote present at the Acme annual meeting, a quorum was present for shareholder action even though only two of the five shareholders owning only 40 of the 100 shares were physically present at the meeting.

Conclusion: A proxy should be accepted as valid if on its face it appears to be "free from all reasonable grounds of suspicion of its genuineness and authenticity." In re Election of Directors of the St.

3. Point Three Candace, Fran, and David each received sufficient votes to be elected as directors at th

Short answer: In most states the election of directors requires only a plurality vote of the shares entitled to vote at a meeting at which a quorum is present.

Rule(s):

- In most states the election of directors requires only a plurality vote of the shares entitled to vote at a meeting at which a quorum is present.
- In a minority of states, directors must be elected by a majority of the shares entitled to vote at a meeting of shareholders at which a quorum is present.
- A majority of the 60 shares present and entitled to vote was 31. (As discussed above, Henry was not entitled to vote at the meeting.) Since 40 shares voted for the election of Candace, Fran, and David, they received enough votes to be elected as directors even in those few states requiring a majority vote.

4. Point One Principal is liable to Bellseller for the church bell. Principal is bound by Agent's purch

Short answer: There is no doubt that Principal is liable.

Rule(s):

- There is no doubt that Principal is liable.
- First, some jurisdictions would conclude that Agent had actual authority to bind Principal to the contract with Bellseller because Agent was expressly authorized by Principal to purchase the bell and the price that Agent agreed to pay was within the range authorized by Principal.
- Here, Bellseller had no knowledge that Agent was not acting for Principal's benefit, and as a result, Principal is liable to Bellseller for the price of the church bell. (In some jurisdictions, this same reasoning would be used to hold Principal liable on an "inherent authority" rationale.

Fact-based analysis:

- Moreover, because the contract entered into by Agent disclosed that Principal was Agent's principal, Bellseller knew that Agent was acting as agent for a third party.
- This makes Principal a disclosed principal who is "subject to liability upon a contract purported to be made on his account by an agent authorized to make it for the principal's benefit, although the agent acts for his own or another's improper purposes, unless the [third] party has notice that the agent is not acting for the principal's benefit." RESTATEMENT (SECOND) OF AGENCY § 165.
- State Bank of Stanley, 241 Kan.
- In this case, Principal provided Agent with written credentials which, when they were shown to Bellseller, caused Bellseller to believe that Agent was authorized to purchase the bell on behalf of Principal.

Conclusion: Consequently, Principal is liable for the contract made by Agent within the scope of his apparent authority.

5. Point Two Agent acted with actual authority to purchase the book, and with apparent authority becaus

Short answer: Principal specifically authorized Agent to buy the book, so Agent had actual authority to purchase the book on Principal's behalf.

Rule(s):

- Principal specifically authorized Agent to buy the book, so Agent had actual authority to purchase the book on Principal's behalf.
- However, Agent exceeded the limitation on price imposed by Principal, and therefore exceeded the scope of his actual authority.
- Although Agent is liable to Principal for breach of duty to obey instructions, Principal will nevertheless be liable to Tomeseller.

Conclusion: Although Agent is liable to Principal for breach of duty to obey instructions, Principal will nevertheless be liable to Tomeseller.

Question call(s): 3. What rights, if any, does Singer have to recover from Concert? Explain. | 1. Did the district court properly refuse to give preclusive effect to the SEC v. Silver judgment when it denied Plaintiff's motion for partial summary judgment? Explain. | 2. How should the appellate court rule on each of the grounds asserted in Silver's motion to dismiss the appeal? Explain.

February 2002 — Question 7

Primary source subject: Corporations

Question summary: This question involves Question 7 The articles of incorporation of Ergo, Inc. authorize the issuance of 400,000 Class A Common Shares and 1,000,000 Class B Common Shares, all of which are issued and outstanding. The core dispute asks Which instruments control the disposition of the property included in Testator's probate estate? Explain. 2. Upon Testator's death, what interest, if any, did Wanda have under the revocable trust? Explain. 3. Assuming that Wanda had an... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- What is the applicable legal standard when a shareholder brings a derivative action based on breach of a director's fiduciary duties?
- (a) Do directors violate their duty of care to the corporation when they vote to recommend action after only one hour of
- (b) Does a director violate her duty of loyalty to the corporation when she votes to issue herself shares of the corporation?
- If the court finds sufficient evidence of a breach of a fiduciary duty to overcome the Business Judgment Rule (BJR), can the director prevail with a defense of (i) disinterested director approval, (ii) shareholder approval, or (iii) fairness?

Relevant facts to use:

- Question 7

- The articles of incorporation of Ergo, Inc. authorize the issuance of 400,000 Class A Common Shares and 1,000,000 Class B Common Shares, all of which are issued and outstanding.
- Several months ago, Ergo's board of directors properly approved an expansion plan for the business that would require $5 million of additional capital.
- Dart, who had elected herself as one of the Class A directors, suggested that Ergo issue a new class of shares that Dart would purchase for $5 million.

Condensed sample-answer path:

1. Point One: In a shareholder derivative action, decisions of the board on business issues are presump

Short answer: In order to prevail in this derivative action to enjoin the issuance of Class C Preferred, the Class B shareholder must overcome the BJR.

Rule(s):

- In order to prevail in this derivative action to enjoin the issuance of Class C Preferred, the Class B shareholder must overcome the BJR.
- Absent a showing that the directors have violated a fiduciary duty to the corporation or committed fraudulent or illegal acts, the court will not second-guess their judgments.
- The directors are chosen to pass upon such questions and their judgment unless shown to be tainted with fraud is accepted as final.") If the Class B shareholder puts forth sufficient evidence to demonstrate that the directors breached a fiduciary duty to Ergo, the BJR will no longer apply.

Conclusion: The directors are chosen to pass upon such questions and their judgment unless shown to be tainted with fraud is accepted as final.") If the Class B shareholder puts forth sufficient evidence to demonstrate that the directors breached a fiduciary duty to Ergo, the BJR will no longer apply.

2. Point Two(a): Although the directors discussed the matter for only one hour, they did not violate th

Short answer: Directors owe a duty of care to Ergo; they must act on an informed basis, in good faith in the honest belief that the action taken is in the best interest of the corporation.

Rule(s):

- Directors owe a duty of care to Ergo; they must act on an informed basis, in good faith in the honest belief that the action taken is in the best interest of the corporation.
- Under the Revised Model Business Corporation Act (RMBCA), directors are required to discharge their duty "in good faith and in a manner the director reasonably believes to be in the best interests of the corporation." RMBCA § 8.30(a).
- When becoming informed to make a decision, directors must discharge their duty "with the care that a person in a like position would reasonably believe appropriate under similar circumstances." RMBCA § 8.30(b).

Conclusion: The facts do not support an argument for lack of good faith or failure to act "with the care that a person in a like position would reasonably believe appropriate under similar circumstances." RMBCA § 8.30(b).

3. Point Two(b): Dart violated her duty of loyalty to Ergo when she voted to issue the Class C Preferre

Short answer: The duty of loyalty requires a director to put the interests of the corporation before the director's own interests.

Rule(s):

- The duty of loyalty requires a director to put the interests of the corporation before the director's own interests.

- If a director enters into a transaction with the corporation that provides the director with financial benefit, it is a violation of the duty of loyalty.
- Therefore, Dart violated her duty of loyalty to Ergo when she voted to issue the Class C Preferred to herself.

Conclusion: Therefore, Dart violated her duty of loyalty to Ergo when she voted to issue the Class C Preferred to herself.

4. Point Three: Although the directors did not violate their duty of care to Ergo, Dart violated her du

Short answer: Even though the directors did not violate their duty of care, Dart violated her duty of loyalty to Ergo, and that fact prevents the application of the BJR.

Rule(s):

- Even though the directors did not violate their duty of care, Dart violated her duty of loyalty to Ergo, and that fact prevents the application of the BJR.
- Approval must also be by a majority of disinterested directors.
- If they failed to support Dart, Dart could remove them from their positions as directors.

Fact-based analysis:

- In this case, Dart can demonstrate all three.
- Therefore, a majority (indeed all three) of the disinterested directors approved the offering of the Class C Preferred to Dart.
- Therefore, a majority of shareholders approved the transaction after full disclosure.
- Because the “breach of the peace” standard is open-ended and subject to judicial interpretation, the outcome of this case cannot be definitively stated.

Conclusion: First, Debtor had made it clear to Uptown that she would resist non-judicial repossession, and Uptown relied on trickery to avoid that resistance.

5. Point One: Following default, a secured party has the right to take possession of the collateral wit

Short answer: The secured party’s right to repossess the collateral arises on the debtor’s default.

Rule(s):

- There is nothing in the Code that requires the secured party to give either notice of default or notice of intent to repossess.
- The only limitation is that the repossession must be accomplished without a breach of the peace.
- Under the facts, Debtor, having missed “several monthly payments,” was clearly in default.

Fact-based analysis:

- Accordingly, Uptown was free to proceed with the self-help remedy of repossession.

Conclusion: Accordingly, Uptown was free to proceed with the self-help remedy of repossession.

6. Point Two: Debtor could argue that Uptown’s repossession was in breach of the peace because it invol

Short answer: UCC § 9-609 authorizes the secured party to engage in self-help “without judicial process if this can be done without breach of the peace. . . .” See Point One.

Rule(s):

- UCC § 9-609 authorizes the secured party to engage in self-help "without judicial process if this can be done without breach of the peace. . . ." See Point One.
- The term "breach of the peace" is not defined in the Code.
- Moreover, it is the potential for violence and not necessarily the occurrence or imminence of violence that defines a breach of the peace.

Fact-based analysis:

- DECEDENTS' ESTATES II.A, II.J, IV.C, IV.D Legal Problems: (1) Is Nephew liable in wrongful death for causing Testator's death? (a) Was Testator's durable health care power of attorney validly executed? (b) Was Nephew, a beneficiary under Testator's will and a witness to Testator's health care power of attorney, prohibited from acting as an agent? (2) Can the nieces successfully challenge the will because Testator lacked the mental capacity to execute her will? (3) Does Nephew forfeit the bequest under the interested witness statute?
- Lastly, Nephew would not forfeit his share under typical state interested witness statutes because the will bequeathed him a share less than what would have been his intestate share.
- Likewise, under the UPC, he would take his share as that statute has no interested witness forfeiture statute.

Conclusion: Likewise, under the UPC, he would take his share as that statute has no interested witness forfeiture statute.

7. Point One: Under the typical durable health care power of attorney statute, if Nephew acted under a

Short answer: The typical durable health care power of attorney statute immunizes the agent of the principal from civil liability for health care decisions made in good faith.

Rule(s):

- Even if Nephew was not legally constituted as Testator's agent, he may nonetheless have acted appropriately under so-called "family consent" laws.
- While the fact that Nephew is named in Testator's will as a beneficiary may create the appearance of impropriety, this fact alone is not sufficient evidence of bad faith; empirically most agents and surrogates are persons who are both close to the principal and named as beneficiaries under the principal's will.

Fact-based analysis:

- State laws vary, however, on whether the person designated as the agent can be a witness to the durable health care power of attorney.
- For example, under the In fact, under the On the other hand, in many states, the person designated as the agent cannot be a witness to the power.

Conclusion: While the fact that Nephew is named in Testator's will as a beneficiary may create the appearance of impropriety, this fact alone is not sufficient evidence of bad faith; empirically most agents and surrogates are persons who are both close to the principal and named as beneficiaries under the principal's will.

8. Point Two: Testator's will is valid notwithstanding that Testator was sometimes forgetful, as the fa

Short answer: In order to validly execute a will, Testator must have "mental capacity." A testator has mental capacity if the testator knows (1) the nature and extent of the testator's property, (2) those persons who are the natural objects of the testator's bounty, (3) the nature of the instrument that the testator is signing, and (4) the disposition that is being made in the will.

Rule(s):

- In order to validly execute a will, Testator must have “mental capacity.” A testator has mental capacity if the testator knows (1) the nature and extent of the testator’s property, (2) those persons who are the natural objects of the testator’s bounty, (3) the nature of the instrument that the testator is signing, and (4) the disposition that is being made in the will.

Fact-based analysis:

- Here Testator was forgetful, which at first blush suggests the absence of mental capacity.

Conclusion: Thus, the will

Question call(s): 1. Which instruments control the disposition of the property included in Testator's probate estate? Explain. | 2. Upon Testator's death, what interest, if any, did Wanda have under the revocable trust? Explain. | 3. Assuming that Wanda had an interest under the trust, what rights, if any, do Hope and University have under the revocable trust upon the deaths of Wanda and Adam? Explain.

February 2003 — Question 7

Primary source subject: Corporations

Question summary: This question involves Question 7 Corn Corp was properly incorporated in 1980 with $500,000 of initial capital. Its shares are owned equally by Alan, Bruce, and Kathy, who are also the sole directors and officers. The core dispute asks In the late 1990s, Kathy, who has a Ph.D. in genetics and is in charge of product development, was experimenting with genetically engineered corn. She created a new strain of corn that was more resistant to disease than regular corn. Corn... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Can a judgment creditor “pierce the corporate veil” of a wholly owned subsidiary corporation to recover the creditor’s judgment from the parent corporation shareholder?
- Assuming that a judgment creditor can pierce the corporate veil of a wholly owned subsidiary corporation, can it further pierce the parent corporation’s corporate veil to recover its judgment from the parent corporation’s shareholders?

Relevant facts to use:

- Question 7
- Corn Corp was properly incorporated in 1980 with $500,000 of initial capital.
- In the late 1990s, Kathy, who has a Ph.D. in genetics and is in charge of product development, was experimenting with genetically engineered corn.
- Alan, president of Corn Corp, was concerned that some food processors might not want genetically engineered corn.

Condensed sample-answer path:

1. Point One: Stuart’s estate will likely be able to pierce GCI’s corporate veil and recover its judgme

Short answer: Shareholders generally are not liable for the corporation’s debts.

Rule(s):

- A court, however, will "pierce the corporate veil" when circumstances indicate that the privilege has been misused or when necessary to do justice.
- When a parent corporation so dominates a subsidiary corporation that the subsidiary has no real separate existence, and justice so requires, a court will disregard the corporate form and hold the parent corporation personally liable for the subsidiary's debts.
- In the absence of fraud or illegitimate purpose, a court may still pierce the corporate veil when justice so requires if (a) the parent and subsidiary intermingle their respective business transactions, accounts, and records; (b) the subsidiary fails to observe the formalities of separate corporate procedures; (c) the subsidiary is not adequately financed in light of its foreseeable normal obligations; or (d) the parent and subsidiary do not hold themselves out to the public as separate enterprises.

Fact-based analysis:

- Shareholders generally are not liable for the corporation's debts.
- While a parent corporation is expected to exert some measure of control over a subsidiary corporation, the subsidiary corporation is expected to be separate, at least in form.
- Justice requires piercing because Super Corn Plus was developed by Corn Corp, and an officer and director of Corn Corp negligently rushed it to market without the proper testing.

Conclusion: Corn Corp should not now be able to use a wholly owned subsidiary that did not maintain a separate existence to insulate itself from liability.

2. Point Two: The facts do not support piercing Corn Corp's corporate veil to hold Alan, Bruce, and Kat

Short answer: While the facts support piercing the corporate veil to hold Corn Corp liable for the judgment against GCI, this will not help Stuart's estate because the facts indicate that Corn Corp cannot pay its bills (so it will be unable to pay the judgment).

Rule(s):

- Courts generally respect the corporate form and shield shareholders from liability unless the shareholders use the corporation as a "mere instrumentality" or "alter ego" to carry out an improper or illegal purpose (e.g., to perpetrate fraud, to evade the law, to escape obligations).
- Although the facts do not support a holding that Kathy is liable in her capacity as a shareholder of Corn Corp, Stuart's estate could bring a separate action against Kathy for her negligent acts as the head of Corn Corp's product development.
- Corp's board of directors voted unanimously, for valid business reasons, to merge Sub into Corp and to adopt a plan for a cash-out merger.

Fact-based analysis:

- Therefore, Stuart's estate would like to recover the judgment against GCI from the shareholders of Corn Corp (Alan, Bruce, and Kathy).
- Shareholders generally are not liable for the corporation's debts.
- "[W]here corporate formalities are substantially observed, initial financing reasonably adequate, and the corporation not formed to evade an existing obligation or a statute or to cheat or to defraud, even a controlling shareholder enjoys limited liability." See Henn and Alexander, LAWS OF CORPORATIONS § 146 (3d ed.
- Corp decided to proceed with the merger in spite of the vote against it by Sub's board and subsequently filed articles of merger with the Secretary of State.

Conclusion: Opposing this motion, Truckco submitted court papers from lawsuits brought by individual owners who claimed to have suffered a wide variety of personal injuries as a result of accidents said to have resulted from the failure of the defective shock absorbers during the years in question.

July 2003 — Question 1

Primary source subject: Corporations

Question summary: This question involves Question 1 Corp owns 95% of the outstanding stock of Sub. Pat and Dale own the remaining 5% of Sub stock, and they are also two of the three directors of Sub. The core dispute asks Should the court unwind the merger for any of the reasons asserted by Pat and Dale? Explain. 2. Assuming that the merger is allowed to stand, do Pat and Dale have any legal basis for asserting the right to receive more than the $20 per... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- (a) In a parent-subsidiary merger, does the board of directors of the subsidiary corporation have to approve the merger?
- (b) In a parent-subsidiary merger, do the shareholders of the parent corporation have to approve the merger?
- (c) In a parent-subsidiary merger, do the shareholders of the subsidiary corporation have to approve the merger?
- In a parent-subsidiary merger, if the subsidiary's minority shareholders believe that the parent corporation is paying less than fair value, can they force the parent corporation to pay more money?

Relevant facts to use:

- Question 1
- Corp owns 95% of the outstanding stock of Sub.
- Corp's board of directors voted unanimously, for valid business reasons, to merge Sub into Corp and to adopt a plan for a cash-out merger.
- At a regularly scheduled meeting of Sub's board of directors, Corp announced its intent to merge with Sub.

Condensed sample-answer path:

1. Point One(a): The approval of Sub's board of directors is not required for this parent-subsidiary me

Short answer: A merger between two corporations is normally effectuated by adoption of a plan of merger by the board of directors of both corporations.

Rule(s):

- A merger between two corporations is normally effectuated by adoption of a plan of merger by the board of directors of both corporations.
- However, when a parent owns at least 90 percent of the outstanding shares of each class of stock of a subsidiary, the parent may merge the subsidiary into itself without the approval of the subsidiary's board of directors.

Fact-based analysis:

- Because Corp owns 95 percent of Sub, approval of the merger by the Sub board of directors is not necessary.
- Thus, Corp could proceed with the merger despite the Sub board's negative vote on the plan of merger, and the negative vote provides no basis for unwinding the merger.
- Note: Some state's parent-subsidiary merger statutes require that the parent corporation own at least 95 percent (e.g., Arkansas), while other states require only 80 percent (e.g., Alabama).

Conclusion: Thus, Corp could proceed with the merger despite the Sub board's negative vote on the plan of merger, and the negative vote provides no basis for unwinding the merger.

2. Point One(b): Approval by the shareholders of Corp is not required for this parent-subsidiary merger

Short answer: A plan of merger usually must be submitted to shareholders for their approval.

Rule(s):

- A plan of merger usually must be submitted to shareholders for their approval.
- Under the revised act, the analysis is more elaborate but the result is the same.

Fact-based analysis:

- However, RMBCA § 11.04(g) provides that approval by shareholders of the surviving corporation is not required when the merger will not result in a fundamental change in the corporation or the ownership rights of its shareholders.
- In particular, no shareholder approval is required if (1) the corporation will survive the merger . . . ; (2) . . . its articles of incorporation will not be changed; (3) each shareholder of the corporation whose shares were outstanding immediately before the effective date of the merger . . . will hold the same number of shares, with identical preferences, limitations, and relative rights, immediately after the effective date of change; and (4) the issuance in the merger . . . of shares or other securities . . . does not require a vote under § 6.21(f).
- Therefore, the fact that the Corp shareholders did not vote does not constitute a basis to unwind the merger.

Conclusion: Note: Prior to the RMBCA 1999 revision, approval by Corp's shareholders would not have been required simply because this was a short-form merger (parent's subsidiary).

3. Point One(c): The shareholders of Sub are also not required to approve this parent- subsidiary merge

Short answer: As noted above, shareholder approval of a plan of merger is generally required.

Rule(s):

- As noted above, shareholder approval of a plan of merger is generally required.
- See RMBCA § 11.04(b)(1999 Rev.).

Fact-based analysis:

- Shareholder approval is not required in these circumstances because the parent corporation owns a sufficient number of shares to ensure that the plan of the merger will be adopted.
- Therefore, the failure of the Sub shareholders to approve the transaction does not constitute a basis to unwind the merger.

Conclusion: Therefore, the failure of the Sub shareholders to approve the transaction does not constitute a basis to unwind the merger.

4. Point Two: Pat and Dale are entitled to exercise appraisal rights and seek the “fair value” of their

Short answer: Appraisal rights (also referred to as dissenter’s rights) allow shareholders to force the corporation to pay fair value for their shares in the event of certain fundamental changes, including a parentsubsidiary merger for which shareholder approval is unnecessary.

Rule(s):

- If Corp and Pat and Dale cannot agree on fair value, a court will decide the matter.

Fact-based analysis:

- Appraisal rights (also referred to as dissenter’s rights) allow shareholders to force the corporation to pay fair value for their shares in the event of certain fundamental changes, including a parentsubsidiary merger for which shareholder approval is unnecessary.
- Thus, Pat and Dale, as minority shareholders of Sub, are entitled to exercise appraisal rights in connection with this merger.
- Assuming that they follow the procedure established by the applicable statute (including notifying the corporation of their assertion of appraisal rights and demanding payment), they will be entitled to receive the fair value of their shares.

Conclusion: They might not get $25 per share, but based on this independent evaluation, they would probably get more than $20 per share.

Question call(s): 1. Should the court unwind the merger for any of the reasons asserted by Pat and Dale? Explain. | 2. Assuming that the merger is allowed to stand, do Pat and Dale have any legal basis for asserting the right to receive more than the $20 per share offered by Corp? Explain.

July 2004 — Question 2

Primary source subject: Corporations

Question summary: This question involves Question 2 Zeta, Inc., is a corporation with 80,000 shares outstanding. Its articles of incorporation provide for a nine-person board of directors, with staggered three-year terms. The core dispute asks Sam owns 16,000 of the 80,000 outstanding Zeta shares. On August 1, Sam gave Arnie a proxy to vote Sam’s shares at the special meeting. The proxy signed by Sam stated that it was “irrevocable.” On August 15, Betty, another Zeta... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Must shareholders show cause to remove a director?
- May a shareholder revoke a proxy that states it is irrevocable by issuing a subsequent proxy?
- What vote is required to remove a director when cumulative voting is authorized by the corporation?

Relevant facts to use:

- Question 2
- Zeta, Inc., is a corporation with 80,000 shares outstanding.
- Diane is one of Zeta’s directors.

- Sam owns 16,000 of the 80,000 outstanding Zeta shares.

Condensed sample-answer path:

1. Point One: Shareholders need not show cause to remove a director.

Short answer: Under the common law, shareholders had the inherent power to remove a director, but only for cause.

Rule(s):

- Under the common law, shareholders had the inherent power to remove a director, but only for cause.
- Cause is defined as substantial grounds, such as directorial breach of duty or malfeasance in office.
- See RMBCA § 8.08(a) ("The shareholders may remove one or more directors with or without cause unless the articles of incorporation provide that directors may be removed only for cause"); Mitchell v.

Fact-based analysis:

- Therefore, the first ruling was incorrect.

Conclusion: Therefore, the first ruling was incorrect.

2. Point Two: By issuing a subsequent proxy to Betty, Sam revoked the proxy he issued to Arnie, even th

Short answer: Under the common law and state corporation statutes, a proxy is revocable unless it expressly provides that it is irrevocable and the appointment of the proxy is "coupled with an interest." See RMBCA § 7.22(d); Stein v.

Rule(s):

- Under the common law and state corporation statutes, a proxy is revocable unless it expressly provides that it is irrevocable and the appointment of the proxy is "coupled with an interest." See RMBCA § 7.22(d); Stein v.
- The concept of "coupled with an interest" is not completely clear, but, in general, the proxy holder must have "either (1) a charge, lien, or some property right in the shares themselves; or (2) a security interest given to protect the proxy holder for money advanced or obligations incurred." James D.
- The RMBCA specifies various categories of people who qualify: (1) a pledgee; (2) a person who purchased or agreed to purchase the shares; (3) a creditor of the corporation who extended it credit under terms requiring the appointment; (4) an employee of the corporation whose employment contract requires the appointment; or (5) a party to a voting agreement created under RMBCA § 7.31.

Fact-based analysis:

- Thus, unless it was coupled with an interest, Sam could revoke the proxy he gave Arnie even though the proxy states it is irrevocable.
- Sam's proxy to Arnie was not coupled with an interest.
- The facts indicate only that Arnie was Sam's friend.
- Because the proxy to Arnie was not coupled with an interest, it was revocable in spite of the language to the contrary.

Conclusion: Therefore, the second ruling was incorrect.

3. Point Three: Under cumulative voting, a director is not removed if the number of votes cast against

Short answer: In a corporation with straight voting, a shareholder vote removes a director if the number of votes for removal exceeds the number of votes against removal.

Rule(s):

- “If cumulative voting is authorized, a director may not be removed if the number of votes sufficient to elect him under cumulative voting is voted against his removal.” RMBCA § 8.08(c)(emphasis added).
- As stated in the facts, a director must receive at least 60,001 votes to assure election under the following formula: number of votes eligible to be cast number of directors to be elected 1 ㄲ ㅂ + ㄸ ㅅ + ㅃ ㅇ

Fact-based analysis:

- In a corporation with straight voting, a shareholder vote removes a director if the number of votes for removal exceeds the number of votes against removal.
- However, this corporation’s articles require cumulative voting.
- Therefore, the third ruling was correct.
- Therefore, under cumulative voting, each share is entitled to three votes (number of shares x number of directors up for election).

Conclusion: Therefore, under cumulative voting, each share is entitled to three votes (number of shares x number of directors up for election).

February 2005 — Question 1

Primary source subject: Corporations

Question summary: This question involves Question 1 Corp, a corporation validly incorporated in State A, manufactures computer desks and sells them to furniture stores in State A and several nearby states. The board of directors of Corp consists of three members. The core dispute asks Presley believes that Corp should pay a dividend to its shareholders. Consequently, Presley sent a letter to all shareholders declaring a dividend of 10 cents per share to be paid at the end of the month. Large Corp (Large), a large... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Did Presley, as president of Corp, have authority to retain an attorney to file suit against FS for payment of $11,000 on behalf of Corp?
- Did Presley, as president of Corp, have authority to declare a dividend payable to Corp’s shareholders?
- Did Presley, as president of Corp, have the authority to enter into a purchase agreement with Large to acquire its local manufacturing plant for Corp?

Relevant facts to use:

- Question 1
- Corp, a corporation validly incorporated in State A, manufactures computer desks and sells them to furniture stores in State A and several nearby states.
- Furniture Store (FS) owes Corp $11,000 for computer desks it purchased last year.
- Presley believes that Corp should pay a dividend to its shareholders.

Condensed sample-answer path:

1. Point One: As president of Corp, Presley had authority to retain an attorney to file suit against FS

Short answer: Corporations are managed by or under the direction of their boards of directors.

Rule(s):

- The bylaws provide that "the president, as the chief executive officer of the corporation, shall manage the business of the corporation and perform such other duties as the board of directors may from time to time direct." Pursuant to the bylaws, Presley, as chief executive officer responsible for managing the business, had the authority to retain an attorney to file suit against FS for the following reasons: Corp manufactures computer desks and sells them to furniture stores like FS.
- Absent a prohibition contained in bylaws or imposed by the board of directors, Presley had authority to bring suit on behalf of Corp, so long as it was in the ordinary course of business.
- See generally 2A FLETCHER'S CYCLOPEDIA OF PRIVATE CORPORATIONS § 618 (discussing presidents' authority to bring legal proceedings).

Fact-based analysis:

- The board of directors generally delegates day-to-day management of the corporation's business to officers.
- Today, most states presume that the president has the inherent power to act for the corporation so long as the matter is within the scope of its ordinary business.
- 1959); Belcher v.Birmingham Trust National Bank, 348 F.
- Lizau Realty Corp, 160 N.E.2d 622, 624 (ecute suits in the name of the corporation).

2. Point Two: Presley did not have authority to declare a dividend payable to Corp's shareholders. Corp

Short answer: Although the president of a corporation has the authority to bind the corporation by acts that are in the ordinary course of business (see Point One above), the president does not have the authority to declare or pay dividends to shareholders.

Rule(s):

- Although the president of a corporation has the authority to bind the corporation by acts that are in the ordinary course of business (see Point One above), the president does not have the authority to declare or pay dividends to shareholders.
- Corporate law confers this authority only on the directors of the corporation.
- Therefore, Presley, as an officer, did not have the authority to declare a dividend payable to Corp's shareholders.

Conclusion: Therefore, Presley, as an officer, did not have the authority to declare a dividend payable to Corp's shareholders.

3. Point Three: Presley has no power, as president, to enter into a purchase agreement to acquire Large

Short answer: extraordinary in nature.

Rule(s):

- The president of a corporation has the authority to bind the corporation by acts that are in the ordinary course of business, but does not have the authority to bind the corporation by extraordinary acts.
- "Any attempt at precision in drawing this line would almost certainly be futile, because the issue is highly dependent on the context in which it arises, and the types of business transactions that may arise are endlessly variable." See 1 PRINCIPLES OF CORP.

- As such, Presley, as president, would not have actual authority to sign the purchase agreement without the approval of the board of directors.

Fact-based analysis:

- The facts surrounding Presley's planned purchase of Large's local manufacturing plant do not provide numbers to calculate the economic impact of the purchase on the corporation, but they do suggest that the impact would be significant.
- Therefore, Presley also lacked apparent authority to enter into the purchase agreement.

Conclusion: Therefore, Presley also lacked apparent authority to enter into the purchase agreement.

Question call(s): 1. Did Presley, as president, have the authority to retain an attorney to file suit against FS on behalf of Corp? Explain. | 2. Did Presley, as president, have the authority to declare a dividend payable to Corp's shareholders? Explain. | 3. Did Presley, as president, have the authority to enter into a purchase agreement with Large to acquire its local manufacturing plant on behalf of Corp? Explain.

July 2005 — Question 2

Primary source subject: Corporations

Question summary: This question involves Question 2 Peg, an entrepreneur, decided to develop a widget manufacturing business. Widget production requires the use of a chemical called chromite. The core dispute asks Is Peg personally liable to Chem Corp. under the contract? Explain. 2. Is Acme, Inc. liable to Chem Corp. under the contract? Explain. Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Is Peg, as promoter of a corporation to be formed, personally liable on the contract with Chem Corp.?
- Is Acme, Inc., liable on the contract with Chem Corp.?

Relevant facts to use:

- Question 2
- Peg, an entrepreneur, decided to develop a widget manufacturing business.
- On May 20, Peg received a quote from Chem Corp. stating that it could supply Peg's corporation with all of its chromite at $145 per ton for the next three years.
- On May 26, Peg and Chem Corp. signed a three-year requirements contract for Chem Corp. to supply her soon-to-be-formed corporation with all of its chromite at a price of $145 per ton.

Condensed sample-answer path:

1. Point One: Under the contract, Peg, as a promoter, is personally liable unless the parties, as evide

Short answer: Peg is a "promoter." A promoter is someone who "forms a corporation and procures for it the rights, instrumentalities and capital to enable it to conduct its business." Stap v.

Rule(s):

- Generally, a promoter who signs a contract in the name of a proposed corporation is personally liable on that contract unless the parties agree otherwise.
- However, if a party who contracts with a promoter knows that the corporation has not yet been formed and agrees to look only to the corporation for performance, the promoter is not liable.
- If you are serious, lock in the deal," could be interpreted to support either argument.

Fact-based analysis:

- Peg is a "promoter." A promoter is someone who "forms a corporation and procures for it the rights, instrumentalities and capital to enable it to conduct its business." Stap v.
- This is true even if the contract does not mention the promoter's liability.
- Subsequent adoption by the corporation does not relieve the promoter of liability unless the third party and the corporation expressly or impliedly enter into a novation, by which they agree to relieve the promoter from personal liability on the contract.
- Therefore, absent a novation, Peg ordinarily would be personally liable to Chem Corp. for the liquidated damages.

Conclusion: In such a jurisdiction, Peg might argue that she is not liable because Acme adopted the contract (see Point Two below).

2. Point Two: Acme, Inc., is liable under the contract if it expressly or impliedly adopted it. While t

Short answer: A contract with a promoter is not a contract with the subsequently formed corporation.

Rule(s):

- A contract with a promoter is not a contract with the subsequently formed corporation.
- Express adoption requires the unequivocal action by someone, with knowledge of all material facts, who would have had the authority to bind the corporation to this type of contract.
- A corporation can impliedly adopt a contract so long as it is done with knowledge of all material facts by someone who would have had the authority to bind the corporation to this type of contract.

Fact-based analysis:

- The newly formed corporation is not automatically bound by the contracts executed by its promoter prior to formation.
- The newly formed corporation is only liable on such a contract if: (1) a statute mandates liability, (2) charter documents mandate liability, or (3) the contract is adopted or ratified by the corporation.
- Adoption of a contract can be either express or implied.
- The fact that "[n]either the board of directors nor the officers of Acme, Inc., formally reviewed or approved the contract with Chem Corp." indicates that Acme never expressly adopted the contract.

Conclusion: Because Acme received a benefit after Vic checked the material facts, Acme, Inc., adopted the contract and is liable to pay the liquidated damages.

Question call(s): 1. Is Peg personally liable to Chem Corp. under the contract? Explain. | 2. Is Acme, Inc. liable to Chem Corp. under the contract? Explain.

February 2006 — Question 5

Primary source subject: Corporations

Question summary: This question involves MEE Question 5 Green Corporation (Green) was properly incorporated in State A. Green's articles of incorporation authorize 100 shares of common stock (Common) and 300 shares of Class A non-voting cumulative preferred stock (Class A Preferred). The core dispute asks Green has been experiencing financial difficulties for some time and has not paid the Class A Preferred dividends for more than four consecutive quarters. On September 2, Green's board unanimously adopted a proposal to dissolve the... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Was the special shareholder meeting to vote on the proposal to dissolve Green properly called?
- Could the Class A Preferred shares vote at the special shareholder meeting called to vote on the proposal to dissolve Green?
- Did Deb properly appoint Ed as her proxy?
- If Ed was permitted to represent both his own and Deb's shares, was there a quorum present at the special shareholder meeting so that a vote could be taken, and, if so, what vote was necessary to approve the proposal to dissolve Green?

Relevant facts to use:

- MEE Question 5
- Green Corporation (Green) was properly incorporated in State A.
- Deb owns all 100 shares of the Common and 100 shares of the Class A Preferred.
- Green has been experiencing financial difficulties for some time and has not paid the Class A Preferred dividends for more than four consecutive quarters.

Condensed sample-answer path:

1. Point One: While the board of directors may call a special meeting to vote on the proposal to dissol

Short answer: A proposal to dissolve the corporation adopted by the board of directors must be submitted to a shareholder vote.

Rule(s):

- A proposal to dissolve the corporation adopted by the board of directors must be submitted to a shareholder vote.
- For this purpose, the board of directors has the authority to call a special meeting.
- The corporation must provide proper notice of the special meeting.

Fact-based analysis:

- After the Green board unanimously agreed to recommend dissolution of the corporation, they sought to call a special meeting to submit the proposal to a shareholder vote.
- In order to properly call a meeting, the corporation also is obligated to notify all shareholders entitled to vote at the special meeting in a timely manner.
- Here, notice for this special meeting was deficient because, although Deb was given timely notice, Ed was not.
- Triple-State Natural Gas & Oil Co., 54 S.E.

Conclusion: 1906); FLETCHER CYCLOPEDIA OF THE LAW OF PRIVATE CORPORATIONS § 1999. [NOTE: An exceptional answer might add that under the RMBCA, even if the Class A Preferred shares were not entitled to voting rights at this time (see Point Two), they would still be entitled to notice of this special meeting because all shareholders are entitled to notice of a meeting to consider fundamental corporate change, including dissolution.

2. Point Two: Ed was entitled to vote his 200 Class A Preferred shares because under Green's articles o

Short answer: Unless the articles of incorporation provide otherwise, each outstanding share, regardless of class, is entitled to one vote on each matter voted on at a shareholders' meeting.

Rule(s):

- Therefore, absent the occurrence of those certain conditions, the Class A Preferred shares were not entitled to vote on a proposed dissolution, though in an RMBCA jurisdiction they were entitled to notice of the vote.
- Under these facts, Ed was entitled to vote his 200 Class A Preferred shares because the conditions specified in the articles of incorporation had occurred.

Conclusion: Therefore, absent the occurrence of those certain conditions, the Class A Preferred shares were not entitled to vote on a proposed dissolution, though in an RMBCA jurisdiction they were entitled to notice of the vote.

3. Point Three: Ed could not vote Deb's shares because Deb did not properly appoint Ed as her proxy.

Short answer: A shareholder may vote in person or by proxy.

Rule(s):

- A shareholder may vote in person or by proxy.
- To appoint a valid proxy, Deb must sign an appointment form or make a verifiable electronic transmission.

Fact-based analysis:

- Therefore, Deb was entitled to appoint Ed as her proxy to vote her shares at the special meeting when she was unable to attend.
- In this case, Deb orally asked Ed to serve as her proxy.

Conclusion: Therefore, Deb was entitled to appoint Ed as her proxy to vote her shares at the special meeting when she was unable to attend.

4. Point Four: The proposal to dissolve Green was not properly approved because the meeting was not pro

Short answer: First, as noted above, the special meeting was not properly held as it was not called in the proper manner, and the impropriety was not effectively waived.

Rule(s):

- Thus, at least 201 votes must be represented in order to establish a quorum.
- If Ed had been permitted to represent all of Deb's and his own shares at the special meeting, all 400 shares would have been present and the quorum satisfied.
- Even if the special meeting had been properly held, the votes cast in favor of dissolution were insufficient to adopt the dissolution proposal because Ed did not have a valid proxy and no majority was cast in favor of the proposal.

Fact-based analysis:

- Therefore, there were 400 shares entitled to vote on the proposal to dissolve Green.

- Because only 200 shares were represented at the meeting, no quorum was present, and the dissolution proposal failed.
- Thus, regardless of the standard applied, the proposal to dissolve Green, even assuming the meeting was properly held and Ed had properly cast Deb's votes, would fail because, if Ed had voted Deb's 200 shares (100 Common, 100 Class A Preferred) in favor of the proposal and his 200 Class A Preferred shares against, there would have been a tie vote, and neither a super-majority or even a majority in favor of the proposal.

Conclusion: Thus, regardless of the standard applied, the proposal to dissolve Green, even assuming the meeting was properly held and Ed had properly cast Deb's votes, would fail because, if Ed had voted Deb's 200 shares (100 Common, 100 Class A Preferred) in favor of the proposal and his 200 Class A Preferred shares against, there would have been a tie vote, and neither a super-majority or even a majority in favor of the proposal.

Question call(s): 1. Was the special shareholder meeting called to dissolve Green properly held? Explain. | 2. Was the proposal to dissolve Green properly adopted by its shareholders? Explain.

July 2006 — Question 5

Primary source subject: Corporations

Question summary: This question involves MEE Question 5 Until early this year, Parensco, Inc. (Parensco) owned 75% of the outstanding shares of Subco Corp. The core dispute asks Parensco and Subco then issued a proxy statement to the Subco shareholders, which was complete and accurate except for its failure to mention the Aster proposal. The merger was approved by a vote of 90% of the outstanding Subco shares,... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Did Parensco breach any of its fiduciary duties by failing to disclose the Aster proposal to the minority shareholders of Subco?
- Did the Subco board breach its duty of care to the Subco shareholders in approving the merger?
- Did Parensco breach any duty owed to the minority shareholders of Subco by offering to pay them only $120 per share?

Relevant facts to use:

- MEE Question 5
- Until early this year, Parensco, Inc. (Parensco) owned 75% of the outstanding shares of Subco Corp. (Subco).
- Several months ago, the president of Aster, Inc. (Aster) approached Carr, expressed an interest in acquiring control of Subco, and stated that Aster would consider a purchase price in the range of $200 per Subco share.
- After its board duly authorized this transaction, Parensco issued the following press release:

Condensed sample-answer path:

1. Point One: Parensco probably breached its fiduciary duties to the minority shareholders of Subco by

Short answer: As majority shareholder, Parensco has a duty to disclose any information that it knew or should have known if that information was material.

Rule(s):

- As majority shareholder, Parensco has a duty to disclose any information that it knew or should have known if that information was material.
- Here, Parensco will be found to have breached this duty to disclose if the information regarding the Aster proposal was material, and the nondisclosure caused a loss to the minority shareholders.
- Although the $200 per share price arose in the context of a preliminary conversation, and may not have been a firm offer, the shareholders would argue that they are capable of assessing the importance of the information, and they can take into account that any further discussions regarding the proposal might have broken down or the deal might not have been consummated.

Fact-based analysis:

- Thus, they would argue that the nondisclosure caused them loss.

Conclusion: Thus, they would argue that the nondisclosure caused them loss.

2. Point Two: The Subco board appears to have breached its duty of care to the Subco shareholders in ap

Short answer: Ordinarily the Subco board's action would be protected by the business judgment rule.

Rule(s):

- While their reliance on Banker's report appears to be justified, it might not be enough to discharge their duty of care.
- The Subco board might argue that the approval by the minority shareholders "cured" any breach of the duty of care and that since this approval was by a majority of the minority shareholders, the burden of proof shifts to the complaining minority shareholders to prove that the merger was unfair.

Fact-based analysis:

- Here, however, even though the facts are not extensive on this point, they do suggest that the Subco board was only minimally involved in the approval of the merger, and failed to exercise due care.

3. Point Three: Parensco probably breached its fiduciary duty of fair dealing when it offered to pay th

Short answer: When a majority shareholder purchases the interest of the minority, it has a duty of fair dealing.

Rule(s):

- When a majority shareholder purchases the interest of the minority, it has a duty of fair dealing.
- The transaction is reviewable to determine whether the majority shareholder discharged this duty.
- Under the facts of this case, it is doubtful that Parensco did.

Fact-based analysis:

- As a result, Parensco probably breached its fiduciary duty of fair dealing.

Conclusion: As a result, Parensco probably breached its fiduciary duty of fair dealing.

Question call(s): 1. Did Parensco breach any of its fiduciary duties by failing to disclose the Aster proposal to the minority shareholders of Subco? Explain. | 2. Did the Subco board breach its duty of care in approving the merger? Explain. | 3. Did Parensco breach any duty to the minority shareholders of Subco by offering them only $120 per share? Explain.

July 2007 — Question 9

Primary source subject: Corporations & Limited Liability Companies

Question summary: This question involves MEE Question 9 Last July Art, Brett, and Chad formed LeaseAll, Limited Liability Company (LLC), to lease personal property to individuals and businesses. Art, Brett, and Chad had equal ownership interests in LLC and entered into a written operating agreement (OA). The core dispute asks Can Peter recover the $500,000 judgment against LLC from Art, Brett, and/or Chad personally? Explain. Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- (a) Can the members of an LLC maintain a direct action against the manager of the LLC for mismanagement of the LLC?
- (b) Can the members of an LLC maintain a derivative action against the manager of the LLC for mismanagement of the LLC?
- Were Art's actions a breach of his fiduciary duty of care as the manager of LLC?
- Can Peter pierce the veil of limited liability of LLC and hold any or all of its members liable for LLC's debt?

Relevant facts to use:

- MEE Question 9
- Last July Art, Brett, and Chad formed LeaseAll, Limited Liability Company (LLC), to lease personal property to individuals and businesses.
- Over the next year, Brett and Chad did not participate in the business.
- Things have not gone well for LLC.

Condensed sample-answer path:

1. Point One(a): Members of an LLC cannot maintain a direct action against the manager of the LLC for m

Short answer: Members of a manager-managed LLC do not have the right to maintain a direct action against the manager of the LLC when the alleged misconduct caused harm only to the LLC.

Rule(s):

- 1, 10 (2005) (overwhelming majority rule that a claim for an injury to a corporate entity against a manager or officer must be brought derivatively).
- Because the harms were derivative, not direct, Brett and Chad may not bring a direct action against Art. [NOTE: If Art breached a contractual obligation to Brett and Chad, they could maintain a direct action against Art.

Fact-based analysis:

- Therefore, this is a manager-managed LLC.
- Here, the harms that Art caused—failing to manage the business profitably and failing to insure the business properly—were harms to the business and reputation of LLC, not harms directly to Brett and Chad.

Conclusion: Therefore, this is a manager-managed LLC.

2. Point One(b): Members of an LLC can maintain a derivative action against the manager of the LLC for

Short answer: Members of an LLC can maintain a derivative action against the manager of the LLC for mismanagement of the LLC.

Rule(s):

- In order to maintain such an action members must normally first make a demand that the manager bring the action and allege in their complaint the efforts that they made to "secure initiation of the action by [the] . . . manager or the reasons for not making the effort." ULLCA §1103.

Fact-based analysis:

- Here, however, it is likely that demand would be excused, as Art would have to agree to bring an action against himself.
- Therefore, Brett and Chad probably could bring a derivative action without first making a demand on Art, although that action would likely fail. (See Point Two.)

Conclusion: Therefore, Brett and Chad probably could bring a derivative action without first making a demand on Art, although that action would likely fail. (See Point Two.)

3. Point Two: Simple negligence does not constitute a violation of a manager's fiduciary duty of care t

Short answer: Under the ULLCA, managers (or members in a member-managed LLC) owe a duty of care to the LLC, but they are not liable for simple negligence.

Rule(s):

- Under the ULLCA, managers (or members in a member-managed LLC) owe a duty of care to the LLC, but they are not liable for simple negligence.
- ULLCA § 409(c) provides that the duty of care consists of "refraining from engaging in grossly negligent conduct or reckless conduct, intentional misconduct, or a knowing violation of law." Under this standard, the question would be whether Art's failure to manage LLC profitably and to insure the business rose to the level of gross negligence or reckless conduct.
- Some state statutes reject the gross negligence standard of the ULLCA and impose an ordinary negligence standard for evaluating breaches of an LLC manager's duty of care.

Conclusion: The facts, however, suggest that Art did act in good faith; thus, Brett and Chad could not maintain a claim for a breach of this duty.]

4. Point Three: To pierce the veil of an LLC and hold the members personally liable, a claimant must de

Short answer: Ordinarily, members of an LLC are not liable for the debts, obligations, or liabilities of an LLC "solely by reason of being or acting as a member." ULLCA §303.

Rule(s):

- Courts that pierce the veil rely on various theories to do so.
- Under the "mere instrumentality" test, Peter would have to show that (1) the members dominated the entity in such a way that LLC had no will of its own, (2) the members used that domination to commit a fraud or wrong, and (3) the control and wrongful action proximately caused the injury complained of.
- Under the "unity of interest and ownership" test, Peter must demonstrate that there was such a unity of interest and ownership between the entity and the members that, in fact, LLC did not have an existence independent of the members and that failure to pierce through to the members would be unjust or inequitable.

Fact-based analysis:

- Whereas a failure to follow formalities in the operation of the corporation is a factor in corporate veil piercing cases, it is less frequently relevant in LLC cases.

Conclusion: Although it might be argued that LLC was undercapitalized because it could not meet its obligations, its initial capitalization was substantial ($100,000), and there are no facts to suggest that amount would not have been sufficient capitalization for a business of this sort had it been run more effectively (and had Art purchased insurance as intended).

Question call(s): 1. If Brett and Chad bring an action against Art to recover damages claiming that Art mismanaged LLC, should that action be direct or derivative and what corporate law requirements must they meet before bringing an action? Explain. | 2. Did Art breach his fiduciary duty in managing LLC? Explain. | 3. Can Peter recover the $500,000 judgment against LLC from Art, Brett, and/or Chad personally? Explain.

February 2008 — Question 5

Primary source subject: Corporations

Question summary: This question involves MEE Question 5 Cal is the CEO and chairman of the 12-member board of directors of Prime, Inc. (Prime). The core dispute asks After the Board heard both presentations, Cal disclosed to the Board that he had a 25% partnership interest in Smart. Cal stated that he would not be involved in any work to be performed by Smart for Prime. He knew but did not disclose to... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Did Cal violate his duty of loyalty to Prime by failing to make full disclosure of all relevant information to the Board about a partnership in which he has an interest and with which Prime is considering entering into a transaction?
- Assuming that Cal violated the duty of loyalty, does he have any defenses to avoid liability?
- Did the members of Prime's board of directors, other than Cal, violate their duty of care by approving a more expensive contract without full information?

Relevant facts to use:

- MEE Question 5
- Cal is the CEO and chairman of the 12-member board of directors of Prime, Inc. (Prime).
- Recently, the Board decided to hire a consulting firm to help Prime market a new product.
- After the Board heard both presentations, Cal disclosed to the Board that he had a 25% partnership interest in Smart.

Condensed sample-answer path:

1. Point One: Cal violated the fiduciary duty of loyalty by allowing Prime to contract with a partnersh

Short answer: Cal is the CEO and chairman of the board of Prime and therefore has a fiduciary duty of loyalty to Prime.

Rule(s):

- Cal is the CEO and chairman of the board of Prime and therefore has a fiduciary duty of loyalty to Prime.
- Here, he may have breached that duty because he stands to benefit personally if Smart is hired, since he is a partner in Smart.

2. Point Two:

Short answer: The RMBCA provides three safe harbors for a director who breaches his duty of loyalty: approval by disinterested directors, approval by disinterested shareholders, or fairness.

Rule(s):

- The RMBCA provides three safe harbors for a director who breaches his duty of loyalty: approval by disinterested directors, approval by disinterested shareholders, or fairness.
- It is unlikely that any of these safe harbors will protect .60–8.63 (1984, with 2000 amendments) (RMBCA) includes three safe harbors that may protect a director who breaches his duty of loyalty.
- Under the first RMBCA safe harbor, approval by disinterested directors insulates a director's conflicting interest transaction from judicial scrutiny if the interested director disclosed his or her interest and "play[ed] no part, directly or indirectly, in [the disinterested directors'] deliberations or vote." RMBCA §§ 8.61(b)(1) & 8.62(b).

Fact-based analysis:

- Applying the first prong of this test, it appears that the Prime board, except for Cal, was disinterested when it approved the Smart consulting contract.
- As far as disinterested approval is concerned, the entire Prime board, with Cal abstaining, approved the Smart consulting contract.
- Three board members are also senior officers of Prime and therefore arguably dependent on Cal's continued goodwill, but the remaining eight are outside directors with no other connections to the corporation.
- Accordingly, even if there is some possible doubt as to the independence of the three inside or management directors, there is no doubt as to the independence of the other eight, all of whom voted in favor of the contract.

Conclusion: Under the second RMBCA safe harbor, approval by disinterested shareholders would insulate a director's conflicting interest transaction from judicial scrutiny.

3. Point Three:

Short answer: Prime's disinterested directors likely breached their duty of care when they approved, with minimal discussion and without full information, a contract in which a director had an interest.

Rule(s):

- Prime's disinterested directors likely breached their duty of care when they approved, with minimal discussion and without full information, a contract in which a director had an interest.
- If the directors do not qualify for the protection of the business judgment rule, they likely will be found to have breached their duty of care in approving the contract with Smart.
- Because the business judgment rule presumes that the Board was adequately informed, a party claiming that the directors breached their duty of care has the burden of showing that the Board did not have sufficient information to justify going with the higher-priced firm.

Fact-based analysis:

- In this case, there is no evidence of bad faith.
- Moreover, if the Board had discussed the contract for more than 10 minutes, it might have realized that it lacked full information.

- Therefore, it is likely that a court would find that the Board violated its fiduciary duty of care by approving the contract with Smart.

Conclusion: Therefore, it is likely that a court would find that the Board violated its fiduciary duty of care by approving the contract with Smart.

Question call(s): 1. Did Cal violate his duty of loyalty to Prime? Explain. | 2. Assuming Cal breached his duty of loyalty to Prime, does he have any defense to liability? Explain. | 3. Did the directors of Prime, other than Cal, violate their duty of care? Explain.

February 2009 — Question 9

Primary source subject: Corporations

Question summary: This question involves MEE Question 9 Corporation has 20 shareholders. Its largest shareholder, Major, owns just over 30 percent (30%) of Corporation's shares. The core dispute asks Will the directors (other than Major) be protected from liability by the business judgment rule? Explain. 2. Will Major be protected from liability by the business judgment rule? Explain. 3. Will Major be protected from liability by... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Does the business judgment rule protect from liability a director who authorizes a transaction in which another director has a financial interest without obtaining full disclosure?
- Does the business judgment rule protect from liability a director who is interested in a transaction and who does not make full disclosure about that transaction?
- Does the approval of the transaction by the disinterested members of the board of directors protect from liability a director who is interested in a transaction and who does not make full disclosure about that transaction?
- Does an exculpatory provision in the articles of incorporation protect from liability a director who authorizes a transaction in which another director has an interest without obtaining full disclosure?
- Does an exculpatory provision in the articles of incorporation protect from liability a director who is interested in a transaction and who does not make full disclosure about that transaction?

Relevant facts to use:

- MEE Question 9
- Corporation has 20 shareholders.
- Major is also the president and one of the five directors of Corporation.
- Over the past two years Major, acting in his capacity as president of Corporation, has persuaded Corporation's board of directors (Board) to approve the purchase of a number of valuable items of Major's personal property appropriate for Corporation's business.

Condensed sample-answer path:

1. Point One: The directors (other than Major) will not be protected from liability by the business jud

Short answer: Directors owe a duty of loyalty and a duty of care.

Rule(s):

- Directors owe a duty of loyalty and a duty of care.
- Thus the directors, other than Major, did not violate the duty of loyalty.
- 1985) (directors have a duty to exercise an informed business judgment); MODEL BUS.

Fact-based analysis:

- In this case, the claim is likely to be that the directors failed to exercise care in informing themselves regarding the transactions that they approved.
- The business judgment rule "is a presumption that in making a business decision, the directors of a corporation acted on an informed basis, in good faith and in the honest belief that the action taken was in the best interests of the company." Aronson v.
- Under the facts, the directors (other than Major) did not exercise adequate care in becoming informed about the transactions in question: they relied entirely on Major's assurances that the prices paid by Corporation represented the fair market value of the properties purchased, they did not ask how he determined the fair market value, and they never employed any independent party to evaluate the properties being purchased, despite their awareness of Major's interest in the transactions.
- In this case, however, the directors had knowledge that made such reliance unwarranted.

Conclusion: Thus the directors, other than Major, did not violate the duty of loyalty.

2. Point Two: Major will not be protected from liability by the business judgment rule because Major ha

Short answer: Where a director stands on both sides of a transaction, the business judgment rule does not apply.

Rule(s):

- Where a director stands on both sides of a transaction, the business judgment rule does not apply.
- LAW INST., PRINCIPLES OF CORPORATE GOVERNANCE: ANALYSIS AND RECOMMENDATIONS § 4.01(c)(1) (1994) (good faith business judgment of director fulfills duty of director where director is, among other things, not interested in the subject of the transaction); cf.
- ACT § 8.31(a)(2)(v) (director not liable to corporation unless party asserting liability establishes one of a number of elements including receipt of financial benefit by the director to which director is not entitled or other actionable breach of duty by the director to deal fairly with the corporation).

Conclusion: Major will not be protected from liability by the business judgment rule because Major was interested in the transactions and, consequently, Major will be required to establish the fairness of the transactions in question in order to avoid a claim that he breached a fiduciary duty of loyalty.

3. Point Three: Major will not be protected from liability by the approval of the transactions by a dis

Short answer: Major may argue that since the transactions in question were approved by disinterested directors, the transactions should be subject to the business judgment rule and the party challenging the transactions should be required to prove that the transactions were unfair to the corporation or, perhaps, even to prove that the transactions constituted waste.

Rule(s):

- Major may argue that since the transactions in question were approved by disinterested directors, the transactions should be subject to the business judgment rule and the party challenging the transactions should be required to prove that the transactions were unfair to the corporation or, perhaps, even to prove that the transactions constituted waste.

- In a Model Act jurisdiction, Major may also argue that the transaction should be within the statutory “safe harbor” for transactions approved by disinterested directors and, therefore, immune from attack.

Conclusion: Certainly an ordinarily prudent board member would find the fact that the price is vastly more than market price is material to a judgment about whether to proceed with a transaction.

4. Point Four: The directors (other than Major) will be protected from liability by the exculpatory pro

Short answer: A corporation’s articles of incorporation may include a provision shielding its directors from liability for money damages for the failure to exercise adequate care in the performance of their duties as directors.

Rule(s):

- A corporation’s articles of incorporation may include a provision shielding its directors from liability for money damages for the failure to exercise adequate care in the performance of their duties as directors.
- Delaware, for example, permits provisions that protect directors from liability for breaches of the duty of care, but does not permit provisions that protect directors from liability for any breach of the duty of loyalty, for acts or omissions that are not in good faith, or for any transactions from which the director received an improper personal benefit.
- Similarly, the Model Business Corporation Act permits provisions that protect directors from liability for breaches of the duty of care, but does not permit provisions that limit or eliminate liability “for the amount of a financial benefit received by a director to which he is not entitled.” MODEL BUS.

Fact-based analysis:

- Here, there is no suggestion that the directors (other than Major) received an improper personal benefit.

Conclusion: Applicants who raise this argument should receive extra credit.]

5. Point Five: Major will not be protected from liability by the exculpatory provision in the articles

Short answer: Major will not be protected from liability by the exculpatory provision in the articles because that provision does not protect directors for actions undertaken in bad faith or for a breach of the duty of loyalty, such as the receipt of an improper personal benefit.

Rule(s):

- Major will not be protected from liability by the exculpatory provision in the articles because that provision does not protect directors for actions undertaken in bad faith or for a breach of the duty of loyalty, such as the receipt of an improper personal benefit.
- Major’s conduct probably violated the duty of loyalty since he had a personal interest in the transactions, they were not properly approved, and they probably were not fair to the corporation.
- July 2009 Questions July 2009, Question 1 MEE Question 1 Prior to his death, Settlor created a valid irrevocable trust and named Trustee as trustee.

Conclusion: Should a court authorize Trustee to distribute trust property that was payable to Business College to Settlor’s estate?

Question call(s): 1. Will the directors (other than Major) be protected from liability by the business judgment rule? Explain. | 2. Will Major be protected from liability by the business judgment rule? Explain. | 3. Will Major be protected from liability by Board’s approval of the transactions? Explain.

February 2010 — Question 5

Primary source subject: Corporations

Question summary: This question involves Smith owns 10% of the common shares of Omega, Inc., a closely held corporation. Baker and Jones each own 45% of Omega's common shares. The core dispute asks Does Smith have a right to inspect Omega's corporate books and records to determine whether $35 per share is a fair price for his shares? Explain. 2. If Smith brings a suit to compel the payment of a dividend, must Smith first make a... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Relevant facts to use:

- Smith owns 10% of the common shares of Omega, Inc., a closely held corporation.
- Omega has not paid a dividend on its common shares for several years.
- When Smith complained to Baker and Jones about nonpayment of dividends, they said that while Omega could legally pay dividends, it has not done so in order to retain the corporation's earnings for expansion of the business.
- Baker and Jones each offered to purchase all of Smith's shares for $35 per share.

Condensed sample-answer path:

1. Point One (25%) As a shareholder, Smith has a right to inspect corporate books and records for a pro

Short answer: A shareholder has a right to inspect corporate books and records for a proper purpose.

Rule(s):

- A shareholder has a right to inspect corporate books and records for a proper purpose.
- A proper purpose is a purpose reasonably related to a person's interest as a shareholder.
- In sum, Smith has a right to inspect Omega's corporate books and records because this purpose is reasonably related to Smith's interest as a shareholder. [NOTE: An applicant might receive extra credit for recognizing that in order to exercise his inspection rights, Smith must comply with procedural requirements, which generally include making a written demand for inspection and allowing the corporation a certain length of time (typically five days) to respond.]

Fact-based analysis:

- 29, 1994) (involving shares in a closely held corporation; no present intention to sell or concrete steps to sell shares required in order for valuation of shares to be a proper purpose).
- In contrast to a publicly traded corporation, a closely held corporation has no market that continuously values its shares.
- The fact that Omega is a closely held corporation reinforces the conclusion that valuing the shares is a proper purpose for inspection.
- Thus, "[w]hen a minority shareholder in a closely held corporation whose stock is not publicly traded needs to value his or her shares in order to decide whether to sell them, normally the only way to accomplish that is by examining the appropriate corporate books and records." Macklowe, 1994 WL 560804 at *4.

Conclusion: Thus, "[w]hen a minority shareholder in a closely held corporation whose stock is not publicly traded needs to value his or her shares in order to decide whether to sell them, normally the only way to accomplish that is by examining the appropriate corporate books and records." Macklowe, 1994 WL 560804 at *4.

2. Point Two (30%) A suit to compel the payment of a dividend is a suit seeking to enforce an individua

Short answer: A shareholder is generally required to make a demand on the corporation to take remedial action prior to bringing a derivative suit.

Rule(s):

- A shareholder is generally required to make a demand on the corporation to take remedial action prior to bringing a derivative suit.
- A suit to compel the payment of a dividend is not a suit to enforce a right of the corporation.
- Consequently, there is no requirement that Smith make a demand on the corporation prior to bringing suit to compel the payment of a dividend. [NOTE: In some jurisdictions, a derivative suit may be appropriate and graders are encouraged to ascertain local law on this issue.

Fact-based analysis:

- However, a shareholder is not required to make a demand on the corporation prior to bringing suit where the shareholder brings a suit in his or her individual capacity to enforce an individual right of the shareholder.
- The important question, then, is whether a suit to compel the payment of a dividend is a suit to enforce a right of the corporation or, conversely, a suit to enforce an individual right of the shareholder.
- It is a suit to enforce a right of the individual shareholder, that is, the shareholder's right to share in the net profits of the corporation.
- Presumably, Baker and Jones, having made the decision not to pay a dividend, are unlikely to agree to have the corporation sue the directors for failure to declare a dividend.]

Conclusion: If an applicant approaches this issue solely from the perspective of the shareholder bringing a derivative suit, then the grader should also expect some analysis of demand futility.

3. Point Three (45%) The decision as to whether to distribute corporate earnings as dividends or to ret

Short answer: While directors have fiduciary duties, the business judgment rule protects them from liability for breach of their fiduciary duties.

Rule(s):

- While directors have fiduciary duties, the business judgment rule protects them from liability for breach of their fiduciary duties.
- To prevail in a suit to compel the payment of a dividend, a shareholder must prove that there are funds legally available for the payment of a dividend and that the directors acted in bad faith in their refusal to pay.
- 1977) (plaintiff must show bad faith, fraud, breach of fiduciary duty, or abuse of discretion on the part of the directors); Gottfried v.

Fact-based analysis:

- The business judgment rule is a presumption that in making business decisions, the directors act on an informed basis, in good faith, and in the honest belief that the action being taken is in the best interests of the corporation.
- Usually the plaintiff-shareholder will attempt to prove bad faith by establishing various "earmarks of bad faith." These earmarks include "[i]ntense hostility of the controlling faction against the minority; exclusion of the

minority from employment by the corporation; high salaries, or bonuses or corporate loans made to the officers in control; the fact that the majority group may be subject to high personal income taxes if substantial dividends are paid; [and] the existence of a desire by the controlling directors to acquire the minority stock interests as cheaply as possible." Id.
- Here, there may be several earmarks of bad faith.
- In judging the decision of the board of a closely held corporation, a court may also consider that "[d]irectors of a closely held, small corporation must bear in mind the relatively limited access of such an enterprise to capital markets." Gay, 343 .

Conclusion: Usually the plaintiff-shareholder will attempt to prove bad faith by establishing various "earmarks of bad faith." These earmarks include "[i]ntense hostility of the controlling faction against the minority; exclusion of the minority from employment by the corporation; high salaries, or bonuses or corporate loans made to the officers in control; the fact that the majority group may be subject to high personal income taxes if substantial dividends are paid; [and] the existence of a desire by the controlling directors to acquire the minority stock interests as cheaply as possible." Id.

Question call(s): 1. Does Smith have a right to inspect Omega's corporate books and records to determine whether $35 per share is a fair price for his shares? Explain. | 2. If Smith brings a suit to compel the payment of a dividend, must Smith first make a demand on the corporation? Explain. | 3. If Smith brings a suit to compel the payment of a dividend, is that suit likely to be successful? Explain.

July 2010 — Question 9

Primary source subject: Corporations

Question summary: This question involves On December 30, X Corporation's legal record date, X Corporation had 100 shares of issued and outstanding common stock. Fifty shares were owned by Amy, 25 shares were owned by Brian, and 25 shares were owned by Carter. The core dispute asks Prior to the annual shareholders' meeting, Brian duly executed a proxy in favor of Dell. The proxy stated in its entirety, "I, Brian, hereby grant Dell full authority to vote my 25 shares of X Corporation at the January 30th annual... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Relevant facts to use:

- On December 30, X Corporation's legal record date, X Corporation had 100 shares of issued and outstanding common stock.
- On January 30, X Corporation's annual shareholders' meeting was validly held.
- Before the annual shareholders' meeting and in a timely manner, Amy mailed in her duly executed proxy, directing the secretary of X Corporation to vote her 50 shares in favor of the proposal.
- Prior to the annual shareholders' meeting, Brian duly executed a proxy in favor of Dell.

Condensed sample-answer path:

1. Point One (25%) Only shareholders of record on the record date are entitled to vote at an annual sha

Short answer: A record date determines who is entitled to vote at a particular shareholder meeting, "namely, those persons who were registered as shareholders 'of record' on that date." ROBERT CHARLES CLARK, CORPORATE LAW § 9.1.2 (1986); Brizzolara v.

Rule(s):

- A record date determines who is entitled to vote at a particular shareholder meeting, "namely, those persons who were registered as shareholders 'of record' on that date." ROBERT CHARLES CLARK, CORPORATE LAW § 9.1.2 (1986); Brizzolara v.

Fact-based analysis:

- Here, on the record date of December 30th, Amy was the owner of the 50 shares.
- Therefore, absent her proxy to another, Amy is entitled to vote the 50 shares.

Conclusion: The facts do not suggest that any proxy was given, however, and therefore Amy's vote of 50 shares in favor of the proposal should be counted, and Zach's vote of 50 shares against the proposal should not be counted.]

2. Point Two (25%) Generally, a shareholder proxy is revocable. Any action taken inconsistent with a pr

Short answer: Brian gave Dell a proxy to vote Brian's shares.

Rule(s):

- 32 (1985) ("Proxies must be revocable unless coupled with an interest."); see, e.g., .
- A proxy may be made irrevocable only if the proxy form explicitly so states and the proxy is "coupled with an interest." See MODEL BUSINESS CORP.

Fact-based analysis:

- Here, the proxy given by Brian to Dell did not state that it was irrevocable, nor was it coupled with an interest, and therefore it was revocable.
- Therefore, Brian effectively revoked the proxy, and Brian's vote of 25 shares in favor of the proposal should be counted while Dell's vote of 25 shares against the proposal should not be counted.

Conclusion: Therefore, Brian effectively revoked the proxy, and Brian's vote of 25 shares in favor of the proposal should be counted while Dell's vote of 25 shares against the proposal should not be counted.

3. Point Three (10%) A shareholder of record may attend and vote at an annual shareholders' meeting. Th

Short answer: A shareholder of record is entitled to attend and vote at an annual shareholders' meeting unless he or she has executed a valid, irrevocable proxy covering his shares.

Rule(s):

- A shareholder of record is entitled to attend and vote at an annual shareholders' meeting unless he or she has executed a valid, irrevocable proxy covering his shares.

Fact-based analysis:

- Here, Carter attended the meeting and properly voted his 25 shares against the proposal.

4. Point Four (20%) Shares that are repurchased by a corporation are not outstanding shares and therefo

Short answer: Therefore, the vote of 50 shares by X Corporation's president against the proposal cannot be counted.

Rule(s):

- voted.

- Therefore, the vote of 50 shares by X Corporation's president against the proposal cannot be counted.

Fact-based analysis:

- Therefore, the vote of 50 shares by X Corporation's president against the proposal cannot be counted.
- Shares that are reacquired by a corporation are considered authorized but not outstanding.
- The facts indicate that X Corporation's president voted 50 shares that the corporation reacquired from Amy.
- Because reacquired shares are not outstanding, they cannot be voted.

Conclusion: Therefore the 50 shares voted by the president do not count.

5. Point Five (20%) When the articles of incorporation conflict with a corporation's bylaws regarding h

Short answer: When a corporation's articles of incorporation conflict with its bylaws regarding how many shares must vote in favor of a shareholder proposal in order for that proposal to be approved, the articles of incorporation preempt the bylaws.

Rule(s):

- When a corporation's articles of incorporation conflict with its bylaws regarding how many shares must vote in favor of a shareholder proposal in order for that proposal to be approved, the articles of incorporation preempt the bylaws.
- Each test includes nine questions; user jurisdictions may elect which of the nine questions they wish to use.
- For example, the Federal Civil Procedure question on the February 2011 MEE tested the following areas from the Federal Civil Procedure outline: I.A.1., jurisdiction and venue—subject matter jurisdiction—federal courts, and IV.A. & C., pretrial procedures—pleadings and motions & joinder of parties and claims (including class actions).

Fact-based analysis:

- See Boatmen's First Nat'l Bank of West Plains v.
- Here, X Corporation's Articles of Incorporation requiring approval of two-thirds of the shares outstanding and entitled to vote on the matter to approve any shareholder action will preempt the bylaws' requirement of unanimity.
- Here, Amy's 50 votes and Brian's 25 votes in favor of the proposal are counted, while only Carter's 25 votes against the proposal are counted.
- Therefore, the proposal received the necessary approval by two-thirds of the shares outstanding and entitled to vote on the matter and should pass.

Conclusion: Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

February 2011 — Question 7

Primary source subject: Corporations

Question summary: This question involves On September 1, Adam, Baker, and Clark formed a shoe manufacturing business called Delta Incorporated (Delta). Each was to be a shareholder. The core dispute asks Is Adam, Baker, or Clark personally liable on the Mega contract? Explain as to each. 3. Is Adam, Baker, or Clark personally liable on the

Sole contract? Explain as to each. Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Relevant facts to use:

- On September 1, Adam, Baker, and Clark formed a shoe manufacturing business called Delta Incorporated (Delta).
- Adam agreed to prepare and file articles of incorporation and bylaws for Delta, in accordance with the state's corporation statute, which is identical to the Model Business Corporation Act (1984, with 2000 amendments).
- On October 1, Adam, acting on behalf of Delta, entered into a contract with Mega Stores Corporation (Mega) pursuant to which Mega was to purchase shoes from Delta for $3,000.
- On October 15, Baker learned that Delta's articles of incorporation had not been filed.

Condensed sample-answer path:

1. Point One (20%) Delta achieved corporate status upon the filing of its articles of incorporation on

Short answer: Under the Model Business Corporation Act (MBCA) § 2.03(a) (1984, with 2000 amendments), ". . . corporate existence begins when the articles of incorporation are filed." Because "[i]ncorporation under modern statutes is so simple and inexpensive . . . nothing short of filing articles of incorporation should create the privilege of limited liability." Id., ch.

Rule(s):

- Under the Model Business Corporation Act (MBCA) § 2.03(a) (1984, with 2000 amendments), ". . . corporate existence begins when the articles of incorporation are filed." Because "[i]ncorporation under modern statutes is so simple and inexpensive . . . nothing short of filing articles of incorporation should create the privilege of limited liability." Id., ch.

Fact-based analysis:

- Thus, the recitation in Delta's articles of an earlier effective date is ineffective; Delta's corporate existence began on the date that Adam filed the articles.

Conclusion: Thus, the recitation in Delta's articles of an earlier effective date is ineffective; Delta's corporate existence began on the date that Adam filed the articles.

2. Point Two (40%) When a corporation's articles of incorporation have not been filed, persons purporti

Short answer: The fact that Delta's articles of incorporation were not filed when Delta entered into the contract with Mega does not automatically make Adam, Baker, and Clark liable to Mega for amounts due on that contract.

Rule(s):

- Under the MBCA, "[a]ll persons purporting to act as or on behalf of a corporation, knowing there was no incorporation under this Act, are jointly and severally liable for all liabilities created while so acting." § 2.04.
- Thus, under § 2.04 both the participation and knowledge requirements must be met to hold any of Adam, Baker, and Clark liable.
- Thus, neither is liable on the Mega contract. [NOTE: The facts clearly state when Baker learned that the articles had not been filed: October 15.

Fact-based analysis:

- The fact that Delta's articles of incorporation were not filed when Delta entered into the contract with Mega does not automatically make Adam, Baker, and Clark liable to Mega for amounts due on that contract.
- With regard to the Mega contract, only Adam purported to act on Delta's behalf and only Adam knew that Delta's articles had not been filed.
- Therefore, Adam is personally liable on the Mega contract.
- Clark, however, at all times believed that Delta's articles of incorporation had been filed.] [NOTE: Examinees may discuss the de facto incorporation doctrine under which a shareholder is not liable for the obligations of a defectively incorporated corporation when there was "a bona fide attempt to organize . . . and colorable or apparent compliance with the requirements of the law." Gillette v.

Conclusion: Even in a non- MBCA jurisdiction, the doctrine would not apply here because Adam did nothing to attempt compliance with the statutory requirements.

3. Point Three (40%) Persons purporting to act for a corporation are personally liable for a corporate

Short answer: When a corporation's articles of incorporation have not been filed, a person is liable for preincorporation transactions only when the person purporting to act on behalf of a corporation not yet formed possesses actual knowledge that the corporation's charter has not yet been issued.

Rule(s):

- When a corporation's articles of incorporation have not been filed, a person is liable for preincorporation transactions only when the person purporting to act on behalf of a corporation not yet formed possesses actual knowledge that the corporation's charter has not yet been issued.
- Further, the official commentary to § 2.04 suggests that its protection does not extend to individuals in Baker's position. ("[Section 2.04] does not foreclose the possibility that persons who urge defendants to execute contracts in the corporate name knowing that no steps to incorporate have been taken may be estopped to impose personal liability on individual defendants.") Rather, the provision is intended to shield those who erroneously but in good faith believe that the necessary documents have been filed.
- Clark, however, is not liable because he does not meet the participation requirement nor does he satisfy the knowledge requirement; he believed at all relevant times that the articles had in fact been filed.

Fact-based analysis:

- It is not enough to establish liability that a person should have inquired about the entity's status and should have known that the corporation was not formed, as those facts do not rise to the level of actual knowledge required.
- Here, with regard to the Sole contract, Adam and Baker knew that Delta's articles of incorporation had not been filed at the time Delta entered into that contract, while Clark did not know.
- Baker might argue that, as a mere prospective shareholder, he was not a "[person] purporting to act as or on behalf of a corporation," MBCA § 2.04, and thus has no liability.
- With regard to the Sole contract, Baker was more than a prospective shareholder—he participated in the negotiation of the contract and therefore purported to act on behalf of a corporation.

Conclusion: However, even if Clark had knowledge that the articles had not been filed, he would not be liable on the Sole contract because he does not meet the participation requirement.

Question call(s): 1. When did Delta's corporate existence begin? Explain. | 2. Is Adam, Baker, or Clark personally liable on the Mega contract? Explain as to each. | 3. Is Adam, Baker, or Clark personally liable on the Sole contract? Explain as to each.

February 2012 — Question 9

Primary source subject: Corporations

Question summary: This question involves A corporation's articles of incorporation state that the corporation shall have a seven-member board of directors. Neither the articles of incorporation nor the corporation's bylaws contain any special provisions regarding the board of directors. The core dispute asks On March 30, Alan called Claire and informed her that a special meeting of the board of directors was going to be held on March 31. On March 31, five members of the board of directors (including Claire but neither Alan nor Barb) gathered... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Relevant facts to use:

- A corporation's articles of incorporation state that the corporation shall have a seven-member board of directors.
- On March 1, the corporation's president told its secretary to convene a special meeting of the board of directors.
- The Notice stated only that a special meeting of the corporation's board of directors would be held on March 31 at 10 a.m., at the corporate headquarters.
- On March 2, each member of the board of directors except Claire received the Notice.

Condensed sample-answer path:

1. Point One(a) (25%) The directors other than Claire received proper notice of the special meeting of

Short answer: Unless the articles of incorporation or bylaws provide otherwise, notice of a special meeting of a corporation's board of directors must be given at least two days prior to the date of the meeting.

Rule(s):

- Unless the articles of incorporation or bylaws provide otherwise, notice of a special meeting of a corporation's board of directors must be given at least two days prior to the date of the meeting.
- The notice must include information regarding the time, location, and date of the meeting but does not need to include information regarding the purpose of the meeting.

Fact-based analysis:

- Here, the facts state that the corporation's articles of incorporation and bylaws do not contain any special provisions regarding the board of directors.
- Therefore, with respect to those six directors, the notice of the special meeting was proper. [NOTE: Although the references in the analysis are to the MBCA, the result throughout is the same under the Delaware General Corporation Law.]

Conclusion: Therefore, with respect to those six directors, the notice of the special meeting was proper. [NOTE: Although the references in the analysis are to the MBCA, the result throughout is the same under the Delaware General Corporation Law.]

2. Point One(b) (25%) Claire did not receive proper notice of the special meeting of the board of direc

Short answer: A director who does not receive notice of a special meeting of the board of directors at least two days prior to the meeting does not receive proper notice of that meeting. (See Point One(a).) However, a director who attends a special meeting of the board of directors despite not receiving proper notice waives such notice unless the director objects to the holding of the meeting and thereafter does not vote at the meeting.

Rule(s):

- A director who does not receive notice of a special meeting of the board of directors at least two days prior to the meeting does not receive proper notice of that meeting. (See Point One(a).) However, a director who attends a special meeting of the board of directors despite not receiving proper notice waives such notice unless the director objects to the holding of the meeting and thereafter does not vote at the meeting.

Fact-based analysis:

- Here, there is no doubt that Claire did not receive proper notice of the special meeting.

Conclusion: By these actions, Claire waived the notice requirement and therefore cannot claim that proper notice of the special meeting was not given.

3. Point Two (25%) A quorum was present at the special meeting of the board of directors.

Short answer: In order for action taken at a special meeting of directors to be proper, a quorum must be present at the meeting.

Rule(s):

- In order for action taken at a special meeting of directors to be proper, a quorum must be present at the meeting.

Fact-based analysis:

- Unless the articles of incorporation or bylaws provide otherwise, when a corporation has a fixed number of directors, a quorum consists of a majority of that fixed number.
- Here, the facts state that the corporation's articles of incorporation mandate a sevenmember board of directors and its articles of incorporation and bylaws contain no special provisions regarding the board of directors.
- Therefore, a quorum for the corporation's purposes consists of four directors.
- Here, while not all seven members of the board of directors were legally present at the special meeting, five of them (all but Alan and Barb) were (see Point Three).

Conclusion: Therefore, a quorum was present, and the meeting was legally held.

4. Point Three (25%) The purchase of the asset did not receive the required number of votes and was the

Short answer: Unless the articles of incorporation or bylaws provide otherwise, if a quorum is present when a vote is taken, a majority vote of directors present is the act of the board of directors.

Rule(s):

- While directors generally are entitled to participate in special meetings over the telephone, as Alan and Barb attempted to do, such participation is valid only if all directors participating "may simultaneously hear each other during the meeting." MBCA § 8.20.
- Because Alan and Barb were not legally present at the meeting, their votes on the purchase of the asset may not be counted.
- Each test includes nine 30-minute questions; user jurisdictions may elect which of the nine questions they wish to use. (Jurisdictions that administer the Uniform Bar Examination [UBE] use a common set of six MEE

questions as part of their bar examinations.) In the actual test, the questions are simply numbered rather than being identified by area of law.

Fact-based analysis:

- Here, a quorum was present when the vote was taken (see Point Two).
- Here, the facts state that Alan and Barb could hear and be heard by the five directors present in the conference room but that Alan and Barb could not hear each other.
- Because Alan and Barb could not hear each other, neither was legally present at the meeting.
- Therefore, the vote on the purchase of the asset was two votes in favor and three votes against, and the purchase of the asset was not approved by the board of directors.

Conclusion: Therefore, the vote on the purchase of the asset was two votes in favor and three votes against, and the purchase of the asset was not approved by the board of directors.

July 2012 — Question 8

Primary source subject: Corporations & Limited Liability Companies

Question summary: This question involves Acme Inc. manufactures building materials, including concrete, for sale to construction companies. The core dispute asks Is Acme's lawyer correct? Explain. Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Relevant facts to use:

- Acme Inc. manufactures building materials, including concrete, for sale to construction companies.
- The operating agreements for these LLCs always provide that Acme has a 55% voting interest, that Acme and the construction company contribute equally to the capital of the venture, and that the parties share in profits at a negotiated rate.
- Acme entered into such a relationship with Brown Construction Co.
- A-B LLC built all 50 homes and sold them to homeowners.

Condensed sample-answer path:

1. Point One (25%) Acme owes A-B LLC and Brown fiduciary duties of loyalty and care. Refusing to have t

Short answer: A-B LLC is a member-managed limited liability company (LLC).

Rule(s):

- A-B LLC is a member-managed limited liability company (LLC).
- These fiduciary duties include both a duty of loyalty and a duty of care.
- The ULLCA does not specifically address whether the duty of loyalty precludes a majority member from refusing to have the LLC bring a surefire claim against the member.

Fact-based analysis:

- Because refusing to have the LLC bring the concrete claim against Acme is self-interested, the business-judgment rule is inapplicable.

- Under the facts given, Acme cannot reasonably believe that it is in A-B LLC's best interest to not bring the surefire concrete claim against Acme.

Conclusion: The ULLCA provides that, subject to the business-judgment rule, the duty of care requires the member to "act with the care that a person in a like position would reasonably exercise under similar circumstances and in a manner the member reasonably believes to be in the best interests of the company." ULLCA § 409(c).

2. Point Two (25%) The claim based on the defective concrete sold by Acme to A-B LLC is a claim of the

Short answer: Brown, as a member of the LLC, may maintain a derivative action under ULLCA § 902 to enforce A-B LLC's concrete claim against Acme.

Rule(s):

- Brown, as a member of the LLC, may maintain a derivative action under ULLCA § 902 to enforce A-B LLC's concrete claim against Acme.
- A derivative action in a member-managed LLC may be brought only if (1) a demand is made on the other member to bring an action and the member fails to do so, or (2) such demand would be futile.
- Therefore, Brown may bring a derivative action against Acme.

Fact-based analysis:

- Here, Brown has made a demand on Acme and Acme has failed to have the LLC bring an action against Acme.

Conclusion: This is consistent with the direct action provision, ULLCA § 901, under which Brown would have to "plead and prove an actual or threatened injury that is not solely the result of an injury suffered or threatened to be suffered by the limited liability company."

3. Point Three (25%) Based on Acme's unjustified refusal to advance the concrete claim, Brown may have

Short answer: Brown could apply to the court for an order of involuntary dissolution under ULLCA § 701(a)(5), alleging that Acme, as the member in control of the company, is acting in a manner that is oppressive and directly harmful to Brown.

Rule(s):

- Courts in the close corporation context have found oppression when actions by controlling shareholders violate the reasonable expectations of non-controlling shareholders.

Fact-based analysis:

- The comment to ULLCA § 701 states that courts have begun to apply close corporation "oppression" doctrine to LLCs.
- Thus, the question becomes whether Acme's refusal to have the LLC bring a surefire claim against Acme violates Brown's reasonable expectations.

Conclusion: Finally, Acme's refusal directly harms Brown, because unless Acme makes good on the LLC losses, Brown will suffer reputational harm for being involved in a construction project where the customers lost all their money.

4. Point Four (25%) Under the rule of limited liability, LLC members and managers are not liable beyond

Short answer: Although allocation of losses among partners in a partnership follows the allocation of profits, no allocation rule applies in an LLC because of limited liability.

Rule(s):

- Under the rule of limited liability, if the LLC becomes indebted, obligated, or otherwise liable to an outside party, no member or manager becomes liable on that debt, obligation, or liability solely by reason of acting as a member or manager.
- Under the facts, there is no indication of fraud or other inequitable conduct in the formation or operation of A-B LLC that would support a piercing claim against Acme or Brown.
- Although state courts have recognized piercing in the LLC context, there must exist some circumstances that would justify piercing on equitable grounds, such as undercapitalization of the business, failure to follow formalities, commingling of assets, confusion of business affairs, or deception of creditors.

Fact-based analysis:

- Although allocation of losses among partners in a partnership follows the allocation of profits, no allocation rule applies in an LLC because of limited liability.
- Thus, if A-B LLC lacks the assets to satisfy the judgment awarded to the homeowners, there can be no liability of either Acme or Brown on this judgment—unless a court pierces the LLC veil or finds that one of the members had acted to create direct liability.
- Therefore, because no claims were brought against either Acme or Brown, there are no losses for which either of them is liable directly, and there is no basis for allocating losses between them.

Conclusion: If A-B LLC lacks the assets to satisfy the judgment awarded against it, any shortfall will be a loss borne by the homeowners.

Question call(s): Is Acme's lawyer correct? Explain.

July 2013 — Question 6

Primary source subject: Corporations

Question summary: This question involves On February 2, Alice, Bob, and Carla formed ABC Hospitality, LLC (ABC), a member-managed limited liability company, for the purpose of building, owning, and running a 100-room luxury hotel in their hometown. ABC soon began to experience unexpected financial problems, prompting Bob to look for other... The core dispute asks Shortly after Bob became a co-owner of the Metro Inn, ABC's financial situation worsened. Alice and Carla worried that ABC would not be able to pay a bill it owed to its concrete supplier. Alice proposed to pay the concrete supplier's bill... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Relevant facts to use:

- On February 2, Alice, Bob, and Carla formed ABC Hospitality, LLC (ABC), a member-managed limited liability company, for the purpose of building, owning, and running a 100-room luxury hotel in their hometown.
- On March 10, Bob told Alice and Carla that, although he would remain as a member of ABC, he would no longer contribute any capital to ABC, and he was also becoming a co-owner of the Metro Inn, an existing 200-room hotel in the same town near the ABC hotel project.
- Members of ABC shall not in any way be prohibited from or restricted in managing, owning, or otherwise having an interest in any other business venture that may be competitive with the business of ABC.
- Shortly after Bob became a co-owner of the Metro Inn, ABC's financial situation worsened.

Condensed sample-answer path:

1. Point One (30%) Alice and Carla most likely do not have any legal basis to object to Bob's decision

Short answer: ABC is a limited liability company (LLC).

Rule(s):

- An LLC is a form of business association that combines many of the most attractive features of corporations and partnerships.
- Courts generally hold that members of an LLC, like partners in a general partnership, are in a "fiduciary relationship." See McConnell v.
- This fiduciary relationship is defined as a relationship in which members owe one another the duty of utmost trust and loyalty.

Fact-based analysis:

- Because LLCs are a relatively new form of business association bearing many similarities to corporations and partnerships, courts often turn to either corporate or partnership law to analyze issues in the LLC context.
- Here, the issue of whether Alice and Carla have any legal basis to object to Bob's ownership of an interest in a competing firm will turn on the duties and obligations that Bob owes to his fellow LLC members.
- As a result, in an LLC, as in a general partnership, direct competition by members would ordinarily be precluded as a violation of the duty of loyalty.
- Thus, the operating agreement controls over the provisions of the statute.

Conclusion: Many investors will likely want to be free to invest and exercise ownership rights in other similar real estate ventures in the same area or town.

2. Point Two(a) (35%) The designer may be able to hold Alice, Bob, and Carla proportionately liable, up

Short answer: Like a corporation, the LLC provides limited liability for its members.

Rule(s):

- This means that members of an LLC may not generally be held personally liable for the debts of the firm.
- The general rule, however, does not apply in a few situations, including when (1) the proper procedures for dissolution and winding up have not been followed, and (2) a court decides to "pierce the LLC veil." Here, the designer may be able to hold Alice, Bob, and Carla liable for ABC's debts on the ground that the winding up of ABC was improper.
- In the absence of a contrary agreement or court order, dissolution of an LLC requires consent of all the members.

Fact-based analysis:

- Like a corporation, the LLC provides limited liability for its members.
- In this case, the requirement of unanimous consent has been met since Bob gave his consent to Carla and Alice selling all of ABC's assets and property.
- Here, it is clear from Carla's statement that the designer's claim was known at the time of dissolution and that ABC did not provide sufficient notice to the designer of the dissolution.
- As a result, the designer can recover proportionately from Alice, Bob, and Carla personally for ABC's debt up to the amount that each member received in the improper winding up after dissolution.

Conclusion: As a result, the designer can recover proportionately from Alice, Bob, and Carla personally for ABC's debt up to the amount that each member received in the improper winding up after dissolution.

3. Point Two(b) (35%) The designer may be able to hold Alice, Bob, and Carla jointly and severally liab

Short answer: As an alternative basis for holding Alice, Bob, and Carla personally liable for ABC's debts, the designer could pursue a claim for piercing the LLC veil.

Rule(s):

- To pierce the LLC veil, courts generally apply the same analysis and factors as in cases where a third party attempts to pierce the corporate veil and hold shareholders of a corporation personally liable for firm debts.
- This requires analyzing whether members have treated the LLC as a separate entity or whether it has instead become the "alter ego" of the members.
- If the latter is true, members will not be permitted to "enjoy immunity from individual liability for the LLC's acts that cause damage to third parties." Id. at 327.

Fact-based analysis:

- Thus, taken alone, the off-the-books advances by Alice to ABC might not be sufficient to justify piercing, but this does not "cleanse" the inequitable nature of the distribution of proceeds to the three members when ABC was dissolved while the firm's debts remained unpaid. [NOTE: The question specifically asks whether Alice, Bob, and Carla are "personally" liable to the designer and not whether the three might be liable to the LLC as members who consented to an improper distribution by the LLC—that is, a distribution that rendered the company unable to pay its debts as they became due.

Conclusion: Thus, taken alone, the off-the-books advances by Alice to ABC might not be sufficient to justify piercing, but this does not "cleanse" the inequitable nature of the distribution of proceeds to the three members when ABC was dissolved while the firm's debts remained unpaid. [NOTE: The question specifically asks whether Alice, Bob, and Carla are "personally" liable to the designer and not whether the three might be liable to the LLC as members who consented to an improper distribution by the LLC—that is, a distribution that rendered the company unable to pay its debts as they became due.

Question call(s): 1. Did Alice and Carla have any legal basis to object to Bob's co-ownership of the Metro Inn? Explain. | 2. Under what theory or theories could Alice, Bob, or Carla be personally liable to the designer? Explain.

July 2014 — Question 6

Primary source subject: Corporations

Question summary: This question involves Mega Inc. is a publicly traded corporation incorporated in a state whose corporate statute is modeled on the Model Business Corporation Act (MBCA). The core dispute asks Is the investor's proposed bylaw provision inconsistent with state law? Explain. 2. If the investor's proposed bylaw provision were approved by the shareholders, would the bylaw amendment previously approved by the board take precedence... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Relevant facts to use:

- Mega Inc. is a publicly traded corporation incorporated in a state whose corporate statute is modeled on the Model Business Corporation Act (MBCA).
- Well within the deadline for the submission of shareholder proposals for the upcoming annual shareholders' meeting, an investor, who was a large and long-standing shareholder of Mega, submitted a proposed amendment to Mega's bylaws.
- Section 20: The Corporation shall include in its proxy materials (including the proxy ballot) for a shareholders' meeting at which directors are to be elected the name of a person nominated for election to the Board of Directors by a shareholder or group of shareholders that beneficially have owned 3% or more of the Corporation's outstanding common stock for at least one year.
- This Section shall supersede any inconsistent provision in these Bylaws and may not be amended or repealed by the Board of Directors without shareholder approval.

Condensed sample-answer path:

1. Point One (30%) Shareholders may amend the corporation's bylaws where the proposed bylaw provision r

Short answer: Internal affairs of the corporation, such as the conduct of shareholder meetings and election of directors, are subject to the corporate law of the state of incorporation.

Rule(s):

- 1987) (applying law of jurisdiction where corporation was incorporated in case involving voting rights).
- Under the MBCA, "shareholders may amend . . . the corporation's bylaws." MBCA § 10.20(a).
- The MBCA states that the bylaws "may contain any provision that is not inconsistent with law or the articles of incorporation." MBCA § 2.06(b).

Fact-based analysis:

- Internal affairs of the corporation, such as the conduct of shareholder meetings and election of directors, are subject to the corporate law of the state of incorporation.
- Thus, the only question is whether the bylaws can specify the procedures for shareholder nomination of directors.
- In addition, the MBCA was revised in 2009 to address shareholder nomination of directors in public corporations (known as "proxy access") and specifies that the bylaws "may contain . . . a requirement that . . . the corporation include in its [proxy materials] one or more individuals nominated by a shareholder." MBCA § 2.06(c)(1); see Committee on Corporate Laws, ABA Section of Business Law, Report on the Roles of Boards of Directors and Shareholders of Publicly Owned Corporations and Changes to the Model Business Corporations Act—Adoption of Shareholder Proxy Access Amendments to Chapters 2 and 10, 65 BUS.
- In addition, some examinees might raise the point that shareholder proposals may not compel the board to take action, such as by including shareholder nominations in the company's proxy materials, on the theory that the "business and affairs" of the corporation are to be managed by the board.

Conclusion: Thus, the only question is whether the bylaws can specify the procedures for shareholder nomination of directors.

2. Point Two (30%) Shareholders can amend (or repeal) board-approved bylaws. Further, shareholders can

Short answer: Under the MBCA, shareholders have the power to amend the bylaws.

Rule(s):

- Under the MBCA, shareholders have the power to amend the bylaws.

- The board shares this power with the shareholders, unless (1) the corporation's articles "reserve that power exclusively to the shareholders" or (2) "the shareholders in amending, repealing, or adopting a bylaw expressly provide that the board of directors may not amend, repeal, or reinstate that bylaw." See MBCA § 10.20(b).
- That revision specifies that a shareholder-approved bylaw dealing with director nominations may not limit the board's power to amend, add, or repeal "any procedure or condition to such a bylaw in order to provide for a reasonable, practicable and orderly process." MBCA § 2.06(d).

Fact-based analysis:

- Thus, the Mega board's bylaw amendment—which set more demanding thresholds for shareholder nomination of directors than the investor's proposed bylaw provision—would be superseded (repealed) if Mega's shareholders were to approve the investor's proposal.
- Thus, if Mega's shareholders approved the bylaw provision proposed by the investor, Mega's board could not repeal the provision because it includes a "no board repeal" clause.
- Thus, according to the revision, if shareholders approve a bylaw amendment that limits further board changes, the board would nonetheless retain the power to "tinker" with the bylaw to safeguard the voting process, but could not repeal the shareholder-approved bylaw.
- Thus, an examinee's answer should be framed in terms of "power" and not "duty."]

Conclusion: Thus, an examinee's answer should be framed in terms of "power" and not "duty."]

3. Point Three (40%) The investor need not make a demand on the board if the investor states a direct c

Short answer: The MBCA generally requires that shareholders make a demand on the board of directors before initiation of a derivative suit.

Rule(s):

- The MBCA generally requires that shareholders make a demand on the board of directors before initiation of a derivative suit.
- MBCA § 7.42 (shareholder may not bring derivative proceeding until written demand has been made on corporation and 90 days have expired).
- A derivative suit is essentially two suits in one, where the plaintiff-shareholder seeks to bring on behalf of the corporation a claim that vindicates corporate rights, usually based on violation of fiduciary duties.

Fact-based analysis:

- No demand on the board is required, however, if the shareholder brings a direct suit to vindicate the shareholder's own rights, not those of the corporation.
- The MBCA defines a "derivative proceeding" as one brought "in the right of a domestic corporation." MBCA § 7.40(1).
- Thus, the answer to how the investor's suit should be characterized turns on what rights the investor seeks to vindicate.
- 2004) (characterizing a merger-delay claim as direct because delay of merger only harmed shareholders, not corporation).

Conclusion: The first paragraph of MBCA § 7.42 requires a pre-suit demand without exception; the second paragraph of the section imposes a 90-day waiting period before a derivative suit may be brought, which can be shortened if the board rejects the demand or "irreparable injury to the corporation would result by waiting for the expiration of the 90-day period." The call, as written, asks only whether a pre-suit demand should be made and does not ask examinees to address whether the post-demand waiting period should be shortened under the "irreparable injury” standard.] February 2015 MEE Questions and Analyses Contents

Question call(s): 1. Is the investor’s proposed bylaw provision inconsistent with state law? Explain. | 2. If the investor’s proposed bylaw provision were approved by the shareholders, would the bylaw amendment previously approved by the board take precedence over the investor’s proposed bylaw provision? Explain. | 3. Must the investor make a demand on Mega’s board of directors before bringing suit? Explain.

July 2015 — Question 4

Primary source subject: Corporations

Question summary: This question involves The board of directors of a commercial real estate development corporation consists of the corporation’s chief executive officer (CEO) and three other directors, who are executives at various other firms. The corporation owns a commercial office tower, the value of which is approximately 10 percent... The core dispute asks Does the business judgment rule apply to the board’s decision to have the corporation sell the tower to LLC? Explain. 2. Did the directors breach their fiduciary duties by authorizing the tower sale? Explain. Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- ANALYSIS
- Was the corporation’s sale of the tower a “director’s conflicting interest transaction”?
- Was the board’s authorization of the sale of the tower protected by the business judgment rule?
- Did the corporation’s directors breach their fiduciary duty of loyalty by authorizing the sale?
- Did the corporation’s directors breach their fiduciary duty of care in the way they authorized the sale? Summary
- or relies on modern common law principles applicable to director self-dealing transactions.]

Relevant facts to use:

- The board of directors of a commercial real estate development corporation consists of the corporation’s chief executive officer (CEO) and three other directors, who are executives at various other firms.
- The corporation owns a commercial office tower, the value of which is approximately 10 percent of the corporation’s total holdings.
- Two years ago, the board obtained an independent appraisal of the tower, which indicated a fair market value of between $12 and $15 million.
- The CEO immediately showed the tower to several sophisticated real estate investors and received offers ranging from $8 million to $13 million.

Condensed sample-answer path:

1. Point One (20%)

Short answer: The sale of the tower was a “director’s conflicting interest transaction” (or director self-dealing) because the directors of the corporation had adverse financial interests as owners of LLC.

Rule(s):

- The corporation’s directors were on both sides of the transaction, both authorizing it for the corporation and standing to gain from it as owners of LLC.
- In a jurisdiction with an “interested director” statute, the sale of the tower would qualify as a “director’s conflicting interest transaction” given that it was a transaction with the corporation and one in which the directors had a direct or indirect interest.

Fact-based analysis:

- The sale of the tower was a “director’s conflicting interest transaction” (or director self-dealing) because the directors of the corporation had adverse financial interests as owners of LLC.
- The MBCA defines a “director’s conflicting interest transaction” as one effected by the corporation “respecting which . . . the director had knowledge and a material financial interest.” MBCA § 8.60(1)(ii).
- GCL § 144 (“transaction between a corporation . . . and any other corporation . . . in which one or more of its directors . . . have a financial interest”).
- The conflict of interest is indirect because the directors of the corporation have a “material financial interest” in the other party, here the new LLC.

Conclusion: See MBCA § 8.31(a). [NOTE: In jurisdictions without an “interested director” statute, the common law would treat the transaction as one involving classic director self-dealing.

2. Point Two (30%)

Short answer: The board’s authorization of the sale of the tower is not protected by the business judgment rule because the transaction was not authorized by a majority of informed, disinterested directors.

Rule(s):

- A “director’s conflicting interest transaction” (that is, a director self-dealing transaction) is not absolutely prohibited.
- If, however, the self-dealing transaction is not shown to have been properly authorized, the business judgment rule does not apply and the transaction must be shown to have been fair to the corporation.

Fact-based analysis:

- Here, the MBCA safe harbor for proper board authorization does not apply.
- Thus, the presumption of the business judgment rule that the directors were informed and acted in good faith is not available because each of the directors had a material conflicting interest in the sale of the tower.
- 1984) (presumption that in making business decisions, the directors acted on informed basis, in good faith, and in best interests of corporation not available to interested directors). [NOTE: Approval or ratification of the transaction by qualified shareholders, after full disclosure of all relevant facts, would in some jurisdictions remove the transaction from further judicial review and in others subject it only to review for waste.

Conclusion: 1984) (presumption that in making business decisions, the directors acted on informed basis, in good faith, and in best interests of corporation not available to interested directors). [NOTE: Approval or ratification of the transaction by qualified shareholders, after full disclosure of all relevant facts, would in some jurisdictions remove the transaction from further judicial review and in others subject it only to review for waste.

3. Point Three (30%)

Short answer: The directors likely breached their duty of loyalty because it is unlikely they could show that the transaction was substantively and procedurally fair to the corporation.

Rule(s):

- The directors likely breached their duty of loyalty because it is unlikely they could show that the transaction was substantively and procedurally fair to the corporation.
- Even if the sale of the tower was not properly authorized, the directors can satisfy their fiduciary duty of loyalty by showing that "the transaction, judged according to the circumstances at the relevant time, was fair to the corporation." See MBCA § 8.61(b)(3); see also Marciano v.
- A breach of the directors' duty to deal fairly with the corporation can result in personal liability.

Fact-based analysis:

- The directors have the burden to show that the transaction as a whole was fair in terms of "fair price" and "fair dealing." This means courts will inquire into (1) whether the transaction price was comparable to what might have been obtained in an arm's-length transaction, given the consideration received by the corporation, and (2) whether the process followed by the directors in reaching their decision was appropriate.
- Here, the directors may argue that the $12 million price paid by LLC for the tower made the transaction substantively fair because the price was within the range of offers ($8 to $13 million) received by the corporation when the tower was offered for sale two years before.
- Additionally, the directors may argue that even if the sale was not at the highest valuation received by the corporation for the tower, the sale gave the corporation non-economic advantages by enabling it to "have time to relocate to a new headquarters." Finally, the directors may argue that the transaction was procedurally fair because information about the value of the tower was already known to them and there was no reason to make further inquiries.
- Finally, the directors did not consider whether another buyer other than LLC would be willing to accommodate the corporation's need for time to locate and move to new headquarters.

Conclusion: Finally, the directors did not consider whether another buyer other than LLC would be willing to accommodate the corporation's need for time to locate and move to new headquarters.

4. Point Four (20%)

Short answer: The directors likely breached their fiduciary duty of care in authorizing the sale of the tower because they did not become adequately informed prior to their decision.

Rule(s):

- The directors likely breached their fiduciary duty of care in authorizing the sale of the tower because they did not become adequately informed prior to their decision.
- Under the MBCA, a director is called on to exercise "the care that a person in a like position would reasonably believe appropriate under similar circumstances" in "becoming informed in connection with their decision-making function." MBCA § 8.30(b).
- A director may be liable for harm to the corporation from a board decision where it is proven that the director was "not informed to an extent the director reasonably believed appropriate in the circumstances." MBCA § 8.31(a)(2)(ii)(B); see also Smith v.

Fact-based analysis:

- Van Gorkom, 488 n reliance on 20-minute oral presentation by corporation's chief executive officer without written summary of merger terms or documentation to support price adequacy). [NOTE: For the shareholder to recover money damages based on a claim that the directors breached their duty of care, the shareholder would have to prove that the corporation was harmed by a sales price that was below market and that the sales price was proximately caused by the directors' failure to become adequately informed.

Conclusion: Van Gorkom, 488 n reliance on 20-minute oral presentation by corporation's chief executive officer without written summary of merger terms or documentation to support price adequacy). [NOTE: For the shareholder to recover money damages based on a claim that the directors breached their duty of care, the shareholder would have to prove that the corporation was harmed by a sales price that was below market and that the sales price was proximately caused by the directors' failure to become adequately informed.

Question call(s): 1. Does the business judgment rule apply to the board's decision to have the corporation sell the tower to LLC? Explain. 2. Did the directors breach their fiduciary duties by authorizing the tower sale? Explain.

July 2016 — Question 1

Primary source subject: Corporations & Limited Liability Companies

Question summary: This question involves Two siblings, a brother and a sister, decided to start a bike shop with their cousin. They filed a certificate of organization to form a limited liability company. The core dispute asks What type of LLC was created—member-managed or manager-managed? Explain. 2. Is the LLC bound under the tire contract? Explain. 3. Is the LLC bound by the sale of the farmland? Explain. 4. What is the legal effect of the brother's email?... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- What type of LLC is created when neither its certificate of organization nor its operating agreement specifies whether it is member-managed or manager-managed?
- In a member-managed LLC, does a member who purchases goods for the business have authority (actual or apparent) to bind the LLC when the member acted without the express approval of the other members?
- In a member-managed LLC, does a member who sells land on behalf of an LLC that operates a bike shop bind the LLC when the member acted without the approval of the other members as required in their operating agreement?
- In a member-managed LLC, does a member who withdraws unilaterally dissolve the LLC, thus forcing a winding up of the LLC's business and distribution of its net assets?

Relevant facts to use:

- Two siblings, a brother and a sister, decided to start a bike shop with their cousin.
- 2.
- 3.
- 4.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary This LLC is member-managed.

Rule(s):

- Thus, the brother (as a member of the LLC) had the actual and apparent authority to bind the LLC to contracts involving the carrying out of the LLC's ordinary business, such as the tire-purchase contract.
- The cousin lacked actual authority, given the specific limitation in the LLC's operating agreement concerning sale of the company's farmland.
- In addition, the cousin lacked apparent authority to sell the farmland; the sale was outside the scope of the company's ordinary business and there was no other manifestation by the company that the cousin had authority to sell the farmland.

Fact-based analysis:

- Here, given the absence of an express election to be manager-managed in either the certificate or the operating agreement, the LLC is membermanaged. [NOTE: Some examinees may discuss whether an LLC was properly formed.
- Generally, an LLC is formed when the certificate of organization (a.k.a. articles of organization) is filed with the Secretary of State and the LLC has at least one member.
- Here the certificate was filed and, after the three acquired their membership interests, the LLC had at least one member.] Point Two (20%) The LLC is bound by the tire-purchase contract, given that the brother had both actual and apparent authority to act on behalf of the LLC.
- Thus, consistent with general agency law principles and with the approach of other acts governing LLCs, each member of a member-managed LLC can bind the company to contracts for apparently carrying on the ordinary business of the company unless the member lacks authority to do so and the other party to the contract has notice that the member lacks such authority.

Conclusion: Partner withdrawal in an at-will partnership, unless agreed otherwise, causes the dissolution of the partnership and a right to cash payment for the pro rata share of the withdrawing partner's interest, after satisfying any creditor claims.

Question call(s): 2. Is the LLC bound under the tire contract? Explain. | 3. Is the LLC bound by the sale of the farmland? Explain. | 4. What is the legal effect of the brother's email? Explain.

February 2017 — Question 4

Primary source subject: Corporations

Question summary: This question involves A shareholder owns 100 shares of MEGA Inc., a publicly traded corporation. MEGA is incorporated in State A, which has adopted the Model Business Corporation Act (MBCA). The core dispute asks May 1, the shareholder sent a letter to MEGA asking to inspect the minutes of meetings of MEGA's board of directors relating to the Country X factories mentioned in the news story, along with any accounting records not publicly available... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- ANALYSIS
- Does the shareholder have a “proper purpose” in seeking to inspect MEGA’s board minutes and accounting records to determine whether to bring (and maintain) a suit concerning the alleged foreign bribes?
- May the board obtain dismissal of the shareholder’s derivative claim if the board concludes that it is not in the corporation’s best interest to continue the lawsuit, even though the board has not investigated the allegations of illegal foreign bribes?
- Is the decision of the MEGA directors not to investigate or take action on the shareholder’s allegations of illegal corporate behavior a breach of the directors’ duty to act in good faith, and is that decision protected by the business judgment rule? Summary
- . See also Del. Gen. Corp. L. § 220(b). Here, the shareholder has an interest in determining whether the directors permitted the corporation to engage in illegal conduct that could result in the corporation paying civil and criminal penalties. An inspection request must be granted whenever the shareholder articulates a purpose to address “economic risks” to the corporation. See Conservative Caucus v. Chevron Corp., 525 . Ch. 1987) (permitting inspection of shareholders’ list by shareholder seeking to propose that corporation stop doing business in communist Angola, based on alleged economic risks to corporation). A shareholder seeking inspection of corporate documents must offer credible evidence that there was mismanagement or other improper conduct. See Security First Corp. v. . Co., 687 . 1997) (shareholder has burden to show credible evidence of possible mismanagement to obtain inspection of books and records). Here, the news story in a leading financial newspaper, coupled with the board’s failure to investigate or to deny the truth of the allegations in the news story, appears to constitute a credible basis for concluding that MEGA may have engaged in illegal conduct. Moreover, although MEGA’s response to the shareholder indicated that the news story about the illegal foreign bribes was “unsubstantiated,” there is no indication in the facts, nor did MEGA make the assertion, that the news story was untrue. Under the MBCA, the shareholder’s right to inspect corporate documents relevant to the alleged bribery is subject to certain limitations. The MBCA allows a shareholder to inspect “only relevant excerpts of [board] minutes . . . directly connected with the shareholder’s purpose.” Official Comment to MBCA § 16.02(c)
- . The MBCA also allows inspection of “accounting records,” although this category is not as broad as the “books and records” category found in other corporate statutes. According to the Official Comment, accounting records are “records that permit financial statements to be prepared which fairly present the financial position and transactions of the corporation.” Official Comment to MBCA § 16.01(b). Many documents related to the payment of foreign bribes could be seen to be “accounting records,” to the extent that they relate to how such transactions would be presented in the corporation’s financial statements. Under the MBCA, the corporation could refuse to allow inspection of non- financial documents related to the alleged foreign bribery. In sum, the shareholder has a right to inspect MEGA’s board minutes and accounting records related to the alleged bribery of Country X officials because her purpose is connected to bringing a lawsuit to protect her economic interest in MEGA. [NOTE: Under the MBCA, a “proper purpose” need not be shown for the inspection of minutes of shareholders’ meetings. See MBCA §§ 16.01(e), 16.02(a). But here the shareholder asked for board minutes, for which a “proper purpose” must be shown. See MBCA § 16.02(d)

Relevant facts to use:

- A shareholder owns 100 shares of MEGA Inc., a publicly traded corporation.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: The shareholder had a "proper purpose" when she sought to inspect board minutes and accounting records relevant to alleged foreign bribes to determine whether to bring a lawsuit concerning possible illegal corporate conduct.

Rule(s):

- The MEGA directors have a fiduciary duty to act in "good faith," which encompasses an obligation not to condone illegal corporate conduct and to investigate credible evidence of such illegality.
- The business judgment rule does not protect decisions of directors to condone or disregard illegal corporate conduct, even if such conduct may be profitable for the corporation.
- Point One (30%) The shareholder has a right to inspect board minutes and accounting records if she has a "proper purpose." Gathering information to decide whether to bring a lawsuit alleging a breach of fiduciary duties arising from illegal corporate behavior is a proper purpose.

Fact-based analysis:

- Therefore, the shareholder is entitled to inspect the requested minutes and accounting records.
- Because the MEGA board did not conduct a reasonable inquiry before concluding that it was not in the corporation's best interest to investigate and remediate alleged illegal activities, the court is not required to dismiss the shareholder's suit, and her claim can proceed.
- Here, the shareholder has an interest in determining whether the directors permitted the corporation to engage in illegal conduct that could result in the corporation paying civil and criminal penalties.
- An inspection request must be granted whenever the shareholder articulates a purpose to address "economic risks" to the corporation.

Conclusion: Thus, the MEGA directors would not be protected by the business judgment rule.

July 2018 — Question 6

Primary source subject: Corporations & LLCs

Question summary: This question involves A woman and a man decided to start a solar-panel installation business in State X. They agreed to incorporate the business and to be equal shareholders. The core dispute asks Is the woman personally liable to the installer on the employment contract that she signed? Explain. 3. Is the man personally liable to the installer on the employment contract? Explain. Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- ANALYSIS
- When did Solar Inc. come into existence?
- (a) Under the state's business corporation statute, could the woman be personally liable on the contract with the installer that she signed as "President, Solar Inc."?
- (b) Under general partnership law, could the woman be personally liable on the contract with the installer?
- Is the man personally liable to the installer on the employment contract? Summary

- (defining "partnership" as "an association of two or more persons to carry on as co-owners a business for profit"); § 306(a) (specifying that "all partners are liable jointly and severally for all obligations of the partnership"); cf. Uniform Partnership Act § 15 (joint and several liability for torts, and joint liability for other obligations). Here, however, although the woman was a co-owner in a business for profit and thus a partner, a court would likely limit her liability because of the "de facto corporation" and "corporation by estoppel" doctrines. Under the common law, courts have inferred corporate limited liability in cases of defective incorporation in two situations. First, under the "de facto corporation" doctrine, courts recognize corporate limited liability when there was

Relevant facts to use:

- A woman and a man decided to start a solar-panel installation business in State X.

Condensed sample-answer path:

1. Point Two(b) (40%)

Short answer: The woman is unlikely to be held personally liable as a partner in an unincorporated business because a court is likely to infer corporate limited liability under the "de facto corporation" or the "corporation by estoppel" doctrine.

Rule(s):

- Generally, co-owners of a for-profit business that has not been properly incorporated are treated as partners in a partnership and are jointly and severally responsible for all business obligations.
- Under the common law, courts have inferred corporate limited liability in cases of defective incorporation in two situations.
- Under the "de facto corporation" doctrine, the woman's mailing of the articles of incorporation to the Secretary of State constituted a colorable, good-faith attempt to incorporate.

Fact-based analysis:

- The woman is unlikely to be held personally liable as a partner in an unincorporated business because a court is likely to infer corporate limited liability under the "de facto corporation" or the "corporation by estoppel" doctrine.
- See Revised Uniform Partnership Act § 101(6) (defining "partnership" as "an association of two or more persons to carry on as co-owners a business for profit"); § 306(a) (specifying that "all partners are liable jointly and severally for all obligations of the partnership"); cf.
- Here, however, although the woman was a co-owner in a business for profit and thus a partner, a court would likely limit her liability because of the "de facto corporation" and "corporation by estoppel" doctrines.
- First, under the "de facto corporation" doctrine, courts recognize corporate limited liability when there was (1) a colorable, good-faith attempt to incorporate and (2) actual use of the corporate form, such as by carrying on the business as a corporation or contracting in the corporate name.

Conclusion: Therefore, the man here would not be personally liable on the installer's contract claim.

July 2019 — Question 3

Primary source subject: Corporations & LLCs

Question summary: This question involves Parent Inc., a company in the renewable energy business, has several subsidiaries. In all cases, Parent maintains control of its subsidiaries by selecting the members of each subsidiary's board of directors, most of whom also serve as officers and employees of Parent. The core dispute asks Parent Inc., a company in the renewable energy business, has several subsidiaries. In all cases, Parent maintains control of its subsidiaries by selecting the members of each subsidiary's board of directors, most of whom also serve as... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Did Parent breach any duties to HomeSolar with respect to HomeSolar's no-dividend policy?
- Did Parent breach any duties to HomeSolar with respect to HomeSolar's contract with SolarMaterials for the purchase of rare earth minerals?
- Did Parent breach any duties to HomeSolar by denying HomeSolar the opportunity to apply for the government grant?
- (concluding that the business judgment rule is standard under Delaware law unless rebutted). Here, the shareholder challenges the no-dividend policy of HomeSolar instituted by Parent. The no-dividend policy affects the shareholder and all other HomeSolar shareholders (including Parent) equally and thus is not a self-dealing transaction in which Parent receives something to the exclusion of other shareholders. Parent did not breach any duty of care. Under a "business judgment" standard, it is sufficient if Parent can offer a rational business justification for the no-dividend policy, which it has by explaining that the no-dividend policy is meant to provide funds for HomeSolar's research and development budget as the subsidiary seeks to develop new products for the residential solar power market. See Note on Business Judgment Rule, MBCA § 8.31 (decisions subject to the business judgment standard "will not be disturbed (by a court substituting its own notions of what is or is not sound business judgment) if they can be attributed to any rational business purpose"), citing Sinclair, 280 . Bennett, 393 N.E.2d 994, 1000 (directors taken in good faith and in the exercise of honest judgment in the lawful and legitimate furtherance of corporate purposes"). [NOTE: An examinee who seeks to analyze the question of Parent's duties to the complaining shareholder under the "oppression" standard created by the involuntary dissolution provisions of the MBCA should not receive credit. See MBCA § 14.30 (a) (calling for the court to order involuntary dissolution for significant abuse of power by controlling shareholders). For one thing, the question asks whether Parent breached any duties to HomeSolar, not whether the court should order involuntary dissolution. For another, an "oppression" claim is "appropriate only for shareholders of corporations that are not widely held." See Official Comment, MBCA § 14.30 (pointing out that shareholders in a publicly traded corporation, such as one whose shares are listed on the New York Stock Exchange, "will normally have the ability to sell their shares if they are dissatisfied with current management").] Point Two (40%) Given that Parent caused HomeSolar to enter into a contract for the purchase of minerals with Parent's wholly owned subsidiary SolarMaterials at significantly higher prices than current market prices under similar long-term contracts for the same minerals, Parent engaged in unfair self-dealing and thus breached its duty of loyalty to HomeSolar. The business judgment rule does not apply to this conflict-of interest transaction. As described above, business dealings between a parent corporation (or its wholly owned subsidiary) and a partially owned subsidiary can involve self-dealing and a breach of the duty of loyalty when the parent causes the partially owned subsidiary to enter into a transaction that prefers the parent (or its wholly owned subsidiary) at the expense of the partially owned subsidiary and its minority shareholders. This breach cannot be cured here because there are no disinterested directors to approve the transaction, as Parent appointed all the directors of HomeSolar, and there is no evidence that the minority shareholders of the partially owned subsidiary approved the transaction. This means that liability can be avoided only if the transaction is judicially determined to be fair. Generally, the person seeking to justify a self-dealing transaction has the burden of proving its fairness to the corporation. The MBCA has described "fairness," in connection with directors'

conflicting-interest transactions, to include not only “the market fairness of the terms of the deal—whether it is comparable to what might have been obtainable in an arm’s-length transaction—but also . . . whether the transaction was one that was reasonably likely to yield favorable results (or reduce detrimental results)” for the corporation. Official Comment to MBCA § 8.61 (Comment 6, Fair to the Corporation). Thus, contractual dealings by a partially owned subsidiary (here HomeSolar) with a wholly owned subsidiary (here SolarMaterials) in a corporate group must not only be shown to reflect the terms obtainable in comparable market transactions but must also be shown to be beneficial to the partially owned subsidiary. Here, given that the prices set in the contract between HomeSolar and SolarMaterials were significantly higher than current market prices under similar long-term contracts for the same minerals, Parent cannot establish the fairness of the contract. Thus, Parent breached its fiduciary duty of loyalty to HomeSolar. [NOTE: The business judgment rule does not apply to conflict-of-interest transactions and thus is no defense to a claim that the defendant breached its duty of loyalty, and no credit should be given to an examinee who seeks to apply the business judgment rule in the context of a

- & Official Comment (rejecting the “entire fairness” test of Kahn when an interested transaction is approved by both a majority of informed, independent, disinterested directors (or a special board committee) and an informed majority of disinterested shareholders). Thus, an examinee should not receive additional credit for discussing the absence of “fair dealing” in this case where the challenged contract was approved by neither disinterested directors nor disinterested shareholders. Here, the absence of “fair price” is critical to the analysis of this intra-group self-dealing transaction.] Lastly, there are no facts to indicate that Parent or the directors of HomeSolar breached a duty of care. First, there are no facts indicating that Parent caused the HomeSolar directors to act with a faulty decision-making process. Second, there are no facts indicating that the above-market transaction was “wasteful,” meaning that no reasonable person would have paid those higher prices. There could be any number of reasons why HomeSolar agreed to pay higher prices, and there are no facts indicating that the deliberation processes were faulty. Point Three (25%) Parent likely did not violate its fiduciary duties by allocating the opportunity to apply for the government grant to its wholly owned subsidiary IndustrialSolar rather than its partially owned subsidiary HomeSolar, given that the grant was for development of industrial solar projects and thus beyond the residential business of HomeSolar. The MBCA does not address the duties of controlling shareholders to not usurp corporate opportunities of partially owned corporations. Nonetheless, an official comment to the MBCA explains the corporate opportunity doctrine in connection with the duties of directors: The corporate opportunity doctrine [applicable to directors] is anchored in a significant body of case law clustering around the core question whether the corporation has a legitimate interest in a business opportunity, either because of the nature of the opportunity or the way in which the opportunity came to the director, of such a nature that the corporation should be afforded prior access to the opportunity before it is pursued (or, to use the case law’s phrase, “usurped”) by a director. MBCA, Introductory Comment to Subchapter F (Comment 4, Non-Transactional Situations Involving Interest Conflicts – Corporate Opportunity). In a similar vein, the American Law Institute (ALI) Principles of Corporate Governance define a corporate opportunity, for purposes of directors and senior executives, generally as a business opportunity where either “the person offering the opportunity expects it to be offered to the corporation,” the opportunity “would be of interest to the corporation,” or the opportunity is “closely related to a business in which the corporation is engaged or expects to engage.” ALI Principles of Corporate Governance § 505(b); see also Northeast Harbor Golf Club, Inc. v. Harris, 661 . 1995) (adopting the ALI Principles approach to corporate opportunities as consistent with the MBCA). For business opportunities allocated within a corporate group, courts have accepted that the parent should have some leeway in allocating business opportunities within the group. See Sinclair, supra; see also In re Synthes, Inc. S’holder Litig., 50 A.3d 1022, 1040–41 (Del. Ch. 2012) (“the duty to put the best interest of [a partially owned subsidiary] above any interest . . . does not mean that the controller has to subrogate his own interests so that the minority stockholders can get the deal that they want”) (internal quotations omitted). Here, although HomeSolar might have wanted to receive the government grant, there is no indication that HomeSolar was capable of using the grant to pursue industrial solar projects; instead, the facts indicate that HomeSolar's line of business is developing residential solar projects. Finally, it is unclear that the government would have given the grant to HomeSolar, as opposed to the wholly owned subsidiary IndustrialSolar.

Relevant facts to use:

- Parent Inc., a company in the renewable energy business, has several subsidiaries.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Controlling shareholders (including parent corporations) generally owe fiduciary duties to their partially owned subsidiaries and may not use their power to benefit themselves at the expense of the subsidiary and its minority shareholders.

Rule(s):

- Summary Controlling shareholders (including parent corporations) generally owe fiduciary duties to their partially owned subsidiaries and may not use their power to benefit themselves at the expense of the subsidiary and its minority shareholders.
- Here, Parent breached its fiduciary duty of loyalty by causing HomeSolar to enter into a long-term contract with SolarMaterials, a wholly owed subsidiary of Parent, at prices significantly higher than current market prices under similar long-term contracts for the minerals.
- There are no facts indicating that Parent or the directors of HomeSolar breached a duty of care.

Fact-based analysis:

- Here, Parent likely did not violate its fiduciary duties of loyalty and care by causing its subsidiary, HomeSolar, to adopt a no-dividend policy, given that the policy applied equally to all shareholders of HomeSolar and had the purpose of ensuring funding for HomeSolar's research and development budget.
- Because Parent selected the entire board of HomeSolar, there are no disinterested directors to approve the transaction.
- Parent did not violate its fiduciary duties by allocating the opportunity to apply for the government grant to its wholly owned subsidiary IndustrialSolar and not to its partially owned subsidiary HomeSolar, given that the grant was for development of industrial solar projects and thus beyond the existing residential business of HomeSolar. [NOTE: The question involves a corporation incorporated in an MBCA jurisdiction, thus requiring examinees to consider the relevant provisions of the MBCA.
- The MBCA, however, does not specify the fiduciary duties of controlling shareholders in a publicly traded corporation.

Conclusion: Finally, it is unclear that the government would have given the grant to HomeSolar, as opposed to the wholly owned subsidiary IndustrialSolar.

July 2020 — Question 2

Primary source subject: Corporations & LLCs/Constitutional Law

Question summary: This question involves A shareholder of Retailer Inc., a publicly traded corporation in the retail business, is concerned about reports in a respected national business magazine that Retailer has been making large donations to a secretive political group, Americans Fighting Against Wrongdoing (AFAW). AFAW places... The core dispute asks A shareholder of Retailer Inc., a publicly traded corporation in the retail business, is concerned about reports in a respected national business magazine that Retailer has been making large donations to a secretive political group,... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Does State X law permit inspection by a corporate shareholder of board minutes dealing with the corporation's political expenditures when the shareholder's stated purpose is to prevent an alleged waste of corporate assets?
- Under State X law, is a shareholder's resolution prohibiting a corporation's board from approving any political expenditures unless previously authorized by the corporation's shareholders a proper subject for shareholder action?
- Would such a shareholder resolution, if approved by a majority vote of the corporation's outstanding shares, infringe the corporation's First Amendment right to free speech?
- (preserving the judicially developed doctrine that internal corporate affairs are governed by the law of the state of incorporation). Here, the question specifically calls for an analysis of State X law and does not raise any issues under other laws, including the federal shareholder proposal rule (Securities and Exchange Act Rule 14a-8). Thus, the examinee's answer should focus on the applicable rules supplied by the MBCA. The question is based on the 2016 Revision of the MBCA. The result and analysis for the question, however, would be the same under earlier versions of the MBCA.] Point One (35%) The shareholder has a right to inspect the requested board minutes. Her request is specific and based on credible press reports of large, questionable donations by Retailer. Further, her stated desire to expose the wastefulness of these donations is a proper purpose. Generally, a corporation is required to keep minutes of meetings of its board of directors. See MBCA § 16.01(a)
- , (b). Thus, the documents requested here by the shareholder should be in existence and available from Retailer. Under the MBCA, any shareholder has a right to inspect and copy board minutes by making a demand for inspection. MBCA § 16.02(b)
- . To inspect such records, the shareholder's demand must be made in "good faith" and for a "proper purpose"; the shareholder's purpose and the requested records must be described with "reasonable particularity"; and the requested records must be "directly connected" with the shareholder's purpose. Id. § 16.02(c). Although the MBCA does not define "proper purpose," case law has defined it as a purpose that is "reasonably relevant" to the demanding shareholder's interest as a shareholder. See Official Comment, MBCA § 16.02(c). Courts have generally accepted as proper a shareholder's purpose to protect his financial interest in the corporation, his interest in voting or selling shares, or his bringing of a lawsuit to protect these interests. Thus, an investigation by a shareholder into possible corporate wrongdoing, whether to bring a shareholder lawsuit or initiate other remedial action, constitutes a "proper purpose." See Security First Corp. v. . Co., 687 . 1997). To show "good faith," courts have required shareholders seeking to investigate corporate wrongdoing to present evidence establishing a "credible basis" for belief in possible wrongdoing; mere suspicion of wrongdoing is not enough. See Seinfeld v. Verizon Communications, Inc., 909 . 2006) (disallowing inspection of documents based only on allegations of unauthorized and excessive compensation). Further, when a shareholder who demands inspection has interests that relate both to the shareholder's financial investment and to other interests (such as a social or political interest), courts have generally permitted inspection if the shareholder is able to identify "shareholder" interests. See Conservative Caucus v. Chevron Corp., 525 . Ch. 1987) (permitting inspection of shareholders' list by shareholder seeking voting support from other shareholders for a proposal that corporation stop doing business in communist Angola given alleged economic risks such business created for corporation). Finally, the shareholder seeking inspection must identify documents "with reasonable particularity" and show how they are "directly connected" to the articulated purpose of the inspection. See Saito v. McKesson HBOC, Inc., 806 . 2002) (allowing inspection of documents, based on demand for "categories of

documents" relating to challenged merger). According to the Official Comment accompanying the MBCA inspection statute, if the corporation disputes the "connection" of the demanded records to the shareholder's purpose, the court may examine the records privately to make this determination. See Official Comment, MBCA § 16.02(c). Here, the shareholder's demand for board minutes that relate to Retailer's donations to AFAW appears to satisfy the inspection statute. The demand, stated in terms of categories of documents, permits the corporation to identify the documents sought by the shareholder. Moreover, the shareholder's stated purposes —to expose the impropriety of these donations (because they are said not to promote any corporate interest) and to have the board desist from further donations—are related to the shareholder's financial interest in the corporation. Even if the shareholder has other non-corporate reasons for demanding inspection, such as political views about the corporation's participation in politics, her stated purpose to expose corporate waste is sufficient. Moreover, to obtain inspection, the shareholder need not demonstrate that Retailer's donations to AFAW actually constituted "waste." That is, the donations may or may not have constituted "an exchange that is so one-sided that no business person of ordinary, sound judgment could conclude the corporation has received adequate consideration." In re Citigroup Shareholder Derivative Litigation, 964 . Ch. 2009). To obtain inspection, the shareholder need only have a "good faith" interest in exposing and preventing further corporate wrongdoing. Here, given the press reports about these donations, the shareholder appears to have a "credible basis" for her belief that the donations to AFAW promote no corporate interest. The records, once produced for inspection, will allow the shareholder to decide whether or not to pursue further action to have the board discontinue these donations. [NOTE: Under the MBCA, the number of shares owned by the shareholder and the time that she has held them are not relevant to her inspection rights. See MBCA § 16.02(a), (f). Thus, an answer that discusses the ownership and holding-period requirements of SEC Rule 14a-8 (ownership of $2,000 or 1% of outstanding shares during 12-month holding period) should receive no credit for this

Relevant facts to use:

- A shareholder of Retailer Inc., a publicly traded corporation in the retail business, is concerned about reports in a respected national business magazine that Retailer has been making large donations to a secretive political group, Americans Fighting Against Wrongdoing (AFAW).

Condensed sample-answer path:

1. Point Three (30%) A shareholder resolution restricting Retailer's political activities is private ac

Short answer: 1, 19 (1948) (state court enforcement of a racially restrictive property covenant constituted state action sufficient to bring the 14th Amendment into play).

Rule(s):

- US.
- 1, 19 (1948) (state court enforcement of a racially restrictive property covenant constituted state action sufficient to bring the 14th Amendment into play).

Fact-based analysis:

- Second, the mere fact that the government authorizes a corporation's existence and permits shareholder governance is unlikely to be treated as sufficient entanglement to make the government responsible for shareholder choices.

Conclusion: 1968) ("if . . . every private right were transformed into governmental action by the mere fact of court enforcement of it, the distinction between private and governmental action would be obliterated").

July 2021 — Question 2

Primary source subject: Corporations & LLCs/Conflict of Laws

Question summary: This question involves Carlos, Diana, and Ethan own all the shares of Winery Inc., which is incorporated in State A. They are equal shareholders of the corporation and the only members of its board of directors. The core dispute asks Can Ethan block the merger of Winery Inc. into Organic Wines Corp. by voting against it? Explain. 2. If Winery Inc. merges into Organic Wines Corp., does Ethan have a right to demand that he receive payment in cash (instead of receiving... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- What votes are required for the board of directors and shareholders of Winery Inc. to approve the merger of Winery Inc. into Organic Wines Corp.?
- If Winery Inc. merges into Organic Wines Corp., does Ethan have a right to demand that he receive payment in cash from Organic Wines Corp. equal to the fair value of his shares in Winery Inc.?
- If Organic Wines Corp. operates as a benefit corporation with a social and environmental purpose to produce organic wines in State A, could a shareholder of Organic Wines Corp. successfully sue the Organic Wines Corp. directors in State A for promoting this purpose at the expense of maximizing shareholder profits?
- (appraisal available to dissenting shareholder in a merger, where shareholder approval of the merger is required, the dissenting shareholder is entitled to vote on the merger, and such shareholder's shares do not remain outstanding after the merger); see also MBCA § 13.02(b)
- (making appraisal unavailable for shares of certain publicly traded corporations, the so-called "market out" exception). Here, because Ethan has a right to appraisal of his shares, he would be entitled to payment in cash by Organic Wines Corp. (the surviving corporation in the merger) of the "fair value" of his Winery Inc. shares. [NOTE: The following matters are beyond minimal competence, and an examinee should not be expected to discuss the matters in this note. They are included for the benefit of graders. To preserve his right to receive the fair value of his shares, Ethan must give pre-merger written notice of his intent to demand payment, not vote for the merger, and, following the merger, make an actual demand for payment. A shareholder who dissents from a merger must preserve his right to appraisal by giving written notice before the vote on the merger of his intent to demand payment if the merger is effectuated and then not vote in favor of the merger. MBCA § 13.21(a). After the merger is approved, the shareholder must then demand payment from the corporation, and within 30 days the corporation must pay the shareholder the corporation's estimate of fair value. MBCA § 13.24. Then, if the shareholder is dissatisfied with this payment, the corporation must attempt to settle any shortfall between the amount the shareholder seeks and the amount paid. MBCA §§ 13.26, 13.30(a). If these negotiations fail, the shareholder is entitled to a judicial appraisal of the fair value of his shares.] Point Three (40%) Under the internal affairs doctrine, the duties of directors to their corporation and its shareholders are determined by the state of incorporation, not by a state where the corporation operates or the state where the suit is brought. Thus, even if the corporate law of State A calls on corporate directors to maximize shareholder profits, Ethan's lawsuit could not successfully claim that the directors of the corporation promoted the corporation's stated social/environmental purpose at the expense of shareholder profits. Under the MBCA, a "foreign corporation" is defined as a business corporation incorporated under the laws of another jurisdiction. MBCA § 1.40. Under the MBCA, a foreign corporation is permitted to operate and transact business within the state by obtaining a foreign registration statement. MBCA § 15.03 (describing basic information that must be set forth in application for foreign registration statement). The internal affairs of the foreign corporation—that is, the legal

relationships between and among its shareholders, directors, and officers—are governed by the state of incorporation even when the corporation's business and assets are located primarily in other states or the corporation operates in another state. See MBCA § 15.01(a)

- (stating that the "law of the jurisdiction of formation of a foreign corporation governs . . . the internal affairs of the foreign corporation"). Further, a foreign corporation is not precluded from registering to do business in a state because of any difference between the law of the foreign corporation's jurisdiction of formation and the law of the state in which it seeks to do business. MBCA § 15.01(b). Here, the duties of the directors of Organic Wines Corp. to further the corporation's social/environmental purpose are governed by the law of the corporation's state of incorporation, here, State B. Under the benefit-corporation statute of State B, the directors of Organic Wines Corp. are required to promote the social/environmental purpose of the corporation, even if at the expense of the corporation's shareholders. The benefit-corporation statute of State B, like those of other states, thus seeks to countermand the judicial view that the purpose of the business corporation is to maximize shareholder profits. See Dodge v. Ford Motor Co., 170 N.W. 668 (Mich. 1919) (requiring the payment of special dividends, on the theory the business corporation is "organized and carried on primarily for the profit of the stockholders"); eBay Domestic Holdings, Inc. v. Newmark, 16 A.3d 1, 32–35 (Del. Ch. 2010) (holding that poison pill meant to preserve "public-service mission" of Craigslist was unreasonable because it failed to "promote shareholder value"). One significant attribute of benefit corporations is that corporate directors are required to advance the corporation's social/environmental purpose even if at shareholder expense. See Dana Brakman Reiser, Benefit Corporation—A Sustainable Form of Corporation? 46 WAKE FOREST L. REV. 591 (Fall 2011) (describing how benefit corporation statutes create liability shields for directors who perform their duties consistent with the social and environmental purposes specified in the corporation's articles). Thus, a shareholder who sued the directors of Organic Wines Corp. in State A for failing to maximize shareholder profits would fail under the benefit-corporation statute of State B, assuming the directors could justify their actions as somehow consistent with the social/environmental purpose of the corporation to promote sustainable, organic winemaking. This is so even though State A's law on the duties of directors may be different from the law of State B, the state in which Organic Wines is incorporated. [NOTE: An answer that discusses the business judgment rule (a presumption that directors make decisions on an informed basis, in good faith, and in the best interests of the corporation) should not receive credit. The question asks whether the directors could act to promote the corporation's stated social/environmental purpose at the expense of shareholder profits. The business judgment rule, though suggesting that directors in a benefit corporation should have broad discretion in furthering the corporation's purpose, does not resolve a conflict between shareholder profits and the stated social/environmental purpose of the corporation.]

Relevant facts to use:

- Carlos, Diana, and Ethan own all the shares of Winery Inc., which is incorporated in State A.
- 2.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary In a merger of two corporations incorporated in different states, each corporation is generally subject to the merger requirements of the state in which it is incorporated.

Rule(s):

- Because the MBCA, as adopted in State A, specifies that approval of a merger requires adoption by a majority of the board of directors and approval by a majority of the outstanding shares, the votes of Carlos and Diana for the merger would be sufficient to approve the merger.

- Under the internal affairs doctrine, which is recognized by the MBCA, the duties of directors to their corporation and its shareholders are determined by the state of incorporation, not by the state where the suit is brought or where the corporation operates or is headquartered.
- Even though the corporate law of State A may call on corporate directors to maximize shareholder profits, Ethan could not successfully sue the directors of the corporation for promoting the corporation's stated social/environmental purpose at the expense of shareholder profits.

Fact-based analysis:

- Summary In a merger of two corporations incorporated in different states, each corporation is generally subject to the merger requirements of the state in which it is incorporated.
- Thus, the merger voting rules of State A (which has adopted the Model Business Corporation Act, "MBCA") would apply to the approval by Winery Inc. of its merger into Organic Wines Corp.
- Given that the merger was subject to a shareholder vote, Ethan was entitled to vote, and Winery Inc. is a closely held corporation, he can demand that he receive from Organic Wines Corp. a cash payment equal to the fair value of his shares in Winery Inc.
- Thus, the corporate law of State B, which permits directors of benefit corporations to pursue the corporation's social/environmental purposes, applies to Ethan's lawsuit.

Conclusion: The business judgment rule, though suggesting that directors in a benefit corporation should have broad discretion in furthering the corporation's purpose, does not resolve a conflict between shareholder profits and the stated social/environmental purpose of the corporation.]

Question call(s): 2. If Winery Inc. merges into Organic Wines Corp., does Ethan have a right to demand that he receive payment in cash (instead of receiving shares in Organic Wines Corp.) equal to the fair value of his shares in Winery Inc.? Explain. 3. Assume that Ethan becomes a shareholder of Organic Wines Corp. Could Ethan successfully sue the Organic Wines Corp. directors in State A for promoting sustainable and organic practices at the expense of maximizing shareholder profits? Explain. Do not discuss whether that suit would have to be direct or derivative.

February 2022 — Question 3

Primary source subject: Corporations & LLCs

Question summary: This question involves Six years ago, Amy and Bill incorporated a craft beer business as Beer Corporation (BC) in State A, whose corporate statute is modeled on the Model Business Corporation Act. Amy and Bill were the corporation's sole shareholders and sole directors at the time it was incorporated, and both of them... The core dispute asks Six years ago, Amy and Bill incorporated a craft beer business as Beer Corporation (BC) in State A, whose corporate statute is modeled on the Model Business Corporation Act. Amy and Bill were the corporation's sole shareholders and sole... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- As directors of BC, did Amy and Bill have the authority to approve their trip to Belgium at corporate expense?
- Did Amy and Bill violate the duty of loyalty by having the corporation pay for their Belgium trip over Sharon's objection?
- Assuming that Amy and Bill violated the duty of loyalty by having the corporation pay for their Belgium trip, can Sharon personally recover from Amy and Bill all the expenses for that trip paid by BC?

- Assuming that Amy and Bill violated the duty of loyalty by having the corporation pay for their prior trips to Germany, can Sharon bring a derivative claim to recover from Amy and Bill the expenses paid by BC that related to their prior trips to Germany?
-) and defines "qualified shares" as shares not held by a conflicted director or related person (MBCA § 8.63(c)(ii)). Further, the MBCA defines "fair to the corporation" to mean that the challenged transaction "as a whole was beneficial to the corporation, taking into appropriate account whether it was (i) fair in terms of the director's dealings with the corporation, and (ii) comparable to what might have been obtainable in an arm's length transaction, given the consideration paid or received by the corporation." MBCA § 8.60. Here, the corporation's payment of Amy's and Bill's travel expenses to Belgium was not approved by Sharon, the only director and shareholder who did not have a conflicting financial interest in the transaction. Thus, the procedural safe harbors for a DCIT approved by informed, qualified directors (MBCA § 8.62) or by informed, qualified shareholders (MBCA § 8.63) do not apply in this case. Nonetheless, Amy and Bill can show that the corporation's payment of their travel expenses was "fair to the corporation" even though at some level they personally benefited from the payment as well. They could argue that 1. The primary purpose of this travel was similar to the purpose of their earlier travel to Germany at corporate expense, which arguably was reasonable and contributed to the success of their craft brewing business. 2. At a board meeting, they presented their idea for a trip to Belgium at corporate expense and gave Sharon a chance to note any objections, though it is unclear whether Sharon knew of this practice when she became a shareholder. 3. Paying for personnel to travel to Europe to learn about the latest in craft brewing is entirely consistent with the practices of BC's competitors. 4. BC, if for no other reason than being competitive, would have paid these expenses for these purposes regardless of who was employed by BC. 5. While the travel also allowed Amy and Bill to visit museums and historic sites located near the breweries, this benefit was mostly incidental to the other benefits of the trip and most likely benefited BC as well. These points strongly suggest that Amy and Bill could establish that their dealings with BC were fair and that the corporation's payment of their travel expenses would have happened in an arm's-length transaction. [NOTE: Examinees who make a well-reasoned argument to the contrary should receive full credit.] [NOTE: Generally, directors who engage in self-dealing with their corporation violate their duty of loyalty, unless they can prove that the self-dealing transaction was procedurally or substantively fair to the corporation. See Palmiter, et al., supra, at 594 (under modern corporate statutes, "an interested-director transaction will not automatically be void or voidable if either there has been informed, disinterested board approval or informed shareholder approval or the transaction is fair to the corporation"). Thus, absent a showing of procedural or substantive fairness, the presumption of the business judgment rule does not apply to a director self-dealing transaction, and the court "may take such remedial action as it considers appropriate." MBCA § 8.61, Official Comment [Introduction].] Point Three (20%) Although Sharon could bring a derivative suit on behalf of the corporation claiming that Amy and Bill violated their duty of loyalty, any recovery would be to the corporation and not to Sharon personally. Generally, a shareholder may bring a derivative suit to vindicate corporate rights when directors have breached their fiduciary duties to the corporation. See Palmiter, et al., supra, at 503. "[A] derivative suit is an action on behalf of the corporation [that] has historically been the principal method of challenging allegedly illegal action by management." Introductory Comment, Subchapter D (Derivative Proceedings), MBCA §§ 7.40–7.47 (as amended in 1989); see 44 Bus. Law. 543, 548
- . Because a derivative suit is brought on behalf of the corporation to enforce duties owed to the corporation, recovery in a derivative suit generally "inures to the corporation, with the proceeds becoming a part of the corporate assets." James D. Cox & Thomas Lee Hazen, 3 Treatise on the Law of Corporations § 15:4 (3d ed. 2018); see also Keenan v. Eshleman, 2 . 1938); Wolf v. Rand, 685 .2d 708, 710 (. Div. 1999); Outen v. Mical, 454 .C. Ct. App. 1995). Here, although Sharon could bring a derivative suit claiming that Amy and Bill breached the duty of loyalty that they owed to the corporation with respect to the corporation's payment of their travel expenses to Belgium, any recovery in such a suit would be paid to the corporation and not to Sharon personally. [NOTE: There are, nonetheless, special circumstances when courts have allowed pro rata recovery by shareholders,

thus directly distributing corporate funds to complaining shareholders. These circumstances include when the corporation is in liquidation, when corporate control has been sold, and when the wrongdoers retain control and returning funds to their control would be inequitable. See Cox & Hazen, supra, § 15:4 (summarizing cases). Thus, a complaining shareholder in a derivative suit may be entitled to receive a direct pro rata payment for the damage done to the corporation, rather than participate indirectly in any corporate recovery, when corporate recovery would be inequitable to the shareholder. And, even if there were justification for an exception to the corporate-recovery rule, Sharon's direct recovery would be pro rata based on her 40% ownership stake. That is, there is no basis for Sharon to personally recover all of the damages resulting from any breach of duty by Amy and Bill.] [NOTE: Discussions of matters such as Sharon's contemporaneous and continuing ownership, the requirement of a demand on the board, or the possibility of the corporation's seeking dismissal of the suit should receive no credit. Although all these matters related to derivative litigation may be relevant under other facts, none were raised by the call in the question. The question asked only that the examinee address what recovery would be appropriate in a derivative suit brought by Sharon against Amy and Bill. Therefore, there is no need to address the issues raised in this Note.] Point Four (20%) Even if Amy and Bill violated the duty of loyalty, Sharon does not have standing to bring a derivative claim with respect to Amy's and Bill's travel expenses to Germany. She was not a contemporaneous owner when the corporation paid these expenses. Under the MBCA, to maintain a derivative suit on behalf of the corporation, the plaintiffshareholder must be a contemporaneous owner. MBCA § 7.41 (requiring plaintiff in derivative suit have been shareholder "at the time of the act or omission complained of"). The purpose of the rule is to "align the plaintiff's economic interests with the corporate interest to be advanced by the diligent prosecution of the suit." Cox & Hazen, supra § 15:9. Further, as the Official Comment to MBCA § 7.41 explained when the section was first added, "The Model Act and the statutes of many states have long imposed a "contemporaneous ownership" rule." See Changes to MBCA, 44 Bus. Law. 543, 548

Relevant facts to use:

- Six years ago, Amy and Bill incorporated a craft beer business as Beer Corporation (BC) in State A, whose corporate statute is modeled on the Model Business Corporation Act.
- 3.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Amy and Bill, as a majority of the corporation's board of directors, had the authority in their role as directors to approve the corporation's payment of their travel expenses to Belgium, even though the transaction was a director's conflicting interest transaction (DCIT).

Rule(s):

- Summary Amy and Bill, as a majority of the corporation's board of directors, had the authority in their role as directors to approve the corporation's payment of their travel expenses to Belgium, even though the transaction was a director's conflicting interest transaction (DCIT).
- Under the Model Business Corporation Act (MBCA, rev'd 2016), a DCIT is a corporate transaction in which a director has a personal financial interest, raising the question whether they violated their duty of loyalty.
- However, even if the transaction was not approved by disinterested directors or shareholders, payments of the travel expenses would not breach their duty of loyalty because these payments were "fair to the corporation." There is a strong argument that these payments were fair to the corporation.

Fact-based analysis:

- By voting to have the corporation pay for their entire trip to Belgium, which included personal sight-seeing, Amy and Bill voted for a DCIT because they had a personal financial interest in the transaction.
- Assuming that BC's payment of Amy's and Bill's travel expenses to Belgium was a breach of their duty of loyalty, Sharon may not recover those expenses personally because her suit would vindicate a wrong to the corporation, not to herself.
- Even assuming that Amy and Bill violated a duty with respect to the corporation's payments of their prior travel expenses to Germany, Sharon was not a shareholder when these payments occurred, and thus she does not have standing to bring a derivative claim against Amy and Bill related to these payments. [NOTE: The following analysis is based on the Model Business Corporation Act, as revised in 2016.
- Thirty-one states have modeled their corporate statute on the MBCA.] Point One (20%) Amy and Bill, as members of the corporation's board of directors, had the authority to vote to have the corporation pay their travel expenses to Belgium.

Conclusion: See MBCA § 6.40(c) (no distribution permitted if "the corporation would not be able to pay its debts as they become due in the usual course of business").]

Question call(s): 3. Assuming that Amy and Bill violated the duty of loyalty by having the corporation pay for their Belgium trip, can Sharon personally recover from Amy and Bill all the expenses for that trip paid by BC? Explain. 4. Assuming that Amy and Bill violated the duty of loyalty by having the corporation pay for their prior trips to Germany, can Sharon bring a derivative claim to recover from Amy and Bill the expenses paid by BC that related to their prior trips to Germany? Explain.

July 2022 — Question 3

Primary source subject: Corporations & LLCs/Agency

Question summary: This question involves Brian, a home builder, and Danielle, a land developer, properly formed a corporation. The articles of incorporation state that the corporation's purpose is to pursue property development opportunities and any other lawful business. The core dispute asks Is the corporation bound by the land-sale agreement with the bank signed by Carol? Explain. 2. Was the bonus payment made to Danielle, which was approved by a majority of the board of directors, proper? Explain. 3. Does Brian have... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Is a corporation bound when its board of directors ratifies a transaction previously entered into by the corporation's agent acting without authority?
- Is a bonus payment to a majority shareholder proper when it was neither approved by a majority of qualified directors nor fair to the corporation?
- Does a minority shareholder in a close corporation have sufficient grounds to seek judicial dissolution of the corporation when the corporation's majority shareholder (a) takes actions that contravene the corporation's purpose, (b) engages in unfair selfdealing, and (c) refuses to allow the minority shareholder to inspect the corporation's accounting records?
- . As a result, Danielle violated her fiduciary duty of loyalty both by receiving from the corporation a financial benefit to which she was not entitled and by dealing unfairly with the corporation. See MBCA § 8.31(a)

- (v) (director liable for "receipt of a financial benefit to which the director was not entitled or any other breach of the director's duties to deal fairly with the corporation"); see also Official Comment to MBCA § 8.31 (as amended in 2005) [Note on Business Judgment Rule] ("A director is expected to observe an obligation of undivided loyalty to the corporation [as to any] financial benefit to which a director is not properly entitled"). Further, Brian will likely be able to show that the bonus payment, for which the corporation apparently received nothing in return, caused harm to the corporation. See MBCA § 8.31(b). [NOTE: The bonus payment could also be characterized as an illegal distribution, that is, the payment of a dividend not made on a pro rata basis to all shareholders of the same class. See MBCA § 1.40 (defining "distribution" as transfer of money or other property "to . . . the benefit of its shareholders" in respect of any of their shares). See also MBCA § 14.07(d)
- (specifying that distributions in dissolution be pro rata); § 6.23 (specifying that share dividends be pro rata). An examinee who concludes that the payment was improper because it was an illegal, non-prorata distribution should receive full credit.] [NOTE: The question asks only whether the bonus payment was proper and does not ask whether Danielle (or even the third director) is also liable to the corporation for this DCIT. Although it might be argued that the third director violated his fiduciary duties by approving the bonus payment to Danielle without reasonably believing it to be in the best interests of the corporation and for lacking objectivity and independence possibly because of the third director's relationship with Danielle, see MBCA § 8.31(a)

Relevant facts to use:

- Brian, a home builder, and Danielle, a land developer, properly formed a corporation.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary The land-sale agreement signed by Carol is binding on the corporation.

Rule(s):

- Although Carol (agent) originally lacked actual or apparent authority to bind the corporation (principal) to the land-sale agreement, the corporation became bound by the board's subsequent ratification of the agreement at a properly called meeting at which a majority of the directors approved the transaction after full disclosure.
- Thus, the bonus payment constituted a breach of Danielle's fiduciary duty of loyalty.
- Although Carol, as the corporation's agent, did not initially bind the corporation because she lacked actual or apparent authority, the corporation became bound by the subsequent ratification of the agreement by a majority of the directors at a properly called board meeting after full disclosure. (15%) Agency Agency is the fiduciary relationship that arises when one person (a "principal") manifests assent to another person (an "agent") that the agent shall act on the principal's behalf and subject to the principal's control, and the agent consents so to act.

Fact-based analysis:

- Summary The land-sale agreement signed by Carol is binding on the corporation.
- Nor is there any indication Danielle would be able to show that the payment was fair to the corporation.
- It is likely that Brian has sufficient grounds to seek judicial dissolution of the corporation.
- In this close corporation, the actions by the majority shareholder in disposing of the corporation's primary asset in apparent contravention of the corporation's purpose, in approving the payment of a bonus only to herself, and in voting to deny Brian's access to the corporation's accounting records likely constitute "oppression" under the MBCA.

Conclusion: This point should not receive any credit, as the question is not whether the court will dissolve the corporation but whether there are grounds for judicial dissolution.]

July 2023 — Question 2

Primary source subject: Corporations & LLCs/Agency

Question summary: This question involves Parent LLC and Sub LLC are both manager-managed LLCs, each with a sole manager. Parent LLC is the sole member of Sub LLC and selects Sub's manager. The core dispute asks Is Parent liable to VanCo as a partner of Sub? Explain. 2. Is Parent bound by the agreement between Sub and VanCo signed by Parent's manager? Explain. 3. Should the fact that Parent and Sub are separate organizations be disregarded so that... Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Is a parent LLC liable to a third-party creditor of its wholly owned subsidiary LLC as a partner of the subsidiary because the subsidiary distributes its profits to the parent and the two companies share personnel and staff?
- Is a parent LLC liable as a party to a contract that was signed by the parent's manager when the manager was acting as an agent of the parent's wholly owned subsidiary LLC?
- Is a parent LLC liable under the "piercing the company veil" doctrine for obligations of its wholly owned subsidiary LLC to a third-party creditor of the subsidiary when (a) the parent company is the sole member of the subsidiary company; (b) the two companies coordinate their business activities; (c) the two companies share personnel and staff; (d) the subsidiary company distributes profits to the parent company; and (e) the general manager of the subsidiary company failed to follow "formalities" in discontinuing distributions from the subsidiary to the parent company?
- , the failure of Sub's general manager to follow formalities in discontinuing distributions to Parent is not a relevant piercing factor. Indeed, the discontinuance of distributions to Parent provides evidence of Sub's appropriate behavior to protect the interests of its creditors. Point One (35%) Parent is not liable for Sub's debts as a partner of Sub because the two LLCs do not carry on as co-owners a business for profit. Generally, partners are jointly and severally liable for the obligations of their partnership. See [Revised] Uniform Partnership Act (RUPA)
- § 306(a). Thus, the question here is whether Parent and Sub are partners. A partnership is defined as "the association of two or more persons to carry on as co-owners a business for profit . . . whether or not the persons intend to form a partnership." RUPA § 202(a) (1997, as amended 2013). A partnership may be formed by individuals, as well as by legal or commercial entities. RUPA § 102
- (definition of "person" includes an individual or "legal or commercial entity"). Thus, whether the business dealings between two limited liability companies (LLCs) create a "partnership" turns on whether they "carry on as co-owners a business for profit." Consistent with the common law and the earlier version of the UPA

Relevant facts to use:

- Parent LLC and Sub LLC are both manager-managed LLCs, each with a sole manager.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Parent is not liable to VanCo as a partner of Parent's wholly owned subsidiary Sub because the two LLCs do not "carry on as co-owners a business for profit." They share neither profits nor control of a single business.

Rule(s):

- Summary Parent is not liable to VanCo as a partner of Parent's wholly owned subsidiary Sub because the two LLCs do not "carry on as co-owners a business for profit." They share neither profits nor control of a single business.
- Under the [Revised] Uniform Limited Liability Company Act (RULLCA) (2006), the failure of Sub's general manager to follow formalities in discontinuing distributions to Parent is not a relevant piercing factor.
- Point One (35%) Parent is not liable for Sub's debts as a partner of Sub because the two LLCs do not carry on as co-owners a business for profit.

Fact-based analysis:

- Even though the agreement was signed by Parent's manager (Greta), she acted solely on behalf of Sub, at the request of Sub's manager, and signed the contract as "agent of Sub." Parent should not be liable to VanCo on a piercing-the-company-veil theory.
- Here, the facts do not indicate, with respect to the Sub-VanCo relationship, that Parent engaged in fraudulent behavior that created the impression that the two companies were not separate.
- Generally, partners are jointly and severally liable for the obligations of their partnership.
- A partnership is defined as "the association of two or more persons to carry on as co-owners a business for profit . . . whether or not the persons intend to form a partnership." RUPA § 202(a) (1997, as amended 2013).

Conclusion: Thus, the question focuses only on the issue of whether piercing is appropriate under the facts of this case.]

July 2024 — Question 2

Primary source subject: Corporations & LLCs

Question summary: This question involves XYZ Corp owns all the common stock of CruiseCo, which operates a fleet of 24 oceangoing passenger cruise ships. In addition, XYZ owns 90% of the common stock of ResortCo, which operates several large hotels and marinas on ocean coastlines. The core dispute asks Is the ResortCo board of directors' decision to purchase Ava's land protected by the business judgment rule? Explain. Main issues tested include corporate formation, corporate authority, fiduciary duties, shareholder/director rights, derivative claims, veil piercing, and LLC liability.

Issues tested:

- Did XYZ Corp, as a controlling shareholder of ResortCo, breach its duty of loyalty to ResortCo or ResortCo's minority shareholders by causing ResortCo to stop charging docking fees to CruiseCo?
- Could ResortCo's minority shareholders successfully challenge the board's decision not to declare a dividend this year?
- Is the ResortCo board of directors' decision to purchase Ava's land protected by the business judgment rule?

- (ii)(B). The primary way in which directors might breach their duty of care is by failing to become adequately informed during their decision-making process. MBCA § 8.31(a)
- (ii)(B). To be adequately informed when making decisions, directors must become informed to the degree that "a person in a like position would reasonably believe appropriate under similar circumstances." MBCA § 8.30(b). The MBCA’s reference to "similar circumstances" allows courts to consider the complexity or the exigency of the circumstances surrounding a challenged transaction. The overall focus in this context is on the quality of the deliberations, diligence, and research that go into board decisions. If the corporation’s directors became informed to an extent reasonable under the circumstances, then courts will not interfere with their business judgment. Here, the decision of ResortCo's directors to purchase Ava’s land will most likely not be protected by the business judgment rule. A strong argument can be made that the directors breached their duty of care by failing to become adequately informed about the purchase prior to voting to authorize it. The directors spent just 15 minutes discussing a major business transaction involving the purchase of land for $50 million, on the same day that they learned of the opportunity, and they failed to gather any additional advice from either outside or inside financial experts. In these respects, the case resembles Smith v. Van Gorkom, 488 . 1985). The Smith court found that corporate directors breached their duty of care by similarly not adequately informing themselves when voting to approve the sale of the company. Among the most significant informational deficiencies identified by the court, the directors met for only two hours, had insufficient notice about the decision to be made, did not obtain guidance from an outside expert on the fairness of the sale price, did not question the company’s internal financial officer about how he concluded that the sale price was in the range of fair, and did not question Van Gorkom about his role in setting the price or orchestrating the deal. 488 . Although the directors might argue that Ava’s insistence on receiving an answer within 48 hours created exigent circumstances justifying an accelerated and abbreviated decision-making process, the deadline that Ava imposed was not so extreme as to make it impossible for the directors to engage in meaningful deliberations or conduct additional research into the transaction’s fairness and financial impact on the company. Indeed, in Smith, the directors were given a deadline of three days to decide and yet the court deemed inadequate their two-hour meeting to discuss the transaction, especially given the absence of outside guidance on the deal’s fairness. In sum, no directors in the same position as ResortCo’s directors would reasonably believe it was appropriate to approve a transaction of this magnitude and under these circumstances without performing more robust deliberations and due diligence.

Relevant facts to use:

- XYZ Corp owns all the common stock of CruiseCo, which operates a fleet of 24 oceangoing passenger cruise ships.
- 1.

Condensed sample-answer path:

1. Point Two (34%) ResortCo's minority shareholders cannot successfully challenge the board's decision

Short answer: Here, any claim by minority shareholders of ResortCo against the board would be a direct claim.

Rule(s):

- It is therefore most likely that a court would uphold the ResortCo directors’ refusal to declare a dividend.] Point Three (33%) The decision by ResortCo’s directors to purchase Ava’s land most likely will not be protected by the business judgment rule because the directors breached their fiduciary duty of care by not becoming adequately informed during the decision-making process.
- Law § 141(a) ("The business and affairs of every corporation . . . shall be managed by or under the direction of a board of directors, except as may be otherwise provided . . . in its certificate of incorporation.").

- The rule creates a rebuttable presumption that directors’ decisions are made in good faith and in the best interests of the corporation.

Fact-based analysis:

- Here, any claim by minority shareholders of ResortCo against the board would be a direct claim.
- On the rare occasions when courts have sided with shareholders seeking to compel dividends, the facts generally suggest that the directors acted self-interestedly, in bad faith, with a motive of driving minority shareholders out of the corporation, or to advance a purpose unrelated to the corporation’s business.
- Here, nothing in the facts presented suggests that ResortCo’s directors refused to declare a dividend fraudulently, in bad faith, or in gross abuse of their discretion.
- The corporation’s board of directors is responsible for corporate decision-making.

Conclusion: In sum, no directors in the same position as ResortCo’s directors would reasonably believe it was appropriate to approve a transaction of this magnitude and under these circumstances without performing more robust deliberations and due diligence.

Question call(s): 1. Did XYZ, as a controlling shareholder of ResortCo, breach a fiduciary duty of loyalty to ResortCo or ResortCo’s minority shareholders by causing ResortCo to stop charging CruiseCo docking fees? Explain. 2. If ResortCo's minority shareholders challenge the board's decision not to declare a dividend this year, are they likely to prevail? Explain. 3. Is the ResortCo board of directors’ decision to purchase Ava’s land protected by the business judgment rule? Explain.

Civil Procedure

February 1997 — Question 5

Primary source subject: Federal Civil Procedure/Conflict of Laws

Question summary: This question involves Ten years ago, a valuable painting by an old master was stolen from Museum, a nonprofit organization incorporated and located in State X. At the time of the theft, the painting was worth approximately $800,000. The core dispute asks May the federal district court issue an order restraining the sale of the painting before Collector has been served with process or given notice of the motion to restrain the sale? Explain. 2. If the court issues a restraining order and it... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- May a federal district court issue an order restraining Collector from selling the painting even though Collector has not been served with process in the action and does not have notice of the request for the order?
- If the court issues an ex parte order restraining the sale of the painting, how long will the order be effective and what further steps, if any, must Museum take to preserve the order in force until the date of trial?
- Should the State Y statute of limitations be applied to bar Museum's cause of action to recover possession of the painting?

Relevant facts to use:

- Ten years ago, a valuable painting by an old master was stolen from Museum, a nonprofit organization incorporated and located in State X.
- Two days ago, on Wednesday, Museum Director learned from a friend in the art business that the stolen painting had surfaced in the hands of Collector, a resident and citizen of State Y.
- Museum's lawyer prepared a civil action against Collector to recover possession of the painting.
- Both the verified complaint and the motion allege (among other things) that Museum owns the painting; that it was stolen; that Collector now has possession of it; that the painting is a priceless example of Renaissance artwork; that it was the centerpiece of Museum's collection before its theft; that Museum believes on the basis of reliable information that Collector plans to sell the painting to a foreign purchaser; and that Museum will suffer irreparable injury if the painting is sold and taken out of the country.

Condensed sample-answer path:

1. Point One Under Civ. P. 65(b) the court may grant a temporary restraining order against Collector wi

Short answer: 65(b) permits federal courts to issue temporary restraining orders on an ex parte basis when that is necessary to prevent irreparable injury and preserve the status quo pending a hearing on an application for a preliminary injunction.

Rule(s):

- Because the issuance of a restraining order without notice to a party is an extraordinary action that implicates the restrained party's due process rights, Rule 65(b) strictly circumscribes the circumstances under which ex parte restraining orders may be granted.
- To obtain an ex parte temporary restraining order, the moving party must meet three conditions set out in the federal rules: (1) the moving party must set out "specific facts" in the verified complaint or by affidavit that show that "immediate and irreparable injury... will result to the applicant before the adverse party... can be heard in opposition"; (2) the moving party's attorney "must certify to the court in writing the efforts, if any,

which have been made to give the notice and the reasons supporting the claim that notice should not be required," Civ.

- 65(b); and (3) the moving party must provide "security... in such sum as the court deems proper" before the order is issued, Civ.

Conclusion: Given that Rule 65(b) authorizes ex parte TROs in limited circumstances like these, it is irrelevant whether the summons has yet been served or not, especially when the same factors that prevent Museum from giving notice of the motion for a TRO would also prevent service of the summons.

2. Point Two Absent Collector's consent or extraordinary circumstances, an ex parte restraining order c

Short answer: Because an ex parte temporary restraining order is an extraordinary remedy, issued without the usual due process guarantees of notice and a hearing, federal practice requires that temporary restraining orders be dissolved as soon as practicable.

Rule(s):

- Because an ex parte temporary restraining order is an extraordinary remedy, issued without the usual due process guarantees of notice and a hearing, federal practice requires that temporary restraining orders be dissolved as soon as practicable.
- If Museum wishes to restrain Collector's sale of the painting until the date of trial, the appropriate remedy is a preliminary injunction, which will issue only after notice to Collector and a hearing.
- Moreover, when a temporary restraining order is entered without notice, a "motion for a preliminary injunction shall be set down for hearing at the earliest possible time," and the party who received the TRO must proceed with an application for a preliminary injunction or the TRO will be dissolved.

Fact-based analysis:

- Thus, the TRO may not, without further steps, prevent sale of the painting until the civil action to recover possession of the painting is resolved.

Conclusion: If Museum does not seek a preliminary injunction, the restraint on Collector will expire within 10 days, if not earlier.

3. Point Three The federal district court should probably apply the State Y statute of limitations to t

Short answer: In diversity actions, federal courts use state law to determine the limitation period applicable to state causes of action.

Rule(s):

- In determining which state's limitation period to use, federal courts must look to the choice of law rules of the state in which they sit.
- If State Y treats statutes of limitations as procedural, it would ordinarily apply its own statute of limitations in the absence of a borrowing statute indicating that some other state's statute of limitations should be used.
- Where a statute of limitations is specific to a particular kind of claim and was created by the law that created the cause of action to which it applies, courts will often characterize the statute of limitations as substantive.

Fact-based analysis:

- The problem does not specify what choice of law approach is followed by the courts of State Y, where this action is being heard.

- Because the problem does not indicate that there is any applicable borrowing statute, the usual rule is that State Y should apply its own statute of limitations if that statute bars the action.
- State X, however, has a special statute of limitations for this type of claim which is part of a law creating a special cause of action for the recovery of stolen art work.
- However, this traditional rule may not lead to application of State X's statute of limitations, because the rule was traditionally applied only when the foreign statute of limitations BARRED an action otherwise timely under forum law, not when the foreign statute extended the period for bringing the action.

Conclusion: State Y could either apply its own law to resolve the conflict, or seek somehow to determine which state's interest should be honored in the case.

Question call(s): 1. May the federal district court issue an order restraining the sale of the painting before Collector has been served with process or given notice of the motion to restrain the sale? Explain. | 2. If the court issues a restraining order and it is properly served on Collector (together with copies of the summons and complaint), will the order remain in effect until there can be a | 3. Will the federal district court apply State Y's statute of limitations, thus barring the cause of action created by the law of State X? Explain.

July 1997 — Question 5

Primary source subject: Federal Civil Procedure

Question summary: This question involves State C has recently enacted an "Unfair Trade Practices Act" (UTPA), the key provision of which reads: No person shall engage in an unfair method of competition or an unfair act or practice in the conduct of any trade or business. The Act further provides a private right of action for "any... The core dispute asks Parker is the plaintiff in a major personal injury case soon to be tried in a State C court. Parker, who is not insured by Acme, considers Acme's ad campaign to be a form of "unfair act or practice" in violation of the UTPA. Consequently,... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Were the requirements for federal diversity jurisdiction satisfied in this case, even though the plaintiff sued in a federal district court in his home state and, subsequent to filing the complaint, moved so as to become domiciled in the same state as defendant?
- In a diversity case in which both the meaning and the constitutionality of a new state statute are challenged, should a federal district court stay the case to allow the courts of the state an opportunity to rule on the statute's meaning and thereby possibly render the constitutional issue moot?

Relevant facts to use:

- State C has recently enacted an "Unfair Trade Practices Act" (UTPA), the key provision of which reads:
- No person shall engage in an unfair method of competition or an unfair act or practice in the conduct of any trade or business.
- The Act further provides a private right of action for "any individual who suffers an ascertainable monetary loss" as a result of conduct that violates the UTPA.
- Acme is an auto liability insurance corporation incorporated under the laws of State A, with its principal place of business in State B.

Condensed sample-answer path:

1. Point One Because plaintiff Parker was a citizen of a different state than defendant Acme when the c

Short answer: The court should deny the defendant's motion to dismiss for lack of subject matter jurisdiction.

Rule(s):

- The court should deny the defendant's motion to dismiss for lack of subject matter jurisdiction.
- The requirements for federal diversity jurisdiction have been established in this case.
- Parker's complaint does not state a claim arising under the Constitution or laws of the United States, 28 . § 1331, so the federal court's jurisdiction must be based upon diversity of citizenship.

Fact-based analysis:

- For purposes of diversity jurisdiction, Parker was a citizen of the state in which he was domiciled when the complaint was filed, State C, and Acme is deemed a citizen of the state in which it is incorporated, State A, and the state in which it has its principal place of business, State B.
- Accordingly, the first ground of Acme's attack on subject matter jurisdiction is without merit.
- If Parker had been domiciled in State B at the time suit was filed against Acme, the requirement for original federal diversity jurisdiction would not have been satisfied.
- On the date Parker's suit was filed, plaintiff Parker was a citizen of State C, and corporate defendant Acme was a citizen of States A and B.

Conclusion: Therefore, plaintiff's motion to dismiss for lack of subject matter jurisdiction should be denied.

2. Point Two Because the state courts of State C may interpret the Unfair Trade Practices Act (UTPA) ei

Short answer: Because this case is before the federal district court for State C by virtue of its diversity jurisdiction, the court is required by the Erie doctrine to apply the substantive law of State C, whose statutes have created any cause of action that Parker may have.

Rule(s):

- Because this case is before the federal district court for State C by virtue of its diversity jurisdiction, the court is required by the Erie doctrine to apply the substantive law of State C, whose statutes have created any cause of action that Parker may have.
- 320 US 228 (1943), in which the court stated: Congress having adopted the policy of opening the federal courts to suitors in all diversity cases involving the jurisdictional amount, we can discern in its action no recognition of a policy which would exclude cases from the jurisdiction merely because they involve state law or because the law is uncertain or difficult to determine.
- Chemerinsky, Federal Jurisdiction § 12.2.2 at 698 (1989).

Fact-based analysis:

- Although it is clear that State C substantive law governs this case, it is unclear what that substantive law is.
- If, on the other hand, it waits for the State C Supreme Court's interpretation of the statute, that Court may decide that only customers or competitors of the defendant have standing to sue under the state UTPA.
- Thus, by granting a stay, the court may avoid unnecessarily deciding a federal constitutional question.
- The State C Supreme Court may then decide the case pending before it in a way that would deny Parker's standing to sue under the UTPA.

Conclusion: Those facts also would support a postponement of the federal action.

Question call(s): 1. How should the federal district court rule on the motion to dismiss for lack of subject matter jurisdiction? Explain. | 2. How should the federal district court rule on the motion to stay the case? Explain.

February 1998 — Question 4

Primary source subject: Federal Civil Procedure

Question summary: This question involves Passenger was riding as a passenger on a motorcycle operated by Cyclist in State A. She sustained a severe head injury when a westbound car driven by Driver collided with Cyclist's northbound motorcycle at an intersection controlled by stop signs for both roads. The core dispute asks Should the trial court grant or deny Driver's motion for summary judgment? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Does the existence of a material issue on the face of the pleadings preclude adjudication of a case without trial?
- Does conflict in affidavits concerning an immaterial fact preclude a summary judgment?
- Does the plaintiffs affidavit controverting defendant's version of the accident preclude a summary judgment, when affidavits and depositions clearly show that plaintiff cannot present evidence to support her version of the facts?

Relevant facts to use:

- Passenger was riding as a passenger on a motorcycle operated by Cyclist in State A.
- Passenger, a citizen of State B, sued Driver, a citizen of State A, in federal district court in State A for $ 1 million in damages for personal injuries.
- Passenger's complaint alleged that Driver failed to stop at the stop sign and that Driver's negligent driving was the proximate cause of her injuries.
- Before either side could take his deposition, Cyclist died of causes not connected with the accident.

Condensed sample-answer path:

1. Point One Existence of a material issue on the face of the pleadings will not preclude adjudication

Short answer: The face of the pleadings in this case presents a material issue of fact, namely, whether Driver's negligence was the proximate cause of the collision between his auto and Cyclist's motorcycle.

Rule(s):

- The face of the pleadings in this case presents a material issue of fact, namely, whether Driver's negligence was the proximate cause of the collision between his auto and Cyclist's motorcycle.
- A motion for summary judgment is a procedural device that is capable of going behind the pleadings and demonstrating that there really is no genuine issue as to any material fact.
- If this is so, at trial Driver will be entitled to a directed verdict at the close of the plaintiffs case.

Conclusion: Driver must explain to the court that the first factual issue is immaterial, that he has affirmatively produced evidence in his favor on the second and third, and that Passenger will be unable to provide evidence to refute Driver's evidence regarding the second and third issues.

2. Point Two The conflict in the affidavits concerning the visibility of the stop sign will not pre-elu

Short answer: Driver, in his affidavit, and Witness, in his deposition, swear that the stop sign was obscured by weeds.

Rule(s):

- Therefore, if this issue is also a material one, the motion for summary judgment must be denied.

Fact-based analysis:

- On the other hand, the affidavit of the investigating police officer says that it was plainly visible.
- Therefore, the visibility of the stop sign is not a material fact in this case.

Conclusion: Therefore, the visibility of the stop sign is not a material fact in this case.

3. Point Three Plaintiffs affidavit controverting defendant's version of the accident will not preclude

Short answer: This is clearly a material factual issue whether Driver failed to stop at the intersection.

Rule(s):

- However, for it to be a genuine issue it must appear that at trial Passenger will have enough evidence to take her version of the accident to the jury.
- Since she has no admissible evidence to support her version of the accident, she will be unable, at trial, to carry her burden of proof on the issue of Driver's negligence.
- It may be conventional wisdom that summary judgment is generally inappropriate in negligence cases, because the jury may still infer negligence when underlying facts are undisputed; but that does not apply here, because plaintiff has no evidence to establish the only particular fact (Driver's failure to stop) from which negligence could be inferred.

Fact-based analysis:

- At trial Passenger cannot testify herself about which driver ran the stop sign, because her amnesia precludes her from having any personal knowledge about this matter.
- Therefore, there is no genuine issue as to this material fact.
- The outcome of the case is a foregone conclusion: Driver would be entitled to a directed verdict because of Passenger's lack of evidence to support her version of the accident.
- Accordingly, the trial court should enter a summary judgment in his favor.

Conclusion: Accordingly, the trial court should enter a summary judgment in his favor.

Question call(s): Should the trial court grant or deny Driver's motion for summary judgment? Explain.

July 1998 — Question 3

Primary source subject: Federal Civil Procedure/Conflict of Laws

Question summary: This question involves Husband and Wife, residents of State Y, are owners in joint tenancy of a large tract of land in State Z, which they purchased as an investment several years ago. They recently made an oral agreement to sell the land for $1 million to Developer, a shopping center developer who lives in State Z. The core dispute asks What ruling should the court make with respect to the motion to dismiss for failure to join Wife as a party in the action? Explain. 2. If the case were not dismissed because of Husband's failure to join Wife, how should the court rule on... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Under Civ. P. 19, is Wife a necessary and indispensable party who cannot be joined without destroying the court's diversity jurisdiction?
- Which state's law will be applied to determine whether the oral agreement for the sale of land is enforceable?

Relevant facts to use:

- Husband and Wife, residents of State Y, are owners in joint tenancy of a large tract of land in State Z, which they purchased as an investment several years ago.
- All negotiations concerning the transaction were held at Husband and Wife's home in State Y.
- Shortly after the oral agreement was reached, Wife separated from Husband, but she remained domiciled in State Y.
- Husband has filed a diversity action against Developer in the federal district court of State Z.

Condensed sample-answer path:

1. Point One As a co-owner of the land and a joint obligor on the contract. Wife is a necessary and ind

Short answer: A motion to dismiss an action for "failure to join a party" raises three issues.

Rule(s):

- A motion to dismiss an action for "failure to join a party" raises three issues.
- A federal court should join a person as a party if (1) in the person's absence complete relief cannot be accorded among those already parties, or (2) the person claims an interest relating to the subject of the action and is so situated that the disposition of the action in the person's absence may (i) as a practical matter, impair or impede the person's ability to protect that interest or (ii) leave any of the persons already parties subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations by reason of the claimed interest.
- If Developer establishes that the contract is enforceable and valid, Developer effectively proves his equitable ownership of the land, and Wife's land interest will have been transferred.

Fact-based analysis:

- Her substantial interest in the contract for the sale of the real estate will invariably be affected if the court declares the contract unenforceable.
- If Developer loses, then Wife's effort to transfer her interest in the land to Developer under the contract will be effectively thwarted.
- Wife, of course, shares with Husband the position of owner of the land and obligor under the sales contract.
- She has a strong interest in seeing the contract enforced (to protect her "finder's fee") and she was a party to the alleged fraud against Husband.

Conclusion: A suit in state court would thus provide Husband with an adequate remedy.

2. Point Two State Z's law should be applied to determine the enforceability of a contract for conveyan

Short answer: Developer's motion to dismiss the complaint for failure to state a claim raises a choice of law issue.

Rule(s):

- To determine the applicable substantive law, the federal district court must apply the choice- of-law rules of State Z (where it is hearing the action).
- Indeed, were this a contract unconnected to land, its validity probably would be determined by the law of State Y given that it was negotiated and made there, Husband and Wife live there, and the contract would be upheld as valid under that state's law.
- See generally State Z arguably has little interest in applying its statute of frauds to protect two non-residents (Husband and Wife) whose own home jurisdiction does not protect them.

Fact-based analysis:

- The problem does not state what State Z's choice of law rules are, so examinees should focus on providing some sensible analysis of this issue.
- Thus, in a case of this nature (a contract is negotiated and made in State Y for the sale of land in State Z), the law of State Z would determine the enforceability of that contract.
- Occasionally, a court will characterize a case of this sort as a contract case and apply the law of the place where the contract was made.
- See Modern approaches to choice of law, however, would permit departure from this traditional rule if a state other than the situs state had a "more significant relationship" to the facts of the case or a greater interest in the outcome." It is possible to argue on these facts, using either a "most significant relationship" analysis or an interest analysis, that State Y law should apply.

Conclusion: The motion to dismiss the complaint therefore should be denied.

Question call(s): 1. What ruling should the court make with respect to the motion to dismiss for failure to join Wife as a party in the action? Explain. | 2. If the case were not dismissed because of Husband's failure to join Wife, how should the court rule on the motion to dismiss the complaint for failure to state a claim? Explain.

February 1999 — Question 4

Primary source subject: Federal Civil Procedure

Question summary: This question involves Laptop, Inc., a State X corporation, manufactures laptop computers at its principal place of business in State Y. Paul, a resident of State Z, purchased one of Laptop's computers while attending college in State Y. The core dispute asks Should the court grant Laptop's motion to dismiss Paul's claim for lack of personal jurisdiction? Explain. 2. Should the court grant Chip's motion to dismiss Paul's claim for lack of personal jurisdiction? Explain. 3. Should the court... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Can the State Z district court exercise personal jurisdiction over Laptop, when the defective computer that caused Paul's injuries was purchased by Paul in State Y and transported by Paul into State Z?
- Can the State Z district court exercise personal jurisdiction over Chip, when Chip's only connection with State Z is that its computer chips enter that state as part of computers sold there by Laptop?
- Is venue proper in State Z?

Relevant facts to use:

- Laptop, Inc., a State X corporation, manufactures laptop computers at its principal place of business in State Y.

- The fire was caused by a defective memory chip installed by Laptop during manufacture in State Y.
- Laptop sells 50% of its computers in State Y, 25% in State X, and 25% in State Z.
- Chip sends to Laptop in State Y all of the memory chips it exports to the United States.

Condensed sample-answer path:

1. Point One The district court in State Z can assert personal jurisdiction over Laptop because Laptop'

Short answer: State Z may exercise in personam jurisdiction over Laptop so long as the defendant has "certain minimum contacts with [the forum] such that the maintenance of the suit does not offend 'traditional notions of fair play and substantial justice.'" International Shoe Co. v.

Rule(s):

- State Z may exercise in personam jurisdiction over Laptop so long as the defendant has "certain minimum contacts with [the forum] such that the maintenance of the suit does not offend 'traditional notions of fair play and substantial justice.'" International Shoe Co. v.
- The "defendant's conduct and connection with the forum state" must be "such that he should reasonably anticipate being haled into court there." A defendant corporation satisfies this requirement if it "purposefully avails itself of the privilege of conducting activities within the forum State." WorldWide Volkswagen Corp. v.
- The only argument against jurisdiction might be that the particular computer involved in this case was not sold by Laptop in State Z, but was purchased by Paul in State Y and carried by him to State Z.

Fact-based analysis:

- State of Washington, 326U.S.310 (1945).
- Laptop's connection to State Z easily satisfies the minimum contacts test.
- The combination of Laptop's substantial sales in State Z, its advertising in State Z and its provision of a website (by which customers in State Z can obtain advice in the use of its products) all show a clear intent to serve the State Z market.
- As Laptop's conduct includes actions "purposefully directed toward the forum State," those actions should satisfy the minimum contacts requirement.

Conclusion: As Laptop's conduct includes actions "purposefully directed toward the forum State," those actions should satisfy the minimum contacts requirement.

2. Point Two In all probability, Chip should not be subject to State Z jurisdiction because the defecti

Short answer: Chip put its goods into the stream of commerce in the .

Rule(s):

- On these unique facts, jurisdiction is probably not proper over Chip.
- First, jurisdiction over Chip would have to be based solely on a "stream of commerce" theory: by placing its goods in the "stream of commerce" with knowledge that they would end up in State Z, Chip avails itself of the privilege of doing business in State Z and subjects itself to suit there.
- The problem with this theory is that it may no longer be valid and, even if it is, the injuries in this case were not caused by a chip that entered State Z through the stream of commerce.

Fact-based analysis:

- It knew its chips could end up in computers that would be sold in State Z.
- It also earned revenue from the sale of chips that were destined to be a part of products sold in State Z.

- However, the cause of action in this case, although it occurred in State Z, arose out of an alleged defect in a chip that was sold in another state and brought into State Z by the purchaser.
- Since that time, the federal courts have been divided on the viability of the streamof-commerce test.

Conclusion: In sum, it would appear that the court should grant Chip's motion to dismiss because jurisdiction is inappropriate where (1) Chip's connections with State Z are slight, (2) Chip takes no actions itself that are directed at serving the State Z market, (3) the injury in the case was caused by a chip which entered State Z through the unilateral actions of the consumer, and (4) the burden on Chip of defending the action would be severe.

3. Point Three Venue is clearly proper in State Z. but the action should be transferred to State Y if t

Short answer: Under 28 United States Code § 1391(a), venue in a diversity case is proper in "(1) a judicial district where any defendant resides, if all defendants reside in the same, state, (2) a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred, ..." or "(3) a judicial district in which the defendants are subject to personal jurisdiction." Where corporate defendants are involved, they are deemed to reside "in any judicial district in which [they] are subject to personal jurisdiction." 2g . § 1391(c).

Rule(s):

- Under 28 United States Code § 1391(a), venue in a diversity case is proper in "(1) a judicial district where any defendant resides, if all defendants reside in the same, state, (2) a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred, ..." or "(3) a judicial district in which the defendants are subject to personal jurisdiction." Where corporate defendants are involved, they are deemed to reside "in any judicial district in which [they] are subject to personal jurisdiction." 2g . § 1391(c).
- If State Z has jurisdiction over the defendants, it would clearly have venue over the action under any of these provisions.
- It would be a "district in which the defendants are subject to personal jurisdiction," it would be (by definition) a district in which the defendants "reside," and "a substantial part of the events ... giving rise to the claim" occurred there—the computer fire and Paul's injuries.

Fact-based analysis:

- If State Z has jurisdiction, the court is unlikely to grant a motion to transfer venue.
- There is no reason to believe that any outlier court would be significantly superior to State Z as a venue for the action.
- State Y might be a somewhat more appropriate venue for a product liability action, as it is the state of manufacture.
- But pertinent evidence (e.g., relating to Paul's injuries) is likely to be present in State Z; a State Z trial will be convenient for Paul (as a State Z resident); and courts generally give deference to plaintiffs choice of forum where the choice is not unreasonable and convenience factors do not weigh strongly toward another forum.

Conclusion: Both Laptop and Chip would almost certainly be amenable to suit in State Y (Laptop manufactures its laptops there and Chip ships its parts directly to State Y), State Y is a proper venue for the action because "a substantial part of the events or omissions giving rise to the claim occurred" there (manufacture of the computer), and a venue transfer to State Y would serve "the interests of justice" better than an outright dismissal of the case.

Question call(s): 1. Should the court grant Laptop's motion to dismiss Paul's claim for lack of personal jurisdiction? Explain. | 2. Should the court grant Chip's motion to dismiss Paul's claim for lack of personal jurisdiction? Explain. | 3. Should the court grant both defendants' motions to dismiss and/or transfer venue to the district court in State Y? Explain.

July 1999 — Question 3

Primary source subject: Federal Civil Procedure/Conflict of Laws

Question summary: This question involves A few years ago, the legislature of State A passed the following statute: The owners of lots fronting on public sidewalk areas between the property line of the lot and the street line shall repair and maintain those areas at their own expense; failure to do so will result in an assessment against... The core dispute asks Is Defendant entitled to judgment as a matter of law? Explain. 2. Assuming Defendant is entitled to judgment as a matter of law, should the judge defer ruling for Defendant until after the jury renders its verdict? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- In ruling on Defendant's motion for judgment as a matter of law, should the federal district court adopt the interpretation it prefers of the State A sidewalkrepair statute or apply what it believes is the likely interpretation by the State A Supreme Court?
- If the trial court concludes that the defendant is entitled to judgment as a matter of. law, should the trial court defer its decision until after the jury renders a verdict?

Relevant facts to use:

- A few years ago, the legislature of State A passed the following statute:
- The owners of lots fronting on public sidewalk areas between the property line of the lot and the street line shall repair and maintain those areas at their own expense; failure to do so will result in an assessment against the property for the city's cost in making those repairs.
- In the few cases that have arisen under this statute, the trial judges of State A have taken diametrically opposed positions as to its impact on tort cases arising from dangerous conditions in sidewalk areas.
- Defendant has long owned and occupied a bungalow on Main Street in the State A city of Suburbia.

Condensed sample-answer path:

1. Point One The federal district court should adopt the interpretation of the statute that it believes

Short answer: Under the Federal Rules of Civil Procedure, judgment as a matter of law (JMOL) is appropriate when a "party has been fully heard" and "there is no legally sufficient evidentiary basis for a reasonable jury to find for that party" F.R.C.P.

Rule(s):

- Under the Federal Rules of Civil Procedure, judgment as a matter of law (JMOL) is appropriate when a "party has been fully heard" and "there is no legally sufficient evidentiary basis for a reasonable jury to find for that party" F.R.C.P.
- If not, then defendant's motion for judgment as a matter of law may be granted.
- When a federal court is hearing a case under its diversity jurisdiction, it must apply the same substantive law that would have been applied if the suit had been filed in a court of the state where the federal court is located.

Fact-based analysis:

- Thus, the question is whether, under the applicable law, the jury could find any facts that would entitle plaintiff to recover from defendant.
- The federal court is not free to make its own independent judgment, from a policy standpoint, of the better construction of a statute worded like State A's sidewalk-repair law.
- Instead, the federal court must try to predict from available State A case law how the State A Supreme Court would be likely to interpret the statute.
- In this case, the federal district court has concluded, albeit reluctantly, that the State A Supreme Court probably would rule that its sidewalk-repair statute was not intended to impose tort liability on abutting landowners.

Conclusion: Therefore, even if the hole was in fact located in an area of the parking strip that abutted Defendant's property, he is not liable for Plaintiffs injury and is entitled to prevail in this case as a matter of law.

2. Point Two Having concluded that Defendant is entitled to judgment as a matter of law, the court shou

Short answer: In view of the answer to the first question, it may seem that the answer to the second one is a foregone conclusion: the trial court should now grant Defendant's motion for a directed verdict.

Rule(s):

- In view of the answer to the first question, it may seem that the answer to the second one is a foregone conclusion: the trial court should now grant Defendant's motion for a directed verdict.
- Rule 50 permits, but does not require, a trial judge to grant judgment as a matter of law during the trial.
- If the jury concludes that the hole was actually located in front of the adjoining Todd house, the legal issue raised by Defendant's motion becomes moot.

Fact-based analysis:

- Without deciding the meaning of the State A statute one way or the other, the court could then simply enter judgment for Defendant on the basis of the jury's verdict in his favor.
- On the other hand, if the jury resolves the factual issue concerning the hole's location in favor of Plaintiff, the defense simply renews post-trial its motion for judgment as a matter of law.
- The advantage of this "reserved decision" procedure comes into play if Plaintiff appeals from the judgment entered for Defendant.
- If the trial judge's decision as to the meaning of the State A statute is overturned, the appellate court can reverse the judgment entered for Defendant and direct the trial court to enter judgment for Plaintiff on the basis of the jury verdict in her favor.

Conclusion: The time and effort of the trial court, the parties, and the jury at the first trial would have been unnecessarily wasted.

Question call(s): 1. Is Defendant entitled to judgment as a matter of law? Explain. | 2. Assuming Defendant is entitled to judgment as a matter of law, should the judge defer ruling for Defendant until after the jury renders its verdict? Explain.

February 2000 — Question 3

Primary source subject: Federal Civil Procedure

Question summary: This question involves Adam is a citizen of State A and practices law in State A. He represented a citizen of State A in a criminal prosecution involving drugs and in a related civil forfeiture proceeding, both of which were pending in federal district court in State A. The core dispute asks At the end of the two-month period, the government entered into an agreement accepting a guilty plea in the drug action. It also settled the forfeiture claim, agreeing to allow Adam's client to retain property valued at $480,000. Adam... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- Adam is a citizen of State A and practices law in State A.
- During the next two months, Barbara and Adam talked by telephone on two occasions and exchanged two letters in connection with the civil forfeiture matter.
- At the end of the two-month period, the government entered into an agreement accepting a guilty plea in the drug action.
- Adam refused to pay Barbara any portion of the $240,000 received as Adam's contingent fee.

Condensed sample-answer path:

1. Point One The federal district court has subject matter jurisdiction based upon diversity of citizen

Short answer: The challenge to jurisdiction raises issues as to personal jurisdiction as well as subject matter jurisdiction.

Rule(s):

- The challenge to jurisdiction raises issues as to personal jurisdiction as well as subject matter jurisdiction.
- Subject matter jurisdiction exists under 28 . § 1332 if there is diversity of citizenship and the amount in controversy exceeds $75,000.
- Adam's supporting affidavit suggests the possibility that Barbara may ultimately recover less than the statutory minimum, but that does not defeat the federal court's jurisdiction.

Fact-based analysis:

- Diversity of citizenship exists between Barbara, a citizen of State B, and Adam, a State A citizen.

Conclusion: Barbara's actual recovery will depend upon factual issues and cannot be said to a legal certainty to be less than the statutory minimum.

2. Point Two The federal district court has personal jurisdiction based upon requisite minimum contacts

Short answer: Determining the existence of personal jurisdiction requires analysis both of whether personal jurisdiction can be constitutionally exercised by the State B federal district court and of whether the appropriate state statute allows the federal court to assert personal jurisdiction.

Rule(s):

- Determining the existence of personal jurisdiction requires analysis both of whether personal jurisdiction can be constitutionally exercised by the State B federal district court and of whether the appropriate state statute allows the federal court to assert personal jurisdiction.
- International Shoe requires the defendant to have sufficient "minimum contacts" with State B such that requiring defense in State B would not "offend 'traditional notions of fair play and substantial justice.'" Id. at 3) 6, quoting Mi Hi ken v.

- The sufficiency of contacts required under International Shoe and subsequent decisions depends on whether the court is seeking to assert general or specific jurisdiction.

Fact-based analysis:

- Here, however, Barbara seeks to assert specific jurisdiction, since the cause of action arises out of Adam's contacts (the fee-splitting contract) with State B.
- Purposeful activity was directed toward State B.
- Although there are factual points to the contrary, including where the contract was written, the contacts with State B are sufficient for an action arising out of such contacts.
- Adam initiated the contact, solicited the contract, and had further related contacts with Barbara.

Conclusion: Were this a general jurisdiction case—for example, if Barbara were suing Adam on an unrelated personal injury claim—the contacts would clearly be insufficient.

3. Point Three Venue should not be transferred to the federal district court of State A because the con

Short answer: Venue transfers are controlled by 28 . § 1404, which provides "in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought." The action could have been brought in State A.

Rule(s):

- Venue transfers are controlled by 28 . § 1404, which provides "in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought." The action could have been brought in State A.
- The subject matter jurisdiction is the same.
- Adam is doing business within the state sufficient to confer personal and subject matter jurisdiction, and venue is proper since all the defendants are in State A.

Fact-based analysis:

- There appears to be no hardship on any third party who might be a witness.

Conclusion: The logical conclusion would be that the preference for allowing Barbara to choose the forum has not been overcome.

Question call(s): How should the court rule on each issue raised by Adam's motion to dismiss and request for transfer of venue? Explain.

July 2000 — Question 3

Primary source subject: Federal Civil Procedure

Question summary: This question involves Claimant properly invoked the diversity jurisdiction of the federal district court to bring suit to recover damages for the death of Claimant's spouse, Wife. Claimant alleged that Wife died as a result of exposure to asbestos at BrakeCo, an employer that regularly used asbestos in its brakelining... The core dispute asks At the final pretrial conference, Fiberco argued that Claimant had failed to produce any evidence through discovery that would tend to establish that Wife had ever been exposed to Fiberco's product. Although the district court refused to... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- Claimant properly invoked the diversity jurisdiction of the federal district court to bring suit to recover damages for the death of Claimant's spouse, Wife.
- At the final pretrial conference, Fiberco argued that Claimant had failed to produce any evidence through discovery that would tend to establish that Wife had ever been exposed to Fiberco's product.
- At the conclusion of this testimony, Claimant's counsel indicated that Claimant had no other evidence to offer on the issue.
- 1.

Condensed sample-answer path:

1. Point One Under Rule 16, the district court has the power to enter a pretrial order that specifies t

Short answer: Rule 16 of the Federal Rules of Civil Procedure gives district court judges the power to structure trials in a manner that facilitates their expedited disposition.

Rule(s):

- Rule 16 of the Federal Rules of Civil Procedure gives district court judges the power to structure trials in a manner that facilitates their expedited disposition.
- Rule 16(c)(14) specifically authorizes courts to direct the parties "to present evidence early in the trial with respect to a manageable issue that could, on the evidence, be the basis for a judgment as a matter of law under Rule 50(a)." This language offers ample support for the court's decision to require Claimant to present evidence of Fiberco exposure early to facilitate a motion for judgment as a matter of law.

2. Point Two A motion for judgment as a matter of law may be granted before the close of evidence if th

Short answer: Rule 50 simplifies and clarifies federal practice on what were once called motions for directed verdicts, bringing the practice into line with that on motions for summary judgment.

Rule(s):

- Rule 50 simplifies and clarifies federal practice on what were once called motions for directed verdicts, bringing the practice into line with that on motions for summary judgment.

Fact-based analysis:

- Thus, Claimant's indication that the testimony of BrakeCo's manager concluded his proof on the issue of exposure to Fiberco asbestos suggests that the motion for judgment as a matter of law was procedurally proper at the time it was made.

Conclusion: Thus, Claimant's indication that the testimony of BrakeCo's manager concluded his proof on the issue of exposure to Fiberco asbestos suggests that the motion for judgment as a matter of law was procedurally proper at the time it was made.

3. Point Three

Short answer: A motion for judgment as a matter of law is properly granted when it is clear that there is no legally sufficient basis for a verdict in favor of the nonmoving party.

Rule(s):

- A motion for judgment as a matter of law is properly granted when it is clear that there is no legally sufficient basis for a verdict in favor of the nonmoving party.
- Rule 50 specifies the standard for the grant of a motion for judgment as a matter of law, indicating that such motions may be granted whenever “there is no legally sufficient evidentiary basis for a reasonable jury to find for” the nonmoving party.
- In this case, the problem specifies that the relevant jurisdiction has rejected the so-called market share theory of liability and places the burden on the plaintiff to produce specific evidence establishing exposure to the defendant’s asbestos product.

Question call(s): 1. Did the district court have the power to require Claimant to present evidence on the exposure issue before proceeding with any other portion of Claimant’s case? Explain. | 2. Did the court err procedurally in granting the motion for judgment as a matter of law before the close of evidence? Explain. | 3. Did the court err substantively in granting the motion for judgment as a matter of law? Explain.

February 2001 — Question 5

Primary source subject: Federal Civil Procedure

Question summary: This question involves Victim, a resident of State A, suffered personal injuries in a fall that occurred when she was exiting a tour bus operated by Bus, Inc., a company incorporated under the laws of State B with its principal place of business in State B. At the time of the injury, Victim and other tour guests were... The core dispute asks Should the contempt order be set aside on the ground urged by Bus? Explain. 2. Should the judgment be reversed on the grounds urged by Bus? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Did the federal district court abuse its discretion when it ordered Bus to participate in settlement discussions and cited it for contempt for violating that order?
- (a) What standard governs a motion to amend pleadings and to amend a pretrial order to allow a litigant to introduce a new issue during trial?
- (b) Should a party be permitted to amend a pretrial order to introduce evidence that the party did not mention or disclose during discovery or the pretrial conference?

Relevant facts to use:

- Victim, a resident of State A, suffered personal injuries in a fall that occurred when she was exiting a tour bus operated by Bus, Inc., a company incorporated under the laws of State B with its principal place of business in State B.
- Victim filed a complaint against Bus in federal district court in State B.
- The federal district court in State B requires the initial disclosure provided for by Federal Rule of Civil Procedure 26(a)(1).
- After the pleadings closed and the deadline for initial disclosure of documents had passed, the parties engaged in formal discovery for several months.

Condensed sample-answer path:

1. Point One A federal district judge has explicit authority under Civ. P. 16 to order litigants to par

Short answer: Until the 1993 amendments of Rule 16 of the Federal Rules of Civil Procedure, the question of whether federal courts could order litigants to participate in settlement talks was in dispute.

Rule(s):

- 1989)(en banc 6-5 split decision)(holding that district judges have inherent authority to order represented parties to appear at pretrial settlement conferences); C.A.
- In the 1993 amendments to Rule 16, the drafters added the following language to Rule 16(c): If appropriate, the court may require that a party or its representative be present or reasonably available by telephone in order to consider possible settlement of the dispute.
- As explained in the Advisory Committee Notes, the change was intended, in part, to make it clear that courts may issue orders designed to facilitate settlement.

Fact-based analysis:

- Thus, although a case for reversal can be made, it does not seem likely to succeed on these facts.

Conclusion: Thus, although a case for reversal can be made, it does not seem likely to succeed on these facts.

2. Point Two (a) Under Rule 16, a final pretrial order may be modified only to prevent manifest injusti

Short answer: In the fact pattern, the defendant has sought to introduce the issue of a “waiver of liability” at trial, without having raised that issue in the pleadings or having included it in the pretrial order.

Rule(s):

- Under Rule 16(e) of the Federal Rules of Civil Procedure, “[t]he order following a final pretrial conference shall be modified only to prevent manifest injustice.” According to the Advisory Committee Notes, pretrial orders should not be changed lightly, but total inflexibility is undesirable.
- One should note, however, that “several courts have permitted pretrial orders to be amended by concluding that Rule 16 must be read in conjunction with Rule 15(b).” 6A C.

Fact-based analysis:

- Thus, an examination of Rule 15(b) alone suggests that the court abused its discretion in declining to permit Bus to amend its answer and to offer the ticket stub at trial.
- Thus, Rule 16 imposes a heavy burden on a party seeking to amend a pretrial order, but the trial court has such discretion when the danger of prejudice is slight and the failure to amend might result in an injustice.
- Thus, while it appears that the district court did not abuse its discretion in declining to amend the final pretrial order, one could make a reasonable argument that the more liberal Rule 15(b) standard should have been applied.

Conclusion: Thus, while it appears that the district court did not abuse its discretion in declining to amend the final pretrial order, one could make a reasonable argument that the more liberal Rule 15(b) standard should have been applied.

3. Point Two (b) If a party fails to produce a document that should have been disclosed under the manda

Short answer: Bus’s failure to disclose the ticket stub pursuant to its mandatory disclosure obligation provides an additional reason for the court to bar introduction of the evidence.

Rule(s):

- Under Rule 26(a), a party must provide a copy or description of “all documents . . . that are relevant to disputed facts alleged with particularity in the pleadings.” Rule 26(a)(1)(B), Civ.

Fact-based analysis:

- Here, the waiver of liability contained on the tour ticket is relevant because it would tend to defeat Victim’s claim for recovery.

Conclusion: Here, the waiver of liability contained on the tour ticket is relevant because it would tend to defeat Victim’s claim for recovery.

Question call(s): 1. Should the contempt order be set aside on the ground urged by Bus? Explain. | 2. Should the judgment be reversed on the grounds urged by Bus? Explain.

July 2001 — Question 7

Primary source subject: Federal Civil Procedure

Question summary: This question involves Plaintiff, a resident of State X, is a shareholder in Silver, Inc., a State X corporation. Plaintiff purchased 10,000 shares of Silver stock for $20 a share in Silver’s initial public offering (IPO). The core dispute asks Silver has moved to dismiss Plaintiff’s appeal on the following grounds: (a) that the district court’s denial of Plaintiff’s judgment was not a final judgment subject to review; (b) that the collateral order exception is inapplicable; and... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- May a litigant who was not a party to a prior judgment invoke that judgment against another litigant who was a party in order to preclude relitigation of the identical issue previously decided?
- (a) Is a federal district court’s order refusing to grant summary judgment on collateral estoppel grounds a final judgment?
- (b) Are there any exceptions to the final judgment rule that would permit review of an order refusing to grant summary judgment?

Relevant facts to use:

- Plaintiff, a resident of State X, is a shareholder in Silver, Inc., a State X corporation.
- Shortly after Plaintiff’s initial filing, the SEC filed a public enforcement lawsuit against Silver, SEC v.
- Plaintiff then moved for partial summary judgment against Silver based on the judgment in SEC v.
- The district court judge denied Plaintiff’s motion for partial summary judgment on the ground that Plaintiff, a non-party to the SEC v.

Condensed sample-answer path:

1. Point One Plaintiff, a non-party to the SEC v. Silver action, may rely on the decision in that actio

Short answer: This question involves the scope of the doctrine of collateral estoppel and the right of a non-party to an action to use collateral estoppel offensively against a losing party in the action.

Rule(s):

- If Silver is precluded by the SEC v.
- The traditional requirements for asserting collateral estoppel are: (1) a valid and final judgment was rendered in a prior action; (2) an issue of fact was actually litigated, determined, and essential to the judgment in the prior action; (3) the same issue arises in a subsequent action; and (4) the same parties are litigants in both actions.

Fact-based analysis:

- Silver judgment from relitigating the question of whether its registration statement was false or misleading, and if Plaintiff is entitled to assert that preclusive effect against Silver, then Plaintiff's motion for summary judgment on that issue should have been granted.
- Here, Silver vigorously contested the misrepresentation claims in the SEC lawsuit.
- Thus, the factual misrepresentation issues were actually litigated, determined (e.g., declaratory judgment), and essential to the judgment enjoining Silver.
- Silver, were identical to the misrepresentation claims in the subsequent action, Plaintiff v.

Conclusion: Accordingly, the trial judge erred in denying Plaintiff's motion for summary judgment.

2. Point Two(a) The appellate court should dismiss Plaintiff's interlocutory appeal because there is no

Short answer: The basic policy governing appeals from district court decisions is embodied in the final judgment rule, which prohibits appeals, with some exceptions, prior to entry of a final judgment by the trial court at the completion of the case in the trial court.

Rule(s):

- The final judgment policy is embodied in Title 28 . § 1291, which provides in relevant part that "the courts of appeals . . . shall have jurisdiction of appeals from all final decisions of the district courts of the United States." Plaintiff's appeal of the denial of the motion for summary judgment is clearly interlocutory and not final.

Fact-based analysis:

- Here, the denial of Plaintiff's motion does not end the litigation; to the contrary, the trial on the merits will be more complex because of the decision.
- There was, accordingly, no final decision, and Plaintiff's appeal was premature under § 1291 unless an exception applies.

Conclusion: There was, accordingly, no final decision, and Plaintiff's appeal was premature under § 1291 unless an exception applies.

3. Point Two (b) There are no exceptions to the final judgment rule that are likely to apply to these f

Short answer: The applicants are asked to discuss the following exceptions to the final judgment rule: (1) the collateral order doctrine, Cohen v.

Rule(s):

- Plaintiff will not be able to rely on mandamus review because this requires a showing that the trial court decision is beyond its jurisdiction or violated a mandatory duty owed by the trial court.
- Although the trial court should have granted the motion for partial summary judgment, the fact that the trial court made an error of law does not warrant mandamus where there is otherwise no abuse of judicial authority.

- A wider use of mandamus to review legal errors would effectively eviscerate the final judgment rule, and appellate courts have accordingly been wary of a broad application of mandamus review.

Fact-based analysis:

- Here, however, the order at issue (allowing relitigation of the issue of misrepresentation) is intimately connected with the merits of the lawsuit and is certainly subject to review on appeal of any final judgment.
- The error in this case would not cross that high threshold, at least absent some evidence of extraordinary hardship to Plaintiff as a result of the error.

Conclusion: Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.

Question call(s): 1. Did the district court properly refuse to give preclusive effect to the SEC v. Silver judgment when it denied Plaintiff's motion for partial summary judgment? Explain. | 2. How should the appellate court rule on each of the grounds asserted in Silver's motion to dismiss the appeal? Explain.

February 2002 — Question 1

Primary source subject: Federal Civil Procedure

Question summary: This question involves February 2002 Question 1 Teacher lived in State A, where he taught in the public schools for eight years. Toward the end of his eighth year, Teacher was offered a lucrative teaching position in State B. The core dispute asks Nine months after the accident, Passenger filed suit against Teacher in the United States District Court for the District of State A, alleging that Teacher's negligence caused Passenger serious personal injury. Passenger's complaint sought... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Were the requirements of the diversity jurisdiction statute met here, even though at the time of the accident Passenger, the plaintiff, and Teacher, the defendant were citizens of the same state?
- Were the requirements of the venue statute met here, given that Passenger filed in her home state, which was where the accident occurred?
- Is supplemental jurisdiction available over Passenger's claim against Rentco, the third-party defendant, given that they are citizens of the same state?

Relevant facts to use:

- February 2002
- Question 1
- Teacher lived in State A, where he taught in the public schools for eight years.
- The day he sold his house, Teacher packed his belongings, rented a truck from Rentco, a State C corporation with its principal place of business in State A, and began the long drive to State B.

Condensed sample-answer path:

1. Point One: Because Passenger and Teacher were citizens of different states when the complaint was fi

Short answer: The court should deny Teacher's motion to dismiss for lack of subject matter jurisdiction.

Rule(s):

- The court should deny Teacher's motion to dismiss for lack of subject matter jurisdiction.
- The requirements for federal diversity jurisdiction have been established in this case.
- Passenger's complaint states only a state-law negligence claim, so federal question jurisdiction under 28 . § 1331 is unavailable.

Fact-based analysis:

- The problem states that Passenger is a citizen of State A.
- At the time of the accident, Teacher had sold his home in State A, quit his job in State A, and accepted a new job in State B.
- Teacher was, however, still a domiciliary of, and hence a citizen of, State A because he had not yet reached State B after having formed the requisite intent to change his domicile.
- Had the suit been filed the day of the accident, diversity jurisdiction would have been unavailable because both the physical and mental elements must be present for a change of domicile.

Conclusion: The motion to dismiss for lack of jurisdiction should be denied: there is diversity of citizenship, and the amount in controversy requirement is satisfied.

2. Point Two: Because venue is proper in a diversity case in the judicial district in which a "substant

Short answer: The court should deny Teacher's motion to dismiss for improper venue.

Rule(s):

- Under 28 . § 1391(a), which applies to civil actions in which jurisdiction is founded solely on diversity of citizenship (as is the case here), venue is proper in "(1) a judicial district where any defendant resides . . ., [or] (2) a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred . . ." 28 . § 1391(a).

Fact-based analysis:

- Here, Teacher resides in State B.
- However, the accident itself occurred in State A.
- Thus, a substantial part of the events giving rise to the claim occurred in State A, and venue in State A is proper under § 1391(a)(2).
- NOTE: Some examinees might suggest that venue is proper in the federal district court of State A because the plaintiff, Passenger, resides there.

Conclusion: Thus, under current law, the plaintiff's residence in State A is irrelevant to venue.

3. Point Three: Although Passenger's claim against Teacher and her claim against third-party defendant

Short answer: Rule 14(a) of the Federal Rules of Civil Procedure permits a defendant to bring a third party into an action if the defendant believes the third party "may be liable" to defendant for all or part of any judgment against defendant in the action.

Rule(s):

- Rule 14(a) of the Federal Rules of Civil Procedure permits a defendant to bring a third party into an action if the defendant believes the third party "may be liable" to defendant for all or part of any judgment against defendant in the action.

- The issue is whether the court has jurisdiction over Passenger's direct claim against Rentco.
- For reasons explained below, the court cannot take jurisdiction over Passenger's claim.

Fact-based analysis:

- Plaintiff Passenger and third-party defendant Rentco are both citizens of State A, so diversity jurisdiction is not available for Passenger's claim against Rentco.
- Under § 1332(c)(1), a corporation is deemed a citizen of both its state of incorporation and the state in which it maintains its principal place of business.
- Hence, Rentco is a citizen of both State A and State C.
- Because Passenger is a citizen of State A as well, there is no independent basis for diversity jurisdiction over Passenger's direct claim against third-party defendant Rentco.

Conclusion: Because there is no independent basis for jurisdiction over this claim and because supplemental jurisdiction is unavailable, the district court should dismiss Passenger's claim against Rentco

Question call(s): 1. How should the federal district court rule on Teacher's motion to dismiss for lack of subject matter jurisdiction? Explain. | 2. How should the federal district court rule on Teacher's motion to dismiss for improper venue? Explain. | 3. If the district court were to deny Teacher's motion to dismiss on both grounds, would it have subject matter jurisdiction over Passenger's direct claim against Rentco? Explain.

July 2002 — Question 3

Primary source subject: Federal Civil Procedure

Question summary: This question involves Question 3 Seller manufactures vending machines at a facility located in State A, where Seller is incorporated and has its principal place of business. Buyer, a German company with its principal place of business in Munich, Germany, contracted to purchase 1,000 vending machines from Seller for a... The core dispute asks Should the federal district court in State A transfer the action to State N? Explain. 2. Irrespective of how the court rules on the transfer motion, should Buyer's request for a protective order be granted? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- (a) What effect should the federal district court give to the forumselection clause?
- (b) Is the court likely to transfer the case to State N in these circumstances?
- Can a foreign-based party to that they are "beyond the subpoena power" of the court?

Relevant facts to use:

- Question 3
- Seller manufactures vending machines at a facility located in State A, where Seller is incorporated and has its principal place of business.
- The contract was carefully negotiated during lengthy discussions held in Germany.
- Seller shipped the vending machines to Germany, but Buyer refused the shipment after discovering that the goods had been seriously damaged during the ocean voyage and arrived in Germany in a worthless condition.

Condensed sample-answer path:

1. Point One(a): Because Buyer is seeking to transfer the case from one federal court to another federa

Short answer: Motions to transfer cases from one federal court to another are governed by 28 . § 1404(a), which provides: For the convenience of parties and witnesses, in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought.

Rule(s):

- Motions to transfer cases from one federal court to another are governed by 28 . § 1404(a), which provides: For the convenience of parties and witnesses, in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought.
- Under this statute, motions to transfer are determined by weighing a number of factors, including the "convenience of witnesses and parties," and "public-interest factors of systemic integrity and fairness." Stewart Org., Inc. v.
- When a venue-transfer motion is predicated on the existence of a forum-selection clause in a contract, the forum-selection clause "will be a significant factor that figures centrally in the district court's calculus." Id. at 29.

Fact-based analysis:

- Thus, the court must evaluate the fairness of the proposed transfer in light of the forum-selection clause.
- Although the forum-selection clause must be treated as a "significant factor" when the district court evaluates Buyer's transfer motion, the Supreme Court has said that the existence of a forumselection clause is not "dispositive." Id.

Conclusion: Absent such special factors, however, many courts hold that transfer motions under § 1404(a) should always be granted when doing so will give effect to a freely negotiated and fair forum-selection clause.

2. Point One(b): The federal district court in State A should grant the motion to transfer because the

Short answer: Applying the factors set out in Point One(a) should lead to transfer of this action.

Rule(s):

- Although State N does not appear to be an especially convenient forum, the parties' decision to select that forum in their contract indicates that each party believed State N to be a reasonably convenient alternative to less desirable options, including the option of litigating in either party's home jurisdiction.
- A transfer under § 1404(a) must be to a "district or division" where the case "might have been brought" initially.
- Here, it might be argued that the case could not have been brought in State N because there are no connections with State N sufficient to give State N courts jurisdiction over the defendant.

Fact-based analysis:

- The forumselection clause in this case was a bargained clause in a contract between parties of apparently equal bargaining power.
- State N appears to be a neutral forum, and State N courts are well known for their expertise in commercial matters.
- Absent some evidence to suggest that a transfer to State N would result in special hardship or a denial of justice to either party, the court is likely to take the view that the parties' decision to select the State N forum was ample evidence of the general superiority of that forum to State A.
- Zapata Off-Shore Co., 407 an international contract "should control absent a strong showing that it should be set aside." According to the Court, the need for a neutral forum, the desirability of avoiding uncertainty about where litigation might occur, and the need for a forum with expertise in the subject matter all justify giving

deference to the parties' choice of forum when that choice is made in "a freely negotiated private international agreement, unaffected by fraud, undue influence, or overweening bargaining power." Bremen, 407 .

Conclusion: In addition, because the defendant corporation is an alien corporation, venue in a suit brought against it would be proper in any district in the .

3. Point Two: Under Federal Rule of Civil Procedure 30, Seller has the right to compel the deposition o

Short answer: A party to an action may secure the deposition of another party simply by providing notice to the other party.

Rule(s):

- A party to an action may secure the deposition of another party simply by providing notice to the other party.
- As a corporate party, Buyer cannot speak for itself but requires a natural person to speak for it.
- If the person fails to appear, sanctions are authorized by Rule 37(d)(1).

Fact-based analysis:

- No subpoena of a party deponent is necessary, and a party is subject to sanctions for failing to provide a deponent, even if the party would be beyond the reach of the court's subpoena power if the party were a non-party witness.
- Seller could have noticed Buyer's deposition and required Buyer to nominate a representative to be deposed.
- Alternatively, Seller can do what it did here—it can identify an officer or director of Buyer to be deposed as Buyer's representative.
- Hence, Buyer's argument that its officers are "beyond the court's subpoena power" does not present a valid reason to prevent the deposition of an officer.

Conclusion: 12(h)(1).) Second, if the case is transferred, the federal court in State N would have personal jurisdiction over defendant Buyer because of its contractual consent to the jurisdiction of that court.

Question call(s): 1. Should the federal district court in State A transfer the action to State N? Explain. | 2. Irrespective of how the court rules on the transfer motion, should Buyer's request for a protective order be granted? Explain.

February 2003 — Question 5

Primary source subject: Federal Civil Procedure

Question summary: This question involves Question 5 Acme Corporation, a citizen of State X, manufactures widgets. Acme widgets are distributed to retailers throughout the United States by Widgets, Inc., a citizen of State Y. The core dispute asks Should the State Y state court give preclusive effect to the federal court judgment and dismiss Plaintiff's claims against Widgets? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Under Civ. P. 56, should summary judgment be granted to a defendant who supports his motion with evidence negating the plaintiff's claim when the plaintiff's response fails to directly controvert that evidence?

- (a) Does claim preclusion arising from a prior federal suit against a product's manufacturer bar a subsequent suit against the product's distributor?
- (b) In this case, may the distributor successfully invoke issue preclusion against the plaintiff?

Relevant facts to use:

- Question 5
- Acme Corporation, a citizen of State X, manufactures widgets.
- Plaintiff sued Acme in the federal district court located in State Y, properly invoking the court's diversity jurisdiction.
- Under the applicable state law, a manufacturer's duty to warn is fully discharged if a proper warning is affixed to the product at the point of delivery to its distributor.

Condensed sample-answer path:

1. Point One: Because Plaintiff's response to Acme's motion for summary judgment failed to demonstrate

Short answer: A motion for summary judgment should be granted in favor of a party if "there is no genuine issue as to any material fact" and the party is "entitled to a judgment as a matter of law." Civ.

Rule(s):

- A motion for summary judgment should be granted in favor of a party if "there is no genuine issue as to any material fact" and the party is "entitled to a judgment as a matter of law." Civ.
- A defendant on a claim may move for summary judgment by attacking any necessary element of the plaintiff's case.
- However, where the moving party presents evidence of facts that would defeat the non-moving party's claim, the non-moving party "may not rest upon the mere allegations" of her pleading.

Fact-based analysis:

- The law of State Y (which the federal court is obliged to apply under the Erie doctrine in this diversity case) states that a manufacturer fully discharges its duty to warn if adequate warning labels are affixed to the product at the time of delivery to its distributor.
- Thus, to win on her failure to warn claim, Plaintiff must prove that no proper warning label was affixed to the widget at the time of delivery to the distributor.
- Defendant Acme's summary judgment motion alleged that adequate warning labels were, in fact, affixed to the product at the relevant time, and that allegation was supported by affidavits attesting to the presence of the warning label at the time of delivery to the distributor.
- This properly supported motion therefore negates a key element of Plaintiff's claim, thereby discharging Acme's duty to support its summary judgment motion under Civ.

Conclusion: Thus, Acme has demonstrated that no genuine issue of material fact exists on a key element of Plaintiff's claim, and that it is, therefore, entitled to judgment as a matter of law.

2. Point Two (a): Because Widgets was not a party to the prior action, it probably cannot bar Plaintiff

Short answer: Note: Even though the current suit is in state court, the effect of the Acme judgment is governed by federal law because the judgment came from a federal court.

Rule(s):

- A state court is required to give to a federal judgment the same preclusive effect that the judgment would have in federal court.
- In order to bar a plaintiff's subsequent lawsuit on claim preclusion grounds, a defendant must show (1) that the prior judgment is final, valid, and on the merits (which is true here), (2) that the present claims are within the scope of the prior judgment, as measured by the same transaction test (also true here), and (3) that there is mutuality of estoppel (i.e., that the defendant urging preclusion is the same as, or in privity with, the defendant in the prior suit).
- Under the circumstances, the usual rule that a judgment operates only against parties to the first suit seems fully applicable.

Fact-based analysis:

- Here, there are no facts to suggest that Widgets had such a close relationship with Acme that Widgets would have been bound by the prior judgment had that decision gone against Acme.
- Wright, Miller and Cooper report that increasing numbers of federal courts now allow claim preclusion against a party to a prior action by litigants who would not themselves have been bound by the results of the prior case if there are "good reasons why [the new defendant] should have been joined in the first action and the old party cannot show any good reasons to justify a second chance." Wright, supra, § 4464 (2000 Supp.) In the present case, however, there is no evidence of a good reason why Plaintiff ought to be required to sue both Acme and Widgets at the same time.

Conclusion: Wright, Miller and Cooper report that increasing numbers of federal courts now allow claim preclusion against a party to a prior action by litigants who would not themselves have been bound by the results of the prior case if there are "good reasons why [the new defendant] should have been joined in the first action and the old party cannot show any good reasons to justify a second chance." Wright, supra, § 4464 (2000 Supp.) In the present case, however, there is no evidence of a good reason why Plaintiff ought to be required to sue both Acme and Widgets at the same time.

3. Point Two(b): Widgets will not be able to assert issue preclusion against Plaintiff because the issu

Short answer: Widgets' attempt to invoke issue preclusion will also fail.

Rule(s):

- Because issue preclusion essentially exports the factual findings of one case into another, any issue to be precluded must be precisely the same one that was actually litigated, decided, and necessary to the judgment in the prior suit.

Fact-based analysis:

- The problem for Widgets is that none of the issues involved in Plaintiff's suit against it were actually decided in Plaintiff's suit against Acme.
- The settlement also precluded any actual litigation as to the amount of Plaintiff's damages.
- Here, that is not the case.

Question call(s): 1. In Plaintiff's suit against Acme, did the federal court properly grant Acme's motion for summary judgment on the failure to warn claim? Explain. 2. Should the State Y state court give preclusive effect to the federal court judgment and dismiss Plaintiff's claims against Widgets? Explain.

July 2003 — Question 4

Primary source subject: Federal Civil Procedure

Question summary: This question involves Question 4 Farmer brought a class action lawsuit in federal district court in State A, alleging that the defendant, Truckco, marketed a line of pickup trucks with defective shock absorbers. Farmer's complaint identified the members of the class as 100,000 individuals nationwide who had bought the... The core dispute asks Farmer moved to certify the class. Opposing this motion, Truckco submitted court papers from lawsuits brought by individual owners who claimed to have suffered a wide variety of personal injuries as a result of accidents said to have... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Does the pendency of a parallel state court proceeding in State Z require the federal district court to abstain from adjudicating the class action?
- Is class certification appropriate in this case under the guidelines set forth in Civ. P. 23?

Relevant facts to use:

- Question 4
- Farmer brought a class action lawsuit in federal district court in State A, alleging that the defendant, Truckco, marketed a line of pickup trucks with defective shock absorbers.
- Farmer moved to certify the class.
- In addition to arguing against certification of the class, Truckco asked the federal district court to abstain from adjudicating the class action in light of the pendency of the state court class action.

Condensed sample-answer path:

1. Point One: Although duplicative federal and state court litigation is wasteful, no federal rule requ

Short answer: In general, parties may proceed to judgment in a federal district court action without regard to the pendency of state proceedings that seek similar relief.

Rule(s):

- In general, parties may proceed to judgment in a federal district court action without regard to the pendency of state proceedings that seek similar relief.
- Indeed, a federal district court has a "duty . . . to adjudicate a controversy properly before it," and it may abstain "only in the exceptional circumstances where the order to the parties to repair to the State court would clearly serve an important countervailing interest." Colorado River Water Conservation District v.
- Pullman Co., 312 law issues may obviate the necessity of resolving a difficult federal law issue.

Conclusion: It thus appears that the court's ruling was correct, as the class action here falls under the general rule of no abstention, rather than the narrow exception in Colorado River.

2. Point Two: The district court was justified in ruling that class certification was unwarranted becau

Short answer: Federal Rule of Civil Procedure Rule 23(a) identifies the prerequisites that must be satisfied before any class may be certified.

Rule(s):

- Federal Rule of Civil Procedure Rule 23(a) identifies the prerequisites that must be satisfied before any class may be certified.
- Rule 23(a) requires evidence that: (1) the class is so numerous that joinder of all members is impracticable, (2) there are questions of law or fact common to the class, (3) the claims or defenses of the representative parties are typical of the claims or defenses of the class, and (4) the representative parties will fairly and adequately protect the interests of the class.
- If the Rule 23(a) prerequisites are satisfied, a class action may be certified if it falls within one of the categories specified in Rule 23(b).

Fact-based analysis:

- Here, Farmer's individual claim seeks to recover for out-of-pocket losses resulting from replacement of the shocks.
- Because of differences of this sort, federal courts have been reluctant to grant class certification where the claims of injured persons will be represented by class representatives who have no personal injury or where personal injury claims are lumped with claims that do not involve personal injury.
- The difference between the nature of the contract and warranty claims of Farmer and those of the personal injury victims presents a potential conflict of interest that raises doubts about Farmer's adequacy as a representative of the interests of the personal injury claimants.
- Accordingly, although the class is large and there are some common issues of law and fact, given the wide discretion residing with the court, it appropriately refused to certify the class.

Conclusion: Accordingly, although the class is large and there are some common issues of law and fact, given the wide discretion residing with the court, it appropriately refused to certify the class.

Question call(s): 1. Was the court's ruling on Truckco's motion for abstention correct? Explain. | 2. Was the court's ruling on Farmer's motion for class certification appropriate? Explain.

February 2004 — Question 4

Primary source subject: Federal Civil Procedure

Question summary: This question involves Question 4 Motorist was driving his automobile in the northbound lane on a highway in State X. Exceeding the posted maximum speed limit by 10 miles per hour, Motorist was gaining on a slow-moving U.S. The core dispute asks Can Husband and Wife, as plaintiffs, join their respective personal injury and loss of consortium claims in a single action in the U.S. district court? Explain. 2. Can Husband and Wife join their respective claims against the United States... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Can Husband and Wife join their respective personal injury and loss-of-consortium claims in a single action in the
- Can Husband and Wife join their respective claims against the United States and Motorist in a single action in the
- Does the

Relevant facts to use:

- Question 4
- Motorist was driving his automobile in the northbound lane on a highway in State X.
- The soldier driving the last truck in the convoy was feeling drowsy because he had not slept the night before.
- At the time of the accident, Husband and Wife were citizens of State Y, but a few months later they moved permanently to State X.

Condensed sample-answer path:

1. Point One: Federal Rule 20(a) permits Husband and Wife to join their respective personal injury and

Short answer: Federal Rule of Civil Procedure 20(a) permits plaintiffs to join their claims in a single action when those claims arise out of a single event and share at least one common issue of law or fact.

Rule(s):

- Federal Rule of Civil Procedure 20(a) permits plaintiffs to join their claims in a single action when those claims arise out of a single event and share at least one common issue of law or fact.
- The rule provides, in relevant part: All persons may join in one action as plaintiffs if they assert any right to relief jointly, severally, or in the alternative in respect of or arising out of the same transaction, occurrence, or series of transactions or occurrences and if any question of law or fact common to all these persons will arise in the action.
- When this is so, the Federal Rules permit (but do not require) a party to join two or more defendants in a single action.

Fact-based analysis:

- Accordingly, the joinder of Husband and Wife as party plaintiffs is proper, provided the f.

Conclusion: Accordingly, the joinder of Husband and Wife as party plaintiffs is proper, provided the f.

2. Point Two: Federal Rule 20(a) permits Husband and Wife to join their respective claims against the U

Short answer: Just as Rule 20(a) permits plaintiffs to join in an action, it permits a plaintiff or plaintiffs to join defendants where the plaintiff(s)' claims against each defendant arise from a single transaction and share a common issue of fact or law.

Rule(s):

- The rule provides, in relevant part: All persons . . . may be joined in one action as defendants if there is asserted against them jointly, severally, or in the alternative, any right to relief . . . arising out of the same . . . occurrence . . . and if any question of law or fact common to all defendants will arise in the action.
- When this is so, the Federal Rules permit (but do not require) a party to join two or more defendants in a single action.
- NOTE: As is the case with joinder of plaintiffs, this rule does not confer subject matter jurisdiction on the federal court to hear a claim against a joined defendant.

Fact-based analysis:

- Thus, joinder may be defeated where the court lacks subject matter jurisdiction over the joined claim.

Conclusion: Thus, joinder may be defeated where the court lacks subject matter jurisdiction over the joined claim.

3. Point Three: Even though the federal court lacks diversity jurisdiction over Husband's and Wife's cl

Short answer: Federal courts are tribunals with limited subject matter jurisdiction in civil cases.

Rule(s):

- Federal courts are tribunals with limited subject matter jurisdiction in civil cases.
- Basically, they may decide only “federal question” and “diversity” cases.
- Nor do their claims against Motorist qualify for diversity jurisdiction.

Fact-based analysis:

- Although Husband and Wife were citizens of a different state than Motorist on the day of the accident, they were all citizens of State X on the date that suit was filed.
- “Such supplemental jurisdiction,” the statute reads, “shall include claims that involve the joinder or intervention of additional parties.” Accordingly, since the State X tort claims of Husband and Wife against Motorist arise out of the same occurrence as their federal question claims against the United States, the federal court in State X has supplemental jurisdiction over these State X claims.
- Thus, even though the state law claims, standing alone, would be outside the court’s subject matter jurisdiction, they may be joined to the case against the United States, over which the court has exclusive jurisdiction pursuant to the Federal Tort Claims Act, 28 . ' 1346(b).

Conclusion: Thus, even though the state law claims, standing alone, would be outside the court’s subject matter jurisdiction, they may be joined to the case against the United States, over which the court has exclusive jurisdiction pursuant to the Federal Tort Claims Act, 28 . ' 1346(b).

Question call(s): 1. Can Husband and Wife, as plaintiffs, join their respective personal injury and loss of consortium claims in a single action in the U.S. district court? Explain. | 2. Can Husband and Wife join their respective claims against the United States and Motorist, as defendants, in a single action in the U.S. district court? Explain. | 3. Does the U.S. district court have subject matter jurisdiction over the state law claims of Husband and Wife against Motorist? Explain.

July 2004 — Question 6

Primary source subject: Federal Civil Procedure/Conflict of Laws

Question summary: This question involves Question 6 Plaintiff, a domiciliary of State X, was severely injured in a car accident in State X. Tortfeasor, the uninsured owner and driver of the other vehicle involved in the accident, was also a citizen of State X. The core dispute asks Should the state court in State X enforce the federal judgment? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- (a) Were the requirements for federal diversity jurisdiction satisfied, even though Plaintiff and decedent Tortfeasor were citizens of the same state?
- (b) Was Executor precluded from raising the issue of subject matter jurisdiction because it failed to raise the issue earlier in the case and, in fact, conceded jurisdiction?
- When suit is filed to enforce a federal judgment in a state court, may the defendant collaterally attack the federal judgment for lack of subject matter jurisdiction?

Relevant facts to use:

- Question 6
- Plaintiff, a domiciliary of State X, was severely injured in a car accident in State X.
- Following Tortfeasor's death, Plaintiff commenced an action against Executor, the legal representative of Tortfeasor's estate.
- Executor answered the complaint, denying the allegations of negligence but admitting the court's subject matter jurisdiction.

Condensed sample-answer path:

1. Point One(a): Even though Plaintiff and Executor were from different states, diversity jurisdiction

Short answer: Plaintiff's complaint included only a state-law negligence claim.

Rule(s):

- Plaintiff's complaint included only a state-law negligence claim.
- The court, therefore, had subject matter jurisdiction only if diversity jurisdiction existed under 28 . § 1332.
- To satisfy the diversity statute, the amount in controversy in the action must exceed $75,000 and the parties must be diverse.

Fact-based analysis:

- Plaintiff's complaint alleged damages in excess of $500,000.
- The facts state that Plaintiff was severely injured and there is nothing to suggest that Plaintiff's damages claim was made in bad faith.
- Consequently, Plaintiff will be deemed to have satisfied the amount-in-controversy requirement of $75,000.
- Plaintiff and decedent, Tortfeasor, were both citizens of State X.

Conclusion: The motion was proper when made, and it should have been granted because the parties were not diverse. (See Point One(b) below.)

2. Point One(b): Executor's motion to dismiss for lack of subject matter jurisdiction must be considere

Short answer: Although the motion to dismiss for lack of subject matter jurisdiction was filed a year after Executor's answer to the complaint admitted the existence of jurisdiction, the court was nevertheless obliged to consider the motion on its merits.

Rule(s):

- Although the motion to dismiss for lack of subject matter jurisdiction was filed a year after Executor's answer to the complaint admitted the existence of jurisdiction, the court was nevertheless obliged to consider the motion on its merits.
- The defense of lack of subject matter jurisdiction is not waivable and may be raised "whenever it appears by suggestion of the parties . . . that the court lacks jurisdiction of the subject matter." Civ.

Fact-based analysis:

- Accordingly, the court was obliged to consider the merits of Executor's jurisdictional challenge.

Conclusion: Accordingly, the court was obliged to consider the merits of Executor's jurisdictional challenge.

3. Point Two: The state court is required to give the federal court judgment the same credit it would r

Short answer: State courts are required to give full faith and credit to the judgments of other states. . art.

Rule(s):

- Although neither Article IV nor the full faith and credit statute explicitly requires state courts to honor federal judgments, “it is well recognized that the same compulsion controls and thus state courts must treat federal judgments as those judgments would be treated by the federal courts themselves.” Jack Friedenthal et al., CIVIL PROCEDURE § 14.15 at 711 (3d ed.
- Duke, 375 at a judgment is entitled to full faith and credit even as to questions of jurisdiction when the second court’s inquiry discloses that those questions have been fully and fairly litigated and finally decided in the court which rendered the original judgment.” See also Treinies v.
- Here, Executor raised the lack of subject matter jurisdiction in the federal court action.

Fact-based analysis:

- State courts are required to give full faith and credit to the judgments of other states. . art.
- Thus, the state court should enforce the federal judgment notwithstanding the challenge to the federal court’s subject matter jurisdiction.
- Thus, the preclusion rules of State Y would determine whether the State X court should enforce the federal judgment.
- It is likely, however, that State Y would follow a rule of jurisdictional finality similar to the rule in Durfee v.

Conclusion: It is likely, however, that State Y would follow a rule of jurisdictional finality similar to the rule in Durfee v.

Question call(s): 1. Did the federal district court of State Y err in denying Executor’s motion to dismiss for lack of subject matter jurisdiction? Explain. | 2. Should the state court in State X enforce the federal judgment? Explain.

February 2005 — Question 3

Primary source subject: Federal Civil Procedure

Question summary: This question involves Question 3 Buyer and Seller were both citizens of State X, where they attended State University. Just before they graduated, Buyer purchased Seller’s car for $2,500. The core dispute asks Should the court dismiss Buyer’s tort claim, Buyer’s contract claim, or both for lack of subject matter jurisdiction? Explain. 2. How should the court rule on Seller’s motion for a change of venue? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- (a) Were the requirements for federal diversity jurisdiction satisfied as to the tort claim, given that Buyer and Seller were citizens of different states when the suit was filed but subsequently became citizens of the same state?
- (b) Does the federal district court have jurisdiction over Buyer’s contract claim, even though it does not independently satisfy the jurisdictional amount-in-controversy requirement?
- May the court transfer a case to another district when venue did not lie in the other district at the time the suit was filed?

Relevant facts to use:

- Question 3

- Buyer and Seller were both citizens of State X, where they attended State University.
- After graduation, Buyer decided to move permanently to Big City in State Y.
- After weeks of hospitalization in State X, Buyer settled permanently in his apartment in Big City in State Y.

Condensed sample-answer path:

1. Point One(a): Buyer properly invoked federal diversity jurisdiction as to the tort claim because Buy

Short answer: The court should deny Seller's motion to dismiss for lack of subject matter jurisdiction over the tort claim.

Rule(s):

- The court should deny Seller's motion to dismiss for lack of subject matter jurisdiction over the tort claim.
- The requirements for federal diversity jurisdiction have been established in this case.
- Therefore, to proceed in federal court, he must satisfy 28 . § 1332(a), which establishes the requirements for federal subject matter jurisdiction based on diversity of citizenship.

Fact-based analysis:

- Buyer's claims are based on state law.
- Here the amount-in-controversy requirement has been met with regard to the claim for personal injury and lost wages ($500,000), and the only question is whether the diversity requirement is met.
- The important question is whether Buyer was a citizen of State Y at the time the suit was filed.
- Having completed his move to State Y at that time, and having the intent to remain in State Y, Buyer was then a State Y citizen.

Conclusion: Buyer was therefore diverse from Seller, who was still a citizen of State X when the suit was filed.

2. Point One(b): Although the $2,500 contract claim alone would not satisfy the amount-in- controversy

Short answer: Buyer's effort to join the small contract claim to his large tort claim can be analyzed in two ways.

Rule(s):

- First, under traditional aggregation rules, a single plaintiff with "two entirely unrelated claims against a single diverse defendant" may bring them in federal court as long as the aggregate of the claims exceeds the $75,000 amount-in-controversy requirement.
- The rationale is that "the diversity statute confers federal jurisdiction over >civil actions' satisfying the required minimum amount in controversy . . . not over counts, thus permitting the plaintiff to aggregate the stakes in his separate claims or counts to come up to the minimum." Herremans v.
- Thus, because the aggregate of Buyer's tort and contract claims exceeds $75,000, the court has jurisdiction to hear them all, including the contract claim for $2,500.

Fact-based analysis:

- Buyer's effort to join the small contract claim to his large tort claim can be analyzed in two ways.
- In this problem, the tort and contract claims, which both derive from the sale of a car with defective brakes, are "so related" as to arise from the "same case or controversy," and the district court may, accordingly, take supplemental jurisdiction over the contract claim.

Conclusion: In this problem, the tort and contract claims, which both derive from the sale of a car with defective brakes, are “so related” as to arise from the “same case or controversy,” and the district court may, accordingly, take supplemental jurisdiction over the contract claim.

3. Point Two: The State X federal district court cannot transfer the action to the federal court in Sta

Short answer: Seller’s motion for a change of venue should be denied.

Rule(s):

- In a diversity case, venue properly lies, and a civil action may only be brought, in a judicial district “where any defendant resides . . .” or “in which a substantial part of the events or omissions giving rise to the claim occurred . . .” 28 . § 1391(a).
- Accordingly, because the case could not have been brought in State Y, the requirements of § 1404 are not met, and the motion for a change of venue must be denied.

Fact-based analysis:

- Seller’s motion for a change of venue should be denied.
- At the time the case was commenced, Seller, the defendant, resided in State X.
- Moreover, all relevant events occurred in State X.
- Hence, at the time the suit was filed, venue was proper only in the State X federal district court.

Conclusion: The key point, which controls the result, is that the action could not have been brought originally in State Y and therefore could not be transferred there.

Question call(s): 1. Should the court dismiss Buyer’s tort claim, Buyer’s contract claim, or both for lack of subject matter jurisdiction? Explain. | 2. How should the court rule on Seller’s motion for a change of venue? Explain.

July 2005 — Question 6

Primary source subject: Federal Civil Procedure

Question summary: This question involves Question 6 Drugco, a State B corporation with its principal place of business in State B, employs sales representatives and assigns them to work in exclusive geographical areas. The Drugco sales representatives provide pharmacists in their areas with product literature, pricing information, and... The core dispute asks What provisional remedies might Drugco seek to enforce the non-compete and trade-secrets clauses immediately and during the pendency of the lawsuit, and what is the likelihood that the court will grant each such remedy? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Does the federal district court have authority immediately and during the pendency of the lawsuit to enjoin Claire from violating the noncompete provision in the contract and/or from retaining the chem sheets and pricing information?
- Is the federal district court likely to enjoin Claire from violating the non-compete clause throughout the pendency of the lawsuit?
- Is the federal district court likely to compel Claire to return to Drugco the chem sheets and pricing information throughout the pendency of the lawsuit?

Relevant facts to use:

- Question 6
- Drugco, a State B corporation with its principal place of business in State B, employs sales representatives and assigns them to work in exclusive geographical areas.
- Drugco hired Claire, a resident of State A, under an employment agreement that contained a “noncompete” clause barring her, for one year following the termination of her employment with Drugco, from soliciting any pharmacists in her territory (defined as Elm, Maple, and Cherry counties of State A) or from engaging in any other activity competitive with Drugco’s business within her territory.
- The laws of State A and State B provide that: (1) chemical formulas and drug pricing information are trade secrets and (2) non-compete clauses in employment agreements are valid so long as they are reasonable in duration and geographical scope.

Condensed sample-answer path:

1. Point One: The district court in State A has authority under Rule 65 of the Federal Rules of Civil P

Short answer: A preliminary injunction is an equitable remedy that enjoins a person from engaging in specified behavior, or requires a party to engage in specified behavior, during the pendency of the action.

Rule(s):

- A preliminary injunction is an equitable remedy that enjoins a person from engaging in specified behavior, or requires a party to engage in specified behavior, during the pendency of the action.
- A temporary restraining order (TRO) is an equitable remedy that may be issued ex parte (without notice) to prevent irreparable harm until the court has an opportunity to rule on a motion for a preliminary injunction.
- Rule 65 of the Federal Rules of Civil Procedure governs the issuance of both TROs and preliminary injunctions by federal district courts.

2. Point Two: The district court may grant a preliminary injunction to enjoin Claire from violating the

Short answer: The substantive prerequisites for a preliminary injunction derive from traditional principles of equity jurisdiction.

Rule(s):

- The substantive prerequisites for a preliminary injunction derive from traditional principles of equity jurisdiction.
- Courts generally consider four factors in deciding whether or not to grant a preliminary injunction: (1) the risk of irreparable harm to the plaintiff if the preliminary injunction is not granted; (2) the likelihood that the plaintiff will succeed on the merits; (3) the likelihood that the harm the plaintiff will suffer in the absence of preliminary injunctive relief outweighs the harm the defendant will suffer if the injunction is granted; and (4) the public interest.
- All courts agree that plaintiff must present a prima facie case but need not show that he is certain to win.” 11A Wright et al., supra § 2948.3 (footnotes omitted).

Fact-based analysis:

- In this case, both States A and B enforce non-compete clauses as long as they are reasonable in geographical scope and duration.

- Since Claire's contract with Drugco barred her from competing only within a three-county area of State A and only for one year, and since there is strong evidence that she is breaching the contract, a court is likely to conclude that Drugco will prevail on the merits.
- Thus, the stronger the showing on the merits, the less weight is given to the harm the defendant will suffer if the injunction is issued erroneously.
- Here, the harm to the plaintiffCthe loss of customersChas already been discussed.

Conclusion: It is far less important that applicants reach this conclusion, however, than that they discuss intelligently Rule 65 and the factors that would guide the court's analysis.

3. Point Three: The district court in State A is likely to issue a preliminary injunction to compel Cla

Short answer: Just as Rule 65 allows a federal district court to issue an injunction restraining Claire's action, it also permits the court to issue an injunction compelling Claire to engage in particular acts (a "mandatory injunction") if the four-part test for a preliminary injunction is satisfied.

Rule(s):

- NOTE: In addition to its authority to grant a preliminary injunction, the court also has authority to grant any preliminary remedy for the seizure of property that would be available under state law.

Fact-based analysis:

- Because neither Medico nor Claire is entitled to retain this information, the balance of hardships tips decidedly in favor of Drugco, and the public interest (as embodied in the law of States A and B) favors the preservation of trade secrets.
- Thus, it is likely that a court would issue a preliminary injunction to require Claire to return the chem sheets and pricing information during the pendency of the lawsuit.

Conclusion: Graders should consider awarding extra credit to applicants who note the possibility of pursuing state law replevin remedies as an alternative approach to recovering the chem sheets and pricing information.

Question call(s): What provisional remedies might Drugco seek to enforce the non-compete and trade-secrets clauses immediately and during the pendency of the lawsuit, and what is the likelihood that the court will grant each such remedy? Explain.

February 2006 — Question 3

Primary source subject: Federal Civil Procedure

Question summary: This question involves MEE Question 3 Defendant is a political commentator and free-lance journalist who moved from his home state of State A to State B approximately three years ago. Defendant has told his family and friends that he still considers State A "home" and intends to return "someday," but that "I'm happy in... The core dispute asks Plaintiff has filed a lawsuit against Defendant in the United States District Court for the District of State A. Her complaint alleges that the story published on Defendant's website defamed Plaintiff under applicable state law. In... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- (a) Does a federal district court have federal question jurisdiction over a claim based on the state law of defamation when the plaintiff's complaint alleges that an anticipated First Amendment defense is invalid?
- (b) Does a federal district court have diversity jurisdiction when the defendant previously resided in the same state as the plaintiff, still considers that state "home," and plans to return someday?
- Can a federal district court in State A assert personal jurisdiction over a defendant whose activities occurred outside State A when those activities included posting allegedly defamatory material concerning a State A plaintiff on a website viewable by State A residents and when the defendant knows that the website is viewed by State A residents and derives revenue as a result of that fact?

Relevant facts to use:

- MEE Question 3
- Defendant is a political commentator and free-lance journalist who moved from his home state of State A to State B approximately three years ago.
- Defendant publishes an online newsletter called "Nothing But the Truth" that is accessible over the Internet from his website, www.NBT.com.
- The political commentary and journalism posted on the www.NBT.com website focus almost exclusively on people and events in State A—Defendant's old stomping grounds and the region where he is best known as a political reporter.

Condensed sample-answer path:

1. Point One(a): The federal district court does not have federal question jurisdiction because the com

Short answer: Plaintiff's complaint does not raise a federal question but, instead, asserts a tort claim under state law.

Rule(s):

- According to the well-pleaded complaint rule, a plaintiff's anticipation of a federal defense in the complaint does not create federal question jurisdiction.
- Thus, Plaintiff's allegation that Defendant has no defense under the First Amendment does not, in itself, create subject-matter jurisdiction.

Fact-based analysis:

- Plaintiff's complaint does not raise a federal question but, instead, asserts a tort claim under state law.

Conclusion: Thus, Plaintiff's allegation that Defendant has no defense under the First Amendment does not, in itself, create subject-matter jurisdiction.

2. Point One(b): The federal district court will have subject-matter jurisdiction based on diversity of

Short answer: The complaint states a claim well in excess of the $75,000 jurisdictional threshold required for diversity jurisdiction.

Rule(s):

- The complaint states a claim well in excess of the $75,000 jurisdictional threshold required for diversity jurisdiction.
- If Defendant is a citizen of State B, there is diversity.
- If Defendant is still a citizen of State A (where he lived until three years ago), then there is no diversity between Defendant and Plaintiff, and the court lacks jurisdiction.

Fact-based analysis:

- Thus, the question is whether there is complete diversity between Plaintiff and Defendant.
- Plaintiff is a citizen of State A by virtue of her residence and domicile in State A.
- Under the facts, there is a strong argument that State B has become Defendant's new domicile.
- The center of his life appears to be State B, and he appears to intend to establish his permanent home there for the time being at least.

Conclusion: While such an argument is plausible, the facts that Defendant's residence in State B has some permanence, that he treats it as his current permanent home for all purposes, and that he has no intention of returning to State A at any definite future time, make it most likely that a court would conclude that his domicile is in State B and that he has become a State B citizen for diversity purposes.

3. Point Two: Defendant may be subject to personal jurisdiction in State A because he appears intention

Short answer: Under Rule 4(k)(1) of the Federal Rules of Civil Procedure, the federal district court can assert jurisdiction over a defendant who could be subjected to jurisdiction in the state courts of State A.

Rule(s):

- Under Rule 4(k)(1) of the Federal Rules of Civil Procedure, the federal district court can assert jurisdiction over a defendant who could be subjected to jurisdiction in the state courts of State A.
- Because of State A's long-arm statute (which is a general long-arm statute that extends to the constitutional limits), the only inquiry here is the constitutionality of the assertion of personal jurisdiction.
- The Due Process Clause of the Fourteenth Amendment permits a court to exercise general personal jurisdiction over a foreign defendant when that defendant maintains substantial, continuous, and systematic contacts with the forum state.

Fact-based analysis:

- Since websites on the Internet can be viewed everywhere, most courts have been reluctant to hold that the maintenance of a website alone is sufficient to subject the owner of the site to jurisdiction everywhere.
- Here, because Defendant's website, www.NBT.com, is passive, that is, it does not enable viewers to interact by posting their own messages, general jurisdiction based solely on the newsletter's accessibility across the United States would be unlikely.
- However, Defendant did more than simply maintain a website that was accessed by State A residents.
- Defendant's website was largely devoted to commentary and reporting on events in State A, and Defendant knew (and profited from) the fact that many of his readers came from that area.

Conclusion: On the other hand, the proper reach of state court jurisdiction in Internet cases has not been definitively decided, and courts may be reluctant to extend jurisdiction to reach a defendant who, like Defendant, does not actively reach out to State A readers but simply maintains a passive website to which State A readers can direct their web browsers should they so choose.

Question call(s): 1. On what basis, if any, would a federal district court have subject matter jurisdiction over the lawsuit by Plaintiff against Defendant? Explain. | 2. Would the United States District Court for the District of State A have personal jurisdiction over Defendant? Explain.

July 2006 — Question 6

Primary source subject: Federal Civil Procedure

Question summary: This question involves MEE Question 6 Pat, a State A resident, was driving in State B when her car was struck by a truck driven by Driver. A sign on the truck's door read "Smith Brothers Transport Co." The police accident report correctly listed Driver's name and license number, but mistakenly identified the truck's... The core dispute asks May Smith Brothers Transport immediately appeal the denial of its motion to dismiss? Explain. 3. Did the trial court err in striking Driver's answer and ordering the entry of a default judgment as a sanction for the failure of Driver's... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Can Smith Brothers Transport assert a statute-of-limitations bar to an action when it was added to the action by an amended complaint filed after the applicable statute of limitations had run?
- May a defendant immediately appeal a judge's denial of a motion to dismiss when the defendant claims that an action against it is barred by the statute of limitations?
- Does the trial court have the power to dismiss a party's defense and enter default judgment against the party because the party's attorney failed to appear at a pretrial conference?

Relevant facts to use:

- MEE Question 6
- Pat, a State A resident, was driving in State B when her car was struck by a truck driven by Driver.
- Two days before the deadline for filing suit under the applicable statute of limitations, Pat filed a proper diversity action in federal court in State B, alleging damages exceeding $75,000 against both Driver and Smith Brothers Trucking (the incorrect defendant).
- Five days after filing her complaint and before any responsive pleading had been served, Pat's attorney realized that she had incorrectly named Smith Brothers Trucking as defendant.

Condensed sample-answer path:

1. Point One: Because Pat's amended complaint was served on Smith Brothers Transport within the time fo

Short answer: Federal Rule of Civil Procedure 15(a) allows a complaint to be amended "once as a matter of course at any time before a responsive pleading is served." Thus, Pat's complaint was properly amended.

Rule(s):

- Federal Rule of Civil Procedure 15(a) allows a complaint to be amended "once as a matter of course at any time before a responsive pleading is served." Thus, Pat's complaint was properly amended.
- An amendment that "changes the party or the naming of the party against whom a claim is asserted" relates back to the date of the original pleading when: • the claim asserted in the amended pleading "arose out of the conduct, transaction, or occurrence set forth or attempted to be set forth in the original pleading," and • within 120 days of the original filing of the action (the normal time limit for service of the summons and complaint under Civ.

Fact-based analysis:

- Robert Smith received notice of the commencement of the original action and at that point he “should have known” that a lawsuit was being filed for Pat’s accident and that a mistake had been made as to the proper defendant.
- Thus, the amendment naming Smith Brothers Transport relates back to the date of the original filing, and the motion to dismiss on statute of limitations grounds should be denied.

Conclusion: Thus, the amendment naming Smith Brothers Transport relates back to the date of the original filing, and the motion to dismiss on statute of limitations grounds should be denied.

2. Point Two: Because defendant Smith Brothers Transport’s appeal does not fall within any of the excep

Short answer: In most cases, a party may appeal only from a final judgment.

Rule(s):

- In most cases, a party may appeal only from a final judgment.
- A final judgment is a controlling and dispositive order that “ends the litigation on the merits and leaves nothing for the court to do but execute on the judgment.” Catlin v.
- But unless this is done, early decided claims must ordinarily await final judgment as to all claims before they are eligible for appeal.

Fact-based analysis:

- Thus, there was no abuse of power here.]

Conclusion: Thus, there was no abuse of power here.]

3. Point Three: The trial judge may have abused her discretion in entering a default judgment against D

Short answer: Federal Rule of Civil Procedure 16 authorizes a district judge to convene pretrial conferences for the purpose of ensuring that cases are processed effectively and efficiently.

Rule(s):

- Federal Rule of Civil Procedure 16 authorizes a district judge to convene pretrial conferences for the purpose of ensuring that cases are processed effectively and efficiently.
- Nonetheless, Driver may prevail on appeal if he can show that the trial judge abused her discretion in light of the facts and the severity of the sanction.

Conclusion: Lesser sanctions should be utilized before the more extreme sanctions, absent reason to believe that lesser sanctions would be ineffective to secure compliance with court orders.

Question call(s): 1. Did the trial court err in refusing to dismiss the amended complaint against Smith Brothers Transport? Explain. | 2. May Smith Brothers Transport immediately appeal the denial of its motion to dismiss? Explain. | 3. Did the trial court err in striking Driver’s answer and ordering the entry of a default judgment as a sanction for the failure of Driver’s attorney to participate in a pretrial conference? Explain.

February 2007 — Question 3

Primary source subject: Federal Civil Procedure

Question summary: This question involves MEE Question 3 Transit Authority, Inc. (Transit Authority) operates a bus system in Big City. The core dispute asks Should Tourist's motion be granted in whole or in part? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Are accident and investigative reports discoverable when they are prepared in the ordinary course of business and not in anticipation of any immediately pending litigation?
- Is information in a bus operator's personnel file about the operator's driving record, safety record, and disciplinary record discoverable in an action against the bus operator's employer that alleges the bus operator was driving negligently?

Relevant facts to use:

- MEE Question 3
- Transit Authority, Inc. (Transit Authority) operates a bus system in Big City.
- When a Transit Authority supervisor arrived twenty minutes after the accident occurred, she took a statement from the bus operator and recorded that statement on a "Supervisor's Investigative Report" form.
- Tourist has filed a personal injury action against Transit Authority in federal court, properly invoking the court's diversity jurisdiction.

Condensed sample-answer path:

1. Point One: The motion to compel production of the accident and investigative reports should be grant

Short answer: 26(b)(1), a party "may obtain discovery regarding any matter, not privileged, that is relevant to [a] claim or defense" in the action.

Rule(s):

- 26(b)(1), a party "may obtain discovery regarding any matter, not privileged, that is relevant to [a] claim or defense" in the action.
- Both the bus operator's report and the supervisor's report appear to be standard Transit Authority business records that are routinely prepared in the event of an accident.
- While Transit Authority may honestly claim that it has such procedures precisely because it "anticipates" that there may be litigation whenever there is an accident, routinely prepared records that are completed in the regular course of business do not become trial preparation materials merely because the business anticipates that they might be useful in litigation.

Fact-based analysis:

- There is no question that the bus operator's accident report and his supervisor's investigative report satisfy this relevancy requirement.
- Thus, the crucial question is whether the accident reports that the bus operator and the supervisor completed were "prepared in anticipation of litigation" within the meaning of this rule.
- Similarly, the supervisor was following standard procedure when she went to the accident scene and completed the "Supervisor's Investigative Report" form.
- The bus operator began to complete his report immediately after the accident occurred.

Conclusion: Therefore, these materials are discoverable.

2. Point Two: Under Civ. P. 26(b)(1), the bus operator's driving and safety records are relevant becaus

Short answer: As noted above, parties to an action "may obtain discovery regarding any matter, not privileged, which is relevant to the claim or defense of any party." FED.

Rule(s):

- As noted above, parties to an action "may obtain discovery regarding any matter, not privileged, which is relevant to the claim or defense of any party." FED.
- Even if not directly relevant to a claim or defense, a matter that is relevant to the general "subject matter involved in the action" may be discovered if the court determines that there is good cause for such discovery.
- Where discovery is resisted, the court must balance the interest of the party seeking discovery against any alleged privacy interest that would be infringed by disclosure.

Fact-based analysis:

- Accordingly, in its discretion, and in light of the facts of each case, the court decides whether the requested information is relevant.
- Here, Tourist has alleged that the bus operator was negligent.
- To the extent that the driving and safety records in the personnel file include material about this accident, they are clearly relevant to Tourist's claim.
- Therefore, information in the bus operator's personnel file about his driving skills, including his driving record and any other accident reports, is discoverable.

Conclusion: The personnel record may well contain disciplinary information about the bus operator that could be entirely irrelevant to the action and that would be embarrassing and damaging to the bus operator if disclosed (e.g., that he has been disciplined for sexual harassment).

Question call(s): Should Tourist's motion be granted in whole or in part? Explain.

July 2007 — Question 2

Primary source subject: Federal Civil Procedure

Question summary: This question involves MEE Question 2 Al is a citizen and domiciliary of State A. While Al was visiting his parents in State B, he was involved in an automobile accident. The core dispute asks Bert recently filed a timely lawsuit against Executor, as administrator of Al's estate. The lawsuit, filed in state court in State B, alleges that Al's reckless driving was the cause of the accident and that Bert is permanently disabled by... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- (a) What are the requirements for an action to be removed from a state court to a federal court?
- (b) Are those requirements met in a suit against a decedent's estate executor who is a citizen of the same state as the plaintiff but the decedent was not?
- (a) Can the default judgment against Bert have preclusive effect in subsequent cases even though Bert never appeared to defend himself?
- (b) Is Bert's claim against Al so closely related to Al's original claim that Bert is barred from raising it in a subsequent action?

Relevant facts to use:

- MEE Question 2
- Al is a citizen and domiciliary of State A.
- Shortly after Bert's release from the hospital, Al sued him in the federal district court for State B.
- Bert, who was uninsured and unemployed, failed to answer Al's complaint and did not defend the action, despite having been properly served and having received notice of the action.

Condensed sample-answer path:

1. Point One(a): Removal of a case from a state court is appropriate if the federal court in that state

Short answer: An action filed in state court may be removed to the federal district court of the district where the state action is pending if the district court has "original jurisdiction" over the action.

Rule(s):

- An action filed in state court may be removed to the federal district court of the district where the state action is pending if the district court has "original jurisdiction" over the action.
- The federal court would have jurisdiction over Bert's state law tort action against Al only if the requirements of diversity are met.
- The amount in controversy must exceed $75,000 and the parties must be diverse (citizens of different states).

Conclusion: The federal court would have jurisdiction over Bert's state law tort action against Al only if the requirements of diversity are met.

2. Point One(b): Because Executor is "deemed to be a citizen only of the same state as the decedent," t

Short answer: The requirements for removal are met here.

Rule(s):

- The requirements of diversity jurisdiction were therefore satisfied and the case is removable.
- Moreover, although the removal statute forbids a defendant from removing a case to federal court on the basis of diversity jurisdiction if the defendant is a citizen of the state where the action is pending, see 28 . § 1441(b), the rule that an executor or administrator of an estate is deemed to be a citizen only of the state in which the decedent was a citizen is applicable here as well.

Fact-based analysis:

- The decedent, Al, was a citizen of State A and therefore was diverse from Bert, a State B citizen.
- Because Executor is treated as a State A citizen, removal was appropriate.

Conclusion: The requirements of diversity jurisdiction were therefore satisfied and the case is removable.

3. Point Two(a): A default judgment is entitled to preclusive effect, subject only to the requirements

Short answer: A default judgment rendered by a court is entitled to preclusive effect so long as the court had subject matter and personal jurisdiction over the action and the parties.

Rule(s):

- A default judgment rendered by a court is entitled to preclusive effect so long as the court had subject matter and personal jurisdiction over the action and the parties.

- Although Bert did not appear and defend himself in the original action, the federal court clearly had jurisdiction over the action and over Bert.
- Moreover, as Bert was a citizen of the state in which the action was pending, and was domiciled in the state at the time, the court had personal jurisdiction over him.

Fact-based analysis:

- The parties were diverse (Bert was from State B and Al from State A) and the amount in controversy (the value of Al's automobile) exceeded $75,000.

4. Point Two(b): The judgment in the prior suit between Al and Bert precludes Bert from asserting his p

Short answer: Because the judgment in Al's suit against Bert was rendered by a federal court sitting in diversity, its judgment will be given the same preclusive effect as would be given under State B law to a State B state court judgment (because State B is the state in which the judgmentrendering court was located).

Rule(s):

- Rule 13(a) requires a defendant to "state as a counterclaim any claim" that he or she has against the plaintiff if the claim "arises out of the transaction or occurrence that is the subject matter" of the plaintiff's claim.

Fact-based analysis:

- Because the judgment in Al's suit against Bert was rendered by a federal court sitting in diversity, its judgment will be given the same preclusive effect as would be given under State B law to a State B state court judgment (because State B is the state in which the judgmentrendering court was located).
- Here, Bert's claim against Al for damages arises out of the same occurrence (the traffic accident) as Al's previous claim against Bert.
- Moreover, key issues of law and fact raised by both claims would be the same as both claims involve the basic question of who was at fault in the accident.
- Because Bert's claim for damages was a compulsory counterclaim that should have been raised in the original action, the judgment in that original action bars the claim.

Conclusion: Because Bert's claim for damages was a compulsory counterclaim that should have been raised in the original action, the judgment in that original action bars the claim.

Question call(s): 1. Was removal of Bert's claim to federal district court appropriate? Explain. | 2. If the federal court retains the action, should it grant Executor's motion to dismiss Bert's suit? Explain.

February 2008 — Question 6

Primary source subject: Federal Civil Procedure

Question summary: This question involves MEE Question 6 Plaintiff worked for Corporation. In her fifth year of employment, Plaintiff complained that she had been passed over for promotion to a management position in favor of a less experienced male colleague. The core dispute asks Should the trial court grant Corporation's motion for a new trial on the ground that Corporation's evidence was more persuasive and credible than Plaintiff's evidence? Explain. 4. Should the trial court grant Corporation's motion for a new... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Under Rule 50 of the Federal Rules of Civil Procedure, can a postjudgment motion for judgment as a matter of law be granted if the defendant moved for judgment as a matter of law at the close of the plaintiff's evidence but did not move for judgment as a matter of law at the close of all the evidence?
- Should a court reject a jury verdict and grant judgment as a matter of law on the basis that the losing party's evidence was more persuasive than the evidence of the party in whose favor the jury ruled?
- Should a court grant a motion for a new trial if the movant shows that the movant's evidence was more persuasive and more credible than the opponent's evidence?
- Should a court grant a motion for a new trial on the ground that a juror during voir dire withheld information suggesting that she would be biased against one of the parties in the suit?

Relevant facts to use:

- MEE Question 6
- Plaintiff worked for Corporation.
- During voir dire, the court asked each prospective juror whether he or she had ever been a party to an employment discrimination lawsuit.
- At trial, Plaintiff offered evidence to support her claim that she had been fired for discriminatory reasons.

Condensed sample-answer path:

1. Point One:

Short answer: Because Corporation failed to move for judgment as a matter of law at the close of all the evidence, Rule 50(b) bars it from moving for judgment as a matter of law after trial.

Rule(s):

- Under Rule 50(b) of the Federal Rules of Civil Procedure, a party may make a motion for judgment as a matter of law ("JMOL"; also called a judgment notwithstanding the verdict or JNOV) if the party makes the motion no later than 10 days after entry of judgment and if the party previously made a motion for JMOL at the close of all the evidence.
- Here, the defendant made its post-verdict motion in a timely manner, but it did not make an earlier JMOL motion "at the close of all the evidence." Even though Corporation moved for JMOL at the close of plaintiff's evidence, it must make the motion again at the close of the record or it loses its right to renew the motion after entry of judgment.
- Courts in these circuits would deny Corporation's renewed motion because no JMOL motion was made at the close of all evidence.

Fact-based analysis:

- Because Corporation failed to move for judgment as a matter of law at the close of all the evidence, Rule 50(b) bars it from moving for judgment as a matter of law after trial.
- This exception would not help Corporation here, however, because the witness testimony it presented in defense was substantial and could well have changed the trial court's view on the merits of the motion if Corporation had made that motion at the close of all evidence after presenting its own case.
- Thus, Corporation is now precluded from renewing its JMOL motion.

Conclusion: Thus, Corporation is now precluded from renewing its JMOL motion.

2. Point Two:

Short answer: Even if Corporation had preserved its right to file (or "renew") the motion for JMOL after the verdict, the motion should still be denied because Corporation has not advanced arguments that justify granting such a motion.

Rule(s):

- A motion for JMOL at the close of all the evidence, or a renewed motion after the return of the verdict, can be granted only if "there is no legally sufficient evidentiary basis for a reasonable jury" to find for the party opposing the movant.
- The standard expressed in Rule 50(a) makes clear that the grant of a motion for JMOL is "a performance of the court's duty to assure enforcement of the controlling law and is not an intrusion on any responsibility for factual determinations conferred on the jury by the Seventh Amendment." FED.
- The verdict may be overturned only if, on the basis of the evidence, no reasonable jury could have found that Plaintiff had met her burden of proof.

Fact-based analysis:

- Thus, Corporation's argument that its evidence was more persuasive and more credible than Plaintiff's evidence does not provide the court with a basis for overturning the jury's verdict.
- Even if true, the superior strength of Corporation's evidence does not mean that the jury acted unreasonably by returning a verdict for Plaintiff.
- Similarly, even if the trial judge agrees with Corporation that its witnesses were more credible than the witnesses for Plaintiff, that fact still would be insufficient to support a motion for JMOL.
- Assessments of witness credibility are core jury functions, and Rule 50 does not give the judge license to usurp that core function.

Conclusion: Even if the trial court thinks the jury erred, the trial court should defer to the jury's choice between competing versions of events when the jury choice is reasonably based on the evidence presented in the case.

3. Point Three:

Short answer: Corporation's alternative motion for a new trial should be granted if the court is convinced that the jury's verdict was clearly against the weight of the evidence and a miscarriage of justice, but such a result is unlikely here.

Rule(s):

- Rule 59 does not specify any standard for the granting of a new trial, but instead provides that such motions can be granted "for any of the reasons for which new trials have heretofore been granted in actions at law in courts of the United States." In effect, Rule 59 gives the trial judge power and discretion to prevent a miscarriage of justice.
- Where the court is convinced that a mistake has been made, such as where the prevailing party's witnesses were wholly lacking in credibility, a new trial may be ordered.
- Because the court is free to weigh the evidence itself on a motion for new trial, this argument may prevail.

Fact-based analysis:

- Thus, Corporation's alternative motion for new trial is procedurally proper and can be considered on the merits.

- Because an order for a new trial is not a final judgment, such motions are more freely granted than are motions for JMOL.
- In this case, the first ground offered in support of the motion is Corporation's argument that its evidence was more persuasive and more credible than Plaintiff's evidence.

Conclusion: Notwithstanding the fact that the court may believe that Corporation's evidence was "more persuasive," it would be improper for the court to grant Corporation's motion for a new trial on this basis.

4. Point Four:

Short answer: Corporation's motion for a new trial should be granted if a juror improperly failed to reveal information that would bias that juror against Corporation.

Rule(s):

- Under these circumstances, the trial court could find that the jury foreperson's apparent bias against Corporation fundamentally undermined the fairness of the trial.
- If the court so concludes, it should grant Corporation's motion for a new trial.

Fact-based analysis:

- Here, had Corporation known of the juror's prior experience with employment discrimination suits and her hostility toward companies that are accused of discrimination, Corporation surely would have moved that the potential juror be struck for cause.
- Here, there is evidence that the jury foreperson had actual bias and manifested that bias even before the trial began.

Conclusion: If the court so concludes, it should grant Corporation's motion for a new trial.

Question call(s): 1. Was Corporation's motion for a post-judgment JMOL procedurally proper? Explain. | 2. Without regard to its procedural propriety, should the trial court grant Corporation's motion for a post-judgment JMOL? Explain. | 3. Should the trial court grant Corporation's motion for a new trial on the ground that Corporation's evidence was more persuasive and credible than Plaintiff's evidence? Explain.

July 2008 — Question 5

Primary source subject: Federal Civil Procedure

Question summary: This question involves MEE Question 5 Guest, a citizen of State A, ate oysters at Ron's Restaurant in State B. Guest paid for the meal with a $50 check. The core dispute asks Should the court order the joinder of CreamCorp as an additional defendant? Explain. 2. Do the Federal Rules of Civil Procedure permit Ron to join his claim against Guest for the unpaid $50 to Guest's lawsuit against Ron? Explain. 3. If... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Do the Federal Rules of Civil Procedure permit a defendant to compel a plaintiff to join other parties as additional defendants when the original defendant alleges that those other parties are responsible for the plaintiff's injury?

- Do the Federal Rules of Civil Procedure permit a defendant to join a counterclaim against the plaintiff when the counterclaim is for an unpaid bill relating to the transaction that gave rise to the plaintiff's claim?
- Does a federal court have jurisdiction over a defendant's state-law counterclaim when that counterclaim is for less than $75,000 but is related to the plaintiff's original claim?
- (per curiam) (concluding that joint tortfeasors are permissive, not necessary, parties under Rule 19(a)). In short, Guest's ability to recover whatever (if anything) she is entitled to recover from Ron is unaffected by CreamCorp's absence. Second, although CreamCorp may have an interest in the subject matter of the action if Ron attempts to prove that CreamCorp's product caused Guest's food poisoning, that interest is not likely to be impaired or impeded if CreamCorp is not joined. If the jury finds that Guest's illness was caused by the oysters, CreamCorp's interest would not be impaired. If the jury finds that Guest's illness was caused by CreamCorp's ice cream, CreamCorp will not be bound by the judgment since it was not a party, and it will be free to relitigate the issue of the ice cream's toxicity if Guest sues it in a separate lawsuit. See Janney Montgomery Scott, Inc. v. Shepard Niles, Inc., 11 . 1993) (declining to hold that "any potential effect the doctrine [of stare decisis] may have on an absent party's rights makes the absent party's joinder compulsory under Rule 19(a)"); Pujol v. Shearson/American Express, Inc., 877 . 1989) (stating that "[t]he mere fact . . . that Party A, in a suit against Party B, intends to introduce evidence that will indicate that a non-party, C, behaved improperly does not, by itself, make C a necessary party"). Third, Ron does not face a substantial risk of incurring inconsistent obligations or double liability if CreamCorp is not joined here. If Ron is held liable to Guest, Ron will pay Guest but face no other liability or obligation on the same claim. If Ron is not held liable, then the possibility of double liability or inconsistent obligations does not exist. Therefore, under Rule 19 Ron cannot compel Guest to join CreamCorp as an additional defendant. Point Two: Rule 13 of the Federal Rules of Civil Procedure not only permits, but requires, Ron to bring his claim for the unpaid restaurant bill as a counterclaim against Guest in the context of Guest's lawsuit against Ron because the counterclaim arises out of or relates to the same transaction or occurrence. A claim for relief brought by a defendant against a plaintiff is called a counterclaim. Counterclaims are governed by Rule 13 of the Federal Rules of Civil Procedure. Rule 13 requires a defendant to bring a counterclaim against the plaintiff if the counterclaim arises out of the same transaction or occurrence as the plaintiff's claim against the defendant. FED. R. CIV. P. 13(a). Here, Ron's claim to be paid for the restaurant meal arises out of the same transaction and occurrence as Guest's claim that she became sick as a result of the meal. Both claims arose out of the meal Ron served to Guest. Rule 13(b) further provides that an answer "may state as a counterclaim" any claim against the plaintiff "that is not compulsory" FED. R. CIV. P. 13(b) (emphasis added). Read together, these portions of the rule authorize Ron to bring a counterclaim against Guest for the unpaid $50 regardless of whether it arises out of the same transaction or occurrence as Guest's claim against Ron. Therefore, it is not necessary to determine whether Guest's claim and Ron's claim arose out of the same transaction or occurrence. In either case, Ron may bring the claim. Point Three: The federal district court likely would have jurisdiction to hear the counterclaim under the supplemental jurisdiction statute, 28 . § 1367, as long as the counterclaim for failure to pay the check and the plaintiff's claim for negligence form part of the same case for purposes of the case-or-controversy requirement of Article III. Whether the federal court can assert jurisdiction over Ron's counterclaim is another matter. The counterclaim against Guest for failure to pay the $50 is a state-law claim that could not be brought on its own in federal court. While there is complete diversity of citizenship between Guest and Ron, the amount in controversy on the unpaid restaurant check claim is only $50 and doesn't come close to satisfying the $75,000 amount-in-controversy requirement for diversity jurisdiction. See 28 . § 1332(a). However, where a federal court already has jurisdiction over some claims, the supplemental jurisdiction statute, 28 . § 1367, authorizes district courts to hear claims that could not otherwise be heard in federal court if those claims "are so related to [the primary] claims in the action . . . that they form part of the same case or controversy under Article III of the United States Constitution." 28 . § 1367(a). In determining whether or not the primary claim and the supplemental claim "are so related," most courts

apply the “common nucleus of operative fact” test announced by the United States Supreme Court in United Mine Workers v. Gibbs, 383

- (stating that “[t]he state and federal claims must derive from a common nucleus of operative fact” to be part of the same “case” for constitutional purposes). See JAMES, supra, § 2.28 at 146–47. Here, it is likely that Guest’s claim against Ron for food poisoning and Ron’s claim against Guest for the unpaid $50 arise out of a common nucleus of operative fact, namely the alleged food-poisoning incident. The reason that Guest stopped payment on the check and declined to pay for the food was because the food allegedly made her ill. See, e.g., Geisinger Medical Ctr. v. Gough, 160 F.R.D. 467, 470 (M.D. Pa. 1994) (concluding that the defendant’s claim that the plaintiff committed medical malpractice was a compulsory counterclaim to the plaintiff’s claim to recover for unpaid medical bills; “[t]he counterclaim is thus an offshoot of the same basic controversy as the plaintiff’s claim and necessarily involves common issues of law and fact that would require duplicative effort if tried in a separate action”). Section 1367(c) affords the district court discretion to decline to exercise supplemental jurisdiction in four circumstances: “
- the claim raises a novel or complex issue of State law

Relevant facts to use:

- MEE Question 5 Guest, a citizen of State A, ate oysters at Ron’s Restaurant in State B.

Condensed sample-answer path:

1. Point Two:

Short answer: Rule 13 of the Federal Rules of Civil Procedure not only permits, but requires, Ron to bring his claim for the unpaid restaurant bill as a counterclaim against Guest in the context of Guest’s lawsuit against Ron because the counterclaim arises out of or relates to the same transaction or occurrence.

Rule(s):

- Rule 13 of the Federal Rules of Civil Procedure not only permits, but requires, Ron to bring his claim for the unpaid restaurant bill as a counterclaim against Guest in the context of Guest’s lawsuit against Ron because the counterclaim arises out of or relates to the same transaction or occurrence.
- A claim for relief brought by a defendant against a plaintiff is called a counterclaim.
- Rule 13 requires a defendant to bring a counterclaim against the plaintiff if the counterclaim arises out of the same transaction or occurrence as the plaintiff’s claim against the defendant.

Fact-based analysis:

- Here, Ron’s claim to be paid for the restaurant meal arises out of the same transaction and occurrence as Guest’s claim that she became sick as a result of the meal.
- Therefore, it is not necessary to determine whether Guest’s claim and Ron’s claim arose out of the same transaction or occurrence.

Conclusion: Therefore, it is not necessary to determine whether Guest’s claim and Ron’s claim arose out of the same transaction or occurrence.

2. Point Three:

Short answer: The federal district court likely would have jurisdiction to hear the counterclaim under the supplemental jurisdiction statute, 28 . § 1367, as long as the counterclaim for failure to pay the check and the plaintiff’s claim for negligence form part of the same case for purposes of the case-or-controversy requirement of Article III.

Rule(s):

- The federal district court likely would have jurisdiction to hear the counterclaim under the supplemental jurisdiction statute, 28 . § 1367, as long as the counterclaim for failure to pay the check and the plaintiff's claim for negligence form part of the same case for purposes of the case-or-controversy requirement of Article III.
- Whether the federal court can assert jurisdiction over Ron's counterclaim is another matter.
- While there is complete diversity of citizenship between Guest and Ron, the amount in controversy on the unpaid restaurant check claim is only $50 and doesn't come close to satisfying the $75,000 amount-in-controversy requirement for diversity jurisdiction.

Fact-based analysis:

- Here, it is likely that Guest's claim against Ron for food poisoning and Ron's claim against Guest for the unpaid $50 arise out of a common nucleus of operative fact, namely the alleged food-poisoning incident.
- Section 1367(c) affords the district court discretion to decline to exercise supplemental jurisdiction in four circumstances: "(1) the claim raises a novel or complex issue of State law; (2) the claim substantially predominates over the claim or claims over which the district court has original jurisdiction; (3) the district court has dismissed all claims over which it has original jurisdiction; or (4) in exceptional circumstances, there are other compelling reasons for declining jurisdiction." 28 . § 1367(c).
- Here, the counterclaim for failure to pay the restaurant bill does not raise any novel or complex issues of state law.
- Therefore, it is likely that the district court would have supplemental jurisdiction to hear Ron's counterclaim against Guest.

Conclusion: Therefore, it is likely that the district court would have supplemental jurisdiction to hear Ron's counterclaim against Guest.

February 2009 — Question 5

Primary source subject: Federal Civil Procedure/Conflict of Laws

Question summary: This question involves MEE Question 5 Bearco is a corporation incorporated under the laws of State A. Bearco maintains its corporate and administrative offices in State A; its factories are located in State B. The core dispute asks Which jurisdiction's law should the United States District Court for State A apply to resolve Bearco's unfair-competition claim? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- (a) Do the Federal Rules of Civil Procedure permit a federal district court to authorize service of process on a foreign defendant by email?
- (b) Is e-mail service of process constitutional under the circumstances of this case?
- (a) Which jurisdiction's choice-of-law rules should be used to select the applicable unfair-competition law?
- (b) Under the "most significant relationship" test, what factors govern the choice among State A, Country X, and State B unfaircompetition law?

Relevant facts to use:

- MEE Question 5

- Bearco is a corporation incorporated under the laws of State A.
- Copyco is a corporation incorporated under the laws of Country X, a foreign country, where Copyco has its manufacturing facilities and corporate offices.
- Bearco has filed an action against Copyco in the United States District Court for State A, properly invoking the court's federal question and diversity jurisdiction.

Condensed sample-answer path:

1. Point One(a) Rule 4 of the Federal Rules of Civil Procedure permits service of process on a foreign

Short answer: In a proper case, a federal court has the power to permit a plaintiff to serve a foreign corporate defendant by e-mail.

Rule(s):

- Rule 4 authorizes service of process upon a corporation outside the United States "in any manner prescribed by Rule 4(f) for serving an individual, except personal delivery . . . ." FED.
- Importantly, subdivision (f) gives the district court broad authority to direct service by any "means not prohibited by international agreement." FED.
- Moreover, the court's authority to direct non-traditional means of service "is neither a 'last resort' nor 'extraordinary relief,'" Rio Props., Inc. v.

Fact-based analysis:

- Veles Ltd., 2007 WL 725412 (SDNY 2007); Export-Import Bank of the .

Conclusion: It would, moreover, prevent the significant hardship to the plaintiff that might result if the plaintiff were required to find other means to track down and serve this elusive corporate defendant.

2. Point One(b) Service by e-mail is constitutional where it is reasonably calculated to give notice.

Short answer: Even if permitted by the Federal Rules of Civil Procedure, a method of service of process cannot be employed if it would violate the United States Constitution.

Rule(s):

- The means employed must be such as one desirous of actually informing the absentee might reasonably adopt to accomplish it." Mullane v.
- In fact, in these circumstances, service by e-mail may be the method of service most likely to reach Copyco.

Fact-based analysis:

- Central Hanover Bank & Trust Co., 339 .
- Since service via e-mail is reasonably calculated to reach Copyco, it comports with due process.

3. Point Two(a)

Short answer: A federal court exercising diversity jurisdiction over non-federal claims must apply the choiceof-law rule of the state in which it sits.

Rule(s):

- A federal court exercising diversity jurisdiction over non-federal claims must apply the choiceof-law rule of the state in which it sits.

- Stentor Electric Manufacturing Co., 313 court sitting in diversity must apply the choice-oflaw approach prevailing in the state in which it sits.
- If federal courts were free to craft their own choice-of-law rules, then the federal court might choose a different jurisdiction's substantive law to govern the dispute than the state court would, and the goals of uniformity and equal administration of justice would be frustrated.

Fact-based analysis:

- Thus, the federal district court sitting in State A should apply the choice-of-law approach followed by the courts of State A.
- The facts indicate that State A applies the Second

Conclusion: Thus, the federal district court sitting in State A should apply the choice-of-law approach followed by the courts of State A.

4. Point Two(b)

Short answer: Because the federal court will apply State A's choice-of-law rule, the Under the Second Restatement's approach, issues in tort are governed by the law of the state that has the most significant relationship to the occurrence and the parties.

Rule(s):

- Where the contacts are so thoroughly split among so many jurisdictions, courts applying the Second Restatement will pay special attention to the principles for making choice-of-law decisions as stated in § 6 of the In a tort case like this one, a court will ordinarily focus its attention on the policies of the laws that are in conflict and, in particular, on any interest of its own state in having its policies apply to the case.
- The federal court will likely apply State A's unfair-competition law. [NOTE: An applicant's conclusion is less important than his or her ability to state and use the relevant principles of the Applicants are expected to know that the federal court will apply State A's choice-of-law methodology to choose the law governing the supplemental state claim and that the Second Restatement requires application of the law of the state with the most significant relationship to the parties and the occurrence.
- They should also know that the Second Restatement requires consideration of a variety of personal and territorial factors and an analysis of the policies underlying the laws competing for application.

Fact-based analysis:

- Because the federal court will apply State A's choice-of-law rule, the Under the Second Restatement's approach, issues in tort are governed by the law of the state that has the most significant relationship to the occurrence and the parties.
- Here, an evaluation of the § 145 contacts reveals that a number of jurisdictions have important connections to the parties and the transaction.
- First, Bearco's injury—the loss of customers who bought Copyco's knockoff "Griz" bears—occurred in all 50 states and would have been felt most acutely in State A (where Bearco maintains its corporate and administrative offices) and State B (where Bearco's factories are located).
- The two companies are incorporated in different locations, State A (Bearco) and Country X (Copyco), and their places of business are likewise in different locales.

Conclusion: They should also know that the Second Restatement requires consideration of a variety of personal and territorial factors and an analysis of the policies underlying the laws competing for application.

Question call(s): 1. If the United States District Court for State A permits service of process on Copyco by email, would such e-mail service be consistent with the Federal Rules of Civil Procedure and the United States Constitution? Explain. | 2. Which jurisdiction's law should the United States District Court for State A apply to resolve Bearco's unfair-competition claim? Explain.

July 2009 — Question 6

Primary source subject: Federal Civil Procedure

Question summary: This question involves MEE Question 6 Ann and Bill, both citizens of State X, were walking by a construction site in State X when an overhead crane dropped a load of plate glass windows on the sidewalk near them. The windows shattered when they hit the pavement, and both Ann and Bill were struck by flying glass. The core dispute asks What must GlassCo do to remove the case from state to federal court? Explain. 2. If the case is removed to federal court, do the Federal Rules of Civil Procedure permit the separate claims of Ann and Bill to remain joined in a single... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- What steps must be taken to effect removal from state to federal court?
- Is the joinder of Ann and Bill as plaintiffs proper under the Federal Rules of Civil Procedure?
- If Ann's and Bill's claims remain joined, will the federal court have jurisdiction over the case?

Relevant facts to use:

- MEE Question 6
- Ann and Bill, both citizens of State X, were walking by a construction site in State X when an overhead crane dropped a load of plate glass windows on the sidewalk near them.
- At the time of the accident, the glass windows were being installed in a new skyscraper by GlassCo, Inc., a State Y corporation with its principal place of business in State Y.
- Ann and Bill have joined as plaintiffs and filed a suit against GlassCo in a state trial court in State X.

Condensed sample-answer path:

1. Point One: The defendant begins the process of removal by filing a notice of removal in the federal

Short answer: Procedurally, the first step for removing an action from state to federal court is for the defendant to file a notice of removal in the federal district court for the district and division within which the state action is pending.

Rule(s):

- The notice must be filed within 30 days of the defendant's "receipt . . . , through service or otherwise, of a copy of the initial pleading . . . , or within 30 days after the service of summons . . . if such initial pleading has then been filed and is not required to be served . . . , whichever period is shorter." Id. § 1446(b).
- The notice of removal must be signed and must include a statement of the basis for federal jurisdiction.
- A copy of the materials from the state court proceeding must also be filed.

2. Point Two: Federal Rule of Civil Procedure 20(a) permits the claims of Ann and Bill to be joined in

Short answer: Federal Rule of Civil Procedure 20(a)(1) provides that two or more plaintiffs may join their claims in a single lawsuit if the plaintiffs "assert any right to relief jointly, severally, or in the alternative with respect to or arising out of the same transaction, occurrence or series of transactions or occurrences; and . . . any question of law or fact common to all plaintiffs [being joined] will arise in the action." (emphasis added) Both requirements for joinder are met in this case.

Rule(s):

- Federal Rule of Civil Procedure 20(a)(1) provides that two or more plaintiffs may join their claims in a single lawsuit if the plaintiffs "assert any right to relief jointly, severally, or in the alternative with respect to or arising out of the same transaction, occurrence or series of transactions or occurrences; and . . . any question of law or fact common to all plaintiffs [being joined] will arise in the action." (emphasis added) Both requirements for joinder are met in this case.
- Second, those claims will certainly raise some common questions of fact (e.g., whether the glass accident was caused by the negligence of GlassCo employees) and may also raise common questions of law (e.g., the legal standard for measuring damages).
- Rule 20 allows plaintiffs to join when they assert their rights to relief "severally."

Fact-based analysis:

- First, Ann and Bill are each asserting claims that arose out of a single occurrence—the accident involving the falling glass.

Conclusion: Second, those claims will certainly raise some common questions of fact (e.g., whether the glass accident was caused by the negligence of GlassCo employees) and may also raise common questions of law (e.g., the legal standard for measuring damages).

3. Point Three: The federal court will have subject matter jurisdiction over the removed case because A

Short answer: Removal of a case from state to federal court is proper only when the "civil action" that is removed is within the "original jurisdiction" of the federal court.

Rule(s):

- Removal of a case from state to federal court is proper only when the "civil action" that is removed is within the "original jurisdiction" of the federal court.
- In this case, Ann's tort claim against GlassCo would be within the original diversity jurisdiction of the federal district court of State X.
- Bill's tort claim, on the other hand, is not within the diversity jurisdiction of the court.

Fact-based analysis:

- When a federal court has original jurisdiction over a claim in an action, § 1367(a) provides that the court "shall have supplemental jurisdiction over all other claims that are so related [to the main claim] that they form part of the same case or controversy under Article III of the United States Constitution." On the facts of this problem, Bill's claim is sufficiently related to Ann's claim to be "part of the same case or controversy." Both claims arose out of a "common nucleus of operative fact" (the accident involving the glass) and are so similar in facts and law that it is sensible to expect them to be tried in a single judicial proceeding.
- Thus, the court has supplemental jurisdiction over Bill's claim.

Conclusion: Thus, the court has supplemental jurisdiction over Bill's claim.

Question call(s): 1. What must GlassCo do to remove the case from state to federal court? Explain. | 2. If the case is removed to federal court, do the Federal Rules of Civil Procedure permit the separate claims of Ann and Bill to remain joined in a single lawsuit? Explain. | 3. If Ann's and Bill's claims remain joined, will the federal court have jurisdiction over the case? Explain.

February 2010 — Question 6

Primary source subject: Federal Civil Procedure

Question summary: This question involves Husband is an American citizen domiciled in State A. Wife is a citizen of a foreign country who was admitted to permanent residency in the United States five years ago and has been domiciled in State A since then. The core dispute asks Does the federal district court of State A have subject-matter jurisdiction over Surrogate's claims? Explain. 2. Should the federal district court of State A dismiss the action because it involves domestic-relations issues? Explain. 3. Did... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- Husband is an American citizen domiciled in State A.
- After struggling with infertility, Husband and Wife consulted with Doctor, who created embryos in a laboratory using Husband's sperm and Wife's ova.
- Doctor implanted one of the embryos in Surrogate.
- The baby had serious medical problems at birth and remained in the State A hospital for three months.

Condensed sample-answer path:

1. Point One (35%) The federal district court has diversity jurisdiction to hear these breach-of-contra

Short answer: Surrogate is suing Insureco for breaching the terms of the insurance policy, in which it agreed to insure Surrogate and her dependent children.

Rule(s):

- Therefore, federal court jurisdiction is proper only if the case satisfies the requirements of 28 . § 1332, the diversity statute.
- Section 1332 grants federal district courts original jurisdiction of all civil actions with an amount in controversy in excess of $75,000 if the plaintiff and defendant are "citizens of different States." 28 . § 1332(a).
- In addition, the "diversity" between the parties on either side of the case must be "complete." Strawbridge v.

Fact-based analysis:

- These claims arise under state contract law and do not raise any federal questions.
- On these facts, there is complete diversity.
- Plaintiff Surrogate is deemed to be a citizen of State B because she is domiciled there.
- Defendant Husband, similarly, is a citizen of State A, where he is domiciled.

Conclusion: She thus raises a claim against each defendant that exceeds the $75,000 amount-in-controversy threshold.

2. Point Two (30%) Under the domestic relations exception, federal courts do not have authority to issu

Short answer: The federal courts have long declined to exercise jurisdiction over domestic relations issues.

Rule(s):

- The federal courts have long declined to exercise jurisdiction over domestic relations issues.
- Although the domestic relations exception is not grounded in the Constitution, the Supreme Court has concluded that such a long-established exception to diversity jurisdiction should be retained, absent a Congressional decision to repudiate it.
- Nonetheless, the mere fact that a case involves domestic relations (as the current problem arguably does) does not mean that there is no diversity jurisdiction over that case.

Fact-based analysis:

- Therefore, this case does not appear to fall within the domestic relations exception, and the district court should exercise its diversity jurisdiction and adjudicate Surrogate's claims.

Conclusion: Therefore, this case does not appear to fall within the domestic relations exception, and the district court should exercise its diversity jurisdiction and adjudicate Surrogate's claims.

3. Point Three (35%) Surrogate properly joined Husband, Wife, and Insureco as defendants because her cl

Short answer: The Federal Rules of Civil Procedure embody a liberal and flexible joinder policy.

Rule(s):

- The Federal Rules of Civil Procedure embody a liberal and flexible joinder policy.
- Rule 20(a), which governs permissive joinder of parties, permits the plaintiff to join multiple defendants whenever two conditions are met: (1) "any right to relief is asserted against [the defendants] jointly, severally, or in the alternative, with respect to or arising out of the same transaction, occurrence, or series of transactions or occurrences" and (2) "any question of law or fact common to all defendants [will] arise in the action." FED.
- Both of these conditions must be satisfied.

Fact-based analysis:

- Here, Surrogate's claims against all three defendants arise out of the same event—the baby's birth and hospitalization.

Conclusion: However, an applicant who concludes that joinder is improper should also note that dismissal of the action is not an appropriate remedy for improper joinder.

Question call(s): 1. Does the federal district court of State A have subject-matter jurisdiction over Surrogate's claims? Explain. | 2. Should the federal district court of State A dismiss the action because it involves domestic-relations issues? Explain. | 3. Did Surrogate properly join Insureco, Husband, and Wife as defendants in a single action? Explain.

July 2010 — Question 7

Primary source subject: Federal Civil Procedure

Question summary: This question involves Until recently, Paul had always lived in State A. Last year, he decided he would move to State B for at least one year and, after a year, decide whether to remain in State B or return to State A. The core dispute asks May the United States District Court for the District of State B exercise personal jurisdiction over Credit Union? Explain. 2. Does the United States District Court for the District of State B have diversity jurisdiction over the case?... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- Until recently, Paul had always lived in State A.
- Shortly after he moved to State B, Paul bought a vacation home in State A, which he visits about once a month for two or three days.
- Paul's loan agreement with Credit Union provides that he will repay the loan in monthly installments over a 30-year period.
- After the loan closed, a Credit Union employee mailed copies of all the loan paperwork to Paul.

Condensed sample-answer path:

1. Point One (35%) The United States District Court for the District of State B may exercise personal j

Short answer: The United States District Court for the District of State B has personal jurisdiction over Credit Union.

Rule(s):

- The United States District Court for the District of State B has personal jurisdiction over Credit Union.
- Federal district courts may exercise personal jurisdiction to the same extent as the courts of general jurisdiction of the state in which the district court sits.
- State courts of general jurisdiction may exercise personal jurisdiction over nonresident defendants to the extent authorized by both the state's long-arm statute and the due process clause of the 14th Amendment of the .

Fact-based analysis:

- In this case, State B's long-arm statute authorizes jurisdiction as far as the Constitution allows, so the long-arm analysis is the same as the constitutional analysis.
- In this case, Paul's suit arises out of or relates to Credit Union's contacts with State B.
- Paul's claim is based on a loan agreement which informed Credit Union that Paul was a resident of State B at the time of the agreement and that loan information should be mailed to Paul in State B.
- Credit Union in fact sends information about the loan to Paul in State B, and receives payments from Paul from State B.

Conclusion: As a result, the exercise of personal jurisdiction by the courts of State B will not offend notions of fairness.

2. Point Two (35%) Credit Union is a citizen of State A. As a result, complete diversity will exist if

Short answer: a domiciliary of State A.

Rule(s):

- If Paul is a State B domiciliary, then there is diversity jurisdiction; Paul's claim satisfies the amount-in-controversy requirement.

- 28 . § 1332 vests the district courts with jurisdiction over cases in which (a) there is complete diversity of citizenship, meaning no plaintiff shares the state of citizenship of any defendant, and (b) the amount in controversy exceeds $75,000.
- An individual dual's "true, fixed, and permanent home . . . to which he has the intention of returning whenever he is absent therefrom." Mas v.

Fact-based analysis:

- In determining citizenship, § 1332(c) directs that a corporation is a citizen where it is incorporated and where it has its principal place of business.
- 1181, 1192 (2010) ("'[P]rincipal place of business' is best read as referring to the place where a corporation's officers direct, control, and coordinate the corporation's activities. . . the place where the corporation maintains its headquarters . . . i.e., the 'nerve center'").
- Credit Union is incorporated in State A.
- Moreover, its principal place of business (indeed, its only place of business) is in State A.

Conclusion: To determine whether the amount in controversy exceeds $75,000, courts rely on a plaintiff's good-faith allegations unless it appears "to a legal certainty" that the plaintiff cannot recover the amount alleged.

3. Point Three (30%) Paul's assertion of a defense to the possible applicability of a federal statute d

Short answer: 28 . § 1331 provides district courts with jurisdiction to hear suits arising under the laws of the United States.

Rule(s):

- 28 . § 1331 provides district courts with jurisdiction to hear suits arising under the laws of the United States.
- To determine whether such federal-question jurisdiction exists, a court looks at the allegations necessary for a well-pleaded complaint and asks whether the claims stated by those allegations are created by federal or state law.
- Claims created by federal, but not state, law generally fall within the scope of a district court's federal-question jurisdiction.

Fact-based analysis:

- Paul's breach-of-contract claim is created by state law and therefore lies outside the district court's original federal-question jurisdiction.
- Here, Paul is asserting a cause of action based only on state law; the only federal issue in the case is whether Paul's cause of action is preempted.

Conclusion: Paul's breach-of-contract claim is created by state law and therefore lies outside the district court's original federal-question jurisdiction.

Question call(s): 1. May the United States District Court for the District of State B exercise personal jurisdiction over Credit Union? Explain. | 2. Does the United States District Court for the District of State B have diversity jurisdiction over the case? Explain. | 3. Does the United States District Court for the District of State B have federal-question jurisdiction over the case? Explain.

February 2011 — Question 8

Primary source subject: Federal Civil Procedure

Question summary: This question involves Plaintiff, a citizen of State B, was vacationing in State A, where he visited the O.K. Bar. The core dispute asks Bartender then filed an answer to the complaint, denying liability. The answer also stated a state law claim for battery against Dave, seeking $20,000 damages for the injuries Bartender suffered when he tried to stop Dave's attack on... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- Plaintiff, a citizen of State B, was vacationing in State A, where he visited the O.K.
- Plaintiff sued Dave and Bartender in the United States District Court for the District of State A, properly invoking the court's diversity jurisdiction.
- Dave was personally served with the summons and complaint.
- Bartender made a timely motion to dismiss Plaintiff's complaint for failure to state a cause of action.

Condensed sample-answer path:

1. Point One (30%) The court correctly denied Bartender's motion to dismiss for insufficiency of servic

Short answer: Although it is likely that service of process was improper in this case, the district court nonetheless was correct to deny Bartender's motion to dismiss on that basis.

Rule(s):

- When that motion was denied, Bartender moved to dismiss for insufficiency of service of process.
- When a motion pursuant to Rule 12(b) is initially made, a party may join with that motion all other motions permitted by Rule 12 that are then available to the party.
- If a party makes a Rule 12(b) motion and fails to join certain other available defenses or objections, the party may not later raise those objections and defenses.

Fact-based analysis:

- Bartender initially responded to Plaintiff's complaint by making a motion to dismiss for failure to state a cause of action.
- Because Bartender made a Rule 12(b) motion to dismiss for failure to state a claim but did not join his available defense of insufficiency of service of process, Bartender waived that defense.

2. Point Two (30%) Rule 13(g) of the Federal Rules of Civil Procedure permits a defendant, in the answe

Short answer: Rule 13(g) of the Federal Rules of Civil Procedure provides that a defendant's answer may state as a cross-claim against a co-defendant any claim that "aris[es] out of the transaction or occurrence that is the subject matter of the original action" between the plaintiff and the defendants.

Rule(s):

- Rule 13(g) of the Federal Rules of Civil Procedure provides that a defendant's answer may state as a cross-claim against a co-defendant any claim that "aris[es] out of the transaction or occurrence that is the subject matter of the original action" between the plaintiff and the defendants.
- To determine whether two different claims arise out of the same "transaction or occurrence" for purposes of Rule 13, federal courts look at a number of factors: (1) whether the issues of fact and law in the plaintiff's claim and the defendant's cross-claim are essentially the same, (2) whether the same evidence would support or

refute the plaintiff's claim and the defendant's cross-claim, (3) whether there is a logical relationship between the plaintiff's claim and the defendant's cross-claim, and (4) whether res judicata would bar a subsequent suit on the cross-claim.
- Even though the factual issues may differ—whether Dave battered Plaintiff is a distinct question from whether Dave battered Bartender—the substantial overlap between the legal and factual issues supports the conclusion that the claims arise from the same transaction or occurrence.

Fact-based analysis:

- Here, Plaintiff's claims concern Dave's injury of Plaintiff and Bartender's service of alcohol to Dave.
- Here, the alleged batteries of Plaintiff and Bartender occurred in the same place, within seconds of one another.
- Both Plaintiff's claim against Dave and Bartender's cross-claim against Dave are claims for battery arising under State A's law.
- Both claims involve factual questions about the cause and course of the fight in which Dave, Bartender, and Plaintiff were involved.

Conclusion: However, given that Bartender's claim against Dave is logically related to Plaintiff's claims, that it raises overlapping factual and legal issues, and that the same evidence is relevant to both claims, a court should allow Bartender's claim to be included as a cross-claim in Bartender's answer.

3. Point Three(a) (20%) A federal district court would not have independent subject-matter jurisdiction

Short answer: The federal question statute grants the federal district courts original jurisdiction "of all civil actions arising under the Constitution, laws, or treaties of the United States." 28 . § 1331.

Rule(s):

- The federal question statute grants the federal district courts original jurisdiction "of all civil actions arising under the Constitution, laws, or treaties of the United States." 28 . § 1331.
- A claim arises under federal law if federal law creates the cause of action.
- Under this test, Bartender's cross-claim does not arise under federal law, and therefore the court would not have jurisdiction under the federal question statute, 28 . § 1331.

Fact-based analysis:

- Here, state law creates Bartender's battery claim against Dave.
- Bartender and Dave are both citizens of State A.

Conclusion: Nor would a federal court have diversity jurisdiction over Bartender's claim.

4. Point Three(b) (20%) A federal district court would have supplemental subject-matter jurisdiction ov

Short answer: plaintiff's claim against the defendants, of which the court has original jurisdiction, that the claims form part of the "same case or controversy" under Article III of the Constitution.

Rule(s):

- plaintiff's claim against the defendants, of which the court has original jurisdiction, that the claims form part of the "same case or controversy" under Article III of the Constitution.
- In the instant case, the federal district court has original diversity jurisdiction over Plaintiff's claims against Bartender and Dave.
- The supplemental jurisdiction statute permits federal district courts that have original jurisdiction of a civil action to assert "supplemental jurisdiction over all other claims that are so related to claims in the action within

such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution." 28 . § 1367(a).

Fact-based analysis:

- Each claim is for an amount in excess of $75,000, and Plaintiff, a citizen of State B, is diverse from both defendants, who are citizens of State A.
- As noted in Point One, Bartender's claim and Plaintiff's claims arise out of the same occurrence, raise many of the same factual and legal issues, and will be proved, in part, by the same evidence.
- Because Bartender's claim is part of the "same case or controversy" as Plaintiff's original claims, it falls within the federal court's supplemental jurisdiction.

Conclusion: As noted in Point One, Bartender's claim and Plaintiff's claims arise out of the same occurrence, raise many of the same factual and legal issues, and will be proved, in part, by the same evidence.

Question call(s): 1. Did the United States District Court for the District of State A properly deny Bartender's motion to dismiss for insufficiency of service of process? Explain. | 2. Do the Federal Rules of Civil Procedure permit Bartender to join a claim for battery against Dave in Bartender's answer to Plaintiff's complaint? Explain. | 3. Assuming that the Federal Rules of Civil Procedure permit Bartender to join his state law claim against Dave, does the United States District Court for the District of State A have subject-matter jurisdiction over that claim? Explain.

July 2011 — Question 5

Primary source subject: Federal Civil Procedure

Question summary: This question involves OfficeEquip is a U.S. distributor of office machines. The core dispute asks Can BritCo immediately appeal the district court's order granting OfficeEquip's motion for judgment on the pleadings with respect to BritCo's counterclaim? Explain. 2. Can BritCo immediately appeal the district court's order denying its... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- OfficeEquip is a U.S. distributor of office machines.
- The suit was filed in the United States District Court for State A, and OfficeEquip properly invoked the court's diversity (alienage) jurisdiction.
- BritCo made a timely motion to dismiss the complaint on the ground that it was filed in violation of a forum-selection clause in the supply contract that required all contract disputes to be adjudicated in London.
- In its answer, BritCo denied breaching the supply contract.

Condensed sample-answer path:

1. Point One (45%) The district court's grant of judgment on the pleadings with respect to BritCo's cou

Short answer: In the federal courts, litigants ordinarily may appeal only from final judgments of the district courts.

Rule(s):

- In the federal courts, litigants ordinarily may appeal only from final judgments of the district courts.

- A final judgment is one that “ends the litigation on the merits and leaves nothing for the court to do but execute the judgment.” Catlin v.
- When, as in this problem, more than one claim for relief is presented in an action, Federal Rule of Civil Procedure 54(b) provides that a decision that “adjudicates fewer than all the claims” in the action “does not end the action as to any of the claims or parties. . . .” Under this default rule, a grant of judgment on one of several claims in an action is not a final judgment and is not subject to immediate appeal.

Fact-based analysis:

- In this problem, multiple claims for relief were presented by the parties—OfficeEquip sued for breach of contract and BritCo counterclaimed for breach of the non-competition clause in the contract.
- Thus, under Rule 54(b), the district court’s decision constituted a “final judgment” on the counterclaim and is immediately appealable.

Conclusion: Thus, under Rule 54(b), the district court’s decision constituted a “final judgment” on the counterclaim and is immediately appealable.

2. Point Two (40%) The district court’s refusal to enforce the forum-selection clause is not an appeala

Short answer: The district court’s refusal to enforce the forum-selection clause did not resolve any of the claims in the action.

Rule(s):

- Under the final-judgment rule, this is a non-appealable interlocutory order.

Conclusion: Although there are certain exceptions to the final-judgment rule that BritCo could invoke in an attempt to secure immediate review of the court’s decision, none of the exceptions would be applicable on the facts of this problem.

3. Point Three (10%) A district court’s order refusing to dismiss a case pursuant to a contractual foru

Short answer: Collateral-order doctrine.

Rule(s):

- Under the collateral-order doctrine, an immediate appeal may be taken from an interlocutory order that conclusively determines an important issue in a case if that issue is independent of (collateral to) the merits of the action and if a delay in appellate review would effectively preclude the losing party from an opportunity to vindicate its rights on appeal.
- If the lower court’s ruling on the forum-selection clause is wrong, BritCo’s contractual rights can be vindicated on an appeal from a final judgment in the case.
- An appellate court could order dismissal of the case at that time, thus forcing OfficeEquip to pursue its claim in the appropriate court.

Fact-based analysis:

- The collateral-order doctrine does not apply in this case because an immediate appeal is not necessary to preserve BritCo’s contractual right to have contract disputes adjudicated in London.
- Shute, 499 that clause is efficient tool for determining location of litigation in event of accident, use of clause avoids litigation in multiple forums, and plaintiffs did not satisfy their burden of establishing serious inconvenience if case were heard in chosen forum).

Conclusion: But examinees who mention either writ should receive credit. (2) There are other statutory exceptions to the final-judgment rule, but none of them apply to this problem and you should not expect examinees to discuss them.

4. Point Four (5%) The doctrine of pendent appellate jurisdiction would not authorize the appellate cou

Short answer: Otherwise non-appealable rulings are sometimes reviewed by appellate courts under the doctrine of "pendent appellate jurisdiction." The argument for pendent appellate jurisdiction is that the final-judgment rule "is designed to prevent parties from interrupting litigation by pursuing piecemeal appeals.

Rule(s):

- Otherwise non-appealable rulings are sometimes reviewed by appellate courts under the doctrine of "pendent appellate jurisdiction." The argument for pendent appellate jurisdiction is that the final-judgment rule "is designed to prevent parties from interrupting litigation by pursuing piecemeal appeals.
- Once litigation has already been interrupted by an authorized pretrial appeal, . . . there is no cause to resist the economy that pendent appellate jurisdiction promotes[,]" and a party should be able immediately to appeal any decisions in the case that can conveniently be reviewed along with the appealable order.
- However, pendent appellate jurisdiction would not be available in this case.

Conclusion: Examinees who spot the problem and understand that judicial economy alone is not grounds for review of the forum-selection clause decision should receive full credit for this portion of the analysis, even if they make no mention of pendent appellate jurisdiction.]

Question call(s): 1. Can BritCo immediately appeal the district court's order granting OfficeEquip's motion for judgment on the pleadings with respect to BritCo's counterclaim? Explain. | 2. Can BritCo immediately appeal the district court's order denying its motion to dismiss? Explain.

February 2012 — Question 7

Primary source subject: Federal Civil Procedure/Conflict of Laws

Question summary: This question involves The owner of a rare antique tapestry worth more than $1 million is a citizen of State A. The owner contacted a restorer, a citizen of State B, to restore the tapestry for $100,000. The core dispute asks Does the federal court in State A have removal jurisdiction over the case? Explain. 2. Should the change-of-venue motion, seeking transfer of the case to the federal court in State B, be granted? Explain. 3. Would a change of venue affect... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- The owner of a rare antique tapestry worth more than $1 million is a citizen of State A.
- The restorer repaired the tapestry in State B and then informed the owner that the restoration was complete.
- Despite the forum-selection clause in the contract, the owner filed suit against the restorer in a state court in State A, claiming breach of contract.
- The laws of State A and State B are different on two relevant points.

Condensed sample-answer path:

1. Point One (30%) It was proper to remove the action from a state court in State A to the federal cour

Short answer: A defendant may remove a civil action from state court to federal court if the action is a type over "which the district courts of the United States have original jurisdiction." 28 . § 1441(a).

Rule(s):

- A defendant may remove a civil action from state court to federal court if the action is a type over "which the district courts of the United States have original jurisdiction." 28 . § 1441(a).
- In this case, if the action had been filed originally in a federal court, it would have been within the diversity jurisdiction of the federal court.
- Federal diversity jurisdiction extends to "all civil actions where the matter in controversy exceeds . . . $75,000, and [which are] between . . . citizens of different States." 28 . § 1332(a)(1).

Fact-based analysis:

- Furthermore, the remedy sought by the owner—a return of the $100,000 contract price—exceeds the jurisdictional amount of $75,000.
- Here the facts relating to performance of the restoration contract, the amount paid on that contract, and the amount sought in rescission are adequate to avoid any suggestion that the recoverable damages are less than the jurisdictional amount "to a legal certainty." Accordingly, because the case falls within the federal court's diversity jurisdiction, the federal court had removal jurisdiction over the action. [NOTES: (1) Removal itself does not raise any personal jurisdiction issues, and discussions of personal jurisdiction are not relevant to the question asked, which is whether the federal court has removal jurisdiction. (2) In actions where federal jurisdiction is based on diversity, a defendant cannot remove the case to federal court if the case was filed in a state court in the defendant's home state.
- That bar to removal is inapplicable on our facts because State A is not the defendant's (the restorer's) home state.]

Conclusion: Here the facts relating to performance of the restoration contract, the amount paid on that contract, and the amount sought in rescission are adequate to avoid any suggestion that the recoverable damages are less than the jurisdictional amount "to a legal certainty." Accordingly, because the case falls within the federal court's diversity jurisdiction, the federal court had removal jurisdiction over the action. [NOTES: (1) Removal itself does not raise any personal jurisdiction issues, and discussions of personal jurisdiction are not relevant to the question asked, which is whether the federal court has removal jurisdiction. (2) In actions where federal jurisdiction is based on diversity, a defendant cannot remove the case to federal court if the case was filed in a state court in the defendant's home state.

2. Point Two (40%) The change-of-venue motion is very likely to be granted because State B is a reasona

Short answer: The motion for a change of venue is governed by 28 . § 1404(a), which provides in its entirety, "For the convenience of parties and witnesses, in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought." Transfer pursuant to the "convenience . . . and interest of justice" standard of § 1404 is discretionary ("may"), but transfer under § 1404 may be made only to a district in which the action might originally "have been brought." In this case, the action originally could have been brought in a federal district court in State B.

Rule(s):

- The motion for a change of venue is governed by 28 . § 1404(a), which provides in its entirety, "For the convenience of parties and witnesses, in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought." Transfer pursuant to the "convenience . . . and interest of justice" standard of § 1404 is discretionary ("may"), but transfer under § 1404 may be made only to a district in which the action might originally "have been brought." In this case, the action originally could have been brought in a federal district court in State B.

- First, a State B federal court would have had diversity jurisdiction over the action. (See Point One.) Second, a State B federal court would have been an appropriate venue for the action.
- Under 28 . § 1391(a)(1), venue is proper in a district where "any defendant resides, if all defendants reside in the same State." On that basis, State B is a proper original venue simply because the restorer resides there.

Fact-based analysis:

- In addition, venue is proper in State B under § 1391(a)(2), which permits venue in any judicial district "in which a substantial part of the events or omissions giving rise to the claim occurred." The contract was signed in State B, and the restorer's work on the tapestry was performed there.
- Finally, because the restorer is a resident citizen of State B, the State B federal court would have had jurisdiction over him.
- In short, the action could originally have been brought in State B.
- The question, therefore, is whether convenience and the "interest of justice" favor a transfer from State A to State B.

Conclusion: Therefore, the State A federal district court should grant the motion for change of venue.

3. Point Three (30%) The United States District Court in State B must apply the law of State A to the t

Short answer: In this diversity case based on a state law breach-of-contract claim, the Erie rule would have required the State A federal court to apply state substantive law.

Rule(s):

- In this diversity case based on a state law breach-of-contract claim, the Erie rule would have required the State A federal court to apply state substantive law.
- Following a § 1404 transfer, the transferee court must apply the same law to the case as would have been applied by the transferor court.
- Thus, the State B federal court must apply whatever law would have been applied by the State A federal court.

Fact-based analysis:

- In this case, the facts state that State A choice-of-law rules would lead a State A court to apply its own rescission law.
- Therefore, whether the case is heard in federal court in State A or federal court in State B, State A rescission law will be applied.

Conclusion: Therefore, whether the case is heard in federal court in State A or federal court in State B, State A rescission law will be applied.

Question call(s): 1. Does the federal court in State A have removal jurisdiction over the case? Explain. | 2. Should the change-of-venue motion, seeking transfer of the case to the federal court in State B, be granted? Explain. | 3. Would a change of venue affect the law to be applied in resolving the rescission issue? Explain.

July 2012 — Question 7

Primary source subject: Federal Civil Procedure

Question summary: This question involves Plaintiff, a female employee of Defendant, a large manufacturing firm, sued Defendant in federal district court for violating a federal statute that creates a right to be free of sex discrimination in the workplace. Plaintiff alleged the following: (1) Plaintiff worked for Defendant in a position... The core dispute asks A well-established affirmative defense is available in cases of this sort if the defendant employer proves that (a) the plaintiff employee was not subject to any adverse job action (firing, demotion, loss of promotion opportunity, etc.),... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- Plaintiff, a female employee of Defendant, a large manufacturing firm, sued Defendant in federal district court for violating a federal statute that creates a right to be free of sex discrimination in the workplace.
- Plaintiff alleged the following: (1) Plaintiff worked for Defendant in a position for which females had seldom been hired in the past. (2) Shortly after Plaintiff was hired, male coworkers began to make sexually charged remarks to Plaintiff. (3) Plaintiff's male supervisor asked her out on dates and became angry each time she refused. (4) There were occasional incidents in which the supervisor or another male worker "accidentally" made contact with various parts of Plaintiff's body. (5) No one from company management ever took steps to monitor or limit behavior of this sort. (6) As a result of this behavior, Plaintiff began to suffer from various physical ailments that were related to stress. (7) Plaintiff made no complaint to management about the situation because the job paid very well and there were, to her knowledge, no comparable opportunities that would be available to her if she lost this particular job.
- Defendant's answer to the complaint admitted that Plaintiff was an employee and that the individual named as her supervisor was her supervisor.
- A well-established affirmative defense is available in cases of this sort if the defendant employer proves that (a) the plaintiff employee was not subject to any adverse job action (firing, demotion, loss of promotion opportunity, etc.), (b) the employer exercised reasonable care to prevent and promptly correct any sexually harassing behavior, and (c) the plaintiff employee unreasonably failed to take advantage of any preventive or corrective opportunities provided by the employer.

Condensed sample-answer path:

1. Point One (50%) The trial court properly granted Defendant leave to amend its answer to the complain

Short answer: A defendant has the burden of pleading all affirmative defenses.

Rule(s):

- A defendant has the burden of pleading all affirmative defenses.
- Federal Rule of Civil Procedure 8(c) is very clear when it states that a party defending a claim "must affirmatively state any avoidance or affirmative defense . . . ." Defendant had failed to raise a potentially valid affirmative defense in its answer and later sought to amend.
- Under Rule 15(a)(2), a district court "should freely give leave [to amend] when justice so requires." The Supreme Court has defined this standard "negatively" by indicating that amendments should be allowed unless they result in a form of injustice.

Fact-based analysis:

- Here, the only possible ground that Plaintiff might use to resist the amendment is “undue prejudice.” Defendant has a strong argument that it would be unjust to deny the amendment because doing so would deny Defendant an opportunity to have the case decided on its legal merits.
- Moreover, allowing a potentially valid defense does not cause “undue prejudice” to Plaintiff.
- Plaintiff’s legal claim is only as good as its ability to overcome defenses, and it is not unjust to require that she respond to those defenses.
- Plaintiff might argue that she is prejudiced by injecting the defense after the close of discovery.

Conclusion: Moreover, Plaintiff’s counsel knew or should have known about this well-established affirmative defense.

2. Point Two (50%) The trial court erred in granting summary judgment. Plaintiff’s deposition answers,

Short answer: Federal Rule of Civil Procedure 56(a) allows a summary judgment motion to be granted only if “there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law [JML].” See Celotex Corp. v.

Rule(s):

- Federal Rule of Civil Procedure 56(a) allows a summary judgment motion to be granted only if “there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law [JML].” See Celotex Corp. v.
- An issue of fact is “genuine” if, based on the evidence presented by the nonmoving party, a reasonable jury could return a verdict for that party.
- A fact is “material” if it is relevant to an element of a claim or defense and its existence would affect the outcome of the case under the governing law.

Fact-based analysis:

- Here, Defendant has an affirmative defense to a claim of sex discrimination if Defendant can prove that no adverse job action was taken against Plaintiff, that Defendant exercised reasonable care to prevent and correct harassing behavior, and that the employee unreasonably failed to take advantage of protective or corrective opportunities.
- Defendant sought to establish facts supporting the elements of its affirmative defense by relying on Plaintiff’s deposition testimony.
- The issue is whether that testimony establishes that there is no “genuine issue as to any material fact” relating to Defendant’s affirmative defense and that, accordingly, Defendant should be granted judgment as a matter of law.
- Plaintiff admitted that she suffered no adverse job action, that Defendant had policies against sexual harassment, and that procedures were available to her to complain about harassment.

Conclusion: Without a resolution of those factual issues, it is not clear whether Defendant’s affirmative defense is valid, and summary judgment should not have been granted.

February 2013 — Question 5

Primary source subject: Federal Civil Procedure

Question summary: This question involves Mother and Son, who are both adults, are citizens and residents of State A. Mother owned an expensive luxury car valued in excess of $100,000. The core dispute asks Is Mother's claim against Driver barred by the judgment in Son v. Driver? Explain. 2. Does the jury's conclusion in Son v. Driver that Mother had negligently failed to maintain the brake lights on her car preclude Mother from litigating... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- Mother and Son, who are both adults, are citizens and residents of State A.
- Son sued Driver in the United States District Court for the District of State A, alleging that she was negligent in the operation of her vehicle.
- Following a trial on the merits in Son's case against Driver, the jury answered the following special interrogatories:
- Do you find that Driver was negligent in the operation of her vehicle?

Condensed sample-answer path:

1. Point One (35%) Under the doctrine of claim preclusion, the judgment rendered in the first action do

Short answer: Driver may contend that the doctrine of claim preclusion (res judicata) precludes Mother from presenting a claim arising from the same nucleus of facts that was presented in the first action brought by Son.

Rule(s):

- Driver may contend that the doctrine of claim preclusion (res judicata) precludes Mother from presenting a claim arising from the same nucleus of facts that was presented in the first action brought by Son.
- According to the doctrine of claim preclusion, "when a court of competent jurisdiction has entered a final judgment on the merits of a cause of action, the parties to the suit and their privies are thereafter bound 'not only as to every matter which was offered and received to sustain or defeat the claim or demand, but as to any other admissible matter which might have been offered for that purpose.'" Commissioner of Internal Revenue v.
- Sturgell, supra, the Supreme Court identified other special circumstances in which nonparties may be bound by a prior judgment—when a nonparty consents to be bound; when a nonparty is in a pre-existing substantive legal relationship with a party (such as preceding and succeeding property owners); when a nonparty assumed control of the prior litigation; when a party seeks to relitigate through a proxy; or where a special statutory scheme seeks to foreclose successive litigation by nonparties.

Fact-based analysis:

- Since Mother was not a party to the first suit, she is not bound by the judgment unless an exception to the general rule applies.
- Because Mother was not a party to the first suit and is not in privity with Son, who is an adult, the judgment in the first action does not preclude her from bringing her own claim against Driver.

Conclusion: This rule reflects our "deep-rooted historic tradition that everyone should have his own day in court." Martin v.

2. Point Two (35%) Under the doctrine of issue preclusion, the judgment rendered in the first action do

Short answer: brake lights because the judgment binds only parties or those in privity with them, and Mother and Son are not in privity.

Rule(s):

- By its affirmative response to a special interrogatory, the jury in the first action expressly concluded that "Mother negligently failed to ensure that the brake lights on her car were in proper working order." Driver may attempt to invoke the doctrine of issue preclusion to preclude Mother from relitigating this issue in the second action. [I]ssue preclusion arises in a second action on the basis of a prior decision when the same 'issue' is involved in both actions; the issue was 'actually litigated' in the first action, after a full and fair opportunity for litigation; the issue was 'actually decided' in the first action, by a disposition that is sufficiently 'final,' 'on the merits,' and 'valid'; it was necessary to decide the issue in disposing of the first action, and . . . the later litigation is between the same parties or involves nonparties that are subject to the binding effect or benefit of the first action . . . .
- The same issue is involved in both actions—the issue of Mother's negligence in failing to maintain the brake lights on her car.
- Therefore, she cannot be denied an opportunity to litigate the issue of her negligence.

Fact-based analysis:

- Here, several of the elements necessary for issue preclusion are present.

Conclusion: Therefore, she cannot be denied an opportunity to litigate the issue of her negligence.

3. Point Three (30%) Under the doctrine of non-mutual issue preclusion, the judgment rendered in the fi

Short answer: Because Son already convinced the jury in the first action that "Driver was negligent in the operation of her vehicle," Mother may wish to invoke the doctrine of non-mutual issue preclusion to prevent Driver from relitigating the question of her negligence.

Rule(s):

- Because Son already convinced the jury in the first action that "Driver was negligent in the operation of her vehicle," Mother may wish to invoke the doctrine of non-mutual issue preclusion to prevent Driver from relitigating the question of her negligence.
- As noted above, "issue preclusion arises in a second action on the basis of a prior decision when the same 'issue' is involved in both actions; the issue was 'actually litigated' in the first action, after a full and fair opportunity for litigation; the issue was 'actually decided' in the first action, by a disposition that is sufficiently 'final,' 'on the merits,' and 'valid'; it was necessary to decide the issue in disposing of the first action . . . ." 18 CHARLES ALAN WRIGHT ET AL., FEDERAL PRACTICE AND PROCEDURE § 4416 at 392 (2d ed.); see also RESTATEMENT (SECOND) OF JUDGMENTS § 27.
- Since a judgment was rendered against Driver for the injuries Son sustained as a result of Driver's negligence, resolution of the issue was necessary to dispose of the first action.

Fact-based analysis:

- Here, these basic requirements for issue preclusion are met.
- Son and Mother both reside in State A; since they are related, they know each other well, and Son was driving Mother's car when the accident occurred.
- Because it appears that Mother may be a "waitand-see" plaintiff who could easily have joined the original action, a trial court might disallow, as a matter of discretion, her use of non-mutual issue preclusion.]

Conclusion: They could have sued together, and Rule 20 of the Federal Rules of Civil Procedure would have authorized joinder of their claims because those claims arose from the same transaction or occurrence and raised a common question of law or fact.

Question call(s): 1. Is Mother's claim against Driver barred by the judgment in Son v. Driver? Explain. | 2. Does the jury's conclusion in Son v. Driver that Mother had negligently failed to maintain the brake lights on her car preclude Mother from litigating that issue in her subsequent suit against Driver? Explain. | 3. Does the jury's conclusion in Son v. Driver that Driver was negligent preclude Driver from litigating that issue in the Mother v. Driver lawsuit? Explain.

July 2013 — Question 1

Primary source subject: Federal Civil Procedure

Question summary: This question involves A woman was born and raised in the largest city ("the city") of State A, where she also attended college. Three years ago, the woman purchased a 300-acre farm and a farmhouse in neighboring State B, 50 miles from the city. The core dispute asks Should the court grant the motion to dismiss for lack of subject-matter jurisdiction? Explain. 2. Should the court grant the motion to dismiss for improper venue? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- A woman was born and raised in the largest city ("the city") of State A, where she also attended college.
- Three years ago, the woman purchased a 300-acre farm and a farmhouse in neighboring State B, 50 miles from the city.
- However, the woman has not completely cut her ties with State A.
- A food product distributor sells food items to grocery stores throughout a five-state region that includes States A and B.

Condensed sample-answer path:

1. Point One(a) (10%) A federal court has jurisdiction of a complaint based on state law if the amount

Short answer: Federal district courts have original jurisdiction over state-law–based suits involving citizens of different states where the amount in controversy exceeds $75,000.

Rule(s):

- Federal district courts have original jurisdiction over state-law–based suits involving citizens of different states where the amount in controversy exceeds $75,000.

Fact-based analysis:

- Here, the woman's claim for $400,000 in damages appears to have been made in good faith, given that the woman had earned $80,000 a year in the first two years of the contract and that the distributor breached the contract with eight years remaining.
- Certainly, there is nothing to suggest that the woman will recover less than $75,000 to a legal certainty.
- Accordingly, the key issue is whether the woman and the distributor are citizens of different states.

Conclusion: Accordingly, the key issue is whether the woman and the distributor are citizens of different states.

2. Point One(b) (35%) The woman is probably a citizen of State A. But an argument can be made that she

Short answer: To determine an individual the individual's domicile when the complaint was filed.

Rule(s):

- To determine an individual the individual's domicile when the complaint was filed.
- A person's domicile is generally determined by two elements: (1) residence in a state, and (2) an intent to remain in that state.
- Courts look at a variety of facts, none of which is dispositive on its own (and many of which can be manipulated by the individual concerned) in an attempt to determine the individual's true, fixed, permanent home and the place to which the individual intends to return when absent.

Fact-based analysis:

- It is unclear whether the woman is domiciled in State A or State B.
- The woman was clearly a domiciliary of State A, the only state in which she had ever lived, until she bought the farm and farmhouse in State B.
- Despite her purchase of the State B farm, she maintains many social connections with State A, continues to secure medical and dental treatment in State A, returns to State A to live every winter, and continues to vote and attend church there.
- One could argue that these facts show that the woman never intended to abandon her State A domicile, but always retained the intent to return there.

Conclusion: Despite the fact that the woman lives in State B for two months more of the year than she lives in State A, it appears that the "center of gravity" of her life is State A, and that a court would conclude that she is a domiciliary and therefore a citizen of State A. [NOTE: Examinees who demonstrate an understanding of the complexity of this issue, and who use the key facts to develop a cogent argument, should receive full credit regardless of their conclusion on this point.]

3. Point One(c) (25%) The distributor is a citizen of both State C, where it is incorporated, and State

Short answer: By statute, a corporation is a citizen both where it is incorporated and where it has its principal place of business.

Rule(s):

- Some courts used a nerve-center test that focused on where the corporation's decision-making authority was located.
- If the woman is a domiciliary of State A (see Point One(b)), there is complete diversity of citizenship and the motion to dismiss for lack of jurisdiction should be denied. [NOTE: If an examinee previously concluded that the woman is a domiciliary of State B, then that examinee should also conclude that the action must be dismissed for lack of subjectmatter jurisdiction because there would not be diversity of citizenship between the woman and the distributor.]

Fact-based analysis:

- By statute, a corporation is a citizen both where it is incorporated and where it has its principal place of business.
- The distributor is incorporated in and therefore is a citizen of State C.
- Other courts applied a corporateactivities/operating-assets test that focused on where a corporation's business activities occurred.
- In Hertz Corp., the Supreme Court decided that a corporation's principal place of business for diversity purposes would be deemed to be "the place where a corporation's officers direct, control, and coordinate the corporation's activities," its so-called "nerve center." 559 .

Conclusion: If the woman is a domiciliary of State A (see Point One(b)), there is complete diversity of citizenship and the motion to dismiss for lack of jurisdiction should be denied. [NOTE: If an examinee previously concluded that the woman is a domiciliary of State B, then that examinee should also conclude that the action must be dismissed for lack of subjectmatter jurisdiction because there would not be diversity of citizenship between the woman and the distributor.]

4. Point Two (30%) Because the distributor has sufficient contacts with State A to be subject to person

Short answer: The woman brought this action in the United States District Court of State A.

Rule(s):

- When, as here, a federal court's jurisdiction is based on diversity, 28 . § 1391(b) provides that venue is proper (1) in any district where a defendant resides if all defendants reside in the same state, or (2) in any district where a substantial part of the acts or omissions giving rise to the action occurred, or (3) in any district where any defendant is subject to personal jurisdiction, if there is no other district in which the action might be brought.
- A State A venue is appropriate if the distributor "resides" in the District of State A for purposes of the venue statute.
- According to 28 . § 1391(c), a corporation resides where it is subject to personal jurisdiction at the time the action is commenced.

Fact-based analysis:

- The woman brought this action in the United States District Court of State A.
- The issue, therefore, is whether a State A venue can be justified under the general federal venue statute.
- So the question is whether the distributor is subject to personal jurisdiction in State A.
- State A's long-arm statute extends jurisdiction as far as the Due Process Clause of the 14th Amendment allows.

Conclusion: An examinee should receive credit for a personal jurisdiction analysis ONLY if it is offered in the context of determining where the distributor "resides" for venue purposes.] [NOTE #2: Here, neither the second nor the third basis for venue is applicable.

Question call(s): 1. Should the court grant the motion to dismiss for lack of subject-matter jurisdiction? Explain. | 2. Should the court grant the motion to dismiss for improper venue? Explain.

February 2014 — Question 4

Primary source subject: Federal Civil Procedure

Question summary: This question involves A builder constructed a vacation house for an out-of-state customer on the customer's land. The house was completed on June 1, at which point the customer still owed $200,000 of the $800,000 contract price, which was payable in full five days later. The core dispute asks Should the court order the customer to turn over the engineer's report? Explain. 2. Should the court sanction the builder for the destruction of emails related to the case, and if so, what factors should the court consider in determining... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- A builder constructed a vacation house for an out-of-state customer on the customer's land.
- On June 14, the basement of the house was flooded with two inches of water during a heavy rainfall.

- The customer, pleased by the builder's cooperative attitude, immediately hired a structural engineer to examine the foundation of the house.
- Unhappy with the conclusions in the engineer's report, the customer then hired a home inspector to evaluate the house.

Condensed sample-answer path:

1. Point One (40%) The customer must turn over the engineer's report because it was not prepared in ant

Short answer: In general, a party to a lawsuit in federal court "may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense." FED.

Rule(s):

- In general, a party to a lawsuit in federal court "may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense." FED.
- If there's a problem, we'll fix it." The customer appears to have acted in response to that statement.

Fact-based analysis:

- Here, the customer hired a structural engineer to examine the foundation of the house.
- Thus, if the customer had hired the structural engineer to prepare a report "in anticipation of litigation," that report might not be discoverable.
- In this case, however, the customer hired the engineer to evaluate the foundation of the house as part of the customer's negotiation with the builder concerning the house's flooding problem.
- Accordingly, the structural engineer's report is discoverable and the court should order the customer to turn it over. [NOTE: If an examinee concludes that the structural engineer's report was prepared in anticipation of litigation, then the examinee should also conclude that the report is not discoverable.

Conclusion: Accordingly, if an examinee concludes that the report was prepared in anticipation of litigation, the examinee should also conclude that the builder is not entitled to see the report.]

2. Point Two(a) (30%) Because the builder anticipated that it might be involved in litigation concernin

Short answer: As noted above, a party to a lawsuit in federal court "may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense." FED.

Rule(s):

- As noted above, a party to a lawsuit in federal court "may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense." FED.
- In general, spoliation of evidence (destruction or alteration of evidence) is improper if the party who destroyed or altered the evidence "has notice that the evidence is relevant to litigation or . . . should have known that the evidence may be relevant to future litigation." Fujitsu Ltd. v.
- Federal Express Corp., 247 .

Fact-based analysis:

- Here, the customer has requested all the builder's emails pertaining to work done on the foundation of the house.
- In this case, the builder's destruction of the emails was pursuant to a routine document retention plan.
- Thus, the builder's destruction of potentially relevant emails at a time when it knew that litigation was a possibility was improper.

Conclusion: Thus, the builder's destruction of potentially relevant emails at a time when it knew that litigation was a possibility was improper.

3. Point Two(b) (30%) In determining appropriate sanctions for spoliation, courts consider both the lev

Short answer: Federal courts have inherent power to control the litigation process and can sanction misbehavior, including spoliation, even when there has been no specific violation of the Federal Rules of Civil Procedure.

Rule(s):

- Federal courts have inherent power to control the litigation process and can sanction misbehavior, including spoliation, even when there has been no specific violation of the Federal Rules of Civil Procedure.
- 2007) (spoliation sanction requires intentional destruction out of desire "to suppress the truth").
- However, other courts have said that negligence in preserving evidence can support an adverse-inference instruction.

Conclusion: Second, the loss of this evidence will not severely hinder the customer's presentation of his case.

Question call(s): 1. Should the court order the customer to turn over the engineer's report? Explain. | 2. Should the court sanction the builder for the destruction of emails related to the case, and if so, what factors should the court consider in determining those sanctions? Explain.

July 2014 — Question 4

Primary source subject: Federal Civil Procedure

Question summary: This question involves The United States Forest Service (USFS) manages public lands in national forests, including the Scenic National Forest. Without conducting an environmental evaluation or preparing an environmental impact statement, the USFS approved a development project in the Scenic National Forest that required... The core dispute asks What types of relief could the nonprofit seek to stop the USFS from issuing a logging permit during the pendency of the action, what must the nonprofit demonstrate to obtain that relief, and is the federal district court likely to grant... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Relevant facts to use:

- The United States Forest Service (USFS) manages public lands in national forests, including the Scenic National Forest.
- The USFS solicited bids from logging companies to harvest the trees on the 5,000 acres of forest targeted for clearing, and it ultimately awarded the logging contract to the company that had submitted the highest bid for the trees.
- A nonprofit organization whose mission is the preservation of natural resources has filed suit in federal district court against the USFS.
- Assume that federal subject-matter jurisdiction is available, that the nonprofit has standing to bring this action, and that venue is proper.

Condensed sample-answer path:

1. Point One (50%) Rule 24(a) of the Federal Rules of Civil Procedure requires federal courts to allow

Short answer: Rule 24 of the Federal Rules of Civil Procedure governs intervention, the process by which a nonparty to an action may join the litigation.

Rule(s):

- Rule 24 of the Federal Rules of Civil Procedure governs intervention, the process by which a nonparty to an action may join the litigation.
- Under Rule 24(a) (intervention of right), a person must be permitted to intervene if three conditions are met: (1) the movant "claims an interest relating to the property or transaction that is the subject of the action," (2) the movant "is so situated that disposition of the action may as a practical matter impair or impede the movant's ability to protect its interest," and (3) "existing parties" do not "adequately represent [the movant's] interest." FED.
- Second, the logging company's interest in receiving a logging permit may well be impaired, as a practical matter, by the outcome of the lawsuit.

Fact-based analysis:

- Here, the court should find that the logging company meets this test.
- Here, that condition is easily satisfied.
- Here, it could be argued that the USFS adequately represents the logging company's interest because the USFS presumably wants the court to uphold its development plan and allow it to proceed with issuance of the logging permit, which is the same relief that the logging company would seek.
- Thus, the district court would have discretion to permit the logging company to intervene even if it denied intervention of right.]

Conclusion: Thus, the district court would have discretion to permit the logging company to intervene even if it denied intervention of right.]

2. Point Two(a) (25%) The nonprofit organization could seek and would likely obtain a temporary restrai

Short answer: The first type of interim relief the nonprofit could seek to stop the USFS from issuing a logging permit to the logging company is a temporary restraining order (TRO) prohibiting the USFS from issuing the logging permit.

Rule(s):

- A TRO can be issued without notice to the adverse party, but only in limited circumstances and only for a limited time.
- To secure a TRO without notice, the nonprofit would need to submit an affidavit containing specific facts that demonstrate a risk of "immediate and irreparable injury" if a permit is issued.

Fact-based analysis:

- Here, the court is likely to grant the nonprofit's request.

Conclusion: The nonprofit could plausibly claim that cutting down 5,000 acres of old-growth forest in an area that is home to the highest concentration of wildlife in the western United States would have "an immediate and irreparable" adverse impact on the environment and cause irreparable harm to the nonprofit's interest in preserving and protecting natural resources, including wildlife habitat.

3. Point Two(b) (25%) The nonprofit could also seek, and would likely obtain, a preliminary injunction

Short answer: Because the TRO would be temporary, the nonprofit would need to move for a preliminary injunction to prevent the USFS from issuing a logging permit throughout the pendency of the litigation.

Rule(s):

- Rule 65 of the Federal Rules of Civil Procedure sets out the procedural requirements for preliminary injunctions.
- Preliminary injunctions may be granted only upon notice to the adverse party, FED.
- While Rule 65 sets out the procedural requirements for preliminary injunctive relief, it does not specify the substantive grounds upon which it may be granted.

Fact-based analysis:

- Because the TRO would be temporary, the nonprofit would need to move for a preliminary injunction to prevent the USFS from issuing a logging permit throughout the pendency of the litigation.
- Here, a court would likely conclude that the potential for environmental damage to the forest creates a significant threat of irreparable harm.
- Thus, a court is very likely to grant a preliminary injunction if it concludes that the nonprofit has a significant likelihood of success on the merits.

Conclusion: Thus, a court is very likely to grant a preliminary injunction if it concludes that the nonprofit has a significant likelihood of success on the merits.

Question call(s): 1. If the logging company seeks to join the litigation as a party, must the federal district court allow it to do so as a matter of right? Explain. | 2. What types of relief could the nonprofit seek to stop the USFS from issuing a logging permit during the pendency of the action, what must the nonprofit demonstrate to obtain that relief, and is the federal district court likely to grant that relief? Explain.

February 2015 — Question 5

Primary source subject: Civil Procedure

Question summary: This question involves MedForms Inc. processes claims for medical insurers. The core dispute asks MedForms Inc. processes claims for medical insurers. Last year, MedForms contracted with a data entry company ("the company") to enter information from claims into MedForms's database. MedForms hired a woman to manage the contract with the... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- ANALYSIS
- Do the Federal Rules of Civil Procedure permit service of process on a corporation to be made by delivery of the summons and complaint to a chief executive officer of the corporation at corporate headquarters when the relevant state law requires service on the corporation's secretary?
- Are two corporations diverse for purposes of federal jurisdiction when they are incorporated and headquartered in different states but their main facilities are located in the same state, which is also the state of incorporation of one of the businesses?

- Can a third-party defendant be joined to a case when the claim against that third-party defendant is factually related to the plaintiff's original cause of action but the claimant does not allege that the third-party defendant is liable to the original plaintiff or responsible for the original plaintiff's damages? Summary
- . Finally, this method of service (personal delivery of the summons and complaint to the CEO) was reasonably calculated to provide the company with actual notice of the case and therefore satisfies constitutional requirements. See Mullane v. Central Hanover Bank & Trust, 339
- . Point Two (35%) The District Court has diversity jurisdiction over MedForms's breach of contract claim because the amount in controversy exceeds $75,000 and MedForms and the company are citizens of different states. MedForms's breach of contract claim against the company is created by state law and therefore cannot support federal-question jurisdiction. See 28 . § 1331. Original jurisdiction will exist, if at all, under 28 . § 1332 (diversity jurisdiction). Federal district courts can exercise jurisdiction over claims between citizens of different states where the amount in controversy exceeds $75,000. 28 . § 1332. Here, MedForms has claimed damages of $500,000, and the court will accept this as the amount in controversy unless the allegation was made in bad faith or it appears to a legal certainty that the plaintiff cannot recover that amount. There is nothing in the facts of this problem to suggest that MedForms's claim was made in bad faith or that its damages were less than $75,000 to a legal certainty. Hence, the amount-in-controversy requirement is satisfied. The question is therefore whether MedForms (the third-party plaintiff) and the company (the third-party defendant) are citizens of different states. For diversity purposes, corporations have dual citizenship. A corporation is a citizen both of the state where it is incorporated and also of the state where it has its principal place of business. A corporation's principal place of business is the corporation's "nerve center" (i.e., "the place where a corporation's officers direct, control, and coordinate the corporation's activities"). Hertz Corp. v. Friend, 559

Relevant facts to use:

- MedForms Inc. processes claims for medical insurers.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: The company was properly served.

Rule(s):

- Federal Rule of Civil Procedure 4(h) provides that service of process may be made on a corporation by delivering a copy of the summons and complaint to a corporate officer or to a general or managing agent.
- The District Court has diversity jurisdiction over MedForms's state-law claim against the company.
- Federal Rule of Civil Procedure 14(a) authorizes a defendant to bring a complaint against a nonparty (a "third-party complaint") only in situations in which the original defendant asserts that the third-party defendant is somehow liable for whatever the original defendant might owe the original plaintiff.

Fact-based analysis:

- Because the Federal Rules explicitly authorized this manner of service, it does not matter that it did not comply with State A or State B law.
- MedForms is a citizen of State A, where it is incorporated and has its headquarters.
- The company is a citizen of State B, where it is incorporated and has its headquarters.
- The fact that the document processing facilities for both companies are in State A does not prevent them from being diverse.

Conclusion: Thus, MedForms's attempt to bring a third-party complaint against the company exceeds the bounds of proper joinder, and MedForms's complaint should be stricken. [NOTE: In the facts, the company moves to "dismiss MedForms's third-party complaint for . . . (c) improper joinder." Civ.

July 2015 — Question 2

Primary source subject: Civil Procedure

Question summary: This question involves A woman attended a corporation's sales presentation in State A. At this presentation, the corporation's salespeople spoke to prospective buyers about purchasing so-called "super solar panels," rooftop solar panels that the corporation's salespeople said were 100 times as efficient as traditional... The core dispute asks Does the State A federal district court have personal jurisdiction over (a) the corporation? Explain. (b) the engineer? Explain. 2. Assuming that there is personal jurisdiction over both defendants, does the State A federal district court... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- ANALYSIS
- (a) Does a court have personal jurisdiction to hear a claim against a nonresident corporation when the corporation engaged in significant activity in the state related to the transaction that is the subject matter of the plaintiff's cause of action?
- (b) Does a court have personal jurisdiction to hear a claim against a nonresident individual when the individual produced a brochure for a business, where the brochure is related to the transaction that is the subject matter of the plaintiff's cause of action, and the individual had knowledge that the business would circulate the brochure to consumers in other states in an effort to influence their purchasing decisions?
- (a) Does a federal district court have subject-matter jurisdiction over a complaint that seeks damages from a defendant for making false or misleading statements committed in violation of a federal statute?
- (b) Can a federal district court assert supplemental jurisdiction over a cross-claim asserted by one defendant against another defendant when the claim is part of the same case or controversy as the plaintiff's claim but the cross-claim is based on state law and the defendants are not diverse from each other? Summary

Relevant facts to use:

- A woman attended a corporation's sales presentation in State A.
- Based on what she was told at this presentation and the brochure she received, the woman decided to purchase solar panels from the corporation for $20,000.
- A federal statute prohibits "material misstatements or omissions of fact in connection with the sale or purchase of solar panels" and provides an exclusive civil remedy for individuals harmed by such statements.
- Relying on this federal statute, the woman has sued the corporation and the independent engineer in the U.S.

Condensed sample-answer path:

1. Point One(a) (25%)

Short answer: The corporation has sufficient connection with State A to permit a court to exercise jurisdiction over it with respect to a claim arising out of those contacts.

Rule(s):

- The corporation has sufficient connection with State A to permit a court to exercise jurisdiction over it with respect to a claim arising out of those contacts.
- Federal district courts may exercise personal jurisdiction to the same extent as the courts of general jurisdiction of the state in which the district court sits.
- Here, State A's long-arm statute authorizes its courts to exercise jurisdiction as far as the .

Fact-based analysis:

- So the question is whether the defendants have sufficient contacts with State A such that a State A court could constitutionally exercise jurisdiction over them.
- In this case, the corporation sent salespeople to State A to solicit the woman to purchase its product.
- During this visit, the corporation presented information aimed at inducing the woman to buy the super solar panels, and its sales presentation succeeded.
- It also shipped its product to the woman in State A.

Conclusion: Here, there are good reasons for the litigation to be in State A rather than anywhere else (e.g., the woman lives there, the defendant engaged in the tortious activity there, and the panels were installed there), and there is nothing to suggest that litigating in State A would impose a particularly onerous burden on the corporation.

2. Point One(b) (15%)

Short answer: The engineer is probably not subject to jurisdiction in State A, given that his activities were confined to State B and he did not purposefully avail himself of the benefits or protections of State A law.

Rule(s):

- The engineer is probably not subject to jurisdiction in State A, given that his activities were confined to State B and he did not purposefully avail himself of the benefits or protections of State A law.
- Nicastro, 131 ry of personal jurisdiction and held that merely placing a product in the stream of commerce with awareness that it might reach a particular state was not a sufficient basis to exercise jurisdiction over the manufacturer of the product.
- In particular, according to the plurality, the transmission of goods (e.g., the brochure) to the forum is a sufficient basis for jurisdiction "only where the defendant can be said to have targeted the forum; as a general rule, it is not enough that the defendant might have predicted that its goods will reach the forum State." Id. at 2788.

Fact-based analysis:

- The engineer has never been physically present in State A, and there is no evidence that the engineer does business in State A.
- There is also no evidence that the engineer's activities specifically targeted State A in any way.
- Furthermore, it was reasonably foreseeable to the engineer that a prospective buyer in another state, including State A, might rely on the accuracy of the information in the brochure when making a purchase decision.
- The engineer has, in effect, placed the brochure in the stream of commerce and thus reached out across state lines to communicate with and affect the decisions of State A purchasers.

Conclusion: In the absence of any facts to suggest that the engineer targeted State A when he prepared the brochure and supplied it to the corporation for distribution, or that the engineer has other connections with State A, the State A court should dismiss the action against the engineer for lack of personal jurisdiction.

3. Point Two(a) (20%)

Short answer: The federal district court has subject-matter jurisdiction over the woman's claim because it arises under a federal statute.

Rule(s):

- The federal district court has subject-matter jurisdiction over the woman's claim because it arises under a federal statute.
- Pursuant to 28 . § 1331, federal courts have "original jurisdiction of all civil actions arising under the . . . laws . . . of the United States." This provision gives a federal court subject-matter jurisdiction over any case in which a plaintiff's well-pleaded complaint alleges a cause of action based on federal law.
- Because the claim the woman is asserting is created by federal statutory law, it lies squarely within the district court's original federal-question jurisdiction under § 1331. [NOTE: The court does not have diversity jurisdiction over the case because the woman is seeking only $30,000, well below the $75,000 amount-in-controversy requirement that applies to diversity actions.

Fact-based analysis:

- In this case, the woman's claim is based on allegations that the defendants made false representations in violation of the federal statute.
- Whether the woman has a claim on these facts, and whether the defendants' alleged actions did, indeed, violate the federal statute, are questions of federal law central to her claim.

4. Point Two(b) (40%)

Short answer: The federal court has supplemental jurisdiction over the engineer's cross-claim, and there is no reason for it to decline to exercise that jurisdiction.

Rule(s):

- The federal court has supplemental jurisdiction over the engineer's cross-claim, and there is no reason for it to decline to exercise that jurisdiction.
- The claim is an ordinary contract claim based on state law, so there is no federal-question jurisdiction.
- Furthermore, because the engineer is a resident of State B and the corporation is incorporated and has its principal place of business in State B, they are both considered citizens of that state, so the court would have no diversity jurisdiction.

Fact-based analysis:

- As noted, in the present problem the federal court could exercise federal-question jurisdiction over the woman's claims against the two defendants.
- The question, therefore, is whether the engineer's cross-claim is sufficiently related to the woman's claim to be part of the same case or controversy.
- The engineer alleges that the corporation owes him indemnity based on the terms of contract between the corporation and the engineer pursuant to which the engineer prepared the very material that the woman alleges was false.
- The material in question, and its accuracy or inaccuracy, is central to the woman's claim, and the contract between the engineer and the corporation for the production of that material will probably be relevant to an assessment of her allegations against each party.

Conclusion: The material in question, and its accuracy or inaccuracy, is central to the woman's claim, and the contract between the engineer and the corporation for the production of that material will probably be relevant to an assessment of her allegations against each party.

Question call(s): 1. Does the State A federal district court have personal jurisdiction over

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July 2016 — Question 6

Primary source subject: Civil Procedure

Question summary: This question involves A woman and a man have both lived their entire lives in State A. The man once went to a gun show in State B where he bought a gun. The core dispute asks A woman and a man have both lived their entire lives in State A. The man once went to a gun show in State B where he bought a gun. Otherwise, neither the woman nor the man had ever left State A until the following events occurred. The... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- May the on personal service on the man while he was temporarily in State C?
- (a) Does the r the woman's Safety Act claim?
- (b) Does the r the woman's state-law negligence claim?
- Is venue proper in the

Relevant facts to use:

- A woman and a man have both lived their entire lives in State A.

Condensed sample-answer path:

1. Point Three (25%)

Short answer: Venue is not appropriate in the tate C, the events giving rise to the woman's claims did not occur there, and there is another district (in State A) where venue would have been proper.

Rule(s):

- Under § 1391(b), venue is appropriate "in (1) a judicial district in which any defendant resides, if all defendants are residents of the State in which the district is located, (2) a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred, . . . or (3) if there is no district in which an action may otherwise be brought . . . , any judicial district in which any defendant is subject to the court's personal jurisdiction with respect to such action." The man does not reside in the district of State C, so venue cannot be based on § 1391(b)(1).

Fact-based analysis:

- Venue is not appropriate in the tate C, the events giving rise to the woman's claims did not occur there, and there is another district (in State A) where venue would have been proper.
- State C also does not qualify as an appropriate venue pursuant to § 1391(b)(2) because it is not "a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred." Here, the events

giving rise to the woman's claims were the disabling of the gun's safety features and the accidental shooting—both of which occurred in State A.

- One might argue that a substantial part of the events giving rise to the claim occurred in State C because the woman received medical treatment there and, as a result, it was in State C that the woman experienced much of the harm (physical suffering and medical expenses) for which she seeks to recover damages.
- Nor would venue be appropriate in State C on the § 1391(b)(3) grounds that the man was found there at the time of service.

Conclusion: Thus, the man's motion to dismiss for improper venue should be granted.

July 2017 — Question 6

Primary source subject: Civil Procedure/Conflict of Laws

Question summary: This question involves Taxes Inc. ("Taxes") is a tax preparation business incorporated in State A, where it has its corporate headquarters. The core dispute asks Should the court consider the woman's motion to dismiss for insufficient service of process? Explain. 2. If the court considers the woman's motion to dismiss for insufficient service of process, should it grant that motion? Explain. 3. In... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- ANALYSIS
- Can a motion to dismiss be amended, prior to a responsive filing being made, to add a ground for dismissal that would otherwise be waived because it was not raised in the initial motion to dismiss?
- Is service of a summons and complaint sufficient when the documents are not served personally on the defendant, but instead are given to the defendant's parent at the defendant's parents' home where the defendant previously lived?
- What choice-of-law approach should be followed by a federal court exercising its diversity jurisdiction?
- Under the Restatement (Second) approach to choice of law, should a court honor a contractual choice-of-law clause when the parties have chosen the law of a state that is connected to their transaction but that law is different from the law of another state with an interest in the matter? Summary
- . Further, "[a] party waives any defense listed in rule 12(b)

Relevant facts to use:

- Taxes Inc. ("Taxes") is a tax preparation business incorporated in State A, where it has its corporate headquarters.
- the motion, the woman filed an "amended motion to dismiss." The amended motion sought dismissal on the same basis as the original motion (failure to state a claim), but also asked the court to dismiss the action for insufficient service of process.

Condensed sample-answer path:

1. Point Two (30%) The court should grant the woman's motion and dismiss the action for insufficient se

Short answer: (a) the chosen state has no substantial relationship to the parties or the transaction and there is no other reasonable basis for the parties' choice, or (b) application of the law of the chosen state would be contrary to a fundamental policy of a state which has a materially greater interest than the chosen state in the determination of the particular issue and which, under the rule of § 188 [a “most significant relationship” test], would be the state of the applicable law in the absence of an effective choice of law by the parties.

Rule(s):

- If the court concluded that the noncompete covenant violated a fundamental public policy of State B, it might conclude that State B would refuse to enforce the covenant despite the fact that it was made in State A.] February 2018 MEE Questions and Analyses Contents

- Areas of law that may be covered on the MEE include the following: Business Associations (Agency and Partnership; Corporations and Limited Liability Companies), Civil Procedure, Conflict of Laws, Constitutional Law, Contracts (including Article 2 [Sales] of the Uniform Commercial Code), Criminal Law and Procedure, Evidence, Family Law, Real Property, Torts, Trusts and Estates (Decedents’ Estates; Trusts and Future Interests), and Article 9 (Secured Transactions) of the Some questions may include issues in more than one area of law.
- The primary distinction between the MEE and the Multistate Bar Examination (MBE) is that the MEE requires the examinee to demonstrate an ability to communicate effectively in writing.

Fact-based analysis:

- Here, the parties chose the law of State A, which has a substantial relationship to the parties and the transaction: both Taxes and the woman were located in State A when they signed their contract, and the contract concerned the terms of the woman’s employment in State A.
- Accordingly, the issue is whether the parties’ chosen law should be disregarded pursuant to Although State B’s law would not enforce this particular noncompete covenant because its duration is more than 18 months, State B’s policy does not appear to reflect a fundamental public policy against noncompete clauses in general.
- In fact, State B, like State A, generally enforces reasonable noncompete covenants, and this covenant would be considered unreasonable under State B law only because it is six months longer than State B courts allow.
- There are no facts to suggest that enforcing a noncompete clause longer than 18 months would violate a fundamental policy of State B.

Conclusion: If the court concluded that the noncompete covenant violated a fundamental public policy of State B, it might conclude that State B would refuse to enforce the covenant despite the fact that it was made in State A.] February 2018 MEE Questions and Analyses Contents
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February 2018 — Question 5

Primary source subject: Civil Procedure

Question summary: This question involves While speeding down a rural highway in State A, the driver of a moving van lost control of the van and struck a car. A passenger in the car was seriously injured. The core dispute asks May the court properly grant the plaintiff ’s motion for sanctions? Explain. 2. If the court grants the plaintiff ’s motion for sanctions, (a) what sanctions are appropriate and (b) against whom should the sanctions be ordered? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- ANALYSIS
- (a) Does a party violate Rule 11 by filing an answer containing a general denial, when there is no evidentiary support for the denial of some of the complaint's allegations and the attorney did not make any inquiry into the facts?
- (b) What requirements must a party satisfy before filing a motion for sanctions under Rule 11?
- (a) When an attorney files an answer on behalf of a client that contains a general denial that violates Rule 11, what sanctions should be imposed?
- (b) When an attorney files an answer on behalf of a client that contains a general denial that violates Rule 11, on whom should the sanctions be imposed? Summary
- by asserting a legal contention unwarranted by existing law, any monetary sanctions attributable to that violation could be imposed only on the attorney and not on the defendants. The facts do not indicate that the driver and the moving company are responsible for, or even knew of, the attorney's decision to file a general denial. Thus, the sanctions, if any, likely would be imposed on the defendants' attorney and his law firm, and not on the defendants.

Relevant facts to use:

- While speeding down a rural highway in State A, the driver of a moving van lost control of the van and struck a car.
- One month later, after the defendants had failed to withdraw or amend their answer, the plaintiff filed the motion for sanctions in court.

Condensed sample-answer path:

1. Point One(a) (35%) The court should grant the motion for sanctions because the defendants' attorney

Short answer: being "reasonably based on belief or a lack of information," they were proper only if they were "warranted on the evidence." Civ.

Rule(s):

- If he had done so, he would have seen that denying the propriety of venue was unwarranted under the law.
- A lawyer who files an inaccurate pleading is not subject to sanctions if the lawyer acted in good faith after making a pre-filing "inquiry" that was "reasonable under the circumstances." Reasonableness is judged as of the time the pleading was submitted, and depends on "such factors as how much time for investigation was available to the signer; whether he had to rely on a client for information as to the facts underlying the pleading, motion, or other paper; whether the pleading, motion, or other paper was based on a plausible view of the law; or whether he depended on forwarding counsel or another member of the bar." Civ.
- Before a party may seek sanctions under Rule 11, the party must serve on the opposing party a motion that describes the specific conduct that allegedly violated the rule.

Fact-based analysis:

- The accident occurred in the district in which the plaintiff filed suit.

- Here, the defendants' attorney had only a few days to investigate, and the attorney was in the midst of a trial at the time.
- Nonetheless, the attorney or another member of the firm should have known, or could have easily discovered, simple facts such as the state of citizenship of his clients, that the driver was acting in the course of employment at the time of the accident, and that the driver resided in the district where the action was filed.
- Here, the plaintiff 's lawyer followed the proper procedure for presenting a Rule 11 motion.

Conclusion: If the plaintiff were to argue that the defendants should also be sanctioned because they contributed to the attorney's decision to file a general denial by failing to give the attorney a copy of the complaint until very close to the date an answer was due, a court would almost certainly reject that argument.

February 2019 — Question 4

Primary source subject: Civil Procedure

Question summary: This question involves An airline is incorporated in State A, where its corporate headquarters are located. The facility where it receives and processes online and telephone reservation requests is located in State B. The core dispute asks An airline is incorporated in State A, where its corporate headquarters are located. The facility where it receives and processes online and telephone reservation requests is located in State B. It employs 150 people at that facility. The... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- ANALYSIS
- (a) Does the woman's claim for $1 million in damages satisfy the amount-incontroversy requirement for diversity jurisdiction?
- (b) Is the woman a citizen of State C or State A for the purpose of determining federal diversity jurisdiction?
- (c) Is the airline a citizen of State A, State B, or State C for the purpose of determining federal diversity jurisdiction?
- (a) Are there sufficient contacts between the airline and State B for a State B court to exercise specific personal jurisdiction over the airline in a personal injury action brought by a State C resident, arising out of an accident in State A, and involving travel between States A and C?
- (b) Are there sufficient contacts between the airline and State B for a State B court to exercise general personal jurisdiction over the airline in a personal injury action brought by a State C resident, arising out of an accident in State A, and involving travel between States A and C? Summary

Relevant facts to use:

- An airline is incorporated in State A, where its corporate headquarters are located.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: The court should grant the motion to dismiss.

Rule(s):

- Although the court would have diversity jurisdiction, the court lacks personal jurisdiction over the airline.

- The woman's claim against the airline is based on state law, so diversity is the only basis upon which a federal district court could exercise subject-matter jurisdiction over this case.
- Here, the amount in controversy is more than $1 million and clearly sufficient for diversity jurisdiction.

Fact-based analysis:

- The woman's citizenship, determined by her domicile, is State C, where she has lived her entire life.
- The airline is a citizen of State A, where it is incorporated and where its corporate headquarters are located.
- The federal court in this case can exercise personal jurisdiction over the airline only if the airline would be subject to the jurisdiction of the State B state courts.
- Because the State B courts exercise jurisdiction to the limits of the Constitution, the question is whether the airline has sufficient "minimum contacts" with State B "such that the maintenance of the suit [in State B] does not offend traditional notions of fair play and substantial justice." International Shoe Co. v.

Conclusion: Because there is no personal jurisdiction, the court should grant the motion to dismiss. [NOTE: Pursuant to 28 . § 1631, the court has the authority to transfer the case to another court in order to avoid the jurisdictional problem.

July 2019 — Question 6

Primary source subject: Civil Procedure/Constitutional Law

Question summary: This question involves Trident Healthcare Inc., incorporated in State X, owns and operates hospitals and clinics in States X, Y, and Z. Medical information for all of Trident's current and former patients is stored on computer equipment housed at Trident's corporate headquarters in State X. The core dispute asks Trident Healthcare Inc., incorporated in State X, owns and operates hospitals and clinics in States X, Y, and Z. Medical information for all of Trident's current and former patients is stored on computer equipment housed at Trident's... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Does a federal district court have diversity jurisdiction over a class action when (a) the amount in controversy is $15,000,000 and (b) there is no diversity between the defendant and the class representative, though there is diversity between the defendant and other class members?
- Does a state-law rule prohibiting class actions for recovery of statutory damages apply to bar a class action brought in federal court when the state rule is contained in a state statute governing court procedure and is not tied to any particular state-law substantive right?
- Do the members of a plaintiff class have standing to bring a claim in federal court when they cannot prove tangible damage to themselves but do have a claim for statutory damages for violations of privacy rights protected by state law?
- (A), a federal district court can exercise diversity jurisdiction over a class action if (i) "the matter in controversy exceeds the sum or value of $5,000,000" and (ii) "any member of a class of plaintiffs is a citizen of a State different from any defendant" (i.e., "minimal diversity"). Here, those requirements are met. First, the amount in controversy exceeds $5,000,000. The plaintiff is suing on behalf of a class of at least 30,000 plaintiffs, each of whom has a statutory damages claim of $500. These claims can be aggregated in determining jurisdiction. See 28 . § 1332(d)

- . Thus, if the plaintiff's class claim is upheld, the amount in controversy exceeds $15,000,000. Second, there is minimal diversity between some members of the plaintiff class and the defendant. Trident is a citizen of State X, where it is incorporated and where its corporate headquarters are located. See 28 . § 1332(c)
- (a corporation is a citizen of its state of incorporation and the state where it has its principal place of business); Hertz Corp. v. Friend, 559

Relevant facts to use:

- Trident Healthcare Inc., incorporated in State X, owns and operates hospitals and clinics in States X, Y, and Z.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Trident's motion to dismiss for lack of subject-matter jurisdiction should be denied.

Rule(s):

- Summary Trident's motion to dismiss for lack of subject-matter jurisdiction should be denied.
- A federal district court can exercise diversity jurisdiction over a class action if the amount in controversy exceeds $5,000,000 and any member of the class is diverse from any defendant (i.e., there is minimal diversity).
- If the class claims are upheld, total damages will be at least $15,000,000, far in excess of the $5,000,000 required to be in controversy for this kind of action.

Fact-based analysis:

- Here, those requirements are met.
- There is minimal diversity because the defendant is a citizen of State X, while some members of the class live in States Y and Z.
- So federal procedural rules for class actions govern, not State X procedural rules.
- The federal court is not bound by State X's law barring class actions to recover statutory damages.

Conclusion: The Court in Spokeo also said that actual monetary harm to a plaintiff isn't required for standing: an "intangible" injury can nonetheless be a "concrete injury." Moreover, the Court indicated that a legislative judgment that certain intangible harms constitute injury in fact would be "instructive." But the Court made clear that a plaintiff does not satisfy the injury-in-fact requirement merely because a statute has granted the plaintiff a statutory right and the defendant has allegedly violated that statute.

February 2020 — Question 3

Primary source subject: Civil Procedure

Question summary: This question involves During a snowstorm, a woman and a man were driving in opposite directions on a state highway when their cars collided head-on in the middle of the road. At the moment of impact, the locking mechanism on the woman's seat belt malfunctioned, and the woman was thrown from her car and seriously injured. The core dispute asks During a snowstorm, a woman and a man were driving in opposite directions on a state highway when their cars collided head-on in the middle of the road. At the moment of impact, the locking mechanism on the woman's seat belt malfunctioned,... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Under the Federal Rules of Civil Procedure, did the woman properly join the man, AmCo, and CarCo as defendants in a single action?
- Under the Federal Rules of Civil Procedure, did CarCo properly join LockCo as a party to the woman's action against CarCo?
- , the woman may join all three defendants in a single action. Joinder is permitted because the woman's claims against the three defendants arise out of the same series of occurrences (the two related accidents) and because there are questions of fact common to all defendants (the nature, extent, and cause of the woman's injuries). Joinder is not barred by the fact that there are differences in the legal and factual bases for the liability of the three defendants. Under Civ. P. 14(a)
- , CarCo may file a third-party complaint (impleader) against LockCo, thereby joining LockCo to the action as a third-party defendant. Here, based on CarCo's claim for indemnification, CarCo would be asserting that LockCo, as the manufacturer and supplier of the allegedly defective seat belt locking mechanism, is liable to CarCo for CarCo's liability to the woman. Point One (50% total weight) Under Civ. P. 20(a)
- , the woman may join all three defendants in a single action because her claims for relief against all three defendants arise out of a single series of related occurrences and there are questions of fact common to all defendants. Civ. P. 20(a)
- governs permissive joinder of parties. It provides as follows: Persons . . . may be joined in one action as defendants if: (A) any right to relief is asserted against them jointly, severally, or in the alternative with respect to or arising out of the same transaction, occurrence, or series of transactions or occurrences; and (B) any question of law or fact common to all defendants will arise in the action. Here, all the requirements for permissive joinder are present. (30%) Same transaction, occurrence, or series of transactions or occurrences. The woman is asserting a right to relief against each defendant for injuries she suffered, either in the automobile accident or in the ambulance accident (which allegedly exacerbated her original injuries and caused new injuries). The basis for liability as to each defendant differs—the man's liability arises from the man's alleged negligent driving at the original accident scene, AmCo's liability arises from the alleged negligent driving of its driver triggering the second accident, and CarCo's liability is based on products liability and arises from its sale to the woman of a car with an allegedly defective seat belt. Each defendant, if found liable for his or its respective acts, would be liable for some part of the injuries suffered by the woman. The woman's claims against the three defendants meet the "same transaction or occurrence" requirement. In determining whether claims against multiple defendants arise out of the same transaction or occurrence or series of transactions/occurrences, courts often ask whether the plaintiff's claims against the defendants are logically related. If there is a logical relationship between the claims and if it would serve judicial economy to hear the (related) claims together, the test is met. A typical situation is when an injured plaintiff joins "both the original tortfeasor and a second tortfeasor whose subsequent negligence aggravated plaintiff's original injuries." 7 Charles Alan Wright et al., Federal Practice and Procedure § 1653 (3d ed.). Here, even though the action involves two accidents, the two accidents are clearly related. The ambulance accident would not have occurred but for the first accident and the need to rush the woman to the hospital. Moreover, the ambulance accident exacerbated injuries suffered in the first accident. Because of this close relationship, the court should conclude that the two accidents are part of a single occurrence or that they are part of a related "series of . . . occurrences," and that judicial economy would be served by allowing the court to resolve the question of the cause or causes of the woman's injuries in a single action. (20%) Commonality. Finally, joinder of defendants requires that there be at least one "question of law or fact common to all defendants." Here, there are several common questions. The woman's claim against each defendant raises questions of the nature and extent of the woman's injuries, the precise cause of those injuries, and whether the woman was herself responsible for causing the original accident (and thus responsible for some part of her injuries). [NOTE: Civ. P. 19 ("Required

Joinder of Parties") is not applicable, as the Supreme Court has held that joint tortfeasors, as here, are not required parties under Rule 19 and are only permissive parties under Rule 20. Temple v. Synthes Corp., Ltd., 498

Relevant facts to use:

- During a snowstorm, a woman and a man were driving in opposite directions on a state highway when their cars collided head-on in the middle of the road.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: 20(a)(2), the woman may join all three defendants in a single action.

Rule(s):

- 20(a)(2), the woman may join all three defendants in a single action.
- 14(a)(1), CarCo may file a third-party complaint (impleader) against LockCo, thereby joining LockCo to the action as a third-party defendant.
- Here, based on CarCo's claim for indemnification, CarCo would be asserting that LockCo, as the manufacturer and supplier of the allegedly defective seat belt locking mechanism, is liable to CarCo for CarCo's liability to the woman.

Fact-based analysis:

- Joinder is permitted because the woman's claims against the three defendants arise out of the same series of occurrences (the two related accidents) and because there are questions of fact common to all defendants (the nature, extent, and cause of the woman's injuries).
- 20(a)(2), the woman may join all three defendants in a single action because her claims for relief against all three defendants arise out of a single series of related occurrences and there are questions of fact common to all defendants.
- Here, all the requirements for permissive joinder are present. (30%) Same transaction, occurrence, or series of transactions or occurrences.
- The woman is asserting a right to relief against each defendant for injuries she suffered, either in the automobile accident or in the ambulance accident (which allegedly exacerbated her original injuries and caused new injuries).

Conclusion: Such a discussion is outside the scope of the question and should be disregarded.

February 2021 — Question 3

Primary source subject: Civil Procedure

Question summary: This question involves A man was driving his truck on a divided highway in State B when the truck collided with a car driven by a woman. As a result of the collision, the man lost control of his truck, which skidded off the road into a deep ravine. The core dispute asks Is the woman precluded from bringing her claim as a result of the judgment in her favor in the lawsuit brought by the man in federal court in State A? Explain. 3. Is the man precluded from denying that he was negligent with respect to the... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- May two individuals who are injured in the same highway accident join their separate claims against the alleged wrongdoer in a single lawsuit in federal court?
- Is a person who is sued as a defendant in a lawsuit arising out of a highway accident, and who wins the case, precluded from bringing a subsequent lawsuit against the original plaintiff when that subsequent suit raises a claim that arises from the same highway accident and that could have been raised as a counterclaim in the prior lawsuit?
- (a) Is a party to an action precluded from litigating in a subsequent suit a factual issue that arose in a previous action?
- (b) May a nonparty to a prior lawsuit preclude a party to that suit from subsequently re-litigating an issue that was litigated and decided in the prior lawsuit?
- those claims "aris[e] out of the same . . . occurrence," and
- "any question of law or fact common to all plaintiffs will arise in the action." Civ. P. 20(a)

Relevant facts to use:

- A man was driving his truck on a divided highway in State B when the truck collided with a car driven by a woman.
- 3.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Under the Federal Rules of Civil Procedure, the woman and the passenger may bring their individual claims against the man in a single lawsuit because those separate claims each arise out of the same occurrence (the highway accident) and resolution of each claim will involve the determination of at least one common issue (the man's negligence).

Rule(s):

- Summary Under the Federal Rules of Civil Procedure, the woman and the passenger may bring their individual claims against the man in a single lawsuit because those separate claims each arise out of the same occurrence (the highway accident) and resolution of each claim will involve the determination of at least one common issue (the man's negligence).
- Under the federal compulsory counterclaim rule, she should have raised this claim in that first lawsuit.
- Under general principles of issue preclusion (collateral estoppel), the passenger is likely to be able to assert that the man is precluded from re-litigating the issue of his negligence in the highway accident.

Fact-based analysis:

- The woman's claim should be dismissed from the second lawsuit.
- Her claim arises out of the highway accident that was the subject of the man's original lawsuit against her in State A.
- That exact issue was litigated by the man in the prior action, the prior court made an explicit determination that the man was negligent, and that determination was necessary to the court's final judgment on the merits.
- Finally, there is nothing to suggest that the man was inadequately represented in the prior action or that he did not have a full and fair opportunity to litigate the negligence issue.

Conclusion: The current action does not provide the man with any different procedures that make it likely that re-litigation will lead to an improved or different decision of the issue of his negligence.]

Question call(s): 3. Is the man precluded from denying that he was negligent with respect to the passenger as a result of the judgment against him in the lawsuit he brought against the woman in federal court in State A? Explain.

July 2021 — Question 6

Primary source subject: Civil Procedure

Question summary: This question involves A 55-year-old woman had been employed for 30 years as a paralegal at a law firm in State A. One year ago, a 28-year-old male attorney became the firm's paralegal manager. The core dispute asks Should the federal court grant the attorney's motion to dismiss the woman's defamation claim on the ground that the federal court lacks jurisdiction over that claim because it is based entirely on state law? Explain. 2. Should the federal... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- (a) Does a federal court have original jurisdiction over a claim based on state defamation law when the parties are both citizens of the same state?
- (b) May a federal court exercise supplemental jurisdiction over a state-law defamation claim when that claim is raised in a civil action that also raises a federal claim (here, a violation of the ADEA) and both claims arise out of the same workplace conflict between the plaintiff and the defendant?
- (c) Under what circumstances may a federal court decline to exercise its supplemental jurisdiction?
- Should a federal court dismiss a defamation action based on state law when the plaintiff has not alleged "the particular words constituting defamation" as required under state law?
- . Here, the woman's defamation claim is based on state law, not federal law. Similarly, the defamation claim cannot be brought under the court's diversity jurisdiction. The facts clearly state that the woman and the attorney are both citizens and domiciliaries of State A. Thus, there is no diversity. For these reasons, there is no independent basis for the federal district court to assert original jurisdiction over the woman's defamation claim. However, the claim can be brought in federal district court if it falls within the court's supplemental jurisdiction. See Point One(b). [NOTE: An examinee might raise the possibility that the woman could claim original subjectmatter jurisdiction based on a potential affirmative defense by the attorney that his alleged defamation was protected by the First Amendment to the . The facts, however, do not suggest the possibility of this defense. Moreover, Mottley makes clear that just because a defendant might be able to raise a defense under federal law does not suffice to bring the case within the court's federal-question jurisdiction. Id. The plaintiff's claim must itself rest on federal law. An answer that indicates the contrary should receive no credit.] Point One(b) (40%) The federal district court can exercise supplemental jurisdiction over the woman's defamation claim because it is "so related to" her age-discrimination claim, over which the court has federalquestion jurisdiction, that it "form[s] part of the same case or controversy." When a federal court has original federal-question jurisdiction over one claim raised in a civil action, it may exercise "supplemental jurisdiction" over "all other claims that are so related" to that claim "that they form part of the same case or controversy under Article III of the United States Constitution." 28 . § 1367(a). The test most frequently used for determining whether claims are sufficiently related is whether the claims derive from a "common nucleus of operative fact" such that a plaintiff "would ordinarily be expected to try them all in one judicial proceeding." United Mine Workers of America v. Gibbs, 383

- (establishing test for "pendent jurisdiction"). Here, the woman has brought a claim under the federal Age Discrimination in Employment Act. Because the federal court has federal-question jurisdiction over that claim, the question is whether the woman's state-law defamation claim arises out of a "common nucleus of operative fact" shared with her age-discrimination claim. Both the woman's age-discrimination claim and her defamation claim arise out of her treatment by the attorney who became her supervisor at the law firm where she worked. Both claims relate to how the woman was treated in the workplace, including what the attorney said to the woman and about her within the hearing of other employees of the firm. Both claims concern the alleged reasons for the woman's being fired. The allegedly defamatory comments explicitly related to the woman's characteristics as an employee and were made to justify the attorney's decision to fire her. Under these circumstances, the claims arise out of a "common nucleus of operative fact," and the woman would be reasonably expected to try both claims in a single proceeding.

Relevant facts to use:

- A 55-year-old woman had been employed for 30 years as a paralegal at a law firm in State A.

Condensed sample-answer path:

1. Point One(c) (10%) There is no basis for the federal district court to decline to exercise its suppl

Short answer: Thus, the court should not grant the attorney's motion to dismiss the woman's defamation claim for lack of subject-matter jurisdiction.

Rule(s):

- Thus, the court should not grant the attorney's motion to dismiss the woman's defamation claim for lack of subject-matter jurisdiction.
- The issue is whether the woman's claim of defamation should be dismissed because she failed to satisfy a special state-law pleading rule concerning the specificity with which a complaint must state allegations of defamation.
- State A law requires a plaintiff claiming defamation to allege "the particular words constituting defamation." The woman's complaint did not state the defendant's exact words, and if the case were in state court, that failure might warrant dismissal of the action.

Fact-based analysis:

- Point Two (40%) Whether the woman has adequately pleaded her defamation claim will be determined by federal law, and not by State A's special pleading requirements, which do not apply in federal court.
- Thus, the court should not grant the attorney's motion to dismiss the woman's defamation claim for failing to plead with the specificity required by State A's pleading rules.
- Here, Rule 8(a) governs the pleading of claims in federal court, and it provides that a pleading is adequate if it contains a "short and plain statement of the claim showing that the pleader is entitled to relief." There are no special pleading rules for defamation under the Federal Rules.
- Thus, the Rule 8(a) notice pleading standard generally applies to any claim brought in federal court and prevails over any state-law pleading rules.

Conclusion: The call of the question asks only whether the court should grant the attorney's motion to dismiss for failing to plead defamation with the specificity required by the state pleading rules.] February 2022 MEE Questions and Analyses February 2022 MEE Questions Secured Transactions Criminal Law & Procedure Corporations & LLCs Agency Trusts & Future Interests Contracts

July 2022 — Question 5

Primary source subject: Civil Procedure

Question summary: This question involves Developer LLC is a limited liability company organized in State A, with its principal place of business in State A. Its only two members are Amy, a domiciliary of State A, and Barbara, a domiciliary of State B. The core dispute asks Is Developer a person "required to be joined if feasible" to the Builder v. Lender action under Federal Rule of Civil Procedure 19(a)? Explain. 2. Would joinder of Developer deprive the court of subject-matter jurisdiction? Explain. 3.... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Is a nonparty to a lawsuit a "required party" when adjudication of the issues in its absence may impair its interest and subject a party to the suit to the risk of inconsistent obligations?
- May an LLC be joined as a party to a federal lawsuit brought under the court's diversity jurisdiction when members of the LLC have the same citizenship as both the plaintiff and the defendant in the original lawsuit?
- When a required party cannot be joined to a federal lawsuit, should the suit be dismissed if the plaintiff can obtain an adequate remedy in state court through an action that includes the required party?

Relevant facts to use:

- Developer LLC is a limited liability company organized in State A, with its principal place of business in State A.

Condensed sample-answer path:

2. Point Two (50%) As an LLC, Developer has the same citizenship as its members: Amy, who is a citizen

Short answer: When joinder of a required party is not feasible, the court "must determine whether, in equity and good conscience, the action should proceed among the existing parties or should be dismissed." Civ.

Rule(s):

- When joinder of a required party is not feasible, the court "must determine whether, in equity and good conscience, the action should proceed among the existing parties or should be dismissed." Civ.
- The court must consider the plaintiff's interest in having a forum, the defendant's interest in avoiding duplicative litigation and the risk of multiple liability, the interest of the nonjoined party, and the public interest in efficient and complete litigation of controversies.
- Rule 19 identifies several factors for the court to consider, including the extent of prejudice to the absent party or existing parties if the litigation proceeds, the extent to which the court could mitigate that prejudice by shaping relief, the adequacy of a judgment rendered in the absence of the missing party, and whether the plaintiff would have an adequate remedy if the action were dismissed.

Fact-based analysis:

- Provident Tradesmens Bank & Trust Co. v.
- Here, the facts strongly support dismissal of Builder v.
- The most important consideration is that Builder appears to have a more-than-adequate alternative remedy available: it could file suit against both Developer and Lender in a state court in State A.
- Both Developer and Lender are State A entities and would be subject to personal jurisdiction in State A.

Conclusion: Lender should be dismissed.

February 2023 — Question 3

Primary source subject: Civil Procedure

Question summary: This question involves Big City, in State A, and Small Town, in State B, are located 10 miles apart. A woman and a man were driving in State B when their cars collided with each other. The core dispute asks Should the court take those actions? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Do the Federal Rules of Civil Procedure permit the woman to bring the company into the action as a third-party defendant?
- Assuming that the Federal Rules of Civil Procedure permit the woman to bring the company into the action, does the court have personal jurisdiction over the company despite the company's lack of contacts with State B?
- (a) Under the Federal Rules of Civil Procedure, what actions, if any, could be taken by the district court to allow the woman to immediately appeal the court's dismissal of her complaint against the insurance company?
- (b) Should the court take those actions?
- the court’s dismissal of her third-party claim is a final decision on her claim against the insurance company,
- she would be prejudiced by a delay in her appeal, and

Relevant facts to use:

- Big City, in State A, and Small Town, in State B, are located 10 miles apart.
- 3.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Under Rule 14(a) of the Federal Rules of Civil Procedure, a defendant may bring a third party into a pending lawsuit when that third party "is or may be liable to [the defendant] for all or part of the claim against [the defendant]." Here, the woman properly brought the insurance company into the action by having a summons and third-party complaint served on the company.

Rule(s):

- Summary Under Rule 14(a) of the Federal Rules of Civil Procedure, a defendant may bring a third party into a pending lawsuit when that third party "is or may be liable to [the defendant] for all or part of the claim against [the defendant]." Here, the woman properly brought the insurance company into the action by having a summons and third-party complaint served on the company.
- A federal district court can exercise personal jurisdiction over a third-party defendant who is brought into a lawsuit pursuant to Rule 14(a) if the defendant has minimum contacts with the State in which the court sits or if the defendant is served with process at a place within a judicial district of the United States and within 100 miles of the place where the summons was issued.

- Here, even though the insurance company did not have minimum contacts with State B sufficient to exercise general personal jurisdiction, it was served within a judicial district of the United States and in a location that was no more than 10 miles from the district court clerk's office, in Small Town, that issued the summons.

Fact-based analysis:

- The woman's third-party complaint properly alleged that the insurance company would be liable to indemnify her if she were found liable to the man.
- While Rule 4(k) ("the 100-mile-bulge rule") provides the most direct resolution of whether the court can exercise personal jurisdiction on these facts, the court also has specific personal jurisdiction over the defendant insurance company because the insurance policy imposed a "duty to defend" the woman and because it can be reasonably implied from the facts that the insurance company's territorial coverage included State B, where the accident occurred.
- Thus the woman can appeal the court's dismissal of her third-party complaint for lack of personal jurisdiction if the district court expressly determines that there is no just reason for delay and enters a final judgment on her claim.
- Point One (40%) The insurance company can be brought into the action as a third-party defendant because the insurance company may be liable to the woman for all or part of the claim against her.

Conclusion: Thus, the district court should certify for appeal under Rule 54(b) its dismissal of the woman's third-party complaint against the insurance company. [NOTE: The question expressly asks whether the Federal Rules of Civil Procedure provide any means to authorize the woman to file an immediate appeal.

Question call(s): 3. Under the Federal Rules of Civil Procedure, what actions, if any, could be taken by the district court to allow the woman to immediately appeal the court's dismissal of her complaint against the insurance company? Should the court take those actions? Explain.

July 2023 — Question 4

Primary source subject: Civil Procedure

Question summary: This question involves On January 4, 2023, Diner Inc. sued Tech Inc. The core dispute asks Is there any significant action that the court should take on its own initiative unrelated to the merits of the parties' summary-judgment motions? Explain. Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Is a statute of limitations defense properly presented to the court when it is raised in a motion for summary judgment but not in the answer to the complaint?
- Should a federal district court grant summary judgment on a breach of contract claim when there is conflicting evidence concerning the content of the contract but the weight of the evidence strongly favors a conclusion that there has been a breach?
- Can a case proceed in federal court when the admitted facts in the pleadings reveal an absence of subject-matter jurisdiction but the parties failed to raise the issue?

Relevant facts to use:

- On January 4, 2023, Diner Inc. sued Tech Inc. in federal district court in State A.

- In support of its motion, Tech cited the applicable statute of limitations, which states that actions for breach of contract must be brought within four years after the breach occurred.

Condensed sample-answer path:

1. Point One (25%) A statute of limitations defense is an affirmative defense that is forfeited if it i

Short answer: Here the parties presented evidence revealing a disputed fact material to whether a breach occurred: whether the agreement obligated Tech to provide a voice-recognition system that covered “all” menu items or only “combination meal” menu items.

Rule(s):

- Here the parties presented evidence revealing a disputed fact material to whether a breach occurred: whether the agreement obligated Tech to provide a voice-recognition system that covered “all” menu items or only “combination meal” menu items.
- In other words, whatever the district court may think about the strength of either party’s evidence, the conflicting evidence means that there is a genuine dispute about whether the contract obligated Tech to provide a voice-recognition system that covered all menu items.
- That fact is material, indeed critical, to the breach of contract claim.

Fact-based analysis:

- Thus, the court lacks subject-matter jurisdiction and must dismiss the complaint. (a) Sua sponte determination (20%) Diner’s complaint alleges that the court has diversity jurisdiction over its claim because Diner is incorporated in State C and Tech is incorporated in State D.
- Thus, the consent of the parties is irrelevant.” Insurance Corp. of Ireland, Ltd. v.
- Federal courts are expected to police subject-matter jurisdiction “on their own initiative even at the highest level.” Ruhrgas AG v.
- In this case, although the amount-in-controversy requirement is met, the requirement that the parties be “citizens of different States” is not satisfied.

Conclusion: The court should therefore dismiss the complaint.

July 2024 — Question 6

Primary source subject: Civil Procedure

Question summary: This question involves A woman was driving in State A when her sport-utility vehicle (SUV) collided with a car driven by a man. As a result of the accident, the woman, who is a citizen of State A, had significant injuries requiring treatment by a physician. The core dispute asks A woman was driving in State A when her sport-utility vehicle (SUV) collided with a car driven by a man. As a result of the accident, the woman, who is a citizen of State A, had significant injuries requiring treatment by a physician. The... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Was the man required to include information about his insurance coverage and the identity of the other witnesses to the accident in his initial disclosures?

- Is information about a defendant's eyesight within the scope of discovery in a case in which the defendant is alleged to have been driving negligently at the time of a traffic accident?
- How should the court rule on the woman's motion for judgment as a matter of law?

Relevant facts to use:

- A woman was driving in State A when her sport-utility vehicle (SUV) collided with a car driven by a man.
- 1.

Condensed sample-answer path:

1. Point One (25%) In his initial mandatory disclosures, the man was not required to disclose informati

Short answer: should proceed with the testimony taken subject to any objections.

Rule(s):

- An objection to deposition testimony "must be noted on the record, but the examination still proceeds; the testimony is taken subject to any objection." Civ.
- An instruction "not to answer" is proper "only when necessary to preserve a privilege, to enforce a limitation ordered by the court, or to present a motion [to terminate or limit the deposition]." Id.
- Under these circumstances, instructing the deponent not to answer was improper, and the man should have answered the question posed.

Fact-based analysis:

- Here, the man's counsel could make a relevance objection to the question asked, but the man nonetheless should have answered the questions about his eyesight.
- Accordingly, the trial court should not have denied the woman's motion to compel. [NOTE #1: Under the federal rules, it is not a defense to a violation of the discovery rules that a party relied on the advice of counsel in taking the action subject to a motion to compel.
- While a court may consider a party's reliance on counsel in deciding what sanctions (if any) to impose for the violation, the question asks only whether the trial court ruled correctly on the woman's motion to compel.
- Here, information about the man's eyesight was not privileged.

Conclusion: As a result, neither instructing the man not to answer nor terminating the deposition was warranted.]

2. Point Three (50%) The woman's motion for judgment as a matter of law should be denied because a reas

Short answer: February 2025 MEE Questions and Analyses February 2025 MEE Questions and Analyses February 2025 MEE Questions Agency & Partnership Constitutional Law Torts Civil Procedure Evidence Trusts & Decedents' Estates

Rule(s):

- February 2025 MEE Questions and Analyses February 2025 MEE Questions and Analyses February 2025 MEE Questions Agency & Partnership Constitutional Law Torts Civil Procedure Evidence Trusts & Decedents' Estates

Question call(s): 1. Was the man required to include in his initial disclosures information about the insurance policy and the identity of the three other witnesses to the accident? Explain. 2. Did the trial court rule correctly on the woman's attorney's motion to compel the man to answer deposition questions about his eyesight? Explain. 3. How should the court rule on the woman's motion for judgment as a matter of law? Explain.

February 2025 — Question 4

Primary source subject: Civil Procedure

Question summary: This question involves Coach is a high school basketball coach who currently lives and works in State A, where she is domiciled. One year ago, Coach visited Hometown, in State H, for her high school reunion. The core dispute asks Should the federal court remand the case to the state court in State A on the ground that the federal court lacks subject-matter jurisdiction? Explain. 2. Assuming that the case is not remanded for lack of subject-matter jurisdiction,... Main issues tested include jurisdiction, venue/removal, joinder, pleading/motions, discovery, trial motions, appeals, and preclusion.

Issues tested:

- Can an action be removed to federal court where the state-court plaintiff is seeking damages less than the federal jurisdictional amount but the plaintiff's legal claim, if valid, would entitle the plaintiff to receive damages above the jurisdictional amount?
- Can a federal court sitting in a state exercise jurisdiction over a defendant who has no connection to the state other than the fact that the defendant was served with process while temporarily present in the state?
- Is venue in a removed action proper in the federal district court for the state in which the action was initially filed even if that federal court would not have had jurisdiction over the action if it had been initially filed in federal court?
- .] (c) Although the parties are diverse, the federal district court does not have diversity jurisdiction because Coach limited her claim for damages to an amount lower than the federal jurisdictional amount for diversity cases. (40%) Here, the plaintiff and the defendant are citizens of different states. Coach is a citizen of State A, where she is domiciled. Fran is a longtime domiciliary of State H, of which she is a citizen. So the diversity requirement is met. See Chicago & N.W. Ry. v. Ohle, 117
- (an individual is a citizen of the state in which the individual is domiciled). However, Coach's complaint seeks damages of only $74,999, just below the jurisdictional amount. Coach has attached an affidavit to her complaint specifying that she will not seek damages in any greater amount, although she asserts that the law would entitle her to a greater amount of damages. State A allows her to make such a stipulation. The question is whether Coach can avoid removal to federal court by agreeing to limit her damages recovery even though she would be legally entitled to greater damages in the absence of such a stipulation. In St. Paul Mercury Indemnity Co. v. Red Cab Co., 303
- , the Supreme Court expressly acknowledged the right of a plaintiff to prevent removal by suing for less than the jurisdictional amount. The Court said, [I]f [the plaintiff] does not desire to try his case in the federal court he may resort to the expedient of suing for less than the jurisdictional amount, and though he would be justly entitled to more, the defendant cannot remove. 303 . Consistent with this dicta, the federal statute on removal procedure provides that "the sum demanded in good faith in the initial pleading shall be deemed to be the amount in controversy." 28 . § 1446(c)

Relevant facts to use:

- Coach is a high school basketball coach who currently lives and works in State A, where she is domiciled.
- 1.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary A state case can be removed to federal court only if the federal court would have original jurisdiction over the case.

Rule(s):

- Summary A state case can be removed to federal court only if the federal court would have original jurisdiction over the case.
- Here, there is no federal question, so removal is possible only if the federal court would have diversity jurisdiction.
- Assuming that the federal court has subject-matter jurisdiction, it may properly exercise personal jurisdiction over Fran.

Fact-based analysis:

- As a result, the amount in controversy falls below the jurisdictional minimum, and the federal court should remand the case to state court.
- The federal court sitting in State A is entitled to assert personal jurisdiction on the same bases as a State A state court of general jurisdiction.
- State A statutes allow the state courts to exercise personal jurisdiction over a person served with process while physically present in the state, and the Supreme Court of the United States has said that such jurisdiction is consistent with due process.
- Because Fran was served with process while visiting State A, the federal court in State A should not dismiss the case for lack of personal jurisdiction.

Conclusion: An examinee should not receive credit for discussing either of these points because the call of the question asks only whether the court to which the case was removed (State A federal court) has proper venue.]

Question call(s): 1. Should the federal court remand the case to the state court in State A on the ground that the federal court lacks subject-matter jurisdiction? Explain. 2. Assuming that the case is not remanded for lack of subject-matter jurisdiction, should the federal court dismiss the case for lack of personal jurisdiction over Fran? Explain. 3. Assuming that the case is not remanded and is not dismissed for lack of personal jurisdiction, should the federal court dismiss the case for improper venue? Explain.

Constitutional Law

July 2008 — Question 2

Primary source subject: Constitutional Law

Question summary: This question involves MEE Question 2 Lex, a nationally prominent criminal defense attorney, has a weekly television show on LNN, a national cable television station devoted to legal news. Lex's show deals with a variety of legal topics. The core dispute asks Scoop hurried back to the newspaper and wrote a news story that was published with the photograph in News the next day. The story stated that Lex was having an affair with Star and that Lex's adultery was contrary to the beliefs he... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Issues tested:

- To what extent does the First Amendment shield a newspaper from liability in a defamation action for publishing a false statement about a public figure?
- Does the First Amendment shield a reporter from liability in a civil trespass action for trespassing on private property while investigating a news story on a matter of public concern?
- Does the First Amendment shield a newspaper from liability in an invasion-of-privacy action based on disclosure of private facts in a newspaper story about a matter of public concern if the reporter did not break the law in obtaining the story?

Relevant facts to use:

- MEE Question 2
- Lex, a nationally prominent criminal defense attorney, has a weekly television show on LNN, a national cable television station devoted to legal news.
- Scoop is a reporter for News, a nationally distributed newspaper.
- Scoop hurried back to the newspaper and wrote a news story that was published with the photograph in News the next day.

Condensed sample-answer path:

1. Point One: Star cannot successfully sue News under a libel theory because the facts do not appear to

Short answer: Sullivan, 376 king to recover damages in a defamation action (libel or slander) must prove that the defendant reporter acted with "actual malice," defined as "knowledge that [the published defamation] was false" or "reckless disregard of whether it was false or not." Proof of negligent falsehood is insufficient to permit liability for defamation.

Rule(s):

- Sullivan, 376 king to recover damages in a defamation action (libel or slander) must prove that the defendant reporter acted with "actual malice," defined as "knowledge that [the published defamation] was false" or "reckless disregard of whether it was false or not." Proof of negligent falsehood is insufficient to permit liability for defamation.
- A court might well conclude that Lex had no reasonable expectation of privacy under the circumstances.

Fact-based analysis:

- Here, Star, a world-famous actress, is undeniably a public figure.
- She can recover only if she proves that News acted with actual malice, i.e., that News knew that the woman Scoop photographed was not Star, or that it acted with reckless disregard with regard to that fact.
- The fact that “most people” could have seen that Star was not the woman in Scoop’s photograph also provides some support for recklessness in reporting.
- Here, Scoop’s actions in breaking into the hotel constituted trespass under generally applicable law that does not single out the press for special treatment.

Conclusion: Accordingly, because the photograph was newsworthy and lawfully obtained, News cannot be held liable for invasion of privacy.

July 2009 — Question 2

Primary source subject: Constitutional Law

Question summary: This question involves MEE Question 2 Debate! is a local cable-TV program devoted to public affairs. The core dispute asks The other law, the “Abusive Words Statute,” punishes “directing any abusive word or term at another.” This statute has not been interpreted by the state courts. Two days after Anti-Tax’s remarks, an unknown arsonist started a fire that... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Issues tested:

- Does the First Amendment permit Anti-Tax’s conviction under the state sedition statute based on advocacy of (a) illegal nonpayment of a future tax increase, or (b) “mak[ing] Tax pay up . . . [and] show[ing] him what a taking really means”?
- Does the First Amendment permit Anti-Tax’s conviction under the state’s broad abusive-words statute?

Relevant facts to use:

- MEE Question 2
- Debate! is a local cable-TV program devoted to public affairs.
- One year ago, a state official proposed legislation that would substantially increase tax rates.
- During a live broadcast, the following exchange took place:

Condensed sample-answer path:

1. Point One: Anti-Tax cannot be convicted for advocating nonpayment of the tax increase because the pr

Short answer: Ohio, 395 t precludes the conviction of individuals who incite or advocate breaking the law unless (1) there is advocacy of illegal conduct and not just an abstract expression of ideas, (2) the advocacy calls for imminent lawbreaking, and (3) the lawbreaking is likely to occur.

Rule(s):

- In Brandenburg v.
- Ohio, 395 t precludes the conviction of individuals who incite or advocate breaking the law unless (1) there is advocacy of illegal conduct and not just an abstract expression of ideas, (2) the advocacy calls for imminent lawbreaking, and (3) the lawbreaking is likely to occur.

Fact-based analysis:

- In this case, Anti-Tax made two statements.
- Accordingly, overbreadth of the statute is not a bar to conviction under it.

Conclusion: Accordingly, overbreadth of the statute is not a bar to conviction under it.

2. Point Two: The First Amendment "fighting words" doctrine does not permit Anti-Tax's conviction under

Short answer: New Hampshire, 315 endment so-called "fighting words," i.e., words "which by their very utterance inflict injury or tend to incite an immediate breach of the peace." Fighting words are unprotected speech because they play little or no part in the exposition of ideas.

Rule(s):

- New Hampshire, 315 endment so-called "fighting words," i.e., words "which by their very utterance inflict injury or tend to incite an immediate breach of the peace." Fighting words are unprotected speech because they play little or no part in the exposition of ideas.
- However, even if the state establishes a likelihood of a violent reaction, Anti-Tax may not be convicted under the Abusive Words Statute because of its overbreadth.
- A statute which punishes language that is merely rude or abusive will of necessity reach protected speech.

Fact-based analysis:

- Here, it is possible, but not certain, that the state can establish that Anti-Tax's statement urging viewers to "make Tax pay up," etc., was likely to cause a violent reaction.
- Here, the Abusive Words Statute, which punishes "directing any abusive word or term at another," is clearly overbroad.
- Thus, even if Anti-Tax's statement urging viewers to "make Tax pay up" represented fighting words that threatened personal violence against Tax, Anti-Tax's conviction under this overbroad statute would violate the First Amendment.

Conclusion: Thus, even if Anti-Tax's statement urging viewers to "make Tax pay up" represented fighting words that threatened personal violence against Tax, Anti-Tax's conviction under this overbroad statute would violate the First Amendment.

Question call(s): 1. Assuming that Anti-Tax's statements fall within the scope of the Sedition Statute, what constitutional arguments can be made against convicting him for violating the statute? Explain. | 2. Assuming that Anti-Tax's statements fall within the scope of the Abusive Words Statute, what constitutional arguments can be made against convicting him for violating the statute? Explain.

July 2010 — Question 4

Primary source subject: Constitutional Law

Question summary: This question involves The Church of Peace (the Church) is a religious organization that advocates "peace to everyone." Recently, a Church chapter (Chapter) was organized in the town of Homestead. Chapter members decided to spread the Church's message to the people of Homestead by handing out leaflets that proclaimed in... The core dispute asks Does the First Amendment, as applied to state and local governments through the Fourteenth Amendment, 1. Preclude Homestead's enforcement of its anti-leafleting ordinance against Chapter?

Explain. 2. Preclude Principal's denial of Church... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Relevant facts to use:

- The Church of Peace (the Church) is a religious organization that advocates "peace to everyone." Recently, a Church chapter (Chapter) was organized in the town of Homestead.
- Many people who took the leaflets threw them onto the sidewalk, and Homestead employees spent several hours cleaning up these discarded leaflets.
- Chapter members who attend High School, a public school in Homestead, recently formed the "Church of Peace Club" (Church Club) to pray together and to do good works.
- Father, a Chapter member and the parent of a Church Club officer, learned about Principal's decision and went to High School to see Principal.

Condensed sample-answer path:

1. Point One (40%) Homestead cannot enforce its anti-leafleting ordinance against Chapter because a mun

Short answer: The First Amendment, as applied to the states and local governments through incorporation in the Fourteenth Amendment, applies to Homestead's enforcement of its anti-leafleting ordinance, which is a state action.

Rule(s):

- Commonwealth of Massachusetts, 167 eet or sidewalk as a First Amendment "public forum." In a public forum, government may regulate speech only if certain conditions are met.
- If the regulation is not content-neutral, it must meet the requirements of strict scrutiny.
- If the regulation is content-neutral, it must meet the requirements of intermediate scrutiny; to pass muster under this standard, the regulation must impose only reasonable restrictions on the time, place, or manner of speech that are narrowly tailored to serve a significant governmental interest, and it must leave open ample alternative opportunities to engage in speech.

Fact-based analysis:

- Here, Homestead's regulation of speech under its anti-leafleting ordinance is contentneutral; the ordinance forbids one means of communication, leafleting, without regard to the content of the speech.
- Thus, Homestead must show that its ordinance passes intermediate rather than strict scrutiny.
- State of New Jersey, Town of Irvington, 308 e the Homestead ordinance.
- Thus, Homestead may not fine Chapter for leafleting.

Conclusion: Thus, Homestead may not fine Chapter for leafleting.

2. Point Two (35%) A public school that makes classroom space available to student groups has created a

Short answer: A "limited public forum" (also known as a "designated public forum") is created when a governmental entity could close a location to speech but instead opens it to speech.

Rule(s):

- A "limited public forum" (also known as a "designated public forum") is created when a governmental entity could close a location to speech but instead opens it to speech.
- Thus, under the First Amendment, as applied to the states and local governments through incorporation in the Fourteenth Amendment, the government may not discriminate among speakers based upon the content of their speech.

- In Good News, the case most like this one, the Supreme Court held that, when a school opens its classrooms for use by student groups, it creates a limited public forum and may not deny access to a student religious club that intends to use the classroom for prayer based on the religious content of that speech.

Fact-based analysis:

- Thus, High School may not deny Church Club use of its classrooms for after-school meetings.

Conclusion: Thus, High School may not deny Church Club use of its classrooms for after-school meetings.

3. Point Three (25%) The First Amendment does not shield Father from a trespass conviction. First, gove

Short answer: Father was convicted for his physical entry into Principal's office, not for what he said while there.

Rule(s):

- High School clearly has a legitimate and important interest in prohibiting trespassers from entering Principal's office where private conversations about individual students or official school business may be taking place.

Fact-based analysis:

- Thus, Father's trespass conviction will likely survive a First Amendment challenge.
- Here, Principal's office was clearly not a public forum.

Conclusion: Even if Father's conduct is viewed as conduct imbued with communicative value because he entered Principal's office to express an opinion, the conviction would be upheld under United States v.

Question call(s): Does the First Amendment, as applied to state and local governments through the Fourteenth Amendment, | 1. Preclude Homestead's enforcement of its anti-leafleting ordinance against Chapter? Explain. | 2. Preclude Principal's denial of Church Club's request to use classroom space for its meetings? Explain.

July 2011 — Question 8

Primary source subject: Constitutional Law

Question summary: This question involves There are two nursing schools in State A: Public Nursing School (Public) and Private Nursing School (Private). Public is an agency of the state government, and all its faculty and staff are state employees. The core dispute asks A male resident of State A wants to be a nurse. The man first applied to Private and was denied admission. His rejection letter from Private stated that he was "not eligible to enroll because Private was established as an all-female... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Relevant facts to use:

- There are two nursing schools in State A: Public Nursing School (Public) and Private Nursing School (Private).
- Both Public and Private have a long-standing policy of restricting admission to women.
- A male resident of State A wants to be a nurse.
- The man next applied to Public and was again denied admission.

Condensed sample-answer path:

1. Point One (30%) Private's actions are not subject to the Equal Protection Clause because it is not a

Short answer: The Fourteenth Amendment provides that "No State shall . . . deny to any person within its jurisdiction the equal protection of the laws." The themselves but also to private parties whose actions constitute "state action." Simply put, in order for there to be a violation of the Fourteenth Amendment, the allegedly unconstitutional action (here, denial of admission based upon gender) must be attributable to the state.

Rule(s):

- The Fourteenth Amendment provides that "No State shall . . . deny to any person within its jurisdiction the equal protection of the laws." The themselves but also to private parties whose actions constitute "state action." Simply put, in order for there to be a violation of the Fourteenth Amendment, the allegedly unconstitutional action (here, denial of admission based upon gender) must be attributable to the state.
- Yaretsky, 457 ion only when it has exercised coercive power or has provided such significant encouragement, either overt or covert, that the choice must in law be deemed to be that of the State.").

Fact-based analysis:

- Second, there has been no judicial enforcement of a private contract here.

Conclusion: Third, it is highly unlikely that a court would hold that mere state regulation of the curriculum and state certification of graduates is sufficient to constitute entanglement.

2. Point Two(a) (40%) Public has violated the Equal Protection Clause because a state college may not d

Short answer: Laws that classify on the basis of gender are typically assessed under heightened scrutiny.

Rule(s):

- An "exceedingly persuasive justification" is one that serves "important governmental objectives" and which does not rely upon outdated or overbroad generalizations and stereotypes about differences between men and women.
- The state must at least show that the "[challenged] classification serves important governmental objectives and that the discriminatory means employed are substantially related to the achievement of those objectives." Mississippi Univ. for Women v.
- These objectives must be real in the sense that they are real state purposes rather than hypothetical justifications for the gender classification.

Fact-based analysis:

- "[A] State can evoke a compensatory purpose to justify an otherwise discriminatory classification only if members of the gender benefited by the classification actually suffer a disadvantage related to the classification." Id. at 728.
- Because the man has been denied admission to Public solely on the basis of his gender, the action of Public—clearly the action of the state, as Public is the state nursing school—is presumptively unconstitutional.
- The state interest in this case is remedying past discrimination against women—as the letter states, "[m]indful of the historical discrimination that women have faced in State A, our state has established Public to remedy this discrimination and provide opportunities for women who want to work in the growing field of health care as nurses." Remedying past discrimination is certainly an important governmental objective; in the contexts of race and gender classifications, the Supreme Court has upheld this governmental objective in the face of heightened scrutiny.

- Although there has been gender discrimination in the field of health care in State A in the past, there is no evidence that there has been discrimination against women in the nursing field.

3. Point Two(b) (30%) The Male Nursing Opportunity Program is inconsistent with the guarantees of equal

Short answer: In certain cases, a state may treat men and women differently consistent with the equal protection guarantee and provide separate facilities for each gender (for example, male and female sports teams, dormitories, and bathroom facilities at state universities).

Rule(s):

- In certain cases, a state may treat men and women differently consistent with the equal protection guarantee and provide separate facilities for each gender (for example, male and female sports teams, dormitories, and bathroom facilities at state universities).
- In such cases, moreover, the state must bear the burden of (1) demonstrating the "exceedingly persuasive justification" for the separate treatment, and (2) demonstrating that the separate facilities are substantially equivalent.

Fact-based analysis:

- Thus, for example, in United States v.
- In this case, because the Male Nursing Opportunity Program is markedly inferior to the all-female Public program, it is insufficient to satisfy the Equal Protection Clause.
- Although graduates of the all-male program are still eligible to become nurses in State A, the two programs are not substantially equivalent.

Conclusion: Thus, for example, in United States v.

Question call(s): 1. Has Private violated the man's rights under the Equal Protection Clause of the Fourteenth Amendment? Explain. | 2. Has Public violated the man's rights under the Equal Protection Clause of the Fourteenth Amendment? Explain.

July 2012 — Question 3

Primary source subject: Constitutional Law

Question summary: This question involves Congress recently enacted the Violence at Work Act (the Act). Title I of the Act provides that an employee who has been injured in the workplace by the violent act of a coworker has a cause of action for damages against that coworker. The core dispute asks Is the Act a valid exercise of Congress's power to regulate interstate commerce? Explain. 2. Assuming that the Act is a valid exercise of Congress's power, may the Act constitutionally be applied to state agencies as employers? Explain. 3.... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Relevant facts to use:

- Congress recently enacted the Violence at Work Act (the Act).
- Title I of the Act provides that an employee who has been injured in the workplace by the violent act of a coworker has a cause of action for damages against that coworker.

- Title II of the Act imposes several duties on employers subject to the Act and creates a cause of action against employers who do not fulfill those duties.
- The House and Senate committee reports on the Act note that Congress passed the Act under its power to regulate interstate commerce.

Condensed sample-answer path:

1. Point One (50%) Congress has power under the Commerce Clause to regulate workplace violence only if

Short answer: Lopez, 514 enact three types of regulations under the Commerce Clause.

Rule(s):

- First, Congress may regulate the channels of interstate commerce, which are the pathways through which interstate travel and communications pass.
- Second, Congress may regulate the people and instrumentalities that work and travel in the channels of interstate commerce.
- Third, Congress may regulate activities that substantially affect interstate commerce.

Fact-based analysis:

- Therefore, the key question is whether violence in the workplace is an economic or commercial activity.

Conclusion: The court therefore should conclude that the statute at issue here is an economic regulation and thus is within the commerce power of Congress because, based on the facts given in the problem, Congress had a rational basis for concluding that workplace violence, in the aggregate, has a substantial effect on interstate commerce.

2. Point Two (20%) The Act does not violate federalism principles because it regulates both public and

Short answer: San Antonio Metropolitan Transportation Authority, 469 same terms as private actors.

Rule(s):

- San Antonio Metropolitan Transportation Authority, 469 same terms as private actors.
- Instead, the Act merely requires both public and private employers to obey the same federal requirement—to address workplace violence under the threat of civil liability.
- It is true that the state, as an employer, must adopt policies and regulations to implement the Act's mandates.

3. Point Three (30%) The Eleventh Amendment bars the employee's federal court lawsuit against the state

Short answer: The Eleventh Amendment provides: "The Judicial power of the United States shall not be construed to extend to any suit in law or equity, commenced or prosecuted against one of the United States by Citizens of another State, or by Citizens or Subjects of any Foreign State." Despite the text of the Eleventh Amendment, the Supreme Court has interpreted it to bar lawsuits between a state and one of its own citizens, as well as lawsuits that arise under federal law.

Rule(s):

- A federal statute abrogates Eleventh Amendment immunity if, first, the statute unambiguously asserts that it does so, and second, Congress enacted the statute under a power that may abrogate Eleventh Amendment state immunity.
- The Act fails the second requirement, however, because Congress did not pass the Act under a grant of power that may abrogate state immunity.

Fact-based analysis:

- The Eleventh Amendment provides: “The Judicial power of the United States shall not be construed to extend to any suit in law or equity, commenced or prosecuted against one of the United States by Citizens of another State, or by Citizens or Subjects of any Foreign State.” Despite the text of the Eleventh Amendment, the Supreme Court has interpreted it to bar lawsuits between a state and one of its own citizens, as well as lawsuits that arise under federal law.
- Here, the Act satisfies the first requirement because Section 204 unequivocally attempts to abrogate state Eleventh Amendment immunity.
- Because the Act does not validly abrogate the state’s Eleventh Amendment immunity, the District Court should dismiss the employee’s lawsuit.

Conclusion: Because the Act does not validly abrogate the state’s Eleventh Amendment immunity, the District Court should dismiss the employee’s lawsuit.

Question call(s): 1. Is the Act a valid exercise of Congress’s power to regulate interstate commerce? Explain. | 2. Assuming that the Act is a valid exercise of Congress’s power, may the Act constitutionally be applied to state agencies as employers? Explain. | 3. Does the Eleventh Amendment bar the employee’s lawsuit in federal court against the state agency? Explain.

February 2013 — Question 3

Primary source subject: Constitutional Law

Question summary: This question involves AutoCo is a privately owned corporation that manufactures automobiles. Ten years ago, AutoCo purchased a five-square-mile parcel of unincorporated land in a remote region of the state and built a large automobile assembly plant on the land. The core dispute asks AutoCo is a privately owned corporation that manufactures automobiles. Ten years ago, AutoCo purchased a five-square-mile parcel of unincorporated land in a remote region of the state and built a large automobile assembly plant on the... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Relevant facts to use:

- AutoCo is a privately owned corporation that manufactures automobiles.
- A family recently moved to Oakwood.
- To protest the school’s actions, the father walked into the commercial district of Oakwood.
- 1.

Condensed sample-answer path:

1. Point One (30%) AutoCo’s operation of a company town (including a school) makes it a state actor und

Short answer: The individual rights protections of the Constitution apply only where there is “state action”— either direct action by the government or some action by a private party that is fairly attributable to the government.

Rule(s):

- Where a corporation operates a privately owned “company town” that provides essential services typically provided by a state actor, the public function doctrine applies and the Constitution binds agents of the town as if they were agents of the government.

Fact-based analysis:

- Here, AutoCo does more than own the town; it provides security services, fire protection, sanitation services, and a school.
- Thus the actions of AutoCo constitute state action and are governed by the Fourteenth Amendment.

Conclusion: Thus the actions of AutoCo constitute state action and are governed by the Fourteenth Amendment.

2. Point Two (35%) The son's expulsion for failure to recite the Pledge of Allegiance violates the Firs

Short answer: As explained in Point One, the First Amendment applies to the school as a state actor.

Rule(s):

- However, the Supreme Court has long held that public schools may not force their students to participate in a flag salute ceremony when it offends the political or religious beliefs of the students or their families.
- In this case, the school requires its students to participate in a flag salute and Pledge of Allegiance ceremony and punishes them when they refuse to participate.

Conclusion: Des Moines Independent Community School District, 393 and teachers than the state would have outside the school context.

3. Point Three (35%) Because the father was distributing leaflets in a traditional public forum, his tr

Short answer: As explained in Point One, AutoCo is treated as a state actor.

Rule(s):

- When expression takes place on government-owned property, government regulation of the expression is assessed under the public forum doctrine.
- Because the father was distributing leaflets while standing on a street corner in the commercial district, his expressive activity occurred in a traditional public forum.
- When a state tries to regulate expressive activity in a traditional public forum, it is prohibited from doing so based on the expressive activity's content unless its regulation is narrowly tailored to achieve a compelling governmental interest ("strict scrutiny").

Fact-based analysis:

- Thus, Oakwood's commercial district is treated as government-owned property for purposes of the First Amendment.
- Thus, the leafleting here is subject to the First Amendment because it is an expressive activity.
- State of New Jersey, Town of Irvington, 308 .
- In this case, however, AutoCo is regulating the father's expressive activity on the ostensibly neutral ground that his expressive activity has produced litter and made the street unsightly.

Conclusion: Grace, 461 unding particular type of expression will be upheld only if narrowly drawn to accomplish a compelling governmental interest").]

Question call(s): 1. Did the son's expulsion from the school violate the First Amendment as applied through the Fourteenth Amendment? Explain. | 2. Did the father's arrest violate the First Amendment as applied through the Fourteenth Amendment? Explain.

February 2014 — Question 1

Primary source subject: Constitutional Law

Question summary: This question involves A city ordinance required each downtown business to install high-powered halogen floodlights that would illuminate the property owned by that business and the adjoining sidewalks. A study commissioned by the city estimated that installation of the floodlights would cost a typical business about... The core dispute asks A city ordinance required each downtown business to install high-powered halogen floodlights that would illuminate the property owned by that business and the adjoining sidewalks. A study commissioned by the city estimated that... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Relevant facts to use:

- A city ordinance required each downtown business to install high-powered halogen floodlights that would illuminate the property owned by that business and the adjoining sidewalks.
- A downtown restaurant applied to the city for a building permit to construct an addition that would increase its seating capacity.
- The restaurant has challenged both the ordinance requiring it to install floodlights and the easement condition imposed on approval of the building permit.
- 1.

Condensed sample-answer path:

1. Point One (50%) The ordinance requiring that businesses install floodlights is not a per se taking u

Short answer: The city ordinance requiring a business to install floodlights does not effect a per se taking of the sort described in Loretto v.

Rule(s):

- City of New York, 438 .” Under Penn Central, a court must balance (1) “[t]he economic impact of the regulation on the claimant,” (2) “the extent to which the regulation has interfered with distinct investment-backed expectations,” and (3) “the character of the governmental action.” Id. at 124.
- Also, because the ordinance does not interfere with the operation of the restaurant, the owner may still earn a reasonable return on its investment in the property.
- Here, the ordinance requires the businesses to install floodlights to promote the common interest in crime prevention and public safety.

Fact-based analysis:

- Here, each factor weighs against finding that the ordinance is a taking.
- Because the ordinance is clearly a valid exercise of the police power, it satisfies the takings clause’s public-use requirement.

Conclusion: Compliance with the ordinance is estimated to cost $1,000, and the city has found that businesses will likely recoup that cost in increased sales.

2. Point Two (50%) The permit condition may be unconstitutional as an uncompensated taking of property

Short answer: City of Tigard, 512 ction imposed by a government in exchange for a discretionary benefit conferred by the government, such as a condition on the approval of a building permit in this case, constitutes an uncompensated taking under the Fifth Amendment.

Rule(s):

- The exaction here, however, may fail the second prong of the Dolan test—that the exaction be roughly proportional to the anticipated impact of the requested development.
- The Court explained that the government must demonstrate that the additional traffic reasonably was related to the requested exaction and that the government must "make some effort to quantify its findings in support of the dedication for the pedestrian/bicycle pathway beyond the conclusory statement that it could offset some of the traffic demand generated." Id. at 395.

Fact-based analysis:

- Here, the city likely can meet the nexus requirement.
- In exchange for approving the development, the city sought an easement for a bike and pedestrian path.
- The Court found the required nexus between the easement and the city's "attempt to reduce traffic congestion by providing for alternative means of transportation." 512 .
- Here, a similar nexus likely exists between the requested easement and the city's interest in crime prevention and public safety.

Conclusion: Thus, the exaction appears to be an uncompensated taking of property in violation of the Fifth Amendment as applied to the states through the Fourteenth Amendment.

Question call(s): 1. Under the Fifth Amendment as applied to the states through the Fourteenth Amendment, is the city ordinance requiring the restaurant to install floodlights an unconstitutional taking? Explain. | 2. Under the Fifth Amendment as applied to the states through the Fourteenth Amendment, is the city's requirement that the restaurant grant the city an easement as a condition for obtaining the building permit an unconstitutional taking? Explain.

February 2015 — Question 2

Primary source subject: Constitutional Law

Question summary: This question involves State A, suffering from declining tax revenues, sought ways to save money by reducing expenses and performing services more efficiently. Accordingly, various legislative committees undertook examinations of the services performed by the state. The core dispute asks Does the Act violate the Equal Protection Clause of the Fourteenth Amendment? Explain. 2. Would Congress have authority under Section Five of the Fourteenth Amendment to enact a statute barring states from establishing a maximum age for... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Issues tested:

- ANALYSIS
- Does the Act violate the Equal Protection Clause of the Fourteenth Amendment?
- Would Congress have authority under Section Five of the Fourteenth Amendment to enact a statute barring states from establishing a maximum age for firefighters? Summary
- (upholding 50-year-old retirement age for state police); Kimel v. Florida Bd. of Regents, 528
- (applying rational basis review to age-based classification). Under the rational basis test, the issues are whether State A has a "legitimate interest" that is served by the discriminatory classification and whether the means

used to achieve this legitimate state interest are “reasonably related” or “rationally related” to that state interest. The Court generally applies this test with substantial deference to legislative judgment. See, e.g., Railway Express Agency, Inc. v. New York, 336

- . Here, the firefighter will likely argue that State A is violating his right to the “equal protection of the laws” by depriving him, and other firefighters, of employment solely because they have reached the age of 50. More specifically, he will argue that he and the other firefighters 50 and older are being forced to retire without regard to whether they are capable firefighters, an action not taken against those under the age of 50. State A will likely argue that lowering the retirement age for firefighters will improve workforce quality, enhance public safety, and reduce expenses. Because these are “legitimate” state interests, this argument is likely to succeed. Given the legitimacy of State A’s objectives, the question then becomes whether a mandatory retirement at age 50 is reasonably related to attaining those objectives. Although the firefighter may be a qualified firefighter notwithstanding his age, that is not the relevant question. The question is whether State A has reason to believe that one’s physical fitness and ability to be a firefighter, in general, decline with age. The question specifies that the legislature heard evidence from relevant professionals in support of that position. Hence, the conclusion that a mandatory retirement age would, in general, improve the fitness of the workforce is reasonable. Under the rational basis test, it is not necessary for the fit between ends and means to be perfect. The fit merely has to be “reasonable” or “rational.” See generally JOHN E. NOWAK & RONALD D. ROTUNDA, CONSTITUTIONAL LAW 756–58 (8th ed. 2010) (discussing application of rational basis test to mandatory retirement rules). The fact that State A may have also enacted the statute to save money does not alter this analysis. One legitimate purpose to which the lines drawn by the statute are rationally related is sufficient to uphold a statute under the lenient rational basis test. Because State A has a legitimate governmental purpose for enacting this statute, and because lowering the retirement age is rationally related to the achievement of this purpose, a court is likely to conclude that the Act does not violate the Equal Protection Clause of the Fourteenth Amendment. Point Two (50%) Because age-based discrimination, in the form of a mandatory retirement age, is not a plausible constitutional injury, Congress does not have the authority under Section Five of the Fourteenth Amendment to enact legislation to remedy that injury. Congress’s powers are limited to those expressed or implied in the Constitution. To enact a law on a particular topic, Congress must rely on some identified grant of legislative authority in the Constitution. See McCulloch v. Maryland, 17 .) 316

Relevant facts to use:

- State A, suffering from declining tax revenues, sought ways to save money by reducing expenses and performing services more efficiently.
- 1.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: The lowest level of equal protection scrutiny—so-called “rational basis” scrutiny—applies when a state government engages in age-based discrimination.

Rule(s):

- However, Congress can exercise its authority only if it does so in a way that is “congruent and proportional” to any constitutional violation that it may be addressing.
- A federal statute prohibiting states from having a mandatory retirement age for firefighters would not meet that standard.

- The applicable constitutional provision is the Equal Protection Clause of the Fourteenth Amendment, which states: “Nor shall any State . . . deny to any person within its jurisdiction the equal protection of the laws.” Amend.

Fact-based analysis:

- Here, the state has a “legitimate interest” in promoting safe and efficient firefighting, and lowering the retirement age is “rationally related” to achieving this interest.
- Thus, a court is likely to conclude that State A has not violated the Equal Protection Clause of the Fourteenth Amendment.
- Under the rational basis test, the issues are whether State A has a “legitimate interest” that is served by the discriminatory classification and whether the means used to achieve this legitimate state interest are “reasonably related” or “rationally related” to that state interest.
- Here, the firefighter will likely argue that State A is violating his right to the “equal protection of the laws” by depriving him, and other firefighters, of employment solely because they have reached the age of 50.

Conclusion: Therefore, a court would likely hold that Congress would not have the power under Section Five of the Fourteenth Amendment to enact a statute barring age requirements for firefighters. [NOTE: This question does not raise any questions about sovereign immunity under the Eleventh Amendment inasmuch as Congress can abrogate that immunity when it acts pursuant to Section Five of the Fourteenth Amendment.

Question call(s): 1. Does the Act violate the Equal Protection Clause of the Fourteenth Amendment? Explain. 2. Would Congress have authority under Section Five of the Fourteenth Amendment to enact a statute barring states from establishing a maximum age for firefighters? Explain.

February 2016 — Question 4

Primary source subject: Constitutional Law

Question summary: This question involves State A, a leader in wind energy, recently enacted the “Green Energy Act” (“the Act”). Section 1 of the Act requires that 50% of the electricity sold by utilities in the state come from “environmentally friendly energy sources.” Wind energy, which is produced in State A, is classified by the Act as... The core dispute asks Which provisions, if any, of the Green Energy Act unconstitutionally burden or discriminate against interstate commerce? Explain. Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Issues tested:

- ANALYSIS
- May a state enact a law that has the effect of favoring an in-state industry at the expense of an out-of-state industry where there are environmental reasons to favor the in-state industry?
- May a state deny an out-of-state utility a permit to construct a coal-burning power plant because the plant, although it meets urgent out-of-state energy needs, does not meet urgent energy needs of the permitting state?
- May a state favor in-state vendors when purchasing goods and services? Summary

Relevant facts to use:

- State A, a leader in wind energy, recently enacted the “Green Energy Act” (“the Act”).

- Section 1 of the Act requires that 50% of the electricity sold by utilities in the state come from “environmentally friendly energy sources.” Wind energy, which is produced in State A, is classified by the Act as an “environmentally friendly energy source.” Natural gas, which is not produced in State A, is not classified by the Act as environmentally friendly.

Condensed sample-answer path:

1. Point One (40%)

Short answer: Section 1 of the Act, which requires utilities to use environmentally friendly energy sources, is probably valid given that it is not facially discriminatory against out-of-state energy producers and its discriminatory impact is not in the market being regulated (generation of electricity), but instead affects another market (natural gas production).

Rule(s):

- Section 1 of the Act, which requires utilities to use environmentally friendly energy sources, is probably valid given that it is not facially discriminatory against out-of-state energy producers and its discriminatory impact is not in the market being regulated (generation of electricity), but instead affects another market (natural gas production).
- Utilities may meet the requirement that 50% of their electricity come from environmentally friendly energy sources by acquiring electricity from outof-state wind or other environmentally friendly energy sources; natural gas does not qualify as an environmentally friendly energy source regardless of where it is produced.
- Section 1, however, may be discriminatory in practical effect because it favors an in-state industry (wind) over an out-of-state industry (natural gas).

Fact-based analysis:

- State laws that discriminate against out-of-state commerce in favor of in-state commerce—either on their face or in practical effect—are subject to strict scrutiny and thus a nearly per se rule of invalidity.
- Washington State Apple Advertising Comm’n, 432 t-of-state apple producers, effectively advantaging in-state apple producers).
- Here, the discriminatory impact of Section 1 is felt in a market (natural gas production) different from the one being regulated (generation of electricity).
- While a general ban on the construction of coal-burning power plants would not be discriminatory because it would treat resident and nonresident producers and consumers alike, the State A law creates an exception for the urgent energy needs of state residents only.

Conclusion: There are less discriminatory alternatives that would better accomplish the state’s objectives, such as (1) strict environmental regulation of all in-state coal-burning power plants, (2) an across-the-board ban on all in-state coalburning power plants (without any exception), and (3) an exception for such plants for urgent energy needs that does not discriminate against out-of-state consumers.

2. Point Three (25%)

Short answer: Section 3, even though it discriminates against out-of-state vendors by requiring the state to prefer in-state vendors, is a valid exercise of the state’s role as a “market participant.” The state may discriminate in favor of residents when buying or selling goods and services because the state is acting as a “market participant” rather than as a regulator of an economic activity.

Rule(s):

- Section 3, even though it discriminates against out-of-state vendors by requiring the state to prefer in-state vendors, is a valid exercise of the state's role as a "market participant." The state may discriminate in favor of residents when buying or selling goods and services because the state is acting as a "market participant" rather than as a regulator of an economic activity.
- Thus, State A may limit its purchases to vendors in the state.

Fact-based analysis:

- Thus, even though the outof-state vendor meets all of State A's requirements for an "environmentally friendly" vendor, State A is still entitled to favor in-state vendors over the out-of-state vendor.

Conclusion: Thus, even though the outof-state vendor meets all of State A's requirements for an "environmentally friendly" vendor, State A is still entitled to favor in-state vendors over the out-of-state vendor.

Question call(s): Which provisions, if any, of the Green Energy Act unconstitutionally burden or discriminate against interstate commerce? Explain.

July 2017 — Question 2

Primary source subject: Constitutional Law

Question summary: This question involves Businesses in the United States make billions of dollars in payments each day by electronic funds transfers (also known as "wire transfers"). Banks allow their business customers to initiate payment orders for wire transfers by electronic means. The core dispute asks Can the bank maintain a suit in federal court against State A for damages? Explain. 2. Can the bank maintain a suit in federal court against the state Superintendent of Banking to enjoin her from enforcing the State A statute? Explain. 3.... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Issues tested:

- ANALYSIS
- Can a private company maintain a suit against a state in federal court seeking damages based upon a claim that the state injured its business by enforcing an unconstitutional law?
- Can a private company maintain a suit against a state official in federal court to enjoin that official from enforcing an allegedly unconstitutional law?
- Does a state law that requires a multistate business to adopt expensive security measures as a condition of providing certain services in the state impose an unconstitutional burden on interstate commerce? Summary
- (Frankfurter, J., dissenting). While a state may waive its immunity, see Clark v. Barnard, 108
- , there is no evidence that State A has done so in this case. Here, the bank, a resident of State B, is suing State A for damages in federal court; this is barred by the Eleventh Amendment. [NOTE: A state's Eleventh Amendment immunity may be abrogated in certain circumstances by congressional action under Congress's enforcement powers in the Fourteenth Amendment. There is no such action by Congress in this case, so the exception is not germane.] Point Two (30%) Pursuant to the doctrine of Ex parte Young, a suit against State A's Superintendent of Banking to enjoin the enforcement of an allegedly unconstitutional statute is not barred by the Eleventh Amendment. "Official-capacity actions [against state officials] for prospective relief are not treated as actions against the State." Kentucky v. Graham, 473 . 14

Relevant facts to use:

- Businesses in the United States make billions of dollars in payments each day by electronic funds transfers (also known as "wire transfers").

Condensed sample-answer path:

1. Condensed Analysis

Short answer: The bank cannot maintain a suit against State A for damages in federal court.

Rule(s):

- The Eleventh Amendment precludes the federal court from exercising jurisdiction over a suit by a private party seeking to recover damages from a state.
- A court could conclude that the law unconstitutionally burdens interstate commerce if the court finds that the burden imposed is clearly excessive in relation to the purported benefits.
- A balancing of benefits and burdens would require the court to evaluate the extent of the actual burden the statute imposes on the bank and whether the statute has substantial fraud-protection benefits.

Fact-based analysis:

- The bank cannot maintain a suit against State A for damages in federal court.
- Point One (30%) Because states are immune under the Eleventh Amendment from suits for damages in federal court, a federal court would dismiss the bank's damages claim against State A if State A made a claim of sovereign immunity.
- The Eleventh Amendment provides that "the Judicial power of the United States" does not extend to "any suit in law or equity, commenced or prosecuted against one of the United States by Citizens of another State . . . ." . amend.
- As "one of the United States," State A is immune from suit unless it agrees to be sued.

Conclusion: Compliance with the law would require the bank to make substantial changes to its entire electronic banking system at a cost of $50 million.

July 2018 — Question 1

Primary source subject: Constitutional Law

Question summary: This question involves In Gonzales v. Raich, 545 U.S. The core dispute asks Is Section 11 of the Federal Drug Abuse Prevention Act a constitutional exercise of federal power? Explain. 2. Is Section 15 of the Federal Drug Abuse Prevention Act a constitutional exercise of federal power? Explain. Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Issues tested:

- ANALYSIS
- May the federal government force a state law enforcement officer or agency to assist in the enforcement of federal drug laws by requiring the officer or agency to conduct investigations of possible drug use by persons they take into custody and to make reports to the federal government?

- May the federal government condition the grant of federal money for state and local law enforcement activities on a state's adoption of laws that criminalize use of federally controlled drugs? Summary
- . The Tenth Amendment confirms that the powers of the federal government are subject, in some cases, to limits necessary to protect "state sovereignty" from federal intrusion. One of those limits is that Congress may not "require the States to govern according to Congress'[s] instructions." New York v. United States, 505
- . See also Hodel v. Virginia Surface Mining & Reclamation Ass'n, Inc., 452
- (federal law that "commandeers the legislative processes of the States by directly compelling them to enact and enforce a federal regulatory program" is unconstitutional); Murphy v. NCAA, ____ . Ct. 1461

Relevant facts to use:

- In Gonzales v.
- 1.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: In the Federal Drug Abuse Prevention Act, Congress has sought to induce the states to adhere to the federal policy of criminalizing the use of marijuana.

Rule(s):

- Federal directives requiring the states to carry out federal regulatory programs are inconsistent with the system of dual sovereignty created by the federal structure of the Constitution.
- When Congress provides funds to the states, it may condition those funds on a state's compliance with federal directives, provided that the law meets certain requirements.
- The requirement that federally unlawful drug use must be criminalized at the state level bears a close relationship to the law enforcement objectives of the spending program, and the condition imposed by the federal government is not barred by any constitutional provision.

Fact-based analysis:

- Point One (50%) The federal government may not command a law enforcement officer or agency of State A to investigate and report on potential violations of federal law.
- United States, 521 U.S 898, 935 (1997), the Supreme Court held that "commandeering" of State officials was also unconstitutional under the federalism principle emanating from the Tenth Amendment.
- By legislating to force the law enforcement officers to take certain actions "in their official capacities as state officers," the Court said, Congress was acting to control their actions "as agents of the State." Id. at 930.
- The law requires a State A law enforcement officer or agency to undertake investigations aimed at detecting violations of federal drug laws and to report to federal authorities on suspected violations.

Conclusion: It therefore is a proper exercise of Congress's spending power and does not run afoul of constitutional principles of federalism.

Question call(s): 1. Is Section 11 of the Federal Drug Abuse Prevention Act a constitutional exercise of federal power? Explain. 2. Is Section 15 of the Federal Drug Abuse Prevention Act a constitutional exercise of federal power? Explain.

July 2024 — Question 3

Primary source subject: Constitutional Law

Question summary: This question involves Three years ago, CarCo, an automobile manufacturer located in State A, entered into contracts with several State A automobile dealers. Under these contracts, the dealers had the right to sell cars made by CarCo. The core dispute asks Does application of the State A statute to CarCo's rights under the dealership agreement with the dealer violate the Contracts Clause? Explain. 2. Does the State A statute violate the Equal Protection Clause? Explain. 3. Does the State A... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Issues tested:

- (a) Does the State A statute substantially impair the contract between CarCo and the dealer?
- (b) Is the State A statute drawn in an "appropriate" and "reasonable" way to advance a significant and legitimate public purpose?
- Is the State A statute's different treatment of automobile manufacturers rationally related to a legitimate government interest?
- Is the State A statute's burden on CarCo's substantive due process liberty interest rationally related to a legitimate government interest?
- . As is typical, the first two questions are "unproblematic" in this case; there is a contact between the automobile manufacturer and the dealer, and the state law impairs that contract by altering the provision on termination of the agreement. The question, then, is whether that impairment is substantial. The Court's cases have considered three circumstances in determining whether a challenged state law substantially impairs private contracts. First, a state law does not substantially impair a contract if it merely tracks the contracting parties' likely intent or expectation, or allows a contracting party to easily override the statutory provision. See Sveen v. Melin, 584
- (state law voiding ex-spouse as life insurance beneficiary after a divorce did not impair the insurance contract when it allowed the insured to simply re-designate the former spouse as a beneficiary). Here, the state statute is clearly contrary to CarCo's intent. Second, a state statute will not impair private contracts if it merely enters an area already heavily regulated by the state, so that the parties could have anticipated the challenged law. City of El Paso v. Simmons, 379

Relevant facts to use:

- Three years ago, CarCo, an automobile manufacturer located in State A, entered into contracts with several State A automobile dealers.
- Contracts Clause of the Constitution.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary First, Article I, section 10 of the Constitution provides that "[n]o state shall . . . pass any . . .

Rule(s):

- The degree of impairment must be substantial or significant to trigger further analysis.
- The applicable test is a form of intermediate scrutiny: the statute must be (a) a reasonable and appropriate way to (b) advance a significant and legitimate government purpose.

- The dealers may respond that the statute does not prohibit termination of a dealership but rather limits the reasons for doing so.

Fact-based analysis:

- Law impairing the Obligation of Contracts." Because the State A statute makes unenforceable a term in an existing contract between private parties, the threshold question is whether the law "operate[s] as a substantial impairment of a contractual relationship." Here, the State A statute substantially impairs CarCo's rights under the dealership agreement because CarCo would not have anticipated the statute when the agreement was entered into, and the unilateral right to terminate was an important contract term.
- Second, a court would likely find that the State A statute is not an appropriate and reasonable way to advance a significant and legitimate public purpose because it lacks the hallmarks of such a law.
- Thus, the statute likely violates the Contracts Clause.
- Because the statute does not discriminate against a suspect classification and is not based on gender, the law is subject to rational basis review under the Equal Protection Clause.

Conclusion: Thus, for the same reasons discussed in Point Three, the statute would survive substantive due process rational basis review.

February 2025 — Question 2

Primary source subject: Constitutional Law

Question summary: This question involves Town is a small municipality. Main Street is an eight-block public road that runs through the center of Town with retail shops, restaurants, and other businesses located on each side. The core dispute asks What type of First Amendment forum is the pedestrian median strip? Explain. 2. Is the Town ordinance a content-based or content-neutral regulation of speech? Explain. 3. Assuming that the Town ordinance is content-based, would applying it... Main issues tested include federal power/federalism, state action, individual rights, speech, equal protection, due process, dormant commerce, takings, and sovereign immunity.

Issues tested:

- What type of First Amendment public forum is a pedestrian median strip?
- Is the Town ordinance a content-based or content-neutral regulation of speech?
- Assuming that the Town ordinance is content-based, would applying it to the man violate his First Amendment rights?
- Assuming that the Town ordinance is content-neutral, would applying it to the man violate his First Amendment rights?
- . The regulation must also leave open ample alternative channels of communication. Here, the Town's traffic and public safety concerns are substantial, content-neutral government interests. The ordinance, however, may not be narrowly tailored because it arguably restricts a substantial amount of speech that does not threaten the government’s stated interests (e.g., a person holding a sign in a pedestrian median strip), and the government does not have evidence that the ordinance would be less effective if it were more narrowly tailored. Point One (20%) The paved portions of Town's median strips are traditional public forums because they are part of the public streets and sidewalks that have historically been open to free expression. The speech burdened by the Town ordinance occurs on government property, and so the appropriate constitutional test is determined by the type of government property involved. For purposes of First Amendment free speech analysis, the Supreme Court has recognized three types of government property, or "public forums." First, a traditional public forum is

"government property that has traditionally been available for public expression." International Soc. for Krishna Consciousness, Inc. v. Lee, 505

- . This category includes public parks, sidewalks, and streets that have historically been open to public speech and debate. See id. Second, all other government property is classified as a non-public forum. See id. at 679. And third, the government may choose to open a non-public forum to speech activities, and in doing so the government creates a designated or limited public forum. Id. at 678. Here, the pedestrian median strips are part of the public roadways and sidewalks that have historically been open to public expression. As defined by the ordinance, a pedestrian median strip is part of the pedestrian crosswalks regularly used by the public, and the presence of people within that space is expected and lawful, just as with other pedestrian spaces like sidewalks. Consequently, the ordinance regulates a traditional public forum. Point Two (20%) The ordinance can be credibly characterized as either content-neutral or content-based. On the one hand, it could be characterized as content-neutral because its application does not depend on the content or viewpoint of any expression occurring in a median strip. On the other hand, it could be characterized as content-based because the ordinance was arguably enacted because of disagreement with unpopular expression (i.e., solicitation that had occurred in pedestrian median strips). Whether application of a municipal ordinance to expression violates the First Amendment's guarantee of free speech depends heavily on whether the ordinance is content-based or content-neutral. If the ordinance is content-based, a court will apply strict scrutiny, and application of the ordinance will likely be overturned. If the ordinance is content-neutral, a court will apply a form of intermediate scrutiny known as the time, place, and manner test that affords greater deference to the government. A law is content-based if it "applies to particular speech because of the topic discussed or the idea or message expressed." Reed v. Town of Gilbert, 576

Relevant facts to use:

- Town is a small municipality.
- Town has charged a man with violating the ordinance by holding a sign stating his opposition to a candidate for Town council while standing in a pedestrian median strip on Main Street in Town.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary First, since the challenged ordinance is being applied to speech on government property, the threshold issue is to determine what type of public forum is involved.

Rule(s):

- A contentbased regulation receives strict scrutiny, while a content-neutral regulation receives intermediate scrutiny under the time, place, and manner test.
- While Town may have a compelling interest in promoting traffic safety, the ordinance is not likely to be narrowly tailored to this purpose because it is both underand over-inclusive.
- It is under-inclusive because it allows people standing on a sidewalk to interact with motorists, and it is over-inclusive because it applies to speech that does not threaten the government's interest (e.g., a person passively holding a sign in a pedestrian median strip).

Fact-based analysis:

- Here, a pedestrian median strip would be considered a traditional public forum because it is part of the public streets and sidewalks that have traditionally been open to expression.
- Here, the Town's traffic and public safety concerns are substantial, content-neutral government interests.

- Here, the pedestrian median strips are part of the public roadways and sidewalks that have historically been open to public expression.
- Here, the face of the ordinance does not mention speech of any kind, and so the ordinance would not be content-based under category (1).

Conclusion: If Town receives judicial deference on this issue, it will not need evidence of this judgment to survive the narrow tailoring prong.

Contracts / Sales

July 2007 — Question 1

Primary source subject: Contracts

Question summary: This question involves MEE Question 1 Baker is a renowned pastry chef. Café, a sole proprietorship, is a well-known restaurant in need of hiring a pastry chef. The core dispute asks May 10, the registered, express-mail letter was delivered to Baker's office. The regular-mail letter containing the rejection was still on its way. Baker accepted delivery of the registered, express-mail letter from the postal carrier and... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- (a) Did Baker's letter of May 1 constitute an offer?
- (b) Did Café Owner's oral response on the morning of May 7 constitute a counteroffer?
- Did Café accept Baker's offer?
- Did the contract between Baker and Café satisfy the Statute of Frauds?

Relevant facts to use:

- MEE Question 1
- Baker is a renowned pastry chef.
- On the morning of May 7, Café's Owner telephoned Baker and said: "The $100,000 is pretty stiff.
- Later that morning, Café's Owner sent Baker a signed letter by regular mail stating: "You obviously think you are too good for my restaurant.

Condensed sample-answer path:

1. Point One(a): Baker's signed letter of May 1 to Café agreeing to work as a pastry chef for Café is a

Short answer: A person makes an offer when the person communicates to another a statement of "willingness to enter into a bargain, so made as to justify" the other person who hears the statement "in understanding that his assent to that bargain is invited and will conclude it." RESTATEMENT (SECOND) OF CONTRACTS § 24 (1981).

Rule(s):

- A person makes an offer when the person communicates to another a statement of "willingness to enter into a bargain, so made as to justify" the other person who hears the statement "in understanding that his assent to that bargain is invited and will conclude it." RESTATEMENT (SECOND) OF CONTRACTS § 24 (1981).
- Here, Baker's letter of May 1 to Café was an offer because an objective recipient of the letter, such as Café, would reasonably conclude that assent would create a contract.
- An offer cannot ripen into a contract by acceptance unless its terms are reasonably certain.

Fact-based analysis:

- Here, the terms were clear and certain and identified the parties, the subject matter, and the price.

Conclusion: Here, Baker's letter of May 1 to Café was an offer because an objective recipient of the letter, such as Café, would reasonably conclude that assent would create a contract.

2. Point One(b): Café Owner's phone call to Baker on the morning of May 7 asking if he would possibly w

Short answer: A counteroffer is a statement from the offeree to the offeror, relating to the same subject matter as the original offer but suggesting a substituted bargain from the original terms.

Rule(s):

- A counteroffer is a statement from the offeree to the offeror, relating to the same subject matter as the original offer but suggesting a substituted bargain from the original terms.
- Generally, if an offeree makes a counteroffer, the offeree can no longer accept the original offer.

Fact-based analysis:

- Here, Café's Owner said to Baker "The $100,000 is pretty stiff.
- Because Café's Owner's call to Baker was not a counteroffer, but merely a request for unspecified changed terms, it did not preclude Café's later acceptance of Baker's offer.

Conclusion: Could you possibly consider working for less?" This utterance is not a counteroffer because it did not offer substitute terms to Baker and did not indicate any unwillingness to conclude the bargain on Baker's terms if Baker would not accept an alternative salary.

3. Point Two: Although Café's Owner initially rejected Baker's offer in writing, he later accepted the

Short answer: A rejection is a manifestation of intent not to accept an offer.

Rule(s):

- A rejection is a manifestation of intent not to accept an offer.
- A rejection terminates the offeree's power to accept an offer.
- An acceptance is effective upon dispatch under the so-called "mailbox rule." Id. § 63.

Fact-based analysis:

- Here, Café's Owner's letter stating "I am no longer interested in hiring you" clearly manifests an intent not to go forward with the bargain and constitutes a rejection of Baker's offer.
- Here, Café's letter of acceptance was received by Baker first, while the letter containing the rejection was still on the way to Baker.
- Because the acceptance was the first communication received, it is effective.
- Therefore, Café accepted Baker's offer to work for Café, and a contract was created.

Conclusion: Therefore, Café accepted Baker's offer to work for Café, and a contract was created.

4. Point Three: If a contract cannot be performed within a year, it must meet the requirements of the S

Short answer: A contract must satisfy the Statute of Frauds if it cannot be fully performed within one year.

Rule(s):

- A contract must satisfy the Statute of Frauds if it cannot be fully performed within one year.
- Here, the two-year employment requirement cannot be completed in one year, and therefore the contract is within the purview of the Statute of Frauds and must satisfy the requirements of the Statute of Frauds to be enforceable.
- A contract within the Statute of Frauds satisfies that statute and is enforceable if it is evidenced by a writing signed by "the party to be charged," which (a) reasonably identifies the subject matter of the contract; (b) is

sufficient to indicate that a contract has been made; and (c) "states with reasonable certainty the essential terms" of the contract.

Fact-based analysis:

- Here, each party signed a writing that is sufficient under these criteria as it identifies the position, person, term, and salary.
- Therefore, the Statute of Frauds is satisfied and the employment contract is enforceable.
- Because this is a personal services contract, if Baker refuses to work for Café, Café can sue Baker for damages, but cannot get specific performance.

Conclusion: Therefore, the Statute of Frauds is satisfied and the employment contract is enforceable.

Question call(s): Does Café have an enforceable contract with Baker? Explain.

July 2008 — Question 8

Primary source subject: Contracts

Question summary: This question involves MEE Question 8 Rancher conducts cattle roping clinics in various locations around the country. Rancher thought it would be more profitable to buy his own land and conduct the clinics there. The core dispute asks An expert for Gasco testified that Ranch was worth only $20,000 less in its unrestored condition than if it had been restored to its pre-exploration condition. There was no other expert testimony. Rancher testified that Ranch could not be... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- Should Rancher's damages for harm to Ranch be measured by the cost of completion ($500,000) or by the difference in value ($20,000)?
- Were Rancher's losses from the roping clinics foreseeable?
- Were Rancher's losses from the roping clinics ascertainable with reasonable certainty?
- Should the award of damages for Rancher's losses from the roping clinics take into account expenses he avoided?
- Did the damage award properly account for losses Rancher could reasonably have avoided by mitigation?

Relevant facts to use:

- MEE Question 8
- Rancher conducts cattle roping clinics in various locations around the country.
- In March, Rancher bought the Bar-X Ranch (Ranch) with a large pasture on which Rancher could hold the roping clinics.
- In April, before Rancher had offered any roping clinics on the property, Rancher agreed to allow Gasco, an oil and natural gas company, to explore for gas reserves on Ranch.

Condensed sample-answer path:

1. Point One: Rancher is entitled to cost-of-completion damages because the breach appears to be willfu

Short answer: For breach of contract, the injured party may be entitled to expectation damages.

Rule(s):

- For breach of contract, the injured party may be entitled to expectation damages.
- However, where an award might be wasteful, such as when the cost to restore (here $500,000) would greatly exceed the difference in value (here $20,000), damages may be measured by the difference in value.
- But when the breach appears to be willful, as is the case here, and only completion of the contract will enable the non-breaching party to use the land for its intended purposes, the cost of completion is considered the appropriate damage award.

Fact-based analysis:

- These damages are intended to put the injured party in the same position as if the contract had been performed.
- Since Ranch was not restored to its pre-exploration condition, Rancher is entitled to damages.
- Therefore, the court probably did not err in awarding Rancher the cost of returning Ranch to its pre-exploration condition.

Conclusion: Therefore, the court probably did not err in awarding Rancher the cost of returning Ranch to its pre-exploration condition.

2. Point Two: Rancher's losses based on his failure to conduct roping clinics were foreseeable.

Short answer: Contract damages must be foreseeable to be recoverable.

Rule(s):

- Contract damages must be foreseeable to be recoverable.
- Damages are foreseeable if a reasonable person in the position of the breaching party would have known at the time the contract was made that the damages were likely to occur as a result of the breach.

Fact-based analysis:

- Here, it is likely that Gasco would have known that if it did not restore Ranch, Rancher would not be able to hold his roping clinics.
- Because of this direct communication, the damages caused by Rancher's inability to conduct the roping clinics were foreseeable.

Conclusion: Here, it is likely that Gasco would have known that if it did not restore Ranch, Rancher would not be able to hold his roping clinics.

3. Point Three: Rancher can recover foreseeable losses from his inability to conduct the roping clinics

Short answer: Contract damages must be proved with reasonable certainty to be recoverable.

Rule(s):

- Contract damages must be proved with reasonable certainty to be recoverable.

Fact-based analysis:

- Here, Rancher faces the problem of a "new business." Although Rancher had conducted clinics on the road in the past, Rancher had not conducted clinics on Ranch.
- Here, it is a close call whether there is sufficient certainty to award Rancher his lost profits from the roping clinics.

Conclusion: On one hand, there is no reasonable certainty that the clinics would have been a success, or that 50 people would have attended each year.

4. Point Four: Rancher’s award should have been reduced by the expenses Rancher would have incurred in

Short answer: Contract damage awards must take into account costs avoided because of the breach.

Rule(s):

- Contract damage awards must take into account costs avoided because of the breach.
- In order to receive that amount, Rancher would have incurred expenses.
- Gasco’s breach saved him those expenses.

Fact-based analysis:

- Here, even if Rancher’s claimed damages of $300,000 were foreseeable and certain, that amount represents the gross amount that Rancher would have received.
- Therefore, even if the award of $300,000 was foreseeable and reasonably certain, it should be reduced to the net amount Rancher would have earned after expenses.

Conclusion: Therefore, even if the award of $300,000 was foreseeable and reasonably certain, it should be reduced to the net amount Rancher would have earned after expenses.

5. Point Five: It is uncertain whether Rancher’s award should have been reduced by the amount of loss R

Short answer: The $300,000 award of damages may be reduced by the amount Rancher could have earned by mitigating his loss.

Rule(s):

- The $300,000 award of damages may be reduced by the amount Rancher could have earned by mitigating his loss.
- Mitigation requires the injured party to take reasonable steps to reduce the damages.
- After the breach Rancher could have resumed these activities as mitigation, as that alternative may not be viewed as substantially different from or inferior to the clinics he planned to offer on the ranch.

Fact-based analysis:

- Here, Rancher offered clinics on the road before he bought Ranch.
- Therefore, it is uncertain whether Rancher’s award should be reduced by the amount he could have earned by offering the roping clinics on the road.

Conclusion: Therefore, it is uncertain whether Rancher’s award should be reduced by the amount he could have earned by offering the roping clinics on the road.

Question call(s): 1. Did the court err in awarding Rancher the cost of restoring Ranch to its pre-exploration condition? Explain. | 2. Did the court err in awarding Rancher $300,000 for damages resulting from Rancher’s inability to conduct roping clinics on Ranch for three years? Explain.

July 2009 — Question 5

Primary source subject: Contracts

Question summary: This question involves MEE Question 5 Sam was walking down the sidewalk when he heard shouts coming from a burning house. Sam immediately called 911 on his cell phone and rushed into the house. The core dispute asks What theories could Sam assert to recover all or some portion of the $1,000, and what is the likelihood of success on each theory? Explain. Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- Was Resident's promise to pay Sam $1,000 supported by consideration?
- In the absence of bargained-for consideration, can Sam enforce Resident's promise under the material benefit (moral consideration) rule?
- In the absence of bargained-for consideration, can Sam enforce Resident's promise under the theory of promissory estoppel?

Relevant facts to use:

- MEE Question 5
- Sam was walking down the sidewalk when he heard shouts coming from a burning house.
- Once outside, Resident thanked Sam and asked Sam about his work.
- Resident responded, "We need all the good paramedics that we can get!

Condensed sample-answer path:

1. Point One: Sam cannot recover under the theory that Resident's promise was supported by consideratio

Short answer: To be legally enforceable, a promise generally must be supported by consideration, which is shown through bargained-for exchange.

Rule(s):

- To be legally enforceable, a promise generally must be supported by consideration, which is shown through bargained-for exchange.
- This means that the promisor must have sought and received something of legal value in exchange for the promise.

Fact-based analysis:

- Here, there was no bargained-for exchange.
- Sam might argue that his action in rescuing the dog and/or Sam's promise to apply for paramedic training constitutes consideration for Resident's promise to pay $1,000.
- Resident's promise to pay the $1,000 was not made in exchange for Sam's rescue of the dog, but instead was made in recognition of that prior action.
- With regard to Sam's promise to apply for paramedic training, Resident did not seek that promise in exchange for the promise to pay the $1,000.

Conclusion: Resident's promise was not part of an exchange and therefore the consideration necessary to make Resident's promise legally enforceable is absent.

2. Point Two: Sam may be able to recover if the material benefit (moral consideration) rule applies, bu

Short answer: Some states recognize an exception to the past consideration limitation in cases in which the promise is made after receipt of a significant benefit.

Rule(s):

- The material benefit rule states that a promise not supported by consideration may be enforceable if it is "made in recognition of a benefit previously received by the promisor from the promisee . . . ." RESTATEMENT (SECOND) OF CONTRACTS § 86(1); see Webb v.
- He may have been acting out of pure selflessness when he rescued the dog, or he may have believed that his heroic action would result in a financial reward.

Fact-based analysis:

- Here, Resident promised to give Sam $1,000 in recognition of Sam's act of saving Resident's dog.
- Thus, it could be argued that the material benefit rule applies because Resident received a benefit from Sam and made the promise to give Sam $1,000 in recognition of that benefit.
- Here, it is unclear whether Sam intended to confer a gift upon Resident.
- Even if it is determined that Sam did not intend to confer a gift (and that Resident's promise is therefore enforceable), a court might limit recovery to something less than the full $1,000 if it finds that $1,000 is disproportionate to the value of the rescue of the dog.

Conclusion: Even if it is determined that Sam did not intend to confer a gift (and that Resident's promise is therefore enforceable), a court might limit recovery to something less than the full $1,000 if it finds that $1,000 is disproportionate to the value of the rescue of the dog.

3. Point Three: Sam may be able to recover some or all of the $1,000 if the doctrine of promissory esto

Short answer: The doctrine of promissory estoppel allows the enforcement of gratuitous promises to avoid harm to individuals who have relied on those promises.

Rule(s):

- In order to establish a promissory estoppel claim, all of the following must be shown: (1) the promisor, when making the promise, should have reasonably expected that the promisee would change his position in reliance on the promise; (2) the promisee did in fact change position in reliance on the promise; (3) the change in position was to the promisee's detriment and injustice can be avoided only by enforcing the promise.

Fact-based analysis:

- Here, the facts state that Resident promised to pay $1,000.
- Sam did change his position in reliance on that promise by incurring a $1,000 debt.
- Resident might argue that Sam's applying to the cosmetology program was not reasonable reliance because the promise was specific to a different program—Resident said, "If you are going to start paramedic training, I want to help you." However, Resident also said, "I want to compensate you for your heroism," and Sam could reasonably interpret that remark as indicating that Resident's promise to give him $1,000 was a promise to compensate him for rescuing Resident's dog and was not conditioned on his career choice.
- Thus, it is possible that Sam could recover that portion of the $1,000 promised by Resident that is determined to be the amount required to avoid injustice.

Conclusion: Thus, it is possible that Sam could recover that portion of the $1,000 promised by Resident that is determined to be the amount required to avoid injustice.

Question call(s): What theories could Sam assert to recover all or some portion of the $1,000, and what is the likelihood of success on each theory? Explain.

July 2010 — Question 2

Primary source subject: Contracts/Commercial Paper

Question summary: This question involves Buyer, who was in the market for a car, heard that Seller wanted to sell his car for $5,000. On June 1, Buyer visited Seller and saw the car. The core dispute asks What rights, if any, does Buyer have against Seller? Explain. 2. What rights, if any, does Checkco have against Buyer and against Seller? Explain. Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Relevant facts to use:

- Buyer, who was in the market for a car, heard that Seller wanted to sell his car for $5,000.
- Seller agreed to sell the car to Buyer for $5,000.
- On June 2, Buyer came to Seller's home.
- On June 3, Seller went to Checkco, where he indorsed the back of Buyer's check by signing his name with no other words and handed the check to the clerk in exchange for $950 in cash.

Condensed sample-answer path:

1. Point One (20%) Seller's statements about the brakes and clutch constituted express warranties that

Short answer: This is a contract for the sale of goods and as such is governed by Article 2 of the UCC.

Rule(s):

- Under the UCC, affirmations of fact relating to the goods that are part of the basis of the bargain create express warranties that the goods will conform to those affirmations and descriptions.
- The more general statements that the car was in "tip-top shape" and was "good for another 100,000 miles," however, may be "an affirmation merely of the value of the goods or a statement purporting to be merely the seller's opinion or commendation of the goods" and, therefore, may not constitute express warranties.
- See RESTATEMENT (SECOND) OF CONTRACTS § 164 (buyer may void a contract if assent is induced by a fraudulent or material misrepresentation on which the buyer is justified in relying).

Fact-based analysis:

- This is a contract for the sale of goods and as such is governed by Article 2 of the UCC.
- Buyer and Seller clearly entered into a contract for the sale of the car.
- Seller's statements that the brakes and clutch had been replaced were clearly such affirmations of fact and, thus, constituted express warranties.
- There are no facts in the problem to suggest that the parties intended their writing to be the exclusive statement of their terms, and the express warranties made by Seller were not inconsistent with anything in the writing.] Under common law principles, a misrepresentation is any "assertion that is not in accord with the facts," Restatement (Second) of Contracts § 159, and a misrepresentation is "material" if it is likely to induce assent to the contract, id. § 162.

Conclusion: Seller will be bound by his fraudulent or material misrepresentations.

2. Point Two (20%) Buyer accepted the car, but was entitled to revoke his acceptance under UCC rules be

Short answer: Buyer took the car and drove it for a week.

Rule(s):

- In particular, a buyer may revoke acceptance if (i) the goods do not conform to the contract, (ii) the nonconformity "substantially impairs" the value of the goods to the buyer, and (iii) the buyer accepted the goods either on the reasonable assumption that a nonconformity would be cured or without discovery of a nonconformity if acceptance was induced by either difficulty of discovery before acceptance or the seller's assurances; revocation must occur within a reasonable time after the buyer discovers or should have discovered the nonconformity and before any change in condition of the goods not caused by the nonconformity.
- Under the common law doctrine of misrepresentation, a buyer can avoid (rescind) a contract if his assent was induced by fraudulent or material misrepresentations and he was justified in relying on those misrepresentations.
- Under these circumstances, Buyer can avoid the contract as a result of Seller's misrepresentations.

Fact-based analysis:

- Buyer took the car and drove it for a week.
- Since this time span was well beyond a reasonable period in which to inspect the car, Buyer's failure to reject the car means that he accepted it.
- Having accepted the goods, Buyer can no longer reject them.
- In this case, all conditions for revocation are met.

Conclusion: Under these circumstances, Buyer can avoid the contract as a result of Seller's misrepresentations.

3. Point Three (20%) Because Buyer's revocation of acceptance is effective, Buyer may cancel the contra

Short answer: A buyer who has justifiably revoked acceptance of goods is entitled to recover so much of the price as has been paid.

Rule(s):

- A buyer who has justifiably revoked acceptance of goods is entitled to recover so much of the price as has been paid.
- Under UCC § 2-713, Buyer is entitled to the difference between the market price of a car conforming to the contract and the contract price, plus incidental and consequential damages.
- Alternatively, under UCC § 2-712, Buyer may "cover" by buying a car in substitution for the car bought from Seller.

Fact-based analysis:

- Similarly, a buyer who rescinds a contract due to a seller's misrepresentation is entitled to restitution of any portion of the purchase price that has been paid.
- Thus, Buyer is no longer obligated to pay for the car and can recover the purchase price that has been paid (the $4,000 in cash and the $1,000 amount of the check).
- Moreover, Buyer is also entitled to damages under UCC § 2-712 or § 2-713.
- Because, according to the mechanic, the market price of a car conforming to the contract was equal to the contract price, Buyer is entitled only to any incidental and consequential damages under UCC § 2-713.

Conclusion: If Buyer makes a covering purchase, Buyer may recover the excess, if any, of the cover price over the contract price of $5,000, plus incidental and consequential damages.

4. Point Four(a) (20%) Checkco, as a holder of the check, can assert a claim for the amount of the chec

Short answer: The facts state that Buyer paid $1,000 of the purchase price of the car with a check drawn on First Bank.

Rule(s):

- A check is a negotiable instrument governed by Article 3 of the UCC § 3-104.
- If a check is dishonored, the drawer (Buyer, in this case) has an obligation "to pay [it] . . . according to its terms at the time it was issued" to a "person entitled to enforce" it.
- A "holder" of a check is a person entitled to enforce it.

Fact-based analysis:

- The facts state that Buyer paid $1,000 of the purchase price of the car with a check drawn on First Bank.
- Buyer was the "drawer" of the check.
- Seller was an "indorser." See UCC § 3-204(b).
- Similarly, if a check is dishonored, an indorser (Seller, in this case) has an obligation to pay the amount of the check to a person entitled to enforce it.

Conclusion: Some applicants might also note that Seller could be liable to Checkco for breach of a transfer warranty because, at the time Seller transferred the check to Checkco, Seller would have been aware that Buyer had a defense to payment of the instrument.

5. Point Four(b) (20%) Checkco is a holder in due course and will not be subject to defenses that may b

Short answer: Seller has no defenses to his obligation under UCC § 3-415, so Checkco may recover from Seller.

Rule(s):

- Seller has no defenses to his obligation under UCC § 3-415, so Checkco may recover from Seller.
- Buyer, however, might claim that he has a defense to that obligation or a "claim in recoupment" arising from Seller's breach of contract in the transaction that gave rise to the check.
- If Checkco qualifies as a holder in due course, Buyer will not be able to raise any claims in recoupment and will be able to raise only the four "real" defenses listed in UCC § 3-305(a)(1).

Fact-based analysis:

- Thus, if Checkco is a holder in due course, it will be able to recover from Buyer despite the fact that Seller breached the contract giving rise to the check.
- Accordingly, Checkco is a holder in due course and may recover from Buyer notwithstanding the fact that Seller breached the contract giving rise to the check. [NOTE: Of course, Checkco is entitled to only one recovery.]

Conclusion: Accordingly, Checkco is a holder in due course and may recover from Buyer notwithstanding the fact that Seller breached the contract giving rise to the check. [NOTE: Of course, Checkco is entitled to only one recovery.]

Question call(s): 1. What rights, if any, does Buyer have against Seller? Explain. | 2. What rights, if any, does Checkco have against Buyer and against Seller? Explain.

February 2011 — Question 6

Primary source subject: Contracts

Question summary: This question involves Designer and Retailer entered into a legally binding contract for Designer to maintain Retailer's website. Under the terms of the written contract, Retailer was to pay Designer $20,000 per year. The core dispute asks Is Retailer liable for breach of contract? Explain. 2. Assuming that Retailer is liable, can Designer recover his actual damages from Retailer? Explain. 3. Assuming that Retailer is liable, can Designer recover punitive damages? Explain. Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Relevant facts to use:

- Designer and Retailer entered into a legally binding contract for Designer to maintain Retailer's website.
- Eight months before the third year's payment was due, Designer learned of an investment opportunity.
- Retailer responded, "Thanks.
- "That will be great," responded Designer.

Condensed sample-answer path:

1. Point One(a) (40%) Designer made an offer to Retailer to modify their existing contract. Retailer di

Short answer: Designer's statement "I need cash quickly to make an investment. . . . [I]f you promise now to pay me $15,000 in cash by the 25th of this month, I will accept that payment as satisfying your obligation under our contract for this year" was an offer to enter into a new, modified contract.

Rule(s):

- Therefore, the parties entered into a contract on the terms offered by Retailer. [NOTE: An examinee may discuss this issue in terms of an amendment to the existing contract.

Fact-based analysis:

- Designer's statement "I need cash quickly to make an investment. . . . [I]f you promise now to pay me $15,000 in cash by the 25th of this month, I will accept that payment as satisfying your obligation under our contract for this year" was an offer to enter into a new, modified contract.
- There was consideration for the modified contract under the bargained-for-exchange test because Designer agreed to accept a reduced payment and Retailer agreed to pay early if he could get a loan.
- However, Retailer's response made it clear that Retailer could not complete the contract unless Retailer obtained a loan, and Designer certainly understood this.

Conclusion: Such an analysis should receive full credit.]

2. Point One(b) (30%) Retailer breached the contract by failing to make good-faith efforts to obtain th

Short answer: Retailer might argue that because he did not get the loan, his obligation to pay never arose and he was not in breach.

Rule(s):

- Retailer might argue that because he did not get the loan, his obligation to pay never arose and he was not in breach.
- To satisfy the requirement of making good-faith efforts, Retailer must have taken reasonable steps to obtain the necessary cash.

Fact-based analysis:

- However, the contract contained an implied obligation to make good-faith efforts to obtain a loan.
- Without such an implied obligation, the contract would be illusory because Retailer would have no obligation.
- Here, Retailer did no more than pick up two loan applications which he did not even submit.
- Retailer therefore breached the contract.

Conclusion: Retailer therefore breached the contract.

3. Point Two (20%) Designer is entitled to recover from Retailer his actual damages, which would includ

Short answer: The normal measure of damages for breach of contract is expectation damages, which aim to give the nonbreaching party the benefit of his bargain.

Rule(s):

- The normal measure of damages for breach of contract is expectation damages, which aim to give the nonbreaching party the benefit of his bargain.
- Expectation damages must be foreseeable, see Hadley v.
- It is not necessary that the profitability of the investment be foreseeable at the time of the breach.

Fact-based analysis:

- Here, when Designer made the initial offer, he stated that he needed cash quickly to make a potentially profitable investment.
- On these facts, it is foreseeable that Designer would not be able to make the investment when Retailer failed to make timely payment.
- Therefore, Retailer is liable for Designer's actual damages.

Conclusion: Therefore, Retailer is liable for Designer's actual damages.

4. Point Three (10%) Designer is not entitled to recover punitive damages because such damages are not

Short answer: Punitive damages are not generally recoverable as an element of damages in a breach of contract action "unless the conduct constituting the breach is also a tort for which punitive damages [can be recovered]." RESTATEMENT (SECOND) OF CONTRACTS § 355.

Rule(s):

- Punitive damages are not generally recoverable as an element of damages in a breach of contract action "unless the conduct constituting the breach is also a tort for which punitive damages [can be recovered]." RESTATEMENT (SECOND) OF CONTRACTS § 355.

Fact-based analysis:

- Therefore, Designer is not entitled to recover punitive damages.

Conclusion: Therefore, Designer is not entitled to recover punitive damages.

Question call(s): 1. Is Retailer liable for breach of contract? Explain. | 2. Assuming that Retailer is liable, can Designer recover his actual damages from Retailer? Explain. | 3. Assuming that Retailer is liable, can Designer recover punitive damages? Explain.

February 2012 — Question 3

Primary source subject: Contracts

Question summary: This question involves GreenCar owns a fleet of 10 identical energy-efficient, electric “green” cars that it rents out for special events. GreenCar is the only company that has such specialized cars available for rental. The core dispute asks Is RepairCo entitled to any payment from GreenCar, and if so, under what theory or theories? Explain. Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Relevant facts to use:

- GreenCar owns a fleet of 10 identical energy-efficient, electric “green” cars that it rents out for special events.
- In order to have all 10 cars repaired in time for the parade, GreenCar entered into a contract with RepairCo pursuant to which RepairCo promised to “repair all 10 cars and return them to GreenCar no later than April 21 for $1,000 per car, $10,000 total.”
- On April 21, RepairCo had completed repairs on only 6 of the 10 cars and returned those 6 cars to GreenCar.
- GreenCar demanded that RepairCo return the remaining 4 unrepaired cars immediately.

Condensed sample-answer path:

1. Point One (50%) RepairCo did not substantially perform its contractual obligations when it repaired

Short answer: RepairCo did not fully perform its contractual obligations.

Rule(s):

- Here, because its failure to perform was a material breach, RepairCo did not substantially perform.
- “Where a contract is made to perform work and no agreement is made as to payment, the work must be substantially performed before payment can be demanded.” Stewart v.

Fact-based analysis:

- However, RepairCo might argue that it substantially performed its obligations under the contract and therefore is entitled to recover on that contract.
- Fourth, RepairCo cannot cure its failure because the contract required it to deliver 10 cars on April 21, which it did not and cannot do.
- This is because it allowed the work stoppage to continue so that it could teach its workers a lesson, rather than accepting their terms, as it intended to do eventually, and completing the contract.
- Because RepairCo failed to substantially perform its contractual obligations, GreenCar is excused from its obligation to pay on the contract.

Conclusion: Thus, RepairCo is not entitled to recover on the entire contract on the theory of substantial performance.

2. Point Two (25%) If RepairCo establishes that the contract with GreenCar is divisible, RepairCo may b

Short answer: If RepairCo’s performance is divisible, RepairCo may be entitled to some payment.

Rule(s):

- If RepairCo's performance is divisible, RepairCo may be entitled to some payment.
- A contract is said to be divisible if the performances to be exchanged can be divided into corresponding pairs of part performances in such a way that a court will treat the elements of each pair as if the parties had agreed they were equivalents.

Fact-based analysis:

- Here, RepairCo could argue that although the contract stated one total contract price ($10,000), the contract also stated an amount per vehicle.
- Thus, the total payment could easily be divided among the 10 very similar vehicles, which required similar work, with each car repair corresponding to $1,000 of GreenCar's payment.
- GreenCar could argue, however, that the contract is not divisible.
- Thus, it is possible, but far from certain, that RepairCo could recover some part of the contract price from GreenCar on the theory that the contract is divisible.

Conclusion: Thus, it is possible, but far from certain, that RepairCo could recover some part of the contract price from GreenCar on the theory that the contract is divisible.

3. Point Three (25%) Even if the contract is not divisible, RepairCo may be entitled to restitution fro

Short answer: Even if the contract is not divisible and RepairCo cannot recover on the contract, RepairCo may be entitled to some recovery from GreenCar as restitution for part performance so that GreenCar is not unjustly enriched.

Rule(s):

- Even if the contract is not divisible and RepairCo cannot recover on the contract, RepairCo may be entitled to some recovery from GreenCar as restitution for part performance so that GreenCar is not unjustly enriched.
- A party "is entitled to restitution for any benefit that he has conferred by way of part performance…in excess of the loss that he has caused by his own breach." RESTATEMENT (SECOND) OF CONTRACTS § 374(1); Lancellotti v.
- Thus RepairCo may be entitled to restitution for the work done on those cars, less any additional incidental or consequential losses resulting from its failure to repair the remaining 4 cars on April 21. [NOTE: An examinee might properly refer to this form of possible recovery as either unjust enrichment or quantum meruit.]

Fact-based analysis:

- RepairCo partially performed by delivering 6 of GreenCar's vehicles with the work done on the contract due date.

Conclusion: Thus RepairCo may be entitled to restitution for the work done on those cars, less any additional incidental or consequential losses resulting from its failure to repair the remaining 4 cars on April 21. [NOTE: An examinee might properly refer to this form of possible recovery as either unjust enrichment or quantum meruit.]

Question call(s): Is RepairCo entitled to any payment from GreenCar, and if so, under what theory or theories? Explain.

February 2013 — Question 2

Primary source subject: Contracts

Question summary: This question involves On January 2, a boat builder and a sailor entered into a contract pursuant to which the builder was to sell to the sailor a boat to be specially manufactured for the sailor by the builder. The contract price was $100,000. The core dispute asks What was the legal effect of the sailor's October 31 letter to the builder? Explain. 2. What was the legal effect of the builder's November 25 response to the sailor's October 31 letter? Explain. 3. What was the legal effect of the... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Relevant facts to use:

- On January 2, a boat builder and a sailor entered into a contract pursuant to which the builder was to sell to the sailor a boat to be specially manufactured for the sailor by the builder.
- On October 15, the builder's workers went on strike and there were no available replacements.
- On October 31, the builder's workers were still on strike, and no work was being done on the boat.
- On November 25, the builder responded to the letter, stating, "I'm sorry about the strike, but it is really out of my hands.

Condensed sample-answer path:

1. Point One (35%) Because the sailor had reasonable grounds for insecurity with respect to the builder

Short answer: The sailor was legally justified in sending the letter to the builder on October 31.

Rule(s):

- UCC § 2-609 states that "[w]hen reasonable grounds for insecurity arise with respect to the performance of either party, the other may in writing demand adequate assurance of due performance . . . ." Here, the sailor learned on October 31 that the builder's workers were on strike.

Fact-based analysis:

- Because the sailor's demand for assurance was justified, the builder was required to provide assurance that was adequate under the circumstances within a reasonable time (not to exceed 30 days) or be held to have repudiated the contract.

Conclusion: This gave the sailor reasonable grounds for insecurity about the builder's ability to complete performance on time and thus gave the sailor the right to seek adequate assurance from the builder.

2. Point Two(a) (30%) The builder did not, within a reasonable time, provide the sailor adequate assura

Short answer: Because the sailor, with legal justification (see Point One), demanded from the builder assurance of due performance, the builder's failure to provide such assurance within a reasonable time was a repudiation of their contract.

Rule(s):

- Because the sailor, with legal justification (see Point One), demanded from the builder assurance of due performance, the builder's failure to provide such assurance within a reasonable time was a repudiation of their contract.
- See UCC § 2-609(4) ("After receipt of a justified demand[,] failure to provide within a reasonable time not exceeding thirty days . . . assurance of due performance . . . is a repudiation of the contract.").

Fact-based analysis:

- Because the sailor, with legal justification (see Point One), demanded from the builder assurance of due performance, the builder's failure to provide such assurance within a reasonable time was a repudiation of their contract.
- See UCC § 2-609(4) ("After receipt of a justified demand[,] failure to provide within a reasonable time not exceeding thirty days . . . assurance of due performance . . . is a repudiation of the contract.").
- Thus, the builder had repudiated the contract.

Conclusion: Thus, the builder had repudiated the contract.

3. Point Two(b) (35%) Although the builder repudiated the contract with the sailor, the builder probabl

Short answer: The builder's failure to provide adequate assurance of performance constituted a repudiation of their contract (see UCC § 2-609(4)), but the builder was free to retract that repudiation until the sailor cancelled the contract or materially changed his position or indicated by communication or action that the sailor considered the repudiation to be final.

Rule(s):

- Accordingly, the sailor's failure to perform the sailor's obligations under the contract by taking the boat and paying for it constituted a breach of the contract.

Fact-based analysis:

- The builder's failure to provide adequate assurance of performance constituted a repudiation of their contract (see UCC § 2-609(4)), but the builder was free to retract that repudiation until the sailor cancelled the contract or materially changed his position or indicated by communication or action that the sailor considered the repudiation to be final.
- Here, the facts state that before the builder's December 3 telephone call to the sailor, the sailor did nothing in response to the builder's repudiation, such as contracting with a third party for a boat.
- Thus, after being so informed, the sailor did not have the right to treat their contract as cancelled.

Conclusion: Accordingly, the sailor's failure to perform the sailor's obligations under the contract by taking the boat and paying for it constituted a breach of the contract.

Question call(s): 1. What was the legal effect of the sailor's October 31 letter to the builder? Explain. | 2. What was the legal effect of the builder's November 25 response to the sailor's October 31 letter? Explain. | 3. What was the legal effect of the sailor's refusal to take and pay for the boat on December 15? Explain.

July 2013 — Question 7

Primary source subject: Contracts

Question summary: This question involves On May 1, a manufacturer and a chef met at a restaurant trade show. The manufacturer showed the chef some carving knives that were on sale for $100 each. The core dispute asks May 1, a manufacturer and a chef met at a restaurant trade show. The manufacturer showed the chef some carving knives that were on sale for $100 each. After examining the knives, the chef said, "I love these knives! I'll take 10 of them.... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Relevant facts to use:

- On May 1, a manufacturer and a chef met at a restaurant trade show.
- On May 15, the manufacturer sent six knives to the chef.
- On May 17, the chef sent the manufacturer a check for $600 and included in the envelope an unsigned note to the manufacturer, handwritten on plain paper, requesting the remaining four knives.
- The knives were particularly well-suited for the chef's uses, and the $100 price was a bargain, so the chef was very eager for the manufacturer to deliver the remaining four knives.

Condensed sample-answer path:

1. Point One (20%) The manufacturer and the chef entered into a contract at the trade show when they ag

Short answer: Because the knives are goods (see UCC § 2-105(1)), the situation presented by these facts is governed by Article 2 of the UCC § 2-204(1) provides that "[a] contract for sale of goods may be made in any manner sufficient to show agreement, including conduct by both parties which recognizes the existence of such a contract." The conversation between the manufacturer and the chef clearly shows an agreement pursuant to which the manufacturer would sell, and the chef would buy, 10 knives at $100 each.

Rule(s):

- Because the knives are goods (see UCC § 2-105(1)), the situation presented by these facts is governed by Article 2 of the UCC § 2-204(1) provides that "[a] contract for sale of goods may be made in any manner sufficient to show agreement, including conduct by both parties which recognizes the existence of such a contract." The conversation between the manufacturer and the chef clearly shows an agreement pursuant to which the manufacturer would sell, and the chef would buy, 10 knives at $100 each.

Fact-based analysis:

- Thus, UCC § 2-204 is satisfied and there is a contract for the chef to buy 10 knives from the manufacturer.

Conclusion: Thus, UCC § 2-204 is satisfied and there is a contract for the chef to buy 10 knives from the manufacturer.

2. Point Two (15%) The contract between the manufacturer and the chef is a contract for the sale of goo

Short answer: UCC § 2-201(1) provides that "a contract for the sale of goods for the price of $500 or more is not enforceable by way of action or defense unless there is some writing sufficient to indicate that a contract for sale has been made between the parties and signed by the party against whom enforcement is sought . . . ." Here, the contract between the manufacturer and the chef was for the sale of goods (the knives) for a price of $1,000.

Rule(s):

- UCC § 2-201(1) provides that "a contract for the sale of goods for the price of $500 or more is not enforceable by way of action or defense unless there is some writing sufficient to indicate that a contract for sale has been made between the parties and signed by the party against whom enforcement is sought . . . ." Here, the contract between the manufacturer and the chef was for the sale of goods (the knives) for a price of $1,000.
- Therefore, it is subject to the writing requirement of UCC § 2-201(1) unless an exception applies.

Fact-based analysis:

- UCC § 2-201(1) provides that "a contract for the sale of goods for the price of $500 or more is not enforceable by way of action or defense unless there is some writing sufficient to indicate that a contract for sale has been made between the parties and signed by the party against whom enforcement is sought . . . ." Here, the contract between the manufacturer and the chef was for the sale of goods (the knives) for a price of $1,000.

- Therefore, it is subject to the writing requirement of UCC § 2-201(1) unless an exception applies.

Conclusion: Therefore, it is subject to the writing requirement of UCC § 2-201(1) unless an exception applies.

3. Point Three (25%) The document enclosed in the shipping box with the knives is sufficient to indicat

Short answer: UCC § 2-201(1) requires that, for a contract within its scope to be enforceable, there be a writing sufficient to indicate that a contract for sale has been made that is signed by the party against whom enforcement is sought.

Rule(s):

- UCC § 2-201(1) requires that, for a contract within its scope to be enforceable, there be a writing sufficient to indicate that a contract for sale has been made that is signed by the party against whom enforcement is sought.
- In order for the contract to be enforceable against the manufacturer under UCC § 2-201(1), the document must be "signed" by the manufacturer.
- The Official Comment to UCC § 1-201 states that "in appropriate cases [the symbol] may be found in a billhead or letterhead." Accordingly, some cases have held that a document on company letterhead can constitute a signed writing as long as the requisite intent is present.

Fact-based analysis:

- Further, its contents clearly indicate that a contract for sale has been made: it states that the knives are enclosed "pursuant to our agreement" and expresses "pleasure to do business with" the chef.
- Thus, it is possible, but not certain, that the requirement of a signed writing is satisfied by the document, depending on whether the letterhead was used "with a present intention to adopt or accept" the document.
- Although the writing referred to in UCC § 2-201(1) need not contain detailed information about the contract, "the contract is not enforceable . . . beyond the quantity of goods shown in such writing." Here, the document included by the manufacturer with the knives that were shipped showed a quantity of only 6 knives.
- Accordingly, even if the document qualifies as a writing signed by the manufacturer, the document is not sufficient to make the contract enforceable beyond 6 knives.

Conclusion: The chef was entitled to accept a less than perfect tender, and such acceptance will not preclude the chef from enforcing the contract for the full amount—if the chef can overcome the statute of frauds problem.]

4. Point Four (20%) The chef's note is arguably a letter of confirmation of a contract for the sale of

Short answer: The statute of frauds can be satisfied in a contract between merchants if the party seeking enforcement of the contract has sent the other party a confirmation of the contract that would itself satisfy the statute of frauds against the enforcing party.

Rule(s):

- Although the chef sent a note to the manufacturer requesting the remaining four knives, that note must have been signed in order to satisfy the statute of frauds.
- A creative examinee might argue that the chef's decision to handwrite the note indicates an intent to authenticate by using handwriting alone, but the UCC definition of "signed" seems clearly to contemplate some authenticating symbol in addition to the content of the writing itself.

Fact-based analysis:

- The statute of frauds can be satisfied in a contract between merchants if the party seeking enforcement of the contract has sent the other party a confirmation of the contract that would itself satisfy the statute of frauds against the enforcing party.
- In other words, if the chef sends a written contract confirmation to the manufacturer that would bind the chef, the confirmation will also bind the manufacturer if the manufacturer does not object to it promptly (i.e., within 10 days).
- Here, both the chef and the manufacturer are merchants.

Conclusion: However, in all likelihood, no confirmation that would satisfy the statute of frauds was sent by the chef on these facts.

5. Point Five (20%) The chef's acceptance and payment for six knives eliminates the statute-of-frauds p

Short answer: A contract that does not satisfy the statute of frauds is nonetheless enforceable as to "goods for which payment has been made and accepted or which have been received and accepted." See UCC § 2-201(3)(c).

Rule(s):

- A contract that does not satisfy the statute of frauds is nonetheless enforceable as to "goods for which payment has been made and accepted or which have been received and accepted." See UCC § 2-201(3)(c).
- Some examinees may also note that the Uniform Electronic Transactions Act (UETA) and/or the federal Electronic Signature in Global and National Commerce Act (E-SIGN) allow the writing requirement of UCC § 2-201 to be satisfied by an electronic communication.

Fact-based analysis:

- In this case, however, payment has been made for only six knives, and only six knives have been received and accepted.
- Thus, this exception would not enable enforcement of the contract for the remaining four knives but, rather, only for the six knives already delivered. [NOTE: There are other exceptions to the statute of frauds that are not at issue on these facts, but that might be discussed by some examinees.
- Here, there is no indication that the knives are specially manufactured.
- Another exception applies if the party against whom enforcement is sought admits in pleading, testimony, or otherwise in court that a contract was made.

Conclusion: This is true, but it does not change the answer or the analysis, as there is no electronic communication that would satisfy the requirements of UCC § 2-201.]

Question call(s): Is there an enforceable contract against the manufacturer that binds him to sell 10 knives to the chef? Explain.

July 2014 — Question 2

Primary source subject: Contracts

Question summary: This question involves A music conservatory has two concert halls. One concert hall had a pipe organ that was in poor repair, and the other had no organ. The core dispute asks Bad news. We had an unexpected liability and as a result are in a real cash crunch. In fact, even though we haven't acquired the new organ from our supplier or started repair of your existing organ, we've already spent the cash you gave... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Relevant facts to use:

- A music conservatory has two concert halls.
- Two weeks later, before the business had commenced repair of the existing organ, the business suffered serious and unanticipated financial reversals.
- Bad news.
- After receiving this unwelcome news, the conservatory agreed to pay the extra amounts, provided that the extra amount on each contract would be paid only upon completion of the business's obligations under that contract.

Condensed sample-answer path:

1. Point One (45%) The business probably cannot recover the additional $60,000 for the organ repair bec

Short answer: The general rule is that, to be enforceable, a promise must be supported by consideration.

Rule(s):

- The general rule is that, to be enforceable, a promise must be supported by consideration.
- Under RESTATEMENT (SECOND) OF CONTRACTS § 71, a promise is supported by consideration if it is bargained for in exchange for a return promise or performance.
- However, under the "preexisting duty rule" (exemplified in RESTATEMENT (SECOND) OF CONTRACTS § 73 and Alaska Packers' Ass'n v.

Fact-based analysis:

- Here, however, the business already had a legal duty under the original contract and did not agree to do anything else in exchange for the conservatory's promise to pay $60,000 more.
- Under RESTATEMENT (SECOND) OF CONTRACTS § 89, followed in many jurisdictions, a promise modifying a duty under a contract not fully performed on either side is binding even if not supported by consideration, if the modification is fair and equitable in view of circumstances not anticipated by the parties when the contract was made.
- In many cases in which modifications have been upheld, a party encountered difficulties or burdens in performing far beyond what was knowingly bargained for in the original contract, with the result bordering on impracticability, such as having to excavate solid rock instead of soft dirt, or having to remove garbage far in excess of the amounts contemplated.
- Even if the business satisfies that element of the rule in Restatement § 89, the business must also demonstrate that the circumstances that gave rise to the need to modify the contract were "unanticipated" at the time the original contract was made.

Conclusion: However, any evidence that the business knew or had reason to know at the time of execution that it would need more money from the conservatory to be able to perform would mean that the request to modify was not "unanticipated." [NOTE: Some cases, such as Schwartzreich v.

2. Point Two (45%) The business can recover the additional $40,000 for the new organ because no conside

Short answer: The contract to buy a new organ is a contract for the sale of goods and therefore is governed by Article 2 of the UCC § 2-102.

Rule(s):

- Under Article 2, unlike the common law, an agreement modifying a contract needs no consideration to be binding.
- Section 2-209(1) thus obviates the preexisting duty rule entirely in contracts for the sale of goods.
- Even though consideration is not required, modifications governed by § 2-209 must satisfy the obligation of good faith imposed by the UCC.

Fact-based analysis:

- The contract to buy a new organ is a contract for the sale of goods and therefore is governed by Article 2 of the UCC § 2-102.
- In this context, the obligation of good faith means that "[t]he effective use of bad faith to escape performance on the original contract terms is barred, and the extortion of a 'modification' without legitimate commercial reason is ineffective as a violation of the duty of good faith." Official Comment 2 to UCC § 2-209.
- Here, because the business's financial reversals were serious and apparently unanticipated at the time that the business entered into the contract with the conservatory, and commitment of the extra money was needed to enable the business to perform, a court would likely find that the business acted in good faith.
- Thus, a court would likely uphold the enforceability of the conservatory's promise to pay the additional $40,000.

Conclusion: Thus, a court would likely uphold the enforceability of the conservatory's promise to pay the additional $40,000.

3. Point Three (10%) The conservatory is unlikely to be able to defend against enforcement of its promi

Short answer: Under the common law of contracts, parties may raise the defense of duress.

Rule(s):

- Under the common law of contracts, parties may raise the defense of duress.
- A contract is voidable on the ground of economic duress by threat when it is established that a party's manifestation of assent is induced by an improper threat that leaves the party no reasonable alternative.
- In order to void its agreement to pay the additional sum because of economic duress, the conservatory must demonstrate that (1) the business made a threat to the conservatory, (2) the threat was "improper" or "wrongful," (3) the threat induced the conservatory's manifestation of assent to the modification, and (4) the threat was sufficiently grave to justify the conservatory's assent.

Fact-based analysis:

- Here, it appears that three of the four elements are likely satisfied.
- A mere threat to breach a contract is not, in and of itself, improper so as to support an action of economic duress or business compulsion.
- Because the business could not perform the original contract without the requested modification, the economic duress claim for the conservatory would likely fail for much the same reason that the business would be able to enforce the modification.

Conclusion: Because the business could not perform the original contract without the requested modification, the economic duress claim for the conservatory would likely fail for much the same reason that the business would be able to enforce the modification.

Question call(s): 1. Must the conservatory pay the additional $60,000 for the organ repair? Explain. | 2. Must the conservatory pay the additional $40,000 for the new organ? Explain.

July 2015 — Question 3

Primary source subject: Contracts

Question summary: This question involves A seller and a buyer both collect antique dolls as a hobby. Both live in the same small city and are avid readers of magazines about antique dolls. The core dispute asks May 3, immediately telephoned the buyer, and said, "I consider your letter of May 2 to be the final end to our deal. I will sell the doll to someone else and will hold you responsible for any loss." On May 4, the seller received a... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- ANALYSIS
- Is an oral contract for the sale of goods for a price of $500 or more enforceable against a buyer who later sends a signed letter that indicates that the contract exists?
- If a party sends a letter stating a clear intention not to perform in accordance with a contract, but later tries to withdraw that statement, may the other party bring an action for breach of contract?
- What is the measure of damages if a buyer breaches a contract for the sale of goods and the seller resells the goods? Summary
- . The doll was clearly moveable at the time of identification, so the transaction is governed by Article 2. Under UCC Article 2, a contract may be formed in any manner sufficient to show agreement. UCC § 2-204
- . The telephone conversation between the seller and the buyer clearly satisfies this requirement and created a contract to sell the doll to the buyer. However, a contract for the sale of goods for a price of $500 or more is not enforceable against a party unless there is a writing signed by that party sufficient to indicate that a contract for sale has been made (or an exception to this rule applies). UCC § 2-201

Relevant facts to use:

- A seller and a buyer both collect antique dolls as a hobby.
- On May 1, the buyer saw the advertisement and telephoned the seller to discuss buying the doll.
- The next day, May 2, the buyer changed his mind and decided not to buy the doll.
- I have decided not to buy the 1820 doll that we agreed yesterday you would sell to me.

Condensed sample-answer path:

1. Point Two (40%)

Short answer: The buyer repudiated the contract, and his attempt to retract that repudiation was unsuccessful.

Rule(s):

- Therefore, the seller has a cause of action against the buyer for breach of the contract.
- UCC § 2-610 provides that if "either party repudiates the contract with respect to a performance not yet due the loss of which will substantially impair the value of the contract to the other" the aggrieved party may for a reasonable time await performance by the repudiating party or resort to any remedy for breach.
- Thus, the buyer's action constituted repudiation and would entitle the seller to pursue remedies for breach.

Fact-based analysis:

- The buyer repudiated the contract, and his attempt to retract that repudiation was unsuccessful.
- Although Article 2 does not define “repudiation,” Comment 1 to UCC § 2-610 states that repudiation “centers upon an overt communication of intention or an action which renders performance impossible or demonstrates a clear determination not to continue with performance.” Here, the buyer’s letter said: “I have decided not to buy the 1820 doll that we agreed yesterday you would sell to me.” That positive and unequivocal statement that the buyer will not perform “demonstrates a clear determination not to continue with performance.” In addition, the buyer’s failure to buy the doll would clearly “substantially impair the value of the contract” to the seller.
- Here, the seller materially changed her position in reliance on the buyer’s repudiation when she agreed to resell the doll to the collector, because the seller committed herself to a substitute transaction inconsistent with performing the contract with the buyer.
- Therefore, the buyer lost the ability to retract the repudiation no later than May 3, two days before the buyer attempted to retract his repudiation.

Conclusion: Therefore, the buyer lost the ability to retract the repudiation no later than May 3, two days before the buyer attempted to retract his repudiation.

2. Point Three (30%)

Short answer: The seller resold the doll and, accordingly, is entitled to damages equal to the $1,000 difference between the contract price and the resale price plus incidental damages of $150.

Rule(s):

- After the buyer’s breach, the seller sold the doll for only $11,000 and incurred an additional cost of $150 to transport the doll to the collector.
- Under UCC Article 2, when a buyer breaches or repudiates, the seller has several remedies, including the remedy of reselling the goods.
- If the resale is made in good faith and in a commercially reasonable manner, the seller can recover the difference between the contract price and the resale price plus incidental and consequential damages.

Fact-based analysis:

- The seller resold the doll and, accordingly, is entitled to damages equal to the $1,000 difference between the contract price and the resale price plus incidental damages of $150.
- This is another way of stating the “expectation” principle of contract remedies.
- Here, if the buyer had performed, the seller would have sold the doll to the buyer for $12,000 and would have incurred no additional delivery costs (other than the negligible costs of driving to the buyer’s home in the same city).
- Here, the facts indicate that when the seller sold the doll to the collector, the seller acted in good faith and in a commercially reasonable manner.

Conclusion: Hence, the seller’s total damages would be $1,000 + $150, for a total of $1,150.

Question call(s): 1. Is there a contract for the sale of the doll that is enforceable against the buyer? Explain. | 2. Assuming that there is a contract enforceable against the buyer, did the buyer breach that contract? Explain. 3. Assuming that there is a contract enforceable against the buyer and that the buyer breached that contract, how much can the seller recover in damages? Explain.

July 2016 — Question 5

Primary source subject: Contracts

Question summary: This question involves A homeowner and his neighbor live in houses that were built at the same time. The two houses have identical exteriors and are next to each other. The core dispute asks A homeowner and his neighbor live in houses that were built at the same time. The two houses have identical exteriors and are next to each other. The homeowner and his neighbor have not painted their houses in a long time, and the exterior... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- May a contractual right to the performance of services be assigned without the obligor's consent, giving the assignee the right to enforce the contract, when the assignment would not change the obligor's duty in any material respect?
- If the obligor does not perform, may a third party who would have benefitted from performance enforce the contract?
- If the obligor performs the services for the assignee pursuant to the assigned contract, is the assignee liable for payment? Is the assignor liable for payment?

Relevant facts to use:

- A homeowner and his neighbor live in houses that were built at the same time.
- 3.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary The homeowner's rights against the painter can be assigned to the neighbor because the substitution of neighbor for homeowner will not materially change the painter's duty or increase the painter's burden.

Rule(s):

- Summary The homeowner's rights against the painter can be assigned to the neighbor because the substitution of neighbor for homeowner will not materially change the painter's duty or increase the painter's burden.
- Point One (45%) The homeowner's rights against the painter are assignable because the substitution of neighbor for homeowner does not materially change the painter's duty or materially increase the burden imposed on the painter, and would not materially increase the painter's risk or chance of obtaining return performance, or materially reduce the value of the contract to him.
- While contract rights are generally assignable, a contract is not assignable if the assignment (i) would materially change the duty of the obligor (here, the painter), (ii) would materially increase the burden or risk imposed on the obligor, (iii) would materially impair the obligor's chance of obtaining return performance or materially reduce the value of that return performance to the obligor, (iv) is forbidden by statute or precluded by public policy, or (v) is validly precluded by contract.

Fact-based analysis:

- Because those rights have been assigned, the neighbor can enforce them against the painter.

- The retiree cannot enforce those rights because he is not a party to the contract (either initially or by assignment) and does not qualify as a third-party beneficiary of it.
- In this case, there is no indication of a statute or public policy that would forbid or preclude the assignment, and no contractual provision prohibiting assignment.
- Thus, the only questions are whether the assignment would materially change the duty of the painter or increase the burden imposed on the painter, and whether the assignment would materially impair the painter's chance of obtaining return performance or materially reduce the value of that return performance to the painter.

Conclusion: As a result, if the painter is not paid in accordance with the terms of the contract, then the painter retains a cause of action against the homeowner as well.

Question call(s): 3. If the painter paints the neighbor's house and the neighbor does not pay the $6,000 contract price, would the painter succeed in a contract claim against the neighbor? Against the homeowner? Explain.

February 2017 — Question 1

Primary source subject: Contracts

Question summary: This question involves On June 15, a professional cook had a conversation with her neighbor, an amateur gardener with no business experience who grew tomatoes for home use and to give to relatives. During the conversation, the cook mentioned that she might be interested in "branching out into making salsa" and that, if... The core dispute asks Is the gardener bound to sell the cook all the tomatoes he grows that summer for $25 per bushel? Explain. Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- ANALYSIS
- What body of contract law governs the dealings between the gardener and the cook?
- Was the gardener entitled to revoke his offer before the cook accepted it?
- Did the gardener revoke that offer before the cook accepted it, thereby preventing the formation of a contract? Summary
- . Thus, the transaction in question is a transaction in goods that is governed by Article 2 of the UCC. Common law principles remain applicable, though, to the extent not displaced by the UCC. UCC § 1-103(b). The document signed by the gardener, which was capable of being accepted, constituted an "offer" for a contract under UCC § 2-206. See also Point Two (60%) Generally, an offer to buy or sell goods may be revoked at any time before acceptance unless the offeror promised to hold the offer open and that promise is supported by consideration, or revocation of the offer is barred by UCC § 2-205. A person makes an offer when the person communicates to another a statement of "willingness to enter into a bargain, so made as to justify" the other person "in understanding that his assent to that bargain is invited and will conclude it." v. Int'l Controls & Measurements Corp., 262 . 2001). Here, the gardener's statement in the document that he signed was an offer because it expressed the gardener's willingness to enter into a bargain in a way that justified the cook in understanding that assent would create a contract. Under the common law of contracts, an offer may be revoked by the offeror at any time before acceptance unless an option contract is created limiting the power of revocation. No option contract is created here because there was no consideration for the gardener's promise to keep the offer open, and there was no writing reciting a purported consideration. Id. § 25, cmt. c, and § 87

- (a). As a result, the promise to hold the offer open is not enforceable under the general rule requiring consideration for such a promise. As the Id. § 87

Relevant facts to use:

- On June 15, a professional cook had a conversation with her neighbor, an amateur gardener with no business experience who grew tomatoes for home use and to give to relatives.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Because tomatoes are "goods," the gardener-cook transaction is within the scope of Article 2 of the Uniform Commercial Code (UCC), although common law principles remain applicable to the extent that they are not displaced by the UCC.

Rule(s):

- See also Point Two (60%) Generally, an offer to buy or sell goods may be revoked at any time before acceptance unless the offeror promised to hold the offer open and that promise is supported by consideration, or revocation of the offer is barred by UCC § 2-205.
- A person makes an offer when the person communicates to another a statement of "willingness to enter into a bargain, so made as to justify" the other person "in understanding that his assent to that bargain is invited and will conclude it." v.
- Under the common law of contracts, an offer may be revoked by the offeror at any time before acceptance unless an option contract is created limiting the power of revocation.

Fact-based analysis:

- Because tomatoes are "goods," the gardener-cook transaction is within the scope of Article 2 of the Uniform Commercial Code (UCC), although common law principles remain applicable to the extent that they are not displaced by the UCC.
- Thus, the gardener's revocation is effective and the gardener is not bound to sell the tomatoes to the cook.
- Further, the document signed by the gardener was an "offer" for a contract under the UCC.
- Thus, the transaction in question is a transaction in goods that is governed by Article 2 of the UCC.

Conclusion: Thus, the cook's power to accept the offer and create the contract was terminated before her acceptance and there is no contract between them with respect to the tomatoes.

February 2018 — Question 3

Primary source subject: Contracts

Question summary: This question involves A woman whose hobby was making pottery wanted to improve her pottery skills both for her own enjoyment and to enable her to create some pottery items that she could sell. Accordingly, she entered into negotiations with an experienced professional potter about the possibility of an apprenticeship at... The core dispute asks May 1: • The woman would be the potter's apprentice for three months beginning May 15. During the apprenticeship, the potter would provide education and guidance about the artistry and business of pottery. The woman would pay the potter... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- ANALYSIS
- Does Article 2 of the Uniform Commercial Code or the common law of contracts apply to a dispute under a mixed contract for a transaction in both goods and services?
- (a) When parties have entered into a written agreement which states that it is their complete agreement, under what circumstances are terms that were orally agreed to before the written agreement part of the resulting contract?
- (b) When parties have entered into a written agreement which states that it is their complete agreement, is a subsequent oral agreement part of the resulting contract?
- Is an agreement to modify a contract in which one party gives up rights and gets nothing in return enforceable? Summary
- 3 Corbin on Contracts § 588. This is the case here. Notwithstanding the subsequent modification of the agreement, it appears that the parties intended the terms stated in the written agreement to be final with respect to the matters they addressed; thus, the contract was integrated with respect to those terms. The effect of the integrated writing under the common law parol evidence rule depends on whether the writing is "completely integrated" or only "partially integrated." A completely integrated agreement, one that is adopted by the parties as a complete and exclusive statement of the terms of the agreement (see Restatement (Second) of Contracts § 210

Relevant facts to use:

- A woman whose hobby was making pottery wanted to improve her pottery skills both for her own enjoyment and to enable her to create some pottery items that she could sell.
- 1.

Condensed sample-answer path:

Question call(s): 1. If the woman sues the potter about the disputes relating to the apprenticeship, will those disputes be governed by the common law of contracts or by Article 2 of the Uniform Commercial Code? Explain. 2. Assuming that the common law of contracts governs, is the oral agreement concerning the woman's lodging binding on the parties? Explain. 3. Assuming that the common law of contracts governs, is the oral agreement lowering the price for the apprenticeship binding on the parties? Explain.

July 2018 — Question 2

Primary source subject: Contracts

Question summary: This question involves A homeowner, who knew that his neighbor wanted to buy a lawn mower, called the neighbor and offered to sell his lawn mower to her for $350. The neighbor replied, "No way! The core dispute asks A homeowner, who knew that his neighbor wanted to buy a lawn mower, called the neighbor and offered to sell his lawn mower to her for $350. The neighbor replied, "No way! That price is too high." The homeowner responded, "The price is a... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- ANALYSIS

- What body of contract law governs this dispute?
- Is a promise to keep an offer to sell goods open for a week binding when the offer is made by a nonmerchant and is not supported by consideration?
- Does an expression of acceptance of an offer create a contract when the offeree is aware that the offeror has taken actions inconsistent with an intention to enter into the contract? Summary
- . Thus, the transaction in question is a transaction in goods that is governed by Article 2 of the UCC. Common law principles remain applicable, though, to the extent not displaced by the UCC. UCC § 1-103(b). Point Two (40%) The homeowner's promise to hold his offer open for one week was not supported by consideration and thus, under common law contract principles, was not binding. The promise was not otherwise made enforceable by Article 2 of the UCC. The homeowner's statement at the beginning of the conversation with the neighbor was an offer to sell her the lawn mower, and her reply was a rejection of that offer. The homeowner followed up, however, by renewing the offer and promising to hold it open for a week. Under the common law of contracts, an offer may be revoked by the offeror at any time before acceptance unless an option contract is created limiting the power of revocation. Here, however, no option contract was created. First, there was no consideration for the homeowner's promise to keep the offer open, and there was no writing reciting a purported consideration. c, and § 87
- (a). As a result, the promise to hold the offer open was not enforceable under the general rule requiring consideration for such a promise. Second, as the Id. § 87

Relevant facts to use:

- A homeowner, who knew that his neighbor wanted to buy a lawn mower, called the neighbor and offered to sell his lawn mower to her for $350.

Condensed sample-answer path:

1. Point Two (40%) The homeowner's promise to hold his offer open for one week was not supported by con

Short answer: An offeree may accept an offer and thereby create a contract unless the offeree's power of acceptance has been terminated.

Rule(s):

- An offeree may accept an offer and thereby create a contract unless the offeree's power of acceptance has been terminated.
- The power of acceptance may be terminated by a rejection or counteroffer by the offeree, the lapse of time, revocation by the offeror, or death or incapacity of either party.
- Yet some cases have held that revocation may also be communicated to the offeree indirectly, when the offeror takes definite action inconsistent with an intention to enter into the proposed contract and the offeree acquires reliable information to that effect.

Fact-based analysis:

- Here, none of those events is relevant except for revocation by the offeror. (In these circumstances, it does not appear that four days would constitute a sufficient lapse of time, especially in light of the expressed willingness of the homeowner to keep the offer open for a week.
- In most cases, revocation of an offer occurs when the offeree receives from the offeror a manifestation of intention not to enter into the proposed contract.
- Here, the neighbor did not receive such a manifestation of intention directly from the homeowner before she tried to accept his offer.

- In this case, the homeowner took definite action inconsistent with an intention to sell the lawn mower to the neighbor—namely, he entered into a contract to sell it to the acquaintance.

Conclusion: Accordingly, it could be argued that the homeowner had not revoked his offer before it was accepted by the neighbor and a contract was therefore created by the acceptance.]

July 2019 — Question 4

Primary source subject: Contracts

Question summary: This question involves On March 1, a contractor and an owner of movie theaters signed an agreement providing that, no later than August 15, the contractor would install seats in the owner's new movie theater. The agreed-upon price was $100,000, which was less than the $150,000 that other similar contractors would charge... The core dispute asks May the owner recover for lost profits resulting from the cancellation of the film festival? Explain. 3. Assuming that the owner is entitled to recover for lost profits resulting from the cancellation of the film festival, how much should... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- Do the damages recoverable by the owner from the original contractor include $50,000 for the additional amount paid to the substitute contractor beyond the $100,000 price to be paid to the original contractor under the contract?
- (a) Can the owner recover from the original contractor as consequential damages lost profits from the canceled film festival even though the contractor was unaware of the owner's plan to hold the film festival?
- (b) Assuming that the owner can recover consequential damages resulting from the canceled film festival, does the owner's failure to reduce those damages by relocating the film festival rather than canceling it result in lower consequential damages?
- , as currently applied in almost every state, such damages are not recoverable for loss that the party in breach did not have reason to foresee as a probable result of the breach when the contract was made. Restatement (Second) of Contracts § 351
- . Loss may be foreseeable as a probable result of a breach if it follows from the breach either in the ordinary course of events or as a result of special circumstances beyond the ordinary course of events that the party in breach had reason to know of. Id. § 351
- . Here, it is unlikely that a court would conclude that cancellation of a film festival would follow in the ordinary course of events from breach of a contract to install seats in a movie theater by a stated date. Although the contractor likely would have known that general ticket sales would be lost because of the delayed opening, there is nothing in the facts to indicate that film festivals or similar events are usually scheduled immediately following the construction of a movie theater. It might be argued, however, that the original contractor would have reason to know that the owner of a new theater would promote its opening with some sort of special event that could generate significant revenue. Thus, while it might be argued that the loss from the cancellation of the film festival was foreseeable as following from the breach in the ordinary course of events, these facts offer little to support that argument. [NOTE: New York does not follow the rule in Hadley v. Baxendale. Rather, recovery of consequential damages in New York is limited to liability the defendant fairly may be supposed to have assumed consciously, or to have warranted the plaintiff reasonably to suppose that it assumed, when the contract was made. See Kenford Co. v. County of Erie (Kenford II), 537 N.E.2d 176 (. This test, derived from the opinion of Justice Holmes in Globe Ref. Co. v. Landa Cotton Oil Co., 190

Relevant facts to use:

- On March 1, a contractor and an owner of movie theaters signed an agreement providing that, no later than August 15, the contractor would install seats in the owner's new movie theater.
- 1.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Damages for breach of contract are typically based on the aggrieved party's expectation interest—how much worse off the aggrieved party is than if the breaching party had fulfilled its obligation under the contract.

Rule(s):

- Summary Damages for breach of contract are typically based on the aggrieved party's expectation interest—how much worse off the aggrieved party is than if the breaching party had fulfilled its obligation under the contract.
- Whether the owner is also entitled to consequential damages arising from the cancellation of the film festival depends on whether the original contractor had reason to foresee the cancellation as a probable result of its breach.
- If the college auditorium was a reasonable substitute location for the film festival, the owner could have avoided $25,000 of the $35,000 in lost profits and thus would be entitled to recover only the $10,000 that would have been lost had the film festival been held at the college auditorium.

Fact-based analysis:

- In this case, the owner would have had to pay the contractor $100,000 to install the seats but, because the contractor breached its contract, had to pay the substitute contractor $150,000 for that task.
- Thus, the owner is $50,000 worse off than it would have been if the contractor had satisfied its obligation.
- As a result, the owner's "direct damages" are $50,000.
- Here, the original contractor did not know about the scheduled film festival, and there is no indication in the facts that the original contractor had reason to know of it.

Conclusion: In that case, holding the film festival at the college auditorium would not have been a reasonable substitute for a film festival at the new theater, and the consequential damages recoverable by the owner would not be reduced by the amount that could have been saved by moving the film festival to the college auditorium. [NOTE: Sometimes the reduction in consequential damages because the aggrieved party did not take affirmative steps to avoid contractual losses is described as a breach of the party's "duty to mitigate damages." This terminology is misleading because that party has no duty to avoid loss; rather, contract law simply provides that the aggrieved party cannot recover losses that could reasonably have been avoided.]

Question call(s): 1. Do the damages recoverable by the owner include $50,000 for the amount paid to the substitute contractor above the $100,000 price to be paid to the original contractor under the contract? Explain. 2. May the owner recover for lost profits resulting from the cancellation of the film festival? Explain. 3. Assuming that the owner is entitled to recover for lost profits resulting from the cancellation of the film festival, how much should the owner recover? Explain.

February 2020 — Question 1

Primary source subject: Contracts

Question summary: This question involves A homeowner entered into two separate contracts with a contractor for the renovation of her kitchen and the remodeling of her bathroom. The homeowner has refused to pay the contractor on both contracts because of dissatisfaction with his work. The core dispute asks A homeowner entered into two separate contracts with a contractor for the renovation of her kitchen and the remodeling of her bathroom. The homeowner has refused to pay the contractor on both contracts because of dissatisfaction with his... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- How much more, if anything, is the homeowner required to pay the contractor under the kitchen contract?
- How much more, if anything, is the homeowner required to pay the contractor under the bathroom contract?
- the extent to which the injured party will be deprived of a benefit he or she reasonably expected,
- the extent to which the injured party can be adequately compensated for the part of the benefit of which he or she will be deprived,
- the extent to which the party failing to perform will suffer forfeiture,
- the likelihood that the party failing to perform will cure that failure, and

Relevant facts to use:

- A homeowner entered into two separate contracts with a contractor for the renovation of her kitchen and the remodeling of her bathroom.
- Assuming that the contractor will do nothing to address the homeowner's concerns: 1.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary The common law of contracts, rather than Article 2 of the Uniform Commercial Code, applies to these contracts because the services aspects of each contract predominate.

Rule(s):

- Generally, under the common law of contracts, one party's failure to perform excuses the other party from making payment if the breaching party "materially breached" the contract or failed to "substantially perform" his obligations.
- Under the common law doctrine of substantial performance, a party that breaches a contract is nonetheless entitled to the other party's performance if the breaching party has not "materially breached" the contract, but instead has "substantially performed." See, e.g., E.
- 2004) ("If one party's performance is a constructive condition of the other party's duty, only 'substantial' performance is required of the first party before that party can recover under the contract").

Fact-based analysis:

- Summary The common law of contracts, rather than Article 2 of the Uniform Commercial Code, applies to these contracts because the services aspects of each contract predominate.
- In the case of the kitchen contract, a court is likely to conclude that the contractor did not substantially perform the contract by installing vinyl flooring and not the linoleum flooring that the homeowner wanted for various

reasons and that was specified in the contract, thus excusing the homeowner's final payment ($8,000) under this contract.
- The homeowner is therefore not required to pay more under the kitchen contract.
- In the case of the bathroom contract, however, a court is likely to conclude that the contractor did substantially perform the contract even though there was a 29-inch space between the vanity and the bathtub rather than the 30-inch space specified in the contract.

Conclusion: The $500 diminution in value should be deducted from the $10,000 final payment the homeowner would be required to pay the contractor, netting the contractor $9,500 on the bathroom contract.

February 2021 — Question 6

Primary source subject: Contracts

Question summary: This question involves A grocer planned to open a supermarket and needed shopping carts for her store. On March 1, she went to the showroom of a shopping-cart supplier to look at a variety of samples of modern shopping carts. The core dispute asks Is there an enforceable contract requiring the supplier to sell 100 shopping carts to the grocer for $125 each? Explain. Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- Is there a contract between the supplier and the grocer for the sale of 100 shopping carts?
- (a) Does the ability of the grocer to enforce the contract against the supplier depend on satisfying a statute of frauds?
- (b) Does the document sent by the supplier to the grocer satisfy the applicable statute of frauds, enabling the grocer to enforce the contract for the sale of 100 shopping carts against the supplier?
- (c) Does the grocer's handwritten note to the supplier, and the supplier's failure to object to it, satisfy the applicable statute of frauds, enabling the grocer to enforce the contract for the sale of 100 shopping carts against the supplier?
-), the situation presented by these facts is governed by Article 2 of the UCC § 2-204
- provides that "[a] contract for sale of goods may be made in any manner sufficient to show agreement, including conduct by both parties which recognizes the existence of such a contract." The conversation between the grocer and the supplier clearly shows an agreement pursuant to which the supplier would sell, and the grocer would buy, 100 shopping carts at $125 each. Thus, UCC § 2-204

Relevant facts to use:

- A grocer planned to open a supermarket and needed shopping carts for her store.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary The grocer and the supplier entered into a contract pursuant to which the supplier agreed to sell 100 shopping carts to the grocer for a total price of $12,500.

Rule(s):

- Whether the contract is enforceable by the grocer requires further analysis.

- If the document constitutes a writing signed by the supplier, it is sufficient to enable the contract to be enforced by the grocer against the supplier only for 60 shopping carts—the quantity mentioned in that writing—and not for the orally agreed 100 shopping carts.
- Because the shopping carts are goods (see UCC § 2-105(1)), the situation presented by these facts is governed by Article 2 of the UCC § 2-204(1) provides that "[a] contract for sale of goods may be made in any manner sufficient to show agreement, including conduct by both parties which recognizes the existence of such a contract." The conversation between the grocer and the supplier clearly shows an agreement pursuant to which the supplier would sell, and the grocer would buy, 100 shopping carts at $125 each.

Fact-based analysis:

- Summary The grocer and the supplier entered into a contract pursuant to which the supplier agreed to sell 100 shopping carts to the grocer for a total price of $12,500.
- Because it is a contract for the sale of goods, the contract is governed by Article 2 of the Even though a contract exists, under Article 2's statute of frauds a contract for the sale of goods for a price of $500 or more is not enforceable against a party unless there is a writing sufficient to indicate that a contract has been made that is signed by that party or an exception applies.
- Here, the contract price is more than $500, so a writing signed by the supplier is required in order to enable the grocer to enforce the contract against him unless an exception applies.
- The document sent by the supplier to the grocer is a writing sufficient to indicate that a contract has been made, but it is not clear whether that writing has been "signed" by the supplier.

Conclusion: Assuming that only Big Box and the customer were negligent and can be held liable, can the son recover the full amount of damages from Big Box only?

February 2022 — Question 6

Primary source subject: Contracts

Question summary: This question involves Buyer manufactures scarves from various fabrics, including silk. It buys silk from various fabric importers including Seller, from whom Buyer has made over 250 purchases of silk during the last six years. The core dispute asks Is there a contract enforceable by Buyer against Seller arising from the January 9 agreement? Explain. 2. Assuming that there is a contract enforceable by Buyer against Seller arising from the January 9 agreement, does the contract require... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- What body of law governs the transaction between Buyer and Seller?
- (a) Is there a contract arising from the January 9 agreement?
- (b) Is the contract enforceable by Buyer against Seller?
- Does the contract require Seller to deliver the silk to Buyer?
- Is Buyer entitled to damages of $20,000?

Relevant facts to use:

- Buyer manufactures scarves from various fabrics, including silk.

Condensed sample-answer path:

1. Point One (5%) The transaction between Seller and Buyer is governed by Article 2 of the Article 2 of

Short answer: But Seller is not trying to enforce the contract against Buyer.

Rule(s):

- UCC § 2-201(1), standing alone, would result in Buyer's being unable to enforce the contract against Seller because there is no writing signed by Seller.
- If this "gap-filling" provision applied, Seller would have no obligation to deliver the silk to Buyer.
- But UCC §§ 2-202(a) and 1-303(d) provide that the agreement of the parties may be supplemented by the parties' "course of dealing." UCC § 1- 303(b) defines "course of dealing" as "a sequence of conduct concerning previous transactions between the parties to a particular transaction that is fairly to be regarded as establishing a common basis of understanding for interpreting their expressions or other conduct." Here, there is such a sequence of conduct concerning prior transactions.

Fact-based analysis:

- But Seller is not trying to enforce the contract against Buyer.
- Rather, Buyer is trying to enforce the contract against Seller.
- In particular, UCC § 2- 201(2) provides that, between merchants, a writing in confirmation of a contract, sent by one party within a reasonable time and received by the other, that is sufficient to satisfy the statute of frauds as to the sender, is also sufficient against the recipient if the recipient had reason to know of its contents, unless the recipient objects in writing within 10 days of receipt.
- Here, both parties are "merchants" as that term is defined in UCC § 2-104(1) because they both "deal in goods of the kind"—Seller regularly manufactures and sells bulk silk and Buyer routinely buys this silk for use in its manufacturing business.

Conclusion: How should the trial court rule on each objection?

July 2022 — Question 2

Primary source subject: Contracts

Question summary: This question involves Five years ago, Seller started a small winery that catered to a regional market. The winery became wildly successful. The core dispute asks Is Seller's and Buyer's oral agreement that Buyer would use Seller's picture on red wine labels enforceable even though it was not included in the written agreement? Explain. (Do not discuss any potential statute of frauds issues.) 2.... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- Is Buyer bound by his oral agreement to use the label with Seller's picture, even though that agreement did not appear in the subsequent written agreement between the parties?
- May Seller introduce evidence of the
- Is Seller's promise not to open another winery for 10 years anywhere in the United States an unreasonable restraint on trade that is unenforceable as a matter of public policy?
- . The parol evidence rule is a rule of substantive contract law (and not evidence law) to determine the impact of a written agreement on prior and contemporaneous related agreements. See id. § 213, cmt. a. The rule

nonetheless has evidentiary effects. One such effect is that "evidence of prior or contemporaneous agreements or negotiations is not admissible in evidence to contradict a term of the writing" that is a binding integrated agreement. Id. § 215. If, however, the integrated agreement is consistent with the prior agreement, evidence of the prior agreement may be admitted unless the integrated agreement is also "completely integrated." Id. § 216
- . A written agreement is considered to be integrated if it constitutes a final expression of one or more terms of an agreement and is considered to be completely integrated if the parties adopted the writing as a complete and exclusive statement of their agreement. See id. §§ 209
- , 210

Relevant facts to use:

- Five years ago, Seller started a small winery that catered to a regional market.
- 3.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: and negotiations with Buyer about what would constitute a "fair share" of the winery's first-year profits to help explain the meaning of that term? (3) Is Seller's promise not to open another winery for 10 years anywhere in the United States an unreasonable restraint on trade that is unenforceable as a matter of public policy?

Rule(s):

- Under the parol evidence rule, if the signed agreement, which appears to be integrated, is inconsistent with the prior oral agreement, the prior agreement is discharged and, therefore, evidence about that prior agreement would not be admissible.
- Accordingly, the oral agreement is not discharged (and evidence of it is admissible to supplement the written agreement) unless the writing is completely integrated (adopted as a complete and exclusive statement of the terms of the agreement).
- If the written agreement is completely integrated, it would discharge the prior oral agreement, but although it is a close call, the written agreement does not appear to be completely integrated.

Fact-based analysis:

- and negotiations with Buyer about what would constitute a "fair share" of the winery's first-year profits to help explain the meaning of that term? (3) Is Seller's promise not to open another winery for 10 years anywhere in the United States an unreasonable restraint on trade that is unenforceable as a matter of public policy?
- DISCUSSION Summary The signed agreement to sell the winery did not contain Buyer's oral agreement to continue the use of the label containing the picture of Seller.
- Here, while it is a close call, the writing does not appear to be completely integrated.
- The signed agreement also included the vague phrase that Buyer would pay Seller a "fair share" of his first year’s profits, a term susceptible to a spectrum of meanings.

Conclusion: And even if the noncompete covenant here were rewritten, it would not prevent Seller from starting another winery in a state far away from the original winery. [NOTE: There are additional factors, beyond duration and geographic scope, for determining the enforceability of a covenant not to compete.

Question call(s): 3. Assuming that Buyer is not in breach of any of his obligations under the purchase agreement, would Buyer prevail on a claim that Seller breached her obligations under the agreement by opening her new winery? Explain. Assume for all questions that, in the jurisdiction whose law governs the dispute, the sale of an ongoing business is governed by the common law of contracts, not Article 2 of the Uniform Commercial Code.

February 2024 — Question 2

Primary source subject: Contracts

Question summary: This question involves A wealthy art collector recently died, leaving her entire collection of artworks to Grandson. After receiving the artworks from the estate, Grandson, who did not share his grandmother's interest in art, decided to sell them. The core dispute asks Does Buyer have the right to rescind or avoid the contract on the basis of a mutual mistake of fact? Explain. Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- (a) What body of contract law governs a contract for the sale of a painting?
- (b) Does a representation that a painting was produced by a particular artist create an express warranty that the painting was, in fact, produced by that artist?
- (c) Is contract language that purports to disclaim "all warranties, express or implied" adequate to disclaim an express warranty that a painting is by a particular artist?
- (a) Where the parties to a contract for the sale of a painting are both mistaken about the identity of the artist who produced the painting, is there a mistake of fact sufficient to allow the buyer to rescind or avoid the contract?
- (b) Where the facts do not suggest that the risk of mistake should be allocated to the buyer, can the buyer rely on mutual mistake of fact to rescind or avoid the contract?
- (a), any "affirmation of fact . . . made by the seller to the buyer" constitutes an express warranty if it "relates to the goods and becomes part of the basis of the bargain." Furthermore, any "description of the goods which is made part of the basis of the bargain creates an express warranty." UCC § 2-313

Relevant facts to use:

- A wealthy art collector recently died, leaving her entire collection of artworks to Grandson.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary A contract for the sale of a painting is a transaction in goods governed by Article 2 of the Grandson’s representations in the catalog and the Art Purchase Agreement that the painting was a work of Artiste constitute an express warranty of that fact.

Rule(s):

- Summary A contract for the sale of a painting is a transaction in goods governed by Article 2 of the Grandson’s representations in the catalog and the Art Purchase Agreement that the painting was a work of Artiste constitute an express warranty of that fact.
- The disclaimer of "all warranties, express or implied" in the Art Purchase Agreement was not effective to prevent that warranty from becoming part of the contract.
- The warranty was breached because the painting was not, in fact, by Artiste.

Fact-based analysis:

- Because rescission or avoidance for mutual mistake is not addressed in Article 2 of the In this case, the parties made a mutual mistake of fact as to a matter (whether Artiste produced the painting in question) that was critically important to the bargain they were making and that, under the facts, justifies rescission or avoidance of the contract by Buyer.
- Point One(a) (10%) A contract for the sale of a painting is a transaction in goods governed by Article 2 of the Article 2 of the " UCC § 2-102.
- Goods are all things "movable at the time of identification to the contract for sale." UCC § 2-105.
- The painting was movable at the time of its identification to the contract of sale.

Conclusion: Furthermore, because relief for breach of warranty is generally based on the value that the property would have had if it had been as warranted (see Uniform Commercial Code § 2-714(2)), it is ordinarily more extensive than that afforded if he merely seeks to avoid the contract on the ground of mistake.

July 2024 — Question 4

Primary source subject: Contracts

Question summary: This question involves A store owner wanted a new sign for her store. On May 1, she met with a representative of SignCo, a sign company, which she had selected on the basis of its low advertised prices, and detailed her proposed specifications for the sign. The core dispute asks May 1, she met with a representative of SignCo, a sign company, which she had selected on the basis of its low advertised prices, and detailed her proposed specifications for the sign. The store owner and the representative, who was... Main issues tested include contract formation, Statute of Frauds, defenses, performance, breach, remedies, UCC Article 2 sales, warranties, and risk allocation.

Issues tested:

- Did the store owner and SignCo form a contract on May 1?
- Assuming that the store owner and SignCo formed a contract on May 1, is it enforceable against the store owner even though she did not sign a document reflecting the agreement?
- Assuming that the May 1 agreement constitutes a contract that is enforceable against the store owner, is the store owner bound to accept the sign from the substitute manufacturer?
- defines "goods" as "all things (including specially manufactured goods) which are movable at the time of identification to the contract for sale." Therefore, the sign constitutes goods, and the transaction is governed by UCC Article 2. Point One(b) (15%) The May 1 oral agreement is sufficient to form a contract for the sale of the sign. UCC § 2-204
- states that a contract for the sale of goods may be made "in any manner sufficient to show agreement, including conduct by both parties which recognizes the existence of such a contract." The May 1 meeting during which the store owner and the SignCo representative orally agreed that the store owner would buy the sign from SignCo is sufficient to show agreement. Therefore, UCC § 2-204
- is satisfied and there is a contract between the store and SignCo, the original manufacturer. This is the case even if we cannot pinpoint a moment at which the contract was made. UCC § 2-204

Relevant facts to use:

- A store owner wanted a new sign for her store.

Condensed sample-answer path:

Criminal Law & Procedure

July 2007 — Question 5

Primary source subject: Criminal Law

Question summary: This question involves MEE Question 5 Defendant and Friend were on a hunting trip together. One evening, while watching television in their hunting cabin, Defendant decided to scare Friend, who had fallen asleep in his chair. The core dispute asks Is Defendant guilty of second-degree murder? Explain. Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- Did Defendant act with the mens rea sufficient to be found guilty of second-degree murder?
- Was Defendant's accidental shooting of Friend the legal cause of Friend's death?

Relevant facts to use:

- MEE Question 5
- Defendant and Friend were on a hunting trip together.
- Defendant loaded Friend into his car and sped off toward the nearest hospital, which was 15 minutes away.
- By the time help arrived, Friend was dead.

Condensed sample-answer path:

1. Point One: A jury could find that Defendant's act of shooting at a lamp to scare Friend evidenced an

Short answer: To be guilty of second-degree murder, Defendant must have acted with the requisite mens rea, or mental state, of malice aforethought.

Rule(s):

- To be guilty of second-degree murder, Defendant must have acted with the requisite mens rea, or mental state, of malice aforethought.
- Although the precise terminology used to describe "depraved-heart" murder differs from jurisdiction to jurisdiction, most states require (i) that the defendant act "recklessly" (i.e., with an awareness of the risk that his acts could cause death) and (ii) that the defendant's conduct show a high degree of indifference to the value of human life.
- From the facts of Defendant's behavior, and the obvious risks attending that behavior, a jury could infer that Defendant must have been aware of those risks and thus acted recklessly.

Fact-based analysis:

- In most jurisdictions, the malice aforethought requirement is satisfied if Defendant acted with intent to kill, with knowledge that his acts would kill, with intent to inflict great bodily harm, or with reckless disregard of an extreme risk to human life (a depraved heart).
- In this case, the evidence does not suggest that Defendant acted with intent or knowledge that Friend would be harmed.
- However, the evidence probably does support a conclusion that Defendant acted with "a depraved heart" and therefore with the malice aforethought necessary for Defendant to be guilty of murder.
- Thus, convictions for depraved-heart murder have been upheld when a defendant intentionally shot a gun into a crowded room, People v.

Conclusion: From the facts of Defendant's behavior, and the obvious risks attending that behavior, a jury could infer that Defendant must have been aware of those risks and thus acted recklessly.

2. Point Two: Defendant's act of shooting Friend was the legal cause of death because Friend would not

Short answer: Defendant is criminally liable for Friend's death only if Defendant's acts were both the actual and proximate cause of Friend's death.

Rule(s):

- Courts routinely say that the intervening event must have been "abnormal or bizarre" to prevent a defendant's original action from being regarded as the proximate cause of death.

Fact-based analysis:

- Defendant is criminally liable for Friend's death only if Defendant's acts were both the actual and proximate cause of Friend's death.
- Defendant's act of shooting Friend was the actual cause of Friend's death.
- First, Defendant's act was the "but for" cause of Friend's death.
- Had Defendant not shot Friend, they would not have been driving to the hospital, the accident would not have occurred, and Friend would not have bled to death.

Conclusion: Therefore, Defendant's act of shooting Friend was the legal cause of Friend's death, and Defendant is guilty of second-degree murder if that act was committed with malice aforethought (see Point One).

Question call(s): Is Defendant guilty of second-degree murder? Explain.

February 2008 — Question 8

Primary source subject: Criminal Law & Procedure

Question summary: This question involves MEE Question 8 On April 10, a convenience store was robbed by someone carrying a gun. The store's video camera caught the robbery on tape. The core dispute asks Immediately after Student made that statement, the police officers informed Student that he was under arrest for the robbery of the convenience store. They read him his Miranda rights. Student stated he understood his Miranda rights and... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- Did the police interview of Student violate Student's Fourth Amendment right to be free from unreasonable seizure such that Student's statements (including the confession) should be suppressed as "fruit of the poisonous tree"?
- Should Student's statements be suppressed because the police failed to read him his Miranda rights when they questioned him in the manager's office?
- Should Student's confession be suppressed because it was involuntary?

Relevant facts to use:

- MEE Question 8

- On April 10, a convenience store was robbed by someone carrying a gun.
- On April 11, an anonymous caller contacted the police saying, “I saw that tape of the robbery.
- On April 12, two police officers took the tape to the high school and showed it to the principal, who said, “It could be Student.

Condensed sample-answer path:

1. Point One: Student was seized by the police within the meaning of the Fourth Amendment, but the seiz

Short answer: Student has a Fourth Amendment right to be free from unreasonable seizure.

Rule(s):

- If the seizure did violate Student’s Fourth Amendment rights, then Student’s statements would be suppressible because they were the direct result of that seizure (i.e., “the fruit of the poisonous tree”).
- A person has been seized if, in light of all of the circumstances, “a reasonable person would have believed that he was not free to leave.” United States v.
- Under these circumstances, a reasonable person in Student’s position would probably have believed that he was required to stay in the room until the police officers gave him permission to leave.

Fact-based analysis:

- However, this Fourth Amendment right was violated in this case only if: (a) Student was in fact “seized” by the police when they spoke with him in the manager’s office, and (b) that seizure was unreasonable for Fourth Amendment purposes.
- In this case, a court could legitimately find that Student was seized by law enforcement.
- Student was taken into his manager’s office where he remained for approximately 25 minutes with two police officers, one of whom had a visible weapon.
- One officer sat between Student and the door, and the door was closed.

Conclusion: Thus, Student’s Fourth Amendment rights were not violated, and his statements should not be suppressed.

2. Point Two: The police were probably not required to read Student the Miranda warnings because he was

Short answer: Law enforcement officers are required to read Miranda warnings to a suspect when the suspect is subjected to an in-custody interrogation.

Rule(s):

- If the officers were required to read the warnings and failed to do so, the statements should be suppressed.
- A suspect need not be in a police station to be in custody.
- While Student may not have felt that he was free to leave, a reasonable person would probably not have believed that he had been arrested or otherwise taken into formal custody.

Fact-based analysis:

- Student was clearly subject to interrogation, which has been defined not only as questioning initiated by law enforcement but as “any words or actions on the part of the police . . . that the police should know are reasonably likely to elicit an incriminating response” from the suspect.
- Therefore, a suspect’s age, experience, and other personal characteristics are not considered.
- In this case, two police officers had Student summoned to the manager’s office, into which they escorted him and closed the door.

- Student was outnumbered two to one, and one officer, with a visible firearm, sat between Student and the door.

Conclusion: Therefore, there should be no suppression for a Miranda violation.

3. Point Three: Based on the totality of the circumstances, Student's confession was probably voluntary

Short answer: The voluntariness of a confession is based on (1) whether the police subjected the suspect to coercive conduct, see Colorado v.

Rule(s):

- A court could conclude that the police behavior was insufficiently coercive to have overcome Student's will.
- When it appeared that Student was reacting to that tactic, the police upped the ante by telling him that a confession might result in leniency.

Fact-based analysis:

- The voluntariness of a confession is based on (1) whether the police subjected the suspect to coercive conduct, see Colorado v.
- Here, the police interviewed Student in a small, closed room, two against one, with a firearm displayed.
- The police did not tell Student that he was free to go if he chose, did not tell him that he was not obliged to answer their questions, and did not advise him of his Miranda rights.
- The police also lied to Student about the strength of their case.

Conclusion: Finally, the police officers made what could be taken as a veiled threat about what would happen to Student in prison if he did not confess.

Question call(s): How should the trial court rule on each of the grounds in the motion to suppress? Explain.

July 2009 — Question 7

Primary source subject: Criminal Law & Procedure

Question summary: This question involves MEE Question 7 John, age 18, and Crystal, age 14, walked into the Minit Mart, a convenience store. They wandered around the store for a few minutes and then walked up to the counter. The core dispute asks At the close of the case, the trial court denied both John's motion for judgment of acquittal and his request for a jury instruction on the defense of abandonment. The jury convicted John of attempted armed robbery. Did the trial court... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- Does John have standing to challenge the search of Crystal's parents' home and the seizure and search of the leather bag?
- Did the prosecution produce sufficient evidence to prove all of the elements of attempted armed robbery?
- Is "withdrawal," "abandonment," or "change of mind" a defense to a charge of an attempted crime?

Relevant facts to use:

- MEE Question 7
- John, age 18, and Crystal, age 14, walked into the Minit Mart, a convenience store.

- Three days later, the police came to Crystal's home, where she lives with her parents.
- When the police searched Crystal's room, they found John's zipped leather bag in Crystal's closet.

Condensed sample-answer path:

1. Point One: John does not have standing to challenge the search of Crystal's parents' home because he

Short answer: Although the police did not have a warrant, Crystal's mother consented to the search of her home when she let them in after they stated that they could get a warrant.

Rule(s):

- Even if her consent to the search of her home was considered coerced or involuntary and therefore invalid, John could not raise the issue.
- Illinois, 439 actual victims of the alleged Fourth Amendment violation have "standing" to challenge it.
- Similarly, a person challenging a seizure and search of an object such as a bag must have a reasonable expectation of privacy in the object seized and searched.

Fact-based analysis:

- Although the police did not have a warrant, Crystal's mother consented to the search of her home when she let them in after they stated that they could get a warrant.
- Here, John can claim no reasonable expectation of privacy in his girlfriend's family's home.
- Accordingly, the trial judge correctly denied John's motion to suppress the bag and its contents.

Conclusion: Accordingly, the trial judge correctly denied John's motion to suppress the bag and its contents.

2. Point Two: The prosecution produced sufficient evidence to prove that John intended to commit an arm

Short answer: A motion for judgment of acquittal should be granted only if the prosecution has failed to present sufficient evidence for a reasonable jury to find that the defendant committed each element of the charged offense beyond a reasonable doubt.

Rule(s):

- A motion for judgment of acquittal should be granted only if the prosecution has failed to present sufficient evidence for a reasonable jury to find that the defendant committed each element of the charged offense beyond a reasonable doubt.
- In order to prove that John attempted an armed robbery, the prosecution must prove two elements.
- First, the prosecution must prove that John intended to commit an armed robbery.

Fact-based analysis:

- In this case, there is more than enough evidence to support a conviction for attempted armed robbery.
- Accordingly, the prosecution has more than met its burden of proving that John intended to commit armed robbery.
- In this case, the prosecution's evidence demonstrates that John's conduct went beyond mere preparation and constituted an attempt.

Conclusion: Most courts would find that these actions were "near enough to the accomplishment of the substantive offense to be punishable." Commonwealth v.

3. Point Three: Although John left the Minit Mart without completing the robbery, the circumstances of

Short answer: In most jurisdictions, voluntary withdrawal or abandonment is not a defense to the crime of attempt once the actor's conduct has gone beyond mere preparation.

Rule(s):

- In a jurisdiction taking this view of attempt, the court was correct to refuse a jury instruction on the defense of abandonment because no such defense exists.
- A minority of jurisdictions take the view that the abandonment of an attempt before the crime is completed is an affirmative defense.
- However, the abandonment must be utterly voluntary.

Fact-based analysis:

- State, 670 N.E.2d 47, 49 (Ind.
- Here, John abandoned the robbery only after his 14-year-old accomplice got scared and ran out of the store.

Conclusion: In those jurisdictions, if John's conduct had gone far enough toward completion of a crime to constitute an attempt, he would be guilty of attempt even if he subsequently decided to renounce his criminal plans completely and voluntarily.

Question call(s): 1. In denying John's motion to suppress the leather bag and its contents? Explain. | 2. In denying John's motion for judgment of acquittal? Explain. | 3. In failing to instruct the jury on the defense of abandonment? Explain.

July 2010 — Question 8

Primary source subject: Criminal Law

Question summary: This question involves Customer went to Star Computers (Star) to buy a refurbished computer. Upon arrival, Customer was approached by Owner, who identified himself as the owner of Star. The core dispute asks Is Owner guilty of larceny by false pretenses? Explain. Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Relevant facts to use:

- Customer went to Star Computers (Star) to buy a refurbished computer.
- At the time of this transaction, Owner did not believe that Star had the best refurbished computers in town.
- After Customer's purchase, a local news station conducted an investigation into the computer technician used by Star and reported that the technician did not install new hard drives in any of the computers she refurbished.
- Owner has been charged with larceny by false pretenses in connection with the computer sale to Customer.

Condensed sample-answer path:

1. Point One (25%) To be guilty of larceny by false pretenses, a defendant must knowingly make a false

Short answer: The crime of "larceny by false pretenses" or, as it is sometimes called, "obtaining property by false pretenses" or just "false pretenses," is a type of theft offense.

Rule(s):

- The crime of "larceny by false pretenses" or, as it is sometimes called, "obtaining property by false pretenses" or just "false pretenses," is a type of theft offense.
- In most jurisdictions, the actus reus elements of false pretenses are (i) a false representation of material fact (ii) that causes another person to transfer title to property (including money) to the defendant.

Fact-based analysis:

- Here, Owner is charged with the crime of false pretenses on the theory that Owner stole Customer's money (the $250 that Customer paid for the computer) by lying to Customer in order to induce Customer to give the money to Owner in exchange for the computer.

2. Point Two (35%) The actus reus elements of the crime of false pretenses are met because Owner made a

Short answer: As noted above, to be guilty of false pretenses in most jurisdictions, Owner must have made a false representation of a material present or past fact that caused Customer to pass title to property to Owner.

Rule(s):

- As noted above, to be guilty of false pretenses in most jurisdictions, Owner must have made a false representation of a material present or past fact that caused Customer to pass title to property to Owner.
- The false representation must be one of fact, not opinion.
- It does not matter that Customer may have had additional reasons for purchasing the computer—reasons that had nothing to do with Owner's false representation.

Conclusion: The fact that Customer purchased the computer after being satisfied by Owner's claims, including the claim that the computer technician installed a new hard drive in every refurbished computer, suggests that the false representation contributed to Customer's parting with $250, thus establishing the causal link between Owner's false representation and the transfer of title to the property.

3. Point Three (40%) The mens rea element of the crime of false pretenses is likely met because Owner m

Short answer: To be guilty of false pretenses, Owner must have made the false representation knowingly and with the intent to defraud Customer.

Rule(s):

- To be guilty of false pretenses, Owner must have made the false representation knowingly and with the intent to defraud Customer.
- A court would likely find that Owner knowingly made the false representation based upon both Owner's belief that it was very likely that the computer technician used by Star did not install new hard drives and Owner's deliberate decision not to question the technician.
- A few states, however, reject this "willful blindness" standard and require actual knowledge.

Fact-based analysis:

- State, 142 P.3d 214, 216 (Wyo.
- Because Owner made the claim about the new hard drives based upon the belief that it would help persuade Customer to buy a computer, Owner also had the requisite intent to defraud.

Conclusion: Because Owner made the claim about the new hard drives based upon the belief that it would help persuade Customer to buy a computer, Owner also had the requisite intent to defraud.

Question call(s): Is Owner guilty of larceny by false pretenses? Explain.

July 2011 — Question 2

Primary source subject: Criminal Law & Procedure

Question summary: This question involves A police officer (Officer) on routine traffic patrol watched Suspect drive by. Suspect was in compliance with all applicable traffic laws except the state seat belt law. The core dispute asks Should Suspect's confession to Detective be suppressed? Explain. Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Relevant facts to use:

- A police officer (Officer) on routine traffic patrol watched Suspect drive by.
- Officer directed Suspect to get out of his vehicle, handcuffed Suspect, and told Suspect that he was under arrest for violating the seat belt law.
- Officer transported Suspect to the police station for booking.
- The state charged Suspect with misdemeanor violation of the seat belt law and felony drug possession.

Condensed sample-answer path:

1. Point One (25%) A traffic stop and arrest with probable cause does not violate the Fourth Amendment

Short answer: Under the Fourth Amendment, the constitutional reasonableness of a traffic stop does not depend on the motivation of the officer involved or the petty nature of the offense charged, as long as state law permits an arrest.

Rule(s):

- Under the Fourth Amendment, the constitutional reasonableness of a traffic stop does not depend on the motivation of the officer involved or the petty nature of the offense charged, as long as state law permits an arrest.
- If the officer has probable cause to believe that a suspect has committed an offense, then a stop and arrest of that suspect is reasonable if authorized under the applicable state statute.
- City of Lago Vista, 532 l has committed even a very minor criminal offense in his presence, he may, without violating the Fourth Amendment, arrest the offender.").

Fact-based analysis:

- United States, 517 asonable where the police have probable cause to believe that a traffic violation has occurred.").
- Here, the arrest was constitutional because Officer had probable cause, based on his personal observations, to believe that Suspect was committing a traffic violation and the state seat belt statute permitted arrest.

2. Point Two (25%) Officer's seizure of evidence from the front seat of Suspect's car did not violate t

Short answer: Under the Fourth Amendment, a police officer is lawfully permitted to seize evidence without a warrant if the evidence is found in plain view during lawful observation.

Rule(s):

- Under the Fourth Amendment, a police officer is lawfully permitted to seize evidence without a warrant if the evidence is found in plain view during lawful observation.
- New Hampshire, 403 olice may seize evidence in plain view without a warrant.”).
- Under the plain view doctrine, “if police are lawfully in a position from which they view an object, if its incriminating character is immediately apparent, and if the officers have a lawful right of access to the object, they may seize it without a warrant.” Minnesota v.

Fact-based analysis:

- In this case, Officer had probable cause to stop and arrest Suspect for a traffic law violation based on his own observation of Suspect’s violation of the seat belt law.
- The lawful access requirement “guard[s] against warrantless entry onto premises whenever contraband is viewed from off the premises . . . but does not bar the seizure of evidence in a parked car” that is observed by an officer who is viewing contraband from a lawful vantage point.

3. Point Three (15%) Officer violated Suspect’s Miranda rights when Officer arrested Suspect and interr

Short answer: A person under arrest is in custody and must first receive Miranda warnings before being subjected to interrogation.

Rule(s):

- A person under arrest is in custody and must first receive Miranda warnings before being subjected to interrogation.
- Arizona, 384 d that he has a right to remain silent, that any statement he does make may be used as evidence against him, and that he has a right to the presence of an attorney, either retained or appointed.”).

Fact-based analysis:

- Here, Officer arrested Suspect and then interrogated Suspect, asking him “Are these drugs yours?” without first providing Miranda warnings.

4. Point Four(a) (25%) Officer’s Miranda violation did not taint Detective’s subsequent interrogation.

Short answer: Statements taken during custodial interrogations conducted in violation of Miranda are excluded from the prosecution’s case-in-chief.

Rule(s):

- Supreme Court held that, if a suspect was subjected to custodial interrogation without the benefit of Miranda warnings, a subsequent confession by the suspect may nonetheless be admitted if the totality of circumstances establishes that the second statement was knowing and voluntary.
- Unless the police engage in an interrogation process that must “realistically [be] seen as part of a single unwarned sequence of questioning,” see Missouri v.

Fact-based analysis:

- Here, Officer’s initial unwarned custodial interrogation should not prevent the prosecution from using Suspect’s later confession to Detective.
- After Officer’s original Miranda violation, Suspect was taken to the police station where Detective provided proper Miranda warnings and obtained Suspect’s knowing and voluntary waiver before interrogating Suspect.

Conclusion: Here, Officer's initial unwarned custodial interrogation should not prevent the prosecution from using Suspect's later confession to Detective.

5. Point Four(b) (10%) Suspect's statement that he might want an attorney was too ambiguous to require

Short answer: United States, 512 demand for an attorney, the police must cease the interrogation and honor the request.

Rule(s):

- United States, 512 demand for an attorney, the police must cease the interrogation and honor the request.

Fact-based analysis:

- Therefore, Detective was not required to cease the interrogation and provide Suspect with an attorney.

Conclusion: Detective therefore did not violate Suspect's rights by ignoring Suspect's equivocal statement about an attorney, and the court should not suppress Suspect's confession.

Question call(s): 1. Did the traffic stop and subsequent arrest violate Suspect's constitutional rights? Explain. | 2. Did Officer's seizure of evidence from Suspect's car violate Suspect's constitutional rights? Explain. | 3. Did Officer's questioning of Suspect violate Suspect's Miranda rights? Explain.

July 2012 — Question 2

Primary source subject: Criminal Law & Procedure

Question summary: This question involves At 9:00 p.m. on a Sunday evening, Adam, age 18, proposed to his friend Bob, also age 18, that they dump Adam's collection of 2,000 marbles at a nearby intersection. The core dispute asks At 10:00 p.m. that same night, Bob drove Adam and his bags of marbles to the intersection. Adam dumped several hundred marbles in front of each of the two stop signs at the intersection. Adam and Bob stayed for 20 minutes, waiting to see... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Relevant facts to use:

- At 9:00 p.m. on a Sunday evening, Adam, age 18, proposed to his friend Bob, also age 18, that they dump Adam's collection of 2,000 marbles at a nearby intersection.
- At 10:00 p.m. that same night, Bob drove Adam and his bags of marbles to the intersection.
- At 2:00 a.m., a woman drove through the intersection.
- Adam has been charged with involuntary manslaughter as defined at common law, and Bob has been charged with the same crime as an accomplice.

Condensed sample-answer path:

1. Point One(a) (25%) To be guilty of involuntary manslaughter, a person must cause the death of anothe

Short answer: In most jurisdictions, a defendant is guilty of involuntary manslaughter when the defendant causes the death of another human being by engaging in conduct that creates an unreasonable (or high and unreasonable) risk of death or serious bodily injury.

Rule(s):

- The modern and majority view is that the defendant must have acted “recklessly” to be convicted of involuntary manslaughter (i.e., the defendant must have been aware of the unreasonable (or unreasonable and high) risk of death or serious bodily injury that his conduct created).
- In other jurisdictions it is enough if the defendant acted with greater than ordinary negligence, which some states call “gross,” “criminal,” or “culpable” negligence.
- Foster, Annotation, Test or Criterion of Term “Culpable Negligence,” “Criminal Negligence,” or “Gross Negligence,” Appearing in Statute Defining or Governing Manslaughter, 161 A.L.R.

Conclusion: Adam will be guilty of involuntary manslaughter only if he acted with the requisite degree of culpability and his conduct was the legal cause of the child’s death.

2. Point One(b) (25%) A jury could conclude from Adam’s statements and actions that he acted with a men

Short answer: In order to determine whether Adam has committed involuntary manslaughter, his mens rea with regard to the result must be assessed.

Rule(s):

- In order to determine whether Adam has committed involuntary manslaughter, his mens rea with regard to the result must be assessed.
- To prove that Adam had a mens rea of recklessness, the prosecution does not need to prove that Adam knew the precise time or circumstances of the resulting crash.
- If, however, the fact finder accepts that Adam did not consciously disregard an unreasonable (or unreasonable and high) risk of death or serious bodily injury from the resulting crash, he would not be guilty of involuntary manslaughter in a jurisdiction that requires recklessness for the crime.

Fact-based analysis:

- In these jurisdictions, the prosecution will argue that Adam’s statements indicating that he knew that the marbles could cause an accident, including his statements that “When cars come by, they’ll slip on the marbles and they won’t be able to stop,” and that “They’ll have trouble; maybe there will even be a crash,” demonstrate that Adam was aware of the risk.
- First, he will contend that he was not reckless because he did not consciously disregard an unreasonable (or unreasonable and high) risk of death or serious bodily injury resulting from the accident.

Conclusion: It is highly likely that a fact finder would conclude that a reasonable person would be aware that conduct likely to cause vehicles to slip at an intersection creates an unreasonable (or unreasonable and high) risk of car crashes and death or serious bodily injury as a result of the crashes.

3. Point One(c) (25%) Adam’s conduct was the but-for cause of the child’s death. His conduct was also t

Short answer: The state will need to prove that Adam caused the child’s death in order for Adam to be found guilty of involuntary manslaughter.

Rule(s):

- Causation requires a showing of both causation in fact— otherwise known as but-for causation—and proximate causation.
- If Adam had not dumped the marbles at the intersection, the child would not have died.
- Adam may argue that the child would not have died but for the fact that the man did not have his child properly secured in the vehicle.

Fact-based analysis:

- It is true that the man's failure to properly secure the child was an intervening cause of the child's death.

Conclusion: This argument should also fail because in these circumstances a car crash resulting in the death of a child who was not wearing a seat belt is not such an unusual or extraordinary consequence of Adam's act as to justify relieving him of liability.

4. Point Two (25%) Bob intentionally assisted Adam in his act of dumping the marbles on the road, but B

Short answer: Two elements are necessary for Bob to be found guilty of involuntary manslaughter on a theory of accomplice liability.

Rule(s):

- First, Bob must have assisted Adam in the commission of the crime.
- Second, Bob must have acted with dual intentions: (1) "the intent to assist the primary party" and (2) "the intent that the primary party commit the offense charged." Id. § 30.05[A].
- In cases where the primary party's crime is one involving recklessness or negligence, most jurisdictions hold that the second intent element is satisfied if the defendant intended to assist the primary party and otherwise acted with the mens rea required for the underlying offense (i.e., recklessness or negligence, as the jurisdiction requires).

Fact-based analysis:

- Here, Bob assisted Adam by driving him to the intersection.
- Accordingly, Bob will argue that he did not act with the culpability required to be held liable as an accomplice to involuntary manslaughter.

Conclusion: It is less important which approach examinees adopt than that they see the problem—Bob cannot be guilty as an accomplice unless he was culpable with respect to the underlying crime, and Bob, in fact, not only did not intend any car crash or resulting death, he actually did not believe that such an event would occur.]

Question call(s): 1. Could a jury properly find that Adam is guilty of involuntary manslaughter? Explain. | 2. If a jury did find Adam guilty of involuntary manslaughter, could the jury properly find that Bob is guilty of involuntary manslaughter as an accomplice? Explain.

February 2014 — Question 5

Primary source subject: Criminal Law & Procedure

Question summary: This question involves A defendant was charged under state law with felony theft (Class D) and felony residential burglary (Class C). The indictment alleged that the defendant entered his neighbors' home without their consent and stole a diamond ring worth at least $2,500. The core dispute asks In this state, theft is defined as "taking and carrying away the property of another with the intent to permanently deprive the owner of possession." Theft is a Class D felony if the value of the item(s) taken is between $2,500 and... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Relevant facts to use:

- A defendant was charged under state law with felony theft (Class D) and felony residential burglary (Class C).

- Defense counsel filed a pretrial motion to dismiss the charges on the ground that prosecuting the defendant for both burglary and theft would constitute double jeopardy.
- At trial, the judge issued the following jury instruction on the burglary charge prior to deliberations:
- If, after consideration of all the evidence presented by the prosecution and defense, you find beyond a reasonable doubt that the defendant entered the dwelling without the owners' consent, you may presume that the defendant entered with the intent to commit a felony therein.

Condensed sample-answer path:

1. Point One (30%) Charging the defendant with theft and burglary did not constitute double jeopardy.

Short answer: The Double Jeopardy Clause of the Fifth Amendment provides that a person shall not be twice put in jeopardy for the "same offense." Thus, the question is whether the elements of the theft charge are wholly contained in the burglary charge or vice versa.

Rule(s):

- If the elements of the lesser charge (theft) are not wholly contained in the greater charge (burglary)—i.e., if each charge requires proof of a fact that the other does not—then convicting the defendant of both crimes would not violate double jeopardy even when the two offenses occurred at the same time and are thus arguably part of the "same transaction." Blockburger v.
- Burglary may be defined differently in different jurisdictions.
- However, it almost invariably requires entry into a building or dwelling of another with the specific intent to commit a felony therein, and the crime of burglary is complete upon the entry into the building or dwelling with such intent.

Fact-based analysis:

- Here, theft and burglary each require proof of an element not required for the other crime.
- Here, the "taking" or "stealing" element is not contained in the definition of burglary, and the "entry" element of burglary is not contained in the definition of theft.
- Because theft is not a lesser-included offense of burglary and burglary is not a lesser-included offense of theft, charging the defendant for both burglary and theft did not violate double jeopardy and the court properly denied the defense motion on those grounds.

Conclusion: Finally, the defendant's motion to dismiss all the charges on double jeopardy grounds was improper because, if both charges were for the same offense, the motion should have requested dismissal of one charge, not both.

2. Point Two (35%) The jury instruction on the burglary charge violated the Due Process Clause because

Short answer: The Supreme Court has interpreted the Due Process Clause of the eyond a reasonable doubt.

Rule(s):

- Here, the jury was instructed that if, "after consideration of all the evidence presented by the prosecution and defense, you find beyond a reasonable doubt that the defendant entered the dwelling without the owners' consent, you may presume that the defendant entered with the intent to commit a felony therein." This instruction was unconstitutional because it created either an irrebuttable conclusive presumption or a rebuttable mandatory presumption.
- A conclusive presumption is "an irrebuttable direction by the court to find intent once convinced of the facts triggering the presumption." Id. at 517.

- Here, the jurors were instructed that once the prosecutor established that the defendant entered the neighbors' house without consent, they "may presume" that he intended to commit a felony therein.

Fact-based analysis:

- Because this instruction could operate as a conclusive irrebuttable presumption by eliminating intent "as an ingredient of the offense," it violated due process by relieving the prosecution of the burden of proof for this element.
- The due process problem created by rebuttable mandatory presumptions is that "[t]o the extent that the trier of fact is forced to abide by the presumption, and may not reject it based on an independent evaluation of the particular facts presented by the State, the analysis of the presumption's constitutional validity is logically divorced from those facts and based on the presumption's accuracy in the run of cases." Id. at 159.
- Here, the argument that the jury instruction operated as a rebuttable mandatory presumption is supported by the fact that the judge also instructed the jury to "consider[ ] . . . all the evidence presented by the prosecution and defense." However, even if the instruction created a rebuttable mandatory presumption, it would be unconstitutional because it shifted the burden to the defense on an element of the offense.

Conclusion: Here, the argument that the jury instruction operated as a rebuttable mandatory presumption is supported by the fact that the judge also instructed the jury to "consider[ ] . . . all the evidence presented by the prosecution and defense." However, even if the instruction created a rebuttable mandatory presumption, it would be unconstitutional because it shifted the burden to the defense on an element of the offense.

3. Point Three (35%) The trial court violated the defendant's Sixth Amendment right to a jury trial on

Short answer: In the statutory scheme under which the defendant was tried and convicted, a Class D felony theft is defined as theft of item(s) with a value between $2,500 and $10,000.

Rule(s):

- New Jersey, 530 creases the penalty for a crime beyond the prescribed statutory maximum must be submitted to a jury, and proved beyond a reasonable doubt" because "[i]t is unconstitutional for a legislature to remove from the jury the assessment of facts that increase the prescribed range of penalties to which a criminal defendant is exposed [because] such facts must be established by proof beyond a reasonable doubt." Id.
- Washington, 542 maximum sentence a judge may impose solely on the basis of the facts reflected in the jury verdict or admitted by the defendant." Id. at 303 (emphasis in original).
- Booker, 543 ng a defendant's Sixth Amendment right to a jury trial required that "[a]ny fact . . . which is necessary to support a sentence exceeding the maximum authorized by the facts established by a plea of guilty or a jury verdict must be admitted by the defendant or proved to a jury beyond a reasonable doubt." Id. at 244.

Fact-based analysis:

- Thus, in order to constitutionally increase a sentence above the statutory maximum of three years, the jury must have found beyond a reasonable doubt that the value of the ring exceeded $5,000.
- Here, the court made the finding based on an appraisal proffered by the prosecutor only at sentencing, and the judge's finding was by a preponderance of the evidence rather than beyond a reasonable doubt.

Conclusion: Thus, in order to constitutionally increase a sentence above the statutory maximum of three years, the jury must have found beyond a reasonable doubt that the value of the ring exceeded $5,000.

Question call(s): 1. Did the trial court err when it denied the defendant's pretrial motion to dismiss on double jeopardy grounds? Explain. | 2. Did the trial court err in its instruction to the jury on the burglary charge? Explain.

| 3. Did the trial court err when it sentenced the defendant to an additional year of incarceration on the theft conviction based on the expert's testimony? Explain.

July 2014 — Question 1

Primary source subject: Criminal Law & Procedure

Question summary: This question involves While on routine patrol, a police officer observed a suspect driving erratically and pulled the suspect's car over to investigate. When he approached the suspect's car, the officer detected a strong odor of marijuana. The core dispute asks The lawyer has filed a motion to suppress all statements made by the suspect to the detective in connection with the five burglaries. The state supreme court follows federal constitutional principles in all cases interpreting a criminal... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Relevant facts to use:

- While on routine patrol, a police officer observed a suspect driving erratically and pulled the suspect's car over to investigate.
- The officer seized the burglary tools.
- At the time of his DUI arrest, the suspect had a six-month-old aggravated assault charge pending against him and was being represented on the assault charge by a lawyer.
- Early the next morning, upon learning of her client's arrest, the lawyer went to the jail.

Condensed sample-answer path:

1. Point One (35%) The suspect's Sixth Amendment right to counsel was not violated because the right do

Short answer: The Sixth Amendment, as applied to the states through the Fourteenth Amendment, provides that "[i]n all criminal prosecutions, the accused shall enjoy the right . . . to have the Assistance of Counsel for his defense." The right to counsel does not attach with respect to particular charges until formal adversarial judicial proceedings have commenced (i.e., "at or after the initiation of adversary judicial criminal proceedings—whether by way of formal charge, preliminary hearing, indictment, information, or arraignment [or in some states, arrest warrant]," McNeil v.

Rule(s):

- The Sixth Amendment, as applied to the states through the Fourteenth Amendment, provides that "[i]n all criminal prosecutions, the accused shall enjoy the right . . . to have the Assistance of Counsel for his defense." The right to counsel does not attach with respect to particular charges until formal adversarial judicial proceedings have commenced (i.e., "at or after the initiation of adversary judicial criminal proceedings—whether by way of formal charge, preliminary hearing, indictment, information, or arraignment [or in some states, arrest warrant]," McNeil v.
- Wisconsin, 501 .

Fact-based analysis:

- Here, the suspect's Sixth Amendment right to counsel had attached only for the pending aggravated assault charge.

- Thus, because formal adversarial judicial proceedings against the suspect for the uncharged burglaries had not begun, he had no Sixth Amendment right to counsel.

Conclusion: Thus, because formal adversarial judicial proceedings against the suspect for the uncharged burglaries had not begun, he had no Sixth Amendment right to counsel.

2. Point Two (30%) The suspect did not effectively invoke his right to counsel under Miranda because hi

Short answer: A suspect subject to custodial interrogation has a right to consult with counsel and to have an attorney present during questioning.

Rule(s):

- A suspect subject to custodial interrogation has a right to consult with counsel and to have an attorney present during questioning.
- When a suspect invokes his right to counsel during an interrogation, law enforcement must immediately cease all questioning.
- To invoke the right to counsel, a suspect's request must be "unambiguous." This means that the suspect must articulate the desire for counsel sufficiently clearly that a reasonable officer would understand the statement to be a request for counsel.

Fact-based analysis:

- Custodial interrogation cannot be reinitiated unless and until the suspect has been re-advised of his Miranda rights, has provided a knowing and voluntary waiver, and (1) counsel is present and (2) the suspect himself initiated further communication with the police, see id. at 484, or (3) (if the suspect was released from custody after the initial interrogation) at least 14 days have passed.
- If the request is ambiguous, the police are not required to stop the interrogation.
- In this case, the suspect's statement, "I think I want my lawyer here before I talk to you," was not an unambiguous request for counsel.

Conclusion: Id. at 461 ("maybe I should talk to a lawyer" is not an unequivocal request for counsel).

3. Point Three (35%)

Short answer: The suspect's waiver of his Miranda rights was knowing, intelligent, and voluntary despite the fact that he was never told of the lawyer's presence in the jail or of the lawyer's demands.

Rule(s):

- A valid waiver of Miranda rights must be "voluntary"—i.e., the product of a free or deliberate choice rather than intimidation, coercion, or deception.
- In addition, the waiver must be knowing and intelligent.
- That is, it "must have been made with a full awareness of both the nature of the right being abandoned and the consequences of the decision to abandon it." Moran v.

Fact-based analysis:

- In this case, the suspect signed a Miranda waiver form after receiving proper warnings.
- There is no evidence "that the police resorted to physical or psychological pressure to elicit the statements." Id.
- If the suspect "knew that he could stand mute and request a lawyer, and . . . was aware of the State's intention to use his statements to secure a conviction," then the waiver is valid regardless of the information withheld.
- Here, the suspect was correctly informed of his rights.

Conclusion: His comments demonstrate that he understood that he could have a lawyer present if he desired (i.e., wondering whether he should call his attorney) and that he understood that there might be consequences to speaking with the detective ("I probably should keep my mouth shut, but I'm willing to talk to you for a while.").

Question call(s): 1. Did the detective violate the suspect's Sixth Amendment right to counsel when he questioned the suspect in the absence of the lawyer? Explain. | 2. Under Miranda, did the suspect effectively invoke his right to counsel? Explain. | 3. Was the suspect's waiver of his Miranda rights valid? Explain.

July 2015 — Question 5

Primary source subject: Criminal Law & Procedure

Question summary: This question involves On his way to work one morning, a man stopped his car at a designated street corner where drivers can pick up passengers in order to drive in the highway's HOV (high-occupancy vehicle) lanes. When the man, who was driving alone, opened his car door and announced his destination, a woman (a... The core dispute asks Can the woman establish an NGRI defense? Explain. 2. With what crimes, if any, can the man be charged as a result of the motorcyclist's death? Explain. 3. What defenses, if any, will be available to the man if he is charged with a crime... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- ANALYSIS
- Can the woman establish the affirmative defense of not guilty by reason of insanity by showing that, under the State A statute, at the time of the charged crime (a) she suffered from a severe mental disease or defect and (b) as a result of that mental disease or defect, she did not know that her actions were wrong?
- Do the facts support charging the man with manslaughter based on proof that (a) he caused the death of another person, (b) he should have been aware of a substantial risk that another human being could be killed by his conduct, (c) his actions were a gross deviation from the standard of care that a reasonable person would have exercised in the same situation, and (d) his actions were in violation of traffic laws?
- If the man is charged with manslaughter, do the facts support the affirmative defense of duress? Summary
- she suffered from a severe mental disease or defect at the time of the charged crime and
- as a result of that mental disease or defect, she did not know that her conduct was wrong. The two psychiatric reports support a finding that the woman suffered from a severe mental disease (schizophrenia) that caused her to experience delusional beliefs regarding alien photographers. But the evidence does not support a finding that the woman's delusions prevented her from knowing that it was wrong to kidnap the man and force him at knifepoint to drive 85 mph on a busy highway just to avoid having her picture taken without compensation. The facts support charging the man with some form of involuntary manslaughter (e.g., criminalnegligence manslaughter or unlawful-act manslaughter). First, the man's actions caused the death of the motorcyclist. Second, anyone who drives 85 mph on a busy highway and tries to pass a motorcyclist (a relatively exposed and vulnerable highway user) on a curve while weaving in and out of traffic should be aware of a substantial and unjustifiable risk that another human being could be killed as a result of his conduct. Third, the man's actions were a gross deviation from the standard of care that a reasonable person would have exercised in the same situation. Fourth, the man's speeding and reckless driving were serious traffic violations sufficient to make the man criminally accountable for the resulting death in many jurisdictions. However, if the man is charged with manslaughter, he will almost certainly raise the affirmative defense of duress. Here, the facts support a legal finding of duress. The man's conduct was caused by his reasonable belief that obeying the woman's demand to

drive faster was the only way for him to avoid imminent death or serious bodily injury. Moreover, because he was already driving the car on a busy highway when the woman pulled out the knife and placed it against his neck, he had no opportunity to extricate himself from the threatening situation. Finally, although duress generally cannot excuse a charge of intentional homicide, here the facts do not support a finding that the man's killing of the motorcyclist was intentional.

Relevant facts to use:

- On his way to work one morning, a man stopped his car at a designated street corner where drivers can pick up passengers in order to drive in the highway's HOV (high-occupancy vehicle) lanes.
- As soon as the man drove his car onto the busy highway, the woman took a knife from her backpack and held it against the man's throat.
- With the woman holding the knife at his neck, the man sped up to 85 miles per hour (30 mph over the posted speed limit of 55 mph), weaving in and out of traffic to avoid other cars, while the woman urged him to drive faster.
- A police car arrived at the scene a few minutes later.

Condensed sample-answer path:

1. Point One (40%)

Short answer: Even with the admission of the two psychiatric reports, the evidence does not support the affirmative defense of not guilty by reason of insanity.

Rule(s):

- The jury must also find that, as a result of that mental disease or defect, the woman did not know that her conduct was "wrong." See, e.g., State v.
- In such a jurisdiction, the woman would have a somewhat higher likelihood of establishing the insanity defense on the facts of this problem, although she still might be unsuccessful.]

Fact-based analysis:

- State A, like most states that provide a not guilty by reason of insanity ("NGRI") defense, limits the defense to a defendant who can show that, at the time of the charged crime, she suffered from a "severe mental disease or defect," and that, as a result of that mental disease or defect, "she did not know that her conduct was wrong." See generally WAYNE R.
- Thus, if the jury finds that the woman was suffering from schizophrenia accompanied by delusional beliefs at the time of the charged crime, this finding should establish that she suffered from the type of severe mental disease or defect contemplated by the State A NGRI statute.
- However, a finding that the woman was suffering from a "severe mental disease or defect" at the time of the charged crime is necessary but insufficient to establish her NGRI defense.
- Here, there is no evidence that the woman's schizophrenia prevented her from knowing that it was legally wrong to kidnap the man and force him at knifepoint to drive well above the speed limit on a busy highway.

Conclusion: In such a jurisdiction, the woman would have a somewhat higher likelihood of establishing the insanity defense on the facts of this problem, although she still might be unsuccessful.]

2. Point Two (40%)

Short answer: The facts support charging the man with manslaughter.

Rule(s):

- Generally, however, reckless driving alone would not lead to a charge of depraved-heart murder.
- A manslaughter charge, on the other hand, is quite possible.
- In most jurisdictions, a defendant whose conduct causes the death of another human being can be charged with manslaughter if the defendant acted with criminal negligence, which can include the criminally negligent operation of a motor vehicle.

Fact-based analysis:

- The facts support charging the man with manslaughter.
- 2004) (defendant was intoxicated and driving at an excessive speed); State v.
- Here, there are no additional aggravating factors, so it is unlikely that the man would be charged with depraved-heart murder.
- The man likely satisfied the actus reus of criminally negligent manslaughter.

Conclusion: In some states, manslaughter is also committed when a death occurs as a result of a defendant's commission of an unlawful act.

3. Point Three (20%)

Short answer: The facts support the affirmative defense of duress because the man's conduct was caused by his reasonable belief that obeying the woman's instructions to drive faster was the only way to avoid imminent death or serious bodily injury.

Rule(s):

- The unlawful threat must cause the defendant to reasonably believe that "the only way to avoid imminent death or serious bodily injury to himself or to another is to engage in conduct which violates the literal terms of the criminal law." Id. § 9.7.
- The defendant must also prove that he engaged in the criminal behavior because of the threat and not for some other reason.
- The rationale for the duress defense is that "even though he has done the act the crime requires and has the mental state which the crime requires, his conduct violating the literal language of the criminal law is excused because he 'lacked a fair opportunity to avoid acting unlawfully.'" Id. § 9.7(a) at 520 (internal citation omitted).

Fact-based analysis:

- The facts support the affirmative defense of duress because the man's conduct was caused by his reasonable belief that obeying the woman's instructions to drive faster was the only way to avoid imminent death or serious bodily injury.
- Here, the man almost certainly will succeed with an affirmative defense of duress.
- His physical conduct (driving at an excessive rate of speed and in a reckless manner) was in response to the woman's direct threat of death or serious bodily harm.
- Because the man was already driving the car on a busy highway when the woman pulled out the knife and placed it against his neck, he had no opportunity to extricate himself from the threatening situation.

Conclusion: Thus, there is no bar to his asserting the defense against a charge of negligent homicide.

Question call(s): 1. Can the woman establish an NGRI defense? Explain. | 2. With what crimes, if any, can the man be charged as a result of the motorcyclist's death? Explain. | 3. What defenses, if any, will be available to the man if he is charged with a crime related to the motorcyclist's death? Explain.

February 2018 — Question 2

Primary source subject: Criminal Law

Question summary: This question involves A defendant, age 25, is charged in State A with armed robbery. According to the indictment, on June 1, the defendant went into a store, pulled out a gun, and said to a cashier, "Give me all your money or I'll shoot you!" The cashier gave the defendant $5,000. The core dispute asks Should the prosecution be suspended because the defendant is currently incompetent to stand trial? Explain. 2. If the defendant is found competent to stand trial and the prosecution proceeds, will the jury likely find that, with respect to... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- ANALYSIS
- Should the prosecution be suspended due to the defendant's incompetence to stand trial (in some jurisdictions this is called "lack of fitness to stand trial") if, due to a cognitive impairment, he currently cannot consult with his lawyer with a reasonable degree of rational understanding and he lacks a rational and factual understanding of the proceedings against him?
- If the defendant is found competent to stand trial and the prosecution proceeds, in a jurisdiction that uses the M'Naghten test, should the defendant be found not guilty by reason of insanity (NGRI)? Summary
- lacks a rational and factual understanding of the proceedings against him and
- cannot consult with his lawyer with a reasonable degree of rational understanding. The defendant does not understand the charge against him, the role of appointed counsel or the judge, what happens in court, or abstract language and concepts. If the defendant is found competent to stand trial and the prosecution proceeds, a jury should not find that the defendant is NGRI because the defendant cannot prove by a preponderance of the evidence that the M'Naghten test is satisfied. Under that test, the defense must prove that, at the time of the offense,
- the defendant suffered from a defect of reason, from disease of the mind; and

Relevant facts to use:

- A defendant, age 25, is charged in State A with armed robbery.
- State A uses the M'Naghten not guilty by reason of insanity (NGRI) test and requires that the affirmative defense of NGRI be proved by a preponderance of the evidence.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: A defendant may not be prosecuted if he is incompetent to stand trial.

Rule(s):

- A defendant may not be prosecuted if he is incompetent to stand trial.
- If the defendant is found competent to stand trial and the prosecution proceeds, a jury should not find that the defendant is NGRI because the defendant cannot prove by a preponderance of the evidence that the M'Naghten test is satisfied.

- Under that test, the defense must prove that, at the time of the offense, (1) the defendant suffered from a defect of reason, from disease of the mind; and (2) as a result of this mental disease or defect, the defendant at the time of the act did not know the nature and quality of the act, or that the act was wrong.

Fact-based analysis:

- Here, the defendant should be found incompetent because the evidence gathered by the police and the court-appointed psychiatrists demonstrates that he currently (1) lacks a rational and factual understanding of the proceedings against him and (2) cannot consult with his lawyer with a reasonable degree of rational understanding.
- Although at the time of the armed robbery the defendant was experiencing "mental health difficulties" and some cognitive impairment (which included blaming the United Nations for a secret boycott of his business), when balanced against the evidence of cognitive functioning gathered by the police and the courtappointed psychiatrists, the defendant's evidence is probably insufficient to meet his burden of proof on this point.
- Here, the defense has raised bona fide doubt regarding the defendant's decision-making abilities, and the court has gathered evidence to determine his competence to stand trial.
- The evidence obtained by the police and the findings of the two psychiatrists demonstrate that the defendant cannot currently meet either of the two prongs of the Dusky competence test.

Conclusion: Hamann, 285 rule refer to legal right or wrong.") Other states define "wrongfulness" as morally wrong and provide the NGRI defense only if the defendant did not know that his acts were morally wrong (i.e., the type of acts that society would condemn).

February 2019 — Question 6

Primary source subject: Criminal Law & Procedure

Question summary: This question involves One evening, Ben received a visit from his neighbor. Hanging on Ben's living room wall was a painting by a famous artist. The core dispute asks One evening, Ben received a visit from his neighbor. Hanging on Ben's living room wall was a painting by a famous artist. "I love that artist," the neighbor said. "I've collected several of her paintings." Ben remarked that the famous... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- ANALYSIS
- Does someone who unlawfully enters the dwelling of another commit burglary when the purpose of the entry was to retrieve property that the person owns?
- (a) Does someone who sells property that has been temporarily entrusted to him by its owner commit the crime of larceny when he acts without authorization and with the intention of depriving the owner of his property?
- (b) Does someone who sells property that has been temporarily entrusted to him by its owner commit the crime of embezzlement when he acts without authorization and with the intention of depriving the owner of his property?
- Does a purchaser of property commit the crime of receiving stolen property when the surrounding circumstances suggest that a reasonable person should have been alerted to the fact that the property she received was stolen? Summary
- the actus reus of the receipt of stolen property and

Relevant facts to use:

- One evening, Ben received a visit from his neighbor.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Ben, who intended only to retrieve his own painting from the neighbor's house, did not have an intent to commit a felony therein.

Rule(s):

- To the contrary, the neighbor voluntarily loaned the print to Ben.
- On the other hand, Ben may be charged with the theft crime of embezzlement for his acts in connection with the print.
- A person in lawful possession of another's property commits embezzlement when he wrongfully converts the property with the intent to deprive the owner of it.

Fact-based analysis:

- Therefore, he should not be charged with burglary.
- Here, the art dealer "received" the print when she took physical possession of it following the sale by Ben.
- Here, the only question is whether Ben satisfies the mens rea requirement.
- On these facts, Ben should not be charged with burglary.

Conclusion: 1978) (thieves "must rid themselves of stolen property as quickly as possible, and willingness to sell at a grossly reduced price betrays or should betray such a predicament").) The art dealer probably should be charged with receiving stolen property.

July 2019 — Question 2

Primary source subject: Criminal Law & Procedure

Question summary: This question involves On February 1, a woman began serving a 60-day sentence in the county jail for operating a motor vehicle under the influence of alcohol. On February 4, a detective from the county sheriff's department took the woman from her cell to an interrogation room in the jail building. The core dispute asks On February 1, a woman began serving a 60-day sentence in the county jail for operating a motor vehicle under the influence of alcohol. On February 4, a detective from the county sheriff's department took the woman from her cell to an... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- Did the detective violate the woman's rights by
- interrogating the woman on March 15 after she had invoked her right to counsel under Miranda on February 4
- incorrectly conveying to the woman her Miranda right to counsel by the statements he made on March 15; or
- interrogating the woman on March 15 after she had invoked her right to counsel under Miranda on March 15?
- cease questioning the woman or

- take any further action to determine whether the woman wanted counsel present. Thus, the court did not err in denying the woman's motion to suppress on any of the grounds raised by the woman's lawyer. Point One (40%) The woman's invocation of her Miranda right to counsel on February 4 did not prevent the detective from interrogating her on March 15. If a suspect clearly and unequivocally invokes her right to counsel after being informed of her Miranda rights, the police must cease the custodial interrogation. Miranda v. Arizona, 384

Relevant facts to use:

- On February 1, a woman began serving a 60-day sentence in the county jail for operating a motor vehicle under the influence of alcohol.
- (2) Incorrectly conveying to the woman her Miranda right to counsel by the statements he made on March 15. (3) Interrogating the woman on March 15 after she had invoked her Miranda right to counsel on March 15.

Condensed sample-answer path:

1. Point Two (30%) On March 15, the detective properly informed the woman of her right to counsel. Mira

Short answer: who notes the possibility that it was not a custodial interrogation and that Miranda warnings were not required should nonetheless consider whether they were given adequately."] Point Three (30%) On March 15, the woman did not invoke her right to counsel when she said, "I might need a lawyer" because this was not a "clear and unequivocal request" for counsel.

Rule(s):

- Invocation of the right to counsel "requires, at a minimum, some statement that can reasonably be construed to be an expression of a desire for the assistance of an attorney." Davis v.
- To "unambiguously request counsel," a suspect must "articulate [her] desire to have counsel present sufficiently clearly that a reasonable police officer in the circumstances would understand the statement to be a request for an attorney." Davis, 512 .
- An ambiguous request is one that "a reasonable officer in light of the circumstances would have understood only that the suspect might be invoking the right to counsel." Id. (emphasis in original).

Fact-based analysis:

- who notes the possibility that it was not a custodial interrogation and that Miranda warnings were not required should nonetheless consider whether they were given adequately."] Point Three (30%) On March 15, the woman did not invoke her right to counsel when she said, "I might need a lawyer" because this was not a "clear and unequivocal request" for counsel.
- The woman's statement, "I might need a lawyer," on its face, is not an unambiguous invocation of the right to counsel.
- In addition, the detective's response—"That's your call, ma'am"—and the fact that the woman remained silent before signing the waiver form suggests that, at the time of the woman's statement, she was not asking for a lawyer to be present but was still weighing her options.
- Under these circumstances, the woman did not invoke her right to counsel, and the court properly rejected the defense argument that the woman's statements to the detective should be excluded. [NOTE: Discussion of the woman's Sixth Amendment right to counsel is not relevant to the problem.

Conclusion: Under these circumstances, the woman did not invoke her right to counsel, and the court properly rejected the defense argument that the woman's statements to the detective should be excluded. [NOTE: Discussion of the woman's Sixth Amendment right to counsel is not relevant to the problem.

July 2021 — Question 4

Primary source subject: Criminal Law & Procedure

Question summary: This question involves A police officer patrolling in his squad car after dark saw a woman lying on the sidewalk near an intersection. A teenage girl standing near her yelled, “Help! The core dispute asks A police officer patrolling in his squad car after dark saw a woman lying on the sidewalk near an intersection. A teenage girl standing near her yelled, “Help! That guy just knocked this woman down and took her purse!” The girl pointed... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- Did the police officer violate the man’s Fourth Amendment rights when he entered the home and seized the man and the purse without a warrant?
- Would the man’s right to due process be violated by the admission at trial of evidence of the girl’s on-the-scene identification of the man or by the girl’s in-court identification of the man?

Relevant facts to use:

- A police officer patrolling in his squad car after dark saw a woman lying on the sidewalk near an intersection.
- 2.

Condensed sample-answer path:

1. Point One(a) (10%) The Fourth Amendment generally prohibits both the warrantless seizure of a person

Short answer: that the taking was from the woman’s person and involved the use of force.

Rule(s):

- The authority to arrest without a warrant does not extend to all locations.
- Despite the general authority to arrest for probable cause, “the Fourth Amendment . . . prohibits the police from making a warrantless and nonconsensual entry into a suspect’s home in order to make a routine felony arrest.” Id. at 576.
- The lawfulness of the seizure of the man inside his home after the warrantless entry therefore depends on whether another valid exception to the warrant requirement applies here.

Fact-based analysis:

- that the taking was from the woman’s person and involved the use of force.
- The totality of the circumstances would inform an objectively reasonable police officer that there was “a probability or substantial chance” that the man had just committed a robbery.
- The officer therefore had probable cause to arrest the man, even before the officer entered the home and saw the purse.
- New York, the Supreme Court held that the rule allowing police to make warrantless arrests of suspected felons did not apply when the suspect was found in his own home.

Conclusion: This is a particular concern in the context of police entries into private homes: the "application of the exigent-circumstances exception in the context of a home entry should rarely be sanctioned when there is probable cause to believe that only a minor offense . . . has been committed." Id.

2. Point One(c) (20%) Once the police officer was lawfully inside the home, he could seize the purse fr

Short answer: subsequent in-court identification from the same witness, if the out-of-court identification process was "so unnecessarily suggestive and conducive to irreparable mistaken identification that [the suspect] was denied due process of law." Stovall v.

Rule(s):

- This is because, under Perry, neither her out-of-court identification nor the suggestive circumstances under which it occurred were "arranged by law enforcement." The Perry Court reasoned that on-the-scene identification evidence of dubious reliability could be admitted without violating a defendant's due process rights when a witness, asked by police for a specific description of the burglary suspect, simply "pointed to her kitchen window and said the person she saw breaking into Clavijo's car was standing in the parking lot, next to the police officer" who was detaining him.

Fact-based analysis:

- subsequent in-court identification from the same witness, if the out-of-court identification process was "so unnecessarily suggestive and conducive to irreparable mistaken identification that [the suspect] was denied due process of law." Stovall v.
- Here the man could not successfully object to evidence that the teenage girl identified him at the scene or prohibit the state from having the girl identify him in court.
- Despite police involvement with the defendant and with the witness at the crime scene, the Perry Court found that the police did not arrange the identification procedure: When no improper law enforcement activity is involved, we hold, it suffices to test reliability through the rights and opportunities generally designed for that purpose, notably, the presence of counsel at postindictment lineups, vigorous cross-examination, protective rules of evidence, and jury instructions on both the fallibility of eyewitness identification and the requirement that guilt be proved beyond a reasonable doubt.
- Absent "improper police influence," there is no due process restriction on the use of unreliable out-of-court identification or subsequent in-court identification by the same witness.

Conclusion: Here, under Perry, the on-the-scene identification evidence as well as the in-court identification by the girl will likely be allowed.

Question call(s): 2. Would the trial court violate the man's constitutional due process rights by admitting testimony that reveals the girl's on-the-scene identification of the man or by allowing her to identify him in court? Explain. Do not discuss any confrontation clause issues.

February 2022 — Question 2

Primary source subject: Criminal Law & Procedure

Question summary: This question involves A woman runs a gardening and landscaping business in State A. She uses a manual push mower to cut the grass and pruning shears to cut unwanted small branches from trees and large bushes. The core dispute asks 1. Analyzing all elements of each crime, did the woman commit a) armed robbery of the $100 cash? Explain. b) theft of the figurine? Explain. c) criminal possession of the figurine as stolen property? Explain. 2. Did the woman's assistant... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- Did the woman commit armed robbery of the $100 cash?
- Did the woman commit theft of the figurine?
- Did the woman commit criminal possession of stolen property based on possession of the figurine?
- Did the woman's assistant commit criminal possession of stolen property?
- (indicating that committing robbery by threat or intimidation requires "purposeful" use of threats or putting in fear). And the facts suggest only that the woman willingly expressed annoyance, not that she engaged in intimidating conduct designed to put the homeowner in fear of any kind, let alone fear of force or violence designed to coerce handing over money. The second coercion element is therefore lacking. [NOTE: A complete answer to this question should discuss all three elements of armed robbery to receive full credit.] Point Two (20%) The woman committed theft when she took the figurine from the homeowner’s custody without permission and with intent to permanently deprive her of it. Whether the woman committed theft when she took the figurine depends on the application of State A’s theft statute. "Theft is the unlawful taking and carrying away of property from the person or custody of another, with intent to permanently deprive the owner of the property." The facts here establish that the woman committed theft of the figurine. The woman took the homeowner’s figurine after the homeowner provided cash sufficient to cover the unrelated debt. Understanding that the $100 entirely covered the amount owed for landscaping services and acting without the homeowner’s consent, the woman evidenced her intent to steal by the taking. Her culpability is not excused by the suggestion that she felt "entitled" to more than the $100. Context indicates that her supposed entitlement was not in the nature of a legal obligation, as the facts suggest that it arose only from the woman’s indignation and her unilateral moral belief that "a tip" or "something extra" was warranted. That the woman did not actually believe she had any legal right to the figurine is also evidenced by the fact that she looked back at the home to ensure that "the homeowner wasn’t looking" before she took it. And it is clear that she intended to permanently deprive the homeowner of the figurine because, shortly after taking it, she sold it to her assistant for cash. The woman committed theft when she took the figurine. Point Three (20%) The woman committed criminal possession of stolen property of the lawn figurine because she knowingly possessed and then sold the property taken from the custody of another with intent to benefit herself or to impede the recovery of the property by its owner. Under the State A statute, a person commits criminal possession of stolen property by knowingly possessing stolen property with intent to either benefit herself or a person other than the owner or to impede the owner’s recovery of the property. The actus reus of the crime of possession of stolen property is the wrongful possession of that property, regardless of the situation under which such possession was obtained. The mens rea element is the defendant’s knowledge that the property was stolen. See, e.g., People v. Hunt, 112 A.D. 781 (App. Div., 4th Dep't, ssession of stolen property"). The actus reus and mens rea elements of criminal possession of stolen property are certainly met here. The woman knew the figurine was stolen property because she had stolen it. And her conduct also meets the additional element of the statute because her selling of the figurine to her assistant establishes either (and in this case both) that she possessed it "to benefit [herself] or a person other than an owner" and that she intended "to impede the recovery by an owner." [NOTE: In many jurisdictions, a defendant might not be convicted of both the crime of theft and the crime of possession of stolen property under these circumstances, since many states prohibit the conviction (or the punishment) of multiple offenses if they arise from the defendant’s singular course of conduct. But those statutes, which raise statutory or constitutional concerns about double jeopardy, are not relevant to the question here, which asks simply whether the woman committed the crimes, not whether she might have some right to avoid being convicted of or punished for them.] Point Four (25%) The woman's assistant committed criminal possession of stolen

property when she purchased the lawn figurine from the woman under circumstances that would have led a reasonable person to believe that the figurine was stolen. Again, a person commits criminal possession of stolen property in State A by possessing property knowing the property is stolen or having reason to believe the property is stolen with intent to benefit herself or a person other than the owner or to impede the owner's recovery of the property. The circumstances satisfy the actus reus element of the assistant's crime because she acquired possession of the stolen lawn figurine after she purchased it from the woman. The assistant also acted to benefit herself, as she purchased the figurine in "a great deal" that left her with property greater in value than the amount she paid for it, and she also indicated her intent to sell the figurine "for a hefty profit" to herself. The circumstances also satisfy the mens rea element of the assistant's crime. This element is met by alternative means under the statute provided, that the defendant possesses property that she either "knows" is stolen property or that she "reasonably should know is stolen property." Although the facts at hand do not establish that the assistant knew the figurine was stolen property, they do establish that the assistant reasonably should have known it was stolen property. The facts as presented here are silent as to whether the assistant actually knew the figurine was stolen. In most jurisdictions, actual knowledge can be established through circumstantial evidence, and the circumstances here might convince a fact-finder to infer that the assistant actually knew that the figurine was stolen. Under the modern and majority view, this mens rea requirement would be proved from inferences from the surrounding circumstances rather than by direct evidence. See LaFave, supra § 20.2(d) n. 73 (citing United States v. Prazak, 623 . 1980) (noting that a low price can support the inference that the purchaser knew the property was stolen)); United States v. Werner, 160 . 1947) (same); State v. Butler, 450 . Ct. App. 1969) (same); State v. Chester, 707 So. 2d 973 (La. 1997) (same). See also People v. Waterford, 124 A.D.3d 1246 (. Div. 2015) (circumstantial evidence sufficient to support conviction of criminal possession of stolen property). Here, however, it is unnecessary to rely on such inferences, because the facts readily meet the alternative mens rea element. An objectively reasonable person would believe that the lawn figurine was stolen based on the facts that the figurine looked new, it had a $200 price tag (substantially in excess of the $10 asking price), and the assistant heard the woman quip, "Just don't ask where I got it."

Relevant facts to use:

- A woman runs a gardening and landscaping business in State A.
- Five months ago, the woman was hired to provide common-area mowing and landscaping services to a townhome community in which homeowners own some land commonly and some land individually.
- Last week, the woman was at the community cutting thick brush and small branches using her pruning shears.
- The woman asked bluntly, "Where's the money?" The homeowner did not recognize the woman because the two had communicated only online.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary There are three reasons why the woman did not commit armed robbery when she took the cash from the homeowner.

Rule(s):

- Although the homeowner may have thought the woman was stealing from her, the woman lacked the requisite mens rea of intent to steal.
- See, e.g., LaFave, supra § 20.3(d)(2) (indicating that committing robbery by threat or intimidation requires "purposeful" use of threats or putting in fear).

- Under the State A statute, a person commits criminal possession of stolen property by knowingly possessing stolen property with intent to either benefit herself or a person other than the owner or to impede the owner's recovery of the property.

Fact-based analysis:

- Summary There are three reasons why the woman did not commit armed robbery when she took the cash from the homeowner.
- First, the woman did not commit theft when she received the money from the homeowner because she believed the homeowner was voluntarily paying her for the landscaping services previously provided.
- Because the woman lacked the mens rea required for theft, and theft is a necessary element of armed robbery, her conduct did not constitute armed robbery.
- Second, the woman was not carrying a dangerous weapon, as that term is defined in the statute.

Conclusion: An objectively reasonable person would believe that the lawn figurine was stolen based on the facts that the figurine looked new, it had a $200 price tag (substantially in excess of the $10 asking price), and the assistant heard the woman quip, "Just don't ask where I got it."

Question call(s): 1. Analyzing all elements of each crime, did the woman commit | a) armed robbery of the $100 cash? Explain. | b) theft of the figurine? Explain.

February 2023 — Question 2

Primary source subject: Criminal Law & Procedure

Question summary: This question involves Homeowner ordered a pizza to be delivered to his house for lunch. When the pizza delivery driver (Driver) arrived, Homeowner invited him to step inside while Homeowner retrieved his wallet. The core dispute asks Should the officers' entry into the house result in the exclusion of evidence? Explain. 2. Assuming that the officers' entry into the house does not result in the exclusion of evidence, should the following conduct result in the exclusion... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- (a) Do police officers who execute a search warrant for counterfeit money violate the Fourth Amendment when they kick in the front door of a suspect's house without knocking and announcing their purpose?
- (b) Does the execution of a search warrant in violation of the "knock and announce" rule trigger the exclusionary rule?
- Did the police officer's patdown of Driver and seizure of the marijuana found in Driver's pocket violate the Fourth Amendment and trigger application of the exclusionary rule?
- Can stolen property that a police officer discovers in plain view during a search for other evidence be seized by the officer and used as evidence against the person whose home was being searched even though the officer had to verify that the property was stolen by checking its serial number against police records?
- Should the illegal narcotics seized during the search be excluded from evidence when the government could not determine that the substances were narcotics without laboratory testing?
- (holding that the Fourth Amendment incorporates the common law "knock and announce" rule). Here, the warrant authorized a search for counterfeit bills. There are no facts suggesting any exigent circumstances, such as a threat of physical resistance by Homeowner or the rapid destruction of evidence if the officers announced

their presence. Thus, the officers' failure to knock and announce violated the Fourth Amendment. [NOTE: Although it is not relevant to the facts of this case, when issuing a warrant, a judge might determine that there are exigent circumstances justifying entry without knocking or announcing. Such a warrant is known as a "no knock" warrant. See Richards v. Wisconsin, 520

Relevant facts to use:

- Homeowner ordered a pizza to be delivered to his house for lunch.

Condensed sample-answer path:

1. Point One(b) (15%) The officers' failure to "knock and announce" before entry does not trigger the e

Short answer: pocket that she thought could be a weapon.

Rule(s):

- To seize an item under the "plain view" doctrine, the item must not only be in plain view, but its incriminating character must be readily apparent.
- Thus, evidence is found in plain view when the police officer (1) has lawful authority to be in the location where the item is found and (2) has probable cause to believe that the item is evidence related to criminal activity without performing any additional search of the item.
- An individual has no reasonable expectations of privacy in items left in the plain view of police officers with legal authority to be on the premises.

Fact-based analysis:

- However, the patdown became unconstitutional after the officer ascertained through the patdown that what she thought was a weapon in Driver’s pants pocket was instead a small soft item.
- At this point, having ascertained that the lump was not a weapon, and with no prior knowledge that the item was contraband, the officer was required to terminate her search.
- Because the search was unreasonable, the marijuana should be excluded.
- The "plain view" exception to the warrant requirement allows a police officer who is executing a search warrant to seize any incriminating evidence observed during the course of that lawful search.

Conclusion: All warrants must comply with the Fourth Amendment’s particularity clause, which requires that warrants "particularly describe" the "things to be seized." The particularity of a warrant is evaluated based on the time it was issued and the information that the police officers who secured the warrant provided (or should have provided) to the issuing judicial officer.

July 2023 — Question 6

Primary source subject: Criminal Law & Procedure

Question summary: This question involves Just after midnight, police in State A received a report of four men lurking in the alley behind a pharmacy that had been burglarized two weeks earlier. Five minutes later, Officers One and Two stopped a car operating illegally without headlights one block from the pharmacy. The core dispute asks Just after midnight, police in State A received a report of four men lurking in the alley behind a pharmacy that had been burglarized two weeks earlier. Five minutes later, Officers One and Two stopped a car operating illegally without... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Relevant facts to use:

- Just after midnight, police in State A received a report of four men lurking in the alley behind a pharmacy that had been burglarized two weeks earlier.
- "I did everything you asked, and Dillon bragged that he broke into the pharmacy two weeks ago and tried again last night." Two days later, State A charged all four men with burglary and agreed to try them separately.

Condensed sample-answer path:

1. Point Two (25%) The trial court should not apply Miranda to suppress Ben's incriminating statement t

Short answer: afford an attorney, one will be provided for you." This is nearly identical to Miranda.

Rule(s):

- Thus Officer Three issued a valid Miranda warning.
- An officer must "scrupulously honor[]" a suspect's invocation of his rights not to be questioned without counsel and to remain silent, so an officer violates a suspect's Miranda rights by failing to cease questioning immediately after a suspect in custody invokes either of these rights.
- Finally, that Carl did not invoke his right to remain silent does not end the inquiry because statements made after a valid Miranda warning are nevertheless inadmissible unless the government shows that the suspect knowingly, intelligently, and voluntarily waived his right to remain silent.

Fact-based analysis:

- Here, Carl sat in silence for two hours, staring at Officer Three rather than responding to his questions.
- Thompkins, the Court considered a suspect who remained mostly silent for three hours, and it held that, because the suspect "did not say that he wanted to remain silent or that he did not want to talk with the police," he did not invoke his right to remain silent.
- Here, Carl heard the warnings, received them in writing, and read them.
- In addition, he expressly told the officer that he understood them.

Conclusion: Examinees should not discuss the Sixth Amendment, however, because the question calls only for analysis under the Fifth Amendment and Miranda.

February 2024 — Question 5

Primary source subject: Criminal Law & Procedure

Question summary: This question involves City is located in State A adjacent to the border with State B. One evening, a City police officer stopped a driver. The core dispute asks Is the State B hate-crime prosecution barred by the United States Constitution's double jeopardy clause? Explain. 2. Is the federal hate-crime prosecution barred by the United States Constitution's double jeopardy clause? Explain. 3. Is... Main issues tested include substantive offenses, mens rea, causation, defenses, and Fourth/Fifth/Sixth Amendment criminal procedure.

Issues tested:

- Is a sister state barred by the Double Jeopardy Clause from prosecuting a defendant for a state offense when the defendant was previously convicted of a similar crime by a municipal court in another state for the same conduct?
- Is the federal government barred by the Double Jeopardy Clause from prosecuting a defendant for a federal offense when the defendant was previously convicted of a similar crime by a municipal court for the same conduct?
- Is a state barred by the Double Jeopardy Clause from prosecuting a defendant for a state offense when the defendant was previously convicted of a crime by a municipal court in the same state for the same conduct but the state crime requires proof of an additional element that the municipal crime does not?
- Is a state barred by the Double Jeopardy Clause from prosecuting a defendant for a state offense when the defendant was previously convicted of a crime by a municipal court in the same state for the same conduct but the state crime requires proof of an additional element that the municipal crime does not and the municipal crime required proof of an element that is not part of the state crime?
- . A person's double jeopardy rights include the right not to be subjected to a second prosecution for the same offense after the person's prior conviction. North Carolina v. Pearce, 395
- . Here, the facts are clear that State B is seeking to prosecute the officer for the very same behavior for which he was previously convicted by City, which is a political subdivision of State A. Nonetheless, the Double Jeopardy Clause does not forbid State B's prosecution of the officer because of the "dual sovereignty" doctrine. States are separate sovereigns from one another. Heath v. Alabama, 474

Relevant facts to use:

- City is located in State A adjacent to the border with State B.
- Federal Criminal Charge.

Condensed sample-answer path:

1. Point Two (20%) The federal prosecution is not barred on double jeopardy grounds because the federal

Short answer: The dual-sovereignty doctrine does not apply to the prosecution of the officer by State A.

Rule(s):

- See Pearce, 395 he same offense after conviction.") Point Four (20%) The State A assault-with-intent-to-cause-injury charge is not barred because each of the two crimes—the state crime and the City ordinance violating—requires proof of an element that the other does not.
- As noted above, to determine whether two crimes constitute the "same offense," the Supreme Court requires an evaluation of each statutory provision to determine whether they have the same elements.
- If each statutory provision requires proof of an element that the other does not, then the crimes are different offenses.

Fact-based analysis:

- The dual-sovereignty doctrine does not apply to the prosecution of the officer by State A.
- Rather, they have been traditionally regarded as subordinate governmental instrumentalities created by the State to assist in the carrying out of state governmental functions." Waller v.
- The officer therefore has the right not to be subjected to further prosecution by State A for an offense for which he was already convicted by City.
- The State A assault statute under which the officer is being charged requires proof that the officer acted "with intent to cause injury." That "specific intent" element is not present in the City ordinance.

Conclusion: Thus, each offense contains an element not contained in the other, and double jeopardy is no bar to trying and punishing the officer for each crime based on the same course of conduct.

Evidence

February 2008 — Question 4

Primary source subject: Evidence

Question summary: This question involves MEE Question 4 Victor was taken by ambulance to a hospital. Standard hospital practice requires the admitting nurse in the emergency room to record all information provided by a patient about the cause of the patient's illness or injury. The core dispute asks During the trial, in order to prove that Dan stabbed Victor, the prosecutor offered the hospital record made by Nurse that contained Victor's statement that Dan stabbed him. The prosecutor cannot locate Nurse to testify at trial. Defense... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- (a) When a hospital record is offered into evidence to prove the truth of an out-of-court statement contained therein, must the record itself, the out-of-court statement, or both be covered by a hearsay exception?
- (b) Is Nurse's notation of Victor's statement a business record that can be admitted to prove the content of Victor's statement?
- (c) Is Victor's statement, which relates both to the general cause of his injuries and to the identity of the person causing the injuries, admissible to prove the truth of the matter stated?
- May a spouse assert the marital privilege in order not to testify with respect to communications with a deceased spouse?
- When a hearsay statement has been admitted, is an inconsistent hearsay statement admissible to attack the credibility of the hearsay declarant?

Relevant facts to use:

- MEE Question 4
- Victor was taken by ambulance to a hospital.
- One week after his hospital admission, Victor unexpectedly died as a result of the stab wound.
- When Victor's wife, Wife, heard of Dan's arrest, she was shocked.

Condensed sample-answer path:

1. Point One(a): Because the hospital record is being offered to prove both that Victor made certain st

Short answer: Hearsay is an out-of-court statement "offered in evidence to prove the truth of the matter asserted." FED.

Rule(s):

- Hearsay is an out-of-court statement "offered in evidence to prove the truth of the matter asserted." FED.
- Hearsay is generally inadmissible.
- Here, the hospital record is "double hearsay," and both levels of hearsay must fall within a hearsay exception or the record is inadmissible.

Fact-based analysis:

- Therefore, the prosecutor must show that Victor's statement falls within a hearsay exception. (See Point One(c).)

Conclusion: Therefore, the prosecutor must show that Victor's statement falls within a hearsay exception. (See Point One(c).)

2. Point One(b): The hospital record satisfies the business-records exception to the hearsay rule.

Short answer: A record of "acts, events, conditions, opinions, or diagnoses" is admissible under the businessrecords exception to the hearsay rule if it is "made at or near the time" of the recorded event by "a person with knowledge" of the event.

Rule(s):

- A record of "acts, events, conditions, opinions, or diagnoses" is admissible under the businessrecords exception to the hearsay rule if it is "made at or near the time" of the recorded event by "a person with knowledge" of the event.
- Additionally, the making of the record must occur in the course of a regularly conducted business activity, and it must be the regular practice of the business to make the record.

3. Point One(c): Victor's statement to Nurse that he was stabbed may be admissible for the truth of the

Short answer: As noted earlier, Victor's statement is itself hearsay because the prosecutor is offering it to prove the truth of the matter asserted—that Dan stabbed Victor.

Rule(s):

- As noted earlier, Victor's statement is itself hearsay because the prosecutor is offering it to prove the truth of the matter asserted—that Dan stabbed Victor.
- Therefore, even if the hospital record is admissible to prove what Victor said, the statement should still be excluded unless Victor's statement itself falls within a hearsay exception.
- Statements made by a person who is seeking medical treatment are exempted from the ban on hearsay if the statements concern medical history, symptoms, "or the inception or general character of the cause" of the symptoms.

Fact-based analysis:

- Thus, this hearsay exception is limited to statements that are "reasonably pertinent to diagnosis or treatment." Id.
- Thus, the portion of Victor's statement identifying Dan as the assailant is inadmissible.
- Therefore, the trial court should not admit the record containing that statement.

Conclusion: Therefore, the trial court should not admit the record containing that statement.

4. Point Two: The testimonial spousal privilege may only be asserted by a spouse who is testifying agai

Short answer: Two evidentiary privileges apply to the marital relationship.

Rule(s):

- Under the majority view, both spouses hold the privilege for all communications between them.
- Under that minority view, Wife could not assert the privilege and would have to reveal what Victor said.
- Where one spouse has revealed the content of those communications to a third person, then confidentiality no longer exists and the privilege probably should not apply.

Fact-based analysis:

- The federal courts recognize a testimonial or witness privilege under which a witness-spouse has the right not to testify against an accused spouse in a criminal case.
- Here, Wife could invoke the privilege and be excused from testifying as to Victor's statements to her because all the requirements of the privilege are met: Victor's statements were statements of one spouse to another in private (it appears that no one overheard them), and neither Wife nor Victor revealed their exact content to anyone else.
- Here, however, it is possible that Wife will not be allowed to invoke the privilege because she broke the confidentiality of her communications with her husband when she told Friend, a third party, some of what her husband told her.

Conclusion: Where one spouse has revealed the content of those communications to a third person, then confidentiality no longer exists and the privilege probably should not apply.

5. Point Three: The prosecutor's hearsay objection to testimony about Victor's statement to Wife should

Short answer: Victor's statement to Wife that Dan was not his assailant is hearsay (because it was made outside the courtroom) and could not have been admitted to prove the truth of the matter stated.

Rule(s):

- Victor's statement to Wife that Dan was not his assailant is hearsay (because it was made outside the courtroom) and could not have been admitted to prove the truth of the matter stated.
- On the facts, the court has admitted Victor's hearsay statement to Nurse that Dan attacked him.
- Once a hearsay statement is admitted into evidence, the hearsay declarant's credibility may be attacked just as though the hearsay declarant were a witness at trial.

Fact-based analysis:

- Thus, if the hospital record is admitted to prove that Victor identified Dan as his assailant, then Victor's statement to Wife (identifying someone else as his assailant) is admissible to attack Victor's credibility, despite the existence of the hearsay rule.

Conclusion: Thus, if the hospital record is admitted to prove that Victor identified Dan as his assailant, then Victor's statement to Wife (identifying someone else as his assailant) is admissible to attack Victor's credibility, despite the existence of the hearsay rule.

Question call(s): 1. Did the trial court err in admitting into evidence the hospital record containing Victor's statement? Explain. | 2. Did the trial court err in sustaining Wife's claim of privilege? Explain. | 3. Did the trial court err in sustaining the prosecutor's hearsay objection to Wife's testimony? Explain.

February 2009 — Question 2

Primary source subject: Evidence

Question summary: This question involves MEE Question 2 Plaintiff, an employee of Contractor, was injured while using a table saw manufactured by Defendant and owned by Contractor. Plaintiff sued Defendant in federal court to recover damages for his injuries. The core dispute asks Did the Court err in: 1. Overruling Defense Counsel's objection to cross-examination about an alleged lie by Witness? Explain. 2. Sustaining Defense Counsel's objection to the introduction of Exhibit 37 as inadmissible character evidence?... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- Under Rule 608(b), was it proper to cross-examine Witness about his alleged lie on his job application?
- Under Rule 608(b), was Witness's job application admissible to contradict Witness's denial that he had lied, or was it inadmissible extrinsic evidence?
- If Witness's job application was not admissible for impeachment purposes under Rule 608(b), could the exhibit be admitted into evidence to refresh recollection under Rule 612?
- Under Rule 608(b), was Contractor's testimony admissible to impeach Witness, or was it inadmissible extrinsic evidence?

Relevant facts to use:

- MEE Question 2
- Plaintiff, an employee of Contractor, was injured while using a table saw manufactured by Defendant and owned by Contractor.
- At trial, Defendant called Witness, another employee of Contractor.
- During cross-examination by Plaintiff's Counsel, Witness testified as follows:

Condensed sample-answer path:

1. Point One The trial court acted within its discretion in permitting cross-examination concerning the

Short answer: The standard of review regarding an alleged error in an evidentiary ruling is abuse of discretion.

Rule(s):

- A trial court's ruling should be affirmed, even if the court of appeals would make a different ruling, if the challenged ruling lies within the zone of reasonable disagreement.
- However, when a person testifies as a witness, that person's credibility becomes a material issue; a witness's credibility thus may be attacked by showing that the witness has an untruthful character.
- Accordingly, a court may, in its discretion, admit evidence relating to a prior bad act if it is offered during cross-examination of the witness being impeached and is "probative of . . . untruthfulness." FED.

Fact-based analysis:

- In this case, the trial court acted properly in allowing counsel to ask Witness if he had lied about his job experience on his application.
- The facts suggest Witness's testimony was critical to establish that Plaintiff had removed a safety guard from the table saw.
- This testimony could be devastating to Plaintiff's claim.
- 608(b). [NOTE: Admission into evidence of a document containing the falsehood might violate the extrinsic evidence rule (see Point Two), but questioning the witness about such a document does not.

Conclusion: Accordingly, a court may, in its discretion, admit evidence relating to a prior bad act if it is offered during cross-examination of the witness being impeached and is "probative of . . . untruthfulness." FED.

2. Point Two The trial court was within its discretion in excluding Exhibit 37 because Rule 608(b) forb

Short answer: Rule 608(b) expressly prohibits the use of extrinsic evidence to impeach a witness's character for truthfulness: "Specific instances of the conduct of a witness, for the purpose of attacking or supporting the witness's character for truthfulness . . . may not be proved by extrinsic evidence." FED.

Rule(s):

- Rule 608(b) expressly prohibits the use of extrinsic evidence to impeach a witness's character for truthfulness: "Specific instances of the conduct of a witness, for the purpose of attacking or supporting the witness's character for truthfulness . . . may not be proved by extrinsic evidence." FED.
- Thus, although a witness may be cross-examined about a prior alleged lie, if he refuses to admit to lying, he may not be contradicted with extrinsic evidence.
- Rule 608(b) does not define "extrinsic evidence," and there is disagreement among federal courts and evidence scholars about the term's meaning.

Fact-based analysis:

- The other, more lenient approach holds that a document is not extrinsic evidence if the witness being impeached can provide the foundation for admission of the document.
- 1996) (holding that the trial court did not abuse its discretion in excluding the résumé of a witness offered to impeach the witness under Rule 608(b) by showing a misrepresentation of educational and employment experience).
- Thus, whether the Court should have admitted Exhibit 37 depends on which approach prevails in this jurisdiction. [NOTE: An applicant should receive full credit if the applicant recognizes the extrinsic evidence issue.]

Conclusion: Thus, whether the Court should have admitted Exhibit 37 depends on which approach prevails in this jurisdiction. [NOTE: An applicant should receive full credit if the applicant recognizes the extrinsic evidence issue.]

3. Point Three Exhibit 37 was not admissible to refresh Witness's recollection because Rule 612 permits

Short answer: Since the Court permitted cross-examination concerning Exhibit 37, it was proper to allow the cross-examiner to try to get Witness to change his denial of lying on the job application.

Rule(s):

- However, when an otherwise inadmissible document is shown to a witness to refresh his recollection, the witness must read it to himself.
- It is improper to allow such a document to be read aloud to the jury, and it may be admitted as an exhibit only if offered by the lawyer who has not used the exhibit to refresh the recollection of the witness.
- 2007). [NOTE: It may have been improper for the Court to permit Plaintiff's Counsel to attempt to "refresh" Witness's recollection, given that Witness did not testify to any lack of memory about what was said on the job application.

Fact-based analysis:

- Since the Court permitted cross-examination concerning Exhibit 37, it was proper to allow the cross-examiner to try to get Witness to change his denial of lying on the job application.
- The cross-examiner need not take the first answer a witness offers.
- Accordingly, only the admission of the exhibit is at issue.]

Conclusion: Accordingly, only the admission of the exhibit is at issue.]

4. Point Four The trial court properly excluded the testimony of Contractor because testimony by anothe

Short answer: The trial court correctly refused to permit testimony from Contractor that Witness had claimed 12 years of experience on his job application.

Rule(s):

- The trial court correctly refused to permit testimony from Contractor that Witness had claimed 12 years of experience on his job application.
- This testimony was relevant only to the witness's credibility and clearly constituted extrinsic evidence.

Fact-based analysis:

- This testimony was relevant only to the witness's credibility and clearly constituted extrinsic evidence.

Question call(s): 1. Overruling Defense Counsel's objection to cross-examination about an alleged lie by Witness? Explain. | 2. Sustaining Defense Counsel's objection to the introduction of Exhibit 37 as inadmissible character evidence? Explain. | 3. Sustaining Defense Counsel's objection to the introduction of Exhibit 37 to refresh the recollection of Witness? Explain.

February 2010 — Question 7

Primary source subject: Evidence

Question summary: This question involves Driver was driving an automobile that struck Pedestrian in the crosswalk of a busy street. Pedestrian suffered painful fractures and a concussion that affected her memory of the accident. The core dispute asks At the final pretrial motion hearing, Driver's counsel argued that the court should grant these four motions in limine: (1) to exclude Witness's opinion that Driver was speeding; (2) to exclude Spouse's testimony; (3) to exclude evidence... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Relevant facts to use:

- Driver was driving an automobile that struck Pedestrian in the crosswalk of a busy street.
- Pedestrian filed a negligence action against Driver, who responded with a general denial and an assertion that Pedestrian's negligence caused her injuries.
- Pedestrian plans to call Witness to testify at trial.
- Pedestrian plans to call her Spouse to testify that Pedestrian is very cautious and risk-averse.

Condensed sample-answer path:

1. Point One (20%) The court should allow Witness to offer an opinion on the speed of Driver's car.

Short answer: To be admissible, evidence must be relevant.

Rule(s):

- To be admissible, evidence must be relevant.
- Under Rule 403, relevant evidence can be excluded under certain circumstances, but there are no facts in this question to suggest an appropriate ground for exclusion under this rule.

- 403 (relevant evidence may be excluded if it is unduly prejudicial, confusing, cumulative, a waste of time, or a source of undue delay in the proceedings).

Fact-based analysis:

- Witness's testimony is relevant to the determination of the action because the fact that Driver was speeding, if true, would make it more likely that Driver was acting negligently and was the cause of the accident.
- A witness who is not testifying as an expert may offer an opinion only if (a) the opinion is "rationally based on the [witness's] perception" of what happened; (b) the opinion helps determine "a fact in issue"; and (c) the opinion is "not based on scientific, technical, or other specialized knowledge" that is governed by Rule 702.
- In this case, Witness's testimony meets all three requirements.

Conclusion: No specialized training, experience, or education is necessary to form a valid opinion on such a basis. [NOTE: How much weight the jury should give this opinion is an issue for the jury and does not affect admissibility.]

2. Point Two (25%) The court should not admit Spouse's testimony regarding Pedestrian's character trait

Short answer: Spouse's proposed testimony that Pedestrian is very cautious and risk-averse is testimony about Pedestrian's character.

Rule(s):

- If true, that would tend to establish that Pedestrian was not negligent.
- Rule 404(a) provides that "evidence of a person's character or a trait of character is not admissible for the purpose of proving action in conformity therewith on a particular occasion," except in three situations that apply exclusively to criminal trials.
- This is exactly what Rule 404(a) forbids, and the testimony is inadmissible.

Fact-based analysis:

- Here, Spouse's testimony that Pedestrian generally is cautious and risk-averse is relevant precisely because it suggests that on the day of the collision Pedestrian was acting in a cautious and riskaverse manner.

Conclusion: The evidence is therefore relevant.

3. Point Three (25%) The court should admit Pedestrian's testimony about Pedestrian's cell phone usage

Short answer: Habit evidence is admissible to prove that a person acted in conformity with that habit.

Rule(s):

- Habit evidence is admissible to prove that a person acted in conformity with that habit.
- Rule 406 specifically authorizes the use of habit evidence "whether corroborated or not and regardless of the presence of eyewitnesses." Pedestrian's testimony will provide sufficient background information to establish that she actually has a habit of lowering her cell phone and looking both ways when crossing a street.
- Therefore, this evidence is admissible.

Conclusion: Therefore, this evidence is admissible.

4. Point Four(a) (15%) The court should admit the evidence of Pedestrian's memory loss.

Short answer: Pedestrian's concussion is relevant, albeit indirectly, to determining who is liable for the collision.

Rule(s):

- Pedestrian’s concussion is relevant, albeit indirectly, to determining who is liable for the collision.
- The evidence of memory loss may make the facts to which Pedestrian testifies “less probable.” FED.
- Rule 403 is not a basis to deny Driver’s motion because it would not be “unfairly prejudicial” to Pedestrian to allow Driver to benefit from Pedestrian’s inability to recall what happened.

Fact-based analysis:

- Alaska, 415 . . . permitted to delve into the witness’[s] story to test the witness’[s] perceptions and memory . . . .”).

Conclusion: Rule 403 is not a basis to deny Driver’s motion because it would not be “unfairly prejudicial” to Pedestrian to allow Driver to benefit from Pedestrian’s inability to recall what happened.

5. Point Four(b) (15%) The court should exclude the evidence of Pedestrian’s other injuries.

Short answer: Rules 401–403 also establish that evidence of Pedestrian’s fractures is not relevant and not admissible.

Rule(s):

- New Jersey Transit Authority Rail Operations, 160 F.R.D.
- If the stipulation is no longer in effect, this could open the door to admission of evidence of Plaintiff’s other injuries, subject to Federal Rules of Evidence 401 and 403.]

Fact-based analysis:

- Therefore, the fact that Pedestrian suffered these additional injuries does not, by itself, tend to prove any fact of consequence in dispute that will aid in the determination of who caused the collision.
- Therefore, such evidence is a “waste of time” under Rule 403.
- 1995) (bifurcating damages phase of trial from liability necessary because “the severity of Plaintiff’s injuries would prejudice the defendants so severely if issues of liability and damages were not bifurcated that the defendants would not receive a fair trial”). [NOTE: To the extent that Driver’s introduction of evidence of Pedestrian’s memory loss includes evidence of the severity of Pedestrian’s injuries, Pedestrian can argue, and the judge could find, that the parties’ stipulation has been violated.

Conclusion: 1995) (bifurcating damages phase of trial from liability necessary because “the severity of Plaintiff’s injuries would prejudice the defendants so severely if issues of liability and damages were not bifurcated that the defendants would not receive a fair trial”). [NOTE: To the extent that Driver’s introduction of evidence of Pedestrian’s memory loss includes evidence of the severity of Pedestrian’s injuries, Pedestrian can argue, and the judge could find, that the parties’ stipulation has been violated.

Question call(s): How should the court rule on each of these motions? Explain.

February 2011 — Question 2

Primary source subject: Evidence

Question summary: This question involves On May 5, at 2 p.m. in City Park, Victim was hit from behind and temporarily knocked unconscious. The core dispute asks Should the judge have permitted Prosecutor to question Witness about Witness’s written statement and admitted the copy of the statement to impeach Witness’s credibility?

Explain. 2. Should the judge have admitted Witness's written... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Relevant facts to use:

- On May 5, at 2 p.m. in City Park, Victim was hit from behind and temporarily knocked unconscious.
- While investigating the crime later that day, Police Officer interviewed Witness.
- Defendant was subsequently arrested and charged with robbery and assault.
- At Defendant's trial, Prosecutor called Witness to the stand.

Condensed sample-answer path:

1. Point One (25%) A prior inconsistent statement is ordinarily admissible for the purpose of impeachin

Short answer: It is generally permissible for a litigant to impeach the credibility of any witness, including a witness called by that litigant.

Rule(s):

- In order to introduce a prior out-of-court statement to impeach a witness's credibility, there must be an inconsistency between the prior out-of-court statement and the witness's trial testimony.
- The inconsistency must involve a relevant issue.
- If a witness testifies to a lack of memory regarding a relevant issue contained in a prior out-of-court statement, the judge may find that this testimony is inconsistent with the out-of-court statement on the same issue.

Fact-based analysis:

- It is generally permissible for a litigant to impeach the credibility of any witness, including a witness called by that litigant.
- Moreover, it is common and proper to impeach a witness's credibility "by showing that the witness has made prior statements inconsistent with his [or her] testimony at trial." GRAHAM C.
- Here, there is more than a claimed lack of present memory concerning the facts.
- Witness testified that she had never seen Defendant in her life and denied that she had told Police Officer that she saw Defendant rob Victim.

Conclusion: Admission of Witness's statement for the limited purpose of impeaching her trial testimony does not raise hearsay concerns because it is not admitted to prove the truth of the matter asserted in the statement. [NOTE: At Defense Counsel's request, the judge should instruct the jury that the prosecution cannot rely on Witness's prior written statement, which was admitted solely to impeach Witness's credibility, to prove any of the elements of the charged offenses.]

2. Point Two (25%) Part of Witness's statement—"I was walking in City Park on May 5, at 2 p.m., when I

Short answer: A prior statement of identification of a person made after perceiving the person is not hearsay if the witness who made the statement testifies at trial and is subject to cross-examination concerning the statement.

Rule(s):

- A prior statement of identification of a person made after perceiving the person is not hearsay if the witness who made the statement testifies at trial and is subject to cross-examination concerning the statement.
- The rationale for this rule is that the opportunity to cross-examine the witness concerning the statement takes it outside the scope of the hearsay rule.

- If the declarant testifies and is subject to cross-examination concerning the identification, the declarant's lack of memory at trial does not defeat admissibility and the requirements of Rule 801(d)(1)(C) are fulfilled.

Fact-based analysis:

- In this case, Witness's prior written statement included an identification of Defendant.
- That identification was made by Witness based on Witness's knowledge of Defendant from the neighborhood, Witness's direct observation of Defendant in City Park on May 5 at 2 p.m., and Witness's recognition of Defendant's photograph.
- That prior statement of identification of Defendant is excluded from the general definition of hearsay when, as here, Witness testifies and is subject to cross-examination concerning the statement.

3. Point Three (20%) The remainder of Witness's prior inconsistent statement made to the police—"I saw

Short answer: Under the Federal Rules of Evidence, certain prior inconsistent statements are not hearsay.

Rule(s):

- Under the Federal Rules of Evidence, certain prior inconsistent statements are not hearsay.
- However, to be admissible to prove the truth of the matter asserted, the prior inconsistent statement must be made "under oath, subject to the penalty of perjury at a trial, hearing, or other proceeding, or in a deposition." Id.
- Witness's statement to the police does not fit within this rule, nor does it fit within any hearsay exception.

4. Point Four (30%) A criminal defendant may introduce evidence of his good character relating to a rel

Short answer: Character evidence is generally inadmissible to prove that a person acted in conformity with a particular character trait.

Rule(s):

- However, the Federal Rules of Evidence limit the ways in which a defendant's character traits may be proven.
- In particular, "proof may [only] be made by testimony as to reputation or by testimony in the form of an opinion." Id.

Fact-based analysis:

- Because Defendant is charged with robbery and assault (both crimes of violence), evidence that Defendant is a "gentle person who would never hurt anyone" would be relevant.
- Evidence that Defendant is "honest" is a closer call.
- So a court might admit evidence of Defendant's honesty, as well as evidence of his gentleness.
- Here, Buddy did not testify as to his own opinion or Defendant's community reputation.

Conclusion: Because Defendant is charged with robbery and assault (both crimes of violence), evidence that Defendant is a "gentle person who would never hurt anyone" would be relevant.

Question call(s): 1. Should the judge have permitted Prosecutor to question Witness about Witness's written statement and admitted the copy of the statement to impeach Witness's credibility? Explain. | 2. Should the judge have admitted Witness's written statement to prove that Defendant was in City Park and attacked Victim? Explain. | 3. Should the judge have admitted Buddy's testimony to prove Defendant's character for honesty and gentleness? Explain.

February 2012 — Question 1

Primary source subject: Evidence

Question summary: This question involves Six months ago, a woman was taken to a hospital following what she alleged was a sexual assault by a man during a fraternity party. The woman and the man were both seniors attending the college where the party was held. The core dispute asks 1. The hospital's motion to exclude evidence of its new policy providing immediate medical treatment to emergency and non-emergency patients in all cases of alleged or suspected sexual assault. 2. The hospital's motion to exclude evidence... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Relevant facts to use:

- Six months ago, a woman was taken to a hospital following what she alleged was a sexual assault by a man during a fraternity party.
- At the time of the alleged assault, the hospital's policy required that "in all cases of alleged or suspected sexual assault, non-emergency patients must be interviewed by a victim counselor before receiving medical treatment." The woman was deemed a non-emergency patient and was told to wait in the waiting room to see a victim counselor.
- There was no contact between the woman and the man until one week later, when the man sent the woman a text message on her cell phone.
- Four months after the alleged assault, the woman contacted a lawyer and filed a civil action against the man and the hospital.

Condensed sample-answer path:

1. Point One (20%) The court should exclude evidence of the hospital's subsequent remedial measures.

Short answer: Evidence is relevant if it has "any tendency to make a fact" either "more or less probable than it would be without the evidence." FED.

Rule(s):

- "Relevant evidence is admissible," unless it is inadmissible pursuant to some other rule.
- This may be relevant to the woman's claim that the hospital's decision to deny her immediate treatment was negligent.
- Rule 407 of the Federal Rules of Evidence provides that "[w]hen measures are taken that would have made an earlier injury or harm less likely to occur, evidence of the subsequent measures is not admissible to prove negligence." FED.

Fact-based analysis:

- The woman has alleged that the hospital caused the exacerbation of her injuries by negligently delaying her medical treatment for three hours pursuant to its then-existing standard policy.
- Here, the hospital's policy change is a subsequent measure that could have made the woman's alleged injury less likely had the policy been in place at the time she visited the hospital.
- The woman wishes to introduce evidence of the policy change to establish that the hospital's behavior pursuant to its prior policy was negligent.

Conclusion: 1980) (explaining that Rule 407 is intended to guard against the fact that people "would be less likely to take subsequent remedial measures if their repairs or improvements would be used against them in a lawsuit").

2. Point Two (20%) The court should exclude evidence of the hospital's offer to settle with the woman.

Short answer: Evidence of the hospital's offer to settle with the woman may be relevant to a determination of its negligence because this evidence has some tendency to make it more probable that the hospital engaged in negligent conduct.

Rule(s):

- Evidence of the hospital's offer to settle with the woman may be relevant to a determination of its negligence because this evidence has some tendency to make it more probable that the hospital engaged in negligent conduct.
- Rule 408 excludes settlement offers and statements made during settlement negotiations.
- Rule 408 bars admission of the evidence under these circumstances. [NOTE: In their discussion of this issue and of Point Three, some examinees might discuss whether any out-of-court statements by the man or the hospital would be excluded from evidence by the hearsay rule.

Fact-based analysis:

- Here, the hospital's offer to settle with the woman falls squarely within this rule and should be excluded from evidence.
- Its offer was an effort to settle with the woman.
- Because the offer was made after the woman filed her claim, it was made at a time when her "claim was disputed as to validity or amount." She seeks to admit the offer to help prove the hospital's liability for her claim.
- In this case, the hearsay rule would not exclude these statements because they were made by an opposing party.

Conclusion: In this case, the hearsay rule would not exclude these statements because they were made by an opposing party.

3. Point Three(a) (20%) The court should admit evidence of the man's offer to pay the woman $10,000.

Short answer: Evidence of the man's statement "If you are upset about what happened, I can send you a check for $10,000 to help you forget the whole thing" may be relevant to a determination of his liability.

Rule(s):

- Evidence of the man's statement "If you are upset about what happened, I can send you a check for $10,000 to help you forget the whole thing" may be relevant to a determination of his liability.
- This evidence has some tendency to make it more probable that the man believed that the woman might have some valid basis for filing a complaint against him.
- Rule 408 excludes settlement offers and statements made during settlement negotiations.

Fact-based analysis:

- The question is whether this offer to the woman, like the hospital's offer, is barred from admission by Rule 408.
- In this instance, the man made his offer to the woman almost four months before she filed this suit.
- Although Rule 408 does not require that a lawsuit be filed, here the man made his offer before the woman had made any claim at all against him, much less a "disputed claim," and therefore his offer is not excluded under Rule 408.

Conclusion: Although Rule 408 does not require that a lawsuit be filed, here the man made his offer before the woman had made any claim at all against him, much less a "disputed claim," and therefore his offer is not excluded under Rule 408.

4. Point Three(b) (20%) The court should exclude evidence of the man's offer to pay the woman's medical

Short answer: Evidence of the man's offer to pay the woman's medical expenses is probably relevant, but the court should nonetheless exclude the evidence.

Rule(s):

- Federal Rule 409 precludes admission of "[e]vi-dence of furnishing, promising to pay, or offering to pay medical . . . expenses resulting from an injury . . . to prove liability for the injury." FED.

Fact-based analysis:

- Evidence of the man's offer to pay the woman's medical expenses is probably relevant, but the court should nonetheless exclude the evidence.

Conclusion: Such evidence is excluded because "such payment or offer is usually made from humane impulses and . . . to hold otherwise would tend to discourage assistance to the injured person." FED.

5. Point Four (20%) The court should admit evidence of the woman's past sexual behavior because the pro

Short answer: In any "civil or criminal proceeding involving alleged sexual misconduct," the "Rape Shield" rule of the Federal Rules of Evidence generally bars the admission of "evidence offered to prove that a victim engaged in other sexual behavior." FED.

Rule(s):

- In any "civil or criminal proceeding involving alleged sexual misconduct," the "Rape Shield" rule of the Federal Rules of Evidence generally bars the admission of "evidence offered to prove that a victim engaged in other sexual behavior." FED.
- R.

Fact-based analysis:

- In this case, evidence of the woman's past sexual behavior with another student has significant probative value because the woman has specifically alleged psychological injuries attributable to her belief in abstinence before marriage and her lack of prior sexual experience.
- Here, the court is likely to find that the probative value of this evidence "substantially outweighs" the potential harm that could inure to the woman when the jurors learn that she previously had sexual relations with another student.

Question call(s): 1. The hospital's motion to exclude evidence of its new policy providing immediate medical treatment to emergency and non-emergency patients in all cases of alleged or suspected sexual assault. 2. The hospital's motion to exclude evidence of its offer to settle with the woman. 3. The man's motion to exclude evidence of | How should the court rule on each of these motions? Explain.

February 2013 — Question 7

Primary source subject: Evidence

Question summary: This question involves A woman who owns a motorized scooter brought her scooter to a mechanic for routine maintenance service. As part of the maintenance service, the mechanic inspected the braking system on the scooter. The core dispute asks The evidence rules in this jurisdiction are identical to the Federal Rules of Evidence. Analyze whether each of these items of evidence is relevant and admissible at trial: 1. The authenticated copy of the mechanic's text message; 2. The... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Relevant facts to use:

- A woman who owns a motorized scooter brought her scooter to a mechanic for routine maintenance service.
- The woman read the mechanic's text message and returned the next day to pick up her scooter.
- One week later, while the woman was riding her scooter, a pedestrian stepped off the curb into a crosswalk and the woman collided with him, causing the pedestrian severe injuries.
- The pedestrian has sued the woman for damages for his injuries resulting from the accident.

Condensed sample-answer path:

1. Point One(a) (20%) The mechanic's text message to the woman should be admitted because it is relevan

Short answer: Evidence is relevant if it has "any tendency to make a fact more or less probable than it would be without the evidence." FED.

Rule(s):

- "Relevant evidence is admissible," unless it is inadmissible pursuant to some other rule.

Fact-based analysis:

- The mechanic's text message to the woman, "When you pick up your scooter, you need to schedule a follow-up brake repair.
- First, this evidence has some tendency to make it more probable that the brakes malfunctioned and caused the accident.
- Second, it has some tendency to make it more probable that the woman was negligent in riding her scooter after being told by the mechanic that it required further repair.

2. Point One(b) (30%) The mechanic's text message fits either the hearsay exception for present sense i

Short answer: The mechanic's text message is a statement under Rule 801(a) because it is "a written assertion." FED.

Rule(s):

- The text message is hearsay if the pedestrian offers it to prove the "truth of the matter asserted in the statement" (i.e., that the scooter's brakes required repair), which resulted in the woman losing control of the scooter and causing the accident.
- However, the mechanic's text message fits the hearsay exception for "present sense impressions" under Rule 803(1) because it is "[a] statement describing or explaining an event or condition made while or immediately after the declarant perceived it." FED.

- Under Rule 803(6), a business record is a record of an act "made at or near the time by . . . someone with knowledge" and "the record was kept in the course of a regularly conducted activity of a business" and "making the record was a regular practice of that activity." FED.

Fact-based analysis:

- Here, the mechanic's text message described the condition of the scooter immediately after he perceived it during the maintenance service.
- However, the text message is not hearsay if it is instead offered to prove that the woman was negligent because she rode her scooter after the mechanic told her it required repair.
- If offered for this purpose, it would not be offered for the truth of the matter asserted in the statement, but to show the woman's belief about the condition of the scooter (her state of mind).

Conclusion: If offered for this purpose, it would not be offered for the truth of the matter asserted in the statement, but to show the woman's belief about the condition of the scooter (her state of mind).

3. Point Two (10%) The woman's question to the mechanic should be admitted because it is not hearsay.

Short answer: The woman's question to the mechanic is relevant because, along with the mechanic's thumbsup response (see Point Three), it has some tendency to make it more probable that the woman was not negligent and/or that the scooter brakes did not malfunction and cause the accident.

Rule(s):

- The woman's question does not raise hearsay concerns because it is not an assertion.
- Hearsay is defined under Rule 801(a) as "an oral assertion, written assertion, or nonverbal conduct." Although "assertion" is not further defined, "a favorite [definition] of writers in the [evidence] field for at least a century and a half [is that] the word simply means to say that something is so, e.g., that an event happened or a condition existed." 2 MCCORMICK ON EVIDENCE § 246 (6th ed.
- Under this definition, the woman's question is not hearsay because it is not an assertion.

Fact-based analysis:

- The woman's question to the mechanic is relevant because, along with the mechanic's thumbsup response (see Point Three), it has some tendency to make it more probable that the woman was not negligent and/or that the scooter brakes did not malfunction and cause the accident.

4. Point Three(a) (20%) The mechanic's thumbs-up to the woman is a nonverbal assertion that is relevant

Short answer: Hearsay is defined under Rule 801(c) as a "statement," that is, "a person's oral assertion, written assertion, or nonverbal conduct, if the person intended it as an assertion." FED.

Rule(s):

- Hearsay is defined under Rule 801(c) as a "statement," that is, "a person's oral assertion, written assertion, or nonverbal conduct, if the person intended it as an assertion." FED.
- Admission of the woman's description of the mechanic's thumbs-up for this purpose does not raise hearsay concerns because the evidence would not be offered for the truth of the matter asserted, but to show the woman's belief about the condition of the scooter (her state of mind).

Fact-based analysis:

- Here, when the mechanic responded to the woman's question ("Is my scooter safe to ride for a while?") with a thumbs-up gesture, the facts suggest that he intended his nonverbal conduct as an assertion that, in his opinion, the scooter was safe to ride.
- The mechanic's assertion is relevant and admissible to prove that the woman was not negligent because the evidence makes it more probable that, at the time of the accident, she believed that the scooter was safe to ride, despite the fact that the brakes required repair.

Conclusion: Admission of the woman's description of the mechanic's thumbs-up for this purpose does not raise hearsay concerns because the evidence would not be offered for the truth of the matter asserted, but to show the woman's belief about the condition of the scooter (her state of mind).

5. Point Three(b) (20%) The mechanic's thumbs-up is relevant to determine whether the scooter's brakes

Short answer: The mechanic's nonverbal assertion is relevant to the determination of whether the scooter's brakes malfunctioned, causing the accident.

Rule(s):

- However, if offered to prove the "truth of the matter asserted in the statement" (i.e., that the scooter was safe to ride for a while), it is hearsay that does not fit any hearsay exception.

Fact-based analysis:

- The mechanic's nonverbal assertion is relevant to the determination of whether the scooter's brakes malfunctioned, causing the accident.

Question call(s): 1. The authenticated copy of the mechanic's text message; | 2. The woman's testimony that she asked the mechanic, "Is my scooter safe to ride for a while?"; and | 3. The woman's testimony describing the mechanic's thumbs-up.

July 2013 — Question 4

Primary source subject: Evidence

Question summary: This question involves The city police department received a 911 call regarding a domestic violence incident. The caller said that she was staying with her sister and her sister's boyfriend. The core dispute asks The boyfriend was charged in state court with battery and disorderly conduct. The prosecutor made every effort to secure the appearance of both the sister and the caller at trial, but when the trial began, the sister and the caller did not... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Relevant facts to use:

- The city police department received a 911 call regarding a domestic violence incident.
- Caller: My sister's boyfriend is out of control right now.
- A nearby police officer arrived on the scene five minutes after the caller telephoned 911.
- When the sister saw that her boyfriend was locked in the patrol car, she came out on the porch to speak with the officer.

Condensed sample-answer path:

1. Point One (20%) If offered to prove the truth of the matter asserted, that the boyfriend attacked th

Short answer: As an out-of-court statement offered to prove the truth of what the caller told the police dispatcher (i.e., that her sister's boyfriend was "out of control," had thrown a broken beer bottle at her sister, and that her sister was bleeding), the caller's statements on the authenticated 911 recording are hearsay.

Rule(s):

- As an out-of-court statement offered to prove the truth of what the caller told the police dispatcher (i.e., that her sister's boyfriend was "out of control," had thrown a broken beer bottle at her sister, and that her sister was bleeding), the caller's statements on the authenticated 911 recording are hearsay.
- However, the court should overrule defense counsel's hearsay objection because the caller's out-of-court statements fit two hearsay exceptions.
- First, the caller's statements fit the hearsay exceptions for "present sense impressions." Pursuant to Rule 803(1), a present sense impression is "[a] statement describing or explaining an event or condition made while or immediately after the declarant perceived it." FED.

Fact-based analysis:

- In this case, the caller described the events to the police dispatcher as they were happening.
- Here, the caller telephoned 911 while she was watching her sister's boyfriend violently assault her sister.
- Here, the police dispatcher asked specific questions about the sister's injuries and the caller stated that her sister had blood on her arm.
- Thus, this portion of the caller's statement was relevant to the sister's medical condition and the fact that she might need medical treatment. [NOTE: The questions from the police dispatcher are not hearsay because they are not assertions.]

Conclusion: Thus, this portion of the caller's statement was relevant to the sister's medical condition and the fact that she might need medical treatment. [NOTE: The questions from the police dispatcher are not hearsay because they are not assertions.]

2. Point Two (25%) The Confrontation Clause does not bar the admission of an out-of-court statement whe

Short answer: Even when, as here, an out-of-court statement falls within a hearsay exception, the Confrontation Clause of the Sixth Amendment of the United States Constitution will sometimes preclude the admission of the statement at trial.

Rule(s):

- Even when, as here, an out-of-court statement falls within a hearsay exception, the Confrontation Clause of the Sixth Amendment of the United States Constitution will sometimes preclude the admission of the statement at trial.
- The Bryant Court also specified that "[a]n assessment of whether an emergency that threatens the police and public is ongoing cannot narrowly focus on whether the threat solely to the first victim has been neutralized because the threat to first responders and to the public may continue," id. at 1158, and that "the duration and scope of an emergency may depend in part on the type of weapon employed," id., and/or "[t]he medical condition of the victim," id. at 1159.

Fact-based analysis:

- Washington, 541 al" statements violates a defendant's right to confrontation if the witness is unavailable to testify at trial and the defense has not had a prior opportunity to cross-examine the witness.

- In this case, the caller is unavailable because the prosecutor's efforts to secure her appearance at trial have been unsuccessful, and the defense has not had a prior opportunity to cross-examine the caller.
- Thus, the critical constitutional question is whether the caller's statements to the police dispatcher were "testimonial." After Crawford, many statements made to police officers in the course of an interrogation are testimonial.
- Washington, the Court clarified that when witnesses make statements to the police "under circumstances objectively indicating that the primary purpose of the interrogation is to enable police assistance to meet an ongoing emergency," these statements are not testimonial.

Conclusion: Thus, the caller's statements were not testimonial and admission of these statements does not violate the Confrontation Clause.

3. Point Three (25%) The sister's statements to the officer fall under the "excited utterance" exceptio

Short answer: The court should overrule defense counsel's hearsay objection to admission of the sister's statements to the officer.

Rule(s):

- The court should overrule defense counsel's hearsay objection to admission of the sister's statements to the officer.
- Testimony repeating the sister's out-of-court statements would be hearsay because the prosecution is seeking to use the statements to prove the truth of the matter asserted by the sister (that the boyfriend had just attacked her).
- However, the sister's statements would be admissible pursuant to the "excited utterance" exception to the hearsay rule.

Fact-based analysis:

- Certainly the boyfriend's violent attack was a startling event and the sister was clearly still "under the stress or excitement that it caused" when the officer arrived at her house five minutes later.
- The statements were made within minutes of the boyfriend's violent conduct, the sister was in a highly emotional and agitated state (she was in tears when she spoke to the officer), and her statements related directly to the boyfriend's attack, which was the event that caused her to be excited and upset. [NOTE: The sister's statements here do not fit the hearsay exception for statements made for the purpose of medical treatment, FED.
- 803(4), because she specifically declined the medical assistance offered by the officer.]

Conclusion: However, the sister's statements would be admissible pursuant to the "excited utterance" exception to the hearsay rule.

4. Point Four (30%) The Confrontation Clause prohibits the use of the sister's statements to the office

Short answer: The dispositive question is whether admission of this out-of-court statement would be precluded under the Confrontation Clause.

Rule(s):

- The Bryant Court cautioned that "[a]n assessment of whether an emergency that threatens the police and public is ongoing cannot narrowly focus on whether the threat solely to the first victim has been neutralized because the threat to first responders and to the public may continue." Bryant, 131 S.

- Under these circumstances, the primary purpose of the interrogation was not to resolve an ongoing emergency but to establish past events potentially relevant to a later criminal prosecution of the boyfriend.

Fact-based analysis:

- Unlike the caller's statements to the police dispatcher during the boyfriend's attack, the sister's statements to the officer were made when the emergency was over and described what the boyfriend had done in the past.
- Although just a short period of time had passed and the sister was clearly still upset about the boyfriend's attack, the boyfriend was now locked in the back of the police car and no longer posed any danger to the sister, the officer, or anyone else.
- Washington, the Supreme Court focused on the question of whether the primary purpose of each interrogation was to enable police assistance to meet an ongoing emergency.
- Here, the facts indicate that the emergency was resolved by the time the sister made her statement.

Conclusion: However, if either statement were admitted for a non-truth purpose (e.g., to prove the caller's or the sister's state of mind), it would not be barred by the Confrontation Clause.

Question call(s): a) The caller's statements to the police dispatcher are inadmissible hearsay. b) Admission of the caller's statements to the police dispatcher would violate the boyfriend's constitutional rights. c) The officer's testimony repeating the sister's statements is inadmissible hearsay. d) Admission of the officer's testimony repeating the sister's statements would violate the boyfriend's constitutional rights.

July 2014 — Question 5

Primary source subject: Evidence

Question summary: This question involves A prison inmate has filed a civil rights lawsuit against a guard at the prison, alleging that the guard violated the inmate's constitutional rights during an altercation. The inmate and the guard are the only witnesses to this altercation. The core dispute asks What evidence, if any, proffered by the guard to impeach the inmate should be admitted? Explain. 2. What evidence, if any, proffered by the inmate to impeach the guard should be admitted? Explain. Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Relevant facts to use:

- A prison inmate has filed a civil rights lawsuit against a guard at the prison, alleging that the guard violated the inmate's constitutional rights during an altercation.
- The trial will be before a jury.
- (a) Twelve years ago, the inmate was convicted of felony distribution of marijuana.
- The inmate's counsel objects to the admission of any evidence related to these three convictions and to any cross-examination based on this evidence.

Condensed sample-answer path:

1. Point One (10%) The Federal Rules of Evidence permit impeachment of witnesses with evidence of prior

Short answer: Whether convictions should be admitted to impeach generally depends on the nature of the crime, the amount of time that has passed, and (only in criminal cases) whether the "witness" is the defendant.

Rule(s):

- Under Rule 609(a), evidence of prior convictions may be admitted for the purpose of "attacking a witness's character for truthfulness." Id.
- Pursuant to Rule 609(a)(1), in civil cases, the admission of evidence of a felony conviction is "subject to Rule 403 [which says that a court may exclude relevant evidence if its probative value is substantially outweighed by other factors]." FED.
- However, Rule 403 does not protect the witness against admission of prior convictions involving dishonesty—which must be admitted by the court.

Fact-based analysis:

- Whether convictions should be admitted to impeach generally depends on the nature of the crime, the amount of time that has passed, and (only in criminal cases) whether the "witness" is the defendant.
- 609(a)(1); and (2) convictions "for any crimes regardless of the punishment . . . if the court can readily determine that establishing the elements of the crime required proving—or the witness's admitting—a dishonest act or false statement." FED.
- Finally, Federal Rule of Evidence 609(b) contains the presumption that a conviction that is more than 10 years old, or where more than 10 years has passed since the witness's release from confinement (whichever is later), should not be admitted unless "its probative value, supported by specific facts and circumstances, substantially outweighs its prejudicial effect" and the proponent has provided the adverse party with reasonable written notice.

Conclusion: Finally, Federal Rule of Evidence 609(b) contains the presumption that a conviction that is more than 10 years old, or where more than 10 years has passed since the witness's release from confinement (whichever is later), should not be admitted unless "its probative value, supported by specific facts and circumstances, substantially outweighs its prejudicial effect" and the proponent has provided the adverse party with reasonable written notice.

2. Point One(a) (25%) The court should admit evidence of the inmate's 12-year-old felony marijuana dist

Short answer: The inmate's conviction for marijuana distribution was for a felony punishable by imprisonment for more than one year.

Rule(s):

- A court is likely to conclude that the inmate's prior felony drug conviction is relevant to his credibility.

Fact-based analysis:

- Moreover, although the conviction was 12 years ago, the 10-year time limit of Rule 609(b) is not exceeded because that time limit runs from the date of either "the witness's conviction or release from confinement for it, whichever is later." FED.
- Because the inmate served three years in prison, he was released from confinement nine years ago.
- However, pursuant to Rule 609(a)(1), the admission of felony convictions to impeach a witness in a civil case is "subject to Rule 403." FED.
- In this case, credibility is very important because the evidence consists primarily of the testimony of the disputing parties and there were no other eyewitnesses to the altercation.

Conclusion: Specifically, any prejudice to the inmate would be slight because the conviction is unrelated to the altercation at issue and the conviction was not for a heinous crime that might inflame the jury. [NOTE: Whether an examinee identifies the jury instruction as containing a "conclusive" or "mandatory" presumption is less important than the examinee's analysis of the constitutional infirmities.]

3. Point One(b) (15%) The court must admit evidence of the inmate’s eight-year-old misdemeanor convicti

Short answer: Rule 609(a)(2) provides that evidence of a criminal conviction “must be admitted if the court can readily determine that establishing the elements of the crime required proving—or the witness’s admitting—a dishonest act or false statement.” FED.

Rule(s):

- Rule 609(a)(2) provides that evidence of a criminal conviction “must be admitted if the court can readily determine that establishing the elements of the crime required proving—or the witness’s admitting—a dishonest act or false statement.” FED.
- This conviction occurred within the past 10 years, so it “must be admitted” because, in contrast to Rule 609(a)(1) (discussed in Point One(a)), admission under Rule 609(a)(2) is mandatory and not subject to Rule 403.

Conclusion: The inmate’s conviction for perjury would have necessarily required proving that the inmate engaged in an act of dishonesty.

4. Point One(c) (20%) The court should exclude evidence of the inmate’s seven-year-old felony sexual as

Short answer: The inmate’s conviction for felony sexual assault was seven years ago, and he has not yet been released from incarceration, so Rule 609(a) but not 609(b) is applicable here.

Rule(s):

- The inmate’s conviction for felony sexual assault was seven years ago, and he has not yet been released from incarceration, so Rule 609(a) but not 609(b) is applicable here.
- FED.

Fact-based analysis:

- Thus, the court should exclude evidence of the conviction because it was for a heinous offense that is likely to inflame the jury and it has little bearing on credibility.

Conclusion: However, because evidence of the inmate’s prior convictions can be admitted solely for the purpose of enabling the jury to assess his credibility and because his two earlier convictions should have already been admitted, the court should exclude all evidence of the felony sexual assault conviction.

5. Point Two(a) (15%) The court should permit the inmate’s counsel to cross-examine the guard regarding

Short answer: The inmate wishes to cross-examine the guard about his prior dishonest behavior—lying on his résumé—that did not involve a criminal conviction.

Rule(s):

- Rule 608(b) allows witnesses to be crossexamined about specific instances of prior non-conviction misconduct probative of untruthfulness “in order to attack . . . the witness’s character for truthfulness.” FED.
- The court may also consider it fair to permit this cross-examination of the guard on these matters, assuming that one or more of the inmate’s prior convictions have been admitted to impeach his credibility.

Fact-based analysis:

- Here, the guard’s false statement on his résumé that he obtained a degree in Criminal Justice is highly probative of his untruthfulness because it grossly misrepresents his actual academic record, was made recently, and was made with the intent to deceive.

- Because the probative value of this evidence is very strong and is not substantially outweighed by any Rule 403 concerns, cross-examination of the guard on this topic should be permitted.

Conclusion: Because the probative value of this evidence is very strong and is not substantially outweighed by any Rule 403 concerns, cross-examination of the guard on this topic should be permitted.

6. Point Two(b) (15%) The court should exclude extrinsic evidence of the guard's non-conviction miscond

Short answer: Although Rule 608(b) allows cross-examination about specific instances of prior misconduct probative of untruthfulness, "extrinsic evidence" offered to prove such misconduct is not admissible.

Rule(s):

- Here, the inmate's counsel may cross-examine the guard about the false statement on his résumé.
- However, the inmate's counsel must accept the guard's response.

Conclusion: The rationale for this rule is that allowing the introduction of extrinsic evidence of prior misconduct by witnesses, when these acts are relevant only to the witnesses' truthfulness and not to the main issues in the case, would create too great a risk of confusing the jury and unduly delaying the trial.

Question call(s): 1. What evidence, if any, proffered by the guard to impeach the inmate should be admitted? Explain. | 2. What evidence, if any, proffered by the inmate to impeach the guard should be admitted? Explain.

February 2016 — Question 2

Primary source subject: Evidence

Question summary: This question involves A victim had just walked out of a jewelry store carrying a package containing a diamond bracelet when someone grabbed him from behind, put a gun to his back, and demanded the package. The victim handed the package over his shoulder to the robber. The core dispute asks A victim had just walked out of a jewelry store carrying a package containing a diamond bracelet when someone grabbed him from behind, put a gun to his back, and demanded the package. The victim handed the package over his shoulder to the... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- ANALYSIS
- (a) Is a witness's out-of-court description of a robber provided to the police just minutes after viewing the robbery inadmissible hearsay?
- (b) Does admission of a nontestifying witness's out-of-court statement, provided in response to police questioning just minutes after viewing the crime, violate the Confrontation Clause of the Sixth Amendment?
- Is an out-of-court vocal identification of a defendant inadmissible hearsay?
- Can the prosecutor introduce testimony that a criminal defendant was a known drug dealer who had been hanging around for six months constantly causing trouble? Summary

Relevant facts to use:

- A victim had just walked out of a jewelry store carrying a package containing a diamond bracelet when someone grabbed him from behind, put a gun to his back, and demanded the package.

- Answer: He's a known drug dealer who had been hanging around in the area where the jewelry store is located for six months before the robbery, constantly causing trouble.

Condensed sample-answer path:

1. Point One(a) (35%)

Short answer: The witness's description of the robber is hearsay.

Rule(s):

- The witness's description of the robber is hearsay.
- Thus, the witness's statement is inadmissible hear- say, unless it falls within a hearsay exception.
- The witness's out-of-court statement falls within two hearsay exceptions.

Fact-based analysis:

- The police officer's testimony repeating that out-of-court statement was properly admitted because the statement was a present sense impression or an excited utterance.
- The witness's description of the robber is an out-of-court statement.
- This statement was offered at trial to prove the truth of the matter asserted in the statement—that the person who perpetrated the crime matched the witness's description.
- Both exceptions apply regardless of whether the witness (the declarant) is available to testify at trial.

Conclusion: Because the witness was not available to testify and the defendant had no prior opportunity to cross-examine the witness, if the statement were deemed testimonial, its admission would violate the Confrontation Clause.

2. Point Two (20%)

Short answer: The victim's statement "That's the voice of the guy who robbed me" is admissible as an out-ofcourt statement of identification.

Rule(s):

- The victim's statement "That's the voice of the guy who robbed me" is admissible as an out-ofcourt statement of identification.
- Nonetheless, "[a] statement . . . is not hearsay [when] [t]he declarant testifies and is subject to cross-examination about a prior statement, and the statement . . . identifies a person as someone the declarant perceived earlier." FED.
- The victim's statement is not hearsay under the rules, so it need not fit any of the hearsay exceptions to be admissible.

Fact-based analysis:

- Lay witness voice identification based on prior familiarity with a voice is typically admissible unless it has been tainted by impermissibly suggestive questioning or investigative procedures.
- Here, because the victim testified at trial and could have been recalled and cross-examined concerning his out-of-court statement, the statement was correctly admitted under Rule 801(d)(1)(C) as a statement of identification.
- Point Three (25%) The police officer's testimony that the defendant was a "known drug dealer who had been hanging around in the area where the jewelry store is located for six months before the robbery, constantly causing trouble" is inadmissible character evidence.

- In relevant part, Federal Rule of Evidence 404(a)(1) provides that “[e]vidence of a person’s character or a character trait is not admissible to prove that on a particular occasion the person acted in accordance with the character or trait.” Here, the only apparent purpose of the police officer’s testimony is to impugn the defendant’s character and suggest that he is the sort of person who would commit a robbery.

Conclusion: The testimony is not admissible under Federal Rule of Evidence 404(b)(2), which provides that evidence of crimes, wrongs, or other acts “may be admissible for another [non-propensity] purpose, such as proving motive, opportunity, intent, preparation, plan, knowledge, identity, absence of mistake, or lack of accident.” It is unlikely that the police officer’s vague reference to the defendant’s “constantly causing trouble” would be considered evidence of other crimes, wrongs, or acts under Rule 404(b).

July 2016 — Question 2

Primary source subject: Evidence/Criminal Law & Procedure

Question summary: This question involves A defendant was tried before a jury for a robbery that had occurred at Jo-Jo’s Bar on November 30. At trial, the prosecutor called the police officer who had investigated the crime. The core dispute asks Defense counsel objected to the admission of this testimony as well. The court overruled the objection. The defendant’s trial for robbery was held in a jurisdiction that has adopted all of the Federal Rules of Evidence. Were the following... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- Did the admission of the officer’s testimony that the defendant started crying violate the defendant’s Miranda rights? Was this evidence inadmissible hearsay?
- Was the officer properly permitted to read her handwritten notes to the jury?
- Were the officer’s notes properly received into evidence as an exhibit?
- Did the admission of the officer’s testimony recounting the defendant’s statement “I have some information that can really help you with this case” violate the defendant’s Miranda rights? Was this evidence inadmissible hearsay?
- Did the admission of the officer’s testimony recounting the defendant’s statement “I was there on November 30 and saw the robbery, but I had nothing to do with it” violate the defendant’s Miranda rights? Was this evidence inadmissible hearsay?

Relevant facts to use:

- A defendant was tried before a jury for a robbery that had occurred at Jo-Jo’s Bar on November 30.
- Prosecutor: After reviewing your notes, do you remember the events of December 1?
- Officer: No, but I do remember making these notes the day after I spoke with the defendant.
- Officer: Following my discovery of additional evidence implicating the defendant in the robbery, I arrested him on December 20.

Condensed sample-answer path:

1. Point Four (25%)

Short answer: The admission of the officer's testimony recounting the defendant's statement "I have some information that can really help you with this case" did not violate the defendant's Miranda rights because the defendant initiated communication with the officer.

Rule(s):

- This testimony also is not hearsay because it is an opposing-party statement.
- However, if a custodial suspect who has invoked his right to counsel initiates post-invocation communication with the police, the suspect's subsequent statements may be admissible.
- Finally, although the defendant's statement was made out of court because it was made by the defendant and offered by the prosecutor against the defendant, it is an opposing-party statement and not considered hearsay.

Fact-based analysis:

- The admission of the officer's testimony recounting the defendant's statement "I have some information that can really help you with this case" did not violate the defendant's Miranda rights because the defendant initiated communication with the officer.
- The trial court properly permitted the officer to testify recounting the defendant's statement "I have some information that can really help you with this case." On December 1, the officer provided the defendant with Miranda warnings and the defendant invoked his right to counsel by stating, "Get me a lawyer." After the defendant's invocation of his right to counsel, the officer was required to cease the interrogation.
- Here, the officer immediately stopped the interrogation.
- Although a suspect's questions/comments "relating to routine incidents of the custodial relationship" will not be treated as initiation of communication with the police, Oregon v.

Conclusion: Bradshaw, 462 s to speak to the police about matters relating to the investigation will be treated as initiation of communication.

Question call(s): 1. Admitting the officer's testimony that the defendant started crying. Explain. | 2. Permitting the officer to read her handwritten notes to the jury. Explain. | 3. Admitting the officer's handwritten notes into evidence as an exhibit. Explain.

July 2017 — Question 5

Primary source subject: Evidence/Criminal Law & Procedure

Question summary: This question involves A woman is on trial for the attempted murder of a man whom she shot with a handgun on March 1. According to a State A police report: The woman started dating the man in August. The core dispute asks Is that a weapon?" At 10:20 p.m., after the woman had been arrested and the man taken to the hospital, a custodian told the police officer, "I didn't see the shooting, but I heard some noises in the hall around 10 and then a loud bang and... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- ANALYSIS

- Is a victim’s out-of-court statement admissible when offered not to prove the truth of the matter asserted in the statement, but solely because it is relevant to prove the criminal defendant’s reasonable fear of the victim?
- (a) Does admission of a criminal defendant’s out-of-court statement to a police officer, taken during custodial interrogation and without Miranda warnings or a waiver of Miranda rights by the defendant, fit the well-established Miranda public safety exception when the police officer asked a single question to secure weapons immediately after a shooting?
- (b) Is a criminal defendant’s out-of-court statement offered by the prosecution admissible as an opposing party’s statement because it is not hearsay?
- Under what circumstances is a witness’s out-of-court statement admissible under the present-sense-impression or excited-utterance exceptions to the hearsay rule? Summary
- . Although the man’s statement was made outside of court, it would not be hearsay if offered to prove the woman’s reasonable fear. The Federal Rules of Evidence define hearsay as “a statement that

Relevant facts to use:

- A woman is on trial for the attempted murder of a man whom she shot with a handgun on March 1.
- Under the Miranda doctrine and the rules of evidence, explain how the court should rule on the admissibility of the following evidence: 1.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: The court should admit testimony from the woman repeating the man’s out-of-court statement to the woman (“I promise you’ll be happy if you take me back, but very unhappy if you do not.”) The statement is relevant to her self-defense claim because it helps prove that the woman had a reasonable fear of the man on the night of the shooting.

Rule(s):

- The statement is not hearsay because it would not be offered by the defense to prove the truth of the matter asserted in the statement, and the woman’s beliefs are relevant to assessing the reasonableness of her fear of the man.
- Finally, the woman’s statement is not hearsay when offered by the prosecution because it is an opposing party’s statement.
- It is hearsay, but it may fit the hearsay exception for present sense impressions.

Fact-based analysis:

- The court should admit testimony from the woman repeating the man’s out-of-court statement to the woman (“I promise you’ll be happy if you take me back, but very unhappy if you do not.”) The statement is relevant to her self-defense claim because it helps prove that the woman had a reasonable fear of the man on the night of the shooting.
- The court should also admit testimony from the police officer repeating the woman’s statement to the police officer (“I have a can of pepper spray in my purse.
- Her statement to the police officer is relevant because it could help the prosecution prove that, when the woman shot the man rather than using her pepper spray, she used greater force than was necessary under the circumstances.
- Here, the single question was limited to weapons and the police officer’s objective was to secure the scene and ensure public safety.

Conclusion: If this statement is offered for these purposes, it is hearsay; but it should be admitted because it fits within at least one hearsay exception.

July 2018 — Question 5

Primary source subject: Evidence

Question summary: This question involves A woman has sued a man for injuries she received in an automobile collision at a suburban traffic circle in State A on January 1. Both drivers were driving alone, there were no other witnesses, and a forensic accident investigation failed to determine which of the two drivers was at fault. The core dispute asks Is the mechanic's testimony admissible? Explain. 2. Is the invoice for the new parts for the woman's truck brakes admissible? Explain. 3. Is the doctor's testimony admissible? Explain. 4. Is the roommate's testimony admissible? Explain. Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- ANALYSIS
- Is a mechanic's testimony describing his opinion of the condition of truck brakes that he has inspected admissible evidence?
- Is an invoice for truck brake parts an admissible business record when it was apparently made by a person with knowledge of its contents and retained in the ordinary course of business?
- (a) May a patient assert the physician-patient privilege to bar admission of a physician's trial testimony if the patient has placed her medical condition in issue by filing a personal injury lawsuit?
- (b) Is a patient's out-of-court statement regarding pre-existing pain admissible as a statement by an opposing party when the patient is the plaintiff in a personal injury lawsuit or admissible under the hearsay exception for statements made for the purpose of medical diagnosis or treatment?
- Is the roommate's testimony admissible habit evidence? Summary

Relevant facts to use:

- A woman has sued a man for injuries she received in an automobile collision at a suburban traffic circle in State A on January 1.
- State A has adopted evidence rules identical to the Federal Rules of Evidence.

Condensed sample-answer path:

1. Point Three(a) (15%) The doctor's proposed testimony is relevant to the cause of the woman's neck pa

Short answer: In the alternative, the woman's statement, which describes the onset and nature of her neck pain, describes her "medical history" and provides information about her "past or present symptoms or sensations; their inception; or their general cause." Evid.

Rule(s):

- Under these circumstances, the woman's statement is also admissible under the hearsay exception for statements made for medical diagnosis or treatment.
- Point Four (25%) The court may admit testimony by the roommate if it decides that the man's constant texting is a habit.

- A court might rule either way.

Fact-based analysis:

- In the alternative, the woman's statement, which describes the onset and nature of her neck pain, describes her "medical history" and provides information about her "past or present symptoms or sensations; their inception; or their general cause." Evid.
- The roommate's testimony ("[The man] is addicted to texting and never puts his phone down.
- He even texts while driving.") is relevant because it has some tendency to make it more probable that the man was texting at the time of the accident.
- Because "habit" evidence can run afoul of the bans on character evidence and prior bad acts evidence, courts generally limit habit evidence to proof of relevant behaviors that are not just consistent but semi-automatic.

Conclusion: According to the advisory committee notes to Rule 406, a habit "is the person's regular practice of meeting a particular kind of situation with a specific type of conduct." The roommate would testify that texting is the man's constant and consistent practice.

February 2020 — Question 6

Primary source subject: Evidence/Criminal Law

Question summary: This question involves A man and a woman were waiting in line at a public park for tickets to attend an outdoor performance of a play. They soon began arguing about sports, and as their conversation became more animated, the man began shouting at the woman and poking her shoulder with his finger. The core dispute asks What portions of the eyewitness's testimony, if any, would be admissible? Explain. 3. What portions, if any, of the defense counsel's cross-examination should the court permit? Explain. Do not discuss any constitutional issues. Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- Under the common law, what affirmative defenses to battery are available to the woman?
- (a) If the eyewitness testifies, should the judge permit the eyewitness to repeat out-ofcourt statements made by an unavailable witness (the friend) and to describe the woman's nonverbal responses (nodding her head and giving a thumbs-up signal)?
- (b) If the eyewitness testifies, should the judge permit the eyewitness to testify that she has seen the woman frequently and that the woman is always "arguing with people, acting out, and generally causing problems"?
- (a) If the eyewitness testifies, should the judge permit cross-examination about the eyewitness's five-year-old shoplifting conviction?
- (b) If the eyewitness testifies, should the judge permit cross-examination about a letter from the eyewitness to the man?
- the man's shouting and poking her in the shoulder with his finger caused her to have a reasonable belief that she was in imminent danger of unlawful bodily harm from the man and

Relevant facts to use:

- A man and a woman were waiting in line at a public park for tickets to attend an outdoor performance of a play.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary On these facts, under the common law, the woman may be able to establish that she acted in selfdefense.

Rule(s):

- Summary On these facts, under the common law, the woman may be able to establish that she acted in selfdefense.
- 801(d)(2)(B), or (2) under the hearsay exception for statements of intent, see Evid.
- The eyewitness's testimony that the woman frequently argues with people, acts out, and generally causes problems is inadmissible character evidence.

Fact-based analysis:

- This affirmative defense will succeed if the woman can prove that (1) the man's shouting and poking her in the shoulder with his finger caused her to have a reasonable belief that she was in imminent danger of unlawful bodily harm from the man and (2) her punching him in the nose was the amount of force reasonably necessary to prevent such harm.
- Testimony from the eyewitness recounting the friend's out-of-court statement to the woman and the woman's nonverbal responses is relevant because it makes the woman's self-defense claim less probable.
- The friend's statement is nonhearsay because it is offered for the purpose of providing context for the woman's assertive conduct.
- Testimony describing the woman's assertive conduct, if it is offered to prove the truth of the matter asserted, should be admitted either (1) as a nonhearsay opposing party's adopted statement, see Evid.

Conclusion: 1992) ("As [the statements] were not being offered for the truth of the matter asserted, they were not hearsay in any respect."). [NOTE: Defense counsel would not be using the letter to establish the eyewitness's general propensity for lying, so Rule 608(b)'s prohibition on the admission of extrinsic propensity impeachment evidence would not apply.

July 2020 — Question 1

Primary source subject: Evidence

Question summary: This question involves A woman brought a tort action against a trucking company in a federal district court in State A one month after a traffic accident in State A. The woman had been driving a car that collided with a truck owned by the trucking company and driven by one of its employees. The core dispute asks A woman brought a tort action against a trucking company in a federal district court in State A one month after a traffic accident in State A. The woman had been driving a car that collided with a truck owned by the trucking company and... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- In a tort action alleging negligence by a company employee, should a court exclude evidence that a defendant company fired the allegedly negligent employee one day after conducting an internal accident investigation?

- (a) What evidence should a court require to authenticate a handwritten letter purportedly written by an unavailable person?
- (b) If a writing (i.e., the letter) has been authenticated, but the original hard copy has been lost, should a court find an unaltered cell-phone photograph of the writing admissible under the "best evidence" rule?
- (c) If a writing (i.e., the letter) is authenticated and satisfies the "best evidence" rule, should hearsay statements contained therein be admitted as statements against interest by an unavailable declarant?
- Does the physician-patient privilege prevent a doctor from testifying about the condition and treatment of a patient now unavailable for trial if the patient voluntarily disclosed his own relevant medical information to a person injured in an accident, prior to the onset of litigation?
- it cannot be authenticated,

Relevant facts to use:

- A woman brought a tort action against a trucking company in a federal district court in State A one month after a traffic accident in State A.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary As to the evidence of the trucking company's investigation of the accident and firing of the truck driver, the trucking company could plausibly object to the admission of this evidence because the investigation and firing were subsequent remedial measures taken by the defendant and are inadmissible under FRE 407.

Rule(s):

- The defense could plausibly object to admission of the truck driver's letter based on the following arguments: (1) it cannot be authenticated, (2) the photograph of the letter does not satisfy the best evidence rule, and (3) the letter itself is hearsay.
- The woman's attorney should respond as follows: (1) the cell-phone photograph of the handwritten letter can likely be authenticated through testimony from any lay or expert witness who can identify the truck driver's handwriting; (2) although the original (hard copy) letter has been lost, the unaltered cell-phone photograph satisfies the best evidence rule; and (3) although the letter is hearsay, it should be admitted under FRE 804(b)(3) as a statement against interest by an unavailable declarant.
- Point One (15%) In a case alleging negligence by a company employee, a court should exclude evidence that a defendant company fired the allegedly negligent employee one day after conducting an internal accident investigation because the investigation and firing are "subsequent remedial measures" under FRE 407.

Fact-based analysis:

- Summary As to the evidence of the trucking company's investigation of the accident and firing of the truck driver, the trucking company could plausibly object to the admission of this evidence because the investigation and firing were subsequent remedial measures taken by the defendant and are inadmissible under FRE 407.
- However, the court could admit the doctor's testimony based on a specific finding that the truck driver's voluntary disclosure of his use of pain pills in the letter to the woman effected an implied waiver of the physician-patient privilege limited to this relevant medical information.
- Here, proof that the defendant company immediately investigated the accident and one day later fired the truck driver is relevant only insofar as it suggests that, at the time of the accident, the truck driver acted in a culpable or negligent fashion.

- 2011), the court found evidence regarding a bus driver's termination following an accident with a pedestrian inadmissible as a subsequent remedial measure.

Conclusion: However, a court adopting this view would limit the scope of the doctor's testimony to the relevant medical information (the pain pills).

July 2022 — Question 1

Primary source subject: Evidence

Question summary: This question involves Four months ago, Victim was shot and seriously wounded in City. Defendant has been charged with attempted murder. The core dispute asks Four months ago, Victim was shot and seriously wounded in City. Defendant has been charged with attempted murder. The prosecution's theory is that Victim and Defendant were both members of a criminal street gang called "The Lions," which... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- Is the detective properly qualified as an expert, and if so, is his anticipated testimony properly admitted as expert testimony?
- Is the photograph of Defendant's tattoo and the former gang leader's anticipated testimony about the tattoo inadmissible character evidence or admissible non-character, other act evidence?
- Is Victim's anticipated testimony describing his dispute with a gang boss and the boss's head nod to Defendant relevant to Defendant's motive, intent, and/or identity?
- the detective is qualified as an expert witness,
- the detective's testimony will be helpful to the jury,
- the detective's testimony will be based on sufficient facts, and

Relevant facts to use:

- Four months ago, Victim was shot and seriously wounded in City.
- (C) Testimony by Victim, who is expected to testify for the prosecution in part as follows: I got into an argument with a gang boss at a meeting of The Lions.

Condensed sample-answer path:

1. Point One (35%) Defense counsel's objection should be overruled and the detective's testimony should

Short answer: Fourth, under subsections (c) and (d), the detective will reliably apply reliable principles and methods to the facts of the case.

Rule(s):

- "If the witness is relying solely or primarily on experience, then the witness must explain how that experience leads to the conclusion reached, why that experience is a sufficient basis for the opinion, and how that experience is reliably applied to the facts." Evid., 702 Advisory Comm.
- Courts have found that this type of explanation is sufficient to satisfy subsections (c) and (d).

- Point Two (35%) The photograph of Defendant's tattoo and testimony about it is inadmissible if offered as propensity character evidence but may be admissible to prove Defendant's membership in the gang and motive to harm its enemies.

Fact-based analysis:

- Here, the detective will explain how his experience as a detective and corrections officer leads to the detective's conclusions about gang identification, organization, and activities.
- The second issue is whether the photograph of Defendant's tattoo and the former gang leader's testimony about it is admissible to establish that Defendant was a member of The Lions gang.
- Conversely, Rule 404(b)(2) states that evidence of other crimes, wrongs, or acts "may be admissible for another purpose, such as proving motive, opportunity, intent, preparation, plan, knowledge, identity, absence of mistake, or lack of accident." Courts have held that evidence of a defendant's gang tattoos to establish the defendant's membership in a gang is admissible under Rule 404(b)(2) and Rule 403 to show that the defendant was the member of a joint venture or conspiracy (the gang).
- If the prosecution offers the tattoo as "other act" evidence under Rule 404(b)(2) to prove Defendant's membership in a particular gang (The Lions), as explained through the former gang leader's trial testimony, such evidence would help to establish Defendant's potential motive as a result of his role in the gang (see Point Three), and his identity as the shooter.

Conclusion: Thus, examinees should not receive credit for discussion of the hearsay issue.]

February 2023 — Question 6

Primary source subject: Evidence

Question summary: This question involves A woman (Plaintiff) has filed a civil action in the federal district court for State A against her former landlord (Defendant) seeking damages under State A law for invasion of privacy, which in State A requires a finding of intent. The federal court has diversity jurisdiction over the suit and... The core dispute asks A woman (Plaintiff) has filed a civil action in the federal district court for State A against her former landlord (Defendant) seeking damages under State A law for invasion of privacy, which in State A requires a finding of intent. The... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- Are admissions made by a defendant during a guilty plea proceeding admissible in a later civil case concerning the same matter when the defendant ultimately withdrew his guilty plea?
- (a) In a civil action accusing a defendant of invasion of privacy, is evidence that the defendant committed a different invasion relevant and admissible?
- (b) Is relevant deposition testimony admissible when the witness who gave the deposition refuses to testify at trial and is beyond the court's subpoena power?
- Can a plaintiff who testifies as a witness at trial be impeached by proof that she committed prior dishonest actions?
- . A declarant's hearsay statement can be admitted under the former-testimony exception if three requirements are satisfied. First, the declarant must be "unavailable as a witness" in the trial or proceeding at which the hearsay statement will be used. Evid. 804(a). Second, the statement must be in the form of "testimony that was given as a witness at a trial, hearing, or lawful deposition." Evid. 804(b)

- . Third, the evidence must be offered against a party who "had . . . an opportunity and similar motive to develop it by direct, cross-, or redirect examination." Id. All three requirements are met here. First, a witness is unavailable when the witness "is absent from the trial or hearing" and the proponent of the witness's statement "has not been able, by process or other reasonable means, to procure the declarant's attendance." Evid. 804(a)

Relevant facts to use:

- A woman (Plaintiff) has filed a civil action in the federal district court for State A against her former landlord (Defendant) seeking damages under State A law for invasion of privacy, which in State A requires a finding of intent.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Because this action is in a federal district court, the Federal Rules of Evidence apply.

Rule(s):

- Although the testimony is hearsay, it is admissible under the hearsay exception for former testimony because the man is unavailable as a witness and Defendant had an opportunity and motive to examine the man at his deposition.
- Even if Plaintiff's prior dishonest actions are probative of Plaintiff's character for untruthfulness, Defendant may not introduce extrinsic evidence to prove those prior actions.
- Prior bad acts showing a character for untruthfulness may, however, be inquired about on cross-examination of Plaintiff.

Fact-based analysis:

- Defendant's admissions at the plea proceeding are inadmissible because Defendant subsequently withdrew his guilty plea.
- The man's deposition testimony that Defendant watched him under circumstances similar to those alleged by Plaintiff is relevant and admissible evidence to prove either Defendant's knowledge or his intent (or both).
- Point One (25%) Defendant's admissions at the guilty plea proceeding are inadmissible because Defendant subsequently withdrew his guilty plea.
- Defendant, the Plaintiff's former landlord, admitted in open court that he knew about the hole in the wall and repeatedly used it to spy on Plaintiff while she was dressing.

Conclusion: Both the fact that Plaintiff would represent work that was done by someone else as her own work and the fact that she would lie about that on a high-stakes application suggest that she has a tendency to be untruthful.

Question call(s): How should the court rule on the motion to exclude each of the following? 1. The admissions of Defendant made in connection with the guilty plea he later withdrew. Explain. 2. The deposition testimony of the man who stated that Defendant watched him under similar circumstances to those alleged by Plaintiff. Explain. 3. Evidence that Plaintiff plagiarized her senior thesis in college and lied about it on her graduate school application. Explain.

February 2024 — Question 3

Primary source subject: Evidence

Question summary: This question involves Cara filed a civil suit against Dana, her former coworker, alleging that Dana had stolen Cara's cell phone from her locker at a gym. The jurisdiction has adopted rules of evidence that are identical to the Federal Rules of Evidence. The core dispute asks Cara filed a civil suit against Dana, her former coworker, alleging that Dana had stolen Cara's cell phone from her locker at a gym. The jurisdiction has adopted rules of evidence that are identical to the Federal Rules of Evidence. At... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- Whether the trial court erred in not giving Dana an opportunity to be heard before it took judicial notice of the weather on October 18.
- Whether the trial court erred when it took judicial notice of the weather on October 18.
- Whether the trial court erred when it allowed Dana to testify that Cara was "careless," despite the general prohibition on the admission of character evidence and the limited use of other acts evidence.
- Whether the trial court erred when it allowed Dana to testify that Cara would often misplace or forget her cell phone at work, despite the general prohibition on the admission of character evidence and the limited use of other acts evidence.
- and (a)
- set forth several exceptions to this general prohibition, none of them are applicable here. Thus, the court erred in allowing Dana to testify that Cara was "careless." The court also likely erred in allowing Dana to testify that Cara would misplace or forget her cell phone at work. Though this testimony is not the typical type of character evidence that is prohibited, it describes specific other acts or behavior by Cara and relies on propensity or character-based reasoning and thus is inadmissible as "other acts" evidence pursuant to Rule 404(b)

Relevant facts to use:

- Cara filed a civil suit against Dana, her former coworker, alleging that Dana had stolen Cara's cell phone from her locker at a gym.
- 1.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Federal Rule of Evidence 201 is the sole rule governing judicial notice and applies only to adjudicative facts, i.e., facts at issue in a case.

Rule(s):

- If a party requests that a court take judicial notice of an adjudicative fact and provides the court with the necessary information, the court must take judicial notice if the fact is not subject to reasonable dispute.
- However, the adverse party must be given an opportunity to be heard on whether to take judicial notice of an adjudicative fact, either before or after the proponent's request.
- Federal Rule of Evidence 404 regulates the admissibility and use of character evidence.

Fact-based analysis:

- Here, the trial court erred when it did not permit Dana to be heard on the propriety of taking judicial notice and on the nature of the facts to be noticed.
- Here, Dana's testimony that Cara was "careless" is the precise type of character evidence that the rule prohibits.

- Thus, the court erred in allowing Dana to testify that Cara was "careless." The court also likely erred in allowing Dana to testify that Cara would misplace or forget her cell phone at work.
- Because the weather on October 18 is an adjudicative fact, whether the court can take judicial notice of the fact is governed by Rule 201. [NOTE: Adjudicative facts are distinguished from legislative facts which Rule 201 does not govern.

Conclusion: 14, 2015) ("The testimony that Plaintiff ‘knew too much’ and, thus, got careless in his job is precisely the type of character evidence rendered inadmissible by Rule 404(a).").

Question call(s): 1. Did the trial court err by denying Dana an opportunity to be heard before it took judicial notice of the weather on October 18? Explain. 2. Assuming that the trial court did not err by denying Dana an opportunity to be heard, did the trial court err by taking judicial notice of the weather on October 18? Explain. 3. Was Dana's testimony that Cara was "careless" inadmissible character evidence? Explain. 4. Was Dana's testimony that Cara often misplaced or forgot her cell phone inadmissible character evidence? Explain.

February 2025 — Question 5

Primary source subject: Evidence

Question summary: This question involves Based on the following facts, David has been charged with knowingly obtaining money under the control of a financial institution (Bank) by means of false or fraudulent representations. David entered Bank on April 18, 2024. The core dispute asks Based on the following facts, David has been charged with knowingly obtaining money under the control of a financial institution (Bank) by means of false or fraudulent representations. David entered Bank on April 18, 2024. After stopping... Main issues tested include relevance, Rule 403, character evidence, hearsay, impeachment, expert and lay testimony, authentication, and privileges.

Issues tested:

- The admissibility of the following evidence:
- Bank's original video recording of its lobby, counters, and tellers from April 18, 2024, in which David appears.
- The testimony of Bank's investigator as to Customer’s oral complaint.
- The written report by the investigator, if the investigator is unable to recall details of the investigation or writing the report.

Relevant facts to use:

- Based on the following facts, David has been charged with knowingly obtaining money under the control of a financial institution (Bank) by means of false or fraudulent representations.
- 1.

Condensed sample-answer path:

1. Point One (30% total weight) The video recording is highly relevant, and the trial court should admi

Short answer: immediately after the complaint was made, which in turn was immediately after the bank withdrawal.

Rule(s):

- Authentication requires only a sufficiency showing, and the investigator need not be the operator of the video or have personally observed the lobby at the time.
- As noted in Point One, only relevant evidence is admissible, and evidence is relevant if "it has any tendency to make a fact of consequence more or less probable than it would be without the evidence." Evid.
- Customer’s complaint should be deemed admissible hearsay.

Fact-based analysis:

- The investigator also worked as a fraud investigator at Bank for 10 years in an office next to Bank's lobby and thus is presumably familiar with the bank’s surveillance systems.
- Accordingly, the investigator should be able to testify with personal knowledge that the video fairly and accurately depicted the (1) Bank's lobby, counters, and teller area as they existed on April 18, 2024, and (2) more specifically, that the video recorded the time period immediately preceding the investigator’s accessing it (i.e., the time period during which David was in the bank).
- Second, in testimony, the investigator would be adopting the video recording to illustrate a place with which the investigator is familiar and of which he has personal knowledge (i.e., Bank's lobby), rather than testifying to the contents of the video recording, and the former does not invoke the original writing rule.
- Here, the question is framed as the admission of the video recording via the investigator’s testimony, and so discussion should focus on the investigator’s ability to authenticate the video rather than certification or selfauthentication.] [NOTE #3: The investigator will not have to prove that the person who appears in the video is David, the defendant.

Conclusion: However, David will have the option to "introduce in evidence any portion that relates to the witness’s testimony." Evid.

Question call(s): 1. Bank’s original video recording of its lobby, counters, and tellers from April 18, 2024, which shows David stopping at the counter in the lobby and interacting with the teller. Explain. 2. The investigator's testimony as to Customer’s oral complaint to the investigator. Explain. 3. The investigator's written report, if the investigator testifies that he is unable to recall both the details of the investigation and writing the report. (Assume that the report is relevant and not admissible as a business record.) Explain.

Real Property

July 2007 — Question 6

Primary source subject: Real Property

Question summary: This question involves MEE Question 6 Owen owned vacant land (Whiteacre) in State B located 500 yards from a lake and bordered by vacant land owned by others. Owen, who lived 50 miles from Whiteacre, used Whiteacre for cutting firewood and for parking his car when he used the lake. The core dispute asks Who is entitled to possession of Whiteacre? Explain. Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- Did Owen convey a fee simple absolute to Abe by the Owen-to- Abe deed?
- Did Abe acquire title to Whiteacre by adverse possession?
- Did Buyer acquire title from Doris that was superior to Abe's title?

Relevant facts to use:

- MEE Question 6
- Owen owned vacant land (Whiteacre) in State B located 500 yards from a lake and bordered by vacant land owned by others.
- Twenty years ago, Owen delivered to Abe a deed that read in its entirety:
- Owen hereby conveys to the grantee by a general warranty deed that parcel of vacant land in State B known as Whiteacre.

Condensed sample-answer path:

1. Point One: Abe did not acquire title to Whiteacre by deed from Owen because that deed failed to spec

Short answer: To be valid, a deed must identify the buyer and the seller, describe the land subject to the conveyance, contain words denoting a present intent to convey, and be signed by the grantor.

Rule(s):

- To be valid, a deed must identify the buyer and the seller, describe the land subject to the conveyance, contain words denoting a present intent to convey, and be signed by the grantor.
- Here, the deed from Owen to Abe read in its entirety: "Owen hereby conveys to the grantee by a general warranty deed that parcel of vacant land in State B known as Whiteacre. [Signature of Owen]." The Owen-to-Abe deed names the seller, describes the land, sets forth a present intent to convey to a grantee, and contains the grantor's signature, but it does not contain the name of the grantee.
- Although some courts have upheld deeds when the grantee's name is missing, these cases involve deeds containing language providing a method for ascertaining the grantee's identity, such as "to the grantor's son" or to the "trustee of a trust." No such language appears here. [NOTE: If an applicant does not know the rule that a deed must name the grantee, the applicant should conclude the Owen-to-Abe deed is valid.

Fact-based analysis:

- Therefore Owen did not effectively convey the land to Abe.

- If the applicant wrongly concludes that deed is valid, then the applicant might either completely skip Point Two, or, in discussing Point Two, conclude that Abe did not acquire a title by adverse possession because Abe's possession was not hostile.]

Conclusion: Although some courts have upheld deeds when the grantee's name is missing, these cases involve deeds containing language providing a method for ascertaining the grantee's identity, such as "to the grantor's son" or to the "trustee of a trust." No such language appears here. [NOTE: If an applicant does not know the rule that a deed must name the grantee, the applicant should conclude the Owen-to-Abe deed is valid.

2. Point Two: Abe may succeed in establishing that he acquired title to Whiteacre by adverse possession

Short answer: An individual may acquire title to land by adverse possession.

Rule(s):

- An individual may acquire title to land by adverse possession.
- To do so, the claimant must show that he entered the land and remained in actual possession that was open, continuous, exclusive, and under claim of right during the entire period in which the record owner (here, Owen) had a cause of action for possession.
- Id. at n.7.) The possessor need not possess the land to its highest and best use; the possession must be consistent with how a true owner would have possessed the land.

Fact-based analysis:

- In State B, a cause of action for possession is available for ten years after a possessor's entry.
- Lastly, his claim of right or hostility is evidenced by his entry under an invalid deed.
- It is irrelevant that he thought he was there rightfully under a valid deed because, in fact, the deed was invalid, and Owen could have ejected him at any time during the 10-year statutory period.
- Abe's acts of possession endured for eleven years, one year more than required to acquire a title by adverse possession in State B.

Conclusion: The fact that Abe did not build structures on the land, fence it, or post no-trespassing signs should not adversely affect his claim given that Owen, the previous owner, appears to have acted in the same way. [NOTE: An applicant's conclusion is less important than his or her demonstrated mastery of the relevant legal principles and ability to utilize the facts.]

3. Point Three: If Abe acquired title to Whiteacre by adverse possession, his claim to possession is go

Short answer: If Abe acquired title by adverse possession, that title is as good as a title traceable to a prior record owner; it is not lost because he allowed the property to go unoccupied.

Rule(s):

- If Abe acquired title by adverse possession, that title is as good as a title traceable to a prior record owner; it is not lost because he allowed the property to go unoccupied.
- Under the statute, a subsequent bona fide purchaser prevails against a prior donee or purchaser if the purchaser acquired the property without knowledge of the interest of the prior donee or purchaser.
- Courts have thus held that title acquired by adverse possession cannot be defeated by a later conveyance from the prior record title owner even if the land is vacant at the time the buyer purchases the land.

Fact-based analysis:

- Thus if Abe acquired title by adverse possession (see Point Two), he is entitled to recover possession from Buyer.

- The State B recording statute does not alter this result.
- If Abe did not acquire title by adverse possession, then Buyer acquired title to the property from Doris, Owen's successor-in-interest.
- In that case, Buyer is entitled to possession because, given Abe's absence at the time Buyer purchased the property, Buyer had no actual or constructive notice of Abe's interest in the land.

Conclusion: Courts have thus held that title acquired by adverse possession cannot be defeated by a later conveyance from the prior record title owner even if the land is vacant at the time the buyer purchases the land.

Question call(s): 1. Actions to recover possession of real property shall be brought within ten years after the cause of action accrues. | 2. No conveyance or mortgage of real property shall be good against subsequent purchasers for value and without notice unless the same be recorded according to law. | Who is entitled to possession of Whiteacre? Explain.

July 2008 — Question 4

Primary source subject: Real Property

Question summary: This question involves MEE Question 4 Two years ago, Landlord and Tenant entered into a five-year oral lease of an office at $800 per month, payable on the first day of each month. The lease was silent regarding Tenant's right to assign or sublet the office. The core dispute asks What type of tenancy did the oral lease agreement between Landlord and Tenant create? Explain. 2. Did Tenant properly terminate the tenancy? Explain. 3. Is Landlord entitled to collect $800 from Tenant? Explain. Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- What type of tenancy did the oral lease between Landlord and Tenant create?
- Did Tenant properly terminate the tenancy?
- Is Landlord entitled to collect $800 from Tenant?

Relevant facts to use:

- MEE Question 4
- Two years ago, Landlord and Tenant entered into a five-year oral lease of an office at $800 per month, payable on the first day of each month.
- Three weeks ago, Tenant called Landlord, gave two weeks' notice of lease termination, and said that she planned to move out of state permanently.
- Tenant told Landlord that Friend had agreed to take over the office space for the balance of the five-year lease.

Condensed sample-answer path:

1. Point One: The oral five-year lease between Landlord and Tenant violated the Statute of Frauds. Beca

Short answer: Most states have enacted a Statute of Frauds that requires leases of more than one year (in some states, three years) to be in writing.

Rule(s):

- Most states have enacted a Statute of Frauds that requires leases of more than one year (in some states, three years) to be in writing.
- A lease subject to the Statute of Frauds is voidable until the tenant takes possession and the landlord accepts rent from the tenant.
- If the tenant takes possession and the landlord accepts rent, an at-will or periodic tenancy is created because there has been partial performance.

Fact-based analysis:

- Here, Tenant took possession of the office and Landlord accepted rent.
- Thus, a periodic or at-will tenancy was created.
- Assuming that a periodic tenancy was created, most likely it was a month-to-month tenancy because the lease provided for monthly payments of rent.

Conclusion: An at-will tenancy may be terminated without notice; a periodic tenancy requires notice for a period at least equal to the rent-payment term.

2. Point Two: A periodic month-to-month tenancy is terminable by notice given at least one month prior

Short answer: A periodic month-to-month tenancy can be terminated by either party with a one-month notice of termination.

Rule(s):

- A periodic month-to-month tenancy can be terminated by either party with a one-month notice of termination.
- At common law, an oral notice was sufficient.

Fact-based analysis:

- Here, Tenant gave Landlord a two-week notice of termination instead of the required one-month notice.
- Thus the notice to terminate was ineffective to terminate the month-to-month tenancy as of the beginning of the next month even if Tenant's oral notice of termination was acceptable under state law.

Conclusion: Thus the notice to terminate was ineffective to terminate the month-to-month tenancy as of the beginning of the next month even if Tenant's oral notice of termination was acceptable under state law.

3. Point Three: Because the lease did not prohibit an assignment, Tenant was free to assign the lease t

Short answer: Where a periodic tenancy arises, the terms of the unwritten lease, except the provision relating to the lease term, are enforceable.

Rule(s):

- Where a periodic tenancy arises, the terms of the unwritten lease, except the provision relating to the lease term, are enforceable.
- When a tenant assigns his interest in a lease, privity of estate arises between the assignee and the landlord.
- The tenant is still contractually bound to pay rent, and thus serves as a surety for unpaid rent; if the assignee fails to pay the rent, the tenant is liable to the landlord.

Fact-based analysis:

- In the absence of a contrary provision in a lease, a tenant's interest, like other property interests, is assignable.
- The assignee of a month-to-month tenant takes a month-to-month tenancy.
- Privity of contract continues to exist between the landlord and the tenant.

- Here, because the assignee, Friend, paid the rent to Landlord when Friend sent Landlord the $800 check, no additional rent was due and Tenant is not liable to Landlord for $800.

Conclusion: Here, because the assignee, Friend, paid the rent to Landlord when Friend sent Landlord the $800 check, no additional rent was due and Tenant is not liable to Landlord for $800.

Question call(s): 1. What type of tenancy did the oral lease agreement between Landlord and Tenant create? Explain. | 2. Did Tenant properly terminate the tenancy? Explain. | 3. Is Landlord entitled to collect $800 from Tenant? Explain.

February 2009 — Question 4

Primary source subject: Real Property

Question summary: This question involves MEE Question 4 Several years ago, Parent, the record owner of a farm in fee simple absolute, conveyed the farm as a gift “jointly in fee to my beloved daughters, Jessie and Karen, equally, to share and share alike.” Parent delivered the deed to Jessie and Karen. The deed was never recorded. The core dispute asks Last month, the executor of Jessie’s estate executed a deed purporting to convey a one-half interest in the farm to Buyer in exchange for the balance of the purchase price. The jurisdiction has a notice-type recording statute and a... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- Does a deed conveying property “jointly in fee” to two daughters “equally, to share and share alike” create a tenancy in common or a joint tenancy with right of survivorship in the daughters?
- Assuming a joint tenancy with right of survivorship was created in the two daughters, was it severed when one of the two joint tenants granted a mortgage on, and entered into a contract for the sale of, the farm?
- Is a buyer subject to a prior recorded mortgage when the buyer has no actual notice of the mortgage and the previous deed in the chain of title to the seller was unrecorded?
- Does a deceased seller’s interest in the proceeds of sale due under an executory real estate contract pass to the beneficiary of the real or personal property under the deceased seller’s will?

Relevant facts to use:

- MEE Question 4
- Several years ago, Parent, the record owner of a farm in fee simple absolute, conveyed the farm as a gift “jointly in fee to my beloved daughters, Jessie and Karen, equally, to share and share alike.” Parent delivered the deed to Jessie and Karen.
- Two years ago, Jessie borrowed $60,000 from Credit Union, securing the loan by granting Credit Union a mortgage on her interest in the farm.
- Six months ago, Jessie validly contracted to sell her one-half interest in the farm for $90,000 to Buyer, who was very anxious to acquire Jessie’s interest.

Condensed sample-answer path:

1. Point One Parent’s deed of gift to Jessie and Karen created a tenancy in common unless the language

Short answer: A deed to two or more grantees may create a joint tenancy or a tenancy in common.

Rule(s):

- A deed to two or more grantees may create a joint tenancy or a tenancy in common.
- To create a joint tenancy, the common law traditionally required the existence of four unities (time, title, interest, and possession).
- Under the four-unities test, a joint tenancy presumptively is created by a conveyance to two or more persons if they acquire their interest at the same time, acquire their interest under the same instrument, acquire an equal interest in the property, and acquire the right to possession of the property.

Fact-based analysis:

- The four unities are satisfied by Parent's deed to the daughters, so at common law they clearly took title as joint tenants with right of survivorship.
- With a joint tenancy, each joint tenant has the right of survivorship.
- Thus, if the presumption is not rebutted, Jessie and Karen took as tenants in common.
- The standard way to overcome the presumption favoring a tenancy in common is for the deed to use the term "joint tenancy" or "joint tenants," usually also adding an express reference to "survivorship" or "survivors," id. at 275–77, and it can be argued that where such language is absent the statutory presumption is not rebutted.

Conclusion: Thus, the daughters acquired a tenancy in common or a joint tenancy, notwithstanding their failure to record their deed of gift.

2. Point Two If the deed of gift created a joint tenancy, Jessie's mortgage severed that joint tenancy

Short answer: When property is held by two persons in joint tenancy, a conveyance by one joint tenant of her entire ownership interest severs the joint tenancy as to the conveyed share.

Rule(s):

- When property is held by two persons in joint tenancy, a conveyance by one joint tenant of her entire ownership interest severs the joint tenancy as to the conveyed share.
- When, as here, a joint tenant transfers a lesser interest, such as a mortgage, a severance of the joint tenancy may also occur.
- Courts usually resolve the issue by trying to decide whether the transfer destroyed any of the four unities.

Fact-based analysis:

- This is because the conveyance severs at least the unities of time and title between the remaining co-tenant and the new co-tenant.
- In "title theory" states, a mortgage granted by one joint tenant severs the joint tenancy as to the conveyed share.
- This would leave the four unities intact, and thus Jessie would remain a joint tenant with her sister.
- If Jessie's grant of the mortgage did not sever the joint tenancy, her contract to sell her interest in the farm to Buyer almost certainly had that effect.

Conclusion: Also, if a jurisdiction does not recognize the doctrine of equitable conversion, the execution of the contract would not sever the joint tenancy.] Since the joint tenancy was severed, the deed from the executor to Buyer caused Karen and Buyer to hold the farm as tenants in common.

3. Point Three Buyer cannot qualify as a bona fide purchaser because Buyer had constructive notice of C

Short answer: Assuming Buyer acquired an interest from Jessie, Buyer may claim to be a bona fide purchaser, who should take free of Credit Union's mortgage.

Rule(s):

- Assuming Buyer acquired an interest from Jessie, Buyer may claim to be a bona fide purchaser, who should take free of Credit Union's mortgage.
- To qualify as a bona fide purchaser, a person must (i) pay value for an interest and (ii) not have actual, inquiry, or constructive notice of the competing prior-in-time interest.
- Since the facts state that the grantor-grantee index operates in this jurisdiction, if Buyer had searched under Jessie's name as grantor, Buyer would have found her mortgage to Credit Union.

Fact-based analysis:

- Although Buyer paid value, see id. at 879–80, and lacked actual notice of the mortgage, Buyer had constructive notice of the mortgage because the mortgage was properly recorded before Buyer entered into the contract to buy Jessie's interest.
- Had Buyer made a proper title search by looking in the grantor-grantee index for all of Jessie's transactions as a grantor, the mortgage would have been discovered.
- Therefore, Buyer takes subject to Credit Union's interest. [NOTE: The mortgage is not a "wild deed" that could be deemed unrecorded because it is outside of the buyer's chain of title or recorded out of sequence (too early or too late).
- In the typical wild deed case, the prior interest outside of the chain of title is created by someone other than the buyer's grantor.] [NOTE: As an aside, Buyer's search would also reveal the fact that Jessie and her sister lacked record title because they never recorded the deed of gift from Parent.

Conclusion: However, here that would not be a title objection because Buyer agreed to accept a title that was not marketable.]

4. Point Four When Jessie entered into the contract of sale, the doctrine of equitable conversion trans

Short answer: The doctrine of equitable conversion splits title to the property when a real estate contract is signed.

Rule(s):

- When equitable conversion applies, the seller's legal title is considered personal property, and the buyer's equitable title is considered real property.
- When Jessie died, her share passed to Legatee, who took personal property under Jessie's will. [NOTE: The preceding analysis depends upon Jessie's share prior to her death being classified as a tenancy in common because (1) the mortgage severed Jessie's joint tenancy share, or (2) the contract of sale to Buyer severed Jessie's joint tenancy share.
- If, on the other hand, Jessie died still owning a one-half interest as joint tenant, no part of the farm or its proceeds passed to Legatee or Devisee under Jessie's will.

Fact-based analysis:

- The doctrine of equitable conversion splits title to the property when a real estate contract is signed.
- Buyer obtained equitable title, and Jessie as seller retained legal title as trustee to secure payment of the remainder of the purchase price.
- Equitable conversion only applies to a contract that is specifically enforceable; here there are no facts suggesting that Jessie or Buyer would be unable to obtain specific performance.
- Buyer cannot reject title because of the outstanding mortgage as Buyer agreed to accept a title without any warranties and regardless of its marketability.

Conclusion: Rather, by right of survivorship, Karen owned the entire farm free and clear of the rights of Credit Union and Buyer because their interests, being wholly derivative from Jessie, would also expire at Jessie's death.

Question call(s): 1. Did Parent convey the farm to Jessie and Karen as "tenants in common" or as "joint tenants with right of survivorship"? Explain. | 2. Assuming Jessie and Karen acquired a joint tenancy with right of survivorship in the farm, what are the rights, if any, of Karen, Credit Union, and Buyer in the farm? Explain. | 3. Assuming Jessie and Karen acquired a joint tenancy with right of survivorship in the farm, who is entitled to the balance of the purchase price Buyer paid the executor of Jessie's estate? Explain.

February 2010 — Question 2

Primary source subject: Real Property

Question summary: This question involves In 1960, Owen, the owner of vacant land, granted a power-line easement over the land to an electric company by a properly executed written instrument. This easement was never recorded. The core dispute asks Relevant state statutes provide (1) "A conveyance of real property is not valid against any subsequent purchaser who, without notice, purchases said real property in good faith and for valuable consideration," and (2) "Easements by... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Relevant facts to use:

- In 1960, Owen, the owner of vacant land, granted a power-line easement over the land to an electric company by a properly executed written instrument.
- In 1961, Owen granted an underground gas-line easement on the land to a gas company by a properly executed written instrument.
- In 1970, Owen conveyed the land to Abe by a full covenant and warranty deed that made no mention of the easements.
- In 1995, Abe conveyed the land to Bob by a full covenant and warranty deed that made no mention of the easements.

Condensed sample-answer path:

1. Point One (40%) Both Abe and Bob acquired the land subject to the unrecorded power-line easement. Be

Short answer: In this state, a "conveyance of real property is not valid against any subsequent purchaser who, without notice, purchases said real property in good faith and for valuable consideration." Notice may be actual, constructive, or inquiry.

Rule(s):

- In this state, a "conveyance of real property is not valid against any subsequent purchaser who, without notice, purchases said real property in good faith and for valuable consideration." Notice may be actual, constructive, or inquiry.

Fact-based analysis:

- Here, because Abe paid Owen for the land, he is a subsequent purchaser for value.
- Abe did not have actual notice of the power-line easement and, because that easement was never recorded, he did not have constructive notice of it based on the recorded instruments.

- However, because the power lines were discernible from visual inspection, Abe had inquiry notice of the power-line easement.
- Therefore, under the relevant statute, Abe took subject to the power-line easement.

Conclusion: Therefore, under the relevant statute, Abe took subject to the power-line easement.

2. Point Two (30%) Abe did not take the land subject to the unrecorded and invisible gas-line easement

Short answer: The gas-line easement was never recorded.

Rule(s):

- In order to ensure that the bona fide purchaser has an unlimited right to alienate his land in the future, the shelter doctrine applies even when the subsequent purchaser has actual notice of the prior, unrecorded encumbrance.

Fact-based analysis:

- The gas-line easement was never recorded.
- Thus neither Abe nor Bob acquired constructive notice of this easement from the land records.
- In contrast to the power-line easement, the gas-line easement was not discernible through visual inspection; the gas lines were underground, and the surface of the land had been restored to its pre-installation condition.
- Therefore, Abe had no inquiry notice of the gas-line easement.

Conclusion: At first blush, it would appear that Bob took the land subject to the gas-line easement because, in contrast to Abe, he had actual notice of it.

3. Point Three (30%) Bob cannot obtain damages from Owen for breach of the covenant against encumbrance

Short answer: Owen conveyed the land to Abe with a full covenant and warranty deed that made no mention of encumbrances.

Rule(s):

- Owen conveyed the land to Abe with a full covenant and warranty deed that made no mention of encumbrances.
- A full-covenant deed includes a covenant against encumbrances, i.e., a warranty that, at the time of conveyance, there are no outstanding third-party rights that negate the title the grantor purports to convey.
- That covenant is inconsistent with the fact that Abe and later Bob took subject to the power-line easement. (See Point One.) Abe clearly had a cause of action against Owen for breach of the covenant against encumbrances.

Fact-based analysis:

- Therefore, it cannot benefit a remote grantee like Bob.
- Even in those jurisdictions, a remote grantee with notice of the easement may not sue on the theory that with such notice the grantee (1) never relied on the covenant or (2) bargained for a reduction in the purchase price to take account of the easement.
- Courts are divided on whether the covenant against encumbrances is breached when an unrecorded easement is ascertainable through visual inspection.
- Some courts say yes; others disagree, arguing that the grantee can sue even though the easement is visible because, if the warranty is in the deed, the grantee can reasonably assume that an easement is no longer valid when the grantor makes no exception for it when conveying title.

Conclusion: Therefore, it cannot benefit a remote grantee like Bob.

Question call(s): 1. Did Bob take the land subject to the power-line easement? Explain. | 2. Did Bob take the land subject to the gas-line easement? Explain. | 3. Assuming Bob took the land subject to either easement, may Bob obtain damages from Owen based upon a breach of the covenant against encumbrances? Explain.

July 2010 — Question 5

Primary source subject: Real Property

Question summary: This question involves Eighty years ago, Owner, the owner of vacant land known as Blackacre, conveyed Blackacre to a local school district (School) “if School uses Blackacre only to teach children aged 5 to 13.” Shortly after acquiring title to Blackacre, School erected a classroom building on Blackacre and began... The core dispute asks What interests, if any, do School, Ann, and Mary have in Blackacre? Explain. Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Relevant facts to use:

- Eighty years ago, Owner, the owner of vacant land known as Blackacre, conveyed Blackacre to a local school district (School) “if School uses Blackacre only to teach children aged 5 to 13.” Shortly after acquiring title to Blackacre, School erected a classroom building on Blackacre and began teaching children aged 5 to 13 in that building.
- Seventy years ago, Owner died and left his entire estate to Daughter.
- School used the classroom building to teach its students aged 5 to 13 until three years ago when, due to increasing enrollments, School built a new classroom building three miles from Blackacre and converted the classroom building on Blackacre into administrative offices.
- The building on Blackacre is now exclusively occupied by administrative offices, and all School students aged 5 to 13 are taught in the new classroom building.

Condensed sample-answer path:

1. Point One (45%) The terms of the conveyance to School were ambiguous. In construing an ambiguous ins

Short answer: is unclear what interest, if any, Owner retained.

Rule(s):

- If, on the other hand, School acquired a fee simple determinable in Blackacre, then Owner retained a possibility of reverter.
- If the Owner-to-School deed conveyed a fee simple determinable to School, then Owner retained a possibility of reverter, which became possessory immediately upon the happening of the event designated in the instrument.
- If, instead, the Owner-to-School deed conveyed a fee simple on condition subsequent, Owner may or may not have a power of termination or right of entry for condition broken, depending on whether the court would be willing to imply a forfeiture provision when none was expressly set forth in the deed.

Fact-based analysis:

- Thomas ed., 1994) Here, Owner conveyed Blackacre to School “if School uses Blackacre only to teach children aged 5 to 13.” The language of the deed does not conform to the paradigms for creating either a fee simple determinable or a fee simple on condition subsequent.

- In this case, the deed language is ambiguous.
- The word "if" in the deed expresses the language of condition and suggests an intent to create a fee simple on condition subsequent, but the deed's lack of an express, retained power of termination suggests the intention to instead create a fee simple determinable.
- On the other hand, the deed's failure to use the typical formulation for creating a fee simple determinable, coupled with the absence of any language suggesting that Owner intended to retain a possibility of reverter (e.g., "Blackacre shall revert"), suggests that Owner did not intend to convey a fee simple determinable, but instead a fee simple on condition subsequent.

Conclusion: In this case, School's decision to discontinue use of Blackacre for teaching children aged 5 to 13 has no effect on School's interest in Blackacre. [NOTE: Applicants who conclude that School has a fee simple on condition subsequent may fail to realize that a right of entry must be expressly reserved in the deed and, thus, fail to discuss a court's reluctance to find a forfeiture.] [NOTE: An applicant's conclusion on how the deed should be construed is much less important than demonstrating an understanding of the consequences that flow from the various constructions.]

2. Point Two (10%) School has likely ceased using Blackacre "only to teach children aged 5 to 13." If O

Short answer: There is a factual question as to whether ceasing to only teach children aged 5 to 13 in the building on Blackacre and then using that building for administrative purposes is inconsistent with language in the deed from Owner to School.

Rule(s):

- There is a factual question as to whether ceasing to only teach children aged 5 to 13 in the building on Blackacre and then using that building for administrative purposes is inconsistent with language in the deed from Owner to School.
- See Mahrenholz v.

Fact-based analysis:

- There is a factual question as to whether ceasing to only teach children aged 5 to 13 in the building on Blackacre and then using that building for administrative purposes is inconsistent with language in the deed from Owner to School.
- Here again applicants can make an argument either way, but the stronger argument appears to be that the terminating event occurred.
- No teaching appears to be going on in the building; rather, it is being used for administrative purposes, and that use seems to be beyond the intended purpose set forth in the Owner-School deed.

3. Point Three (10%) If Owner's successors have an interest in Blackacre, the statute of limitations ha

Short answer: Whether Owner conveyed to School a fee simple determinable or a fee simple on condition subsequent, the state statute of limitations applicable to actions for possession permits actions within "10 years after the cause of action accrues." Because School ceased using Blackacre for the permitted purposes only three years ago, the period in which an action for possession may be brought has not yet expired.

Rule(s):

- Whether Owner conveyed to School a fee simple determinable or a fee simple on condition subsequent, the state statute of limitations applicable to actions for possession permits actions within "10 years after the cause of action accrues." Because School ceased using Blackacre for the permitted purposes only three years ago, the period in which an action for possession may be brought has not yet expired.

4. Point Four (35%) Ann has an interest in Blackacre if Owner retained either a possibility of reverter

Short answer: If Owner retained a future interest in Blackacre, that interest passed to Daughter upon Owner's death because state law provides that such an interest is devisable.

Rule(s):

- If Owner retained a future interest in Blackacre, that interest passed to Daughter upon Owner's death because state law provides that such an interest is devisable.
- If it applies, then Bill's interest passed to Mary.
- If Owner bequeathed a possibility of reverter in Blackacre, instead of a power of termination, then Ann (and Mary, in a state that follows the non- If Owner retained and bequeathed only a power of termination, then Ann's (and, in a non-Restatement jurisdiction, Mary's) interest would not become possessory until and unless the power of termination was exercised.

Fact-based analysis:

- In this case, that point is Husband's death.
- Thus, under the Restatement approach, Mary has no interest in Blackacre because Bill, having predeceased Husband, had no interest in Blackacre to devise to Mary.
- There is another view that interprets a survivorship contingency to require surviving only the testator (here, Daughter) and not the life tenant (here, Husband).

Conclusion: If Owner bequeathed a possibility of reverter in Blackacre, instead of a power of termination, then Ann (and Mary, in a state that follows the non- If Owner retained and bequeathed only a power of termination, then Ann's (and, in a non-Restatement jurisdiction, Mary's) interest would not become possessory until and unless the power of termination was exercised.

Question call(s): I. "Actions to recover the possession of real property shall be brought within 10 years after the cause of action accrues." | What interests, if any, do School, Ann, and Mary have in Blackacre? Explain.

July 2011 — Question 4

Primary source subject: Real Property

Question summary: This question involves In 1980, Oscar sold undeveloped land that he owned in fee simple to Sam, but Sam failed to record the deed. In 1985, Sam granted Railroad an easement to operate a rail line across a portion of the land to serve a grain storage facility located on a neighboring tract of land. The core dispute asks What are the rights, if any, of Purchaser, Daughter, and Railroad in the land? Explain. Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Relevant facts to use:

- In 1980, Oscar sold undeveloped land that he owned in fee simple to Sam, but Sam failed to record the deed.
- In 1985, Sam granted Railroad an easement to operate a rail line across a portion of the land to serve a grain storage facility located on a neighboring tract of land.
- In 1990, Sam conveyed the land to Daughter as a graduation gift.
- Oscar died six months ago.

Condensed sample-answer path:

1. Point One (30%) Railroad's easement was not abandoned unless Railroad had an intent to abandon it.

Short answer: Easements may be terminated in a variety of ways, such as by their express terms, written release, merger of the dominant and servient tenements, prescription, estoppel, condemnation, and abandonment.

Rule(s):

- Easements may be terminated in a variety of ways, such as by their express terms, written release, merger of the dominant and servient tenements, prescription, estoppel, condemnation, and abandonment.
- If a court were to find that either Daughter or Purchaser acquired a fee simple title (see Point Three) subject to Railroad's interest, either may argue that Railroad's easement was extinguished by abandonment because Railroad has not used the easement since 2000.
- An abandonment theory is unlikely to succeed, however, because mere non-use of an easement is insufficient to establish abandonment.

Fact-based analysis:

- Instead, there must be a cessation of use coupled with evidence of the user's intent to abandon the easement.
- Here, there is insufficient evidence of Railroad's intent to abandon its easement.
- In the absence of such evidence, a court is likely to find that Railroad has not abandoned its easement.

2. Point Two (10%) Under the common law first-in-time, first-in-right principle, Daughter, and not Purc

Short answer: Under the common law, a grantor can convey only those rights in land that the grantor had at the time of the conveyance.

Rule(s):

- Under the common law, a grantor can convey only those rights in land that the grantor had at the time of the conveyance.

Fact-based analysis:

- Thus, under the common law, priority among successive transfers is dictated by priority of time—the so-called "first-in-time, first-in-right" principle.
- Here, Oscar's conveyance to Sam in 1980 takes priority over the subsequent transfer by the executor of Oscar's estate to Purchaser.
- Once Oscar conveyed the land to Sam, neither Oscar nor his estate at his later death had a title left to convey to anyone, including Purchaser.
- Rather, title was then in Sam.

Conclusion: However, if the state recording act protects Purchaser, then Purchaser rather than Daughter would own the land.

3. Point Three (25%) While the state has rejected the common law first-in-time, first-in-right principl

Short answer: All states have recording statutes that, when applicable, overturn the results of the common law "first-in-time, first-in-right" principle.

Rule(s):

- The recording statute here is a notice-type statute providing that unrecorded conveyances are not valid against a "subsequent purchaser for value and without notice" of the conveyance.

- Under a notice-type recording statute, Purchaser can prevail against either of or both Daughter and Railroad only if (1) the prior conveyances were unrecorded, (2) Purchaser paid value for the land, and (3) Purchaser took without either actual, constructive, or inquiry notice of the prior conveyances. [NOTE: Some examinees may incorrectly conclude that the recording act is a race-notice statute because the last part of the statute states: "unless the same be recorded according to law." Placed in its proper grammatical context, however, "the same" relates to the instrument of prior conveyance.
- There is no requirement that the subsequent purchaser must record to take priority over an earlier transaction.

Fact-based analysis:

- Furthermore, no facts suggest that Purchaser had actual notice of the conveyances of the easement and fee to Railroad and Daughter, respectively.
- While both Railroad and Daughter recorded their interests, Sam (from whom they both claimed) did not.
- Because Sam's deed from Oscar was not recorded, both the deed from Sam to Railroad conveying an easement and the later deed from Sam to Daughter conveying to her a fee are so-called "wild deeds," meaning they were recorded outside the chain of title.
- A search of the public land records by Purchaser would have shown that as a matter of public record his seller, Oscar, had not conveyed the property to anyone because the Oscar to Sam deed was not recorded.

Conclusion: Accordingly, Purchaser is not on constructive notice of the interests of Daughter and Railroad and his interest would appear to have priority to theirs.

4. Point Four (35%) Purchaser is not a bona fide purchaser for value under the state's notice-type reco

Short answer: Although Purchaser did not have constructive notice (see Point Three), the law also imputes knowledge to a subsequent purchaser in another way, namely through an obligation of inquiry.

Rule(s):

- In short, it seems fairly clear that Purchaser would be deemed to have inquiry notice of Railroad's easement, and it is likely that Purchaser also would have inquiry notice of Daughter's interest. [NOTE: Should an examinee, however, reason that Purchaser's inquiry obligation did not extend beyond asking Railroad what its interest was, then Purchaser would prevail as against Daughter, but not Railroad.] [NOTE: Examinees may observe that Daughter does not qualify as a purchaser for value because Daughter received the land as a gift.

Fact-based analysis:

- Here there is a strong argument that Purchaser had inquiry notice of Railroad's interest and, therefore, also that he had inquiry notice of Daughter's interest.
- Some courts have held that a purchaser who takes by quitclaim deed, as Purchaser did, is presumed to take with notice of any interests that could have been discovered by reasonable diligence.
- The majority of courts, however, reject this rule because there are many legitimate reasons for a grantor to convey by quitclaim deed, particularly in an environment where title insurance is common.
- Accordingly, in most states, Purchaser would not have inquiry notice from the quitclaim deed alone. [NOTE: In the minority of states that would require further inquiry based upon the quitclaim deed alone, it is unclear what further investigation is required.

Conclusion: Thus, Daughter is protected without having to prove her status as a purchaser under the recording act.]

Question call(s): What are the rights, if any, of Purchaser, Daughter, and Railroad in the land? Explain.

February 2012 — Question 8

Primary source subject: Real Property

Question summary: This question involves Blackacre, which is immediately to the west of Whiteacre, is bounded on its west by a state highway. Whiteacre is bounded on the east by a county road. The core dispute asks Recently, Dan defaulted on the loans from both Bank and Finance Company. At the time of these defaults, Dan owed $1,500,000 to Bank and $400,000 to Finance Company. At a proper foreclosure sale by Bank, Whiteacre was sold for $1,500,000... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Relevant facts to use:

- Blackacre, which is immediately to the west of Whiteacre, is bounded on its west by a state highway.
- Twenty years ago, Tom, who then owned Blackacre, sold to Sue, who then owned Whiteacre, an easement over a private gravel road that crossed Blackacre.
- After acquiring this easement, Sue discontinued using the county road to the east of Whiteacre and used the private gravel road crossing Blackacre to travel between Whiteacre and the fourlane highway.
- Fifteen years ago, Sue purchased Blackacre from Tom.

Condensed sample-answer path:

1. Point One (25%) The easement Sue acquired from Tom was extinguished by merger when Sue bought Blacka

Short answer: Sue purchased from Tom an easement for a right-of-way over Blackacre to be used in connection with her ownership of Whiteacre.

Rule(s):

- When the owner of the dominant estate (Sue) acquired the servient estate (Blackacre), however, the easement was extinguished by merger.

Fact-based analysis:

- Sue purchased from Tom an easement for a right-of-way over Blackacre to be used in connection with her ownership of Whiteacre.
- This easement, an appurtenant easement of which Whiteacre was the dominant estate and Blackacre was the servient estate, was promptly and properly recorded.
- This result follows from the fact that because of the post-sale unity of ownership of the two estates, Sue could enforce the easement only against herself, and lawsuits against one's self are impermissible.

2. Point Two (40%) Upon the conveyance of Whiteacre, Dan acquired an easement implied from prior use wi

Short answer: An easement implied from prior use arises in favor of a grantee when (1) two parcels of land are in common ownership; (2) one of the parcels is conveyed to a grantee; (3) the parcel conveyed had been receiving a benefit from the parcel retained prior to the conveyance to the grantee, i.e., there was a use over the retained parcel in favor of the conveyed parcel which could have been the subject of an express easement appurtenant; (4) the usage is reasonably necessary or convenient; and (5) the usage is apparent.

Rule(s):

- An easement implied from prior use arises in favor of a grantee when (1) two parcels of land are in common ownership; (2) one of the parcels is conveyed to a grantee; (3) the parcel conveyed had been receiving a benefit from the parcel retained prior to the conveyance to the grantee, i.e., there was a use over the retained parcel in favor of the conveyed parcel which could have been the subject of an express easement appurtenant; (4) the usage is reasonably necessary or convenient; and (5) the usage is apparent.
- Most courts interpret the “reasonably necessary” requirement “to mean that the easement must be important to the enjoyment of the” conveyed land or “highly convenient.” SINGER, supra, at 196.
- Courts are likely to find that an easement is implied from prior use where access to the transferred land is “extremely difficult by other routes” and to find that an easement is not implied when the transferred land has “easy access to public roads in another direction.” Id. at 197.

Fact-based analysis:

- Here, the first three criteria are clearly met: Sue owned both Blackacre and Whiteacre; she conveyed one parcel (Whiteacre) to Dan; and Whiteacre, the parcel conveyed, had been receiving a benefit from the parcel retained, i.e., use of the private gravel road traversing Blackacre, which could have been—indeed, was, before its extinction by merger—the subject of an express easement appurtenant.
- “The principle underlying the creation of an easement by implication is that it is so evidently necessary to the reasonable enjoyment of the granted premises, so continuous in its nature, so plain, visible and open, so manifest from the situation and relation of the two tracts that the law will give effect to the grant according to the presumed intent of the parties.” Rischall v.
- Here, the private gravel road was open and obvious; indeed, the facts state that Dan was aware that Sue had used that road to more easily access the four-lane highway.
- Thus, upon Sue’s conveyance of Whiteacre to Dan, she conveyed to Dan an easement implied from prior use. [NOTE: Dan did not acquire an easement by necessity over Blackacre, because Whiteacre is not landlocked, and he has access to it from the county road.

Conclusion: Thus, upon Sue’s conveyance of Whiteacre to Dan, she conveyed to Dan an easement implied from prior use. [NOTE: Dan did not acquire an easement by necessity over Blackacre, because Whiteacre is not landlocked, and he has access to it from the county road.

3. Point Three (35%) The proceeds from the foreclosure sale should be paid entirely to Bank because Ban

Short answer: The typical construction loan provides that the lender will advance funds to the borrower over a fixed time period.

Rule(s):

- Such “future advances” mortgages may provide for obligatory advances, or they may provide for advances that are optional.
- If payments under a future-advances mortgage are obligatory, then the junior lender’s lien is junior both to amounts loaned to the debtor before the junior lien was recorded and to amounts loaned after the junior lien is recorded.
- If the payments under a futureadvances mortgage are optional, the junior lender has a priority over amounts transferred to the debtor by the senior lender after the junior lender transfers funds to the debtor and records its mortgage.

Fact-based analysis:

- Here, Bank’s loan commitment to Dan was secured by an obligatory future-advances mortgage, and Bank both recorded its mortgage and loaned Dan money before Finance Company did so.

- Thus, Bank is the senior lender in the amount of $1,500,000, the full value of its loan commitment to Dan, and it is entitled to all of the foreclosure sales proceeds.

Conclusion: Thus, Bank is the senior lender in the amount of $1,500,000, the full value of its loan commitment to Dan, and it is entitled to all of the foreclosure sales proceeds.

Question call(s): 1. Immediately before Sue sold Whiteacre to Dan, did Sue have an easement over Blackacre? Explain. | 2. Immediately after Sue sold Whiteacre to Dan, did Dan have an easement over Blackacre? Explain. | 3. How should the proceeds from the sale of Whiteacre be distributed between Bank and Finance Company? Explain.

February 2013 — Question 1

Primary source subject: Real Property

Question summary: This question involves In 2008, a landlord and a tenant entered into a 10-year written lease, commencing September 1, 2008, for the exclusive use of a commercial building at a monthly rent of $2,500. The lease contained a covenant of quiet enjoyment but no other covenants or promises on the part of the landlord. The core dispute asks Is the landlord correct? Explain. Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Relevant facts to use:

- In 2008, a landlord and a tenant entered into a 10-year written lease, commencing September 1, 2008, for the exclusive use of a commercial building at a monthly rent of $2,500.
- When the landlord and tenant negotiated the lease, the tenant asked the landlord if the building had an air-conditioning system.
- On April 15, 2012, the building's air-conditioning system malfunctioned, causing the building temperature to rise above 81 degrees for three hours.
- On May 15, 2012, the air-conditioning system again malfunctioned.

Condensed sample-answer path:

1. Point One (45%) The tenant was not constructively evicted, because the landlord had no duty to repai

Short answer: The landlord and the tenant entered into a term-of-years lease because the lease specified both a beginning and an ending date.

Rule(s):

- Although a term-of-years lease normally cannot be terminated by the tenant prior to the end of the term, a tenant may terminate a term-of-years lease if the tenant is constructively evicted.
- In order to establish a constructive eviction, the tenant must prove that the landlord breached a duty to the tenant, such as a duty to repair, and that the landlord's breach caused a loss of the substantial use and enjoyment of the premises.
- The tenant must also show that he gave the landlord notice adequate to permit the landlord to meet his duty to the tenant and that the tenant vacated the leased premises.

Fact-based analysis:

- The landlord and the tenant entered into a term-of-years lease because the lease specified both a beginning and an ending date.
- Typically, as here, a claim of constructive eviction is made as a defense to a landlord's action for damages or unpaid rent.
- Under the common law, there was no implied duty on the part of a landlord to repair leased premises; such a duty arose only if expressly set forth in the lease.
- Here, the written lease contained no term requiring the landlord to repair the airconditioning.

Conclusion: The tenant will argue, however, that he gave the landlord three months to cure the problem after the first two malfunctions threatened (but did not actually harm) his operations.

2. Point Two (10%) The landlord did not accept the tenant's surrender of the lease.

Short answer: When a tenant wrongfully moves from leased premises with the intent to terminate the lease, the landlord may either accept the tenant's surrender of the premises and terminate the lease or hold the tenant to the terms of the lease.

Rule(s):

- When a tenant wrongfully moves from leased premises with the intent to terminate the lease, the landlord may either accept the tenant's surrender of the premises and terminate the lease or hold the tenant to the terms of the lease.

Fact-based analysis:

- Here, the tenant's only basis for the claim that the landlord accepted his surrender is the landlord's retention of the keys.
- Many courts have considered whether a landlord's retention of keys delivered by a tenant constitutes acceptance of surrender.
- The weight of the case law holds that retention of the keys alone does not constitute acceptance of surrender without other evidence showing that the landlord intended to accept the surrender.
- Here, the landlord's note, saying "I repeat, the air-conditioning is not my problem.

Conclusion: However, it is likely that a court would find that the landlord's retention of the keys represented a decision to safeguard the keys, not to accept the tenant's surrender. [NOTE: An examinee should receive credit for arguing the other way with a wellreasoned argument.]

3. Point Three (45%) Under the common law, the landlord had no duty to mitigate damages. Additionally,

Short answer: Under the common law, because a lease was viewed as a conveyance instead of a contract, a landlord had no duty to mitigate damages resulting from a tenant's wrongful termination of a lease.

Rule(s):

- Under the common law, because a lease was viewed as a conveyance instead of a contract, a landlord had no duty to mitigate damages resulting from a tenant's wrongful termination of a lease.
- A landlord could thus recover the full value of rents that were due and unpaid at the time of the suit.
- These courts, responding to the fact that a tenant may well disappear or be judgment-proof by the time a lease term is concluded, have allowed a landlord to collect damages equal to the value of rent over the entire lease term minus the property's fair rental value when a tenant has wrongfully terminated a lease and unequivocally shown an intention not to return to the premises or pay future rent.

Fact-based analysis:

- However, under the common law, a landlord could not sue a tenant for rents due in the future because there was always a possibility that the tenant might pay the rent when it was due.
- Thus, using the common law approach, on November 1, the landlord could only recover the full value of the two months' rent actually due and unpaid, i.e., $5,000 for September and October.
- Some courts have rejected the no-mitigation-of-damages rule based on efficiency concerns and society's interest in assuring that resources remain in the stream of commerce rather than lying vacant, see id. at 464–65, and allow landlords to sue tenants who have wrongfully terminated a lease for damages equal to the difference between the unpaid rent due under the lease and the property's fair market rental value.
- Under this approach, a landlord receives approximately the same amount he would have received were there a duty to mitigate damages.

Conclusion: It is thus possible that the landlord might recover damages in the amount of $5,000 (for the months of September and October) plus the present value of $175,000 minus the fair market rental value of the property over the remaining months of the lease.

Question call(s): Is the landlord correct? Explain.

July 2013 — Question 8

Primary source subject: Real Property

Question summary: This question involves Two years ago, a builder constructed a house for a woman and conveyed that house to her for $300,000 at the closing by a warranty deed, which was promptly recorded. The sale contract contained no express warranties relating to the condition of the house. The core dispute asks Is the man likely to prevail against the builder to recover the $80,000 he spent to repair the concrete? Explain. 2. Is the man personally liable for the outstanding balance on the mortgage note between the woman and the bank? Explain. 3.... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Relevant facts to use:

- Two years ago, a builder constructed a house for a woman and conveyed that house to her for $300,000 at the closing by a warranty deed, which was promptly recorded.
- One year ago, the woman accepted a new job and moved.
- Nine months ago, water seeped into the basement of the house during a major storm, causing substantial damage.
- Thereafter, the man sued the builder to recover the $80,000 he had spent to repair the concrete.

Condensed sample-answer path:

1. Point One(a) (25%) Because there is an implied warranty against latent defects in the sale of a new

Short answer: Under the doctrine of caveat emptor, a home builder makes no implied warranties regarding the condition of the premises.

Rule(s):

- Under the doctrine of caveat emptor, a home builder makes no implied warranties regarding the condition of the premises.

- Although courts have variously described the home builder's warranty as an implied warranty against latent defects, an implied warranty of fitness, or an implied warranty of habitability, it is now recognized in almost all states, and it extends to latent defects such as faulty concrete.
- See generally Sheed, The Implied Warranty of Habitability, New Implications, New Applications, 8 REAL ESTATE L.J.

Fact-based analysis:

- Although the implied warranty is typically called an implied warranty of habitability, in most states it is not necessary for the man to prove that the house would have been uninhabitable but for his repair.
- Thus, under the law of most states today, the builder would be liable for damages to the woman, the original buyer, for losses caused by the defective concrete.

Conclusion: Thus, under the law of most states today, the builder would be liable for damages to the woman, the original buyer, for losses caused by the defective concrete.

2. Point One(b) (25%) In many, but not all, jurisdictions the home builder's warranty against latent de

Short answer: Not all courts have extended the implied warranty of latent defects to remote grantees.

Rule(s):

- Not all courts have extended the implied warranty of latent defects to remote grantees.
- Courts that apply a privity bar have typically done so on the ground that the warranty is contractual in nature and thus should only run in favor of parties in privity with each other.
- Other courts, perhaps influenced by the foreseeability standards of tort law, but also relying on the equal vulnerability of both initial and remote grantees, have extended the warranty to subsequent purchasers.

Fact-based analysis:

- While the warranty of habitability has roots in the execution of the contract for sale, we emphasize that it exists independently.
- Privity of contract is not required.
- Whether the man, as a remote grantee, is protected by the warranty running from the builder to the woman depends upon which approach governs.

Conclusion: The compelling public policies underlying the implied warranty of habitability should not be frustrated because of the short intervening ownership of the first purchaser; in these circumstances the implied warranty of habitability survives a change of hands in the ownership.

3. Point Two (35%) In most, but not all, jurisdictions the man is not liable on the woman's mortgage ob

Short answer: Because the woman's mortgage obligation to the bank was recorded, the man took the home subject to the mortgage, and the bank's interest had priority over the man's.

Rule(s):

- In some jurisdictions, a remote grantee who did not expressly assume a mortgage may be deemed to have impliedly assumed it where, as here, the remote grantee paid the seller only the difference between what the house was worth and the outstanding balance on the mortgage obligation.
- The rationale for this approach is that "[the grantee's] retention of the vendor's money for the payment of the mortgage imposes upon him the duty of protecting the vendor against the mortgage debt.

- This must be so . . . for it would seem to be almost intolerably unjust to permit him to keep back the . . . [money he would have otherwise paid the vendor to purchase the property].” Heid v.

Fact-based analysis:

- Because the woman’s mortgage obligation to the bank was recorded, the man took the home subject to the mortgage, and the bank’s interest had priority over the man’s.
- Because the bank has priority, it can foreclose on the home if the mortgage is in default.
- Following this approach, the man would be personally liable on the woman’s mortgage obligation if the man assumed (i.e., made a commitment to pay) the mortgage.
- The deed from the woman to the man made no mention of the woman’s mortgage, and the facts do not describe any express agreement.

Conclusion: In a jurisdiction that requires express assumption of a mortgage obligation, the man would not be liable because there is no evidence that he expressly assumed the mortgage. [NOTE: If the man is deemed to have impliedly assumed the mortgage, then the woman is merely a surety and would be liable for any deficiency not paid by the man.

4. Point Three (15%) If the bank successfully forecloses on the man’s home, he cannot recover his loss

Short answer: If a seller conveys land on which there is an unsatisfied encumbrance such as a mortgage, and that encumbrance has priority against the buyer, the seller is liable to the buyer for any loss borne by the buyer only if the seller warranted that there was no such encumbrance against the property.

Rule(s):

- If a seller conveys land on which there is an unsatisfied encumbrance such as a mortgage, and that encumbrance has priority against the buyer, the seller is liable to the buyer for any loss borne by the buyer only if the seller warranted that there was no such encumbrance against the property.
- Had the woman conveyed the land to the man by a warranty deed, that deed would have impliedly included a covenant against encumbrances, and the woman would have been liable to the man for a breach of this covenant.
- A quitclaim deed contains no warranties of title, and the buyer taking under a quitclaim deed has no claim against the seller for damages resulting from encumbrances against the property having a priority over the buyer’s interest.

Fact-based analysis:

- Here, however, the woman conveyed the home to the man by a quitclaim deed.
- Here the bank has priority over the man’s interest because its mortgage was recorded prior to the quitclaim deed to the man, and thus the man had notice of the mortgage from the record.
- The man also had actual notice of the mortgage as evidenced by his making of mortgage payments to the bank.
- Thus, the man is not entitled to any damages from the woman for the loss he sustained as a result of the foreclosure. [NOTE: If the examinee concludes that the man is liable for any deficiency (see Point Two), the man would have a claim against the woman to recover that deficiency on the ground that he was her surety to guarantee payment of the deficiency.]

Conclusion: Thus, the man is not entitled to any damages from the woman for the loss he sustained as a result of the foreclosure. [NOTE: If the examinee concludes that the man is liable for any deficiency (see Point Two), the man would have a claim against the woman to recover that deficiency on the ground that he was her surety to guarantee payment of the deficiency.]

Question call(s): 1. Is the man likely to prevail against the builder to recover the $80,000 he spent to repair the concrete? Explain. | 2. Is the man personally liable for the outstanding balance on the mortgage note between the woman and the bank? Explain. | 3. If the bank is successful in its foreclosure action, will the man be able to recover damages from the woman? Explain.

February 2015 — Question 4

Primary source subject: Real Property

Question summary: This question involves Seventeen years ago, a property owner granted a sewer-line easement to a private sewer company. The easement allowed the company to build, maintain, and use an underground sewer line in a designated sector of the owner's three-acre tract. The core dispute asks Seventeen years ago, a property owner granted a sewer-line easement to a private sewer company. The easement allowed the company to build, maintain, and use an underground sewer line in a designated sector of the owner's three-acre tract.... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- ANALYSIS
- (a) Were the acts of possession by the man, his sister, and the buyer sufficient to acquire a title by adverse possession?
- (b) Can the periods of possession during which the man, his sister, and the buyer occupied the cabin and garden be aggregated for the purpose of satisfying the statutory possession requirement?
- (c) If the acts of possession were sufficient to acquire a title by adverse possession, did the adverse possession claim extend to the entire three-acre tract or only to the portion of land on which the cabin and garden were located?
- Can the buyer recover damages from the man's sister, who gave a warranty deed for the three-acre tract?
- Did the buyer take subject to an underground sewer-line easement created before the adverse possession began? Summary

Relevant facts to use:

- Seventeen years ago, a property owner granted a sewer-line easement to a private sewer company.
- 1.

Condensed sample-answer path:

1. Point One(a) (35%) The acts of possession of the man, his sister, and the buyer were sufficient to a

Short answer: To acquire title by adverse possession, the possession must be (1) actual, (2) open and notorious, exclusive, (4) continuous, and (5) hostile and under claim of right.

Rule(s):

- To acquire title by adverse possession, the possession must be (1) actual, (2) open and notorious, exclusive, (4) continuous, and (5) hostile and under claim of right.
- To be actual, acts of possession must be consistent with how a reasonable owner of land would have used it if in possession.

- To be open and notorious, the acts of possession must be such that they would have put an owner on notice of the adverse possession had the owner inspected the land.

Fact-based analysis:

- Here, all of these requirements were satisfied as to the one-half acre on which the cabin was built and the garden planted.
- The facts state that the possession of the man, his sister, and the buyer was exclusive and continuous, satisfying these two requirements of the test.
- Here, the acts of possession included building and occupying a cabin as well as planting, harvesting, and maintaining a garden.
- Here, the cabin and garden occupied a half acre and were visible.

Conclusion: Thus, because the 10-year statutory period has elapsed, the buyer has acquired title by adverse possession to the one-half-acre portion of the three-acre tract that he, the sister, and the man actually possessed.

2. Point Two (15%) The buyer is entitled to damages from the sister because the sister did not convey t

Short answer: A warranty deed includes numerous covenants.

Rule(s):

- A warranty deed includes numerous covenants.
- Here, the sister did not own the three-acre tract when she purported to convey it to the buyer by a general warranty deed.
- Thus, she was in breach of the covenant of seisin and the right to convey, and the buyer is entitled to damages for that breach. [NOTE: Some examinees may confuse the warranty issue with the concept of marketable title.

Fact-based analysis:

- It is true that the man's sister did not have a marketable title when she conveyed to the buyer because her adverse possession claim was clearly subject to the risk of litigation.
- Nonetheless the buyer agreed to go forward with the transfer, and the sister gave the buyer a warranty deed.
- Had she given the buyer a quitclaim deed, no warranties would have been breached.
- While the deed also includes a covenant of quiet enjoyment and a covenant of warranty, no facts suggest that these have been breached here, as the buyer has not been evicted.] Point Three (15%) The buyer cannot compel the company to remove the sewer line from under the garden because he took subject to the sewer-line easement and probably did not interfere with that easement.

Conclusion: In that case, its failure to do so within the 10-year statutory period would result in the buyer acquiring a title that is superior to both the owner and the sewer company.

Question call(s): 1. Did the buyer acquire title to the three-acre tract or any portion of it? Explain. 2. Assuming that the buyer did not acquire title to the entire three-acre tract, can the buyer recover damages from the sister who sold him the three-acre tract? Explain. 3. Assuming that the buyer acquired title to the entire three-acre tract or the portion above the sewer-line easement, can the buyer compel the sewer company to remove the sewer line under the garden? Explain.

February 2017 — Question 6

Primary source subject: Real Property

Question summary: This question involves On January 1, 2015, a landlord who owned a multi-unit apartment building consisting only of onebedroom apartments leased an apartment in the building to a tenant for a two-year term ending on December 31, 2016, at a monthly rent of $2,000. The tenant immediately took possession of the apartment. The core dispute asks May 1, 2015, the tenant learned that her employer was transferring her to a job overseas to begin on August 1, 2015. On May 2, the tenant emailed the landlord that she needed to vacate the apartment on August 1, but that she had found a... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- ANALYSIS
- Can the landlord argue that he (a) lawfully withheld his consent to the assignment of the lease, (b) did not accept the tenant's surrender of the apartment, and (c) had no duty to mitigate, but even if he did have a duty to mitigate, he had fulfilled that duty?
- Can the tenant argue (a) that the landlord unreasonably refused to consent to the assignment of the lease, (b) that the landlord accepted her surrender of the apartment and therefore is not entitled to unpaid rent, and (c) that even if the surrender was not accepted, the landlord had a duty to mitigate and failed to do so? Summary
- Did the landlord properly withhold consent to an assignment?
- Did the landlord accept the tenant's surrender of the apartment?
- Did the landlord have a duty to mitigate? and

Relevant facts to use:

- On January 1, 2015, a landlord who owned a multi-unit apartment building consisting only of onebedroom apartments leased an apartment in the building to a tenant for a two-year term ending on December 31, 2016, at a monthly rent of $2,000.

Condensed sample-answer path:

1. Point One(a) (20%) The landlord will argue that the lease provision prohibiting assignment without h

Short answer: rent due after the acceptance of surrender; (2) re-let or attempt to re-let the premises on the tenant's behalf, and recover from the tenant damages based on the difference between what the tenant owed for rent and what the landlord collected from re-letting; or (3) leave the premises vacant and sue the tenant for unpaid rent as it accrues.

Rule(s):

- Point One(c) (15%) The landlord will argue alternatively that he had no duty to mitigate or, if he did, that he discharged it.
- In a jurisdiction following the common-law no-mitigation rule, the landlord will argue that he had no duty to mitigate and that, because he did not accept the tenant's surrender (see Point One(b)), he is entitled to the 17 months of unpaid rent.
- In a jurisdiction that has enacted a statute requiring the landlord to mitigate, he will argue that that duty was satisfied.

Fact-based analysis:

- rent due after the acceptance of surrender; (2) re-let or attempt to re-let the premises on the tenant's behalf, and recover from the tenant damages based on the difference between what the tenant owed for rent and what the landlord collected from re-letting; or (3) leave the premises vacant and sue the tenant for unpaid rent as it accrues.
- Here, on July 25, 2015, the tenant vacated the apartment and left the keys in an envelope in the landlord's mail slot with a note stating that she was moving abroad, would not return before the end of the lease, and would not pay any rent from August 1 onward.
- The landlord emailed the tenant the next day and acknowledged that he had found the keys and the note.
- I feel pretty confident that I can find a suitable tenant who is not a lawyer to rent your apartment." The landlord will argue that he did not voluntarily accept the keys; they were merely placed in his mail slot and the statement in his email was merely an offer to attempt to re-let the premises on the tenant's behalf.

Conclusion: The tenant will argue that the landlord accepted her surrender of the premises when he accepted the keys and emailed her, stating, "Although this is a problem you created, I want to be a nice guy and help you out.

2. Point Two(c) (15%) The tenant will argue that even if the landlord did not accept the surrender, he

Short answer: July 2017 MEE Questions and Analyses

Rule(s):

- July 2017 MEE Questions and Analyses

February 2018 — Question 4

Primary source subject: Real Property

Question summary: This question involves A developer acquired a 30-acre tract of land zoned for residential use. The developer thereafter marked out 60 building lots. The core dispute asks Which present title covenants, if any, did the developer breach with respect to the utility easements? Explain. 2. Assuming that there was a breach of one or more of the present title covenants, can the man recover damages from the... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- ANALYSIS
- Which present title covenants, if any, did the developer breach?
- Is the man entitled to damages for breach of the covenant against encumbrances because of the existence of the utility easement, which was plain and obvious?
- Can the man force the utility company to remove the sewer lines from the land?
- Is the man entitled to recover $5,000 from the developer for water damage to his home? Summary
- the covenant of warranty,

Relevant facts to use:

- A developer acquired a 30-acre tract of land zoned for residential use.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Of the three present title covenants, the developer breached the covenant against encumbrances by giving the man a warranty deed that contained no exceptions.

Rule(s):

- Of the three present title covenants, the developer breached the covenant against encumbrances by giving the man a warranty deed that contained no exceptions.
- However, because the utility easements were plain, obvious, or well known to the man, the man should not be able to obtain damages for breach of that covenant.
- Finally, the man can recover damages from the developer for breach of the implied warranty of habitability.

Fact-based analysis:

- Even if the man is not charged with actual notice of the utility easements, because the utility easements were promptly and properly recorded prior to the man's purchase of the home, the man had constructive (record) notice of them; thus, he cannot compel the removal of the sewer lines from the land.
- A warranty deed contains six title covenants, three present covenants and three future covenants.
- The three present covenants are 1. covenant of seisin, a covenant that the grantor owns the land that the deed purports to convey to the grantee; 2. covenant of right to convey, a covenant that the grantor has a right to convey the land; and 3. covenant against encumbrances, a covenant that there is no outstanding right or interest in a third party which does not totally negate the title the grantor purports to convey. [NOTE: A warranty deed also contains three future covenants.
- These warranties of title apply to all easements on the land except to the extent that they have been excepted by the terms of the deed.

Conclusion: Thus, the man should be able to recover all damages for losses resulting from the developer's breach of the warranty.

July 2018 — Question 3

Primary source subject: Real Property

Question summary: This question involves In 2015, a man purchased a convenience store that sells gasoline and snack-type grocery items. The man's store is located within two miles of three other convenience stores that are larger and contain small dining areas. The core dispute asks Is the expansion project a nonconforming use? Explain. 2. Assuming that the expansion project does not violate the zoning classification, is the bank obligated to disburse further funds? Explain. 3. Does the mechanic's lien have priority,... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- ANALYSIS
- Is the expansion project a nonconforming use?
- Under the provisions of the loan commitment, is the bank obligated to disburse further funds?
- Does the mechanic's lien have priority, in whole or in part, over the bank's mortgage? Summary

Relevant facts to use:

- In 2015, a man purchased a convenience store that sells gasoline and snack-type grocery items.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: The expansion is most likely not a nonconforming use because it results in a substantial change in use that may increase the volume of users at the store's location.

Rule(s):

- The expansion is most likely not a nonconforming use because it results in a substantial change in use that may increase the volume of users at the store's location.
- Under the majority rule, the bank has priority with respect to the first future advance ($40,000) because, when it was made, the bank did not have actual notice that the subcontractor had not been paid; advances made after the bank acquired such knowledge do not have priority over the mechanic's lien.
- Under the minority rule, the mechanic's lien is senior to all the future advances but not to the original $50,000 payment because by recording the lien, the subcontractor provided the bank with constructive notice of its interest. [NOTE: An examinee who wrongly concludes that future advances are obligatory should conclude that the bank has priority with respect to all disbursements made under the loan commitment regardless of when made.] Point One (35%) While there are good arguments either way, the expansion to the convenience store is most likely not exempt from the zoning ordinance as a nonconforming use because it would increase the intensity of use.

Fact-based analysis:

- The bank is not obligated to disburse additional funds because the bank and the man entered into a future-advances loan/mortgage arrangement under which future advances depend on the bank's judgment that satisfactory progress is being made on the project.
- Here, the convenience store without any expansion is protected by the nonconforming use provision in the ordinance.
- Thus, the issue here is whether the proposed changes are substantial or insubstantial.
- Because a change would be inconsistent with the zoning law, "any doubts are resolved against the change." Id.

Conclusion: Under the minority view, the bank will be charged with constructive notice of the mechanic's lien if the lien, as here, has been properly recorded.

February 2020 — Question 2

Primary source subject: Real Property

Question summary: This question involves Ten years ago, a woman and her husband purchased a one-story commercial building in a city in State A "as joint tenants with right of survivorship and not as tenants in common." They had a "commuter marriage." The husband lived in an apartment in State A. The woman, who worked for an international... The core dispute asks Ten years ago, a woman and her husband purchased a one-story commercial building in a city in State A "as joint tenants with right of survivorship and not as tenants in common." They had a "commuter marriage." The husband lived in an... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- Did the husband's execution of the mortgage sever the joint tenancy?
- Assuming that the execution of the mortgage did not sever the joint tenancy: (a) Did the husband's later execution of the lease sever the joint tenancy? (b) Assuming further that the lease severed the joint tenancy, then upon the husband's death, what rights, if any, does the tenant have in the building?
- Assuming that neither the mortgage nor the lease severed the joint tenancy: (a) During the spouses' lifetimes, was the woman entitled to half of the rental income payable to her husband under the lease? (b) At the husband's death, what rights, if any, do the woman and the tenant have in the building?

Relevant facts to use:

- Ten years ago, a woman and her husband purchased a one-story commercial building in a city in State A "as joint tenants with right of survivorship and not as tenants in common." They had a "commuter marriage." The husband lived in an apartment in State A.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Because the building is in a "title theory" state, the grant of the mortgage is a title transaction.

Rule(s):

- If the lease severed the joint tenancy, the former joint tenants would own the property as tenants in common after the severance, and then after the husband's death, the tenant's rights in the husband's undivided half interest would continue in that interest for the balance of the lease term.
- If neither the mortgage nor the lease severed the joint tenancy, then even though the lease agreement between the husband and the tenant provided that the rents were to be paid solely to the husband, the woman would be entitled to half of the rental income payable under the lease before the death of the husband.
- Rule, The Law of Property 153 (4th ed.

Fact-based analysis:

- Thus, the husband's grant of the mortgage severed the joint tenancy.
- Similarly, under the common law, a lease is a conveyance and thus a title transaction.
- Thus, at common law the lease by the husband to the tenant would sever the joint tenancy, although not all states adopt this view today.
- Furthermore, upon the husband's death, the woman alone would own the building because she would be the surviving joint tenant.

Conclusion: Thus, the woman also would take the building free and clear of the rights of the tenant.

July 2020 — Question 6

Primary source subject: Real Property

Question summary: This question involves The owner of a two-story building converted it into three two-bedroom apartments. The owner occupied the ground-floor apartment; the other two apartments were rental units. The core dispute asks The owner of a two-story building converted it into three two-bedroom apartments. The owner occupied the ground-floor apartment; the other two apartments were rental units. All the apartment interiors had a similar modern look and design.... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- (a) Was the owner's refusal to rent to men or to lawyers the type of act that is prohibited by the Fair Housing Act of 1968?
- (b) Did the owner's refusal to rent to men cause her to be liable under the Fair Housing Act of 1968?
- Did either the owner or the newspaper publisher violate the Fair Housing Act of 1968 by publishing the owner's rental advertisement?
- Assuming that both the television and the chandelier are affixed or attached to the real estate: (a) Is the television a fixture? (b) Is the chandelier a fixture?
- of the Act provides that the anti-discrimination rule does not apply if the owner occupies one of the units in a multiple-unit dwelling containing no more than four units occupied by persons "living independently of each other." Here, because the owner's building contained only three units, the owner occupied one of the units, and all units were occupied by persons living independently of each other, the exception to the Act's nondiscrimination rule applies. Thus, the owner's refusal to rent to men did not violate the Act. Point Two (15%) The owner and the newspaper publisher violated the Fair Housing Act of 1968 by publishing a for-rent advertisement that expressed a limitation based on sex. Section 3604(c) of the Act makes it unlawful to make, print, or publish, or cause to be made, printed, or published any notice, statement, or advertisement with respect to the sale or rental of a dwelling that indicates any preference, limitation, or discrimination based on race, color, religion, sex, handicap, familial status, or national origin, or an intention to make any such preference, limitation, or discrimination. 42 . § 3604(c). This provision applies not only to a landlord who places an advertisement but also to the publisher of the newspaper in which the advertisement is placed. See generally Singer, Property 587 (3d ed. 2010). See also Ragin v. New York Times Co., 923 . 1991). And unlike § 3603(b)
- , § 3604(c) includes no exception for smaller buildings that are owneroccupied. Thus, both the owner and the newspaper publisher violated the Act when the owner advertised her apartments and specified that only professional women who were not lawyers should apply. Point Three (50% total weight) Under the state law, neither the television nor the chandelier is a fixture because a reasonable person would conclude, based upon all the facts and circumstances relating to the specific personal property, that at the time each was affixed or attached, it was not affixed or attached with the intent to make it a permanent part of the real property. (a) The television (25%) Under the state law, a fixture is defined as "an item of personal property affixed or attached to the real property by the seller unless a reasonable person would conclude, based upon all the facts and circumstances relating to the specific personal property, that the item of personal property at the time it was affixed or attached was not affixed or attached to the real property with the intent to make it a permanent part of the real property." Traditionally, televisions were not fixtures, as they were not attached to the realty. Rather, they sat on the floor or on a piece of furniture. By contrast, televisions today are often wall-mounted, almost never sit on the floor, and infrequently sit on furniture. However, even though the wallmounted television here is affixed or attached to the real property, a number of factors could cause a reasonable person to conclude that the television was not affixed or attached "with the intent to make it a permanent part of the real property." These factors include the following:

Relevant facts to use:

- The owner of a two-story building converted it into three two-bedroom apartments.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary The Fair Housing Act (the Act) disallows discrimination in housing sales or rentals on the basis of sex, among other things, but not occupation.

Rule(s):

- Under the Fair Housing Act, it is unlawful to refuse to rent a dwelling to a person based on the person's "race, color, religion, sex, familial status, or national origin." 42 . § 3604(a).
- To the contrary, it can be easily replaced by another television. (b) The chandelier (25%) Even though the chandelier is affixed or attached to the real property, a reasonable person should conclude that the chandelier was not affixed or attached "with the intent to make it a permanent part of the real property." The argument in favor of this conclusion is that the chandelier is unlike other light fixtures in all the apartments in the building.
- An examinee, however, should receive no credit for discussing the manner of affixation or attachment, as the facts assume that criterion has been met here.

Fact-based analysis:

- Thus, the owner's refusal to rent to lawyers did not violate the Act.
- Thus, the owner's refusal to rent to men did not violate the Act.
- This provision applies not only to a landlord who places an advertisement but also to the publisher of the newspaper in which the advertisement is placed.
- Thus, both the owner and the newspaper publisher violated the Act when the owner advertised her apartments and specified that only professional women who were not lawyers should apply.

Conclusion: If an examinee makes a cogent argument that a reasonable person would conclude that the chandelier was affixed with the intent to make it a permanent part of the real property, the examinee should receive credit. [NOTE #2: A proposed new Restatement of Property would eliminate the common law affixation requirement and focus, as this question does, on intent.] February 2021 MEE Questions and Analyses Contents

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February 2021 — Question 5

Primary source subject: Real Property

Question summary: This question involves Thirty years ago, a man purchased a 170-acre tract of farmland. The farmland was bordered on the east by a county road that connected to the main street of a small town where the man worked in the local feed store. The core dispute asks Thirty years ago, a man purchased a 170-acre tract of farmland. The farmland was bordered on the east by a county road that connected to the main street of a small town where the man worked in the local feed store. On the west, the... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- Before the man's conveyance to the builder, did the friend have an implied easement from prior use over the man's 80 acres because (a) at one time the 90 acres and the 80 acres were in common ownership; (b) prior to its

sale to the woman, the 90-acre parcel derived a benefit from the 80 acres retained by the man; (c) the use of the gravel road over the 80 acres was apparent; (d) the use of the gravel road over the 80 acres was continuous; and (e) the continuation of the use of the gravel road over the 80 acres was reasonably necessary to the enjoyment of the 90 acres?
- Assuming that the friend had an implied easement from prior use over the man's 80 acres, did the builder take ownership of the 80 acres free and clear of that easement?
- . Here, the facts support the conclusion that the continuity requirement is met, whichever test is used. The man used the road to get to work and visit other communities distant from his land. While the Third Restatement does not expressly state that the use must be continuous, it adopts a similar requirement by stating that "the prior use was not merely temporary or casual." 12
- see also Hovenkamp et al., supra, at 319, cmt. [2].

Relevant facts to use:

- Thirty years ago, a man purchased a 170-acre tract of farmland.
- 1.

Condensed sample-answer path:

1. Point One(e) (20%) The continuation of the use of the gravel road over the 80 acres was reasonably n

Short answer: builder's chain of title, because the builder was on "inquiry" notice of the easement and thus is not a bona fide purchaser.

Rule(s):

- Where, as here, the easement is clearly visible to any observer, a subsequent purchaser for value (here, the builder) is on inquiry notice of the easement and thus is not a bona fide purchaser protected by the recording acts.

Fact-based analysis:

- builder's chain of title, because the builder was on "inquiry" notice of the easement and thus is not a bona fide purchaser.

Conclusion: Inquiry notice is notice of interests in the property that would be revealed by a reasonable inspection of the premises or by making an inquiry suggested by facts known to the purchaser.")

Question call(s): 1. Before the man's conveyance to the builder, did the friend have an implied easement from prior use over the man's 80 acres? Explain. 2. Assuming that the friend had an implied easement from prior use, did the builder take ownership of the 80 acres free and clear of that easement? Explain.

July 2022 — Question 6

Primary source subject: Real Property

Question summary: This question involves In 2015, Oscar validly conveyed an apartment building that he owned to my grandson Frank and his heirs so long as at least four apartments in the apartment building are rented to families with incomes below the state median income for a family of their size. If at any time fewer than four... The core dispute asks In 2015, Oscar validly conveyed an apartment building that he owned to my grandson Frank and his heirs so long as at least four apartments in the apartment building are rented to families with incomes below the state median income for a... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- (a) What are the interests of Wanda, Adele, and upon Adele's death, Frank, in the family home?
- (b) As between Wanda and Frank, who is obligated to pay the property taxes on the family home?
- Upon conveying the apartment building to Frank, what if any interest did Oscar have in the apartment building, and was that interest valid?
- Upon Oscar's death, what if any interest does Wanda have in the apartment building, and is that interest valid?
- After February 1, 2021, who owns the apartment building?

Relevant facts to use:

- In 2015, Oscar validly conveyed an apartment building that he owned to my grandson Frank and his heirs so long as at least four apartments in the apartment building are rented to families with incomes below the state median income for a family of their size.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Wanda has a life estate in the family home.

Rule(s):

- Wanda's reversionary interest is valid under the Uniform Statutory Rule Against Perpetuities because from the moment of its creation in Oscar it was vested, and it did not lose that characterization because it was later bequeathed to Wanda.
- When, on February 1, 2021, Frank ceased renting any apartments in the building to belowmedian-income families, his estate automatically terminated and full title to the building (i.e., a title free of Frank’s interest) automatically returned to Wanda as the devisee of Oscar’s retained interest.
- When Adele died and devised her interest to Frank, he succeeded to Adele’s vested reminder.

Fact-based analysis:

- As between Wanda, the life tenant, and Frank, the remainderman, the obligation to pay current property taxes is on Wanda because she is the life tenant.
- As a result of this conveyance, Oscar retained a reversionary interest in the property.
- 2020). (b) Payment of property taxes (20%) Wanda, as life tenant, must pay the property taxes on the family home.
- As life tenant, Wanda has the exclusive right to use the property during her lifetime, including the right to rent the property to others to generate income.

Conclusion: Thus, after February 1, 2021 (when Frank stopped renting to low-income tenants), Wanda owns the building in fee simple or fee simple absolute.

February 2023 — Question 5

Primary source subject: Real Property

Question summary: This question involves In 1901, Smith owned a three-acre undeveloped parcel of land in State A. He validly subdivided the parcel into two lots. The core dispute asks In 1901, Smith owned a three-acre undeveloped parcel of land in State A. He validly subdivided the parcel into two lots. Both undeveloped lots remained in the Smith family until 2005, when John purchased the lot that comprised the western... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- In 2020, did Wendy acquire title by adverse possession to the Central Acre?
- Assuming that Wendy did acquire title by adverse possession to the Central Acre in 2020, did she also acquire title to the Western Acre in that year?
- Assuming that Wendy did acquire title by adverse possession to the Central Acre in 2020, did she also acquire title to the Eastern Acre in that year?
- neither John nor Mary had a cause of action for the full 10 years,
- Mary was a minor in 2016 when she inherited the cause of action from John, and
- Wendy ceased being in possession of the Central Acre on January 1, 2022. None of these factors, however, are sufficient to conclude that Wendy did not acquire title by adverse possession to the Central Acre. Tacking (15%) For the purpose of determining whether the adverse-possession statutory period has run when successive owners of property are in privity with one another, the time period for bringing an action against a wrongdoer in possession is determined by adding together the time each owner had to bring the action. Sheldon F. Kurtz, Thomas P. Gallanis & Herbert Hovenkamp, The Law of Property, An Introductory Survey § 4.6 at 73 (7th ed. 2018). This principle is called tacking. Among other things, privity exists when the second person inherited the land owned by the first person. Id. Here John had a cause of action against Wendy to recover the title or possession of the Central Acre for six years beginning in 2010 when Wendy entered the Central Acre, and Mary, John's sole heir, had a cause of action against Wendy for four years beginning in 2016. While neither of them had a cause of action against Wendy for 10 years, because Mary inherited the Central Acre from John, the times each could have sued Wendy (6 and 4 years respectively) are aggregated for the purpose of determining whether the 10-year period has run. Here it did. Disability (30%) Here the governing statute provides that if, at the time the cause of action for possession accrues, the holder of the cause of action is a minor, the time to bring the cause of action against the possessor is extended by such period as the statute provides. This concept is known as "tolling." (While not relevant here, many states also allow tolling if the holder of the cause of action is mentally incompetent or imprisoned.) In common with the law of other states, here tolling applies only if the person who had the cause of action when the adverse possessor first entered the land at issue was a minor at that time. Tolling does not apply if, after the possessor wrongfully enters the land, a person who is a minor succeeds to the cause of action, as occurred here in 2016. Thus, the fact that Mary was a minor when she acquired the cause of action is irrelevant in determining whether the 10-year statute has run. Id. at 74. See also Dale A. Whitman, Ann M. Burkhart, R. Wilson Freyermuth & Troy A. Rule, The Law of Property at 748–49 (4th ed. 2019). Continuity (5%) To acquire title by adverse possession, the possessor must have been in continuous possession for the statutory period. Once the statutory period has run, the possessor acquires a fee simple title. That adverse possession title is not derived from the former owner(s) who were adversely possessed; it begins a new chain of title. Whitman et al., supra, at 748. Thus, Wendy's wrongful possession ripened into a fee simple on January 1, 2020. The facts state that between January 1, 2010, and January 1, 2020, Wendy's possession was continuous. For adverse possession purposes, that is the only period to which the continuity requirement applies. The fact that Wendy ceased to occupy the Central Acre after she acquired a fee simple title to it is

therefore irrelevant. Id. at 754–55. Point Two (30%) Most likely, Wendy acquired title to the Western Acre under the doctrine of constructive adverse possession because John (and later Mary) owned both the Central Acre and the Western Acre. While ordinarily a possessor cannot acquire a title by adverse possession unless the possessor goes into actual possession of land, there is an important exception. It is known as the doctrine of "constructive adverse possession." If a possessor enters under a "colorable" document but only takes possession of a portion of the entire area described in the document, the possessor may claim any additional portion of the entire area described in the document if (a) the area of the additional portion is reasonable in size, (b) the additional portion is adjacent to the portion of the area actually possessed, and (c) the portion possessed and the portion not possessed are owned by the same person. See Whitman et al., supra, at 750–51; Kurtz et al., supra, at 98. Here, Wendy went into actual possession of the Central Acre, which was owned by John. Wendy did not take actual possession of the Western Acre. However, because the Western Acre was part of the land conveyed to Wendy by a colorable instrument and Wendy went into actual possession of only a portion of the land described by that instrument, she can claim the Western Acre by constructive adverse possession if the Western Acre is reasonable in size. The Western Acre constituted 50% of the two acres owned by John, creating a fact question to be determined by the court as to whether the area described in the document is reasonable in size under the reasonableness requirement. [NOTE: Most likely a court would find that the Western Acre is reasonable in size and quiet title to it in Wendy. However, an argument could be made that the Western Acre is unreasonable in size. If a court were to adopt that conclusion, Wendy would not acquire title by constructive adverse possession to the Western Acre.] Point Three (5%) Wendy did not acquire a title by adverse possession to the Eastern Acre because the Eastern Acre was owned by Beth, and not by John or Mary. The doctrine of constructive adverse possession does not apply with respect to land adjacent to the possessed land if the adjacent land was owned by a person who did not have a cause of action for possession against the adverse possessor of land which the adverse possessor actually possessed. Kurtz et al., supra, at 100. Here Wendy actually possessed the Central Acre. But Beth had no cause of action against Wendy to recover the Central Acre, as it was owned successively by John and then Mary, and Beth had no cause of action against Wendy for possession of the Eastern Acre because that land was vacant. Thus, constructive adverse possession will not apply to allow Wendy to acquire an adverse possession title to the Eastern Acre. See id.

Relevant facts to use:

- In 1901, Smith owned a three-acre undeveloped parcel of land in State A.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary In 2020, Wendy acquired title by adverse possession to the Central Acre because for the entire 10-year statutory period she was in actual, open and notorious, continuous, and exclusive possession of the Central Acre in a manner that was hostile and under claim of right.

Rule(s):

- Under that doctrine, an adverse possessor adversely acquires title to land not actually possessed if the possessor entered under a colorable instrument, as here, describing both the land possessed and adjacent land owned by the same owner that was not actually possessed.
- Principles of Adverse Possession (15%) To acquire title by adverse possession, a possessor must wrongfully enter the land of another triggering a cause of action for possession by the true owner of the land.
- Once the cause of action accrues, the wrongdoer’s possession must be actual, open and notorious, continuous, exclusive, and hostile and under claim of right for the entire statutory period over which the true owner could have sued.

Fact-based analysis:

- Thus, Wendy acquired title to both acres in 2020.
- While the Eastern Acre was covered by the quitclaim deed from Smith's descendant to Wendy, it was not owned by John when Wendy entered the Central Acre.
- Because Wendy did not possess any land owned by Beth, the 10-year statute of limitations did not run against Beth, and therefore Wendy did not acquire title to the Eastern Acre by adverse possession.
- Here Wendy (the adverse possessor) possessed the Central Acre in a manner that was actual, open and notorious, continuous, exclusive, and hostile and under claim of right from 2010 to 2022, more than the statutory 10-year period.

Conclusion: Thus, constructive adverse possession will not apply to allow Wendy to acquire an adverse possession title to the Eastern Acre.

February 2024 — Question 4

Primary source subject: Real Property

Question summary: This question involves On November 1, 2020, a landlord leased an apartment to Tom for $1,300 per month based on a signed, written "term-of-years lease" for a three-year term to begin on January 1, 2021, and end on December 31, 2023. The lease provided that Tom could neither assign nor sublet the apartment "without the... The core dispute asks On November 1, 2020, a landlord leased an apartment to Tom for $1,300 per month based on a signed, written "term-of-years lease" for a three-year term to begin on January 1, 2021, and end on December 31, 2023. The lease provided that Tom... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- (a) If a court were to hold that Tom could have rightfully terminated the lease because Helen held over, what rule would the court apply and what would be the rationale for that rule?
- (b) If a court were to hold that Tom could not have rightfully terminated the lease because Helen held over, what rule would the court apply and what would be the rationale for that rule?
- Under the terms of the lease, did the landlord rightfully refuse to consent to Tom's proposed assignment of the lease to his friend?
- Following Tom's failure to vacate the apartment, could the landlord rightfully treat Tom as a year-to-year periodic tenant subject to the provisions of the expired lease?

Relevant facts to use:

- On November 1, 2020, a landlord leased an apartment to Tom for $1,300 per month based on a signed, written "term-of-years lease" for a three-year term to begin on January 1, 2021, and end on December 31, 2023.

Condensed sample-answer path:

1. Point Two (33%) The landlord rightfully refused to consent to the assignment. In some jurisdictions,

Short answer: With respect to a holdover tenant, a landlord has the right to treat that tenant as an ongoing wrongdoer in possession of the landlord's property and sue for possession.

Rule(s):

- If the landlord elects to treat the holdover tenant as a periodic tenant, the nondurational provisions of the periodic tenancy are the same as those stated in the lease that terminated.
- A holdover tenant has neither the right to limit his extended time of possession to a period convenient to him nor the right to insist on paying rent at the current market rate. [NOTE #2: The periodic tenancy could be year-to-year or month-to-month depending on the jurisdiction.

Fact-based analysis:

- With respect to a holdover tenant, a landlord has the right to treat that tenant as an ongoing wrongdoer in possession of the landlord's property and sue for possession.
- Alternatively, the landlord can elect to treat the holdover as a periodic tenant.
- Accordingly, in this case, the rent owed by Tom during the periodic tenancy would be equal to the rent stated in the lease even though that rent is higher than the current market rate. [NOTE #1: The fact that Tom held over for only a few days and the fact that the amount of rent payable during the periodic tenancy is higher than the current market rate are irrelevant to whether the election was proper.

Conclusion: Regardless, because the question does not ask what period the tenancy should be, no additional credit should be given for such discussion.]

July 2024 — Question 1

Primary source subject: Real Property

Question summary: This question involves Four years ago, Connie, a professional homebuilder, purchased a five-acre, rectangular tract of land. On its western side, the tract was bordered by land owned by Diane. The core dispute asks Does Adam have a cause of action against Connie based on the crack in the house's foundation? Explain. 2. Does Adam have a cause of action against Connie based on Diane's ownership of a portion of the tract by adverse possession? Explain.... Main issues tested include estates, conveyancing, recording, landlord-tenant rules, easements, mortgages, adverse possession, and co-tenancy.

Issues tested:

- Does Adam have a cause of action against Connie for damage to his house resulting from the crack in the foundation based upon the implied warranty of habitability or the implied warranty of workmanlike construction?
- Does Adam have a cause of action against Connie resulting from Diane's successful adverse possession claim because the deed was from Connie to Bert, not to Adam, and excluded from the warranties "all titles, covenants, and restrictions on record with the county recorder"?
- Does Adam have a cause of action against Bert resulting from Diane's successful adverse possession even though Adam took title from Bert by a quitclaim deed?
- Does Adam have a cause of action against Connie resulting from the neighbor's claim of an easement by necessity even though the deed was from Connie to Bert, not to Adam, and excluded "all titles, covenants, and restrictions on record with the county recorder"?

Relevant facts to use:

- Four years ago, Connie, a professional homebuilder, purchased a five-acre, rectangular tract of land.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Whether Adam has a cause of action against Connie based on the crack in the house's foundation depends on the jurisdiction in which the house is located.

Rule(s):

- Summary Whether Adam has a cause of action against Connie based on the crack in the house's foundation depends on the jurisdiction in which the house is located.
- In some states, the sale of a new house includes an implied warranty of habitability or an implied warranty of workmanlike construction.
- However, among those jurisdictions that recognize such an implied warranty, only some hold that the warranty extends from builders like Connie to downstream buyers like Adam.

Fact-based analysis:

- Adam has no cause of action against Connie resulting from Diane’s adverse possession because the deed from Connie to Bert excluded from the warranty "all titles, covenants, and restrictions on record with the county recorder." Diane’s claim was on the record and thus was excepted from the warranty because, as the facts clearly state, she had a court judgment on her adverse possession claim, and a court judgment affecting the title of real property is part of the land records.
- Adam has no cause of action against Bert resulting from Diane's adverse possession because Adam took title from Bert under a quitclaim deed and quitclaim deeds contain no warranties of title.
- Whether Adam has a cause of action against Connie resulting from the neighbor’s claim of an easement by necessity depends on the jurisdiction in which the house is located.
- In some jurisdictions, Adam has no claim against Connie, even though the easement was not excluded from the warranty deed, because the easement would have been plain and obvious to Adam had he inspected the land when he purchased it.

Conclusion: If Connie had conveyed the land to Bert by a special warranty deed, another reason that Adam would have no claim against Connie under Issue #2 might be that the statute of limitations that benefited Diane had fully run before Connie acquired the land.

Torts

February 2008 — Question 2

Primary source subject: Torts

Question summary: This question involves MEE Question 2 Last month, Paul attended a fund-raising lunch at Library, where he purchased and ate a chicken salad sandwich. Later that day, he became severely ill and was diagnosed with food poisoning. The core dispute asks Can Library be found liable to Paul under a strict liability theory? Explain. 2. Can Supermarket be found liable to Paul under a strict liability theory? Explain. 3. Can Ann, Bill, and Chuck be found liable to Paul under either a strict... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Issues tested:

- Is Library, an occasional, noncommercial product seller, strictly liable to Paul?
- (a) Is Supermarket, a commercial product seller, strictly liable for injuries to Paul when it did not produce or alter the defective product and did not sell the product to Paul?
- (b) Is a product defective when the risk cannot be eliminated and the product comes with adequate warnings?
- May Paul recover damages from any of Ann, Bill, or Chuck when he cannot show who was negligent and caused his injury?

Relevant facts to use:

- MEE Question 2
- Last month, Paul attended a fund-raising lunch at Library, where he purchased and ate a chicken salad sandwich.
- Several other people also became sick after eating at the lunch, and the Health Department determined that the chicken salad was contaminated with salmonella bacteria.
- The Reading Club had initiated and planned the Library's first and only fund-raising lunch.

Condensed sample-answer path:

1. Point One: Strict products liability is only available against commercial product sellers. Thus Libr

Short answer: "One who sells any product in a defective condition unreasonably dangerous to the user or consumer . . . is subject to liability for physical harm thereby caused. . . ." RESTATEMENT (SECOND) OF TORTS § 402A (1966).

Rule(s):

- In that action, he would not need to establish negligence on the part of Library.

Fact-based analysis:

- Thus, if Library had been a restaurant or other commercial entity, Paul would have a viable products liability action.
- Because the facts do not establish that Library is a commercial seller, Paul's action against Library will fail on that ground.

Conclusion: Because the facts do not establish that Library is a commercial seller, Paul's action against Library will fail on that ground.

2. Point Two(a): A commercial seller may be found strictly liable for a defective product it sells even

Short answer: Strict products liability applies to all commercial sellers.

Rule(s):

- Even a retailer who has no control over the design and manufacture of a product may be found strictly liable if that retailer sells a defective product.
- Because Supermarket is a commercial seller, it may be found liable if the chicken it sold was defective.
- Modern products liability law applies to bystanders as well as purchasers.

Fact-based analysis:

- The "privity of contract" approach has everywhere been abandoned.

3. Point Two(b): A product seller is liable only for a defective product. Because the risk of salmonell

Short answer: A product is defective when it is unreasonably dangerous.

Rule(s):

- A product is defective when it is unreasonably dangerous.
- A product may be defective because it has a manufacturing defect, because it is defective in design, or because it provides inadequate instructions or warnings.

Fact-based analysis:

- Thus, the chicken conformed to the producer's specifications, and those specifications could not be altered.
- Because the chicken was not defective, Paul cannot recover damages from Supermarket.

Conclusion: Because the chicken was not defective, Paul cannot recover damages from Supermarket.

4. Point Three: Paul could recover on a negligence theory against Ann, Bill, or Chuck if, and only if,

Short answer: The Health Department said that someone who made the chicken salad that Paul ate used improper precautions.

Rule(s):

- Even though Paul cannot show how the negligence occurred, he could still recover if only one individual had made the salad.
- In such a situation, Paul could use the doctrine of res ipsa loquitur, which permits the jury to infer negligence when "the event is of a kind which ordinarily does not occur in the absence of negligence; . . . other responsible causes . . . are sufficiently eliminated by the evidence; . . . and the indicated negligence is within the scope of the defendant's duty to the plaintiff." RESTATEMENT (SECOND) OF TORTS § 328D(1)(a)–(c).
- The salad preparers owed a duty to Paul as he was a lunch patron who would foreseeably have been expected to consume the chicken salad.

Fact-based analysis:

- Thus, because Paul cannot show which defendant was negligent, he cannot recover damages from Ann, Bill, or Chuck.

Conclusion: Moreover, even if a products liability action were available, it would still be necessary to identify the source of the defective product, here the contaminated chicken salad.

Question call(s): 1. Can Library be found liable to Paul under a strict liability theory? Explain. | 2. Can Supermarket be found liable to Paul under a strict liability theory? Explain. | 3. Can Ann, Bill, and Chuck be found liable to Paul under either a strict liability or negligence theory? Explain.

February 2009 — Question 7

Primary source subject: Torts

Question summary: This question involves MEE Question 7 Tenant lives in Landlord's apartment building. The furnace in the building was inoperable during three periods last winter, causing the loss of heat and hot water. The core dispute asks A state statute provides that "every apartment building . . . and every part thereof shall be kept in good repair. The owner shall be responsible for compliance . . . . A violation shall be punishable by a fine not exceeding $500." Nephew,... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Issues tested:

- Does Nephew have a cause of action against Tenant for negligence?
- What is the standard of care applicable to Nephew?
- Will Nephew's negligence prevent Nephew from recovering damages from Tenant or Landlord?
- Did Landlord's violation of a state statute requiring that every part of a building be kept "in good repair" represent negligence per se?
- Was Landlord's failure to repair the furnace a proximate cause of Nephew's injuries?

Relevant facts to use:

- MEE Question 7
- Tenant lives in Landlord's apartment building.
- On March 25, the furnace again broke down.
- In order to bathe from March 25 through April 5, Tenant heated a large pot of water on the stove.

Condensed sample-answer path:

1. Point One: A reasonable jury could conclude that Tenant was negligent and that his negligence caused

Short answer: In any negligence action, a plaintiff must show that the defendant owed the plaintiff a duty to conform his conduct to a standard necessary to avoid an unreasonable risk of harm to others, that the defendant's conduct fell below the applicable standard of care, and that the defendant's conduct was both the cause in fact and the proximate cause of his injuries.

Rule(s):

- In any negligence action, a plaintiff must show that the defendant owed the plaintiff a duty to conform his conduct to a standard necessary to avoid an unreasonable risk of harm to others, that the defendant's conduct fell below the applicable standard of care, and that the defendant's conduct was both the cause in fact and the proximate cause of his injuries.
- Nephew would have no difficulty in establishing that Tenant owed him a duty of care.
- A reasonable, prudent person takes precautions to avoid foreseeable risks.

Fact-based analysis:

- Thus, Tenant owed Nephew an obligation to exercise reasonable care to avoid foreseeable risks.
- Tenant's failure to take precautions appears to have been a substantial factor in producing the accident.
- Thus, based on the facts, a jury could properly award damages to Nephew.

Conclusion: Thus, based on the facts, a jury could properly award damages to Nephew.

2. Point Two: Although Nephew's age makes it unlikely, a jury could find that Nephew was negligent and

Short answer: Nephew, like Tenant, had a duty to prevent foreseeable risks to himself and others.

Rule(s):

- Nephew, like Tenant, had a duty to prevent foreseeable risks to himself and others.
- A few jurisdictions apply the so-called "tender years doctrine," under which a minor of less than seven years of age cannot be found negligent, but Nephew was age eight when the accident occurred.
- To an adult, this conduct would create a foreseeable risk of collision with someone walking in the hall.

Fact-based analysis:

- Therefore, it is possible, but not likely, that a jury would find that Nephew's conduct was negligent.

Conclusion: Therefore, it is possible, but not likely, that a jury would find that Nephew's conduct was negligent.

3. Point Three: Even if the jury found that Nephew was negligent in running into the hall, under modern

Short answer: comparative negligence rules, Nephew's negligence would reduce his recovery from Tenant but would not eliminate Tenant's liability.

Rule(s):

- comparative negligence rules, Nephew's negligence would reduce his recovery from Tenant but would not eliminate Tenant's liability.
- At common law, if the jury found the plaintiff's negligence to be a cause in fact and proximate cause of his injuries, the plaintiff could not recover from the defendant.
- Under the modern "comparative negligence" approach, if the jury finds that two or more parties are negligent, it apportions fault between them.

Fact-based analysis:

- Thus, even if the jury found Nephew to be negligent, that finding would reduce his recovery from Tenant but would not eliminate Tenant's liability, except in a state that has preserved the all-or-nothing approach to contributory negligence or in a comparative negligence state where recovery is barred if the victim was more than 50 percent negligent.

Conclusion: Thus, even if the jury found Nephew to be negligent, that finding would reduce his recovery from Tenant but would not eliminate Tenant's liability, except in a state that has preserved the all-or-nothing approach to contributory negligence or in a comparative negligence state where recovery is barred if the victim was more than 50 percent negligent.

4. Point Four: The unexcused violation of a statutory standard is negligence per se if the statute was

Short answer: The governing state statute requires that "every apartment building . . . and every part thereof shall be kept in good repair." Arguably, Landlord violated the statute, as the furnace was "part" of the "apartment building" owned by Landlord, and it malfunctioned on three different occasions before Landlord took steps to correct the problem permanently.

Rule(s):

- The governing state statute requires that “every apartment building . . . and every part thereof shall be kept in good repair.” Arguably, Landlord violated the statute, as the furnace was “part” of the “apartment building” owned by Landlord, and it malfunctioned on three different occasions before Landlord took steps to correct the problem permanently.
- See EPSTEIN, supra, at 259–60 (describing conflicting authority on whether statutes criminalizing the act of leaving a key in a car ignition are designed to protect against injuries caused by a car thief).

Fact-based analysis:

- “An actor is negligent if, without excuse, the actor violates a statute that is designed to protect against the type of accident the actor’s conduct causes, and if the accident victim is within the class of persons the statute is designed to protect.” RESTATEMENT (THIRD) OF TORTS § 14 (P.F.D.
- Nephew, as the guest of a tenant, is within the class of persons the statute is designed to protect.
- However, it is not clear that the accident which occurred—burns due to a collision—was within the category of harms the statute was designed to protect against.

5. Point Five: In a negligence action, a defendant is liable only if his conduct was the proximate caus

Short answer: It is unclear whether Landlord’s failure to repair the furnace was a proximate cause of Nephew’s injuries. (Indeed, the “right type of harm” requirement for use of a statutory standard to establish negligence is probably just another way of stating the proximate cause requirement.) Even when the defendant is negligent, his conduct must have “such an effect in producing the harm as to lead reasonable men to regard it as a cause, using that word in the popular sense, in which there always lurks the idea of responsibility, rather than in the so-called ‘philosophic sense,’ which includes every one of the great number of events without which any happening would not have occurred.” RESTATEMENT (SECOND) OF TORTS § 431, cmt. a.

Rule(s):

- It is unclear whether Landlord’s failure to repair the furnace was a proximate cause of Nephew’s injuries. (Indeed, the “right type of harm” requirement for use of a statutory standard to establish negligence is probably just another way of stating the proximate cause requirement.) Even when the defendant is negligent, his conduct must have “such an effect in producing the harm as to lead reasonable men to regard it as a cause, using that word in the popular sense, in which there always lurks the idea of responsibility, rather than in the so-called ‘philosophic sense,’ which includes every one of the great number of events without which any happening would not have occurred.” RESTATEMENT (SECOND) OF TORTS § 431, cmt. a.
- Intervening actors or events that produce harm different in kind from that which one would normally anticipate from the defendant’s negligence may break the chain of causation and lead a fact-finder to conclude that the defendant’s acts are not the proximate cause of the plaintiff’s injury.
- Thus, a defendant who negligently exceeds a speed limit and therefore happens to be on the spot where a tree falls during a violent windstorm is not liable for injuries caused by the tree (see Berry v.

Fact-based analysis:

- On similar facts, courts have not agreed on whether a landlord’s conduct was the proximate cause of a plaintiff’s injury.
- Some courts have found that the landlord’s negligence in failing to timely repair a furnace is too remote from burn injuries like Nephew’s based on the intervening and arguably unforeseeable conduct of actors like Nephew and Tenant as well as the nature of the injuries, which are different in kind from those that would typically be produced by an inoperable heating system.

Conclusion: The applicant should receive full credit if he or she recognizes and discusses the applicable legal principles.]

Question call(s): 1. From Tenant? Explain. | 2. From Landlord? Explain.

February 2010 — Question 4

Primary source subject: Torts

Question summary: This question involves Penny lives in an apartment on Oak Street across from the Fernbury Baseball Park ("the Park"). The Park is owned and maintained by the Fernbury Flies, a professional minor league baseball team. The core dispute asks Does Penny have a viable tort claim against Dennis? Explain. 2. Does Penny have a viable tort claim against the Fernbury Flies? Explain. Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Relevant facts to use:

- Penny lives in an apartment on Oak Street across from the Fernbury Baseball Park ("the Park").
- The section of Oak Street that adjoins the Park was once lined with single-family homes.
- The ball that struck Penny was one of the longest that had been hit at the Park since its construction 40 years ago.
- The Park is surrounded by a 10-foot-high fence, which was built during the Park's construction.

Condensed sample-answer path:

1. Point One (25%) Dennis did not commit a battery when the ball he hit struck Penny. Therefore Penny d

Short answer: In a battery action, the plaintiff must show that the defendant intentionally caused a harmful or offensive bodily contact.

Rule(s):

- In a battery action, the plaintiff must show that the defendant intentionally caused a harmful or offensive bodily contact.
- A defendant intentionally causes such a contact if he "acts with the desire to bring about that harm" or engages "in action knowing that harm is substantially certain to occur." RESTATEMENT (THIRD) OF TORTS § 1, cmt. d.

Fact-based analysis:

- In this case, Dennis neither desired to bring about a harmful contact between the baseball and Penny nor, in light of his location inside the Park, could he have known that such a contact would or was substantially certain to occur.
- As a result, Penny does not have a viable battery claim against Dennis.

Conclusion: As a result, Penny does not have a viable battery claim against Dennis.

2. Point Two (25%) Dennis was not negligent in hitting the ball that struck Penny over the Oak Street f

Short answer: In a negligence action, the plaintiff must show that the defendant owed the plaintiff a duty to conform his conduct to a standard necessary to avoid an unreasonable risk of harm to others, that the defendant's conduct fell below the applicable standard of care, and that the defendant's conduct was both the cause in fact and the proximate cause of the plaintiff's injuries.

Rule(s):

- In a negligence action, the plaintiff must show that the defendant owed the plaintiff a duty to conform his conduct to a standard necessary to avoid an unreasonable risk of harm to others, that the defendant's conduct fell below the applicable standard of care, and that the defendant's conduct was both the cause in fact and the proximate cause of the plaintiff's injuries.
- A reasonable, prudent person takes appropriate precautions to avoid foreseeable risks; in measuring whether a particular precaution was warranted, the jury weighs the burden of taking such precautions against the gravity of the risk and the likelihood that it will eventuate.

Fact-based analysis:

- Here the burden of taking the precaution against the risk is high.
- Thus Dennis was not negligent in hitting the ball that caused Penny's injury.

Conclusion: Thus Dennis was not negligent in hitting the ball that caused Penny's injury.

3. Point Three (10%) Penny does not have a viable claim against the Flies based on the team's employmen

Short answer: An employer is vicariously liable for the tortious actions of his employee that are within the scope of the tortfeasor's employment.

Rule(s):

- An employer is vicariously liable for the tortious actions of his employee that are within the scope of the tortfeasor's employment.

Fact-based analysis:

- In this case, there is no question that Dennis was acting within the scope of his employment; he was a baseball player engaged in hitting a baseball.
- Therefore, the Flies are not vicariously liable for his conduct.

Conclusion: Therefore, the Flies are not vicariously liable for his conduct.

4. Point Four (25%) Penny may have a viable negligence action against the Flies based on the team's fai

Short answer: Just as a jury would measure Dennis's conduct against the actions of a reasonable, prudent person engaged in a like activity, it would measure the Flies' conduct in constructing and maintaining the Oak Street fence against that of a reasonably prudent ballpark owner.

Rule(s):

- Custom is relevant in a negligence action, but it is not determinative.
- Thus, even though the Flies' conduct conformed to the industry standard, Penny may succeed in her negligence action if she can establish that the cost of adding netting to the fence was relatively modest in relation to the risk of injuries from balls exiting the Park onto Oak Street.
- Given the changed character of the street, the increasing number of balls hit onto the street in recent years, and the widespread adoption of netting in another country, it is possible that Penny may succeed in making such a showing.

Conclusion: Thus, even though the Flies' conduct conformed to the industry standard, Penny may succeed in her negligence action if she can establish that the cost of adding netting to the fence was relatively modest in relation to the risk of injuries from balls exiting the Park onto Oak Street.

5. Point Five (15%) Because a tort defendant "takes his victim as he finds him," Penny could recover fo

Short answer: A tort defendant takes his victim as he finds him.

Rule(s):

- A tort defendant takes his victim as he finds him.

Fact-based analysis:

- Because Penny's sensitivity to the prescribed medication was a preexisting condition, if Penny succeeds in her lawsuit against the Flies, she could recover for all injuries suffered as a result of that sensitivity.

Conclusion: Because Penny's sensitivity to the prescribed medication was a preexisting condition, if Penny succeeds in her lawsuit against the Flies, she could recover for all injuries suffered as a result of that sensitivity.

Question call(s): 1. Does Penny have a viable tort claim against Dennis? Explain. | 2. Does Penny have a viable tort claim against the Fernbury Flies? Explain.

February 2011 — Question 4

Primary source subject: Torts

Question summary: This question involves After recent terrorist threats, Metro Opera (Metro) decided to place metal detectors in its lobby. Metro also marked off an area just beyond the metal detectors in which to search patrons who failed the metal-detector test. The core dispute asks Can Claimant establish a prima facie case of battery against Metro for (a) the use of the stun device and (b) the frisk? Explain. 2. Does Metro have a viable defense to either battery claim? Explain. 3. Can Claimant establish the elements... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Relevant facts to use:

- After recent terrorist threats, Metro Opera (Metro) decided to place metal detectors in its lobby.
- Claimant and Friend saw the warning sign as they entered Metro.
- Claimant then walked through the metal detector, which buzzed.
- Unfortunately, the stun device, manufactured by Alertco, malfunctioned and produced a shock considerably more severe than that described in Alertco's product specifications.

Condensed sample-answer path:

1. Point One(a) (20%) A prima facie case of battery is established when the plaintiff shows that she su

Short answer: An actor is subject to liability to another for battery if (a) he acts intending to cause a harmful or offensive contact with the person and (b) a harmful or offensive contact results.

Rule(s):

- An actor is subject to liability to another for battery if (a) he acts intending to cause a harmful or offensive contact with the person and (b) a harmful or offensive contact results.

Fact-based analysis:

- Thus, Guard's actions amount to battery: Guard intended to, and did, cause a harmful contact with Claimant.
- Because Guard was acting within the scope of his employment, Claimant can establish a prima facie case against Metro.

Conclusion: Thus, Guard's actions amount to battery: Guard intended to, and did, cause a harmful contact with Claimant.

2. Point One(b) (20%) It is unclear whether Inspector's frisk of Claimant establishes a prima facie cas

Short answer: Inspector's frisk of Claimant was not harmful, but a contact can also constitute battery if it is offensive.

Rule(s):

- Claimant must additionally show that being frisked offends a "reasonable" sense of dignity.
- The routine nature of such screening may mean that it is no longer "reasonable" to be offended by it.
- To establish intent, Claimant must show that Inspector had the purpose of causing offense or knew he would cause offense by frisking Claimant.

Fact-based analysis:

- Because opera patrons were warned of the possibility of being frisked, Inspector may have assumed that they would not be offended by such a contact.

Conclusion: But, absent some facts suggesting Inspector's knowledge that the frisk would be offensive, the mere fact that Inspector intentionally contacted Claimant's person does not satisfy the requirements for an actionable battery. [NOTE: The examinee's analysis is more important than his or her conclusion.]

3. Point Two (30%) Because conduct can manifest consent, Claimant may have consented to being frisked.

Short answer: Consent—"willingness in fact for conduct to occur"—is a defense to battery.

Rule(s):

- Consent "may be manifested by action or inaction and need not be communicated to the actor." Thus, "[i]f words or conduct are reasonably understood by another to be intended as consent, they constitute apparent consent and are as effective as consent in fact." Id.
- A court thus might conclude that it was unreasonable to infer Claimant's consent to being frisked.

Fact-based analysis:

- Thus, because Claimant read the warning sign, saw opera patrons being frisked, and still proceeded through the metal detector, Metro can argue that its employee, Inspector, was entitled to infer that Claimant had consented to being frisked herself.

Conclusion: A court thus might conclude that it was unreasonable to infer Claimant's consent to being frisked.

4. Point Three (15%) A manufacturer is strictly liable for a defective product. Alertco is thus liable

Short answer: Alertco's product contained a manufacturing defect; it failed to meet Alertco's own specifications, and the defect occurred during the product's manufacture.

Rule(s):

- In order to recover for injuries sustained because of a manufacturing defect, a plaintiff need not show that the manufacturer was negligent.

Fact-based analysis:

- In this case, the evidence establishes that the defect occurred during the manufacturing process.
- Thus, despite Alertco's excellent quality control, it is strictly liable to Claimant.

Conclusion: Thus, despite Alertco's excellent quality control, it is strictly liable to Claimant.

5. Point Four (15%) Because a tort defendant "takes his victim as he finds him," Claimant may recover f

Short answer: "When an actor's tortious conduct causes harm to a person that, because of a preexisting physical or mental condition or other characteristics of the person, is of a greater magnitude or different type than might reasonably be expected, the actor is nevertheless subject to liability for all such harm to the person." RESTATEMENT OF TORTS: LIABILITY FOR PHYSICAL HARM § 31 (2010).

Rule(s):

- Thus, despite the fact that a depressive reaction to the stun device was unforeseeable, Alertco is liable for both Claimant's physical and psychological injuries.

Fact-based analysis:

- Thus, the plaintiff with an "eggshell skull" who suffers injuries different from or greater than those that a normal victim would suffer is entitled to recover fully for his injuries.

Conclusion: Thus, despite the fact that a depressive reaction to the stun device was unforeseeable, Alertco is liable for both Claimant's physical and psychological injuries.

Question call(s): 1. Can Claimant establish a prima facie case of battery against Metro for (a) the use of the stun device and (b) the frisk? Explain. | 2. Does Metro have a viable defense to either battery claim? Explain. | 3. Can Claimant establish the elements of a strict products liability claim against Alertco based on the malfunction of the device? Explain.

February 2012 — Question 4

Primary source subject: Torts

Question summary: This question involves Paul, age eight, and Paul's mother, Mom, spent the morning at Funworld, an amusement park. Paul decided to ride the Ferris wheel. The core dispute asks Paul and Mom have sued Funworld. Funworld has conceded that Employee was acting within the scope of his employment. Based on the facts, could a jury properly find that 1. Funworld falsely imprisoned Paul? Explain. 2. Funworld was negligent... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Relevant facts to use:

- Paul, age eight, and Paul's mother, Mom, spent the morning at Funworld, an amusement park.
- After Paul entered a Ferris wheel car, the attendant, Employee, fastened the car's safety bar.
- As Paul's car began to descend from the top of the wheel, the two boys—whose car was right behind Paul's car—shook the safety bar on their car hard enough that it unlatched.
- After the two boys fell, Employee stopped the Ferris wheel and sounded an emergency alarm to notify Funworld security guards of the incident.

Condensed sample-answer path:

1. Point One (40%) Paul can establish the elements of a prima facie case of false imprisonment, and the

Short answer: An actor is subject to liability to another for false imprisonment if "(a) he acts intending to confine the other or a third person within boundaries fixed by the actor, and (b) his act directly or indirectly results in such a confinement of the other, and (c) the other is conscious of the confinement or is harmed by it." RESTATEMENT (SECOND) OF TORTS § 35.

Rule(s):

- An actor is subject to liability to another for false imprisonment if "(a) he acts intending to confine the other or a third person within boundaries fixed by the actor, and (b) his act directly or indirectly results in such a confinement of the other, and (c) the other is conscious of the confinement or is harmed by it." RESTATEMENT (SECOND) OF TORTS § 35.
- See also id. § 38 ("confinement may be by actual or apparent physical barriers").
- An actor may be found liable for false imprisonment both when "his act was done for the purpose of imposing confinement upon the other" and when he acted "with knowledge that such confinement would, to a substantial certainty, result from [his actions]." Id. § 35 cmt. d.

Fact-based analysis:

- Here, Employee confined Paul by stopping the Ferris wheel.
- Thus, Paul can establish a prima facie case of false imprisonment.
- Thus, for example, if Employee had stopped the Ferris wheel briefly to permit rescue workers to remove the two boys from the scene, Employee's conduct would likely have been privileged.
- Therefore, a jury could properly find that Employee falsely imprisoned Paul.

Conclusion: Therefore, a jury could properly find that Employee falsely imprisoned Paul.

2. Point Two (25%) A reasonable jury could properly conclude that Funworld was negligent for failing to

Short answer: In any negligence action, a plaintiff must show that the defendant owed the plaintiff a duty to conform his conduct to a standard necessary to avoid an unreasonable risk of harm to others, that the defendant's conduct fell below the applicable standard of care, and that the defendant's conduct was both the cause in fact and the proximate cause of the plaintiff's injuries.

Rule(s):

- In any negligence action, a plaintiff must show that the defendant owed the plaintiff a duty to conform his conduct to a standard necessary to avoid an unreasonable risk of harm to others, that the defendant's conduct fell below the applicable standard of care, and that the defendant's conduct was both the cause in fact and the proximate cause of the plaintiff's injuries.
- Paul would have no difficulty in establishing that Funworld owed him a duty of care.

- Because Employee was acting within the scope of his employment, the jury could also find that Funworld was liable to Paul for injuries caused by Employee's negligence (see Point One).

Conclusion: In determining whether Employee's conduct was negligent, the jury should measure that conduct against the conduct of a reasonable, prudent person engaged in a like activity.

3. Point Three (35%) Mom is unlikely to recover for her emotional distress and resulting miscarriage be

Short answer: Although early cases typically denied recovery for negligent infliction of emotional distress to a plaintiff who experienced no physical contact or injury (see Mitchell v.

Rule(s):

- 354 (; a plaintiff who is within the zone of danger created by the defendant and who suffers a physical manifestation of emotional distress occasioned by a threatened injury may recover in virtually all states.
- A larger group permits recovery if the plaintiff was closely related to the victim, was located near the scene of the accident, and suffered shock resulting from "the sensory and contemporaneous observance of the accident." Dillon v.
- In virtually all jurisdictions, emotional distress must result from sensory and contemporaneous observance of the accident itself, not the receipt of news relating to the accident.

Fact-based analysis:

- Here, however, Mom did not apprehend any personal danger.
- Some jurisdictions that follow the Dillon approach limit recovery to relatives who were at the scene when the accident happened.
- Some permit recovery by a relative who comes upon the scene shortly after the accident happens.
- Here, Mom was not within the zone of danger; she was some 100 yards away.

Conclusion: Thus, in virtually all jurisdictions, Mom will not be able to recover for her distress and resulting miscarriage even if Funworld is found negligent in failing to prevent Paul's injury.

Question call(s): 1. Funworld falsely imprisoned Paul? Explain. | 2. Funworld was negligent because Employee failed to take action to stop the boys from rocking their car? Explain. | 3. Mom is entitled to damages for her emotional distress and resulting miscarriage? Explain.

July 2012 — Question 6

Primary source subject: Torts

Question summary: This question involves Susan, a student at University, lived in a University dormitory. Access to Susan's dormitory was restricted to dormitory residents and guests who entered the dormitory with a resident. The core dispute asks May Susan recover damages for physical injuries she suffered in Ann's attack from (a) University? Explain. (b) Jim? Explain. (c) Ann's Psychiatrist? Explain. 2. Assuming that any party is found liable to Susan, may she also recover damages... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Relevant facts to use:

- Susan, a student at University, lived in a University dormitory.

- On November 30, at 2:00 a.m., Ann, a University graduate, entered the dormitory through the rear entrance.
- Jim, another resident of Susan's dormitory, passed the library shortly after Ann had attacked Susan.
- One day after Ann's attack, Susan began to experience mental and physical symptoms (e.g., insomnia, anxiety, rapid breathing, nausea, muscle tension, and sweating).

Condensed sample-answer path:

1. Point One(a) (30%) University owed a duty of care to Susan, a resident of a dormitory controlled and

Short answer: into Susan's dorm violated that duty.

Rule(s):

- into Susan's dorm violated that duty.
- A college does not stand in a parens patriae relationship with its students.
- However, although the common law imposed almost no duties on landlords to provide safe premises to tenants, modern courts have found that landlords, including landlords like University, have a duty to take reasonable precautions to protect tenants against foreseeable attacks.

Fact-based analysis:

- DOBBS, THE LAW OF TORTS § 235, at 605 (2000) (describing tenant in common areas of building as an example of an invitee encountering obvious dangers).] Criminal activity of the sort that occurred here was foreseeable.
- Therefore, University employees had ample time to discover the break.
- Because Ann's entrance into Susan's dorm was made possible by University's failure to secure the damaged door, a jury could find that University's failure to repair the lock was the cause in fact and proximate cause of Susan's physical injuries.

Conclusion: Therefore, University employees had ample time to discover the break.

2. Point One(b) (25%) There is no general duty to come to the aid of another. Jim assumed a duty to Sus

Short answer: Susan and Jim did not have a special relationship that created a duty to come to the aid of another.

Rule(s):

- Susan and Jim did not have a special relationship that created a duty to come to the aid of another.
- See also RESTATEMENT OF TORTS § 323 ("One who undertakes, gratuitously or for consideration, to render services to another . . . [is liable] for physical harm resulting from his failure to exercise reasonable care . . . if (a) his failure to exercise such care increases the risk of such harm; or (b) the harm is suffered because of the other's reliance upon the undertaking.").

Fact-based analysis:

- Here, Jim's failure to follow up his unsuccessful attempt to report Susan's injuries to the University security office with any other action was arguably negligent.
- Thus, because there is no evidence that Jim caused or exacerbated Susan's injuries, Susan cannot recover damages from Jim.

Conclusion: Thus, because there is no evidence that Jim caused or exacerbated Susan's injuries, Susan cannot recover damages from Jim.

3. Point One(c) (30%) A psychotherapist has a duty to warn a reasonably identifiable individual against

Short answer: Regents of University of California, 551 .

Rule(s):

- 1976), the California Supreme Court held that the special relationship between a psychotherapist and patient justified the imposition of a duty to warn “persons threatened by the patient.” Both the holding and reasoning of the Tarasoff court have been widely adopted.
- Today, in most states, a psychotherapist who fails to warn an intended victim against whom her patient has made credible threats of physical violence may be found liable for that victim’s injuries.
- However, California courts have restricted the duty imposed on psychotherapists in Tarasoff to “potential victims . . . specifically known and designated” by the dangerous patient.

Fact-based analysis:

- 1984) (imposing duty to victims where psychiatrist helped patient to obtain guns confiscated by police).
- Here, Ann’s Psychiatrist had a therapeutic relationship with Ann because Ann saw Psychiatrist weekly for several months.
- Thus, in the vast majority of states, a jury could not find that Psychiatrist is liable to Susan.

Conclusion: Thus, in the vast majority of states, a jury could not find that Psychiatrist is liable to Susan.

4. Point Two (15%) University is responsible for damages related to Susan’s injuries because a tort def

Short answer: A tort defendant takes his victim as he finds him.

Rule(s):

- A tort defendant takes his victim as he finds him.
- Courts have sometimes been reluctant to award tort plaintiffs damages for mental distress unaccompanied by any physical injuries (see Williamson v.

Fact-based analysis:

- Here, although Susan sustained only minor physical injuries from Ann’s attack, Susan suffered a preexisting condition, PTSD.
- 1970) (permitting recovery for plaintiff’s post-accident schizophrenia when evidence showed that prior concussion created predisposition that was exacerbated by accident for which defendant was liable).
- 1960) (disallowing mental-disorder damages when plaintiff suffered no physical harm in accident caused by defendant)).
- Thus, if Susan recovers damages from University for her physical injuries, she should also be able to recover damages for her PTSD symptoms.

Conclusion: Thus, if Susan recovers damages from University for her physical injuries, she should also be able to recover damages for her PTSD symptoms.

Question call(s): 1. May Susan recover damages for physical injuries she suffered in Ann’s attack from | 2. Assuming that any party is found liable to Susan, may she also recover damages from that party for the PTSD symptoms she is experiencing? Explain.

July 2015 — Question 1

Primary source subject: Torts

Question summary: This question involves A boy lives in a northern state where three to four feet of snow typically blankets the ground throughout the winter, creating excellent conditions for snowmobiling. The boy is an experienced snowmobiler and a member of a club that maintains local snowmobile trails by clearing them of rocks,... The core dispute asks As a result of the accident, the boy suffered several broken bones and also suffered injuries from frostbite. These frostbite injuries could have been avoided had the boy been rescued earlier. The boy has brought a tort action against the... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Issues tested:

- ANALYSIS
- Could a jury properly find that the friend, a 10-year-old child with no snowmobiling experience, was negligent?
- Did the landowner have a duty to reveal hidden dangers and, if yes, could a jury properly find that there was a breach of that duty?
- Did the woman owe the boy a duty of care?
- Could a jury properly find that the boy was negligent and, if yes, what impact will his negligence have on his claim? Summary

Relevant facts to use:

- A boy lives in a northern state where three to four feet of snow typically blankets the ground throughout the winter, creating excellent conditions for snowmobiling.
- The boy and his friend went snowmobiling on a designated and marked snowmobile trail that follows the perimeter of a rocky, forested state park near the friend's home.
- The landowner's property is crossed by a private logging trail that intersects the snowmobile trail.
- On impulse, the friend, who was driving the snowmobile, turned the snowmobile off the designated snowmobile trail and onto the logging trail.

Condensed sample-answer path:

1. Point One (25%)

Short answer: A jury could properly find that the friend is liable to the boy based on a finding that the friend was engaged in an adult activity and that he was negligent in turning off a designated snowmobile trail onto an unmarked logging trail.

Rule(s):

- A jury could properly find that the friend is liable to the boy based on a finding that the friend was engaged in an adult activity and that he was negligent in turning off a designated snowmobile trail onto an unmarked logging trail.
- Under this standard, it is doubtful that a jury could find the friend negligent: he was only 10 years old, and he had not previously engaged in snowmobiling.
- However, when a minor engages in a hazardous activity which is "normally undertaken only by adults, and for which adult qualifications are required . . . , he may be held to the standard of adult skill, knowledge, and competence, and no allowance may be made for his immaturity." Id. at cmt. c.

Fact-based analysis:

- Thus, a jury could find that the friend was negligent in turning off a marked and designated snowmobile trail onto a logging trail unmarked for snowmobiling. [NOTE: An examinee may appropriately note that, if the jury finds that the friend was negligent, it should also find that his negligence was the cause-in-fact and proximate cause of the boy's injuries; the accident would not have happened but for the friend's action in turning onto the unmarked trail, and hitting a hidden object is an immediate, foreseeable risk of such an action.

Conclusion: These conclusions as to cause-in-fact and proximate cause are so obvious that an examinee should not be penalized for failing to note them.]

2. Point Two (35%)

Short answer: A jury could find the landowner liable to the boy if he is classified as a licensee to whom a limited duty of care is owed.

Rule(s):

- A jury could find the landowner liable to the boy if he is classified as a licensee to whom a limited duty of care is owed.
- If the boy is found to be a trespasser rather than a licensee, the jury could find that the landowner is liable only if the attractive-nuisance doctrine applies.
- In most states, the landowner's duty to the boy depends on whether the boy is classified as a trespasser or a licensee.

Fact-based analysis:

- Because the boy and his friend had no privilege to enter the landowner's property, they may be classified as trespassers.
- Here, because the landowner's property is typically covered with three to four feet of snow during the snowmobiling season, a jury could properly conclude that the landowner knew or had reason to know of the hazard posed by a chain and a "no trespassing" sign only 30 inches above the ground and that he should have posted a higher and more visible warning.
- Here, the landowner likely had reason to know that a logging trail intersecting a snowmobile trail would offer a tempting detour to young snowmobilers and that the landowner should have foreseen that a chain and sign only 30 inches above the ground could easily become obscured by snow, posing a serious risk of accident and injury to a snowmobiler who deviated onto the logging trail.
- There is no question that the boy and his friend did not discover the dangerous condition (i.e., the hidden chain); the friend, the driver, clearly did not appreciate the risk and the boy, his passenger, had no opportunity to avoid it.

Conclusion: Again, however, these conclusions are so obvious that an examinee should not be penalized for failing to discuss them.]

3. Point Three (25%)

Short answer: A jury could not properly find that the woman had a duty to the boy because she did not increase the risk of harm to him beyond that which existed before she called 911, and the boy did not rely on the woman's exercise of reasonable care to his detriment.

Rule(s):

- A jury could not properly find that the woman had a duty to the boy because she did not increase the risk of harm to him beyond that which existed before she called 911, and the boy did not rely on the woman's exercise of reasonable care to his detriment.
- Generally, there is no duty to come to the aid of another.

- An actor who undertakes to render services designed to reduce the risk of harm to another does acquire a duty of reasonable care toward the other if a) the failure to exercise such care increases the risk of harm beyond that which existed without the undertaking, or b) the person to whom the services are rendered or another relies on the actor's exercising reasonable care in the undertaking.

Fact-based analysis:

- Here, the woman did not increase the risk of harm beyond that which existed without the undertaking to call for help.
- Although the time that elapsed between the accident and the boy's rescue caused frostbite injuries, the woman caused no delay; indeed, if she had not called 911, aid would likely have arrived even later than it did.
- Nor did any individual rely on the woman.
- She told the 911 dispatcher that she was leaving the scene, and her call did not prevent the boy or anyone else from reporting the accident or taking steps to avoid the harm.

Conclusion: Although the time that elapsed between the accident and the boy's rescue caused frostbite injuries, the woman caused no delay; indeed, if she had not called 911, aid would likely have arrived even later than it did.

4. Point Four (15%)

Short answer: A jury could properly find that the boy was negligent in entrusting a snowmobile to an inexperienced 10-year-old.

Rule(s):

- A jury could properly find that the boy was negligent in entrusting a snowmobile to an inexperienced 10-year-old.
- A finding of negligence would reduce the boy's damages award but, in almost all jurisdictions, would not deprive him of his claim.
- At common law, if the jury found that the plaintiff's negligence was a cause in fact and proximate cause of his injuries, the plaintiff was precluded from recovering damages from the defendant.

Fact-based analysis:

- Because the boy was an experienced snowmobiler who should have been aware of the risks of driving a snowmobile without any training or experience, a jury could find that the boy was negligent in allowing his friend to drive the snowmobile even if it applied the standard of care applicable to children.
- Thus, a finding that the boy was negligent should not deprive him of his cause of action.

Conclusion: There are some comparative-negligence jurisdictions in which apportionment is not available unless the jury concludes that the plaintiff is less than 50 percent at fault; in those jurisdictions, if the jury concludes that the boy was 50 percent or more at fault, he cannot recover.

Question call(s): 1. Could a jury properly find the friend liable to the boy for his injuries? Explain. | 2. Could a jury properly find the landowner liable to the boy for his injuries? Explain. | 3. Could a jury properly find the woman liable to the boy for his injuries? Explain.

July 2016 — Question 3

Primary source subject: Torts

Question summary: This question involves Six months ago, a man visited his family physician, a general practitioner, for a routine examination. Based on blood tests, the physician told the man that his cholesterol level was somewhat elevated. The core dispute asks Is the physician liable to the man under tort law? Explain. 2. Are any or all of the five U.S. companies that processed, packaged, and sold the herbal tea to the health-food store liable to the man under tort law? Explain. 3. Is the... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Issues tested:

- Can the man recover damages under tort law from the physician?
- (a) When may a producer of a defective product be found liable for injuries caused by that product?
- (b) Can the man recover from any of the five
- Can the man recover damages from the health-food store?

Relevant facts to use:

- Six months ago, a man visited his family physician, a general practitioner, for a routine examination.
- The man purchased all his herbal tea from the same health-food store.

Condensed sample-answer path:

1. Point Two(a) (20%)

Short answer: The producer of goods that cause injury to a person may be liable to the injured person in tort if the seller was negligent, if the goods were defective, or if they did not satisfy the implied warranty of merchantability.

Rule(s):

- The producer of goods that cause injury to a person may be liable to the injured person in tort if the seller was negligent, if the goods were defective, or if they did not satisfy the implied warranty of merchantability.
- In order to recover for injuries sustained because of a manufacturing defect, a plaintiff need not show that the producer was negligent.
- A producer is strictly liable whenever "the product departs from its intended design even though all possible care was exercised in the preparation and marketing of the product . . . ." Id. § 2.

Fact-based analysis:

- Here, the herbal tea that the man purchased was defective because it was contaminated with pesticide.
- The herbal tea that the man consumed falls into the manufacturing defect category even though it is not a manufactured product in the traditional sense because a reasonable consumer would expect the herbal tea to be free of contamination when processed and packaged.
- Thus, the processor selling tea with this defect would be liable in tort for resulting injuries.
- The man could also rely on the implied warranty of merchantability to establish the .

Conclusion: Thus the health-food store may be found liable for the man's injury based on the fact that it sold a defective product that caused the man's injury.

July 2017 — Question 1

Primary source subject: Torts

Question summary: This question involves On the evening of July 4, a woman went to the end of her dock to watch a fireworks display on the lake where her house was located. The woman's husband remained inside the house. The core dispute asks On the evening of July 4, a woman went to the end of her dock to watch a fireworks display on the lake where her house was located. The woman's husband remained inside the house. The fireworks display was sponsored by the lake homeowners... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Issues tested:

- ANALYSIS
- Is a public fireworks display an abnormally dangerous activity subject to strict liability?
- Based on the evidence submitted by the woman and her husband, could a reasonable jury find that the conduct of the fireworks company was negligent?
- When is an actor's creation of a dangerous situation the proximate cause of injuries suffered by a person who was rushing to respond to the danger?
- When is a person liable for the acts or omissions of an independent contractor employed by that person? Summary
- , rev'd, 1 L.R.-Ex. 265, [1866] All E.R. 1, 6, aff'd sub nom. Rylands v. Fletcher, 3 L.R.-H.L. 330, [1868] All E.R. 1, 12, in which the defendant's reservoir flooded mine shafts on the plaintiff's adjoining land. Rylands has come to stand for the rule that "the defendant will be liable when he damages another by a thing or activity unduly dangerous and inappropriate to the place where it is maintained, in the light of the character of that place and its surroundings." W. Page Keeton et al., Prosser and Keeton on Torts § 78, at 547–48 (5th ed. 1984). Today, the determination of whether an activity is unduly dangerous, and thus subject to strict liability, is generally governed by factors outlined in the Under the First Under the Second and Third " Section 520 of the Restatement (Second) lists six factors that are to be considered in determining whether an activity is abnormally dangerous: (a) existence of a high degree of risk of some harm to the person, land or chattels of others; (b) likelihood that the harm that results from it will be great; (c) inability to eliminate the risk by the exercise of reasonable care; (d) extent to which the activity is not a matter of common usage; (e) inappropriateness of the activity to the place where it is carried on; and (f) extent to which its value to the community is outweighed by its dangerous attributes. Restatement (Second) of Torts § 520

Relevant facts to use:

- On the evening of July 4, a woman went to the end of her dock to watch a fireworks display on the lake where her house was located.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: It is unclear whether the trial judge erred in ruling that a public fireworks display is not an abnormally dangerous activity subject to strict liability.

Rule(s):

- The judge erred in directing a verdict for the defendants on the negligence claim because adherence to a statutory standard does not insulate a defendant from liability for negligence, and the evidence showed a foreseeable risk of harm and precautions that would have eliminated the risk without undue burden.
- Point One (40%) The trial court's finding that a public fireworks display is not an abnormally dangerous activity subject to strict liability may or may not have been correct.
- A public fireworks display is not a matter of common usage and has substantial risks that cannot be eliminated.

Fact-based analysis:

- Because danger invites rescue, the trial judge erred in concluding that the misfiring mortar was not the proximate cause of the husband's injuries.
- Thus, it is unclear whether the trial court erred in finding that public fireworks displays are not an abnormally dangerous activity.
- Here, all the fireworks company's employees were state-certified fireworks technicians, and the company followed all governmental fireworks regulations.
- Because the fireworks company's employees were all state-certified fireworks technicians, a reasonable jury could have concluded that both the risk of injury and the utility of a 500-foot safety zone were known to the fireworks company.

Conclusion: Thus, the trial court's conclusion that the association could not be held liable for the fireworks company's acts was erroneous.

February 2019 — Question 1

Primary source subject: Torts

Question summary: This question involves One year ago, a man was injured when the car in which he and a woman were traveling slid off an icy highway during a winter storm and overturned. At the time of the accident, the woman was driving the car. The core dispute asks One year ago, a man was injured when the car in which he and a woman were traveling slid off an icy highway during a winter storm and overturned. At the time of the accident, the woman was driving the car. The man was sitting in the front... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Issues tested:

- ANALYSIS
- Could a court properly find that the woman was negligent even though she was driving below the speed limit?
- Could a court properly find that the woman is liable for the man's damages resulting from the infection?
- Could a court properly find that the hospital is liable for the man's damages resulting from the infection?
- If a court found that both the woman's negligence and the hospital's negligence caused the man's infection, could the woman's liability be limited to $100,000 for injuries the man suffered in the accident? Summary
- contracting the infection does not normally happen without negligence, and

Relevant facts to use:

- One year ago, a man was injured when the car in which he and a woman were traveling slid off an icy highway during a winter storm and overturned.
- 3.

Condensed sample-answer path:

1. Point Three (40%) Although the man cannot directly prove that he contracted the infection in the hos

Short answer: are eliminated because the man was hospitalized during the entire period of potential exposure.

Rule(s):

- Thus, even though the specific cause of the infection cannot be proven, it appears that there is a very strong inference that the hospital's negligence caused the infection.
- Lastly, here the hospital clearly had a duty to the man to protect him against contracting infections while hospitalized.
- Thus, the indicated negligence—failing to protect the man from contracting the infection—was within the scope of the hospital's duty to the man.

Fact-based analysis:

- are eliminated because the man was hospitalized during the entire period of potential exposure.
- Based on this evidence, the court could use the res ipsa loquitur doctrine to find that the hospital is liable for the man's infection. [NOTE: This answer sets out the res ipsa loquitur requirements from the Jurisdictions differ as to exactly how they express the requirements of the res ipsa loquitur doctrine.
- One traditional variation requires that the plaintiff show three things: "(1) the accident which produced a person's injury was one which ordinarily does not happen unless someone was negligent, (2) the instrumentality or agent which caused the accident was under the exclusive control of the defendant, and (3) the circumstances indicated that the untoward event was not caused or contributed to by any act or neglect on the part of the injured person." See, e.g., Eaton v.
- The Third Restatement offers another formulation: that negligence can be inferred when the accident causing harm is of a type that "ordinarily happens as a result of the negligence of a class of actors of which the defendant is the relevant member." Answers relying on any of these variations should be given full credit as long as the examinee recognizes that courts interpret that variation, regardless of the specific way it sets out its requirements, "to limit the application of the res ipsa loquitur doctrine to those situations in which the defendant's negligence was more probably than not the cause of the plaintiff's injuries." Giles v.

Conclusion: The examinee is not asked to specify how the plaintiff would apportion collection efforts between the two joint tortfeasors.

Question call(s): 3. Could a court properly find that the hospital is liable for the man's damages resulting from the infection? Explain. 4. If a court found that both the woman's negligence and the hospital's negligence caused the man's infection, could the woman's liability be limited to $100,000 for injuries the man suffered in the accident? Explain.

July 2021 — Question 1

Primary source subject: Torts

Question summary: This question involves A mother was shopping with her six-year-old son at Big Box store. The son was visually impaired, so his mother, concerned about crowding and jostling by other patrons, restrained him by placing her hand on his shoulder and instructed him to remain in her grasp. The core dispute asks Can the customer be held liable for enhancing the son's injury? Explain. 4. Assuming that only Big Box and the customer were negligent and can be held liable, can the son recover the full amount of damages from Big Box only? Explain. Do... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Issues tested:

- (a) What is the standard of care for the son?

- (b) Under that standard, are the facts sufficient for a jury to find that the son acted negligently?
- Under the applicable standard of care, are the facts sufficient for a jury to find that Big Box acted negligently?
- Can the customer be held liable for enhancing the son's injury?
- Assuming that only Big Box and the customer were negligent and can be held liable, can the son recover the full amount of damages from Big Box only?
- (Andrews, J., dissenting). The facts do not allow for a detailed analysis of proximate cause, but it appears that the slip and fall was a natural and continuous outcome of the son's behavior.] Point Two (30%) As a proprietor of a commercial facility, Big Box owes a duty of care to its customers, who are considered invitees. Therefore, a jury could find that Big Box acted negligently in failing to discover the cheesecake and remove it from the floor. The proprietor of a commercial facility owes a duty of due care to customers, who are considered business invitees. The proprietor is required to exercise reasonable care to protect customers from hazards, including being aware of dangerous conditions on the premises and reducing or eliminating any dangers. Id. § 343. Thus Big Box was required to take reasonable steps to ensure that its floor was free from hazards, such as the cheesecake, that could cause an accident. This case is similar to the classic "banana peel" cases involving a business's liability for debris on the floor that injures patrons. See Goddard v. Boston & Maine R.R. Co., 60 N.E. 486 (. Boston Elevated Ry. Co., 94 N.E. 386 (. These cases are often referred to as examples of constructive notice; the law presumes notice of dangerous conditions even though actual notice is absent. However, a defendant is allowed a reasonable time period to discover a dangerous condition and correct it. Constructive notice cases thus turn on a determination of how long the dangerous condition existed before the plaintiff encountered it. When food is the cause of the fall, the condition of the food sometimes allows an inference of how long it was on the floor. See Goddard and Anjou. Because the burden of proof is on the plaintiff, if the evidence does not allow for a determination of how long the dangerous condition existed, the proprietor cannot be found negligent. Joye v. Great Atlantic and Pacific Tea Co., 405 . 1968). Here there is no indication that Big Box had actual notice of the cheesecake on the floor. The facts do not state how the cheesecake came to be on the floor. The most likely possibility, given the crowding in the store and the option to self-serve food, is that a customer was responsible for dropping the cheesecake on the floor. It is unlikely that a Big Box employee dropped the cheesecake, did not notice it on the floor, and did not clean it up, as the display was last stocked several days earlier. Nonetheless, Big Box was responsible for discovering the cheesecake and removing it from the floor within a reasonable period. Where food is sold through self-service, a store must take greater precautions and make more frequent inspections than otherwise might be necessary. Bridgman v. Safeway Stores, Inc., 348 . 1960). The flattened and dirty condition of the cheesecake suggests that it was on the floor more than a few minutes. Again, the self-serve display was last stocked several days before the son's fall, and it is unlikely that a Big Box employee dropped the cheesecake and did not clean it up. As well, it is likely that a Big Box employee did not notice the cheesecake because of the crowd in the store. However, when an employee is in the area of a spill, some courts consider the employee's presence as some evidence that the spill could have been discovered, though such evidence may be given little weight. See, e.g., Domangue v. Wal-Mart Stores, Inc., 665 So. 2d 779 (La. Ct. App. 1995). Other courts give this evidence no weight. See, e.g., Wal-Mart Stores, Inc. v. Reece, 81 S.W.3d 812 (Tex. 2002). Here, a Big Box employee walked by the self-serve display before the son's fall, and a jury could reasonably find that the employee could have seen the cheesecake on the floor before the son slipped. However, because Big Box assigned no employees to conduct inspections, and there is no proof of a flooring inspection in any particular period of time, an inference that the condition did exist long enough to be discovered is reasonable. See Frazier v. Yor-Way Market, Inc., 185 . 2d. 390

Relevant facts to use:

- A mother was shopping with her six-year-old son at Big Box store.

Condensed sample-answer path:

1. Condensed Analysis

Short answer: Summary Most jurisdictions assess a child's conduct in comparison to that of a reasonably careful child of the same age, intelligence, and experience.

Rule(s):

- If the child has a disability, that disability is taken into account in determining the standard of care.
- Under that standard, a jury could find that the son acted negligently.
- In some jurisdictions, however, because the son is under seven, he may be presumed incapable of being negligent; thus the son could not be found to have acted negligently in those jurisdictions.

Fact-based analysis:

- Thus, the son's conduct will be measured against that of a six-year-old with comparable attributes, including his visual impairment.
- Thus, a jury could properly find that Big Box acted negligently.
- Thus, a jury could properly find the customer liable for negligent enhancement of the son's injury when he attempted to help the son up from the floor.
- Thus the son can recover from Big Box all initial injury damages and enhancement damages.

Conclusion: In a several-liability jurisdiction, Big Box, although the proximate cause of the enhanced injury, would be liable severally for its comparative share of enhanced injury damages.]

July 2023 — Question 1

Primary source subject: Torts

Question summary: This question involves GS gas is a commonly used pesticide injected into the soil before farmers plant crops. After two weeks, 90% of GS will have risen from the soil into the air, and crops can be safely planted. The core dispute asks What must the wife prove to establish her negligence claim? Will she likely prevail? Explain. 2. What must the husband prove to establish his trespass claim? Will he likely prevail? Explain. 3. Assuming that the husband prevails, is it... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Issues tested:

- What must the wife prove to establish her negligence claim? Will she likely prevail?
- What must the husband prove to establish his trespass claim? Will he likely prevail?
- Assuming that the husband prevails, is it likely that the court will permanently enjoin the farmer from using GS within one mile of the couple's house?
- breach of the duty of reasonable care and
- causation in fact; thus, her claim will likely fail. Under modern tort principles, the farmer will owe a duty to others to exercise reasonable care. See Restatement (Third) of Torts: Liability for Physical and Emotional Harm § 7(a)
- ("An actor ordinarily has a duty to exercise reasonable care when the actor's conduct creates a risk of physical harm."). Breach of the duty of reasonable care (sometimes itself called "negligence") requires a fact-sensitive inquiry; reasonableness is determined "under all the circumstances." Id. § 3; see also 1 Dan B. Dobbs, Paul T. Hayden, and Ellen M. Bublick, The Law of Torts § 125 (2d ed. 2011) ("The duty or standard imposed in most

cases is the duty of reasonable care under the circumstances, no more, no less. Equivalent shorthand terms are due care and ordinary care."). Here, several facts can plausibly suggest that the farmer breached his duty of reasonable care: the widely suspected general dangers associated with GS; the farmer's particular knowledge of those risks (based on the training he received); research that shows that when GS is applied to land, concentrations above "safe" levels on neighboring land may result; the fact that he applied GS within one mile of a residence; and evidence that a small amount of GS can cause serious respiratory disorders. Based on the generally known and suspected risks, any reasonably prudent person might avoid using GS altogether. Based on the farmer's specific knowledge of risks, which is a factor that is "to be taken into account in determining whether the actor has behaved as a reasonably careful person," Restatement (Third) of Torts § 12, he could have breached the duty of ordinary care by applying GS in areas where it could harm his neighbors. Other facts, however, suggest that the farmer did not act in an unreasonable manner so as to breach his duty of care: the benefits of GS were significant; the state had studied the matter and decided that the benefits of GS's use in the county outweighed the risks; and scientific research has not specifically established GS's risk of cancer in humans. In short, it is conceivable, but far from certain, that a fact-finder would likely conclude that the farmer's use of GS was unreasonable. The fact that the health department permits the use of GS does not preclude a finding of negligence. Complying with statutes and regulations does not, on its own, imply that a defendant has acted safely, although it is one factor to consider. See Restatement (Third) of Torts § 16(a) ("An actor's compliance with a pertinent statute, while evidence of nonnegligence, does not preclude a finding that the actor is negligent . . . for failing to adopt precautions in addition to those mandated by the statute."); a

Relevant facts to use:

- GS gas is a commonly used pesticide injected into the soil before farmers plant crops.
- 1.

Condensed sample-answer path:

Question call(s): 1. What must the wife prove to establish her negligence claim? Will she likely prevail? Explain. 2. What must the husband prove to establish his trespass claim? Will he likely prevail? Explain. 3. Assuming that the husband prevails, is it likely that the court will permanently enjoin the farmer from using GS within one mile of the couple's house? Explain.

February 2025 — Question 3

Primary source subject: Torts

Question summary: This question involves Brenda, a trauma surgeon, was on her way to perform emergency surgery at the hospital. As she drove through her neighborhood, a school bus stopped ahead of her, flashed its red lights, and extended its side-mounted stop sign. The core dispute asks Can Brenda establish Alan's liability based on Alan's allegedly detaining her against her will? Explain. 3. Is Alan's admission sufficient for the patient's family to prevail in a motion for partial summary judgment establishing that Alan... Main issues tested include negligence, causation, duties, strict liability, products liability, intentional torts, landowner liability, vicarious liability, and remedies.

Issues tested:

- Is the collision between Alan's truck and Brenda's car the type of harm that the legislature likely sought to prevent, and is Brenda within the class of persons that the legislature likely sought to protect, when it enacted the school-bus stop-sign law?
- Can Brenda recover for the tort of false imprisonment based on facts that establish that Alan engaged in conduct from which a fact-finder would likely infer that he intended to confine her?
- Can the factual issue of foreseeability as it bears on the proximate cause of the patient's death be resolved in a summary-judgment proceeding?
- . "[S]ummary judgment will not lie . . . if the evidence is such that a reasonable jury could return a verdict for the nonmoving party." Anderson v. Liberty Lobby, Inc., 477
- . The court will base its decision on the undisputed evidence and will draw any reasonable inferences in the light most favorable to the nonmoving party. Id., at 255. For the following reasons, the family cannot meet its initial summary-judgment burden. Alan admits to the conduct described, which establishes that his dangerous driving was a cause in fact of the patient's death because the patient likely would have lived if Brenda had operated on him, and Brenda would have arrived in time to perform the surgery but for Alan's driving conduct that prevented her from exiting the highway to reach the hospital. But to prevail on its wrongful-death claim, the family will have to prove more. The traditional elements of a negligence action are the existence of a legal duty, breach of that duty, proximate cause, and injury resulting in damages. TG&Y Stores v. Atchley, 414 So. 2d 912, 914 (Ala. 1982); Sanford v. Manternach, 601 . Sur. & Loan Ass'n, 348 .C. Ct. App. 1986); Hansen v. Washington Nat. Gas Co., 632 . 1981); Schmanski v. Church of St. Casimir of Wells, 67 . 1954). The issue of foreseeability bears on the elements of legal duty and proximate cause in this case. Although "[f]oreseeability, in the context of a legal duty, is a question of law" for the court to decide, Fu v. State, 643 . 2002), in the context of proximate cause, foreseeability is generally a question of fact for the jury. Id.; see also Florida Power & Light Co. v. Periera, 705 So. 2d 1359, 1361 (Fla. 1998); P.W. v. Children's Hosp. Colorado, 364 P.3d 891, 898 (Colo. 2016). And "foreseeability is the touchstone of proximate cause." P.W., 364 at 898, n. 7. Here, Alan should succeed in avoiding partial summary judgment establishing his liability by emphasizing the factual issue of proximate cause and foreseeability. Regardless of how the court decides the foreseeability question as it bears on the legal issue of whether Alan owed the patient a duty, the circumstances leave open the possibility that a fact-finder might conclude that the patient's death was not a reasonably foreseeable consequence of Alan's obstructive driving as it bears on the factual issue of proximate cause. The family would certainly argue to the court that the facts could support the conclusion that the patient's death was a foreseeable result of Alan's dangerous driving: because Alan believed that Brenda was a physician, and possibly on her way to provide some sort of medical care ("to bandage a scraped knee"), he knew or should have known that she could have been rushing toward the highway exit to attend to a medical emergency that required her urgent attention, and that negligently obstructing her from reaching her destination could prevent her from timely providing life-saving medical care. But this argument should fail to establish liability at the summary-judgment stage in the face of Alan's likely argument that, even after Alan prevented Brenda's exit, she continued her self-confinement for an unforeseeably lengthy period after he left the gas station, and it was not reasonably foreseeable that she would take time-consuming back roads to reach the hospital. In any event, he will contend persuasively that deciding the issue of proximate cause in favor of his liability would require the court to inappropriately weigh multiple factual inferences favorable to the family, the party moving for summary judgment. Because the court must instead analyze summary judgment by drawing all reasonable inferences against the moving party rather than in its favor, the court here should leave the question of foreseeability and proximate cause for the jury after a trial. The court would therefore likely deny the family's motion for partial summary judgment.

Relevant facts to use:

- Brenda, a trauma surgeon, was on her way to perform emergency surgery at the hospital.

- arrived 15 minutes sooner, she would have arrived in time to perform the surgery and the patient likely would have survived.

Condensed sample-answer path:

2. Point Three (40%) The patient's family should not prevail in a motion for partial summary judgment s

Short answer: Here, Alan should succeed in avoiding partial summary judgment establishing his liability by emphasizing the factual issue of proximate cause and foreseeability.

Rule(s):

- Regardless of how the court decides the foreseeability question as it bears on the legal issue of whether Alan owed the patient a duty, the circumstances leave open the possibility that a fact-finder might conclude that the patient's death was not a reasonably foreseeable consequence of Alan's obstructive driving as it bears on the factual issue of proximate cause.
- Because the court must instead analyze summary judgment by drawing all reasonable inferences against the moving party rather than in its favor, the court here should leave the question of foreseeability and proximate cause for the jury after a trial.

Fact-based analysis:

- Here, Alan should succeed in avoiding partial summary judgment establishing his liability by emphasizing the factual issue of proximate cause and foreseeability.

Conclusion: The court would therefore likely deny the family's motion for partial summary judgment.
